



**Fairfax
County**

FY 2027 Advertised Budget Plan

Overview

Fairfax County Board of Supervisors

Jeffrey C. McKay, Chairman

Kathy L. Smith, Vice Chairman, Sully District

Rachna Sizemore Heizer, Braddock District

James N. Bierman, Jr., Dranesville District

Rodney L. Lusk, Franconia District

Walter L. Alcorn, Hunter Mill District

Andres F. Jimenez, Mason District

Daniel G. Storck, Mount Vernon District

Dalia A. Palchik, Providence District

Pat Herrity, Springfield District

Fairfax County Leadership Team

Bryan J. Hill, County Executive

Thomas G. Arnold, Deputy County Executive

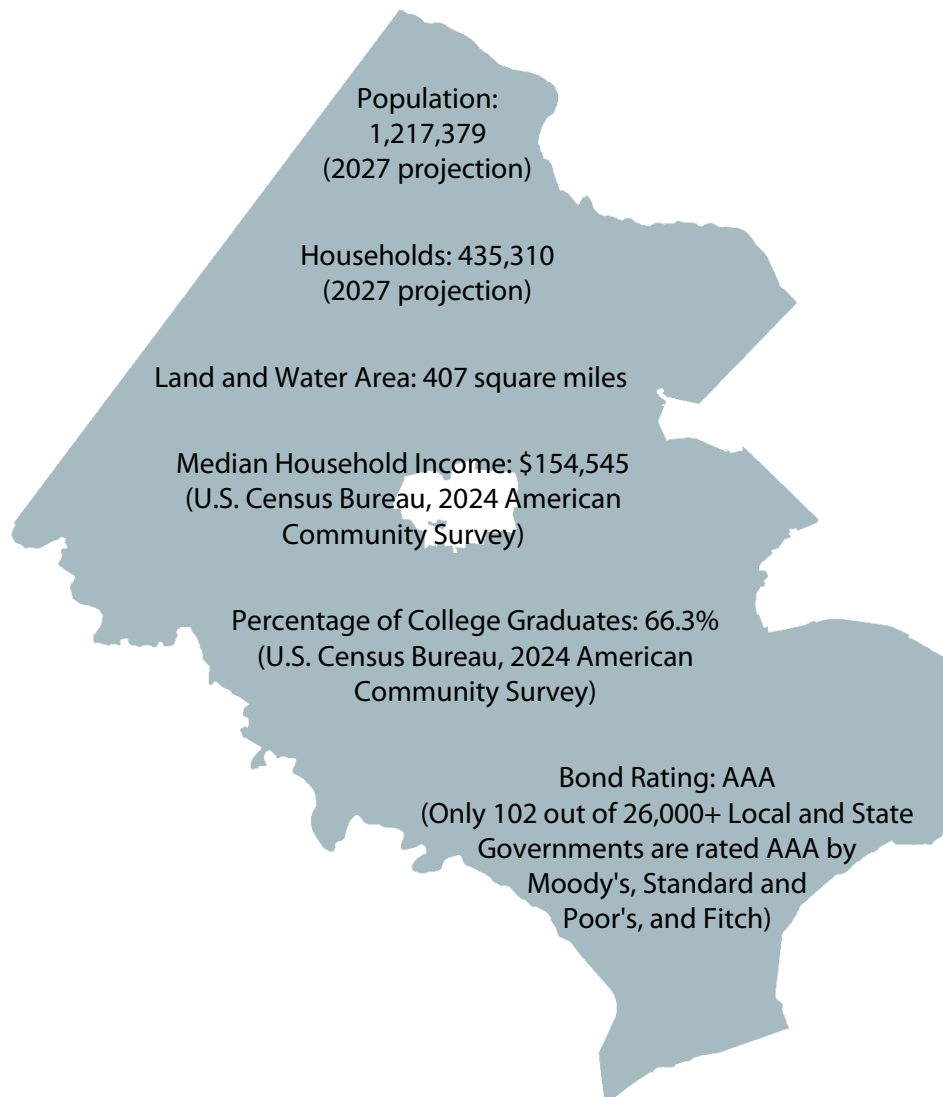
Christina C. Jackson, Chief Financial Officer

Christopher A. Leonard, Deputy County Executive

Jennifer L. Miller, Deputy County Executive

Ellicia Seard-McCormick, Deputy County Executive

Fairfax County, Virginia . . . At a Glance



Fairfax County, Virginia

Fiscal Year 2027 Advertised Budget Plan

Overview

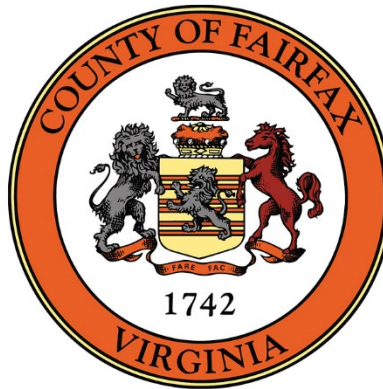


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<https://www.fairfaxcounty.gov/budget/>

The County of Fairfax is committed to a policy of nondiscrimination in all County programs, services and activities and will provide reasonable accommodations upon request. To request special accommodations, call 703-324-2391, TTY 711. Special accommodations/alternative information formats will be provided upon request. Please allow five working days in advance of events in order to make the necessary arrangements.



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*Special thanks to the FOCUS Business Support Group,
the Countywide Data Analytics Group,
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and all other agency staff that assisted in the development of the FY 2027 budget*



GOVERNMENT FINANCE OFFICERS ASSOCIATION

*Distinguished
Budget Presentation
Award*

PRESENTED TO

**County of Fairfax
Virginia**

For the Fiscal Year Beginning

July 01, 2025

Christopher P. Morill

Executive Director

BUDGET CALENDAR

For Development and Adoption of the FY 2027 Budget

2025

July

July 1:
Fiscal Year 2026 begins.

December

December 2:
County Executive and FCPS Superintendent provide FY 2027 budget forecasts at joint meeting of Board of Supervisors and School Board.

2026

January

January 22:
Superintendent releases FCPS FY 2027 Proposed budget.

February

February 10:
School Board holds public hearings on budget.

February 17:
County Executive releases [FY 2027 Advertised Budget Plan](#), FY 2027-FY 2031 Advertised Capital Improvement Program (CIP), and Countywide Strategic Plan Annual Report.

February 24:
Joint County/School Budget Committee to discuss FY 2027 budget and tax rate.

February 26:
School Board adopts FCPS FY 2027 Advertised Budget.

March

March 17:
Board of Supervisors authorizes advertisement of proposed real estate tax rate for FY 2027.

April

April 14-16:
Board of Supervisors holds public hearings on FY 2027 County budget.

April 28:
Board of Supervisors mark-up County Executive's [FY 2027 Advertised Budget Plan](#).

May

May 5:
Board of Supervisors adopts FY 2027 budget and tax rate, including transfer to FCPS.

May 12-13:
School Board holds public hearings on FY 2027 budget.

May 21:
School Board adopts FY 2027 Approved Budget.

July

July 1:
Fiscal Year 2027 begins.



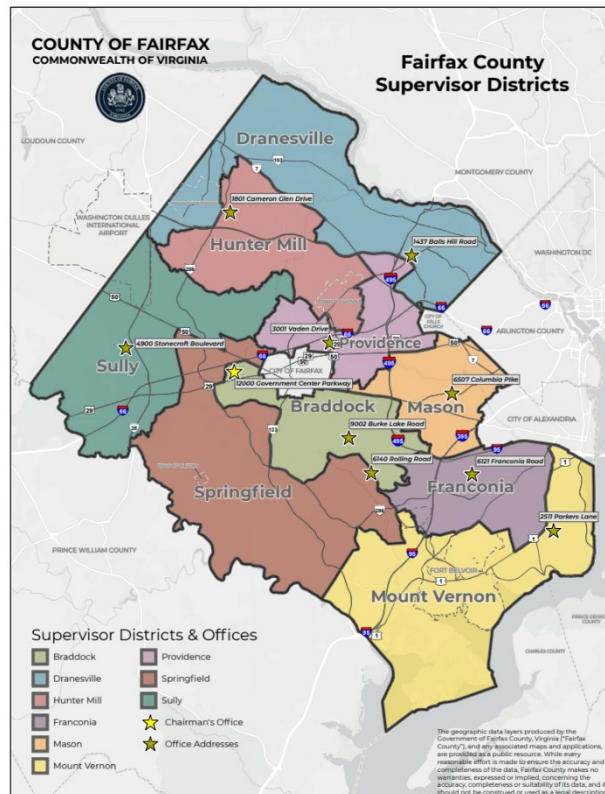
Fairfax County is committed to nondiscrimination on the basis of disability in all County programs, services and activities. Reasonable accommodations will be provided upon request. For information, call the Department of Management and Budget at 703-324-2391, TTY 711 (Virginia Relay Center).

County Organization

Fairfax County Government

In Virginia, cities and counties are distinct units of government and do not overlap. Fairfax County completely surrounds the City of Fairfax and is adjacent to the City of Falls Church and the City of Alexandria. Property within these cities is not subject to taxation by Fairfax County, and the County generally is not required to provide governmental services to their residents. However, pursuant to agreements with these cities, the County does provide certain services to their residents.

In Fairfax County, there are three incorporated towns - Clifton, Herndon, and Vienna - which are overlapping units of government within the County. With certain limitations prescribed by the Code of Virginia, the ordinances and regulations of the County are generally effective in them. Property in these towns is subject to County taxation and the County provides certain services to their residents. These towns may incur general obligation bonded indebtedness without the prior approval of the County.



The Fairfax County government is organized under the Urban County Executive form of government as defined under the Code of Virginia. The governing body of the County is the Board of Supervisors, which makes policies for the administration of the County.

The Board of Supervisors consists of 10 members: the Chairman, elected at-large, and one member from each of nine supervisory districts, elected for four-year terms by the voters of the district in which the member resides.

The Board of Supervisors appoints a County Executive to act as the administrative head of the County. The County Executive serves at the pleasure of the Board of Supervisors, carries out the policies established by the Board of Supervisors, directs business and administrative procedures, and recommends officers and personnel to be appointed by the Board of Supervisors.

The Fairfax County Board of Supervisors

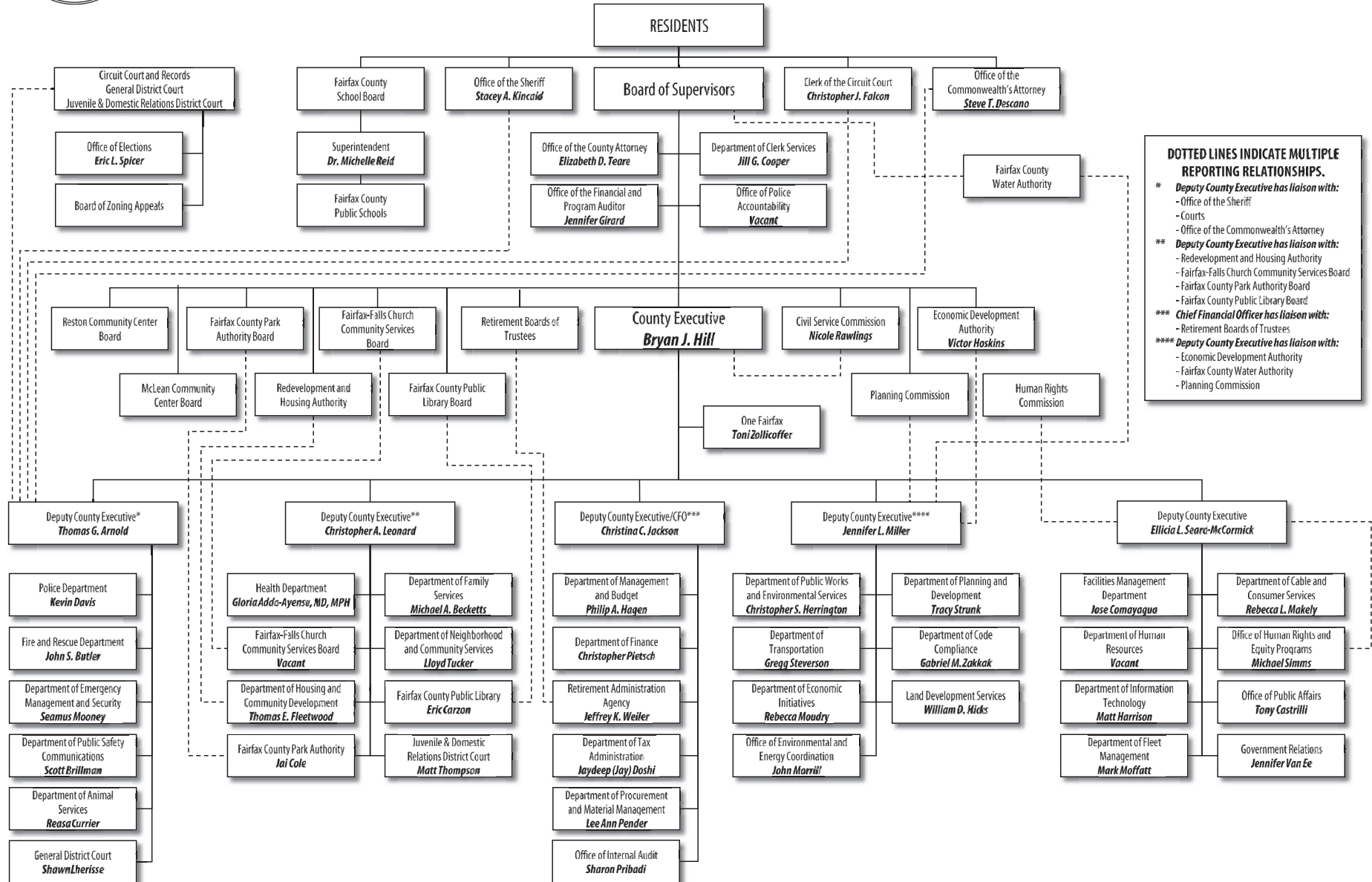


From left to right: Walter L. Alcorn (Hunter Mill District); Pat Herrity (Springfield District); Kathy L. Smith (Sully District); Daniel G. Storck (Mount Vernon District); Jeffrey C. McKay (Chairman, At-Large); Rodney L. Lusk (Franconia District); Dalia A. Palchik (Providence District); James N. Bierman, Jr. (Dranesville District); Rachna Sizemore Heizer (Braddock District); and Andres F. Jimenez (Mason District).

An organizational chart of Fairfax County Government is provided on the next page.



ORGANIZATION OF FAIRFAX COUNTY GOVERNMENT



DOTTED LINES INDICATE MULTIPLE REPORTING RELATIONSHIPS.

- * **Deputy County Executive has liaison with:**
 - Office of the Sheriff
 - Courts
 - Office of the Commonwealth's Attorney
- ** **Deputy County Executive has liaison with:**
 - Redevelopment and Housing Authority
 - Fairfax-Falls Church Community Services Board
 - Fairfax County Park Authority Board
 - Fairfax County Public Library Board
- *** **Chief Financial Officer has liaison with:**
 - Retirement Boards of Trustees
- **** **Deputy County Executive has liaison with:**
 - Economic Development Authority
 - Fairfax County Water Authority
 - Planning Commission

Boards, Authorities and Commissions

Appeal Groups

- Board of Building and Fire Prevention Code Appeals
- Board of Equalization of Real Estate Assessments (BOE)
- Board of Zoning Appeals¹
- Civil Service Commission
- Human Rights Commission
- Police Civilian Review Panel

Management Groups

- Audit Committee (Four Board Members, Two Residents)
- Burgundy Village Community Center Operations Board
- Celebrate Fairfax, Inc. Board of Directors
- Economic Development Authority
- Electoral Board
- Fairfax County Convention & Visitors Corporation Board of Directors
- Fairfax County Employees' Retirement System Board of Trustees
- Fairfax-Falls Church Community Services Board
- Industrial Development Authority
- Library Board
- McLean Community Center Governing Board
- Park Authority
- Police Officers Retirement System Board of Trustees
- Redevelopment and Housing Authority
- Reston Community Center Board
- Uniformed Retirement System Board of Trustees
- Water Authority

Regional Agencies to which Fairfax County Contributes

- Health Systems Agency Board
- Metropolitan Washington Airports Authority (MWAA)
- Metropolitan Washington Council of Governments
- National Association of Counties
- Northern Virginia Community College Board
- Northern Virginia Regional Park Authority
- Northern Virginia Transportation Authority
- Northern Virginia Transportation Commission
- Route 28 Highway Transportation District Advisory Board
- Upper Occoquan Sewage Authority (UOSA)
- Virginia Association of Counties
- Washington Metropolitan Area Transit Authority (WMATA)

¹ The members of this group are appointed by the 19th Judicial Circuit Court of Virginia.

Advisory Groups

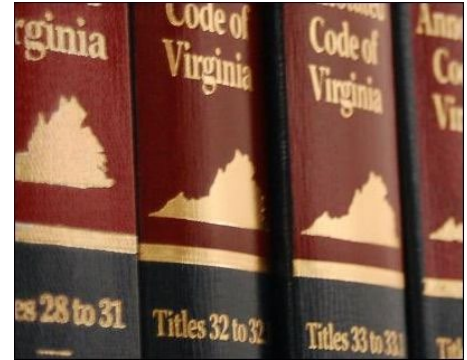
- A. Heath Onthank Award Selection Committee
- Advisory Plans Examiner Board
- Advisory Social Services Board
- Affordable Dwelling Unit Advisory Board
- Affordable Housing Advisory Council (AHAC)
- Agricultural and Forestal Districts Advisory Board
- Alcohol Safety Action Program Local Policy Board
- Animal Services Advisory Commission
- Architectural Review Board
- Athletic Council
- Barbara Varon Volunteer Award Selection Committee
- Cathy Hudgins Community Center Advisory Council
- Chesapeake Bay Preservation Ordinance Exception Review Committee
- Child Care Advisory Council
- Commission for Women
- Commission on Aging
- Community Action Advisory Board (CAAB)
- Community Criminal Justice Board (CCJB)
- Community Policy and Management Team, Fairfax-Falls Church
- Consumer Protection Commission
- Continuum of Care (COC) Committee (Subcommittee of AHAC)
- Council for Economic Opportunity
- Council to End Domestic Violence (CEDV)
- Criminal Justice Advisory Board (CJAB)
- Dulles Rail Transportation Improvement District Advisory Board, Phase I
- Dulles Rail Transportation Improvement District Advisory Board, Phase II
- Engineering Standards Review Committee
- Environmental Quality Advisory Council (EQAC)
- Fairfax Area Disability Services Board
- Fairfax County 250th Commission
- Geotechnical Review Board
- GMU Fairfax Campus Advisory Board
- Health Care Advisory Board
- History Commission
- Human Services Council
- Information Technology Policy Advisory Committee (ITPAC)
- Juvenile & Domestic Relations District Court Citizens Advisory Council
- Mosaic District Community Development Authority
- Planning Commission
- Reston Transportation Service District Advisory Board
- Route 28 Highway Transportation Improvement District Advisory Board
- Small Business Commission, Fairfax County
- Trails, Sidewalks and Bikeways Committee
- Transportation Advisory Commission
- Tree Commission

- Trespass Towing Advisory Board
- Tysons Transportation Service District Advisory Board
- Veterans and Military Families Commission
- Volunteer Fire Commission
- Wetlands Board
- Young Adults Advisory Council (YAA)
- Youth Basketball Council Advisory Board

How to Read the Budget

The Budget

Each year, Fairfax County publishes sets of budget documents or fiscal plans: The Advertised Budget Plan and the Adopted Budget Plan. Submission and publication of the budget is contingent upon criteria established in the Code of Virginia. The County prepares and approves an annual budget in compliance with sound financial practices, generally accepted accounting principles, and the provisions of the Code of Virginia which control the preparation, consideration, adoption, and execution of the County budget. As required by the Code of Virginia (§ 15.2-2503), the County Executive must submit to the Board of County Supervisors a proposed budget, or fiscal plan, on or before April 1 of each year for the fiscal year beginning July 1. A budget is balanced when projected total funds available equal total disbursements, including established reserves. All local governments in the Commonwealth of Virginia must adopt a balanced budget as a requirement of state law by no later than July 1.



The Advertised Budget Plan is the annual budget proposed by the County Executive for County general government operations for the upcoming fiscal year, which runs from July 1 through June 30. The Advertised Budget Plan is based on estimates of projected expenditures for County programs, and it provides the means for paying for these expenditures through estimated revenues. According to the Code of Virginia, the Board of Supervisors must approve a tax rate and adopt a budget for informative and planning purposes no later than the beginning of the fiscal year (July 1). Following extensive review, deliberation, and public hearings to receive input from County residents, the Board of Supervisors formally approves the Adopted Budget Plan typically in late April/early May. This satisfies the requirement that the Board of Supervisors approve a transfer to the Fairfax County School Board by May 15, or within 30 days of receiving state revenue estimates from the state, whichever is later. The transfer amount has traditionally been included in the Board's Adopted Budget, requiring that the Board adopt the budget on or before May 15, not July 1 as the Code allows.

The County's Budget Documents

The Fairfax County Budget Plan (Advertised and Adopted) is presented in several volumes. A brief description of each document is summarized below:

- **The Budget at a Glance** for the Advertised Budget includes a summary of the key facts, figures, and highlights of the budget.
- **The Budget Overview** summarizes the budget, thereby allowing a complete examination of the budget through this document. The Overview contains the County Executive's message to the Board of Supervisors; budget highlights; a summary of the County's fiscal condition, allocation of resources, and financial history; and projections of future revenues and expenditure requirements. Also included is information on the County's taxes and fees; fiscal, demographic, and economic trends; direct spending by County departments; transfers to other public organizations, such as the Fairfax County Public Schools and Metro; and funded construction projects.
- **Volume 1 – General Fund** details the budgets for County departments and agencies funded from general tax revenue such as real estate and personal property taxes. Included are summary budget schedules and tables organized by accounting classification and program area summaries. Detailed budget information is presented by program area and

by department/agency. Also included are organizational charts, strategic issues, and performance indicators for each department/agency.

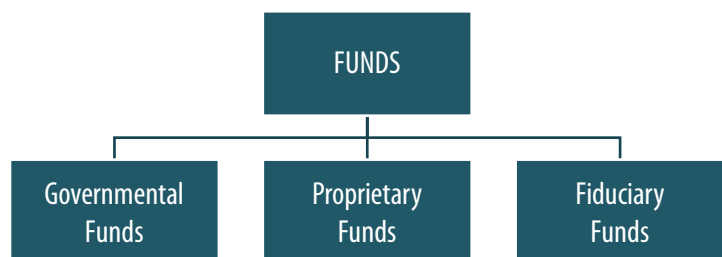
- **Volume 2 – Capital Construction and Other Operating Funds** details budgets for County departments, agencies, construction projects, and programs funded from non-General Fund revenue sources, or from a mix of General Fund and non-General Fund sources, such as federal or state grants, proceeds from the sale of bonds, user fees, and special tax districts. Included are detailed budget schedules and tables organized by accounting classification, as well as budget summaries by fund group. This volume also details information associated with Fairfax County funding for Contributory Agencies.
- **Capital Improvement Program** – The County also prepares and publishes a 5-year Capital Improvement Program (CIP) – separate from the budget – which is also adopted by the Board of Supervisors and published as a separate document. The CIP specifies capital improvements and construction projects which are scheduled for funding over the next five years to maintain or enhance the County’s capital assets and delivery of services. In addition, the CIP describes financing instruments or mechanisms for those projects. Financial resources used to meet priority needs as established by the CIP are accounted for in the Capital Project Funds. The primary type of operating expenditure included in the budget relating to the CIP is funding to cover debt service payments for General Obligation Bonds or other types of debt required to fund specific CIP projects. In addition, the cost of opening and operating new facilities is closely linked to the CIP.

Basis of Accounting and Budgeting

A budget is a formal document that enables the County to plan for the future, measure the performance of County services, and help the public to understand where revenues come from and how they are spent on County services. The budget reflects the estimated costs of operation for the County’s programs, services, and activities. The budget serves many purposes and addresses different needs depending on the “audience”, including County residents, federal and state regulatory authorities, elected officials, other local governments, taxpayers, or County staff.

The budget must comply with the [Code of Virginia](#) and regulatory requirements. Fairfax County is required to undergo an annual financial audit by independent auditors. Thus, the budget outlines the required information to serve legal and financial reporting requirements. The budget is prepared and organized within a defined basis of budgeting and financial structure to meet regulatory and managerial reporting categories of expenditures and revenues.

The Commonwealth of Virginia requires that the County budget be based on fund accounting, which is a system that matches the sources of revenue (such as taxes or service fees) with the uses (program costs) of that revenue. Therefore, the County budgets and accounts for its revenues and expenditures in various funds. Financially, the County budget is composed of three primary fund types:



- **Governmental Funds** (General Fund, Debt Service Fund, Special Revenue Funds, and Capital Project Funds)

- **Proprietary Funds** (Enterprise Funds and Internal Service Funds)
- **Fiduciary Funds** (Trust Funds and Custodial Funds)

Accounting Basis

The County's governmental functions and accounting system are organized and controlled on a fund basis. Each fund is considered a separate accounting entity, with operations accounted for in a separate set of self-balancing accounts that comprise assets, liabilities, fund equity, revenues, and expenditures or expenses as appropriate.

Governmental and agency funds are accounted for on a modified accrual basis of accounting. Revenue is considered available and recorded if it is collectible within the current period or within 45 days thereafter, to be used to pay liabilities of the current period. Expenditures are generally recorded when the related fund liability is incurred, with the exception of certain liabilities recorded in the General Long-Term Obligations Account Group.

Proprietary, pension, and non-expendable trust funds utilize the full accrual basis of accounting which requires that revenues be recognized in the period in which service is given and that expenses be recorded in the period in which the benefit is received. A description of the fund types is provided:

- **General Fund Group:** The largest fund in the General Fund Group, the General Fund, is the County's primary operating fund, and it is used to account for all revenue sources and expenditures which are not required to be accounted for in other funds. Revenues are derived primarily from real estate and personal property taxes as well as other local taxes, federal and state distributions, license and permit fees, charges for services, and interest from investments. A significant portion of General Fund revenues are transferred to other funds to finance the operations of the County's public schools, Community Services Board (CSB), and debt service, among others. The General Fund Group also includes funds which are primarily funded through transfers from the General Fund.
- **Debt Service Funds:** The debt service funds are used to account for the accumulation of resources for, and the payment of, the general obligation bond debt service of the County and for the debt service of the lease revenue bonds and special assessment debt. Included in this fund type is the School Debt Service Fund as the County is responsible for servicing the general obligation debt it has issued on behalf of Fairfax County Public Schools (FCPS).
- **Special Revenue Funds:** These funds are used to account for the proceeds of specific revenue sources (other than expendable trusts or major capital projects) that are legally restricted to expenditures for specified purposes.
- **Capital Project Funds:** These funds are used to account for financial resources to be used for the acquisition or construction of any major capital facilities (other than those financed by Proprietary Funds) and are used to account for financial resources used for all general construction projects other than enterprise fund construction. The Capital Project Funds account for all current construction projects, including improvements to and the construction of schools, roads, and various other projects.
- **Fiduciary Funds:** These funds are used to account for assets held by the County as an agent for individuals, private organizations, other governments, and/or other funds, or in a trustee capacity. Custodial Funds are used to account for monies received, held, and disbursed on behalf of developers, public assistance recipients, the Commonwealth of

Virginia, the recipients of certain bond proceeds, and certain other local governments. Also included in Fiduciary Funds are Trust Funds, which include the funds used to account for the assets held in trust by the County for the employees and beneficiaries of its defined pension plans – the Employees' Retirement System, the Police Officers Retirement System, and the Uniformed Retirement System, as well as assets held to meet the County's Other Post-Employment Benefit obligations.

- **Proprietary Funds:** These funds account for County activities which operate similarly to private sector businesses. Consequently, these funds measure net income, financial position, and changes in financial position. The two primary types of Proprietary Funds are Internal Service Funds and Enterprise Funds. Internal Service Funds are used to account for the provision of general liability, malpractice and workers' compensation insurance, health insurance for County employees and retirees, vehicle services, the County's print shop operations, and technology infrastructure support that are provided to County departments or agencies on an allocated cost recovery basis. The Fairfax County Integrated Sewer System reflects the only set of enterprise funds of the County. These funds are used to account for the financing, construction, and operations of the countywide sewer system.

Budgetary Basis

Annual budgets spanning the fiscal year (July 1 – June 30) are prepared on an accounting basis, with certain exceptions. Please refer to the table in the Financial Structure portion of this section for information regarding the purpose of various types of funds, supporting revenues, and budgeting and accounting bases.

The budget is controlled at certain legal and managerial/administrative levels. The Code of Virginia requires that the County adopt a balanced budget. The adopted Supplemental Appropriation Resolution places legal restrictions on expenditures at the agency or fund level. Managerial budgetary control is maintained and controlled at the fund, department, superior commitment item (Compensation, Benefits, Operating Expenses, etc.), or Funded Program (project) level. It should be noted that funding information included in the budget volumes consolidates superior commitment items into four primary categories: Personnel Services, Operating Expenses, Capital Equipment, and Recovered Costs. Personnel Services include regular pay, fringe benefits (for non-General Fund agencies only), and extra compensation. Operating Expenses are the day-to-day costs involved in the administration of an agency. Capital Equipment reflects items that have a value of more than \$10,000 and an expected life of more than one year, and Recovered Costs are reimbursements from other County agencies for specific services that have been provided.

There are also two built-in provisions for amending the adopted budget – the *Carryover Review* and the *Third Quarter Review*. During the fiscal year, quarterly budget reviews are the primary mechanism for revising appropriations. Once approved, the budget can be amended by a supplemental appropriation resolution. A supplemental appropriation ordinance amends the budget for grant programs to reflect actual revenue received and to make corresponding balancing adjustments to grant program expenditures. A supplemental appropriation ordinance may, therefore, either increase or reduce the County's total budget from the original approved budget appropriation. The budget for any fund, agency, program, grant, or project can be increased or decreased by formal Board of Supervisors action (budget and appropriation resolution). According to the Code of Virginia, any budget amendment which involves a dollar amount exceeding one percent of total expenditures from that which was originally approved may not be enacted without the County first advertising the amendment and without conducting a public hearing. The advertisement must be published at least once in a newspaper with general County circulation at least 7 days prior to the public hearing. It

should be noted that any amendment greater than 1.0 percent of expenditures requires that the Board advertise a synopsis of the proposed changes. After obtaining input from residents at the public hearing, the Board of Supervisors may then amend the budget by formal action.

The *Carryover Review* represents the analysis of balances remaining from the prior year and provision for the appropriation of funds to cover the prior year's legal obligations (encumbered items) in the new fiscal year without loss of continuity in processing payments. Carryover extends the prior year funding for the purchase of specific items previously approved in the budget process, but for which procurement could not be obtained for various reasons. All agencies and funds are reviewed during the *Carryover Review* and adjustments are made to the budget as approved by the Board of Supervisors.

All annual appropriations lapse at the end of the fiscal year. Under the County's budgetary process, outstanding encumbrances are reported as reservations of fund balances and do not constitute expenditures or liabilities since the commitments will be reappropriated and honored in the subsequent fiscal year.

In addition, the County's Department of Management and Budget is authorized to transfer budgeted amounts between superior commitment items, grants, or projects within any agency or fund. The budget process is controlled at the superior commitment item or project level by an appropriations system within the automated financial accounting system. Purchase orders are encumbered prior to release to vendors, and those that exceed superior commitment item level appropriations are not released until additional appropriations are available.

Departments and Program Areas

The County's departments and program areas are easiest to understand if compared to a filing cabinet. Each drawer of the filing cabinet is a separate fund type/fund, such as Special Revenue, and within each drawer or fund there are many file folders which represent County agencies, departments, or funds. County organizations in the General Fund are called agencies or departments, while organizations in the other funds are called funds. For example, the Health Department, which is a General Fund agency, is one agency or folder in the General Fund drawer.

For reporting purposes, all agencies and departments in the General Fund are grouped into "program areas." A program area is a grouping of County agencies or departments with related countywide goals. Under each program area, individual agencies and departments participate in activities to support the program area goals. The Public Safety Program Area, for example, includes the Police Department and the Fire and Rescue Department, among others.

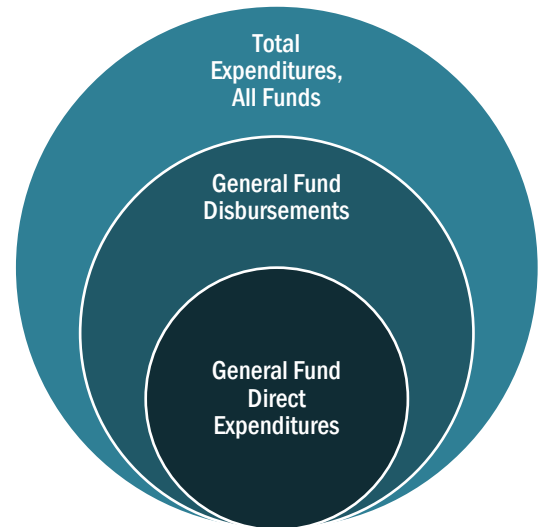
While most of the information in the budget is focused on an agency or fund, there are several summary schedules that combine different sources of information such as General Fund receipts and expenditures, County position schedules, and other summary schedules.

County Expenditures and Revenues

County Expenditures

Expenditures for Fairfax County services and programs can be categorized as three concentric circles. Each circle encompasses the funds inside it:

- In the smallest circle are the General Fund Direct Expenditures that support the day-to-day operations of most County agencies.
- The second largest circle is General Fund Disbursements. This circle includes General Fund Direct Expenditures as well as General Fund transfers to other funds, such as the Fairfax County Public Schools, Metro transportation system, and the County's debt service.
- The largest circle is Total Expenditures. It represents expenditures from all appropriated funds.



County Revenues

The General Fund portion of Total Revenues consists of several major components, the two largest being Real Estate Tax revenues and Personal Property Tax revenues. Please note that a portion of the Personal Property Tax is paid to the County by the state. These funds are included in the aforementioned Personal Property Tax total, rather than in Revenue from the Commonwealth. Local Taxes include Local Sales Tax receipts, Consumer Utility Taxes, and Business Professional and Occupational License Taxes. The remaining revenue categories include Revenue from the Federal Government, Fines and Forfeitures, Revenue from the Use of Money and Property, Revenue from the Commonwealth, Recovered Costs, Charges for Services, and Permits, Fees and Regulatory Licenses. Total Revenues consist of all revenues received by all appropriated funds in the County. Total Revenues include all General Fund revenues, as well as sewer bond revenue, refuse collection and disposal fees, and revenue from the sale of bonds.

Financial Structure

Fund/Fund Type Title	Purpose	Revenue	Budgeting Basis	Accounting Basis
GOVERNMENTAL FUNDS				
General Fund (Volume 1)	Accounts for the cost of general County government.	Primarily from general property taxes, other local taxes, revenue from the use of money and property, license and permit fees, and state shared taxes.	Modified Accrual, donated food not included, only lease payment due in FY included	Modified Accrual
General Fund Group (Volume 2)	Account for the County's Revenue Stabilization Reserve, Economic Opportunity Reserve, awards provided to community organizations through the Consolidated Community Funding Pool, contributions to County organizations through the Contributory Fund, and County Information Technology projects.	General Fund transfers, transfers from other County funds, and interest earnings.	Modified Accrual, donated food not included, only lease payment due in FY included	Modified Accrual
Debt Service Funds (Volume 2)	Account for the accumulation of resources for and the payments of general obligation bond principal, interest, and related expenses.	General Fund transfers and special assessment bond principal and interest from special assessment levies.	Modified Accrual, donated food not included, only lease payment due in FY included	Modified Accrual
Capital Project Funds (Volume 2)	Account for financial resources used for all general County and School construction projects other than Enterprise Fund construction.	General Fund transfers, bond proceeds revenue from the real estate penny, and miscellaneous contributions.	Modified Accrual, donated food not included, only lease payment due in FY included	Modified Accrual
Special Revenue Funds (Volume 2)	Account for the proceeds of specific revenue sources (other than major capital projects) that are legally restricted to expenditures for specified purposes.	A variety of sources including fees for service, General Fund transfers, federal and state grant funding, cable franchise fees, and special assessments.	Modified Accrual, donated food not included, only lease payment due in FY included	Modified Accrual
PROPRIETARY FUNDS				
Internal Service Funds (Volume 2)	Account for the financing of goods or services provided by one department or agency to other departments or agencies of the government and to other government units on a reimbursement basis.	Reimbursement via various inter-governmental payments, including the General Fund, for services and goods provided.	Accrual, depreciation expenses not included	Accrual
Enterprise Funds (Wastewater Management Program) (Volume 2)	Account for operations financed and operated in a manner similar to the private sector. The County utilizes Enterprise Funds for the Wastewater Management Program, which provides construction, maintenance, and operation of the countywide sewer system.	User charges to existing customers for continuing sewer service and availability fees charged to new customers for initial access to the system.	Accrual, depreciation expenses not included	Accrual
FIDUCIARY FUNDS				
Custodial Funds (Volume 2)	Custodial funds are maintained to account for funds received and disbursed by the County for various governmental agencies and other organizations.	Various inter-governmental payments, including the General Fund, and contributions by participants.	Modified Accrual	Modified Accrual
Trust Funds (Volume 2)	Account for assets held by the County in a trustee or agency capacity. Trust funds are usually established by a formal trust agreement.	Various inter-governmental payments, including the General Fund, and contributions by participants.	Accrual	Accrual

Additional Budget Resources

In addition to the availability online of all of the County's published budget volumes, additional budgetary information including quarterly reviews, budget calendars, economic data, and historical files is available on the Department of Management and Budget's website at www.fairfaxcounty.gov/budget/. The department has focused resources on expanding public access to essential information at all stages of the budget formulation process in order to afford residents a better understanding of their County government, the services it offers, and the role they can play.

Transparency Website

The County has a useful transparency website at www.fairfaxcounty.gov/transparency/ which enables the public to view amounts paid to County vendors. Visitors can view budgetary data and actual expenditures by Fund or General Fund agency each month. Fairfax County Public Schools also hosts its own transparency website - <https://www.fcps.edu/about-fcps/performance-and-accountability/transparency> – where data specific to FCPS funds, departments, and schools, can be viewed. Used in collaboration with information already available to residents, such as the County's budget and the Annual Comprehensive Financial Report, the transparency initiative provides residents with an additional tool to learn more about the County's overall finances or focus on specific areas of interest.

Budget Process

The Budget Cycle

The Code of Virginia (Sections 15.2-516 and 2503) requires that the County Executive submit a proposed budget to the Board of County Supervisors no later than April 1 for the upcoming fiscal year. Sections 15.2-2506, 58.1-3007, and 58.1-3321 of the Code of Virginia govern the public notice requirements that guide the County's budget review and public comment period. After receipt of the proposed budget, the first action by the Board of Supervisors (BOS or Board) is to authorize the advertisement of the proposed tax and levy rates. Once the proposed rate is advertised, the BOS can adopt lower tax and levy rates, but cannot, without additional advertisement, adopt higher rates. The timing of the advertisement is tied to the amount of increased revenue anticipated by the proposed rate. The Code of Virginia also requires the BOS to hold public hearings on the proposed budget and the proposed tax and levy rates to collect public comment. Once the budget has been adopted by the Board of Supervisors, it becomes a work plan of objectives to be accomplished during the next fiscal year.

The County's budget has two major elements: the operating budget and the capital budget. The operating budget includes all projected expenditures not included in the capital budget, including the operating transfer to Fairfax County Public Schools (FCPS). The operating budget funds the service delivery of County programs. Excluding the General Fund Transfer to FCPS, the largest expenditure category is employee compensation.

Fairfax County follows a series of policies, including its Ten Principles of Sound Financial Management, (see the *Long-Term Financial Policies and Tools* section in this volume) and approved practices to guide the development of the annual budget. For example, these policies govern practices for the following:

- Capital Improvement Program
- Cash Management
- Debt Management
- Fund Balances
- Procurement
- Property Tax Collection
- Real Property Assessments
- Replacement Schedules
- Reserves
- Revenues
- Risk Management

By adhering to these policies and practices, the County promotes and ensures a consistent approach to budgeting that allows the Board of Supervisors and the community to compare the proposed budget to previous budgets.

The budget has several major purposes. It converts the County's long-range plans and policies into services and programs; serves as a vehicle to communicate these plans to the public; details the costs of County services and programs; and outlines the revenues (taxes and fees) that support the County's services, including the rate of taxation for the coming fiscal year.

The annual Fairfax County budget process is an ongoing cyclical process simultaneously looking at two fiscal years (current and future). The budget year officially starts on July 1; however, the budget process itself is a continuum which involves both the current year budget and the next fiscal year's budget. Changes to the current year budget are made at the *Carryover Review* and the *Third Quarter Review*. These changes must be approved by the Board of Supervisors. The *Carryover Review* closes out the previous year in addition to revising the expenditure level for the current year. During

the fiscal year, quarterly reviews of revenue and expenditures are undertaken by the Department of Management and Budget, and any necessary adjustments are made to the budget. On the basis of these reviews, the Board of Supervisors revises appropriations. Public hearings are held prior to Board action when potential appropriation increases are greater than 1.0 percent of expenditures.

Resident involvement and understanding of the budget are a key part of the review process. The County Executive presented the FY 2027 Advertised Budget Plan (including the FY 2027 – FY 2028 Multi-Year Budget) on February 17, 2026. Public hearings for the County Executive's FY 2027 Advertised Budget Plan and the FY 2027 – FY 2031 Advertised Capital Improvement Program (CIP) will be held on April 14, 15 and 16, 2026 at the Government Center. The mark-up of the FY 2027 budget will take place on Tuesday, April 28, 2026, and the Board of Supervisors will adopt the FY 2027 Adopted Budget Plan on Tuesday, May 5, 2026.

The chart below illustrates the roles, responsibilities, and tasks in which both County staff and the Board of Supervisors engage in during a typical fiscal year. These efforts include budget adjustments for the current fiscal year, budget development for the next fiscal year, and budgetary projections for the following fiscal year.

Current Fiscal Year		Future Fiscal Year	
	July		
	Aug	Agencies prepare annual budget requests	
Board approves Carryover Review	Sept	Agencies submit annual budgets to the Department of Management and Budget (DMB)	
	Oct	DMB reviews agency budget requests	
	Nov		
	Dec	County Executive reviews DMB recommendations	
	Jan		
DMB prepares and County Executive submits Third Quarter Review	Feb	County Executive submits Advertised Budget Plan (including Multi-Year Budget) to Board	
	Mar		
Board approves Third Quarter Review	Apr	Public Hearings on Advertised Budget	
	May	Board approves Tax Rates and Adopted Budget Plan	
	June		
DMB prepares and County Executive submits Carryover Review	July		

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County Executive's Message



FY 2027

Advertised Budget Plan

County Executive Message

February 17, 2026

Honorable Board of Supervisors
County of Fairfax

Chairman and Board Members:

I present the FY 2027 Advertised Budget Plan with a sense of pride, a renewed optimism, and a clear recognition that significant fiscal challenges remain. Over several years of constrained budgets, the County has consistently prioritized its workforce in acknowledgment of the essential services our employees provide to residents each day. At the same time, we have made difficult decisions, including implementing millions of dollars in reductions, to help offset rising costs and limit pressure on taxpayers. Throughout this period, the County has also demonstrated a strong and sustained commitment to public education. Over the past three years, the County's total transfer to Fairfax County Public Schools (FCPS) has increased by an average of nearly 6 percent annually. More importantly, these investments have been made while remaining disciplined and consistent with the County's long-standing fiscal policies. Looking ahead, I am encouraged by the potential for additional state support. I am hopeful that our state legislators, working with the new Governor, will come together to provide increased funding for both our schools and our significant transportation needs. I am also cautiously optimistic about signs of improvement in our commercial real estate market. Following pandemic-related disruptions, inflationary pressures, and higher interest rates, recent trends suggest the market may be stabilizing. A strong business environment supports broader economic growth and helps reduce reliance on residential taxpayers, and I am hopeful these positive indicators will continue. That said, fiscal pressures persist. The County continues to face a competitive labor market, cost increases stemming from recent federal legislation, and growing demands associated with aging facilities and the need for a resilient, modern information technology infrastructure.

Two months ago, we presented a joint fiscal forecast to the Board of Supervisors and the School Board. At that time, preliminary real estate projections indicated overall revenue growth of 3.0 percent, driven by appreciation in residential property values and partially offset by anticipated declines in commercial values. Approximately one-third of the projected increase reflected the full-year impact of the Food and Beverage Tax approved last year.

The FY 2027 Advertised Budget Plan is balanced at the current Real Estate Tax rate of \$1.1225 per \$100 of assessed value and includes increased support for Fairfax County Public Schools, funding of the County's collective bargaining agreements, and targeted County reductions of \$32.9 million. A balance of \$23.2 million remains for the Board's consideration.

Since then, revenue projections have improved, largely due to positive movement in both residential and non-residential property values. In addition, under the Governor's proposed budget, FCPS is expected to benefit from increased state aid and reduced retirement contribution requirements. Taken together, **I believe that both the County and Schools' core spending requirements can be addressed at the existing Real Estate Tax rate.** This does not mean that difficult choices

were avoided. The Advertised Budget does not fully fund the Schools' requested operating transfer, which I will discuss later in this message. It also excludes new initiatives and program expansions, except in limited cases aligned with Board priorities. County spending increases are focused primarily on employee compensation (including our collective bargaining agreements), debt service, contractual rate adjustments, and the operating costs of new facilities. Consistent with the fiscal forecast, the budget also incorporates \$32.9 million in targeted County reductions, bringing total reductions over the past four years to just under \$125 million.

Many of these reductions have enabled critical investments in capital renewal and information technology. **Ensuring the appropriate maintenance of the County's infrastructure is one of the most important fiscal challenges we face.** The number of County facilities rapidly expanded decades ago, and we are now seeing many of those buildings – even those that have undergone renovations – in dire need of significant repairs. Modern building systems are increasingly complex and have shorter life cycles, leading to higher maintenance demands. Similarly, our IT infrastructure requires continual reinvestment to meet resident expectations for secure, efficient, and modern services. Following the Great Recession, baseline funding for capital renewal and IT was largely eliminated, forcing reliance on one-time funding at quarterly reviews. While this approach has allowed the County to manage for many years, it is not sustainable. The FY 2027 proposal begins rebuilding baseline funding for these essential needs. In addition, I am recommending adjustments to the County's bond program, including scope reductions and deferrals of select renovation and construction projects. These changes are intended to focus resources on maintaining existing facilities while managing future debt service growth. Additional details on the [FY 2027–FY 2031 Capital Improvement Program](#) (CIP) are provided later in this message.

The Advertised Budget includes a \$23.2 million balance for the Board's consideration. These funds could be used to provide tax relief, reduce the gap between the Superintendent's request and the proposed school transfer, or restore County reductions. They could also be used to increase the County's commitment to affordable housing or invest in recommendations anticipated as a result of the ongoing work of the Housing Task Force. Given ongoing uncertainty at the federal level, the Board may also wish to consider augmenting the Reserve for Economic Uncertainty, which currently holds \$23.5 million in one-time dollars and \$2.5 million in recurring funds.



In FY 2027, General Fund revenues and transfers in are projected to increase by 3.6 percent over current-year estimates, generating an additional \$270.65 million to support County and School requirements. Approximately half of this growth reflects higher Real Estate assessments, with the tax base expected to increase by 3.77 percent. Residential value growth moderated, with equalization rising 3.99 percent, down from more than 6 percent last year. Increases were observed across all housing types, ranging from 2.9 percent for condominiums to 4.3 percent for single-family homes. At the current tax rate, the average homeowner would see an increase of approximately \$357.

For the first time in three years, non-residential equalization is projected to be positive, increasing by 0.92 percent and contributing to an overall non-residential tax base increase of 1.84 percent. Office elevator properties – nearly one-quarter of the non-residential base – declined for the sixth consecutive year; however, the 3.24 percent decrease represents a marked improvement from recent years. In another encouraging sign, the County's direct office vacancy rate declined for the first time since 2019, reflecting demolition and adaptive reuse of outdated space, along with reduced speculative construction. More than 900,000 square feet of office space was demolished in 2025, compared to just 320,000 square feet currently under construction and expected to be fully occupied upon completion. As we continue to right-size our office market inventory, we are hopeful that we have turned a corner and a stronger commercial real estate market is beginning to emerge.

One-quarter of the revenue increase – just under \$68 million – is due to the full-year impact of the Food and Beverage Tax, which went into effect January 1. I commend the outstanding work of our Department of Tax Administration (DTA) and Office of Public Affairs staff in their outreach efforts to communicate, educate, and respond to the restaurant community in the months leading up to the effective date. In the coming days, businesses will be remitting their first payments through the new portal developed in collaboration between DTA and the Department of Information Technology. Over

the coming months, we will analyze these receipts to determine whether adjustments to our FY 2027 projections are warranted.

Based on the Board's direction to examine fees for potential adjustments on a more regular basis, several proposed fee increases are included in this budget. As was discussed at last week's Land Use Policy Committee, we have included a 5.0 percent increase to most zoning and Fire Marshal fees for FY 2027 based on cost increases and cost recovery targets. EMS Transport Fees, which were last increased in FY 2024, are also proposed to be adjusted based on cost increases and to bring our rates in alignment with surrounding jurisdictions. Other administrative fees are also proposed for adjustment, including for Adult Day Health Care Centers and the Employee Child Care Center. In collaboration with FCPS, we have also included a placeholder of \$1.1 million in revenue associated with planned fees for the Middle School After School program. FCPS will implement a pilot program for the upcoming school year, which will include the introduction of a fee schedule, and remit all revenue to the County. In FY 2028, once baseline revenues are established, FCPS will begin collecting the revenue directly and we will reduce our transfer to FCPS accordingly. In total, just over \$4 million in additional revenue is expected to be generated from these fee increases.

We are also proposing increases in the Athletic Service Fees, which were last adjusted in FY 2025. The additional revenue from these adjustments, anticipated to generate \$0.82 million, will be utilized to boost resources for athletic field maintenance, turf field replacement and custodial support for FCPS gymnasium use by community sports organizations, while also reducing General Fund support for the program.

In addition to fee adjustments affecting the General Fund, several rate changes for our enterprise and self-supporting funds are proposed. Consistent with the five-year rate plan approved by the Board as part of the FY 2026 budget, Sewer Service charges are proposed to increase by 5.9 percent in FY 2027. This increase is in line with surrounding jurisdictions and will help to offset increased costs associated with capital project construction, system operation and maintenance, debt service, and reinvestment in partner jurisdiction conveyance and treatment facilities. Following the 20-Year Solid Waste Management Plan, and in alignment with the County's goal to divert 90 percent of all waste from landfill and incineration by 2040, staff examined solid waste fees to determine if adjustments were necessary. No rate adjustments are proposed for the 25,000 properties in our leaf collection districts. For the more than 45,000 households receiving refuse collection through the County's approved sanitary districts, rates are proposed to increase from \$610 to \$630 per home, reflecting rising costs. Based on a projected shortfall, refuse disposal fees are proposed to increase by 9 percent, with similar adjustments anticipated for future years to ensure financial stability. Lastly, consistent with the zoning and Fire Marshal fees mentioned above, a 5 percent increase is proposed for most Land Development Services fees, including building and site fees, while the Technology Surcharge fee remains unchanged. These adjustments will allow for continued improvements in customer service, enhancement of the PLUS system, and the maintenance of cost recovery.



Funding our schools remains the County's highest budget priority. Over the past five years, County transfers to FCPS have increased by just under \$580 million, primarily to support increased teacher pay and address changes in enrollment demographics. Over this same timeframe, state support increased by approximately \$250 million, as the state continues to provide only about 20 cents for each dollar increase in teacher pay. Since the 2023 release of the Joint Legislative Audit and Review Commission (JLARC) study, which showed significant state underfunding of its public schools, the Board of Supervisors and School Board have jointly advocated for additional resources for education. The budget proposed by Governor Youngkin in December did not include new funding to address issues identified in the JLARC study. However, as a result of rebenchmarking for the new biennium,

a calculated decrease in the Local Composite Index, and the state's share of a 2 percent compensation increase, as well as expenditure savings due to a decrease in the employer contribution rate for the Virginia Retirement System (VRS), **the FCPS budget is anticipated to benefit from approximately \$106 million in adjustments included in the former Governor's proposed budget.** The additional budgetary flexibility created by this funding helps to alleviate the pressure on the County's General Fund and County taxpayers. It should be noted, however, that this funding simply reflects Virginia's existing school funding policy. For example, the funding included for compensation in the former Governor's budget equates to only a 0.4 percent pay increase for Fairfax teachers. I remain hopeful that by continuing to work with our state representatives and the new administration, additional state funding can be identified.

Our Advertised Budget includes an increase in the School Operating transfer of \$99.2 million, of which \$4.6 million is associated with the proposed transfer of the Values in Prevention program, the Middle School After School program, and transition services provided to high school seniors with Individualized Education Plans who are transitioning out of FCPS and into adulthood. In keeping with the 2021 recommendations stemming from the Joint County/Schools CIP Committee and recognizing the significant facility maintenance needs facing FCPS, we are also proposing increasing the transfer to the School Construction Fund by \$7.5 million. FCPS can utilize these dollars to increase their dedicated funding to building maintenance or to help offset the use of operating funds for this purpose. When combined with the \$11.4 million increase proposed for School debt service, associated with last month's \$230 million bond sale for FCPS, the Advertised Budget includes \$118.1 million in additional funding, an increase of just over 4 percent from last year.

Although the proposed transfers fall short of the Superintendent's request, I believe our proposal recognizes the budgetary needs of our school system while balancing them against those of the County, and the financial impact on our residents. In total, the additional state revenues and VRS rate reduction, combined with the County's proposed transfers, result in approximately \$224 million in funding flexibility for FCPS. In contrast, County disbursements are expected to increase by just under \$134 million. To fully fund the Schools' request, an additional \$36 to \$44 million would need to be identified (depending on how the \$7.5 million proposed for School construction is used). Barring additional revenue, the \$23.2 million balance left for the Board's consideration in the Advertised Budget, along with additional County reductions ranging from \$13.2 to \$20.7 million, would be required to close the funding gap.

The FY 2027 Advertised Budget Plan includes funding for recently negotiated Collective Bargaining agreements as well performance, merit, and longevity increases for non-represented employees. A 2.0% cost of living adjustment is included for all employees.

More than three-quarters of the proposed increase in County disbursements is allocated to employee pay and benefits. This includes funding for the first year of our collective bargaining agreement for our General Government bargaining unit, as well as the third and final year of agreements for our police officers, firefighters and public safety communicators. This proposal also funds performance, merit, and longevity increases for our non-

represented employees and a 2.0 percent cost of living adjustment (COLA), which is consistent with the COLA included in all three collective bargaining agreements. County benefit increases are largely attributable to increased health insurance premiums resulting from rising prescription drug costs, with a smaller driver being higher employer contribution rates for the Uniformed and Police Officer retirement systems. Although all three retirement systems achieved investment returns in FY 2025 exceeding the target rate of return, liability losses more than offset asset gains for the two public safety systems. Benefit increases were partially offset by savings in our retiree health benefits, otherwise known as OPEB (Other Post-Employment Benefits). As a result of transitioning our Medicare retiree prescription drug coverage from a self-insured to a fully-insured model, our OPEB plan has experienced a significant drop in liabilities. Consequently, our OPEB plan is now fully-

funded, and our contribution can be reduced to the normal cost – the level of benefits accrued by active employees during the current year.

Remaining funding adjustments in the budget relate primarily to required debt service payments and contract rate or inflationary impacts. After these two categories, all remaining funding adjustments net to less than \$7 million. This is possible due to the almost \$33 million in reductions I noted earlier.

Following last year's budget, where we ultimately cut agency budgets by over \$50 million, we knew this year's reduction exercise would be especially challenging. The flexibility in agency budgets has been eliminated. Positions that have been vacant for extended periods have also been taken. We established a 5 percent reduction target for General Fund-supported agencies, projecting that all submitted reductions would need to be taken to balance what we expected would be a very difficult budget. Based on more favorable revenue projections, particularly for Real Estate, and the additional state support for FCPS, however, we were able to moderate this stance. Compared to the 5 percent target, reductions included in this proposal total 1.9 percent. In addition to the \$32.9 million in reductions, 107 merit positions are proposed for elimination. When we began this exercise, agencies were directed to maintain vacancies, where possible, for common position classes or for positions they anticipated would be proposed for reduction. With the goal of being able to place as many impacted employees as possible, I will be declaring a Reduction-in-Force (RIF) for the second straight year. Employees affected by proposed reductions will be notified immediately, and our Department of Human Resources will work with agencies to identify opportunities for placements.

A full list of reductions proposed as part of this budget is included in the *Agency Reductions* section in the Overview Volume. They span a wide range, from the downgrade of positions to the elimination of programs. In most cases, programs have been targeted for reduction or elimination because of utilization trends or the availability of more cost-effective options. Included in these proposals is the elimination of the County's contribution to Celebrate Fairfax. Consistent with the presentation to the Board of Supervisors in November 2025, revenue from the recent increase in the Transient Occupancy Tax will be provided to Visit Fairfax, which will integrate the activities of Celebrate Fairfax to support event management and promotion.

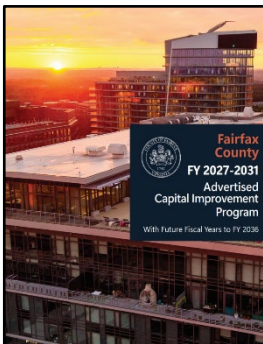
As noted earlier, proposed reductions have been used in part to enable targeted investments in capital renewal and information technology, helping to establish adequate baseline funding. These investments strengthen IT infrastructure, support ongoing costs for newly implemented systems, and provide limited funding for future IT initiatives. In addition, the budget increases funding for capital renewal projects and adds staffing resources to enhance maintenance efforts within the Fairfax County Park Authority, as well as establish a dedicated unit within the Facilities Management Department to address the specialized needs of the County's residential facilities.

I have also included additional funding to support our most vulnerable residents and our nonprofits that deliver services to them. This includes a 5 percent increase in funding for the Consolidated Community Funding Pool (CCFP), as next year will mark the first of a new two-year cycle. We have also included an additional \$5.5 million to continue supporting emergency housing and emergency food assistance due to sustained, unprecedented demand following the exhaustion of federal COVID-19 stimulus funds. The pandemic caused ongoing financial hardship for many households struggling to afford rent, utilities, and food, making continued assistance necessary. In addition, emergency housing and food assistance funding is being transferred from the CCFP to the Department of Neighborhood and Community Services to consolidate these programs, easing administrative burdens for both nonprofit partners and the County. These investments, as well as additional resources for the County's affordable housing initiatives and for the implementation of the Park Authority's new recreation system and sliding fee scale, are in direct support of our One Fairfax initiative to improve equity and reduce disparities across the County.

As directed by the Board, and in furtherance of the County's commitment to achieving zero waste by 2030, I have included funding and positions to support enhanced trash and recycling operations in the remaining four maintenance areas in our Parks system, completing the initiative begun in FY 2025.

The proposed budget also includes funding and positions to support staffing and operational needs for new and expanded County facilities coming online in FY 2027. This includes The Commons Mount Vernon, which is anticipated to open in mid-to-late FY 2027. Partial-year funding has been included for the community center, early childhood program, and building operations. In FY 2028, full-year funding will be required, along with funding and positions for the renovated theater and the re-engagement center. With the upcoming opening of a new FCPS high school, we have also included a new Licensed Practical Nurse in our school health program. We have also included additional support in the Facilities Management Department and the Park Authority budgets for the maintenance of new facilities and properties. This includes dedicated maintenance staff for The Commons Mount Vernon, recognizing the size and complexity of maintaining this historic structure.

Just as important as what is funded as part of this proposal is what is not included. We have not included additional General Fund resources for Metro or Connector, instead relying primarily on existing state aid balances. Barring action taken by the General Assembly to provide additional transportation funding or to provide additional mechanisms to raise revenue, the County will likely be facing a significant increase in FY 2028. Additionally, although we have added positions to support the development of affordable housing, we have not proposed directing additional Real Estate Tax revenue for affordable housing, with 1.25 cents currently dedicated toward the Board's two-penny goal. Although the Board has some flexibility to increase this funding by using a portion of the available balance, it is unlikely that the two-penny goal will be reached as part of this budget, as originally targeted. Work is underway to facilitate regulatory changes to reduce impediments and speed up the delivery of affordable residential developments. However, absent new funding, the Board's goal of reaching 10,000 new affordable housing units by 2034 will become increasingly difficult to achieve.



Our **FY 2027-FY 2031 Advertised Capital Improvement Program** is also available today.

As the Board will recall, in FY 2023 we made considerable adjustments to our General Obligation (GO) bond program, deliberately slowing the pace of new capital projects based on pandemic-related delays and inflationary impacts, which created a backlog of outstanding bonds. In subsequent years, we made additional changes in response to shifting priorities, updated spending patterns, and increased complexities as many planned facilities were incorporated into broader projects and required alternative financing. These changes, coupled with the recent increase in our annual bond sale limits, have helped to ease the immediate pressures on our bond program.

However, additional changes are necessary to ensure that our broader capital program strikes the appropriate balance between new construction, renovation projects, and maintenance. Seventy-five percent of the County's 214 facilities are at least 20 years old, and, increasingly, we are seeing our facilities show their true age. As the Board is aware, we recently experienced a failure of the central heating system at the Historic Courthouse and a severe plumbing issue at the Pennino Building, causing significant disruption to our employees and services and resulting in immediate closure of the buildings. On an almost daily basis, our Facilities Management Department responds to HVAC, plumbing, electrical, elevator, and other building system issues. Although our staff do a tremendous

job in addressing these problems as quickly as possible, these frequent system failures underscore the urgency of proactive investment to minimize costly and inefficient emergency repairs.

As part of the development of this year's CIP, we conducted a more comprehensive review of facilities requiring frequent and significant maintenance, aligning them with our current capital renewal and bond referenda plans. This review produced three clear takeaways. First, as I stressed earlier in this message, we must increase investment in facility maintenance by restoring funding to our baseline budget and continuing to supplement it through quarterly reviews. We have begun addressing this need by proposing an additional \$7.5 million for capital renewal for both the County and Schools in the proposed budget. This funding, along with debt service on our recently increased GO bond sales, fulfills the last of the October 2021 recommendations from the Joint County/Schools CIP Committee by committing additional funding of at least the equivalent of one penny on the Real Estate Tax rate to the capital program. Second, we must continue to evaluate our overall bond program and refocus limited resources on facilities with the most urgent needs. This includes scaling back the scope of renovations to focus on critical systems, limiting the use of temporary facilities except when essential, and deferring the construction of new facilities where possible. And, third, as we increasingly rely on alternative financing mechanisms, such as Economic Development Authority (EDA) bonds, to deliver large and complex facilities, we must be realistic about debt service affordability. We cannot sustain both a fully-programmed GO bond program and significant EDA-financed projects, particularly as construction costs continue to rise.

These takeaways are reflected in the changes we are proposing to our upcoming bond referenda. The currently approved 2026 referendum plan includes projects for Libraries, Health and Human Services, and Parks. While no modifications are recommended for the 2026 Parks referendum, I am proposing targeted adjustments to the other two categories.

Within the Libraries program, the existing plan includes projects at Herndon Fortnightly and Kings Park Community libraries, with Centreville and Chantilly Regional libraries scheduled for 2032. However, Centreville and Chantilly are among our most maintenance-intensive facilities and are also part of potential redevelopment initiatives that may incorporate affordable housing components. As a result, it is no longer advisable to keep these projects within the GO bond program, and they have been shifted to future EDA bond financing. Given the anticipated scale of these redevelopment efforts, we are unable to simultaneously accommodate renovations at Herndon Fortnightly and Kings Park within the five-year CIP horizon. Accordingly, I am recommending that these library renovations be moved to the 2032 referendum. Under this revised approach, we will continue to advance the modernization of our library facilities; these changes simply reflect a reprioritization of projects and rely on a different financing mechanism.

For Human Services, the Springfield Community Resource Center – originally included in the 2024 referendum and deferred to 2026 as part of the FY 2023 CIP – is proposed for deferral once again, this time to the 2032 Human Services referendum. This recommendation is informed, in part, by the significant investment we have already made in our existing leased space. I recognize that this delay may be disappointing to many in the community, and this decision was not made lightly. However, I believe it is necessary to concentrate our limited resources on critical renovations at existing facilities. In addition, I am recommending the removal of the \$25 million placeholder for early childhood facilities. In the absence of specific plans for the use of these funds, it would not be prudent to include this item in the upcoming bond question. We continue to make progress in incorporating childcare facilities into other capital projects by prioritizing colocation opportunities. As a result, I do not believe this adjustment will impede our ability to expand our early childhood facility inventory.

The 2030 Public Safety referendum retains the same fire and police station projects; however, the scope has been reduced to focus solely on major building systems, allowing for meaningful cost

containment. For non-GO projects, we are proposing to defer both Building One and the Historic Courthouse at the Judicial Center Annex by two years, to FY 2029 and FY 2031, respectively. With planned EDA bond sales for Penn Daw, Mount Vernon, Reston Town Center North, and The Commons Mount Vernon expected in the near term, it is necessary to stagger project timelines to better manage debt service escalation. We will continue to closely monitor these projects and adjust our plans as conditions warrant. For example, the failure of the Historic Courthouse heating system occurred after the proposed FY 2027 CIP was finalized. Should it become necessary to advance this project in the schedule, we will bring forward updated recommendations.



For the remainder of FY 2026 and looking ahead to FY 2027, we will continue to monitor revenues, particularly as we begin to collect Food and Beverage Tax receipts and refine our projections. We will also closely track the progression of the state's budget and other legislation, as some of the proposed bills have the potential to significantly impact future County budgets, both positively and negatively.

Looking ahead to FY 2028, there is growing concern as the residential real estate market has recently shown indications of slowing. On the commercial side, we are cautiously optimistic that office vacancy rates will continue to decline and commercial property values will strengthen. A healthy commercial sector will be essential as we prepare for mounting budgetary pressures. The FY 2028 budget will reflect the first year of new collective bargaining agreements with our two public safety bargaining units, with negotiations scheduled to begin in the coming months. In addition, the budget will incorporate the impacts of the recent five-year experience study for our retirement systems, which, based on preliminary findings, is expected to result in substantial increases in employer contribution rates across all systems. On the capital side, debt service costs are projected to rise at a higher-than-normal rate, driven primarily by two potential EDA bond sales associated with the Penn Daw complex and Reston Town Center North. When combined with anticipated baseline cost growth related to contracts, leases, fuel, and FCPS requirements, as well as the potential transportation pressures I mentioned earlier, FY 2028 fiscal challenges are likely to be significant. While we will continue to pursue operational efficiencies and identify savings wherever possible, I do not believe a broad, across-the-board reduction exercise would yield meaningful results. If budget reductions are required to achieve balance next year, our approach will instead focus on targeted adjustments, which will include program eliminations or facility closures.

Developing a budget of this magnitude requires extraordinary effort from employees across our organization, and I appreciate their diligence and hard work. Staff in the Department of Management and Budget deserve particular recognition for the thorough and detailed volumes they produce each year, their comprehensive responses to budget questions, and their substantial efforts to assist Board members in engaging and educating our residents.

I look forward to working with you as we finalize yet another budget.

Respectfully submitted,

A handwritten signature in blue ink, appearing to read "Bryan J. Hill".

Bryan J. Hill
County Executive

Advertised Budget Summary



FY 2027

Advertised Budget Plan

Advertised Budget Summary

Economic Overview

Nationally

The U.S. economy expanded at an annual rate of 3.8 percent in the second quarter and 4.4 percent in the third quarter of 2025. While economic growth was robust, the labor market decelerated significantly. Payroll employment rose by a total of just 181,000 jobs in 2025 (an average monthly gain of 15,000), substantially lower than the increase of 2.0 million in 2024 (an average monthly gain of 168,000). Since reaching a peak in October 2024, federal government employment was down by 327,000, or 10.9 percent, in January 2026. The unemployment rate stands at 4.3 percent as of January 2026, up from 4.0 percent in January 2025.

While inflation has eased significantly from its highs in mid-2022, it remains somewhat elevated relative to the Federal Reserve's longer-run goal of 2 percent. In December 2025, the year-over-year increase in the Consumer Price Index (CPI) was 2.7 percent, down from the December 2024 rate of 2.9 percent. For 2026, most economists anticipate subdued economic growth due to ongoing policy factors under the Trump administration, including elevated trade tariffs that have contributed to upward pressure on certain prices and stricter immigration measures that have reduced net inflows and weighed on labor supply.

Acknowledging the progress toward price stability despite persistent tariff-related effects, the Federal Reserve implemented three rate reductions in the latter half of 2025 (September, October, and December), lowering the target range to 3.5 to 3.75 percent. In January 2026, the Fed held its benchmark rate steady, adopting a cautious, data-dependent stance. Fed Chairman Jerome Powell described the economy as coming into 2026 "on a firm footing," highlighting solid expansion in economic activity, resilient consumer spending, and continued business investment, despite the federal government shutdown in the last quarter of 2025, which likely weighed on economic growth.

The housing market in 2025 showed signs of normalization compared to prior years, with inventory increasing notably and home price growth slowing significantly amid persistent affordability challenges. Mortgage rates averaged around 6.6 percent for 30-year fixed loans throughout much of the year, gradually easing toward the end (closing around 6.2 percent in late 2025), though they remained elevated and continued to limit buyer demand. The Case-Shiller 20-City Composite Home Price Index, a widely followed measure of U.S. home prices, posted a year-over-year increase of 1.4 percent in November 2025. The housing market going into 2026 appears set for even slower home value growth, with continued upticks in inventory and modest improvements in sales activity.

Fairfax County

In 2025, federal policy changes created significant uncertainty for the local economy, which is heavily reliant on federal employment and federal procurement spending. Between December 2024 and December 2025, the number of total nonfarm jobs in Northern Virginia declined by almost 15,000, or 0.9 percent. The decline was primarily due to a reduction of 13,300 federal government jobs, reflecting a 13.9 percent drop. The last time that the region had fewer federal employees was in 2008. Jobs in the Professional and Business Services sector declined 2.1 percent in the same period.

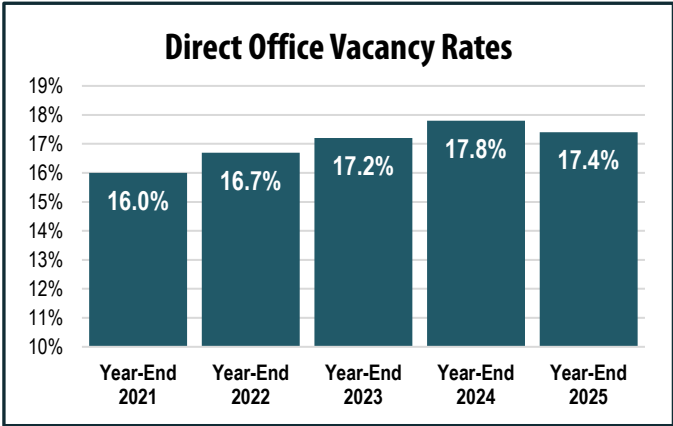
In Fairfax County, the unemployment rate averaged 3.4 percent in 2025, up from 2.5 percent in 2024. As of December 2025, it stands at 3.3 percent. Based on preliminary estimates from IHS Markit, the County's Gross County Product (GCP), adjusted for inflation, increased at a rate of just 0.8 percent in 2025, which is lower than the 3.1 percent growth rate experienced in 2024. According to IHS Markit, the County's economy is expected to experience slow growth in 2026, increasing 0.7 percent.

Given the unpredictable nature of the current presidential administration, there is ongoing uncertainty surrounding federal actions and their impact on the local economy. The administration has actively reshaped the federal government, including substantial reductions to its workforce throughout 2025. The losses in federal employment locally have been more severe than those recorded nationally. As

the home to many federal workers and even more workers connected to businesses that contract with the federal government, these impacts will flow through the region’s economy over the coming years. The FY 2027 revenue assumptions are cautious, and staff will closely monitor any future developments including total employment, federal procurement spending, and the housing market.

Based on information from Bright MLS, the average sales price of homes sold in Fairfax County rose 3.0 percent from \$858,057 in 2024 to \$883,520 in 2025. Since bottoming out in 2009, the average home sales price has risen 111.8 percent, at an average annual growth rate of 4.8 percent. Bright MLS also reported that 11,780 homes sold in the County in 2025, a decrease of just 0.1 percent compared to 2024. Homes that sold during 2025 were on the market for an average of 21 days, four days longer than in 2024.

In the County’s nonresidential market, according to the Fairfax County Economic Development Authority, for the first time since 2019, the direct office vacancy rate in Fairfax County experienced a year-over-year decline. The continued removal of high-vacancy, obsolete office inventory through demolition and adaptive reuse as well as the slowdown of office construction without committed tenants led to the reduction in the vacancy rate. The direct office vacancy rate for year-end 2025 was 17.4 percent, which is a 0.4 percentage point reduction from the year-end 2024 rate of 17.8 percent. The recent plateauing of office vacancy rate rises coupled with the first year-over-year office vacancy rate reduction in five years signals an office market in the midst of stabilization. The overall office vacancy rate, which includes empty sublet space, was 17.9 percent at the end of 2025, down from 18.4 percent recorded at year-end 2024. The amount of empty office space decreased to 21.3 million square feet.



Fairfax County recorded approximately 6.3 million square feet of office leasing for 2025, finishing lower than 2024 (7 million square feet) but matching the total in 2023 (6.3 million square feet). Two of the main contributing factors to the decrease in office leasing activity year-over-year include the lack of large lease renewals compared to 2024 levels, and the hesitancy among employers to make long-term, cost-intensive decisions amid policy and economic uncertainty. While office leasing levels were lower, return-to-office indicators continued to trend upward as evidenced by various foot traffic measures and Metro ridership figures. For example, Metro stations in Tysons recorded ridership levels at 82 percent of 2019 levels and have shown consistent year-over-year growth since 2020. The upward trend of in-office work is expected to continue into 2026.

As of year-end 2025, Fairfax County had an office inventory just above 119 million square feet. After initially crossing the 120 million square foot mark following the delivery of a 210,000 square foot office building in Reston, the office inventory recorded over one million square feet of office inventory either demolished or repurposed for an alternative use. There are two adaptive reuse projects underway that will transform over 300,000 square feet of office into affordable housing units and an independent living facility. Over 900,000 square feet of office space was demolished in 2025, across six buildings. As of year-end 2025, there are two office buildings under construction, totaling 320,000 square feet and slated to be fully occupied at delivery.

**FY 2027
General Fund
Budget
Summary**

Based on the current Real Estate Tax rate of \$1.1225 per \$100 of assessed valuation, \$202.15 million in increased revenue is projected over FY 2026 levels; no change to the Real Estate Tax rate is proposed. An increase of \$67.90 million reflects the full-year impact of the Food and Beverage Tax, which was implemented effective January 1, 2026, with a half-year of collections reflected in the FY 2026 budget. An increase of \$4.05 million is associated with proposed fee adjustments, including \$1.10 million for a new fee for the Middle School After School program; the fee will be administered by Fairfax County Public Schools (FCPS), but revenue will be posted to the County to remove risk to FCPS in the first year of collecting the fee. A decrease of \$6.52 million is associated with the transfer of Transient Occupancy Tax (TOT) revenue dedicated to tourism from the General Fund to Fund 10030, Contributories. After allocating \$3.08 million in revenue associated with expenditure adjustments, a decrease of \$1.28 million in revenue associated with agency reductions, and an increase in Transfers In of \$1.26 million, \$270.65 million is available to address FY 2027 requirements. The FY 2027 Advertised Budget Plan allocates \$118.09 million of the available resources for FCPS priorities and \$133.98 million for County requirements, transfers the TOT revenue to Fund 10030, Contributories, and sets aside \$1.93 million to address the potential loss of grant funding associated with the Urban Area Security Initiative (UASI). The remaining balance of \$23.17 million is available for Board consideration in FY 2027.

The following table summarizes the FY 2027 Advertised Budget Plan.

Advertised Budget Summary

Adjustments included in the FY 2027 General Fund Budget			
(Amounts shown are in millions, net change over FY 2026 Adopted Budget Plan)			
Projected Revenue Increase			
Revenue Increase at Current Real Estate Tax Rate			\$202.15
Fee Adjustments, including fee for Middle School After School program			\$4.05
Food and Beverage Tax, Full-Year Impact			\$67.90
Revenues Associated with Reductions			(\$1.28)
Revenues Associated with Expenditure Adjustments			\$3.08
Tourism Revenue Redirected to Contributory Fund			(\$6.52)
Net Impact of Transfers In			\$1.26
Total Available			\$270.65
FY 2027 Requirements			
	County	Schools	Total
School Operating Support	--	\$94.61	\$94.61
County Compensation	\$102.55	--	\$102.55
Debt Service	\$7.42	\$11.40	\$18.81
Capital Renewal/Maintenance	\$12.51	\$7.50	\$20.01
New Facilities	\$1.94	--	\$1.94
Contracts/Inflationary	\$17.08	--	\$17.08
Information Technology	\$11.93	--	\$11.93
Parks	\$3.03	--	\$3.03
Cost of County Operations	\$4.55	--	\$4.55
Mandates and Expiration of Grant Funding	\$1.95	--	\$1.95
Housing and Human Services	\$8.45	--	\$8.45
Programs Transferred to FCPS	(\$4.59)	\$4.59	\$0.00
Reductions	(\$32.85)	--	(\$32.85)
Subtotal	\$133.98	\$118.09	\$252.07
Reserve for UASI			\$1.93
Reserve for Tourism moved to Contributory Fund			(\$6.52)
Total Uses			\$247.48
Projected Balance			\$23.17

FY 2027 General Fund Revenue

FY 2027 General Fund revenues are projected to be \$5,978,567,315, an increase of \$216,033,250 or 3.75 percent over the *FY 2026 Revised Budget Plan*, which contains the latest FY 2026 revenue estimates, and an increase of \$269,386,625, or 4.72 percent, over the FY 2026 Adopted Budget Plan.

On the County's real estate front, residential equalization reflects a 3.99 percent increase in FY 2027, while non-residential equalization increased by 0.92 percent. The overall Real Estate Tax base grew 3.77 percent.

The value of a penny on the Real Estate Tax rate is \$35.15 million in FY 2027. Each penny change in the tax rate equals \$82.99 on the average taxpayer's bill. Given an average value of a residential unit of \$829,895, the "typical" residential annual tax bill will rise, on average, \$357.43 in FY 2027 due to the rise in the average value of a residential unit at the current Real Estate Tax rate of \$1.1225 per \$100 of assessed value.

The FY 2027 Advertised Budget Plan includes a revenue increase of \$4.1 million as a result of proposed fee adjustments, including Zoning fees, Fire Marshal fees, Fire Prevention Code permits, EMS Transport fees, Adult Day Health Care (ADHC) fees, Employee Child Care Center fees, and the implementation of a new Middle School After School fee. On average, Zoning fees and Fire Marshal fees and Fire Prevention Code permits will be increased by 5.0 percent, which is estimated to generate an additional \$0.5 million. In addition, EMS Transport fees, which were last adjusted in FY 2024, are proposed to be adjusted in FY 2027 as follows: the Basic Life Support (BLS) transport increases from \$750 to \$850; Advanced Life Support 1 (ALS-1) transport from \$950 to \$1,075; Advanced Life Support 2 (ALS-2) transport from \$1,175 to \$1,325; and the current charge of \$18 per mile transported increases to \$20 per mile transported. The EMS Transport fee increases are estimated to generate an additional \$1.8 million in FY 2027. The ADHC fee, which was last adjusted in FY 2025, will be increased by 4 percent and is anticipated to generate an additional \$47,000. Adjustments to the Employee Child Care Center (ECCC) fees are expected to generate a revenue increase of \$0.5 million, or an 11 percent average increase. This increase brings the ECCC fees in line with surrounding day care centers and was recommended by ECCC families. It is consistent with the October 7, 2025, presentation to the Board of Supervisors at the Health and Human Services Committee meeting. In addition, a new fee associated with the Middle School After School program will generate \$1.1 million. This fee will be administered by FCPS and revenue remitted to the County. In FY 2028, once baseline revenues are established, FCPS will begin collecting the revenue directly, resulting in a commensurate decrease in the County transfer to FCPS.

The General Fund Revenue Overview in the FY 2027 Overview Volume has additional details on General Fund revenues.

FY 2027 General Fund Disbursements

FY 2027 General Fund disbursements are \$5,962,825,083, an increase of \$252,065,891, or 4.41 percent, over the FY 2026 Adopted Budget Plan and an increase of \$117,111,007, or 2.00 percent, over the *FY 2026 Revised Budget Plan*. As the *FY 2026 Revised Budget Plan* includes the carryforward of encumbrances from FY 2025 and other one-time adjustments for FY 2026 approved as part of the *FY 2025 Carryover Review*, comparisons between the FY 2027 budget and the *FY 2026 Revised Budget Plan* may be challenging. Thus, this section focuses on changes from the FY 2026 Adopted Budget Plan.

It should also be noted that the FY 2027 Advertised Budget Plan includes a net decrease of 49 merit positions, as position reductions identified as a part of agency reductions offset new positions supported by the General Fund.

Advertised Budget Summary

Employee Compensation (Pay and Benefits)

\$102.55 million

The FY 2027 Advertised Budget Plan includes funding for a cost of living adjustment, as well as performance, merit and longevity increases for non-represented employees. It fully funds the third and final year of the collective bargaining agreements for police, fire and public safety communications employees, and fully funds the first year of the collective bargaining agreement for general government employees.

Collective Bargaining Impacts

Beginning in FY 2027, the majority of County employees are represented under a collective bargaining agreement (CBA). On October 19, 2021, the Board adopted an ordinance to amend Chapter 3 of the Fairfax County Code, County Employees, by adding Article 10, Collective Bargaining, Sections 3-10-1 through 3-10-18, to allow specific bargaining units of County employees to engage in collective bargaining with the County. The Southern States Police Benevolent Association (SSPBA) was elected as the exclusive representative of the Police Department and the International Association of Fire Fighters Local 2068 (IAFF) was elected as the exclusive representative of the Fire and Rescue Department and Department of Public Safety Communications. Members of both units ratified agreements in November 2023, covering the period from FY 2025 through FY 2027; in December 2023, the Board approved resolutions indicating their intent to provide funding to support the agreements. On May 30, 2025, the Service Employees International Union Virginia 512 (SEIU) was certified as the exclusive representative for the General Government bargaining unit. SEIU members ratified the agreement in October 2025, covering the period from FY 2027 through FY 2029; in December 2025, the Board approved a resolution indicating their intent to provide funding to support the agreement. The ordinance and all three agreements can be found at <https://www.fairfaxcounty.gov/hr/collective-bargaining>.

While the agreements apply to the members of the bargaining units, as defined in the ordinance, the compensation and benefits provisions of the agreements are generally applied to all County staff in similar pay plans. For example, the County's agreement with SEIU increases the longevity pay increase from 4 to 5 percent for bargaining unit employees on the S-scale pay plan; the County will implement that change for all S-scale employees, including supervisors and others who are not part of the bargaining unit. Other provisions, such as converting the Christmas Eve holiday from a half-day holiday to a full-day holiday, also apply to all eligible County employees.

A summary of the specific compensation-related provisions in the three agreements can be found in the Compensation-Related Provisions of Collective Bargaining Agreements table beginning on page 34.

Average projected pay increases for FY 2027 for merit employees covered by the collective bargaining agreements, and for non-represented uniformed public safety employees, are provided below. It should be noted that actual employee increases vary by individual employee.

Average FY 2027 Merit Employee Pay Increases

	Uniformed Police	Uniformed Fire and Rescue	Uniformed Public Safety Communications	Non-Represented Uniformed Public Safety	General Government
Pay Scale Adjustment	1.00%	--	--	--	--
Cost of Living Adjustment	2.00%	2.00%	2.00%	2.00%	2.00%
Average Merit/Performance/Longevity	2.52%	2.50%	2.90%	2.22%	2.26%
Average Increase (Range of Increases)	5.52% (3.02%-8.17%)	4.50% (2.00%-7.10%)	4.90% (2.00%-7.10%)	4.22% (2.00%-7.10%)	4.26% (2.00%-7.10%)

Advertised Budget Summary

The costs of implementing the agreements in FY 2027 are provided below. Please note that the funding totals in the remainder of the Employee Compensation section are inclusive of these totals (e.g., the 2.00 Percent Cost of Living Adjustment section includes costs for all County employees, those represented in a bargaining unit as well as non-represented employees).

FY 2027 Cost of Compensation-Related Provisions of Collective Bargaining Agreements (in millions)

	Bargaining Unit Costs ¹	Impacted Employee Costs ²
Police	\$16.0	\$1.1
Fire and Emergency Medical Services	\$13.2	\$0.2
General Government	\$42.1	\$10.7
Total	\$71.3	\$12.0

¹ Bargaining Unit Costs reflect the total cost of implementing the collective bargaining agreement provisions for members of the bargaining unit. While the majority of the costs are compensation-related, the totals also reflect other elements of the agreements, such as the cost of union positions.

² Impacted Employee Costs reflect the total cost of extending collective bargaining agreement provisions to employees not in the bargaining unit.

Compensation and benefits adjustments detailed below are inclusive of the collective bargaining impacts described above.

The FY 2027 Advertised Budget Plan includes an increase to keep the County's **Living Wage** competitive in relation to the market. For FY 2027, the Living Wage will increase from the current rate of \$17.44 per hour to \$18.50 per hour. This represents the first year of a three-year phase-in plan to increase the Living Wage to \$20.00 per hour.

2.00 Percent Cost of Living Adjustment

Funding of \$42.66 million is included for the full-year impact of a 2.00 percent cost of living adjustment (COLA) increase effective the first full pay period in July 2026 for all eligible employees. Increases reflect the impact of a 1 percent pay scale adjustment to the O-scale for uniformed employees in the Police Department. Increases also reflect the impact of an increase in the County's Living Wage. In FY 2027, the Living Wage will increase from \$17.44 per hour to \$18.50 per hour. It will increase to \$19.25 per hour in FY 2028 and to \$20.00 per hour in FY 2029.

Public Safety Merit/Longevity Increases

Funding of \$15.04 million is included for merit and longevity pay increases for eligible uniformed public safety employees. The funding reflects the impact of prior-year merit and longevity increases, as well as the partial-year costs for increases provided to uniformed employees in FY 2026 since all increases are effective on the employee's anniversary date. Merit increases, set at 5 percent, are awarded to public safety employees as they progress through the pay scale. Public safety employees in pay plans O and C who reach a length of service milestone of 10, 15, 20 or 25 years are eligible for longevity increases. Pay plans F and D include 26 steps, with step increases ranging from 1 percent to 5 percent.

General Government Performance/Longevity Increases

Funding of \$24.65 million supports General Government employee pay increases reflecting the performance and longevity program as reflected in the County's CBA with SEIU. The funding reflects increases effective the first full pay period in July 2026 for graduated performance increases, based on where employees are on the pay scale, and the 5 percent longevity increases provided to employees who reach 20 or 25 years of service. In FY 2027, all employees reaching 20 or 25 years of service as of June 30, 2026, will receive a 5 percent increase. Employees receiving a longevity

Advertised Budget Summary

award do not also receive a performance award. The performance increases range from 3.50 percent for employees within 15 percent of the bottom of the pay scale to 1.25 percent for employees within 25 percent of the top of the pay scale.

Additional Compensation Increases

An increase of \$3.84 million primarily supports other compensation adjustments that are included in CBAs and are intended to support employee recruitment and retention efforts.

- The County established a foreign language skills stipend in FY 2007 to attract and retain employees with bilingual skills essential for serving the community. Changes included in the General Government CBA will apply to all eligible County employees. In FY 2027, the stipend is increased from \$1,560 to \$1,600 per year for employees working more than 20 hours weekly, and from \$780 to \$800 per year for employees working 20 or fewer hours weekly; in FY 2028, the stipends will increase to \$1,800 and \$900 per year, and in FY 2029, they will increase to \$2,000 and \$1,000 per year, respectively.
- The addition of two “floating holidays,” included in the General Government CBA, will apply to all eligible County employees. This change will result in productivity loss for agencies, which are mostly able to absorb these costs. However, public safety agencies with minimum staffing requirements will require additional funding totaling \$2.2 million for overtime coverage.
- Shift differential premium pay rates are increased from \$0.90 to \$1.00 per hour for General Government employees working the evening shift, and from \$1.42 to \$1.50 per hour for General Government employees working the night shift. This change, included in the General Government CBA, will apply to all eligible non-uniformed County employees.
- An analysis is performed annually to determine if shift differential premium pay rates for deputy sheriffs are consistent with the market average, with adjustments recommended for those rates that fall below 95 percent. As a result of this analysis, the night shift differential rate for deputy sheriffs is increased from \$1.70 to \$1.76 per hour.

Retirement

An increase of \$2.71 million is associated with required employer contribution rate increases for each of the County’s three retirement plans, as shown in the chart below. It is the County’s policy to fully fund the actuarially determined contributions; since FY 2020, the contribution rates have been calculated to include amortization of 100 percent of the unfunded liability. All three systems’ returns surpassed the 6.75 percent assumed rate of investment return in FY 2025. The Employees’ system was up 8.62 percent, the Uniformed system was up 10.10 percent, and the Police Officers system was up 8.88 percent, all net of fees. The combination of liability and investment experience, together with County and member contributions in FY 2025, resulted in slight increases in the funding ratios for the three systems as of June 30, 2025.

	FY 2026 Rates (%)	FY 2027 Rates (%)	Percentage Point Change (%)	General Fund Impact* (in millions)
Employees’	33.79	33.79	0.00	\$0.0
Uniformed	55.42	55.54	0.12	\$0.2
Police Officers	61.37	62.92	1.55	\$2.5
Total				\$2.7

Health Insurance and Other Benefits Adjustments

A net increase of \$16.97 million is associated with the net impact of adjustments necessary in several benefits categories based on experience and projected rate changes. A decrease of \$3.49 million is included to reflect anticipated savings based on year-to-date experience. An increase in health insurance of \$20.47 million includes projected premium increases of 8.0 percent for all health insurance plans, effective January 1, 2027, as well as the full-year impact of January 2026 premium adjustments; premium rates for the County's three self-insured open access plans were increased by 15 percent in calendar year 2026. The 8.0 percent increase is a budgetary projection only; final premium decisions will be made in the fall of 2026 based on updated experience. Decisions will be based on the impact to employees and retirees, the actual claims experience of each plan, the maintenance of adequate reserves, and the impact on the County's Other Post-Employment Benefits (OPEB) liability.

Retiree Health Benefits

A decrease of \$4.09 million is associated with the General Fund allocation for the County's OPEB liability. Although the latest valuation indicates that the County's OPEB plan is fully funded and the actuarially determined required contribution has been reduced to zero, the County will continue funding the normal cost associated with the explicit subsidy for active members. The normal cost for the explicit subsidy for retiree health insurance is estimated at \$2.7 million and will be funded through a combination of a \$2.4 million General Fund transfer and \$0.3 million in contributions from other funds. It is anticipated that this transfer level will fully meet the FY 2027 OPEB funding requirement.

Police Department Overtime

An increase of \$0.75 million is included in the Police Department to address overtime costs for critical operational needs, as well as mandatory minimum staffing requirements, in order to maintain current service levels.

Salary Supplements for Eligible State Employees

As previously approved by the Board of Supervisors as part of the *FY 2025 Carryover Review*, an increase of \$0.03 million is included for salary supplements to eligible state positions. The County provides 15 percent supplements to identified state positions.

County Debt Service and Capital Program

\$7.42 million

FY 2027 General Fund support of County debt service requirements is \$165.40 million, an increase of \$7.42 million, or 4.70 percent, over the FY 2026 Adopted Budget Plan. The FY 2027 funding level supports programmed debt service payments, including the \$170 million in General Obligation (GO) bonds sold in January 2026, which is consistent with the recommendations from the Joint County/Schools Capital Improvement Program (CIP) Committee recommendations, and will fund cash requirements for on-going capital projects for County purposes. The increase in FY 2027 is also attributable to the current interest rate environment, as the 3.37 percent received in January 2026 is a 0.20 percent decrease from last year's 3.57 percent and significantly higher than the 1.23 percent rate received in 2021. In addition, debt service payments are included for all projects financed through the Economic Development Authority (EDA) such as The Commons Mount Vernon (previously known as Original Mount Vernon High School) and the Tysons Community Center. It should be noted that funding for School-related debt service is included in Fairfax County Public Schools Support section below.

Advertised Budget Summary

Staff continue to implement the recommendations of the Joint Board of Supervisors/School Board CIP Committee approved in December 2020. This Committee recommended 1) increasing bond sale limits, 2) dedicating the equivalent value of one penny on the Real Estate Tax for the capital program and 3) revising the percentage allocated to the Capital Sinking Fund at year-end and including FCPS in the allocation. As part of the FY 2027 Advertised Budget Plan, all three recommendations have been fulfilled, providing significant increased capital funding for the County and Schools.

Increasing bond sale limits: The first increase in GO Bond sale limits was implemented in 2023, with the Schools' limit raised by \$25 million to \$205 million and the County's limit also raised by \$25 million to \$145 million. The final increases were implemented during the January 2025 GO bond sale and remain level this year, with Schools receiving \$230 million and the County receiving \$170 million.

One penny on the Real Estate Tax for the Capital Program: The Committee recommended setting aside the equivalent of one penny on the Real Estate Tax rate in additional funding for capital projects, considering both direct funding for capital renewal and the debt service impact of the increased GO bond sales. The FY 2027 budget includes an increase of \$7.5 million each for the County and Schools for infrastructure replacement and upgrades, bringing baseline funding to \$10 million for each. Increased debt service of almost \$25 million, brings the total additional investment to just under \$45 million – well beyond the value of a penny.

In FY 2027, an amount of \$39.83 million is supported by the General Fund for capital projects. This includes \$22.26 million for commitments, contributions, and facility maintenance and \$17.57 million for paydown projects. The Paydown Program excludes those projects that are on-going maintenance projects or annual contributions. Paydown includes infrastructure replacement and upgrades, Americans with Disabilities Act (ADA) compliance, athletic field improvements, and other capital asset improvements. The FY 2027 General Fund Capital Program represents an overall increase of \$7.83 million from the FY 2026 Adopted Budget Plan. This increase is primarily associated with the \$7.5 million increase to the County Infrastructure Replacement and Upgrades Program. It is anticipated that additional funding will still be necessary at budget quarterly reviews to supplement this funding. Details about the Capital Program are available in the Capital Projects Overview of the Overview Volume.

FY 2027 General Fund Supported Capital Program*

	Commitments, Contributions, and Facility Maintenance	Paydown	Total General Fund Support
County Capital Program			
County ADA Improvements	\$0	\$1,550,000	\$1,550,000
CIP Feasibility Studies	\$1,400,000	\$0	\$1,400,000
Contributions – NVCC	\$2,586,589	\$0	\$2,586,589
Contributions - NOVA Parks	\$3,678,704	\$0	\$3,678,704
Contributions – SACC	\$1,000,000	\$0	\$1,000,000
Environmental Initiatives	\$1,300,000	\$0	\$1,300,000
County Maintenance Programs	\$2,106,145	\$0	\$2,106,145
Payments and Obligations	\$859,924	\$200,000	\$1,059,924
Reinvestment in County Roads and Walkways	\$0	\$1,000,000	\$1,000,000
Revitalization Maintenance	\$500,000	\$0	\$500,000
Traffic Calming	\$0	\$650,000	\$650,000
Subtotal	\$13,431,362	\$3,400,000	\$16,831,362

Advertised Budget Summary

	Commitments, Contributions, and Facility Maintenance	Paydown	Total General Fund Support
Parks Capital Program			
Parks ADA Improvements	\$0	\$300,000	\$300,000
Athletic Field Maintenance and Sports Projects	\$6,045,714	\$1,365,140	\$7,410,854
Parks Maintenance Program	\$2,784,929	\$2,506,355	\$5,291,284
Subtotal	\$8,830,643	\$4,171,495	\$13,002,138
Joint CIP Committee Recommendations			
County Infrastructure Replacement and Upgrades	\$0	\$10,000,000	\$10,000,000
Subtotal	\$0	\$10,000,000	\$10,000,000
Total General Fund Support	\$22,262,005	\$17,571,495	\$39,833,500

* Reflects General Fund support only. Other funding sources, such as dedicated revenue and bond funding, are not included in these totals.

Revising the Sinking Fund allocations: Based on the Committee's recommendations, since the FY 2022 Carryover Review, the Capital Sinking Fund has been increased from 20 percent to 30 percent of available year-end balances and FCPS has been included in the allocation of funds. The funding is now allocated as follows: 45 percent for Facilities Management Department (FMD), 25 percent for FCPS, 15 percent for parks, 7 percent for walkways, 5 percent for County-owned roads and 3 percent for revitalization improvements. Funding provides for infrastructure replacement and upgrades, such as roofs, HVAC and electrical systems, and reinvestment in trails, pedestrian bridges, and other infrastructure improvements.

Details about the Capital Program are available in the Capital Projects Overview of the Overview Volume.

Capital Improvement Program

The FY 2027-FY 2031 Advertised Capital Improvement Program (CIP) totals \$15.9 billion. The total bond program within the CIP is \$2.8 billion (including both GO and EDA bonds), and the CIP bond program is managed within the County's debt ratio guidelines. Highlights include the review and analysis associated with the long-range Bond Referendum Plan and the County's debt capacity; efforts to identify potential co-location opportunities; and an outline of key changes from the FY 2026 CIP.

The CIP was developed with input from County agencies and to the extent possible, in accordance with the recommendations of the Committee. The Bond Referendum Plan is reviewed annually as projects may need to be added and cost estimates adjusted. The County's capital construction program continues to experience project escalation and rising costs. Due to current experience in the construction market, projected facility renovation costs have increased, requiring staff to adjust the schedule for some projects.

The FY 2027 CIP includes several changes which resulted in the Bond Referendum Plan outlined below.

FY 2027-FY 2031 Bond Referendum Plan

Year	Category	Description	Total
Fall 2026	County	Human Services \$75 mil Tim Harmon Campus, Health Lab Parks \$180 mil Fairfax County Park Authority	\$255m

Advertised Budget Summary

Year	Category	Description	Total
Fall 2027	Schools	Capital Enhancement, Renovation, Infrastructure Management	\$460m
Fall 2028	County	Transportation \$200 mil Metro Contribution	\$200m
Fall 2029	Schools	Capital Enhancement, Renovation, Infrastructure Management	\$460m
Fall 2030	County	Public Safety \$52 mil Police \$64 mil Fire	\$116m

Fairfax County Public Schools Support

\$118.09 million

The FY 2027 Advertised Budget Plan includes an increase to the School Operating Fund of \$99.19 million (inclusive of a \$4.59 million increase associated with the transfer of programs from the County to FCPS), an \$11.40 million increase to fully fund required adjustments for School Debt Service, and \$7.50 million increase to support School Capital Construction. This results in transfers to FCPS totaling \$3,052.37 million, an increase of \$118.09 million, or 4.02 percent, over the FY 2026 Adopted Budget Plan. These figures include transfers to the School Operating, Debt Service, and Construction Funds. Transfers to the FCPS funds make up 51.2 percent of General Fund disbursements in this proposal. It should also be noted that the FCPS budget is anticipated to benefit by approximately \$106 million from adjustments included in the former Governor's proposed budget, including additional state revenues and a reduction in VRS contribution requirements. This, coupled with the County's transfer, results in approximately \$224 million in new flexibility for FCPS.

The FY 2027 Advertised Budget Plan includes \$3.05 billion in support for **Fairfax County Public Schools**, an increase of \$118.09 million, or 4.02% over FY 2026. Transfers to the School Operating, Debt Service, and Construction Funds make up 51.2% of General Fund disbursements in FY 2027.



Schools Operating Support

Of the total increase, \$99.19 million is included as additional support to the School Operating Fund, an increase of 3.67 percent over the funding level in the FY 2026 Adopted Budget Plan. The Superintendent's Proposed Budget includes a requested school operating transfer increase of \$138.4 million, which represents a 5.1 percent increase over the FY 2026 transfer. The Superintendent's Proposed Budget focuses on employee compensation specifically required to meet the school system's collective bargaining agreements, restoring cuts made last year to balance the budget, and continuing multi-year initiatives. Full funding for the Superintendent's request is not included and would require an additional \$36 to \$44 million beyond what is included in the Advertised budget.

This total is inclusive of \$4.59 million associated with the transfer of funding for three programs from the County to FCPS. Funding for the Middle School After School program and the Values in Prevention program is being transferred from the Department of Neighborhood and Community Services (NCS), given NCS's limited role in operating the programs. Funding for transition services provided to high school seniors with Individualized Education Plans who are leaving FCPS and moving into adulthood is being transferred from the Fairfax-Falls Church Community Services Board (CSB), as the services are more appropriately aligned with programs and services provided by FCPS. Corresponding decreases in funding for NCS and the CSB result in no net impact to the General Fund.

Schools Debt Service Support

The General Fund transfer to the School Debt Service Fund is \$227.02 million, an increase of \$11.40 million, or 5.29 percent, over the FY 2026 level. This estimate includes the impact of the \$230 million

in GO bonds sold in January 2026, the same level as last year and consistent with the revised bond sale amounts recommended by the County/Schools Joint CIP Committee. These bond proceeds will fund cash requirements for on-going capital projects for FCPS purposes.

Schools Capital Construction Support

The General Fund transfer to the School Construction Fund in FY 2026 is \$23.10 million, an increase of \$7.50 million, or 48.08 percent, over the FY 2026 level. This funding is dedicated to critical infrastructure upgrades and replacements. This also aligns with the recommendation of the County/Schools Joint CIP Committee to leverage additional paydown funds alongside bond proceeds. An equivalent increase has also been proposed for the County as part of the FY 2027 Advertised Budget Plan.

The County also provides support for Fairfax County Public Schools outside of General Fund transfers. In FY 2027, \$154.36 million is included in the County budget for programs such as Head Start, School Health, behavioral health services, School Resource Officers, School Crossing Guards, out-of-school time programs, field maintenance, and recreational programs.

Capital Renewal and Maintenance

\$12.51 million, 9 Positions

Funding increases of \$12.51 million and 9/9.0 FTE positions are primarily associated with maintenance needs and upgrades to keep the County's existing facilities and other capital assets in safe working order. Ensuring the appropriate maintenance of the County's infrastructure is critical, as many County buildings are in dire need of significant repairs and modern building systems are increasingly complex and have shorter life cycles, leading to higher maintenance demands. These efforts primarily support the County's work towards achieving goals in the Community Outcome Areas of Effective and Efficient Government and Safety and Security.

Community Outcome Areas as included in the Countywide Strategic Plan

- Cultural and Recreational Opportunities 
- Economic Opportunity 
- Effective and Efficient Government 
- Empowerment and Support for Residents Facing Vulnerability 
- Environment and Energy 
- Healthy Communities 
- Housing and Neighborhood Livability 
- Lifelong Education and Learning 
- Mobility and Transportation 
- Safety and Security 

Capital Renewal

As noted earlier in the Debt Service and Capital Program section, an increase of \$7.50 million is included in the General Fund transfer to Fund 30020, Infrastructure Replacement and Upgrades, to repairs, improvements, and restorations necessary for the long-term needs of the County's capital assets.

Public Safety Radio Infrastructure

An increase of \$3.00 million is included in Fund 40090, E-911, to support the refresh of the core infrastructure platform and components that serve public safety subscriber radios.

Residential Maintenance

An increase of \$1.00 million and 6/6.0 FTE positions is included in FMD, to establish a dedicated Residential Facilities Maintenance Section within FMD to support the unique maintenance demands of 16 County-owned residential facilities. This is the first year of a multi-year initiative; an additional 6/6.0 FTE positions and associated Operating Expenses funding will be required in FY 2028.

New or Expanded Facilities

An increase of \$0.88 million and 2/2.0 FTE positions is included in FMD for required utility, custodial, repair/maintenance, and landscaping costs associated with partial- or full-year costs for new or expanded facilities in FY 2027.

Locksmith for Court Facilities

An increase of \$0.12 million and 1/1.0 FTE position is included in the Office of the Sheriff to provide a dedicated on-site specialist for maintaining all locking systems at the court facilities, ensuring continuous operation and preventing delays in court operations.

New Facilities

\$1.94 million, 16 Positions

Funding of \$1.94 million and 16/16.0 FTE positions supports new facilities that will be operational in FY 2027. These efforts primarily support the County's work towards achieving goals in the Community Outcome Areas of Cultural and Recreational Opportunities, Lifelong Education and Learning, and Healthy Communities.

The Commons Mount Vernon

An increase of \$1.81 million and 15/15.0 FTE positions is included in NCS and Fund 40045, Early Childhood Birth to 5, to support the community center programming at The Commons Mount Vernon and to support Early Childhood Development and Learning Program slots for low- to moderate-income families at the facility's new child care center. The Commons Mount Vernon is currently scheduled to open in mid-FY 2027; therefore, partial-year funding has been included. Full-year funding will be included in the FY 2028 Advertised Budget Plan, along with funding and positions for the renovated theater and the re-engagement center.

School Health Nurse

An increase of \$0.13 million and 1/1.0 FTE position is included in the Health Department to support a Licensed Practical Nurse position associated with the opening of a new FCPS high school.

Inflation and Contract Rate Adjustments

\$17.08 million

Inflation is impacting the County budget, just as it does those of County residents. Funding increases of \$17.08 million are primarily associated with contract rate adjustments for the County's providers of mandated and non-mandated services, primarily in human services agencies. After accounting for the revenue impact associated with these adjustments, the net impact to the General Fund is \$16.40 million.

Contract Rate Increases

An increase of \$11.26 million is included to support contract rate increases for the providers of mandated and non-mandated services in health and human services, information technology, parks, public safety, and other areas. This increase is partially offset by \$0.68 million in revenue, for a net General Fund impact of \$10.58 million.

Homeless Services Contracts

An increase of \$3.61 million is included in the Department of Housing and Community Development (HCD) to support the homeless services contracts and Hypothermia Prevention Program. The new contract awards for homeless services will facilitate critical services, including emergency shelter operations, case management, street outreach, permanent supportive housing, and the Hypothermia Prevention Program. In addition, this funding will support shelter overflow hotels for families with children. Funding to support shelter overflow for families with children is required due to the continued demand for emergency shelter services which has remained high since the end of 2022, when the eviction moratoria ended, inflation increased, and pandemic-era emergency rental assistance was fully depleted. Of this amount, \$1.55 million was previously approved by the Board of Supervisors as part of the *FY 2025 Carryover Review*.

Contract Rate Increase for Body-Worn Cameras

An increase of \$1.45 million is included in the Office of the Sheriff to support significant contract rate increase costs for the Body-Worn Camera program.

Lease Adjustments

An increase of \$0.76 million in FMD is included due to the addition of leased square footage and an annual 2.5 to 3 percent escalation on existing leases.

Information Technology

\$11.93 million

Increased funding of \$11.93 million supports the operating costs associated with expanding and maintaining the County's information technology (IT) infrastructure. These efforts primarily support the County's work towards achieving goals in the Community Outcome Areas of Effective and Efficient Government and Safety and Security.

Ongoing Operating Support for Completed IT Projects

An increase of \$6.47 million is included to support ongoing maintenance costs for completed IT projects across various agencies.

Infrastructure Stabilization and Optimization

An increase of \$5.00 million is included in Fund 60030, Technology Infrastructure Services, to continue IT architecture optimization. Enhancements to support the rapid expansion of storage and computing requirements, cloud expansion, application modernization, and investment in new technology are needed to guarantee the dependability, expandability, and effectiveness of IT infrastructure.

Planning and Land Use System Licenses

An increase of \$0.24 million is included based on anticipated billings for licensing costs associated with multiple agencies' utilization of the Planning and Land Use System (PLUS). PLUS is a multi-agency platform for Fairfax County customers to complete their zoning, building, permitting or other land development processes online.

Courthouse Security

An increase of \$0.22 million is included in the Department of Emergency Management and Security to support the ongoing maintenance and technical support for the updated courthouse security system.

Parks

\$3.03 million, 22 Positions

Increased funding of \$3.03 million and 22/22.0 FTE positions are primarily associated with new parks facilities, board initiatives, and operational and maintenance requirements. As part of the *FY 2025 Carryover Review*, Fund 40400, Park General Operations and Capital, was created to provide additional transparency and flexibility by combining both park operational funding and capital project funding into the same fund. The items below are all reflected in Fund 40400 as part of the FY 2027 Advertised Budget Plan. These efforts primarily support the County's work towards achieving goals in the Community Outcome Areas of Cultural and Recreational Opportunities, Environment and Energy, and Effective and Efficient Government.

Park Facilities Maintenance, Stabilization, and Staffing

An increase of \$1.29 million and 7/7.0 FTE positions is included to provide dedicated maintenance staff at Laurel Hill Central Green, support staffing costs associated with the Woodlands Education and Stewardship Center, and support the maintenance and stabilization of five properties that have been added to the Park Authority's inventory.

Zero Waste

An increase of \$1.22 million and 12/12.0 FTE positions is included to support the final phase of the Zero Waste Trash and Recycling initiatives in the remaining four Park Authority maintenance areas.

Recreation System and Sliding Fee Scale Implementation

An increase of \$0.52 million and 3/3.0 FTE positions is included to support the Park Authority's new recreation system and implementation of a sliding fee scale.

Cost of County Operations

\$4.55 million, 4 Positions

Increased funding of \$4.55 million and 4/4.0 FTE positions support required enhancements and other costs of doing business. These efforts primarily support the County's work towards achieving goals in the Community Outcome Area of Effective and Efficient Government.

Fuel Rate Adjustment

An increase of \$2.56 million is included to better align the budget for fuel with actual expenses. This adjustment is year two of a four-year phase-in to increase the budgeted price per gallon by \$1.00 to bring it in line with the current average price per gallon of \$2.50.

Collective Bargaining Positions

An increase of \$0.94 million and 4/4.0 FTE positions is included in the Department of Human Resources and the Office of the County Attorney, to support collective bargaining activities, including arbitration and mediation costs, manager and executive training, court reporting, benefit analysis and other related operational costs.

Advertised Budget Summary

Local Cash Match Requirements

An increase of \$0.66 million is included in Fund 50000, Federal-State Grant Fund, to support Local Cash Match requirements primarily associated with programs serving older adults and program requirements in the Head Start/Early Head Start grants.

Contributory Fund Cost Adjustments

A net increase of \$0.39 million in Fund 10030, Contributories, reflects adjustments to contributions based on agreed-upon formulas, legal requirements, contractual or regional commitments, membership dues, and program requirements. The table below details the specific adjustment to each impacted contributory organization in FY 2027.

In FY 2027, revenue totaling \$6,645,815, representing one percent in Transient Occupancy Tax (TOT) revenue, is included to support funding for tourism-related activities in Fairfax County. This tax revenue will be directly posted in and expended from Fund 10030, Contributories. In addition, as part of the FY 2027 Advertised Budget Plan, the salary supplements for the Office of the Public Defender are transferred from Agency 85, General District Court, to Fund 10030. Offsetting adjustments are included in Fund 10001, General Fund, for no net cost to the General Fund. Additionally, the net increase of \$0.39 million in Fund 10030 does not reflect reductions of \$0.78 million associated with the elimination of contributions to Celebrate Fairfax and the Vienna Teen Center as those adjustments are included in the Agency Reductions section below.

Contributory Organization	Funding Adjustment
Convention and Visitors Corporation	\$5,066,862
Office of the Public Defender	\$667,951
Volunteer Fairfax	\$100,000
Metropolitan Washington Council of Governments	\$84,695
NOVA Parks	\$81,035
Birmingham Green Adult Care Residence	\$36,505
Northern Virginia Transportation Commission	\$14,292
Northern Virginia Regional Commission	\$7,623
National Association of Counties	(\$60)
Northern Virginia Community College	(\$83)

Mandates/Expiration of Grant Funding

\$1.95 million, 4 Positions

Increased funding of \$1.95 million and 4/4.0 FTE positions are required to replace expired grant funding as well as new mandates imposed by the state and/or federal government. After accounting for the revenue impact associated with these adjustments, the net impact to the General Fund is \$1.71 million. These efforts primarily support the County's work towards achieving goals in the Community Outcome Areas of Empowerment and Support for Residents Facing Vulnerability, Healthy Communities, Housing and Neighborhood Livability, Safety and Security, and Effective and Efficient Government.

Nursing Contracts for Medically Fragile Children

An increase of \$0.73 million is included in the Health Department to support additional funding for contracts providing federally-mandated one-to-one nursing services to medically fragile students in FCPS.

Positions to Support Office of the Commonwealth's Attorney

As previously approved by the Board of Supervisors as part of the *FY 2025 Carryover Review*, an increase of \$0.42 million is included in the Office of the Commonwealth's Attorney to comply with the 2025 Appropriation Act (2025 Session, Virginia Acts of Assembly, Chapter 725) which increased the number of positions allocated to the Office. The increase is partially offset by an increase of \$0.24 million in state revenue, for a net impact to the General Fund of \$0.18 million.

Continuum of Care Planning Grant

An increase of \$0.33 million is included in HCD to replace a Continuum of Care (CoC) planning grant previously funded by the U.S. Department of Housing and Urban Development. Funding will be used to conduct CoC homeless system planning, project monitoring and evaluation, compliance activities, and related CoC functions. It is anticipated that commensurate funding and two new positions will be included in the *FY 2026 Third Quarter Review*.

Legal Records Positions

An increase of \$0.25 million and 2/2.0 FTE positions is included in the Office of the Sheriff to meet the requirements set forth in Virginia Senate Bill 2723 which pertains to the automatic sealing of offenses resulting in acquittal or dismissal. The bill was passed by the General Assembly and signed by the Governor in April 2025 with an effective date of July 1, 2026.

Disabled Veteran Tax Exemption Program Expansion

An increase of \$0.23 million and 2/2.0 FTE positions is included in the Department of Tax Administration to address increased workload requirements associated with the state-mandated tax relief program for disabled veterans.

Housing and Human Services

\$8.45 million, 3 Positions

Increased funding of \$8.45 million and 3/3.0 FTE positions support essential housing and human services programs. After accounting for the revenue impact associated with these adjustments, the net impact to the General Fund is \$6.29 million. These efforts primarily support the County's work towards achieving goals in the Community Outcome Areas of Empowerment and Support for Residents Facing Vulnerability, Cultural and Recreational Opportunities, Housing and Neighborhood Livability, and Healthy Communities.

Emergency Housing and Food Assistance Program

An increase of \$5.50 million is included in NCS to support emergency housing assistance and emergency food assistance. Pandemic-related stimulus funding has been fully expended; however, the unprecedented demand for assistance continues. Additional funding is needed to continue to assist the significant number of households that are unable to pay for rent, utilities, and food.

Positions to Address Increases in Mandated Services

As previously approved by the Board of Supervisors as part of the *FY 2025 Carryover Review*, an increase of \$1.50 million is included in the Department of Family Services to appropriate additional revenue from the state to support positions in the Public Assistance and Employment Services and Adult and Aging divisions. These positions will address workload increases due to changes in state requirements, state program changes, and increased demand for mandated services. The expenditure increase is fully offset by an increase in state revenue for no net impact to the General Fund.

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Beyond the Bell

As previously approved by the Board of Supervisors as part of the *FY 2025 Carryover Review*, an increase of \$0.66 million is included in NCS for food costs associated with providing child care to additional children at the 20 Beyond the Bell pilot sites at Fairfax County Public Schools. The expenditure increase is fully offset by an increase in revenue for no net impact to the General Fund.

Consolidated Community Funding Pool Performance and Leverage Requirement

An increase of \$0.42 million is included in Fund 10020, Consolidated Community Funding Pool, associated with performance and leverage requirements for nonprofit organizations and to provide additional funding to community organizations to meet health and human services needs in the County.

Positions to Address Increased Housing Workload Requirements

As previously approved by the Board of Supervisors as part of the *FY 2025 Carryover Review*, an increase of \$0.37 million is included in HCD to convert four benefits-eligible positions to merit positions to address workload requirements.

Positions to Support Affordable Housing Activities

An increase of 3.3/0 FTE positions is included in HCD to support affordable housing activities in Fairfax County.

Agency Reductions

(\$32.85 million), (107) Positions

A decrease of \$32.85 million and 107/103.0 FTE positions is associated with reductions and efficiencies identified by agencies in order to offset other required increases, thus reducing the tax burden on residents. These efforts support the County's work towards achieving goals in the Effective and Efficient Government Community Outcome Area. An associated decrease in revenue totaling \$1.28 million results in a net decrease to the General Fund of \$31.57 million.

The table below lists the total reduction and number of positions to be eliminated for each agency/fund. Detailed information can be found in the Agency Reductions section of the Overview Volume as well as the relevant agency or fund narrative in Volume 1 or Volume 2.

Agency/Fund	Position/FTE	Reduction
Agency 02, Office of the County Executive	0/0.0	\$96,025
Agency 03, Department of Clerk Services	0/0.0	16,771
Agency 06, Department of Finance	1/1.0	221,756
Agency 08, Facilities Management Department	0/0.0	350,000
Agency 11, Department of Human Resources	2/2.0	271,344
Agency 12, Dept. of Procurement and Material Management	2/2.0	211,180
Agency 13, Office of Public Affairs	0/0.0	31,000
Agency 15, Office of Elections	0/0.0	191,050
Agency 16, Economic Development Authority	0/0.0	547,950
Agency 20, Department of Management and Budget	0/0.0	65,476
Agency 25, Business Planning and Support	0/0.0	68,670
Agency 26, Capital Facilities	0/0.0	158,183
Agency 35, Department of Planning and Development	2/2.0	348,647
Agency 38, Dept. of Housing and Community Development	0/0.0	800,000

Advertised Budget Summary

Agency/Fund	Position/FTE	Reduction
Agency 40, Department of Transportation	1/1.0	377,290
Agency 41, Civil Service Commission	0/0.0	24,200
Agency 44, Office of Police Accountability	0/0.0	65,956
Agency 52, Fairfax County Public Library	8/6.5	516,519
Agency 57, Department of Tax Administration	0/0.0	432,348
Agency 67, Department of Family Services ¹	4/4.0	2,956,001
Agency 70, Department of Information Technology	0/0.0	242,800
Agency 71, Health Department ²	29/28.5	2,262,680
Agency 79, Dept. of Neighborhood and Community Services	18/16.5	1,720,741
Agency 80, Circuit Court and Records	0/0.0	99,600
Agency 81, Juvenile and Domestic Relations District Court	11/11.0	875,578
Agency 82, Office of the Commonwealth's Attorney	3/3.0	276,899
Agency 85, General District Court	2/1.5	187,080
Agency 90, Police Department	13/13.0	1,891,026
Agency 91, Office of the Sheriff	1/1.0	392,125
Agency 92, Fire and Rescue Department	0/0.0	964,661
Agency 93, Dept. of Emergency Management and Security	0/0.0	110,434
Agency 96, Department of Animal Services	0/0.0	215,000
Fund 10030, Contributories	0/0.0	782,300
Fund 40000, County Transit Systems	0/0.0	7,286,802
Fund 40040, Fairfax-Falls Church Community Services Board	4/4.0	4,743,567
Fund 40045, Early Childhood Birth to 5	1/1.0	501,293
Fund 40090, E-911	0/0.0	879,900
Fund 40400, Park General Operations and Capital	4/4.0	919,978
Fund 50000, Federal-State Grant Fund	0/0.0	391,764
Fund 60000, County Insurance	1/1.0	102,293
Fund 60030, Technology Infrastructure Services	0/0.0	257,000
TOTAL	107/103.0	\$32,853,887

¹ Includes an associated revenue decrease of \$1,166,260, resulting in a net General Fund decrease of \$1,789,741.

² Includes an associated revenue decrease of \$114,521, resulting in a net General Fund decrease of \$2,148,159.

Reserve Requirements

\$0.0 million

Per the Reserve Policy approved by the Board of Supervisors in April 2015 and included in the County's *Ten Principles of Sound Financial Management*, the County's Revenue Stabilization Reserve, Managed Reserve, and Economic Opportunity Reserve are targeted at 10 percent of General Fund disbursements. As part of the FY 2027 Advertised Budget Plan, all three reserves are projected to remain at their target levels either through retained interest earnings or an anticipated adjustment that will be made as part of the *FY 2026 Third Quarter Review*. No additional funding is included in the FY 2027 Advertised Budget Plan.

Revenue Stabilization Reserve

The Revenue Stabilization Reserve reached its target level of funding of 5 percent of General Fund disbursements in FY 2018. No General Fund contribution is required in FY 2027, as retained interest earnings are anticipated to maintain the reserve at the target.

Managed Reserve

The Managed Reserve reached its target level of funding of 4 percent of General Fund disbursements in FY 2020. No General Fund contribution is required in FY 2027, as resources available in FY 2026 are anticipated to be used to maintain the reserve at the target. This adjustment will be included in the *FY 2026 Third Quarter Review*.

Economic Opportunity Reserve

The Economic Opportunity Reserve reached its target level of funding of 1 percent of General Fund disbursements in FY 2021. No General Fund contribution is required in FY 2027, as retained interest earnings are anticipated to maintain the reserve at the target.

FY 2027 Budget: All Funds

All appropriated fund revenues in the FY 2027 Advertised Budget Plan total \$12.18 billion. This represents an increase of \$495.94 million, or 4.25 percent, over the FY 2026 Adopted Budget Plan. On the expenditure side, the FY 2027 Advertised Budget Plan for all appropriated funds totals \$11.45 billion and reflects an increase of \$346.78 million, or 3.12 percent, over the FY 2026 Adopted Budget Plan.

Additional Support for Self-Supporting Funds

17 Positions

An increase of 17/17.0 FTE positions is included across four self-supporting funds. Funding for these positions is fully supported from each fund's revenue; there is no impact to the General Fund. The increase includes:

- 8/8.0 FTE positions in Fund 40100, Stormwater Services, to help support the maintenance and operational needs of the new Water Resources and Infrastructure facility, coordination of grant management and submissions, the ongoing success and expansion of the County's tree planting initiatives, the Countywide flood mitigation and resiliency inspection program, and Green Stormwater Infrastructure.
- 4/4.0 FTE positions in Fund 69010, Sewer Operation and Maintenance, to help support agency financial administration, wastewater pumping station and stormwater facility maintenance and service, and wastewater treatment plant operations, necessary due to the increase in the complexity of new equipment and the decrease in reliability of aging infrastructure.
- 4/4.0 FTE positions in the Retirement Administration Agency to help support the County's growing retiree population and enhance retirement counseling services.
- 1/1.0 FTE position in Fund 40080, Integrated Pest Management Program, to address spotted lanternfly and beech leaf disease through continued early detection rapid response of these invasive pests, minimizing the impact of the infestations present in the County.

Advertised Budget Summary

Additional details concerning non-General Fund revenues, expenditures, and positions for appropriated funds are available in the *Financial and Statistical Summary Tables* section of the Overview Volume as well as Volume 2 of the County budget. Also included in Volume 2 is information on non-appropriated funds.

Advertised Budget Summary

General Fund Disbursement and Reserve Adjustments included in the FY 2027 Advertised Budget Plan

	Community Outcome Area ¹	Positions	Disbursements	Associated Revenue	Net General Fund Impact
Employee Pay & Benefits			\$102,551,245		\$102,551,245
Employee Pay			\$86,963,578		\$86,963,578
2.00% Cost of Living Adjustment			42,657,953		42,657,953
Public Safety Merit/Longevity Increases			15,039,266		15,039,266
General County Performance/Longevity Increases			24,645,399		24,645,399
Other Compensation Adjustments			3,842,373		3,842,373
Police Department Overtime			750,000		750,000
Salary Supplements for Eligible State Employees			28,587		28,587
Employee Benefits			\$15,587,667		\$15,587,667
Health Insurance and Other Benefits Adjustments			16,974,251		16,974,251
Retirement Rate Changes			2,705,045		2,705,045
Retiree Health Benefits			(4,091,629)		(4,091,629)
County Debt Service			\$7,418,489		\$7,418,489
County Debt Service			7,418,489		7,418,489
Fairfax County Public Schools Support			\$118,089,110		\$118,089,110
Schools Operating Transfer			94,606,781		94,606,781
Schools Debt Service			11,396,015		11,396,015
Schools Capital Construction			7,500,000		7,500,000
County Programs Shifting to FCPS (Increase to Schools Operating Transfer)			4,586,314		4,586,314
Capital Renewal and Maintenance		9	\$12,505,196		\$12,505,196
Capital Renewal	EEG		7,500,000		7,500,000
Public Safety Radio Infrastructure	SS		3,000,000		3,000,000
Residential Maintenance	EEG	6	1,000,000		1,000,000
New or Expanded Facilities	EEG	2	882,812		882,812
Locksmith for Court Facilities	EEG, SS	1	122,384		122,384
New Facilities		16	\$1,943,132		\$1,943,132
The Commons Mount Vernon	CRO, LEL	15	1,809,243		1,809,243
School Health Nurse	HC	1	133,889		133,889
Inflation and Contract Rate Adjustments			\$17,084,922	\$682,974	\$16,401,948
Contract Rate Increases			11,260,599	682,974	10,577,625
Homeless Services Contracts	HNL, ESRFV		3,609,163		3,609,163

Advertised Budget Summary

	Community Outcome Area ¹	Positions	Disbursements	Associated Revenue	Net General Fund Impact
Contract Rate Increase for Body-Worn Cameras	SS		1,453,371		1,453,371
Lease Adjustments	EEG		761,789		761,789
Information Technology			\$11,933,398		\$11,933,398
Ongoing Operating Support for Completed IT Projects	EEG		6,466,015		6,466,015
Infrastructure Stabilization and Optimization	EEG		5,000,000		5,000,000
Planning and Land Use System Licenses	EEG		243,500		243,500
Courthouse Security	SS		223,883		223,883
Parks		22	\$3,033,347		\$3,033,347
Park Facilities Maintenance, Stabilization, and Staffing	EEG	7	1,293,683		1,293,683
Zero Waste	EE	12	1,218,433		1,218,433
Recreation System and Sliding Fee Scale Implementation	CRO	3	521,231		521,231
Cost of County Operations		4	\$4,547,159		\$4,547,159
Fuel Rate Adjustment	EEG		2,560,984		2,560,984
Collective Bargaining Positions	EEG	4	939,882		939,882
Local Cash Match Requirements	EEG		655,424		655,424
Contributory Fund Cost Adjustments			390,869		390,869
Mandates/Expiration of Grant Funding		4	\$1,947,859	\$236,007	\$1,711,852
Nursing Contracts for Medically Fragile Children	HC		725,000		725,000
Positions to Support Office of the Commonwealth's Attorney	EEG		416,884	236,007	180,877
Fairfax-Falls Church Continuum of Care Planning Grant	HNL, ESRFV		325,000		325,000
Legal Records Positions	ESRFV, SS	2	251,299		251,299
Disabled Veteran Tax Exemption Program Expansion	ESRFV, EEG	2	229,676		229,676
Housing and Human Services		3	\$3,865,921	\$2,162,544	\$1,703,377
Emergency Housing and Food Assistance	ESRFV		5,500,000		5,500,000
Positions to Address Increases in Mandated Services	ESRFV		1,503,698	1,503,698	0
Beyond the Bell	CRO		658,846	658,846	0
Consolidated Community Funding Pool Performance and Leverage Requirement	ESRFV, HC		416,358		416,358
Positions to Address Housing Workload Requirements	HNL		373,333		373,333
Positions to Support Affordable Housing Activities	HNL	3	0		0
County Programs Shifting to FCPS (Decrease to County Agencies) ²			(4,586,314)		(4,586,314)

Advertised Budget Summary

	Community Outcome Area ¹	Positions	Disbursements	Associated Revenue	Net General Fund Impact
Reductions		(107)	(\$32,853,887)	(\$1,280,781)	(\$31,573,106)
Agency Reductions	EEG	(107)	(32,853,887)	(1,280,781)	(31,573,106)
Reserve Adjustments			\$0		\$0
Revenue Stabilization			\$0		\$0
Economic Opportunity			\$0		\$0
Managed Reserve (not included in actual disbursements)			\$0		\$0
TOTAL		(49)	\$252,065,891	\$1,800,744	\$250,265,147

¹ Community Outcome Areas as included in the Countywide Strategic Plan:

CRO – Cultural and Recreational Opportunities

EO – Economic Opportunity

EEG – Effective and Efficient Government

ESRFV – Empowerment and Support for Residents Facing Vulnerability

EE – Environment and Energy

HC – Healthy Communities

HNL – Housing and Neighborhood Livability

LEL – Lifelong Education and Learning

MT – Mobility and Transportation

SS – Safety and Security

² The decrease to County agencies resulting from the shifting of County programs to FCPS is noted in the Fairfax County Public Schools Support section.

Advertised Budget Summary

Compensation-Related Provisions of Collective Bargaining Agreements

Bargaining Unit	Police	Fire and Emergency Medical Services	General Government
Bargaining Agent	SSPBA	IAFF	SEIU
Agreement Term	FY 2025 - FY 2027	FY 2025 - FY 2027	FY 2027 - FY 2029
FY 2025 Compensation Provisions	3% increase to pay scale 2.00% COLA - Addition of a 10-year longevity step - Step increase - Detective Stipend of \$3.00/hr - One-step Education Incentive - Police Foreign Language Skill Stipend of \$800/yr - Operational Hazard Stipend of \$3.00/hr	- Establishment of D-Scale for DPSC employees resulting in a 3% increase to pay scale - Revised F-Scale for FRD employees resulting in a 3% increase to pay scale and elimination of step holds and longevity steps - Step increase - Day Work premium of \$75/pay period - ALS-Paramedic Certification Pay of 10% of base salary - Riding Pay: ALS Transport Lead Provider: \$3.00/hr, ALS Non-Transport Lead Provider: \$2.00/hr - DPSC Field Training Incentive: \$6.00/hr - Preceptor Pay: \$1.50/hr - DPSC and FRD 42-hr Evening Shift Differential: \$0.90/hr - DPSC and FRD 42-hr Night Shift Differential: \$1.35/hr - FRD 24-hr Shift Differential: \$0.7275/hr - Two-step ALS Provider Incentive - One-to-two-step Education Incentive	N/A; first agreement is effective in FY 2027
FY 2026 Compensation Provisions	2% increase to pay scale 2.00% COLA - Step increase	3% increase to F-Scale pay scale 3.1% increase to D-Scale pay scale - Step increase	N/A; first agreement is effective in FY 2027
FY 2027 Compensation Provisions	1% increase to pay scale 2.00% COLA - Step increase	2.00% COLA - Step increase	- S-Scale pay range spread increased 2.00% COLA* - Living Wage increased from \$17.44/hr to \$18.50/hr* - Longevity Pay increased from 4% to 5% - Adjustments to Performance Increases of up to 0.5% - Foreign Language Skills Stipend increased from \$1,560/yr to \$1,600/yr for full-time, \$800/yr for part-time* - Evening Shift Differential increased from \$0.90/hr to \$1.00/hr - Night Shift Differential increased from \$1.42/hr to \$1.50/hr
FY 2028 Compensation Provisions	TBD; negotiations on a new CBA will begin in 2026	TBD; negotiations on a new CBA will begin in 2026	2.00% COLA - Living Wage increased to \$19.25/hr* - Foreign Language Skills Stipend increased to \$1,800/yr for full-time, \$900/yr for part-time*
FY 2029 Compensation Provisions	TBD; negotiations on a new CBA will begin in 2026	TBD; negotiations on a new CBA will begin in 2026	2.00% COLA - Living Wage increased to \$20.00/hr*

Advertised Budget Summary

Bargaining Unit	Police	Fire and Emergency Medical Services	General Government
			Foreign Language Skills Stipend increased to \$2,000/yr for full-time, \$1,000/yr for part-time*

*Applied to all eligible County employees

Advertised Budget Summary

FY 2027 and FY 2028 MULTI-YEAR BUDGET PLAN: TAX AND FEE FACTS

Type	Unit	FY 2025 Actual Rate	FY 2026 Actual Rate	FY 2027 Proposed Rate	FY 2028 Planned Rate
GENERAL FUND TAX RATES					
Real Estate	\$100/Assessed Value	\$1.125	\$1.1225	\$1.1225	\$1.1225
Personal Property	\$100/Assessed Value	\$4.57	\$4.57	\$4.57	\$4.57
NON-GENERAL FUND TAX RATES					
REFUSE RATES					
<i>Refuse Collection (per unit)</i>	<i>Household</i>	\$555	\$610	\$630	\$630
<i>Refuse Disposal (per ton)</i>	<i>Ton</i>	\$79	\$90	\$98	\$108
<i>I-95 Refuse Disposal (per ton)</i>	<i>Ton</i>	\$32.90	\$34.57	\$34.26	\$35.29
Leaf Collection	\$100/Assessed Value	\$0.019	\$0.019	\$0.019	\$0.019
SEWER CHARGES					
<i>Sewer Base Charge</i>	<i>Quarterly</i>	\$49.73	\$52.62	\$55.78	\$60.79
<i>Sewer Availability Charge</i>	<i>Residential</i>	\$9,038	\$9,218	\$9,398	\$9,398
<i>Sewer Service Charge</i>	<i>Per 1,000 Gallons</i>	\$8.81	\$9.33	\$9.88	\$10.78
COMMUNITY CENTERS					
McLean Community Center	\$100/Assessed Value	\$0.023	\$0.023	\$0.023	\$0.023
Reston Community Center	\$100/Assessed Value	\$0.047	\$0.047	\$0.047	\$0.047
Burgundy Village Community Center	\$100/Assessed Value	\$0.020	\$0.020	\$0.020	\$0.020
OTHER SPECIAL TAX DISTRICTS					
Stormwater Services District Levy	\$100/Assessed Value	\$0.0325	\$0.0325	\$0.0325	\$0.0325
Route 28 Corridor	\$100/Assessed Value	\$0.14	\$0.12	\$0.12	\$0.12
Dulles Rail Phase I	\$100/Assessed Value	\$0.09	\$0.09	\$0.09	\$0.09
Dulles Rail Phase II	\$100/Assessed Value	\$0.16	\$0.14	\$0.14	\$0.14
Integrated Pest Management Program	\$100/Assessed Value	\$0.001	\$0.001	\$0.001	\$0.001
Commercial Real Estate Tax for Transportation	\$100/Assessed Value	\$0.125	\$0.125	\$0.125	\$0.125
Tysons Service District	\$100/Assessed Value	\$0.05	\$0.05	\$0.05	\$0.05
Reston Service District	\$100/Assessed Value	\$0.021	\$0.021	\$0.021	\$0.021

Rates ***italicized and in bold*** are adjusted in FY 2027.

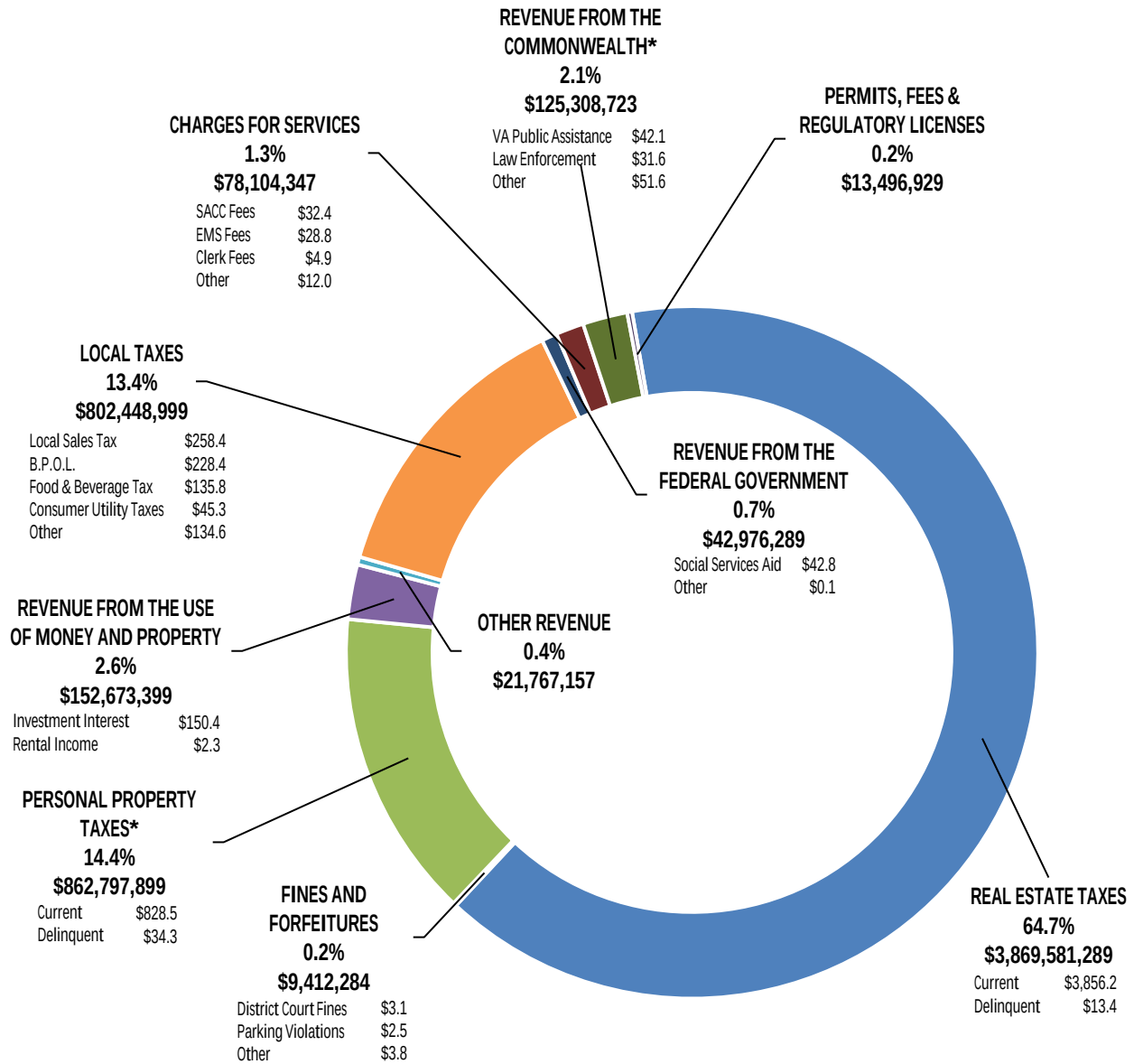
*I-95 Disposal rate is determined based on a formal contract with Reworld (former CoVanta).

FY 2027 ADVERTISED BUDGET PLAN

GENERAL FUND RECEIPTS

"WHERE IT COMES FROM"

(Subcategories in millions)



FY 2027 GENERAL FUND RECEIPTS = \$5,978,567,315**

* For presentation purposes, Personal Property Taxes of \$211,313,944 that are reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998 are included in the Personal Property Taxes category.

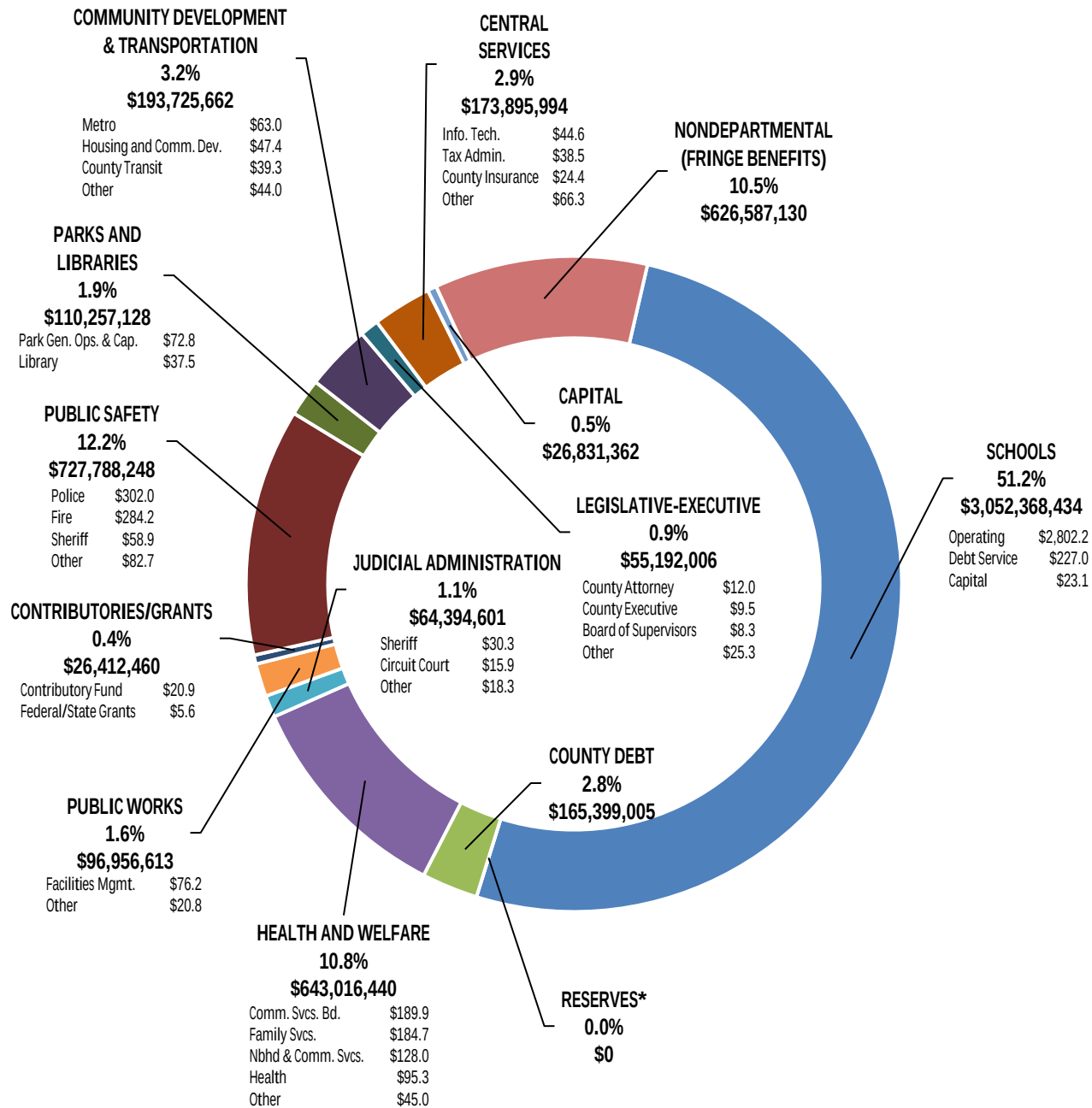
** Total County resources used to support the budget include the revenues shown here, as well as a beginning balance and transfers in from other funds.

FY 2027 ADVERTISED BUDGET PLAN

GENERAL FUND DISBURSEMENTS

"WHERE IT GOES"

(Subcategories in millions)



FY 2027 GENERAL FUND DISBURSEMENTS = \$5,962,825,083

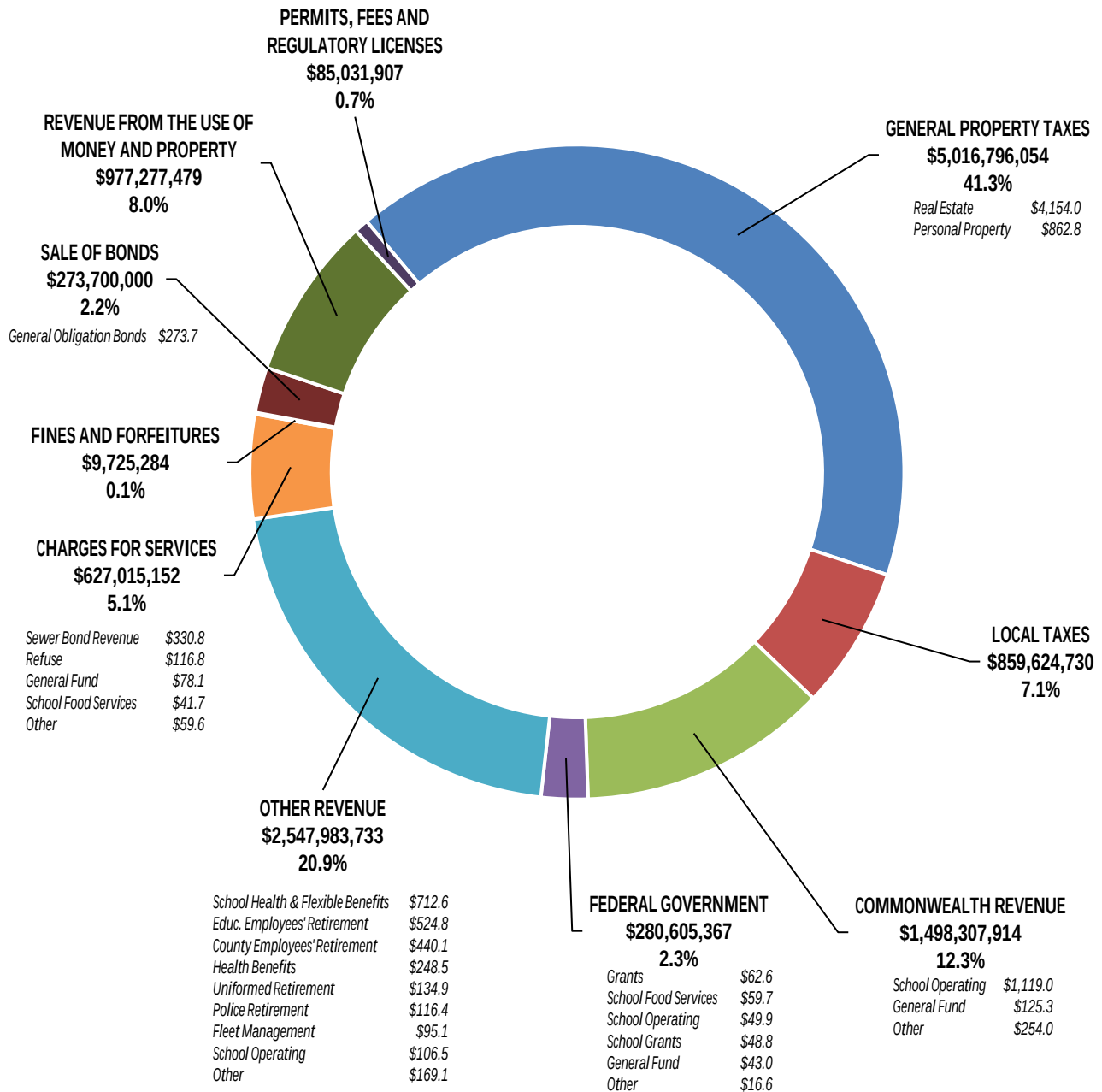
In addition to FY 2027 revenues, available balances and transfers in are also utilized to support disbursement requirements.

* Disbursements to reserves include contributions to the Revenue Stabilization Fund and the Economic Opportunity Reserve, but do not include contributions to the Managed Reserve.

FY 2027 ADVERTISED BUDGET PLAN

REVENUE ALL FUNDS

(subcategories in millions)

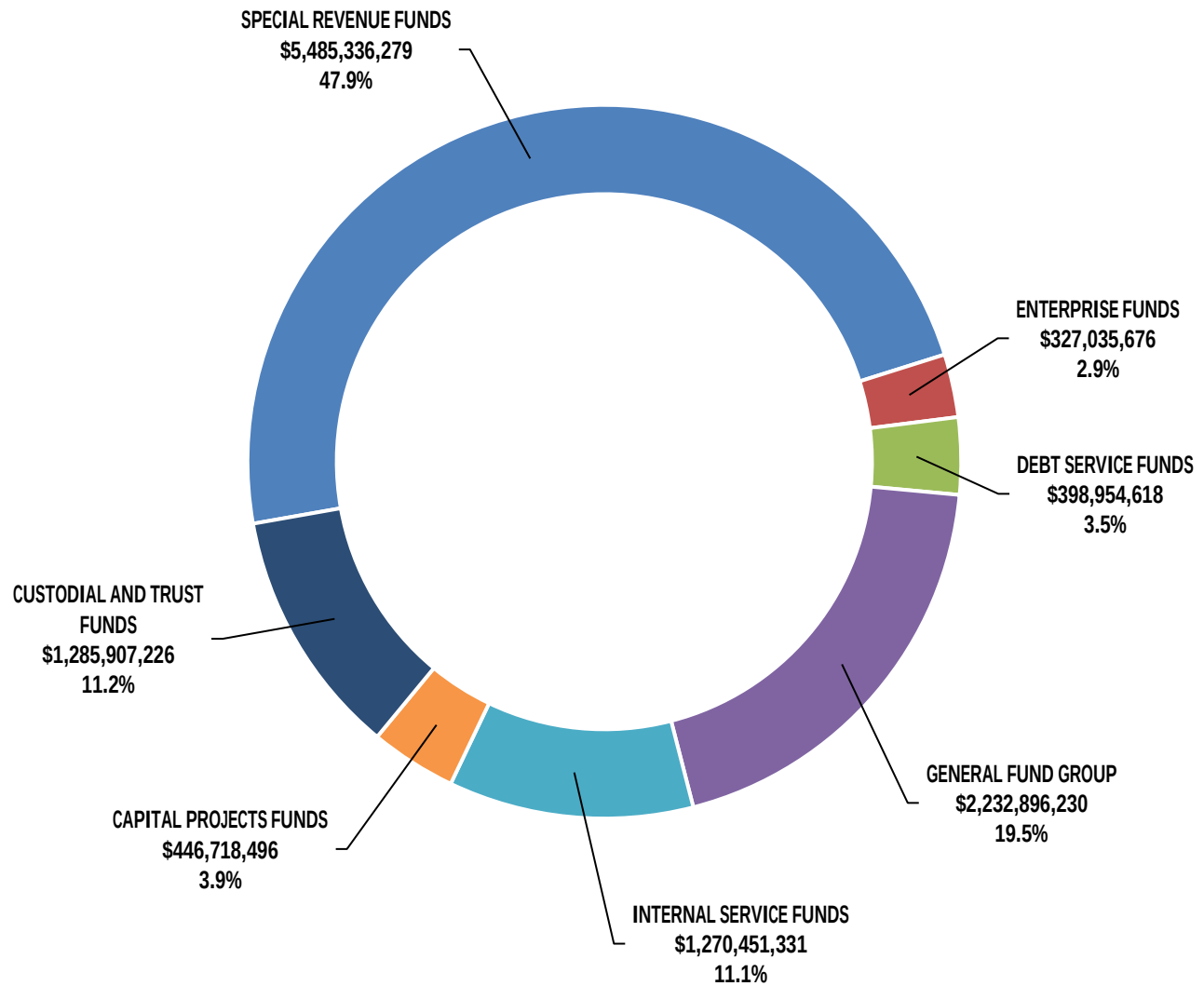


TOTAL REVENUE = \$12,176,067,620

For presentation purposes, Personal Property Taxes of \$211,313,944 that are reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998 are included in the Personal Property Taxes category.

FY 2027 ADVERTISED BUDGET PLAN

EXPENDITURES ALL FUNDS



TOTAL EXPENDITURES = \$11,447,299,856

Agency Reductions



FY 2027

Advertised Budget Plan

Agency Reductions

A decrease of \$32.9 million and 107/103.0 FTE positions is associated with reductions identified by agencies to offset other required increases. An associated decrease in revenue totaling \$1.3 million results in a net decrease to the General Fund of \$31.6 million. These proposed reductions, along with targeted agency spending cuts in FY 2025 and FY 2026 of \$34.3 million and \$51.0 million, respectively, and \$6.3 million in across-the-board reductions in FY 2024, total more than \$124.5 million in spending cuts.

The \$32.9 million in reductions included in this year's budget, represents an average agency reduction of 1.9 percent. The table below details the reductions by agency.

Title	Impact	Positions/FTE	Reduction
Agency 02, Office of the County Executive		0/0.0	\$96,025
Reduce Training Budget – One Fairfax	This reduction will limit the capacity of the One Fairfax team's ability to secure training, consultation, and technical assistance to support residents focused on career advancement. The One Fairfax team will leverage partnerships to mitigate the impact of this reduction.		\$52,268
Realize Savings through Efficiencies in Government Relations	This reduction realizes savings through efficiencies in Government Relations by eliminating the National Journal subscription, cutting printing costs through greater use of electronic resources, limiting food orders for the annual Board of Supervisors and General Assembly delegation workshop, reducing full-time staff presence in Richmond during the General Assembly session, and lowering consultant contractual costs by handling more work internally. It is not expected that these reductions will have a negative impact on agency operations.		\$43,757
Agency 03, Department of Clerk Services		0/0.0	\$16,771
Eliminate Vacant Non-Merit Administrative Assistant Position	This reduction eliminates a vacant non-merit Administrative Assistant III position responsible for supporting various functions of the Board of Supervisors and the Planning Commission. The position's workload is primarily project-based and can be absorbed by remaining staff; therefore, it is not expected that this reduction will negatively impact agency operations.		\$16,771
Agency 06, Department of Finance		1/1.0	\$221,756
Eliminate Administrative Assistant II Position	This reduction of \$66,318 eliminates an Administrative Assistant II position in the Operations and IT Division. The elimination of this position will remove administrative support for the department's non-tax revenue operations and reduce support for the frontline customer service desk.	1/1.0	\$66,318
Directly Charge IT Costs to Fund 60000, County Insurance	This reduction of \$155,438 is the result of IT costs that will now be charged directly to Fund 60000, County Insurance, instead of the department's General Fund budget. This will better align with employees' actual workplace assignment.		\$155,438
Agency 08, Facilities Management Department		0/0.0	\$350,000
Reduce Leased Facilities Common Area Maintenance	This reduction will decrease the reserves available to respond to facility common area support requests. Each lease includes some funding to support a portion of the costs of maintenance of the common areas of the facilities that the County leases. Each tenant pays for a pro rata share of the costs. At the end of each year, each landlord provides a reconciliation of the costs, and the County is responsible for paying its share of the revised costs. It is anticipated that the existing annual reserves can fund the common area maintenance annually.		\$250,000
Reduce Storage and Inventory Services	FMD has discontinued the storage lease used for repurposed system furniture parts and cubicle equipment. Over the past several years, the cost to maintain the storage space significantly increased at the same time that the amount of space required was reduced. New building and renovation designs have moved away from the product line that was stored, and the inventory was outdated based on current safety and code requirements.		\$100,000

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Agency 11, Department of Human Resources		2/2.0	\$271,344
Eliminate Vacant Senior Human Resources Consultant Position	This reduction eliminates a vacant Senior Human Resources Consultant position supporting the HR General Services unit. Following a redesign of the general HR inquiry process, the workload associated with this role has been significantly reduced, and remaining responsibilities can be absorbed by existing staff.	1/1.0	\$124,097
Eliminate Vacant Data Analyst I Position	This reduction eliminates a vacant Data Analyst I position in the Human Resources Information Systems (HRIS) division. The position has been vacant for more than one year and the remaining HRIS staff have been able to absorb the responsibilities. Therefore, it is not anticipated that this reduction will negatively impact agency operations; however, if there is a significant increase in data requests, it may increase the division's response time.	1/1.0	\$91,670
Reduce Operating Expenses	The Department of Human Resources reviewed all operating expenses and the following reductions have been identified: - A decrease of \$20,500 eliminates a video-recorded interview recruiting platform. This technology is not widely used by agencies and interviews can be effectively conducted through other available methods. - A decrease of \$7,358 is associated with eliminating printing and postage costs for mailing employee pay advice. Non-merit and temporary staff will continue to receive pay advice, and agencies may provide alternative access without mailing. - A decrease of \$27,719 reduces funding for computer equipment. While funding for new computers for new staff and for scheduled replacements is centrally allocated, this funding supports the purchase of accessories, such as monitors and other technologies. It is not expected that any of these reductions will negatively impact agency operations.		\$55,577
Agency 12, Department of Procurement and Material Management		2/2.0	\$211,180
Eliminate Vacant Management Analyst III Positions	This reduction eliminates 2/2.0 FTE vacant Management Analyst III positions which support the Material Management division and the Grants and Sponsored Programs division. The position in the Material Management division is responsible for managing and updating emergency plans, conducting exercises, and providing essential training. The Grants and Sponsored Programs position serves as the Fiscal Monitoring Coordinator. Eliminating it will end the Nonprofit Financial Solvency program and hinder oversight of federal subrecipient monitoring. Since these positions have been vacant for more than a year, duties and responsibilities that need to continue can be absorbed by existing staff; however, it may take longer to complete tasks.	2/2.0	\$211,180
Agency 13, Office of Public Affairs		0/0.0	\$31,000
Reduce Contracted Staff as a Result of Service Redesigns	This reduction realizes savings from service redesigns that leverage existing staff in place of contracted staff. Due to recent staff realignments as well as new hires, OPA can now cover front desk duties at the Government Center Building utilizing existing staff. In addition, OPA has hired two full-time language access staff who provide most translation services for OPA and other agencies. Both of these changes have reduced OPA's reliance on external vendors and thus generated savings.		\$31,000
Agency 15, Office of Elections		0/0.0	\$191,050
Reduce the Number of Early Voting Days for the June Primary Election Only	This reduction standardizes the number of days the 15 early satellite voting locations are open for the June primary election. Each early voting location will now be open seven days prior to the election. Standardizing each location aims to minimize voter confusion and ensure residents have access to familiar early voting locations. This reduction does not impact the 45-day early voting period at the Government Center for the June primary election.		\$45,000

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Realize Savings from the Implementation of the Ballot on Demand System	This reduction realizes savings generated through the use of the Ballot-on-demand (BOD) system, which offers a cost-effective, accurate, and streamlined alternative to the previous method of pre-printing ballots for each satellite location. BOD machines are self-contained systems that enable election officials to print precinct-specific ballots as needed. This reduction will not impact voters and/or the election process and can be taken with no impact on agency operations.		\$146,050
Agency 16, Economic Development Authority		0/0.0	\$547,950
Eliminate the Contribution to the Community Business Partnership	This reduction eliminates funding of \$375,750 in Operating Expenses for the County's annual contribution to the Community Business Partnership (CBP), a non-profit organization that was focused on providing support to small businesses. CBP's Board of Directors made the decision to close the organization as of December 31, 2025. Therefore, the annual contribution is no longer required.		\$375,750
Realize Savings Associated with Temporary Position	This reduction realizes savings of \$86,700 in non-merit personnel budget and is based on the current use of non-merit staff. All functions and responsibilities previously supported by this funding will be absorbed by existing staff.		\$86,700
Eliminate Funding Associated with India-Based Market Representative	This reduction eliminates funding of \$67,000 in Operating Expenses associated with supporting new foreign direct investment leads and prospects generated from the India Market. The agency expects this reduction to have a limited impact on operations.		\$67,000
Reduce Funding Associated with Strategic Initiatives Sponsorships	This reduction reduces funding of \$18,500 associated with supporting key partner organizations that help attract and grow business investment in Fairfax County. The agency expects this reduction to have a limited impact on operations.		\$18,500
Agency 20, Department of Management and Budget		0/0.0	\$65,476
Realize Savings by Reclassing Two Vacant Division Directors to Team Leads	The Department of Management and Budget reviewed its management structure and as a result, two vacant Division Director positions were reclassified to Team Leads. This change still aligns the needs of the department with required expertise; therefore, it is not anticipated that this reduction will negatively impact department operations.		\$65,476
Agency 25, Business Planning and Support		0/0.0	\$68,670
Shift Funding Associated with an Engineer I Position to Solid Waste, Stormwater Services, and Wastewater Funds	This reduction will be achieved by increasing Work Performed for Others (WPFO) within Business Planning and Support to recover a portion of the salary associated with an Engineer I position. This position provides services and support, on a rotational basis, to the Solid Waste, Stormwater Services, and Wastewater Funds. It is not anticipated that this change will have a negative impact on these program areas and the cost can be absorbed within their respective appropriations.		\$68,670
Agency 26, Capital Facilities		0/0.0	\$158,183
Realize Additional Savings due to LED Streetlight Conversions	This reduction will reduce the electricity budget based on savings associated with the conversion of streetlights from existing mercury vapor, high pressure sodium, and metal halide fixtures to LED streetlights. This reduction is based on savings experienced in previous years. As most of the conversion process to LED streetlights has been completed, further savings is not anticipated.		\$100,000
Transfer Engineer III Position supporting the Streetlight Program to Land Development Services (LDS)	This reduction will transfer one full-time position to Fund 40200, Land Development Services. This position will manage the Countywide Streetlight program related to developer scoping and regulatory review within LDS. This cost can be absorbed within Fund 40200, which is primarily supported by revenue from permits, fees and regulatory licenses.		\$58,183

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Agency 35, Department of Planning and Development		2/2.0	\$348,647
Eliminate Business Analyst III Position	This reduction of \$131,733 eliminates a Business Analyst III position in the Administrative Services Section in the Administration Division. This position supports staffing for digitization of the department's historical property files into a content management system. With the framework of the digitization project being well established, the essential functions of this position will be absorbed by current staff. The digitization project requirements, timelines, and workloads will continue to operate effectively and efficiently.	1/1.0	\$131,733
Reclassification of 2 Merit Positions Associated with Consolidation of Management	This reduction of \$111,324 is attributed to savings due to the reclassification of positions as a result of consolidation of management and re-organization of the agency's structure to align with current work programs. This change is expected to have limited impact on the agency's operations.		\$111,324
Eliminate Management Analyst III Position	This reduction of \$105,590 eliminates a Management Analyst III position in the Commercial Revitalization/Urban Centers Sections. This position provides additional communications and outreach support for the department. The responsibilities and duties of this position will be absorbed by current staff.	1/1.0	\$105,590
Agency 38, Department of Housing and Community Development		0/0.0	\$800,000
Increase Administrative Expenses Charged to Fund 30300, Affordable Housing Development and Investment (AHDI)	As part of the <u>FY 2009 Adopted Budget Plan</u> , the Board of Supervisors approved charging out administrative support costs including, policy oversight, program management, budgeting, and project management expenses associated with administering Fund 30300, Affordable Housing Development and Investment (formerly referred to as The Penny for Affordable Housing). The expenses charged are equal to 2.5 percent of the annual funding to the fund. As the value of the penny increases, along with increasing the dedicated resources to the fund (currently, commensurate with the total value of \$0.0125 on the Real Estate tax), the administrative expenses charged to the fund will also increase. While additional positions have been added to Agency 38, HCD, the amount charged to Fund 30300, AHDI, has not been maintained at 2.5 percent. This adjustment right sizes the amount charged to Fund 30300, ADHI, and results in Agency 38, HCD savings of \$450,000. It should also be noted that as the Board allocates additional funding to affordable housing, it is anticipated that new General Fund positions will be needed and some, if not all, of the expenses will be charged to Fund 30300, AHDI.		\$450,000
Eliminate Low- and Moderate-Income Home Repair Pilot Program	This reduction eliminates a home repair program targeting low- to moderate-income households not served by the existing Home Repair for the Elderly Program in Fund 50800, Community Development Block Grant. The contract for this program is in its first year of implementation, and while not a mandated service, discontinuing this program removes essential support for vulnerable households, potentially undermining their ability to maintain and preserve homeownership.		\$350,000
Agency 40, Department of Transportation		1/1.0	\$377,290
Convert the Employee Commuter Benefit Program to a Pre-Tax Deduction Benefit and Eliminate 1/1.0 Program Administrator	As part of the <u>FY 2026 Adopted Budget Plan</u> , the Employee Commuter Benefits program was eliminated and replaced with a tax-advantaged Commuter Benefits account, allowing employees to set aside pre-tax earnings to pay for qualified work-related transit and parking-related expenses. The benefit change was effective January 1, 2026, resulting in a half year of savings of \$153,950 in FY 2026, with the remainder of the savings to be realized in FY 2027. Additionally, this reduction eliminates 1/1.0 vacant full-time position responsible for administering the program since a dedicated administrator is no longer required, resulting in savings of \$60,340.	1/1.0	\$214,290

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Transfer 1/1.0 FTE Position to Fund 40010, County and Regional Transportation Projects	This reduction will transfer one filled full-time position focused on transportation projects from the Department of Transportation to Fund 40010, County and Regional Transportation Projects, for a savings of \$130,000 to the General Fund. The salary and benefit expenses associated with the transferred position would be supported by Commercial and Industrial Tax revenues.		\$130,000
Align Budget to Actuals for the Salaries Charged to Fund 40010, County and Regional Transportation Projects	This reduction increases budgeted cost recovery for positions charging back to capital projects funded out of Fund 40010, County and Regional Transportation Projects, based on prior year results and capital project activity anticipated into the future.		\$33,000
Agency 41, Civil Service Commission		0/0.0	\$24,200
Realize Savings in Personnel Services	This reduction realizes savings of \$24,200 in the Civil Service Commission's Personnel Services budget and is based on actual spending associated with current staffing levels. It is not expected that this reduction will have a negative impact on agency operations since it aligns budget to actual expenditures.		\$24,200
Agency 44, Office of Police Accountability		0/0.0	\$65,956
Office of Police Accountability Reorganization	As part of the <u>FY 2027 Advertised Budget Plan</u> , the Office of the Independent Police Auditor (Agency 42) and the Office of the Police Civilian Review Panel (Agency 43) will be combined into a new Office of Police Accountability (Agency 44). The new Office of Police Accountability will enhance coordination, reduce administrative duplication, and provide a clearer, more accessible framework for community engagement and accountability. By leveraging shared expertise and resources, this reorganization is expected to realize savings of \$65,956 while strengthening transparency and enhancing community trust in law enforcement, supporting the County's commitment to effective, efficient, and accountable governance.		\$65,956
Agency 52, Fairfax County Public Library		8/6.5	\$516,519
Eliminate Vacant Positions Associated with Library Renovations	When a library closes for renovations, staff are typically redeployed to nearby libraries until the renovation has been completed. Rather than move staff, this reduction eliminates 8/6.5 vacant positions and associated funding that are not needed while libraries across the system are being renovated. These positions will need to be added back once all renovations are completed; however, based on the current renovation schedule, these positions will not be needed until FY 2031.	8/6.5	\$450,000
Reduce Library Page Temporary Positions	Fairfax County Public Library utilizes temporary library page positions to shelve books and materials as well as keeping shelves in proper order. This reduction will decrease the number of library page temporary positions and may lead to slower reshelving of materials; however, it is not expected that this reduction will significantly impact library operations.		\$66,519
Agency 57, Department of Tax Administration		0/0.0	\$432,348
Reduce Non-Merit Funding in Personal Property, Real Estate, and Revenue Collection Divisions	This reduction results in a decrease of \$247,789 in funding for non-merit staffing in the Personal Property, Real Estate, and Revenue Collection divisions. This will result in increased workload for the remaining staff as well as possible delays in responses to customers, longer payment processing times, and deterioration in customer service satisfaction.		\$247,789
Reduce the Use of Data Analytics Vendor Services	This reduction will reduce funding by \$150,000 for data analytics vendor services associated with the TARGET program through a process redesign.		\$150,000
Reduce the Use of Scanning Services	This reduction will reduce funding by \$34,559 for scanning and indexing services. As businesses transition to online filing for BPOL taxes, the need for scanning is anticipated to decrease.		\$34,559

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Agency 67, Department of Family Services		4/4.0	\$2,956,001
Children's Services Act	The Children's Services Act (CSA) provides a continuum of services for troubled and at-risk children and youth who require foster care services, private school special education, home-based interventions, and residential services for behavioral health care. Actual costs for the CSA program are dependent on the number of youths served and the complexity of services provided. The following two reductions are included: <u>Align Mandated CSA Budget with Actual Spending</u> This reduction realizes savings of \$2,000,000 to mandated services and is based on current service levels. The reduction includes a decrease of \$1,000,000 in state revenue, for a net reduction to the General Fund of \$1,000,000. Sufficient funding remains to maintain current service levels; however, if the cost to serve eligible youth significantly increases (due either to more youth being served or cost increases) additional funding will be required to meet state mandates. <u>Reduce Funding for the Children's Services Act Non-Mandated Services</u> This reduction decreases non-mandated CSA services by \$250,000. While non-mandated services are a component of a locality's CSA annual pool allocations, they serve eligible children and youth not eligible for mandated CSA services. This reduction decreases available funding by 25 percent and brings the County's investment closer to the per capita level of other jurisdictions in the region. Approximately 50 fewer youth will be served, and a waitlist will need to be established. The \$250,000 reduction includes a decrease of \$125,000 in state revenue, for a net reduction to the General Fund of \$125,000.		\$2,000,000 \$250,000
Reduce Continuous Quality Improvement Staffing in the Children, Youth and Families Division	This reduction eliminates 1/1.0 FTE vacant Social Services Specialist III position and a filled non-merit benefits eligible position supporting the Continuous Quality Improvement (CQI) unit in the Children, Youth, and Families (CYF) division. The CQI team supports CYF by leading practice and process improvements, federal Child and Family Services Reviews, workflow optimization, and policy creation. The workload associated with these positions will be redistributed to the remaining two positions in the CQI team. DFS staff, including practitioners and supervisors, will lose essential tools and support, leading to reduced efficiency.	1/1.0	\$167,844
Eliminate the Printing and Mailing of The Golden Gazette	This reduction eliminates the printing and mailing of The Golden Gazette, a free publication that provides resources to learn about older adult services, volunteer opportunities, caregiver support, and service providers. The Golden Gazette will continue to be offered as a digital publication and outreach will be conducted to enroll print subscribers in a digital subscription. There are 15,900 print editions published monthly (13,900 subscribers and 2,000 that are distributed to senior centers and other locations). The reduction of \$139,667 is offset by a reduction of \$41,260 in advertising revenue (the digital version is ad-free), for a net reduction to the General Fund of \$98,407.		\$139,667
Eliminate 2/2.0 FTE Vacant Administrative Assistant Positions Supporting Children, Youth and Families	This reduction eliminates 2/2.0 FTE vacant Administrative Assistant positions supporting the Children, Youth, and Families Permanency Resource and Support program. The positions represent one-third of the program's administrative support team, which is responsible for ensuring mandated deadlines are met, documentation is updated, family communication is maintained, and tracking tasks are completed. The workload associated with these positions will be redistributed to the remaining four positions; however, this change may slow task completion and delay documentation and communication with families.	2/2.0	\$126,459
Reduce Language Services Budget to Align with Spending	This reduction aligns the language translation and interpretation services budget to actual spending. Spanish and Korean translation services provided by the Office of Public Affairs have reduced the agency's reliance on external vendors, and anticipated technological improvements are expected to further reduce costs.		\$109,931

Agency Reductions

Title	Impact	Positions/FTE	Reduction
	It is not expected that this reduction will impact service delivery as it aligns budget with actual spending; however, new funding may be required in the future if caseloads and demand for translation and interpretation services increase.		
Eliminate a Vacant Position Supporting Clinical Practice Coaching	This reduction eliminates 1/1.0 FTE vacant Social Services Specialist III position serving as a Clinical Practice Coach (CPC). Children, Youth, and Families CPCs provide training, coaching, and professional development to hundreds of practitioners and teams, promoting alignment with DFS's Safe and Connected practice model. Eliminating this position will reduce coaching frequency, limit professional development opportunities, and may lower the quality of clinical practices across the division.	1/1.0	\$96,167
Eliminate Funding for Kinship Family Support Groups	This reduction eliminates funding for contracted kinship family support groups. These groups provide critical resources for kinship caregivers, helping relatives address the unique challenges of raising family members' children. Elimination of the program will reduce access to support networks and may increase isolation for kinship families. This could lead to poorer outcomes for children and higher workloads for DFS staff as kinship families, which currently number about 8,000 in Fairfax County, turn to the County for alternative support.		\$43,185
Reduce Mailroom Contract to Better Align with Needs	This reduction eliminates a contracted part-time position responsible for mailroom and administrative duties. These responsibilities have already been greatly reduced due to automation and electronic systems and can be absorbed by existing staff with no anticipated impact to program performance or customer satisfaction. However, it will result in the loss of a job for an individual participating in an employment program for people with disabilities.		\$22,748
Agency 70, Department of Information Technology		0/0.0	\$242,800
Eliminate Dedicated Security Contract for County-Issued Mobile Devices	This reduction eliminates the dedicated security contract used to protect County-issued mobile devices, and shifts to Microsoft Defender, a tool included in the County's existing license package. Microsoft Defender has evolved over time and has become a strong security tool; therefore, it is not expected this reduction will negatively impact the County's protection of mobile devices. However, it should still be noted that there if there ever is a security breach, it could lead to significant costs and the exposure of sensitive personal information.		\$150,000
Reduce Management Contract by 50 Percent	This reduction reduces a management consulting contract by 50 percent, providing DIT with guidance and expertise not available by County staff. While this change will not affect direct service provision, it could lead to workload inefficiencies and reduced access to specialized support.		\$92,800
Agency 71, Health Department		29/28.5	\$2,262,680
Eliminate Speech and Hearing Program	The Speech and Hearing Program was established to address an unmet need for affordable services but the County's program is no longer necessary due to significant private sector capacity, Medicaid coverage, and legislative requirements for similar services in schools. The program, which primarily serves children ages 3 to 14, offers screening, therapy, teletherapy, community outreach, and support groups, but almost all referrals come through partnerships with the Infant Toddler Connection (ITC) and Women, Infants, and Children (WIC) programs; participants in these programs will be able to access services through other providers. In FY 2025, the program served 1,044 clients; of these, 26 percent were covered by Medicaid and 74 percent were self-paying, with the majority not eligible for income-based fee reductions. An associated reduction in revenue of \$94,521 results in a net General Fund reduction of \$919,483.	10/10.0	\$1,014,004

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Redesign Clinical Services Delivery – Phase I	This reduction eliminates 14/13.5 FTE positions – the equivalent of one clinical service team – that provide direct clinical services through the FCHD's Public Health Centers (PHCs). Currently, FCHD operates five PHCs across the County, offering services such as immunizations, pregnancy testing, STD/HIV prevention and treatment, newcomer health assessments, and health education. However, upcoming facility changes including the temporary closure of the Joseph Willard PHC for renovation and the permanent relocation of West Springfield PHC services to the Franconia-Springfield PHC will temporarily reduce the number of locations from five to four. During this time, while a fifth clinical services team is not needed, FCHD will complete the design of a new service delivery model that will leverage technological and other efficiencies to deliver services at all five locations with fewer staff while maintaining access. An associated reduction in revenue of \$20,000 results in a net General Fund reduction of \$853,676.	14/13.5	\$873,676
Redesign School Health Program with a Focus on Licensed Practical Nurses (LPNs) – Year 2	This reduction aligns with the second year of the multi-year redesign of the School Health Model Program. It eliminates 5/5.0 FTE vacant Public Health Nurses (PHN) II. As School Health Aides exit the program and Licensed Practical Nurses (LPNs) are onboarded, the need for PHN II positions has decreased. The Department is able to enact this reduction by utilizing existing vacancies, ensuring no current staff are affected.	5/5.0	\$375,000
Agency 79, Department of Neighborhood and Community Services		18/16.5	\$1,720,741
Management Structure Redesign at the Community Center and Senior Center Co-Located Facilities	This reduction realizes savings due to redesigning the management structure at the co-located facilities that have both a community center and a senior center. Currently these co-located sites have both a senior center program director and a youth and family program director. The redesign will consolidate one director for each co-located facility.	5/5.0	\$458,500
Transition Huntington Community Center to Community Programming	This reduction eliminates County operated programs and services offered at the Huntington Community Center and transitions the space to a community organization. The Huntington Community Center, located on Liberty Drive in Alexandria, Virginia, serves as a resource for all residents; however, structured programming primarily focuses on youth and teens. The center includes a kitchen, multi-use room, and game room/computer lab. The center averaged 4,600 participants in FY 2025 which includes both the youth/teen afterschool programs and community utilization. NCS will engage community partners interested in providing programming and activities in this space. Participants will be able to access similar services at the Gum Springs Community Center or Hybla Vally Community Center although walkability to these centers will be an issue.	4/3.75	\$273,888
Transition David R. Pinn Community Center to Community Programming	This reduction eliminates County operated programs and services offered at the David R. Pinn Community Center and transitions the space to a community organization. The Pinn Community Center, located on Zion Road in Burke, Virginia, offers programming and activities for individuals of all ages and includes a kitchen, multi-use room and is adjacent to a playground, open field area and basketball court. Attendance in daily programming fluctuates but for the past several years was less than 3,000 participants each year (2,791 in FY 2025, 2,677 in FY 2024 and 2,798 in FY 2023). NCS will engage community partners interested in providing programming and activities in this space; however, participants will also be able to access similar services at the nearby Mott Community Center.	2/2.0	\$226,289

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Eliminate Teen Drop-In Sites	This reduction eliminates Teen Drop-In Sites located at eight Fairfax County Public School locations including Glasgow, Herndon, Irving, Key, Langston Hughes, Rocky Run, and South County Middle Schools, as well as the Graham Road Community Building. These sites provide teens a safe place to socialize and participate in recreational opportunities. The middle school sites operate Friday and Saturday's from 6:00 p.m. to either 9:00 p.m. or 10:00 p.m. and the Graham Road Community Building operates Wednesday, Friday and Saturday from 4:30 p.m. to 8:00 p.m. Attendance has decreased and currently, on average, 15 teens attend a drop-in site on a given night. NCS will transport teens to and from their neighborhoods to NCS teen centers during the same days and times the teen drop-in sites are currently open. Therefore, teens will be provided an alternative to replace these drop-in sites.		\$164,669
Eliminate the Health and Human Services Legislative & Policy Analyst Position	This reduction eliminates the Health and Human Services (HHS) Legislative & Policy Analyst position. In 2022, Government Relations in the Office of the County Executive established a legislative liaison position dedicated to health and human services. With the addition of the Government Relations position, there is no longer a need for the NCS HHS Legislative & Policy Analyst position since the two positions have the same roles and responsibilities. Therefore, it is not anticipated that this reduction will negatively impact the department or overall HHS policy review and analysis.	1/1.0	\$105,590
Consolidation of Work Functions in the Inclusive Engagement and Targeted Interventions Division	After a management review of workload requirements and services provided in the Inclusive Engagement and Targeted Interventions division, the Department of Neighborhood and Community Services (NCS) identified the following consolidations: <u>Eliminate a Social Services III Position Supporting Fairfax Families4Kids (FF4K)</u> The reduction eliminates a Social Services Specialist III position that coordinates the FF4K foster care mentoring program. The support provided by this position is integrated with the Department of Family Services (DFS) foster care and youth programs. Based on current capacity, the duties and responsibilities associated with this position can be reassigned to other NCS staff; therefore, it is not anticipated that this reduction will negatively impact service delivery and/or DFS programming. <u>Eliminate Non-Merit Support for the Neighborhood School Readiness Project</u> This reduction eliminates non-merit staff support for the Neighborhood School Readiness Project (NSRP). The NSRP supports children's success in kindergarten and beyond, including children's successful transition to kindergarten. This is done through NSRP teams which facilitate community partnerships focused on the healthy development and well-being of young children and their families. Non-merit staff support provides team facilitation, partnership coordination, training development, and support for inclusive early learning. Based on current capacity, these duties and responsibilities can be reassigned to the remaining NCS staff; therefore, it is not anticipated that this reduction will negatively impact the work completed by the NSRP teams.	1/1.0	\$96,167 \$95,298

Agency Reductions

Title	Impact	Positions/FTE	Reduction
	<u>Eliminate a Management Analyst II Position Supporting Services to Older Adults</u> This reduction eliminates a Management Analyst II position supporting programs and services to older adults. This position contributes to advancing equity, addressing service gaps, and enhancing the quality of life for older adults, adults with disabilities, and their caregivers. It also coordinates Village programs, which is an initiative that involves neighbors joining together to form a volunteer group to provide support to older adults so that they may age in place. Based on current capacity, the duties and responsibilities associated with this position can be reassigned to other NCS staff; therefore, it is not anticipated that this reduction will negatively impact service delivery and/or programming to older adults.	1/1.0	\$91,700
	<u>Eliminate a Management Analyst I Position Supporting Opportunity Neighborhoods</u> This reduction eliminates a Management Analyst I position that supports the Opportunity Neighborhoods (ON) initiative. ON brings together residents, service providers, schools, and other supporters in defined communities to create a shared vision to address needs and achieve equitable results for youth and their caregivers. This is one of two positions that provides administrative and technical support. Based on current capacity, the duties and responsibilities associated with this position can be reassigned to other NCS staff; therefore, it is not anticipated that this reduction will negatively impact the Opportunity Neighborhoods initiative. However, if new ON locations are implemented, additional resources may be required.	1/1.0	\$79,600
Program Adjustments to the Employee Child Care Center Based on Parent Feedback	The Budget Guidance for FY 2026 and FY 2027 directed staff to engage with families of children currently enrolled at the Employee Child Care Center (ECCC) to explore options to reduce costs while maintaining service quality. NCS held a series of engagement sessions to solicit feedback; 61 percent of families participated in at least one engagement session. As presented at the Board of Supervisors October 7, 2025 Health and Human Services Committee meeting, the following cost savings measures were recommended and have been included in the <u>FY 2027 Advertised Budget Plan</u>. - Eliminate 2/1.0 FTE vacant Day Care Center Teacher I positions. Since these positions have been vacant for almost 1.5 years, it is not anticipated that eliminating these positions will negatively impact ECCC operations. - Decrease Operating Expenses by requiring families to bring their own supplies (e.g., baby wipes). This change will be effective April 1, 2026.	2/1.0	\$69,340
Eliminate Position Supporting the Human Services Resource Guide	This reduction eliminates a Management Analyst I position that supports the Human Services Resource Guide (HSRG). The HSRG provides a one-stop shop resource and database of public, non-profit, and some private and for-profit human services available to County residents. This position maintains accurate, up-to-date information and collaborates with diverse partners to ensure data quality and relevance. The responsibilities associated with this position will be redistributed to three existing positions, who will ensure continued support and functionality of the HSRG without disruption to service delivery.	1/0.75	\$59,700
Agency 80, Circuit Court and Records		0/0.0	\$99,600
Eliminate Temporary Positions	This reduction eliminates two temporary positions in the Probate and Information Technology divisions. These positions assist with the scheduling of probate appointments and give flexibility for merit staff to telework. Eliminating this support will minimize flexibility to schedule virtual private appointments and staff's ability to telework may need to be adjusted. Since these positions are vacant, the workload has already been re-distributed to current staff; therefore, this reduction is not expected to negatively impact agency operations.		\$39,600

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Eliminate the Staff Engagement Survey	Savings of \$30,000 will be realized by eliminating the staff engagement survey, which is conducted by a third-party vendor. This survey provides objective, data-driven insights into employee satisfaction, organizational culture, and retention factors. It will be replaced with available public resources.		\$30,000
Reducing Training Budget	This reduction decreases the training budget by \$30,000 and will require staff to use existing County training resources and/or state provided seminars. It is not expected that this reduction will negatively impact agency operations or staff development since other training opportunities are available.		\$30,000
Agency 81, Juvenile and Domestic Relations District Court		11/11.0	\$875,578
Closure of Foundations Residential Program	The Juvenile and Domestic Relations District Court closed the Foundations residential program in October 2025 due to low utilization and the availability of alternative placement options through the Children's Services Act (CSA). While the program provided valuable support to a small number of court-involved girls, the demand no longer justified the staffing and operational costs of maintaining a 24-hours a day, seven days a week licensed facility. The closure reflects broader system progress with juvenile complaints being down and fewer youth requiring residential care. JDRDC continues to prioritize prevention, diversion, and community-based interventions that advance broader justice system transformation. The facility will be repurposed to meet other urgent County needs priorities, primarily by the Fairfax-Falls Church Community Services Board.	11/11.0	\$875,578
Agency 82, Office of the Commonwealth's Attorney		3/3.0	\$276,899
Eliminate 3/3.0 FTE Vacant Assistant Commonwealth Attorney I Positions	This reduction eliminates 3/3.0 FTE vacant Assistant Commonwealth Attorney I positions. While eliminating these positions may at some point impact OCA's ability to adequately address growing caseloads, given the high position turnover, eliminating these positions brings the vacancy rate more in-line with actual experience. The County will continue to work with the Office of the Commonwealth's Attorney to determine appropriate staffing levels based on workload needs, vacancy rates and available funding as needs are identified and funding permits should this reduction adversely impact agency operations.	3/3.0	\$276,899
Agency 85, General District Court		2/1.5	\$187,080
Realize Savings in Personnel Services	This reduction realizes savings of \$76,711 in the Personnel Services budget and is based on actual spending associated with current staffing levels within Diversion First. It is not expected that this reduction will have a negative impact on agency operations or service delivery since it aligns budget to actual expenditures.		\$76,711
Eliminate Administrative Assistant II Position	This reduction eliminates an Administrative Assistant II position. This position provides coverage of the public service counter assisting individuals reporting for pretrial evaluation and community supervision. The responsibilities and duties of this position will be absorbed by current staff.	1/1.0	\$68,714
Eliminate Paralegal Position	This reduction eliminates a Paralegal position that is assigned to support the 12 General District Court judges in the administration of the County's Diversion First initiative. This position has been vacant for two years and will not have a negative impact on agency operations.	1/0.5	\$41,655

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Agency 90, Police Department		13/13.0	\$1,891,026
Eliminate High School Crossing Guards and Contract Out Services to Cover Middle and Elementary School Crossing Guard Vacancies	This reduction eliminates 13/13.0 FTE crossing guards at Fairfax County Public Schools (FCPS) high schools and the department will use contracted staff to cover school crossing guard vacancies at middle and elementary schools, rather than assigning police officers to cover those vacancies. Historically, the Police Department has faced challenges with fully staffing the school crossing guard program. This staffing shortage has required police officers to cover vacancies through overtime and while on duty, significantly increasing program costs and diverting officers from their core policing duties. To address this issue, the Police Department will continue to operate the middle and elementary school crossing guard program but will contract out to assist with covering vacant positions until full staffing can be accomplished. This change only impacts utilizing police officers to backfill vacancies for middle and elementary schools, which will cost significantly less than the current practice of assigning police officers and will continue to provide consistent and effective coverage; therefore, it is not anticipated that this reduction will negatively impact the crossing guard program for middle and elementary schools.	13/13.0	\$1,891,026
Agency 91, Office of the Sheriff		1/1.0	\$392,125
Reduce Operating Expenses Associated with the Operation of the Adult Detention Center	The Office of the Sheriff reviewed operating expenses in the Adult Detention Center (ADC) and the following reductions are included: - Savings of \$100,000 associated with the food service program have been identified to reduce costs without comprising the nutritional quality or regulatory compliance of inmate meals. - Savings of \$100,000 associated with inmate medical costs have been identified by aligning current practices with state legal requirements. - Savings of \$100,000 associated with using lower cost generic medications have been identified without compromising inmate medical care. It is not expected that any of these reductions will negatively impact the services provided to the inmates in the ADC.		\$300,000
Eliminate a Vacant Deputy Sheriff Position Assigned to the Department of Code Compliance	This reduction eliminates 1/1.0 FTE vacant Deputy Sheriff position assigned to support the Department of Code Compliance (DCC) with serving legal documents and ensuring safety during inspections. One assigned Deputy Sheriff will remain to continue working with DCC. Additionally, deputies from the Civil Enforcement Branch can provide assistance with the service of civil processes. Since this position has been vacant for almost two years, it is not anticipated that this reduction will have a negative impact on agency operations or other County functions.	1/1.0	\$92,125
Agency 92, Fire and Rescue Department		0/0.0	\$964,661
Reduce the Number of Adjunct Instructors at the Training Academy	The Fire and Rescue Department has traditionally staffed the Training Academy with five dedicated positions and seven adjunct instructors from the Operations Bureau (referred to as DOOPS, detail out of operations). With the recent larger recruiting classes, three additional DOOPS were added to address the larger class sizes (30 to 35 students) and training volume. The department will limit class sizes to 25 students per school and thus will no longer need the three additional DOOPS positions. These three positions can be released without negatively impacting operations.		\$964,661

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Agency 93, Department of Emergency Management and Security		0/0.0	\$110,434
Reduce Funding for the Technical Services Division	The Technical Services Division manages and maintains critical emergency infrastructure, including the Emergency Operations Center, telecommunications systems, and technology that supports effective incident coordination. Funding for this division will be reduced by \$62,400 which may create challenges in addressing repairs, upgrades, and maintaining subscriptions to advanced tools like weather monitoring systems. While these challenges may slow response efforts, the department remains committed to providing timely alerts and supporting leadership in navigating emergencies effectively.		\$62,400
Eliminate the Emergency Management Volunteer Team	This reduction eliminates a temporary position responsible for the management of the Emergency Management Volunteer Team (EMVT) thus eliminating the team. The EMVT is a group of dedicated volunteers who play a vital role in expanding the division's ability to connect with the community, attend local events, and share emergency preparedness information. Without their support, the division's capacity to directly engage residents, strengthen partnerships, and foster community resilience will be greatly diminished.		\$35,000
Reduce Training, Staff Certifications and Memberships in the Training and Exercise Division	This reduction decreases the training budget in the Training and Exercise division as well as staff certifications and memberships by \$13,034. The Training and Exercise division ensures departments and personnel are ready to respond in the event of an emergency. Through workshops and simulations, this division rigorously tests the County's emergency systems and plans, while fostering critical agency coordination. This reduction will limit training opportunities and over time will impact the County's response and recovery opportunities.		\$13,034
Agency 96, Department of Animal Services		0/0.0	\$215,000
Align Overtime Budget to Actual Expenditures	This reduction aligns the Field Services division's overtime budget to actual expenditures based on improved staffing levels. The newly formed division previously relied on overtime to cover gaps while recruiting and training staff. As active hiring efforts continue to fill these positions, overtime is no longer needed. Continued monitoring of overtime data will ensure operational efficiency during this transition should an adjustment be needed in the future.		\$150,000
Savings Identified by Transitioning to a New Animal Food Contract	In late 2025, the department transitioned to a new supplier for animal food for shelter pets through a national program designed to support animal welfare organizations that provide discounted pricing exclusively to municipal and non-profit animal shelters. As a result, savings of \$65,000 have been identified.		\$65,000
Fund 10030, Contributories		0/0.0	\$782,300
Integrate Celebrate Fairfax into Visit Fairfax	A reduction of \$750,000 is due to integrating Celebrate Fairfax into Visit Fairfax, as recommended to the Board of Supervisors at the November 25, 2025, Economic Initiatives Committee meeting.		\$750,000
Eliminate Funding Supporting the Town of Vienna Teen Center	This reduction eliminates funding supporting the Town of Vienna Teen Center and is consistent with other actions taken to eliminate teen drop-in sites as part of the <u>FY 2027 Advertised Budget Plan</u> .		\$32,300
Fund 40000, County Transit Systems		0/0.0	\$7,286,802
Connector Bus Service Level Adjustments	This reduction would reduce operating requirements for Fairfax Connector Bus by eliminating 48,500 hours of annual revenue service, impacting approximately 600 passengers per day. The reduction would be implemented by adjusting service on low-performing routes without creating significant gaps in the service network. The reduced operating requirements allow for a \$7.3 million reduction in the General Fund Transfer In to Fund 40000.		\$7,286,802

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Fund 40040, Fairfax-Falls Church Community Services Board		4/4.0	\$4,743,567
Transition Individuals Receiving Developmental Disability Services through Local Funding to a Medicaid Waiver	This reduction transitions individuals from receiving locally funded developmental disability services to receiving services utilizing a Medicaid waiver slot. Service delivery for these individuals will continue uninterrupted; therefore, it is not anticipated that this reduction will have a negative impact on the Fairfax-Falls Church Community Services Board or the individuals served.		\$2,024,520
Eliminate the BeWell Program Contract	This reduction eliminates the BeWell program contract, which provides individual health coaching and tailored smoking cessation support. The program, through a contract, integrates physical and behavioral health to promote overall wellness and recovery for individuals with mental health and substance use challenges. BeWell is funded with a combination of grant and General Fund resources. CSB was in the process of restructuring this program due to a loss of grant funding and will implement a new in-house smoking cessation program and nurse-led education groups to continue offering key wellness services.		\$618,952
Implement a Need-Based Approach for Furniture Replacement	After a management review of replacement cycles for agencywide furniture and related items, CSB will shift to a need-based approach to replacing furniture. This may limit the agency's ability to proactively replace furniture; however, the new strategy will address the replacement of the most urgent items while at the same time maximizing the useful life of the existing furniture.		\$600,000
Eliminate Sign-On Bonuses Across the Agency	In an effort to address recruitment and retention challenges, CSB worked with the Department of Human Resources (DHR) and implemented sign-on bonuses for hard-to-fill job classes. The CSB has made significant progress in reducing vacancies, with current openings falling below 100 FTEs, marking notable improvement compared to pre-pandemic levels; therefore, this reduction eliminates sign-on bonuses across the agency. After a review of compensation requirements at the current staffing level, CSB is able to reduce the Personnel Services budget by \$519,354. CSB will closely monitor job classes previously eligible for sign-on bonuses and work with DHR to reintroduce targeted incentives if recruitment is adversely impacted.		\$519,354
Eliminate Vacant Division Director Position	After a management review of workload requirements and duties assigned to division directors, the CSB identified a recently vacated division director position supporting the Intensive Community Treatment division that can be eliminated. The responsibilities previously held by this position will be redistributed to other CSB staff; therefore, it is not anticipated that this reduction will negatively impact service delivery and/or programming.	1/1.0	\$292,232
Reduce Contract Staffing in Compliance and Risk Management	The CSB utilizes contracted staff to support various operational needs, including managing suggestion box feedback, conducting Human Rights investigations, facilitating evidence-based programming, and providing project-specific consulting. These contracted services have allowed the agency to leverage outside expertise while maintaining operational efficiency. Through internal restructuring, these services will be streamlined throughout existing CSB staff to ensure continued service delivery with no operational impacts.		\$172,286
Eliminate 3/3.0 FTE Positions Providing Transition Services to Fairfax County Public Schools Seniors	The Fairfax-Falls Church Community Services Board provides various transition services to high school seniors with Individualized Education Plans who are leaving Fairfax County Public Schools and moving into adulthood. These services specifically support individuals with developmental disabilities and aim to help them achieve independence, integrate into the community, and pursue post-secondary goals such as employment or other activities. After a review of program requirements, it was determined that these services more closely align with programs and services provided by FCPS. Therefore, the <u>FY 2027 Advertised Budget Plan</u> includes transferring funding of \$0.4 million from Fund 40040, Fairfax-Falls Church Community Services Board to Fairfax County Public Schools to provide these needed services. As a result of this transfer, 3/3.0 FTE CSB positions and remaining funding of \$165,683 can be eliminated.	3/3.0	\$165,683

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Eliminate Duplicative Lab Testing in Detoxification Services	This reduction eliminates repetitive lab testing and unnecessary automatic urine drug screens in Detoxification Services. Currently, admission protocols require automatic blood test orders and confirmatory urine toxicology screens for all patients, resulting in repetitive testing for patients with multiple admissions. Moving forward, only medically necessary tests will be ordered, resulting in savings of \$157,500.		\$157,500
Reduce Contract Services in Informatics Based on Program Needs	This reduction eliminates funding previously used to support IT system development, data management solutions and approximately 23 monthly cell phone contracts. Due to the redistribution of resources and the completion of various IT and data management projects, this funding is no longer necessary to support these initiatives.		\$118,040
Reduce Overtime Spending in Business Operations	This reduction limits overtime spending across various CSB business operations, including revenue, compliance, human resources, and facilities. Historically, overtime has been used to address staffing needs and workloads in these areas. This reduction will be distributed across multiple business lines, aiming to limit reliance on overtime and promote cost savings without disproportionately impacting any specific team or function.		\$75,000
Fund 40045, Early Childhood Birth to 5		1/1.0	\$501,293
Eliminate Contract Providing a Part-Time Preschool Program	This reduction eliminates a contract that funds a part-time preschool program currently serving 150 children across 13 classrooms throughout the County. The program serves children ages 4 and 5 who will be entering kindergarten the following school year and provides free developmentally appropriate programming that supports children's cognitive and socio-emotional development with a focus on early literacy and positive child-adult interactions. Classes are offered twice a week during the school year, each session lasting 1.5 to two hours.		\$300,000
Eliminate Access & Family Partnership Manager Position	This reduction eliminates the Access & Family Partnership Manager position funded in the Birth to 5 Fund but serving as a co-lead of the Ready Region grant which is administered in Fund 50000, Federal-State Grant Fund. This position is overseeing work conducted by grant-funded staff that includes family engagement, coordinated enrollment, and mixed delivery specialists who work to comply with the requirements of the grant. This responsibility will be absorbed by the other co-lead of the Ready Region grant, as was the original intent of the grant. Any additional duties can be distributed to other staff as needed.	1/1.0	\$201,293
Fund 40090, E-911		0/0.0	\$879,900
Reduce Public Safety Communicator Staffing Overtime	From January 2022 to June 2025, the Department of Public Safety Communications (DPSC) had mandatory overtime due to critically low staffing levels. The number of vacant positions has decreased; therefore, DPSC can reduce reliance on overtime to meet minimum staffing requirements. It is not expected that this reduction will negatively impact department operations; however, the vacancy rate and the impact on overtime will be monitored. Resources will need to be added back if there is a significant change in overtime usage.		\$879,900
Fund 40400, Park General Operations and Capital		4/4.0	\$919,978
Reduce General Fund Support for the Athletic Sports Program	This reduction will decrease the General Fund transfer that supports the Athletic Sports Program. In FY 2027, the Athletic Services Fees are proposed to increase which will more than offset this reduction. All projected revenue in FY 2027 will support indoor gym custodial fees, maintenance of diamond fields, and turf field replacement. The last time the Athletic Services Fees were increased was in FY 2025.		\$446,480
Eliminate Merit Position Supporting the Asset Management Branch	This reduction eliminates a filled Merit Park Management Specialist II position that supports the Asset Management Branch within the Park Authority. The assigned duties will need to be absorbed by the remaining staff in the Branch.	1/1.0	\$155,121

Agency Reductions

Title	Impact	Positions/FTE	Reduction
Reduce General Fund Support to the Park Foundation	The Park Authority currently supports half of the salaries for three Park Authority Foundation employees at an annual cost of \$150,000. This reduction will be achieved by increasing Work Performed for Others (WPFO) within the Park Authority to recover half of the salaries associated with these three positions. This may result in a need for the Foundation to raise additional funds or result in a reduction of donation amounts for a variety of Park programs.		\$150,000
Eliminate Two Merit Positions Supporting the In-House Park Authority Survey Program	This reduction eliminates the In-House Park Authority Survey Program and the two Merit positions that support the Program. Work for this program will be outsourced to a third-party contractor.	2/2.0	\$99,663
Eliminate a Merit Position Supporting the Park Operations Division	This reduction eliminates a filled Merit Administrative Assistant II position that supports the Park Operations Division. The assigned administrative duties will need to be absorbed by the remaining staff.	1/1.0	\$68,714
Fund 50000, Federal-State Grant Fund		0/0.0	\$391,764
Reduce Home-Delivered Meals to Mandated Level of Five Meals per Week (Agency 67, Department of Family Services)	The federal Older Americans Act (OAA) requires the Home-Delivered Meals program provide five meals per week; however, Fairfax County leveraged federal pandemic stimulus funding to increase the meals provided to 11 per week. After federal funding was expended local resources that had not been utilized during the pandemic because federal funds were available, were used to continue this higher level of service. This reduction will revert food provision to five meals per week. Nutrition services serve as a protective measure for older and vulnerable homebound adults, providing regular food and weekly check-ins to individuals who are otherwise vulnerable and isolated. No individuals will lose access to the program or their weekly check-ins as a result of this reduction.		\$391,764
Fund 60000, County Insurance		1/1.0	\$102,293
Eliminate Vacant Administrative Assistant IV Position	This reduction eliminates a vacant Administrative Assistant IV position supporting Risk Management's claims team. The position performs administrative functions such as claims data entry, customer setup in the Risk Management Information System, and frontline customer service. While eliminating the position will reduce direct administrative and customer support, operational efficiencies and increased automation have minimized the overall impact of this reduction.	1/1.0	\$102,293
Fund 60030, Technology Infrastructure Services		0/0.0	\$257,000
Reduce Network Circuits between Government Center and Backup Data Center	Recent testing by DIT has identified surplus capacity within contracted network circuits. This reduction will scale back the current network circuit contracts between the Government Center and the backup data center. It is not anticipated that this adjustment will negatively affect County operations.		\$117,000
Eliminate Two Software Contracts	This reduction eliminates two software contracts that are no longer needed due to overlapping functionality in tools already included in the County's existing licenses. It is not anticipated that this adjustment will negatively affect County operations.		\$80,000
Elimination of Contracted Data Center Support	This reduction eliminates contracted part-time support at the County's data center, which currently provides temporary staffing to assist with routine and emergency tasks. DIT is moving towards additional automation and/or use of artificial intelligence (AI) in the future but in the meantime, the elimination of this contract will decrease the capacity for regular maintenance and may increase the risk of extended outages.		\$60,000
TOTAL		107/103.0	\$32,853,887

Multi-Year Budget: FY 2027 and FY 2028



FY 2027

Advertised Budget Plan

Multi-Year Budget – FY 2027 and FY 2028

Summary of the Multi-Year Budget

Beginning in FY 2014, the County undertook a more comprehensive multi-year General Fund budgeting process – the development of a two-year budget framework. The two years include the budget proposed to the Board of Supervisors (FY 2027) and a framework for the subsequent year (FY 2028). The multi-year budget is a preliminary projection of revenues and disbursements for the upcoming fiscal year and is based on the most recent information available.

On the revenue side, there is continued uncertainty in the forecast, as a result of federal policy changes and anticipated softening of the residential real estate market, though there is hope that a stronger commercial real estate market is beginning to emerge. As a result, overall revenue growth is projected at 1.50 percent assuming no tax rate changes. This growth rate would provide additional resources totaling \$89.57 million. The disbursement projection focuses only on critical requirements, primarily support for Fairfax County Public Schools (FCPS) and County employee compensation and benefits, including those components required by the County's collective bargaining agreements. Funding requirements associated with Board of Supervisors' priorities and initiatives as well as new and/or expanded programs are not included in the projection but are found later in this document for informational purposes only. Preliminary County disbursement requirements total \$193.73 million with an assumed increase in the FCPS transfer commensurate with the County's growth rate of 6.66 percent, or \$203.18 million. Including the County's reserve contributions, early projections indicate an overall shortfall of \$349.57 million. This preliminary projection will be updated and presented again to the Board of Supervisors and School Board at their joint meeting in December 2026. The table below summarizes preliminary revenue and disbursement requirements. Greater detail is provided on the subsequent pages.

Preliminary Revenue and Disbursement Requirements

	FY 2028 (in millions)	% Inc / (Dec) Over FY 2027
Base Revenue Increase	\$89.57	1.50%
County Disbursement Requirements	\$193.73	6.66%
FCPS Transfer	203.18	6.66%
Net Change in Reserve Contributions	42.22	
Total Uses of Funds	\$439.13	
Net Balance / (Shortfall)	(\$349.57)	

Balancing the FY 2028 Budget

This initial FY 2028 budget forecast presents a challenging picture since early revenue projections indicate continued constrained growth, while disbursement increases far exceed anticipated resources. Since the majority of the funding requirements address employee compensation and other critical funding needs, a significant shift in funding requirements is not expected. Therefore, similar to this year, difficult decisions will need to be made and may include reorganizations, additional reduction options, revenue enhancements, or deferral of items. The FY 2028 Advertised Budget Plan, when presented to the Board of Supervisors, will be balanced.

Revenue Assumptions

In FY 2027, General Fund revenue is expected to increase 3.75 percent compared to the *FY 2026 Revised Budget Plan*. The revenue increase is primarily due to a 3.77 percent increase in the Real Estate assessment base at the current Real Estate tax rate of \$1.1225 per \$100 of assessed value. In addition, Other Local Taxes are expected to increase 9.7 percent primarily as a result of the full-year revenue from the Food and Beverage Tax, which was adopted by the Board of Supervisors in FY 2026 with an effective date January 1, 2026. In addition, Personal Property Taxes are projected

Multi-Year Budget – FY 2027 and FY 2028

to increase 3.1 percent due to expected growth in vehicle volume and levy. Partially offsetting the projected revenue increases is a projected decrease of 9.6 percent in Investment Interest revenue.

A General Fund revenue increase of 1.50 percent is currently projected in FY 2028, primarily as a result of expected softening of the residential real estate market and continued weakness in the nonresidential market. Other revenue categories such as Personal Property assessments, as well as Local Sales Tax and Business, Professional and Occupational License (BPOL) Taxes, are projected to increase moderately in FY 2028. Revenue growth rates for individual categories are shown in the following table:

Category	Actual FY 2025	Projections		
		FY 2026	FY 2027	FY 2028
Real Estate Tax – Assessment Base	2.73%	5.34%	3.77%	1.10%
Equalization	1.91%	4.68%	3.32%	0.80%
<i>Residential</i>	2.86%	6.17%	3.99%	1.00%
<i>Nonresidential</i>	(1.24%)	(0.38%)	0.92%	0.00%
Normal Growth	0.82%	0.66%	0.45%	0.30%
Real Estate Tax Rate per \$100 of assessed value¹	\$1.125	\$1.1225	\$1.1225	\$1.1225
Personal Property Tax – Current²	7.22%	2.37%	3.14%	2.00%
Local Sales Tax	2.60%	2.00%	1.50%	2.50%
Business, Professional and Occupational License (BPOL) Taxes	3.49%	2.02%	1.50%	2.50%
Food and Beverage Tax	--	--	100.00%	2.50%
Interest on Investments	9.51%	(12.79%)	(9.58%)	3.08%
<i>Interest Rate Earned on Investments</i>	4.47%	4.06%	3.50%	3.50%
Fines and Forfeitures	12.76%	0.61%	1.96%	2.50%
Charges for Services	6.93%	2.67%	4.72%	2.50%
State/Federal Revenue²	3.80%	(2.40%)	(1.30%)	2.00%
Total General Fund Revenue	5.53%	4.54%	3.75%	1.50%

¹ The FY 2028 forecast is based on the current Real Estate tax rate of \$1.1225 per \$100 of assessed value.

² The portion of the Personal Property Tax reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998 is included in the Personal Property Tax category for the purpose of discussion in this section.

Real Estate Taxes

Reflecting market activity through calendar year 2025, FY 2027 Real Estate property values were established as of January 1, 2026, and rose 3.77 percent compared to the FY 2026 level. In 2025, 30-year fixed mortgage rates fluctuated throughout the year but saw a slight decrease from 2024, settling on average, in the lower 6 percent range. Inventory levels and sales volume remained relatively stable compared to the previous year, with home prices continuing their trend of appreciation. However, the rate of increase was lower than what was experienced in 2024. The office market continued to face strong headwinds due to the same factors that have been evident since the pandemic changed the concept of “in-office” work. As such, office values were down again for FY 2027. In terms of revenue projections, future revenue forecasts must account for this trend in the office market which negatively impacts the County’s real estate base. Retail, multi-family, and industrial properties continue to be stable and have seen flat or slightly higher values. Data centers continued to become more prevalent in Fairfax County with several new developments coming online in 2025.

Based on early projections, the total real estate tax base is expected to increase just 1.10 percent in FY 2028 as a result of expected softening of the residential real estate market and continued weakness in the nonresidential market.

Local Housing Market

Based on information from Bright MLS, the average sales price of homes sold in Fairfax County rose 3.0 percent from \$858,057 in 2024 to \$883,520 in 2025. Since bottoming out in 2009, the average home sales price has risen 111.8 percent, or at an average annual growth rate of 4.8 percent. Bright MLS also reported that 11,780 homes sold in the County in 2025, a decrease of just 0.1 percent compared to 2024. Homes that sold during 2025 were on the market for an average of 21 days, four days longer than in 2024.

Residential assessed values are anticipated to increase 1.00 percent in FY 2028 after rising 3.99 percent in FY 2027. Residential properties constitute over 78.5 percent of the County's real estate tax base.

Local Nonresidential Market

According to the Fairfax County Economic Development Authority, for the first time since 2019, the direct office vacancy rate in Fairfax County experienced a year-over-year decline. The continued removal of high-vacancy, obsolete office inventory through demolition and adaptive reuse as well as the slowdown of office construction without committed tenants led to the reduction in the vacancy rate. The direct office vacancy rate for year-end 2025 was 17.4 percent, which is a 0.4 percentage point reduction from the year-end 2024 rate of 17.8 percent. The recent plateauing of office vacancy rate rises coupled with the first year-over-year office vacancy rate reduction in five years signals an office market in the midst of stabilization. The overall office vacancy rate, which includes empty sublet space, was 17.9 percent at the end of 2025, down from 18.4 percent recorded at year-end 2024. The amount of empty office space decreased to 21.3 million square feet.

For FY 2027, office property values declined for the sixth consecutive year, experiencing a 3.24 percent decrease following a decline of 7.20 percent in FY 2026.

For the first time in three years, overall non-residential equalization was positive, with values increasing 0.92 percent in FY 2027. The value of all types of existing nonresidential properties in FY 2028 is projected to remain flat.

Personal Property Taxes

The Personal Property Tax is levied on vehicles in the County, as well as business personal property. The FY 2027 car tax is based on the January 1, 2026, valuation using J.D. Power's National Automobile Dealers' Association guide, which indicates that car values are higher than last year. The average vehicle value is projected to be up 2.1 percent compared to FY 2026, while vehicle volume is anticipated to increase by 2.4 percent in FY 2027. Overall current Personal Property Taxes are projected to increase 3.1 percent based on the projected full market vehicle assessed values in FY 2027. Personal Property tax revenue in FY 2028 is expected to increase 2.0 percent.

Other Major Revenue Categories

Sales Tax collections grew 2.6 percent in FY 2025 and are expected to increase 2.0 percent in FY 2026. Consistent with econometric model projections, Sales Tax receipts in FY 2027 are projected to rise 1.5 percent. An increase of 2.5 percent is anticipated for FY 2028.

Since County businesses file and pay their BPOL taxes simultaneously on March 1 each year based on their gross receipts during the previous calendar year, there is limited actual data available throughout the fiscal year. FY 2025 BPOL receipts increased 3.5 percent. Consistent with model projections, BPOL revenue is projected to increase 2.0 percent in FY 2026, followed by a 1.5 percent increase in FY 2027. An increase of 2.5 percent is anticipated for FY 2028.

Revenue from Interest on Investments is highly dependent on Federal Reserve actions. With moderating inflation, the Federal Reserve began trimming rates in September 2024 and lowered the target range to 4.25 to 4.50 percent. In January 2025, the Federal Reserve left its benchmark rate unchanged, choosing to take a wait-and-see approach to the White House administration's potentially inflationary economic policies and as inflation was still above the Federal Reserve Board's target rate of 2 percent. The County's investment portfolio earned an average yield of 4.47 percent in FY 2025. Throughout 2025, the Federal Reserve maintained the Fed funds rate unchanged for longer than initially anticipated and did not cut rates until September 2025. This rate cut was followed by two more rate cuts in October and December. As a result, the FY 2026 projected average yield is 4.06 percent, lower than the rate earned in FY 2025.

The Federal Reserve kept its benchmark interest rate unchanged at a 3.50 to 3.75 percent target range at its January 2026 meeting. The market is predicting the current target rate to remain in place until at least June 2026. The projected FY 2027 Investment Interest revenue assumes an average annual yield of 3.50 percent. The FY 2028 estimate assumes the same annual yield of 3.50 percent. It is unclear if and by how much the Federal Reserve would lower interest rates in the future.

Required Disbursements

The disbursement requirements identified the FY 2027 and FY 2028 multi-year budget process are discussed below. Among these items are basic requirements such as funding of County and School debt service, increases for employee compensation and fringe benefits, inflationary increases, FCPS enrollment, and costs to operate new facilities that are slated to open. In addition to the costs noted below, the County's reserve policy requires that contributions be allocated to the Managed Reserve, the Revenue Stabilization Fund, and the Economic Opportunity Reserve to maintain the reserves at their target funding levels which total 10 percent of General Fund disbursements.

The items identified below and associated expenditure levels will be revalidated during the FY 2028 budget development process in light of updated data and revenue projections. However, the modest revenue growth that is currently projected is insufficient to fund the required items. Therefore, in order to develop a balanced budget, it may be necessary to consider revenue enhancement options and programmatic reductions or to defer some of these items to FY 2029 or beyond.

Fairfax County Public Schools

An increase to the transfer to the Fairfax County Public Schools for operations will be required to honor collective bargaining agreements for employee compensation increases for all employees and employee benefit rate changes to attract and retain high-quality educators and support staff, restoration of special education department chairs, advanced academic resource teachers, partial restoration of class size, and continue key multiyear initiatives including support for additional family liaisons to strengthen the connection between home and school, athletic and arts programs that enrich the student experience and benefit mental health and wellness, increase access to robotics across the division, and educator math credentialing to support teachers with additional mathematics endorsements as FCPS increases access to Algebra 1 by the eighth grade. In addition, long-term investments are required for previously unfunded needs.

For the purposes of this projection, it has been assumed that County disbursements and County support for FCPS will increase at the same rate in FY 2028. As a result, total County support for FCPS is projected to increase by approximately 6.66 percent, or \$203.18 million. This amount includes an increase of \$198.62 million for FCPS operations. The County transfer for debt service is projected to increase by \$4.56 million for programmed general obligation bond payments. This maintains the FCPS bond sale at \$230 million in January 2027 and is consistent with the recommendations from the Joint County/Schools Capital Improvement Program (CIP) Committee. The actual debt service requirement will be based on market conditions at the time of the bond sale and interest rate received by the County. This does not assume an increase in County support for school construction.

Employee Pay

Following the Board's adoption of a Collective Bargaining Ordinance in October 2021, the Southern States Police Benevolent Association (SSPBA) was elected as the exclusive representative for the Police bargaining unit, which includes sworn uniformed employees of the Police Department, and the International Association of Fire Fighters (IAFF) Local 2068 was elected as the exclusive representative for the Fire and Emergency Medical Services bargaining unit, which includes uniformed employees of the Fire and Rescue Department and the Department of Public Safety Communications. FY 2027 marks the third and final year for both agreements. Contract negotiations are expected to begin in late winter/early spring 2026 for both groups with new contracts effective in FY 2028. Accordingly, the FY 2028 cost projections for SSPBA and IAFF are based on planning assumptions and existing pay structures and do not represent negotiated outcomes. Actual costs may vary depending on the terms of future agreements. Service Employees International Union Virginia 512 (SEIU) was elected as the exclusive representative for employees in the General Government bargaining unit. In December 2025, the Board of Supervisors approved a Collective Bargaining agreement with SEIU; therefore, FY 2028 represents the second year of that agreement.

For FY 2028, an estimated \$81.8 million is included for employee pay increases effective the first full pay period in July 2027. This amount includes the projected impact for General Fund employees as well as adjustments required to support pay increases in General Fund supported funds. The estimate encompasses the following components:

- **General Government Bargaining Unit Pay Increases (\$41.7 million):** Funding is included for SEIU pay increases for all eligible employees covered by the General Government bargaining unit CBA. The funding reflects performance and longevity pay adjustments, a 2.0 percent cost of living adjustment (COLA), and other compensation adjustments. Performance increases range from 3.5 percent for employees within 15 percent of the bottom of the pay scale to 1.25 percent for employees within 25 percent of the top of the pay scale. Employees reaching 20 or 25 years of service as of June 30 each year receive a 5.0 percent longevity increase in lieu of a performance increase. It should be noted that the projected costs do not include any impact resulting from the non-merit position study required under Article 11 of the CBA. The study is expected to be completed by October 1, 2026. Additional funding would be needed to address recommendations included in the report.
- **Fire and Emergency Medical Services Bargaining Unit Pay Increases (\$15.0 million):** Funding is included for pay increases for members of the Fire and Emergency Services bargaining unit. Since FY 2027 is the final year of the current agreement, FY 2028 funding needs are based on the continuation of existing compensation practices. Actual funding requirements will not be known until a new contract is ratified. The funding reflects a 2.0

percent COLA, the full-year impact of merit increases in FY 2027, and the partial-year costs of merit increases in FY 2028, as merit increases are effective on employee's anniversary dates. Pay plans F and D include 26 steps, with increases ranging from 1.0 percent to 5.0 percent. It should be noted that the projected costs do not include any impact from the study on a potential reduction in hours of work for Fire and Rescue field operations, as required under Article 58 of the Fire and Emergency Services bargaining unit CBA.

- **Police Bargaining Unit Pay Increases (\$12.7 million):** Funding is included for pay increases for members of the Police bargaining unit. Since FY 2027 is the final year of the current agreement, FY 2028 funding is based on the continuation of existing compensation practices. Actual funding requirements will not be known until a new contract is ratified. FY 2028 funding reflects a 2.0 percent COLA, the full-year impact of merit and longevity increases provided to uniformed employees in FY 2027, and the partial-year costs of merit and longevity increases in FY 2028, since all merit and longevity increases are effective on employee's anniversary dates.
- **Non-Represented Employees (\$12.4 million):** Funding is included for pay increases for employees that are not members of one of the bargaining units. These employees include both uniformed public safety employees and non-uniformed employees, and compensation adjustments for these employees may be impacted by provisions of the CBAs described above.

Fringe Benefits

A total increase of \$57.1 million is projected for employee benefits in FY 2028, primarily driven by increases in retirement and health insurance costs. This amount includes the projected impact for General Fund employees as well as adjustments required to support fringe benefit costs in General Fund supported funds.

- **Retirement Systems (\$47.0 million):** A net increase of \$47.0 million is included for fiduciary requirements associated with the County's retirement systems, based on preliminary estimates of FY 2028 employer contribution rates from the 2025 actuarial experience study. The study indicates that actual experience, including pay increases, inflation factors, and retiree annual COLA adjustments, has exceeded actuarial assumptions over the past five years, significantly increasing pension liabilities. As a result, County contributions are expected to increase for all three systems. It is the County's policy to fully fund the actuarially determined contribution to each system and not to reduce employer contributions until each system reaches 100 percent funded status.
- **Health Insurance (\$10.1 million):** An increase of \$10.1 million is included to reflect changes in health insurance plan premiums and actual experience based on employee enrollment. Health insurance cost increases are primarily driven by actual claim experience in the County self-insured health plans. The FY 2028 estimated increase assumes an 8.0 percent premium growth in plan year 2027 and a 5.0 percent premium growth in plan year 2028. It should be noted that these premium increases are budgetary projections only. Final premium decisions are made in the fall prior to the beginning of each plan year based on updated claims experience.

Debt Service

The County's debt service transfer is projected to increase by \$20.38 million, comprising two primary components: General Obligation (GO) bonds and Economic Development Authority (EDA) bonds. Following the Joint County/Schools CIP Committee recommendations, the January 2027 GO bond sale remains at \$170 million, accounting for \$5.27 million of the total increase. The majority of the increase, \$15.11 million, is driven by anticipated EDA financing for two co-location projects:

- The Penn Daw Complex – consisting of a fire station and a new emergency shelter with supportive housing.
- Reston Town Center North – includes the Reston Library, a new emergency shelter, and supporting infrastructure.

County staff will continue to monitor the construction timelines for both co-location projects. Final debt service requirements will be based on prevailing market conditions and the interest rates secured at the time of sale.

Contract Rate Increases and Inflationary Adjustments

Funding of \$14 million, or an estimated 4 percent increase, is identified in FY 2028 to support contractual-related adjustments for the providers of mandated and non-mandated services for countywide personnel-based contracts.

New Facilities

A number of new and/or renovated facilities will be opening in FY 2028 and will require funding for program operations.

- **The Commons Mount Vernon**

The Commons Mount Vernon (formerly known as Original Mount Vernon High School) has been redeveloped into a multi-use, multi-service campus that integrates County programming and community partner resources. The campus is currently scheduled to open in mid-FY 2027; therefore, partial-year funding has been included in the FY 2027 Advertised Budget Plan for expanded community center programming and Early Childhood Development and Learning Program (ECDLP) slots at the new child care center. Full-year funding of \$1.4 million for both programs is needed in FY 2028, as well as \$2.4 million and 9/9.0 FTE positions to support the theater and re-engagement center, both of which were deferred in FY 2027 due to funding constraints. Total new funding required in FY 2028 is \$3.8 million and 9/9.0 FTE positions.

- **Tysons Community Center**

The new Tysons Community Center will be a 30,000 square-foot center site within the Dominion Square West project, which will be an affordable housing community with more than 500 affordable rental homes for residents earning 60 percent or less of the Area Median Income in Tysons. The community center will provide a broad array of services, programs, and activities for individuals of all ages and abilities for the Tysons community six days a week, during the day, night, and weekend hours. In addition, this center will operate a School Age Child Care (SACC) program and house a satellite office for health care providers to meet with the community for basic health care appointments and services. The current timeline is for the facility to be fully operational in early FY 2028; therefore, funding of \$2.7 million and 18/17.2 FTE positions are needed. The SACC program will generate \$0.5 million in revenue for a net cost of the County of \$2.2 million.

Lease Requirements and Operations and Maintenance

The Facilities Management Department (FMD) provides a full range of facility management services in County-owned and designated leased facilities that are under its jurisdiction. The following provides the estimated cost increases associated with these facility requirements in FY 2028:

- An increase of \$0.8 million for lease requirements due to the anticipated addition of leased square footage and an annual 2.5 to 3 percent escalation on existing leases.
- An increase of \$1.6 million is anticipated to be required for utility, custodial, repair/maintenance, and landscaping costs associated with partial- or full-year requirements for new or expanded facilities. The increase is primarily associated with the full year funding for The Commons Mount Vernon redevelopment project.
- An increase of \$1.0 million and 6/6.0 FTE positions are required to fully staff the Residential Facilities Maintenance Section that is being created in FY 2027. This new section will allow for continued centralized maintenance operations while supporting the unique maintenance demands of 16 County-owned residential facilities spanning 300,000 square feet. The residential facilities within FMD's portfolio include homeless shelters and behavioral health treatment centers that remain open 24 hours a day, seven days a week. These facilities serve vulnerable populations under programs provided by the Department of Housing and Community Development and the Fairfax-Falls Church Community Services Board. This is the second year of a multi-year initiative.

Increased Fuel Costs

The actual cost of fuel, currently \$2.50 per gallon, significantly exceeds the budgeted amount, currently \$1.81 per gallon in FY 2026. To better align the budget with actual expenditures, the County devised a four-year phase-in plan to increase the budgeted price per gallon by \$1.00, bringing it to \$2.56. The FY 2027 Advertised Budget Plan marks the second year of this plan and includes a \$0.25 per gallon increase, raising the budgeted amount for fuel to \$2.06 per gallon. An additional \$2.6 million will be required each in Year Three (FY 2028) and Year Four (FY 2029) to fully implement this strategy.

Information Technology

In today's rapidly evolving digital landscape, local governments must prioritize technology investments to enhance efficiency, service delivery, and security. Modern technology enables local governments to streamline operations and improve the delivery of services to residents.

- **Infrastructure Stabilization and Optimization**
It is anticipated that, in FY 2028, an additional \$2.95 million will be required to support information technology (IT) initiatives focused on addressing infrastructure requirements, expanding cloud-based solutions, modernization applications, implementing new technologies and providing staff training.
- **Support for Completed IT Projects**
In recent years, software has changed from a good that can be purchased to a service requiring a license or subscription fee for ongoing access. As IT projects are completed, new baseline resources will be needed to address these license and subscription fees. The anticipated FY 2028 funding totals \$5.5 million for these efforts.

Board Priorities and Ongoing Initiatives Not Included in the Multi-Year Budget

Funding requirements associated with Board of Supervisors' priorities and initiatives as well as new and/or expanded programs are not currently included in the disbursement projection but are included below for informational purposes only. Many of these items are currently being funded at a quarterly budget process. This funding mechanism will need to continue until sufficient baseline resources have been added.

Affordable Housing

Affordable housing remains one of the County's highest priorities, and in 2022 the Board increased the affordable housing production goal from 5,000 to 10,000 units. Recurring baseline funding is required to meet this initiative, with the goal of reaching a total investment of two pennies on the Real Estate Tax rate. Baseline funding equivalent to \$0.0125 on the Real Estate Tax rate is currently included in the budget. An additional three quarters of a penny on the Real Estate Tax rate is still required to meet the goal.

In order to administer the new resources in a timely manner, there is a need for additional positions in the Department of Housing and Community Development to support the creation, rehabilitation, and preservation of affordable housing and the Office of the County Attorney for legal support associated with these infrastructure projects as well as assisting with the review of Fair Housing claims.

Park Authority

Recreation Systems and Sliding Scale Implementation

Future funding will be needed to achieve the goal of a park system that is readily open to all residents regardless of family income and to provide an all-encompassing, equitable service delivery model. The Park Authority worked with a consulting firm to conduct a comprehensive review of their fee-based revenue structure to determine strategies to enhance the equity with which park services are provided. The study recommended that the community benefits of specific programs and services should be used to determine fees, that cost-recovery targets should be reduced, and that subsidies, such as a sliding-scale fee program and flexible vouchers, should be provided to remove barriers for people participating in Park Authority programs. The Park Authority is working with the Board of Supervisors on a long-term implementation plan to make this goal a reality. FY 2028 funding is expected to be required to continue to implement the multi-year plan.

Maintenance for New Facilities

The Park Authority requires additional funding to safely maintain newly acquired property. Funding will allow staff time to address critical maintenance for facilities such as trails, playgrounds, athletic courts, general park maintenance, and stabilization. In addition to utilities maintenance within some of the properties, all properties require regular maintenance such as mowing, tree work, facilities inspections, and associated repair/maintenance. Funding of \$1.3 million was required for maintenance, stabilization and staff associated with new park properties in FY 2027. Similar funding levels may be required in FY 2028.

Environmental and Energy Initiatives

The County is committed to environmental sustainability and has set ambitious goals to reduce its carbon footprint and emissions. While funding has historically occurred through quarterly budget reviews, increased baseline funding is necessary to further the implementation of community-facing programs to support the goals of the Community-wide Energy and Climate Action Plan (CECAP), and Resilient Fairfax, the County's climate adaptation and resilience plan. These programs focus on bolstering climate action and sustainability in the community by engaging residents, businesses and organizations. Further, the County's Operational Energy Strategy (OES) will require funding to

increase energy efficiency in County buildings, expand the use of renewable energy sources, and electrify the County's vehicle fleet. The County will continue to rely on year-end balances until these initiatives are added to the baseline.

Capital Construction

A significant increase in capital construction funding is needed in order to meet the backlog of requirements, primarily infrastructure upgrades and replacements at County-owned facilities. In February 2020, the Board of Supervisors and the School Board established a joint CIP working group to allow for information sharing, prioritizations, and planning by both the County and Fairfax County Public Schools. The Committee approved a series of recommendations, which were subsequently approved by both the Board of Supervisors and the FCPS Board. One of these recommendations included dedicating the equivalent value of one penny on the Real Estate tax providing for annual infrastructure replacement and upgrade projects at County and FCPS facilities. Based on resource constraints, the Committee's recommendation has only been partially fulfilled. The FY 2027 Advertised Budget Plan adds \$7.5 million in funding for both the County and FCPS, increasing the baseline funding to \$10 million for each organization. It is anticipated that an additional \$12 to 13 million will be required for critical County projects in FY 2027 which will need to be addressed at a quarterly review. FY 2028 funding requirements for County facilities will be consistent with FY 2027 and total \$22 to \$25 million.

Library Collections

FCPL continues to experience increased use of eBooks as well as growing demands on print circulation. Additional funding is needed to expand the library collection which supports lifelong learning, literacy, and fosters an inclusive environment for all residents.

Transportation

Based on anticipated operating and capital requirements, substantial additional resources are required to meet future requirements for transit and transportation. Actions taken by the General Assembly and Governor as part of the 2024-2026 Biennium Budget provided much-needed support for Metro that is due to lapse in FY 2027. Consequently, securing dedicated, sustainable funding for critical transit systems and transportation improvements is one of the County's chief priorities for the 2026 General Assembly session.

Absent any other changes, the short-term funding strategies utilized to address FY 2027 requirements are not sustainable and significant additional General Fund resources will be needed to support existing services, not to mention providing the resources needed for the capital investments to achieve the region's vision for a modern, seamless, and world-class transit and transportation network.

Vehicle Replacement

Fluctuations in market prices, changes in vehicle platforms, and the transition from internal combustion vehicles to electric have collectively increased the overall costs for the vehicle fleet. As a result, the contributions currently paid into the replacement funds are expected to fall short of covering the anticipated costs of purchasing new vehicles. To maintain the integrity of the replacement fund, additional funding will be necessary in FY 2028 and subsequent years.

Support for Medicaid Waiver Expansion

Based on actions taken by the General Assembly and Governor as part of the 2025-2026 Biennium Budget, it is estimated that the County will receive approximately 75 new Medicaid waiver slots each quarter for a total of 596 new Medicaid waiver slots over the next Biennium. As Medicaid waivers are allocated to the County, additional support coordinator positions are needed in order to comply with state and federal requirements, primarily those pursuant to the Department of Justice Settlement Agreement and implementation of Virginia's Medicaid Waiver redesign, effective July 1, 2016. Additional positions will be needed and will be phased-in based on the actual receipt of the Medicaid waiver slots and the County's ability to fill the positions. Positions may be added as part of the Advertised budget and/or a quarterly budget review.

Increasing Caseloads in the Department of Family Services

The Department of Family Services continues to see increases in caseloads across many of its programs and services serving the County's most vulnerable residents including older adults, victims of domestic and sexual violence, individuals and families receiving public assistance benefits, people with disabilities, and children. Recent changes to federal law impose new eligibility criteria and other changes for several programs that also will result in additional workload. In order to keep caseloads within acceptable industry standards, provide services in a timely manner, and comply with state and/or federal mandates, additional funding and positions are needed. Many of these positions can be offset with additional state and federal revenue for no net impact to the General Fund.

Multi-Year General Fund Statement

The following page provides a historical view of the General Fund as well as a projection for FY 2028. The FY 2028 projection does not include funding of all of the items discussed above, but only the anticipated required disbursements, with the assumption of equal growth in both County disbursements and FCPS transfers. As a result, both the County and FCPS portions of General Fund disbursements are shown to increase by 6.66 percent, and total disbursements are shown to exceed available resources. The FY 2028 projection will be refined over the coming year, and the FY 2028 Advertised Budget Plan, when presented to the Board of Supervisors, will be balanced.

MULTI-YEAR BUDGET

FY 2023-2028

(in millions)

	FY 2023 Actual	FY 2024 Actual	FY 2025 Actual	FY 2026 Revised	FY 2027 Advertised	FY 2028 Projected	Inc/(Dec) Over FY 2027	% Inc/(Dec) Over FY 2027
Beginning Balance	\$581.52	\$526.41	\$459.10	\$360.12	\$233.53	\$233.53	\$0.00	0.00%
Revenue								
Real Property Taxes	\$3,219.29	\$3,567.82	\$3,567.82	\$3,737.06	\$3,869.58	\$3,912.33	\$42.75	1.10%
Personal Property Taxes	559.65	608.18	608.18	625.59	651.48	668.91	17.43	2.68%
General Other Local Taxes	609.27	642.81	642.81	731.26	802.45	820.71	18.26	2.28%
Permit, Fees & Regulatory Licenses	9.84	11.03	11.03	12.99	13.50	13.83	0.34	2.50%
Fines & Forfeitures	7.87	9.18	9.18	9.23	9.41	9.65	0.24	2.50%
Revenue from Use of Money & Property	118.64	192.95	192.95	168.41	152.67	157.36	4.69	3.07%
Charges for Services	62.98	72.64	72.64	74.58	78.10	80.06	1.95	2.50%
Revenue from the Commonwealth	317.35	329.10	329.10	336.02	336.62	339.13	2.51	0.74%
Revenue from the Federal Government	48.63	56.89	56.89	45.79	42.98	43.84	0.86	2.00%
Recovered Costs/Other Revenue	19.82	21.64	21.64	21.60	21.77	22.31	0.54	2.50%
Total Revenue	\$4,973.33	\$5,512.24	\$5,512.24	\$5,762.53	\$5,978.57	\$6,068.13	\$89.57	1.50%
Transfers In	\$19.71	\$27.34	\$27.34	\$15.09	\$9.36	\$9.36	\$0.00	0.00%
Total Available	\$5,574.56	\$6,066.00	\$5,998.69	\$6,137.74	\$6,221.45	\$6,311.01	\$89.57	1.44%
County Disbursements								
County Debt Service	\$133.67	\$149.38	\$149.38	\$157.98	\$165.40	\$185.78	\$20.38	12.32%
Capital	168.22	143.33	143.33	59.40	26.83	26.83	0.00	0.00%
Contributories/Grants	22.94	26.31	26.31	26.00	26.41	26.41	0.00	0.00%
Legislative-Executive Functions/ Central Services	226.36	221.42	221.42	225.15	229.09	249.44	20.35	8.89%
Judicial Administration	52.22	60.70	60.70	62.42	64.39	65.21	0.82	1.27%
Public Safety	574.06	680.25	680.25	711.02	727.79	758.45	30.66	4.21%
Public Works	78.43	84.34	84.34	99.56	96.96	101.99	5.04	5.19%
Health and Welfare	519.71	595.02	595.02	636.04	643.02	673.69	30.67	4.77%
Parks and Libraries	64.16	71.11	71.11	99.36	110.26	114.46	4.20	3.81%
Community Development	191.06	188.68	188.68	209.52	193.73	196.96	3.24	1.67%
Nondepartmental (Fringe Benefits)	488.35	597.65	597.65	621.43	626.59	704.96	78.37	12.51%
Subtotal County	\$2,519.17	\$2,818.19	\$2,818.19	\$2,907.89	\$2,910.46	\$3,104.19	\$193.73	6.66%
Schools Transfers								
School Operating	\$2,275.31	\$2,584.41	\$2,584.41	\$2,703.05	\$2,802.24	\$3,000.86	\$198.62	7.09%
School Construction	32.55	25.13	25.13	19.14	23.10	23.10	0.00	0.00%
School Debt Service	199.87	208.93	208.93	215.63	227.02	231.58	4.56	2.01%
Subtotal Schools	\$2,507.73	\$2,818.47	\$2,818.47	\$2,937.82	\$3,052.37	\$3,255.54	\$203.18	6.66%
Reserve Contributions	\$21.25	\$1.92	\$1.92	\$0.00	\$0.00	\$25.33	\$25.33	-
Total Disbursements	\$5,048.15	\$5,638.58	\$5,638.58	\$5,845.71	\$5,962.83	\$6,385.07	\$422.24	7.08%
Total Ending Balance	\$526.41	\$427.42	\$360.12	\$292.03	\$258.62	(\$74.05)	(\$332.68)	(128.63%)
Less:								
Managed Reserve	\$204.45	\$218.43	\$227.87	\$233.53	\$233.53	\$250.42	\$16.89	7.23%
Other Reserves ¹	118.82	59.07	8.06	6.52	1.93	0.00	(1.93)	(100.00%)
Reserve for One-Time Requirements	0.00	0.23	0.00	51.99	0.00	0.00	0.00	-
Impact of Anticipated FY 2027 Board Action ¹	0.00	0.00	0.00	0.00	0.00	25.10	25.10	-
Total Available	\$203.14	\$149.70	\$124.19	\$0.00	\$23.17	(\$349.57)	(\$372.73)	(1608.89%)

¹ This presentation assumes that the \$23.17 million balance available for the Board's consideration in the FY 2027 Advertised Budget Plan is fully utilized in FY 2027, either for recurring expenses or to reduce tax rates. This presentation also assumes that the \$1.93 million held in reserve to mitigate potential reductions in UASI funding will be utilized in FY 2027. These balances are not assumed to offset the FY 2028 projected deficit.

Strategic Linkages



FY 2027

Advertised Budget Plan

Strategic Linkages

Overview

Over the past two decades, a number of countywide initiatives have been implemented to strengthen collective decision-making, and to adopt a more strategic and thoughtful approach to short and long-term planning. Current initiatives, including the Countywide Strategic Plan, One Fairfax, performance measurement, benchmarking and the Fairfax County Public School (FCPS) Strategic Plan all help to inform and guide the annual budget.

The most comprehensive and overarching initiative, the **Countywide Strategic Plan**, has been increasingly integrated with the budget process over the past few years. In FY 2022, the existing Key County Metrics were aligned under the 10 Countywide Strategic Plan Community Outcome Areas. As the Strategic Plan implementation moves forward, a thorough analysis of data related to each Outcome Area is being conducted. Currently, dashboards, including data and their stories have been developed for eight of the 10 Outcome Areas, including Economic Opportunity, Effective and Efficient Government, Environment and Energy, Healthy Communities, Housing and Neighborhood Livability, Lifelong Education and Learning, Mobility and Transportation, and Safety and Security. Key County Metrics for each Outcome Area are included in this section to give the reader a high-level overview and demonstrate how the community and County are doing overall.

The **One Fairfax** framework is used to consider equity in decision-making and in the development and delivery of future policies, programs, and services. The budget includes an increasing equity focus, requiring departments to show how they are addressing equity in new funding requests.

Performance measurement helps to gain insight into the effectiveness and efficiency of programs, providing data that can help to reallocate resources or realign objectives to improve services. **Benchmarking** information is included in the budget as well, where appropriate, to demonstrate how the County performs in relation to other comparable jurisdictions.

The **Fairfax County Public Schools** provide an enormous contribution to the community and, in an effort to address the County's significant financial investment in education and the benefits, it provides a list of achievements, as well as the five student-centered goals and four pillars that serve as a foundation of the division's Strategic Plan are also included in this section.

The information included in future budget documents will continue to evolve as additional headline metrics and data for the Countywide Strategic Plan are defined and analyzed for the remaining three Outcome Areas. Increased linkages of all of these comprehensive strategic initiatives to the annual budget will help to continue to inform the budgeting through data driven decisions.

Initiative: Countywide Strategic Plan

To build on previous work and promote direct alignment between individual department missions and overarching community priorities, the County launched a comprehensive and intensive process in early 2019 to develop its first-ever Countywide Strategic Plan. This process included an unprecedented effort to connect with the community through multiple surveys, focus groups, stakeholder meetings, and listening sessions, informing the development of the plan at every stage.

At the outset, the goals of the plan were to:





Set a **clear, unified, community-driven vision** for the next 10-20 years



Provide a tool for **focusing and prioritizing initiatives** over the next 3-5 years



Align and integrate existing departmental and issue-specific plans



Communicate progress on achieving measurable outcomes

Once the plan was adopted by the Board of Supervisors in late 2021, the ongoing implementation of the Countywide Strategic Plan was launched, galvanized by Four Key Drivers: Equity, Data Integration, Community Outcomes and Inclusive Engagement. Among these, Equity is considered a “super driver” as it guides the overall work of the plan through the use of disaggregated data to identify and address areas of inequity.



EQUITY

Apply a racial and social equity lens to engagement efforts and strategy development



DATA INTEGRATION

Use data-driven insights, disaggregating by place and population wherever possible



COMMUNITY OUTCOMES

Align collective work with the Ten Community Outcome Areas and related Indicators of Community Success



INCLUSIVE ENGAGEMENT

Create multiple avenues for community, stakeholder, and employee engagement

The foundation of the Countywide Strategic Plan is the 10 Community Outcome Areas, which were identified based on extensive input from residents and other stakeholders. These areas include the following:



CULTURAL AND RECREATIONAL OPPORTUNITIES

All residents, businesses and visitors are aware of and able to participate in quality arts, sports, recreation and culturally enriching activities

What does success look like?

- Access to Local Arts, Sports and Cultural Opportunities
- Satisfaction with Local Arts, Sports and Cultural Opportunities
- Awareness and Appreciation of Diverse Cultures
- Representation of Diverse Cultures



ECONOMIC OPPORTUNITY

All people, businesses, and places are thriving economically

What does success look like?

- Healthy Businesses in a Diverse Mix of Industries
- Economic Stability and Upward Mobility for All People
- Preparing People for the Workforce
- Promoting Innovation in the Local Economy
- Promoting Economic Vibrancy in All Parts of Fairfax County



EFFECTIVE AND EFFICIENT GOVERNMENT

All people trust that their government responsibly manages resources, is responsive to their needs, provides exceptional services and equitably represents them

What does success look like?

- Customer Satisfaction with County Services
- Inclusive Community Engagement
- Effective and Representative County and School Workforce
- Effective Technology and Quality Facilities
- Financial Sustainability and Trustworthiness



EMPOWERMENT AND SUPPORT FOR RESIDENTS FACING VULNERABILITY

All people facing vulnerability are empowered and supported to live independent lives to their fullest potential

What does success look like?

- All People Are Respected, Understood and Connected
- Services Are Easy to Access and Use
- Services Are High Quality and Coordinated
- All People Can Meet Their Basic Needs



ENVIRONMENT AND ENERGY

All people live in a healthy sustainable environment

What does success look like?

- Promoting Air, Water and Land Quality
- Supporting Sound Environmental Policy and Practices



HEALTHY COMMUNITIES

All people can attain their highest level of health and well-being

What does success look like?

- Access to Health Services
- Improving Physical and Behavioral Health Conditions
- Promoting Health-Related Behaviors



HOUSING AND NEIGHBORHOOD LIVABILITY

All people live in communities that foster safe, enjoyable and affordable living experiences

What does success look like?

- Adequate Quantity and Availability of Housing
- Affordable and Quality Housing
- Access to Amenities that Promote Healthy Neighborhoods
- Flexibility and Adaptability of Land Use Rules
- Preventing and Ending Homelessness



LIFELONG EDUCATION AND LEARNING

All people at every stage of life are taking advantage of inclusive, responsive and accessible learning opportunities that enable them to grow, prosper and thrive

What does success look like?

- Access to Early Childhood Education
- Access to Quality Technology
- Participation in Learning Opportunities
- Supporting Academic Achievement
- Supporting Career-Based Training
- Increased English Language Proficiency



MOBILITY AND TRANSPORTATION

All residents, businesses, visitors and goods can move efficiently, affordably and safely throughout the county and beyond via our well-designed and maintained network of roads, sidewalks, trails and transit options

What does success look like?

- Efficient and Varied Transportation Options
- Infrastructure Condition, Sustainability and Environmental Impact
- Improved Traveler Safety
- Increased Accessibility, Affordability and Equity



SAFETY AND SECURITY

All people feel safe at home, school, work and in the community

What does success look like?

- Following Laws and Regulations
- Timeliness and Quality of Emergency Response
- Effective and Equitable Administration of Justice
- Safety-Related Prevention and Preparedness
- Reliable and Secure Critical Infrastructure

The Year Four Annual Report was released in February 2026 and summarized how it has enhanced the value and vitality of the County for all residents, visitors, and employees through better communication, increased collaboration, and improving the use of data. All Annual Reports, the Countywide Strategic Plan, as well as background documents and informational videos translated into multiple languages, are posted at www.fairfaxcounty.gov/strategicplan.

Initiative: Equity

One Fairfax is a joint social and racial equity policy adopted by the Fairfax County Board of Supervisors and the Fairfax County School Board. It commits the County and the school system to intentionally consider equity when making policies or delivering programs and services. One Fairfax is a framework—or “lens”—that is used to consider equity in decision-making and in the development and delivery of future policies, programs, and services. It helps County and school leaders intentionally, comprehensively, and systematically examine barriers that may be creating gaps in opportunity. The policy identifies 17 areas of focus to promote equity, including community and economic development, housing, education, environment, and transportation.



Since 2017, the One Fairfax Office has been working with agencies to examine their programs and services and create annual equity plans. Each department director has designated an equity lead to advance this work in their department. Equity leads participate in learning and other developmental opportunities to build their foundational understanding of key concepts and lead an equity impact planning process. Through this process, agencies are gaining a more equity-informed understanding of the context of their work, considering opportunities for impact, determining intended results in the community and outcomes to be achieved through the direct efforts of their organizations, and identifying metrics.

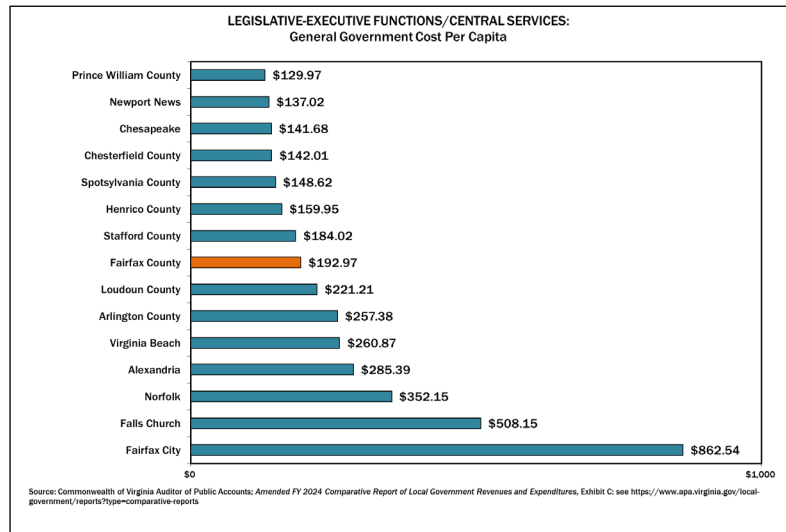
Equity is addressed in the budget development process in the consideration of new funding, capital improvements, and reductions. Budgetary adjustments' potential impact on equity – the extent to which they could improve or worsen racial and social disparities – are described by agencies and inform decision-making throughout the budget process.

Initiative: Performance Measurement & Benchmarking

Each Fairfax County agency decides which indicators will be used to measure progress toward strategic goals and objectives, gathers and analyzes performance measurement data, and uses the results to drive improvements in the agency.

Fairfax County also uses benchmarking, the systematic comparison of performance with other jurisdictions, in order to discover best practices that will enhance performance. Cost per capita data for each program area, (e.g., Public Safety, Health and Welfare, Community Development) has also been included at the beginning of each program area summary in Volume 1 of the FY 2027 Advertised Budget Plan. The Auditor of Public

Accounts for the Commonwealth of Virginia collects this data and publishes it annually. The jurisdictions selected for comparison are the Northern Virginia localities, as well as those with a population of 100,000 or more elsewhere in the state.



Initiative: Fairfax County Public Schools Strategic Plan

In June 2023, FCPS adopted a 2023-2030 Strategic Plan. To develop this plan, the Division engaged 117,089 parents/caregivers, staff, students, and community members to share their diverse perspectives and voices. The plan includes five student-centered goals, each with equity commitments to support the success of each and every student in FCPS, and four pillars that help guide and organize the Division's work as it implements the plan. FCPS staff routinely monitor and publicly report on progress made against the 2023-2030 Strategic Plan's core metrics, with a strong focus on how students' experiences differ by race ethnicity, financial security, language skills, and disability status.

Goals

- Every student will develop foundational academic skills, curiosity, and a joy for learning necessary for success in Pre-K through 12th Grade.
- Every student will experience an equitable school community where student health and well-being are prioritized, and student voice is centered.
- Every student will acquire critical and creative thinking skills, meet/exceed high academic standards, and achieve their highest academic potential.
- Every student will have access to high-quality academic programming and resources to support their success.
- Every student will graduate ready to thrive in life after high school and with the skills to navigate, adapt, and innovate for a sustainable future.

Mission

Fairfax County Public Schools, a world-class school system, inspires and empowers students to meet high academic standards, lead healthy ethical lives, and be responsible and innovative global citizens.

Pillars

- Differentiated & Culturally Responsive Learning Environments
- Vibrant Home, School, & Community Partnerships
- Diverse, Adaptive, & Supported Workforce
- Culture of Equity, Excellence, & Accountability



FCPS Overview

- In FY 2026, FCPS' total approved membership is 181,091; nation's 10th largest school district.
- 199 schools and centers.
- Full-day kindergarten at all elementary schools.
- Needs-based staffing at all schools.
- Over 85 percent of FCPS graduates plan to continue to post-secondary education.
- In 2025, Thomas Jefferson High School of Science and Technology was ranked by *U.S. News and World Report* as #5 Best High School and #4 for the best STEM school in the nation.

FCPS is Efficient

FCPS ranks 5th when compared to other local districts in average cost per pupil (FY 2026 WABE Guide).

Portrait of a Graduate

1. Communicator
2. Collaborator
3. Ethical and Global Citizen
4. Creative and Critical Thinker
5. Goal-Directed and Resilient Individual

School system performance is monitored regularly throughout the year by the School Board to assure that reasonable progress is being made toward achieving the student achievement goals and that the system is complying with the School Board's operational expectations.

FCPS students scored an average of 1183 on the SAT, exceeding both the state and national average for 2024-2025 school year:

FCPS	1183
VA	1112
Nation	1029

Key County Metrics with Dashboards

The following Key County Metrics communicate the County's progress using data compiled by a diverse team of Fairfax County senior management and agency staff. All pre-existing Key County Metrics have been aligned to the 10 Community Outcome Areas in the Countywide Strategic Plan. In addition, in FY 2023, a process to incorporate metrics and data that better reflect the outcomes of the Countywide Strategic Plan was also initiated. The Key County Metrics formerly collected were replaced by the headline metrics from interactive dashboards developed for eight of the 10 Community Outcome Areas thus far, including: Economic Opportunity, Effective and Efficient Government, Environment and Energy, Healthy Communities, Housing and Neighborhood Livability, Lifelong Education and Learning, Mobility and Transportation, and Safety and Security. The metrics incorporated into the dashboards (one for each Community Outcome Area) enable the viewer to access more detailed supporting data and a narrative for context and clarity. The dashboards are designed to inform residents and stakeholders, monitor progress over time, identify any disparities among residents and guide community leaders, practitioners and advocates in making data-driven decisions. Dashboards include metrics disaggregated by place and population in every possible case, as well as critical contextual information for equity-informed decision making. Equity impacts and addressing root causes of disparities are also key considerations in the prioritization of strategic plan actions.

The following Key County Metrics for the eight Community Outcome Areas mentioned above serves as a high-level summary and includes links to their respective interactive dashboards for a deeper exploration by topic. Each dashboard will be updated yearly to monitor progress toward a more prosperous and equitable community.

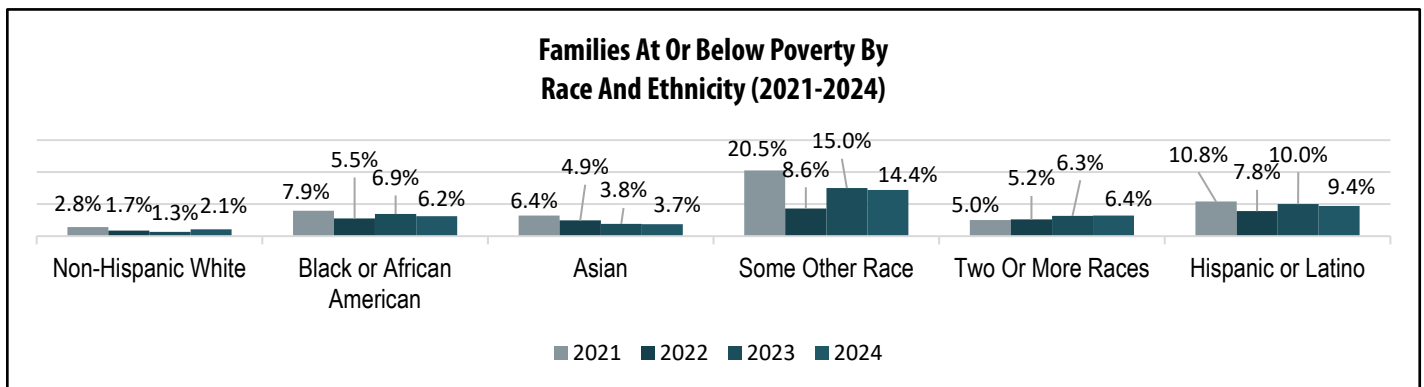
Economic Opportunity

Fairfax County is well known for its quality public schools, high median income, low unemployment rate, overall public safety, high concentration of both corporate headquarters and higher education institutions and other key measures of economic prosperity. At the same time, many people and neighborhoods throughout the County do not have equal access to opportunity and are prevented from realizing sustained prosperity and economic mobility as a result. There is also a need to connect historically marginalized people with new job growth, to invest in workforce training and other support and to help residents achieve financial self-sufficiency.



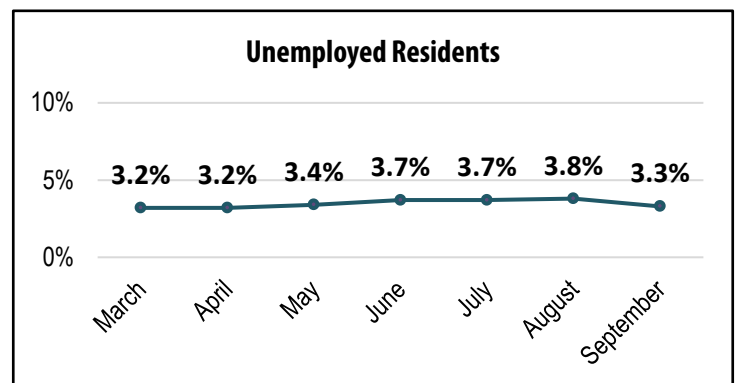
There are eight headline metrics related to various economic factors, including employment, poverty, education, job growth, business establishments and office vacancy rates, among others. The metrics included in this Community Outcome Area help to evaluate the economic vitality of the community, including residents and businesses, recognizing that future economic growth requires the full participation of all Fairfax County populations and places.

In 2024, 3.9 percent of Fairfax County families were **at or below poverty**, a rate that has overall decreased since its high in 2021. Following a low in 2022, the rate of families living at or below poverty has increased slightly. The number of families at or below poverty has also decreased since the high in 2021 (14,567 families) to 11,403 families in 2024. During the same timeframe, families of various racial and ethnic groups in Fairfax County were disproportionately affected with families of Some Other Race and Hispanic or Latino families experiencing the highest rates of poverty.

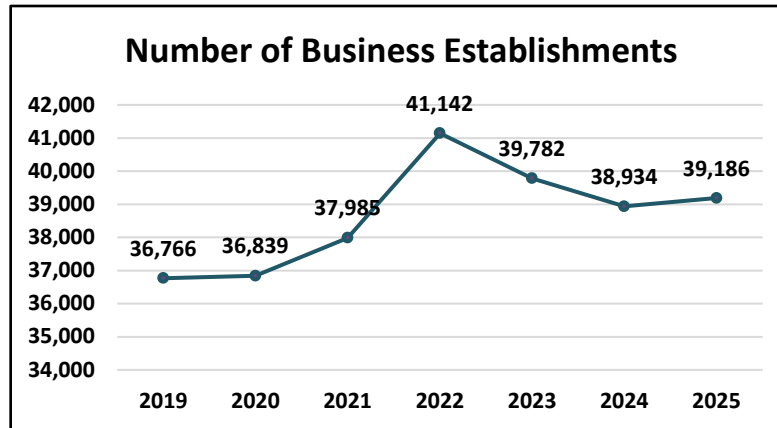


Source: U.S. Census Bureau, American Community Survey

Rates of poverty (and financial self-sufficiency) are tied to employment and jobs. The County unemployment rate continues to be lower than the record highs in 2020. In September 2025, the unemployment rate was 3.3 percent compared to 2.5 percent overall in 2024. In addition, the annual average number of **business establishments** in Fairfax County continues to hold its overall increasing trend, reaching 39,186 businesses (of *All Ownerships*) as of Q2 2025.



Source: U.S. Bureau of Labor Statistics



For more information regarding economic opportunity in Fairfax County, reference the [Economic Opportunity Dashboard](#).

Source: U.S. Bureau of Labor Statistics

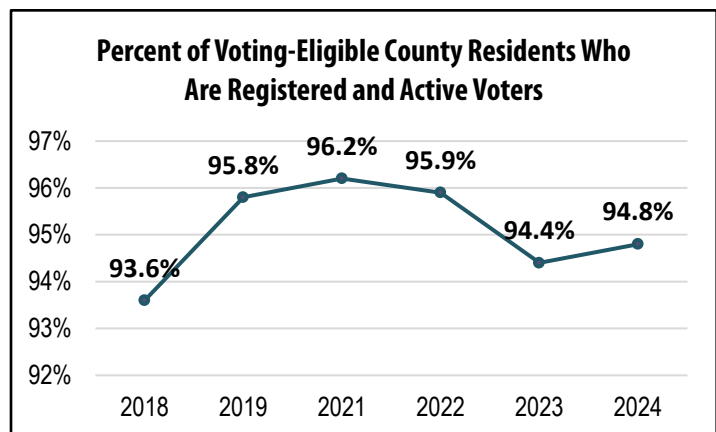
Effective and Efficient Government



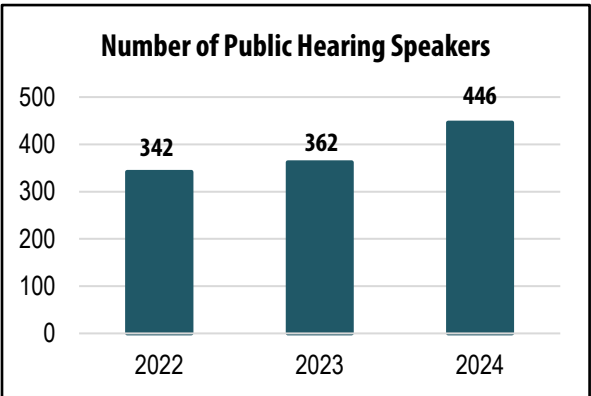
Fairfax County is widely recognized as a well-managed County, which is routinely confirmed by multiple external oversight agencies. However, sustaining a record of excellence requires the County to constantly seek new ways to improve, becoming increasingly more proactive, adaptable to change and responsive to all residents. The County has a responsibility to ensure that resources are managed wisely, in a way that is transparent, and that taxes are affordable for residents and stakeholders who choose to live and do business in Fairfax County.

There are six headline metrics related to registered voters, public hearing speakers, demographics of County employees and residents, capital renewal sites, agency satisfaction with IT support, and debt service. Overall, the metrics included in the dashboard help to evaluate the goals of responsibly managing resources, having reliable and well-functioning facilities and infrastructure, and ensuring equitable engagement and representation.

The number of **voting-eligible County residents who are registered** active voters can have significant implications for election outcomes and political representation in a particular region. It serves as a crucial statistic for assessing voter participation and engagement in the democratic process. In 2024, a larger percentage of voting-eligible residents were registered and active voters in Fairfax County (94.8 percent) in comparison to Virginia overall (90.9 percent), a trend that has continued since 2018. Voter turnout rates are higher in presidential elections (79.3 percent in 2024) than in other general elections (59.5 percent in 2024).



Source: Fairfax County Office of Elections

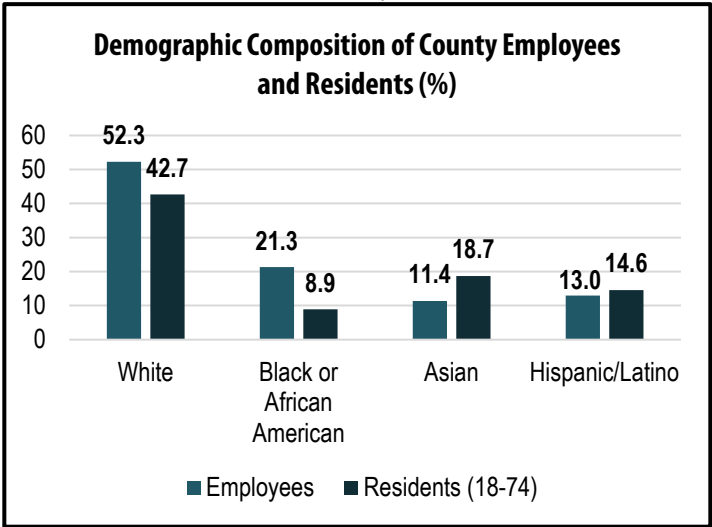


Source: Fairfax County Clerk's Office

Similarly, information about **participation at public hearings** demonstrates the level of community engagement with the County's policy-making process. This process may result in decisions that affect residents. Various methods to participate (i.e., provide testimony) are in person, in writing, by phone and via YouTube video. Residents can also share their thoughts and comments via email. In 2024, 446 persons spoke at Fairfax County public hearings. The majority of speakers participated in-person (82.7 percent), while others participated by video (8.1 percent) and by phone call (9.2 percent).

Fairfax County Government is committed to creating an equitable and inclusive workplace that reflects the diverse members of the community. One of the metrics that measures progress toward a diverse and equitable workforce is the **demographic composition of County employees and residents**, or the comparison between the share of employees from specific racial/ethnic groups and the share of County residents from those racial or ethnic groups. Employees hired within the past five years are more racially and ethnically diverse than employees who served the County longer. This is the case across all job categories and positions. The largest increase was observed among Hispanic/Latino employees, who comprised 15.6 percent of employees hired within the past five years, compared to only 7.4 percent of employees who served for 21 years or longer. However, opportunities to improve equitable representation remain.

For more information regarding government effectiveness and efficiency in Fairfax County, reference the [Effective and Efficient Government Dashboard](#).



Source: Fairfax County Department of Human Resources

Environment and Energy



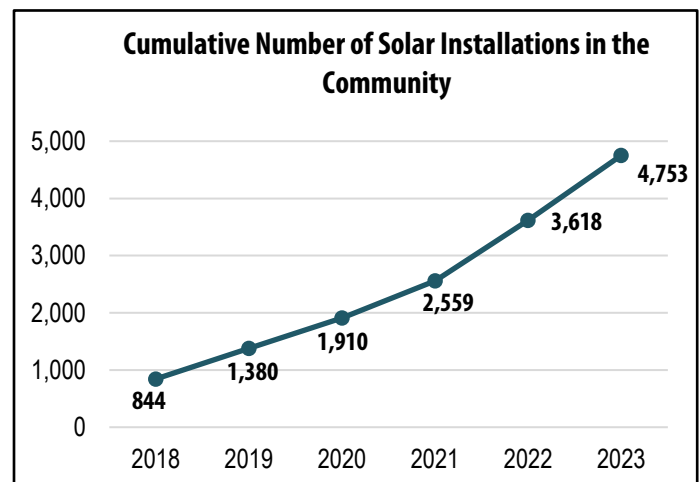
Fairfax County is making progress through many of the environmental policies and practices that support air, water and land quality. It is important for people to have the opportunity to enjoy the natural environment, and that residents, businesses, County employees and visitors share in the responsibility to improve environmental outcomes (especially the reduction of greenhouse gases). By continuing to make a wide variety of improvements, such as increasing the use of

alternative energy, green roofs and stream restorations, as well as bike lane and pedestrian options, the long-term environmental well-being of the County will be improved.

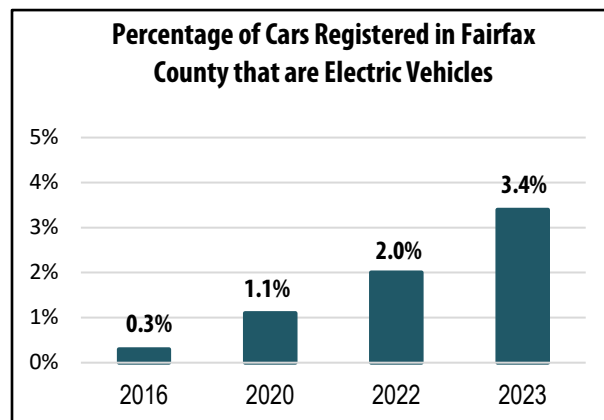
There are eight headline metrics related to greenhouse gas emissions, water pollution reduction in the Chesapeake Bay, flood and flash flood events, temperature, solar installations, electric vehicles, tree canopy and waste diversion. Overall, the metrics included in this dashboard help to evaluate the goals of achieving carbon neutrality through emissions reduction, mitigating the effects of climate change and creating a cleaner and healthier community for all.

Greenhouse gas emissions, such as carbon dioxide, trap the sun's radiation and warm the Earth's surface - which leads to cascading effects on the climate. Fairfax County community-wide greenhouse gas emissions decreased by 30 percent between 2005 and 2020. Within County government operations, the percent reduction in greenhouse gas emissions since the 2018 baseline was 28 percent in FY 2024. **Air quality** is directly related to emissions from various sources, including transportation. Air quality action days are called when the Air Quality Index (AQI) reaches unhealthy ranges. The number of air quality action days has trended downward over the past four decades, with only three days in 2024, compared to 50 days in 1980.

Moving towards **renewable energy** supply is essential to cutting down greenhouse gas emissions that contribute to climate change. Renewable energy through solar installations in the community has increased from 844 in 2018 to 4,753 in 2023, while in the same period, the total building energy usage in the community has decreased by 9 percent. Within County government operations, the percentage of County government electricity from renewable sources was 0.2 percent in FY 2024, and the annual energy usage declined by 16 percent from FY 2018 to FY 2024.



Source: Fairfax County Office of Environmental and Energy Coordination



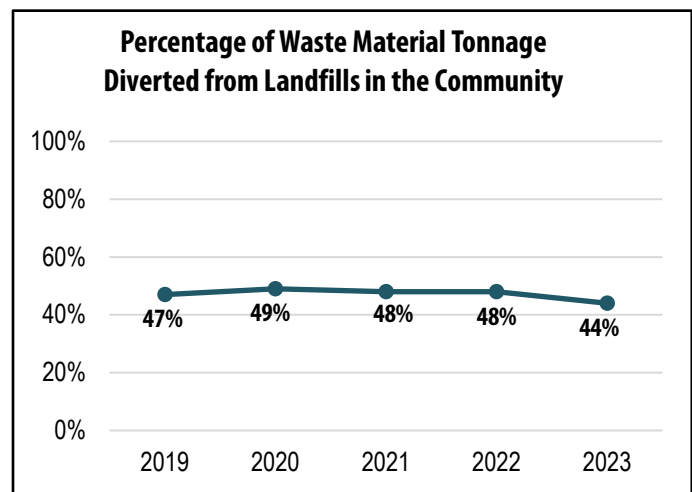
Source: Fairfax County Office of Environmental and Energy Coordination

Transportation is the second largest contributor to greenhouse gas emissions in Fairfax County at 44 percent of all greenhouse gas emissions. **Vehicle electrification** is one of the primary strategies to reduce mobile emissions in the County. As of 2023, battery electric vehicles and plug-in hybrid vehicles accounted for approximately 3 percent of the light-duty vehicles registered in Fairfax County, a three-fold rise from 1 percent in 2020. Within the County government fleet, as of FY 2024, 10 percent were electric vehicles, or 224

vehicles. The share of electric vehicles in Fairfax County is anticipated to increase in coming years as the electric vehicle market continues to expand.

Trees help to address the cause of climate change (greenhouse gas emissions) by absorbing or sequestering carbon dioxide (CO₂) and other pollutants. Trees also help to reduce emissions by shading buildings, reducing the amount of energy that needs to be used for air conditioning. Additionally, trees help us adapt to local effects of climate change by absorbing storm water and reducing exposure to extreme heat. As of 2021, 55 percent of the land area in Fairfax County is covered in **tree canopy** (an increase from 52 percent in 2012). Furthermore, 65.7 percent of census tracts are meeting the goal of having 40 percent or more tree canopy (an increase since 2012 when 54.0 percent of census tracts were meeting the goal).

Waste reduction and management are also important parts of reducing greenhouse gas emissions in Fairfax County. In 2023, Fairfax County generated over a million tons of waste materials, 44 percent of which was diverted from landfills through reusing, re-purposing or recycling. Within County government operations, in 2023, 29 percent of solid waste in County operations was recycled, or diverted from landfills.



Source: Fairfax County Solid Waste Management Program

For more information regarding the environment in Fairfax County, reference the [Environment and Energy Dashboard](#).

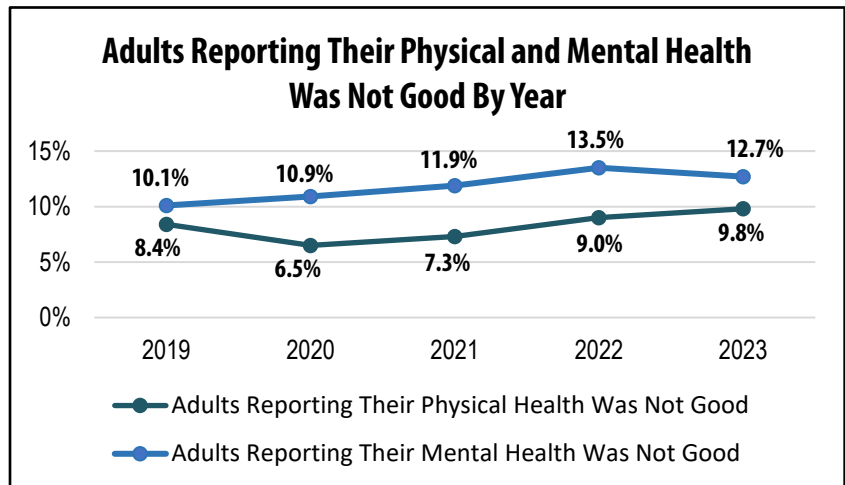
Healthy Communities

Fairfax County is committed to providing equitable access to affordable healthcare and healthy living opportunities, allowing all residents to attain their full health potential. Health and well-being are influenced by a wide range of social and economic factors, health behaviors and access to services. It is important to recognize that disparities exist. For some people, the essential elements for a healthy life are readily available; for others, the opportunities for healthy choices are significantly limited.



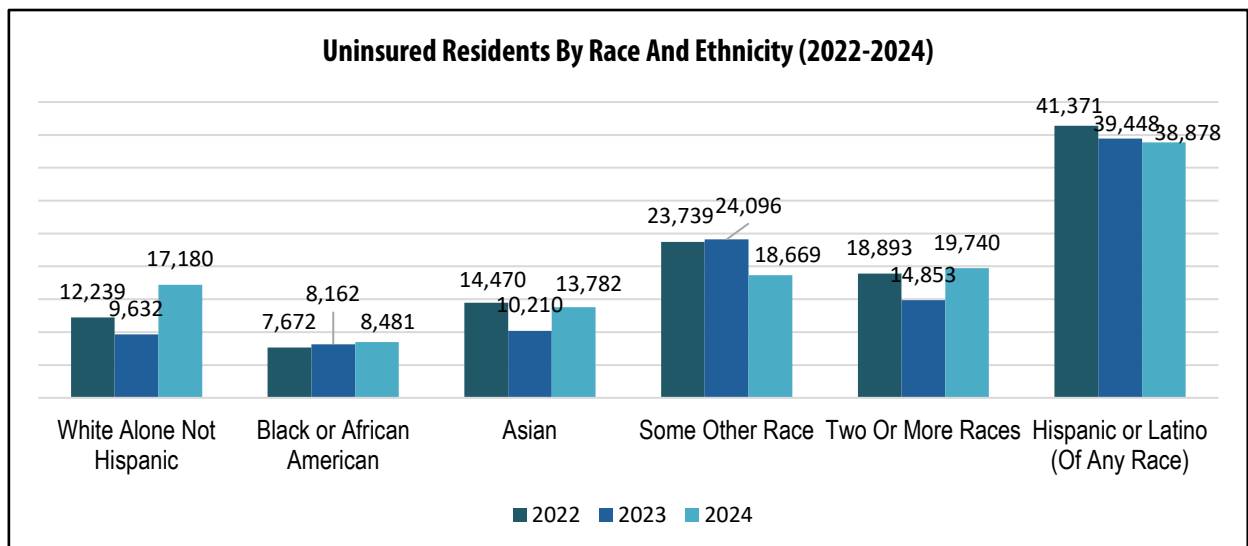
There are 15 headline metrics related to physical and behavioral conditions such as obesity, substance use, physical inactivity, access to services through health insurance coverage or availability of medical providers, as well as topics such as food insecurity and life expectancy. The metrics included in this Community Outcome Area help to evaluate the goals of improving the physical and mental health of all residents and creating a healthier community overall.

Overall, the percentage of Fairfax County adults who self-reported that their **physical health was not good** for 14 days or more in the past year has fluctuated from 2019 to 2023. In addition, Fairfax County adults who reported their **mental health was not good** for 14



Source: CDC Behavioral Risk Factor Surveillance System. CDC Places

days or more in the past year has steadily increased since 2019 but dropped in the last year. **Uninsured residents** (without health insurance) are more likely to skip or delay necessary medical care or medications due to high cost, which can ultimately lead to poorer physical and mental health and even premature death. In 2024, there were 2,227 more uninsured residents in Fairfax County than in 2022. In 2024, Hispanic or Latino residents had the highest number of uninsured, followed by residents of Two or More Races.



Source: U.S. Census Bureau, American Community Survey

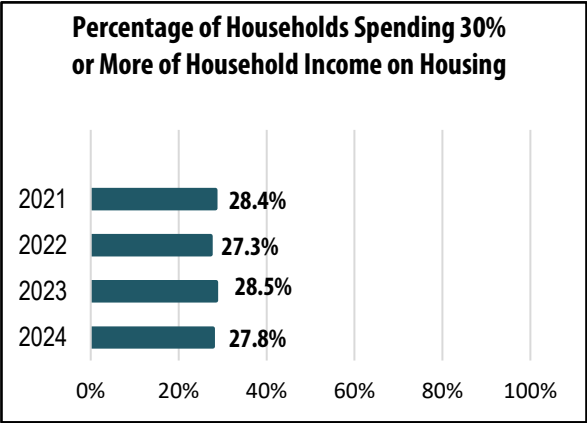
For more information regarding health in Fairfax County, reference the [Healthy Communities Dashboard](#).

Housing and Neighborhood Livability

Reasonably priced housing and healthy, livable communities are critical to ensure a sustained high quality of life for the residents of Fairfax County. There are eight headline metrics related to housing costs and inventory, homelessness, the County’s progress towards creating new affordable homes and accessibility to public transit, fresh food locations, mixed-use centers and parks. Overall, the metrics included in the dashboard help to evaluate the goals of ensuring sufficient housing inventory and affordability within the County and access to amenities that enhance neighborhood quality.

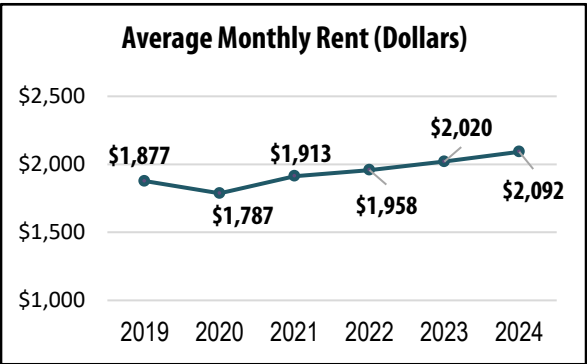


Affordable housing is essential to fostering local economic stability, growth, community well-being and equity. While Fairfax County is one of the most prosperous regions in the nation, it remains a costly place to live and work. Households are considered cost-burdened when they spend more than 30 percent of their household income on rent, mortgage and other housing needs. In 2024, almost 117,000 households in Fairfax County (27.8 percent) were **housing cost-burdened**, a slight decrease from 28.5 percent in 2023. When households spend 50 percent or more of their income on housing, they are considered **severely cost-burdened**. In 2024, almost 49,000 households, or 11.5 percent of households in Fairfax County fell into this category. Overall, renters were more likely to be cost-burdened or severely cost-burdened than homeowners. In 2024, 41.3 percent of renters spent 30 percent or more of their income on housing, compared to 35.2 percent of homeowners.



*Due to the COVID-19 pandemic, 2020 data are not available.

Source: U.S. Census Bureau, American Community Survey

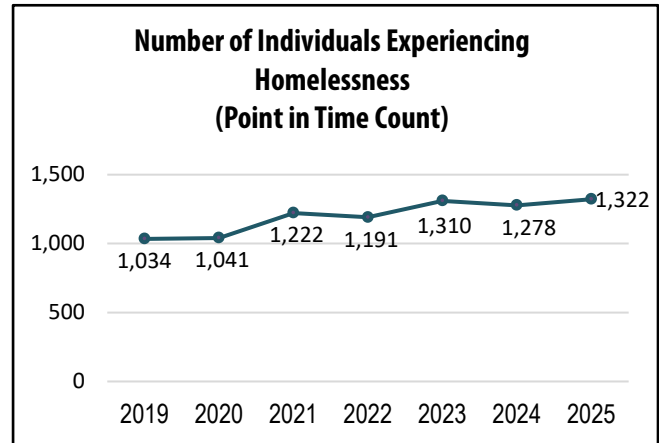


Source: Fairfax County Department of Management and Budget, Rental Housing Complex Analysis Reports

In Fairfax County, 32.6 percent of all occupied housing units are rented. From 2019 to 2024, the market rate **average monthly rent** increased by 11.5 percent in Fairfax County, bringing the figure to \$2,092. Fairfax County had the third highest median rent in 2024 in the Washington Metro area (when including non-market rate units), after Loudoun County and Arlington County. Fairfax County has set a goal of producing 10,000 net new affordable rental homes that serve households below 60 percent of the Area Median Income (AMI) by the

year 2034. The County has created 1,299 **new affordable rental homes** between 2020 and June 2025. An additional 1,541 units are under construction, and efforts are underway to strengthen the affordable housing pipeline.

The Point-In-Time Count represents the number of individuals facing homelessness in a given night. The count is conducted annually in the last week of January and includes people who are unsheltered or accessing certain temporary housing programs. From 2019 to 2025, the **number of individuals experiencing homelessness** increased from 1,034 to 1,322. A sharp uptick was visible starting in 2021, indicating the possible effects of the COVID-19 pandemic. Work disruptions during this time disproportionately affected lower-income households, who face higher risks of housing instability. Current increases are driven by the higher number of people utilizing emergency shelters during the night of data collection, as well as continued impacts from the pandemic.



Source: Fairfax County Department of Housing and Community Development, Point-in-Time Count Dashboard

Access to amenities like public transit, parks and fresh food locations, or businesses that sell healthy fresh food options, help enhance neighborhood quality. As of 2025, the majority (63.4 percent) of Fairfax County **residents live within a quarter mile of a bus stop**. The greatest coverage is provided by Fairfax Connector. For the same year, 39.8 percent of **residents lived within a half mile to a fresh food location**. In addition, as of 2024, 54 percent of residents lived within a **10-minute walk to a park entrance**.

For more information regarding housing in Fairfax County, reference the [Housing and Neighborhood Livability Dashboard](#).

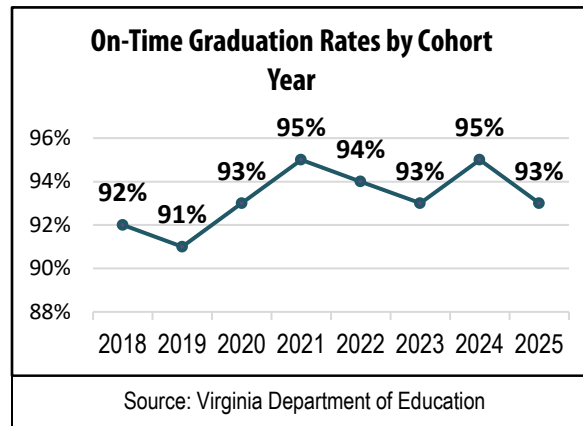
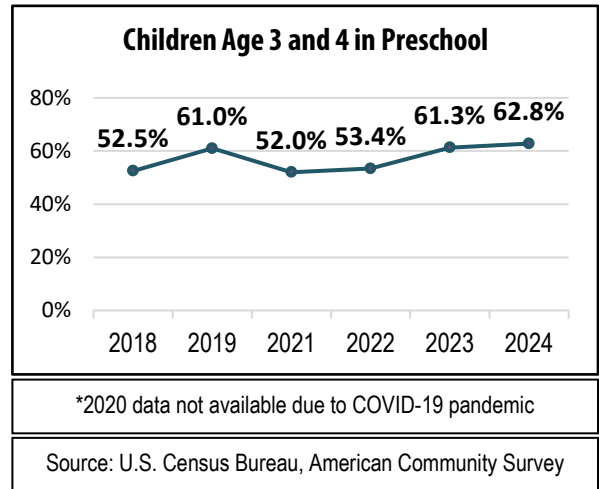
Lifelong Education and Learning

Fairfax County is the home of world-class learning institutions, including an outstanding public school system, the second-largest community college in the country and excellent university programs. These institutions, along with many County programs and community-based providers, support the education and learning needs of a large and diverse population.



There are nine headline metrics related to preschool, kindergarten readiness, grade level reading, algebra 1 credit, high school graduation, postsecondary plans, library and community resources, broadband internet access and limited English proficiency. Overall, the metrics included in this dashboard help to evaluate the goals of promoting school readiness and supporting the achievement of educational goals, while ensuring that access to resources and learning opportunities are available to residents at all stages of life.

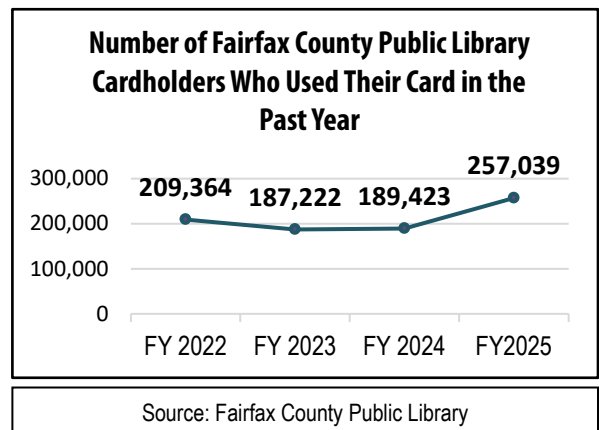
Early childhood education is an important resource for families, helping students be better prepared academically, socially and emotionally to enter Kindergarten. In 2024, 62.8 percent of children ages 3 and 4 were enrolled in preschool in Fairfax County. In the fall of school year 2024-2025, 57 percent of all kindergarteners enrolled in Fairfax County Public Schools (FCPS) met grade level expectations. Students with Pre-K experience (65 percent) were more than twice as likely to meet grade level expectations in reading, mathematics and self-regulation than those without Pre-K experience (26 percent).



High school graduation rates are an indication of readiness for postsecondary plans, including continuing education or employment, with high school graduates experiencing increased economic benefits. The on-time graduation rate for the FCPS 2025 cohort was 93 percent. Rates varied by race and ethnicity with Hispanic students achieving the lowest rate (82 percent) and Native Hawaiian or Pacific Islander students having the highest rate (100 percent) followed by Asian and White students (98 percent).

Another indicator of academic success is English proficiency, as speaking, reading and writing in English are valuable skills providing access to resources, education and opportunities. In Fairfax County, approximately one in seven (14.5 percent) residents in 2024 reported speaking English less than “very well,” indicating limited English proficiency. Limited English proficiency was more prevalent among certain groups, including individuals with low educational attainment (e.g., those with less than a high school diploma), older residents, unemployed and residents living in poverty.

Outside of the formal school system there are other resources in the community available for continued learning throughout the lifespan, including libraries. In FY 2025, 610,481 persons were registered Fairfax County Public Library (FCPL) cardholders, an increase from 515,358 in FY 2022. In the same year, 257,039 persons had an FCPL card and actively used their card in the past year, for example, to check out materials or access online databases and digital resources. The number of active cardholders has



fluctuated in recent years, with 209,364 active cardholders in FY 2022.

For more information regarding education in Fairfax County, reference the [Lifelong Education and Learning Dashboard](#).

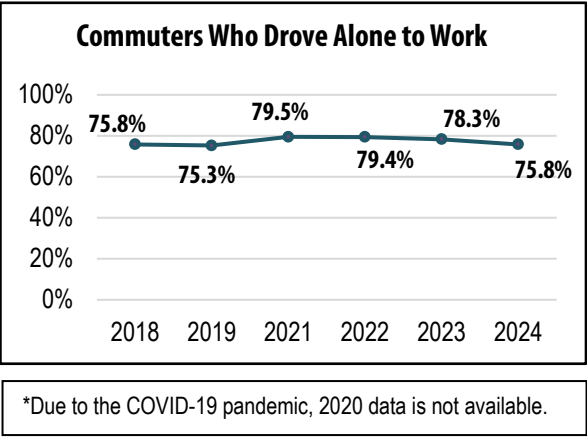
Mobility and Transportation



As a rapidly urbanizing community, the need to reduce traffic congestion and improve mobility is one of the greatest challenges facing Fairfax County. Residents and workers want a variety of ways to move around the community that are easily accessible, affordable, safe, and promote both healthy living and environmental stewardship. In addition, there is a greater focus on active transportation options that prioritize safe pedestrian access and bike-friendly facilities that are connected to mass transit.

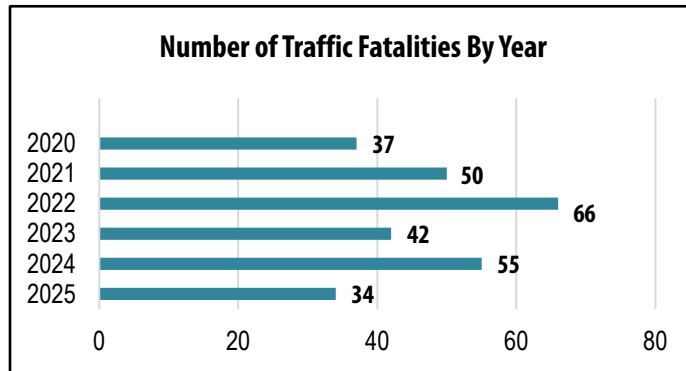
There are six headline metrics related to commuting patterns, sidewalks and trails, road lane conditions, traffic crashes, traffic calming devices and transit subsidies. Overall, the metrics included in this Community Outcome Area help to evaluate the goals of reducing the reliance on single-occupancy vehicles and making the County more walkable to improve residents’ physical health and reduce traffic-related accidents.

Driving alone to work can have negative impacts on residents and the community at large, including increased traffic congestion, increased number of accidents due to more cars on the road, environmental impacts due to increased pollution and health impacts on drivers due to lower physical activity levels from driving time. Of workers that commuted in 2024, approximately eight in 10 (75.8 percent or 361,524) of Fairfax County residents drove alone to work. This is a decrease from 2023 when 78.3 percent or 368,702 residents drove alone to work.



Source: U.S. Census Bureau, American Community Survey

In 2025, there were a total of 10,659 **traffic crashes** of all types in Fairfax County. In the same year, the number of traffic fatalities was 34, a decrease from 55 in 2024. Measures to decrease vehicle speeds in residential areas include the installation of **traffic calming devices** such as speed humps and speed tables. As of the end of 2025, a total of 723 devices have been installed.



For more information regarding transportation in Fairfax County, reference the [Mobility and Transportation Dashboard](#).

Source: Virginia Department of Transportation Crash Analysis Tool

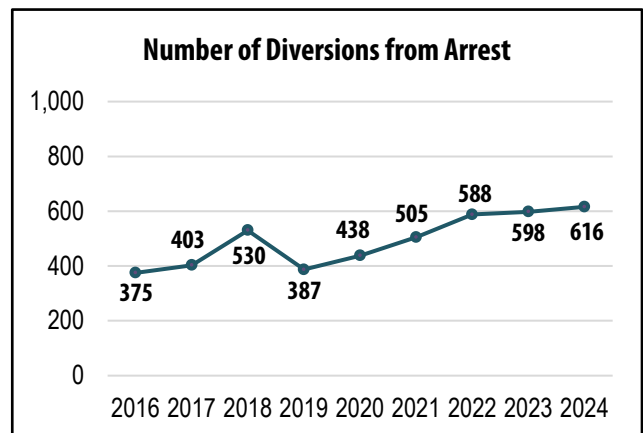
Safety and Security



To meet the diverse needs of all residents, Fairfax County must ensure a comprehensive, equitable and inclusive approach to public safety and justice. Building a safe community is more than reducing and preventing injury and crime, it is about investing in strong, vibrant and engaged communities where all people are protected and supported to live lives to their fullest potential. Residents, employees, and businesses want a community where people can go about their daily lives without fear or risk of harm. The responsibility to ensure a safe and secure place where all people can thrive is shared across multiple County departments and must also include the full participation of the entire Fairfax County community.

There are eight headline metrics related to diversions from arrest, Fairfax alert subscribers, youth who feel safe in their community, positive interactions with police, crimes against persons and property, number of persons arrested, and 9-1-1 call processing time for high priority requests. Overall, the metrics included in the dashboard help to evaluate the goals of reducing reliance on incarceration when appropriate, expanding prevention and preparedness programs, providing timely emergency services, and strengthening the relationship between public safety and residents so that all members of the community can feel safe and protected.

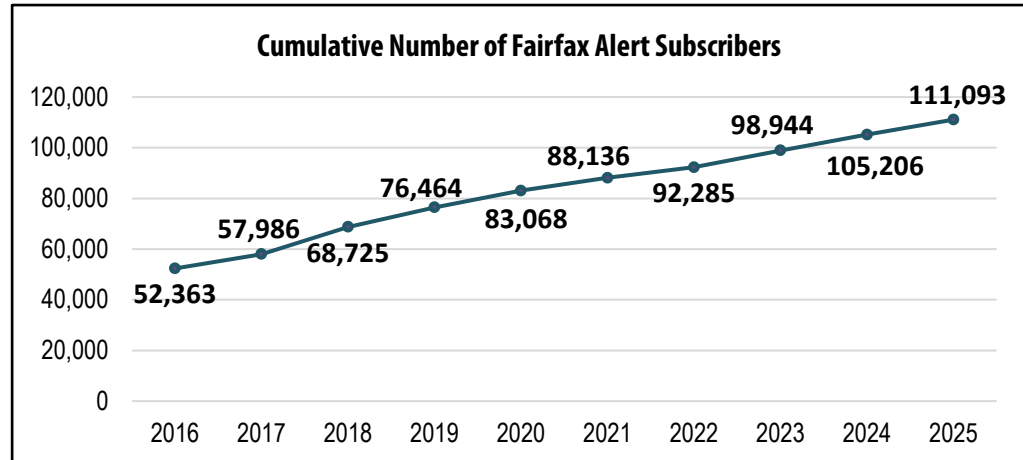
Alternatives to incarceration are intended to reduce detention and/or incarceration by treating the root causes of criminal behavior while improving public safety, decreasing recidivism, and helping justice-involved individuals successfully reintegrate into the community. [Diversion First](#) is a continuum of services, which offers alternatives to incarceration for people with mental illness, co-occurring substance use disorders and/or developmental disabilities, who come into contact with the criminal justice system for low-level offences. Since the launch of



Source: Fairfax County Diversion First Program

Diversion First in 2016, more than 4,400 **diversions from arrest** have occurred, with the number of

diverted cases on the rise. In 2024, 616 diversions took place, a 64 percent increase from 2016 when only 375 cases were diverted.

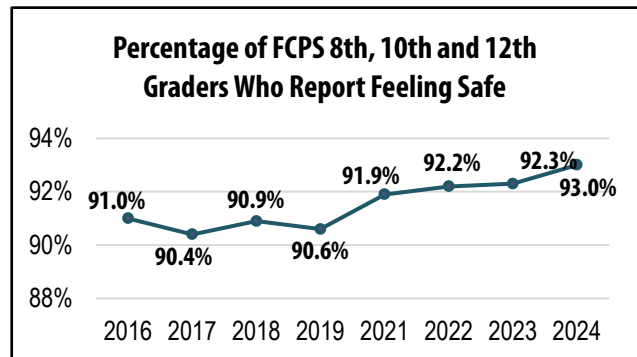


Source: Fairfax County Department of Emergency Management and Security

Prevention and preparedness are critical components in ensuring the safety and wellbeing of the Fairfax community. In 2015, the current emergency communication system of Fairfax County, Fairfax Alerts, was launched. As of 2025, there were a total of 111,093 **Fairfax Alerts subscribers**, an increase of 58,730 subscribers since 2016. A total of 45 nonweather emergency alerts were sent in 2025, including 14 shelter in place and eight missing persons notifications.

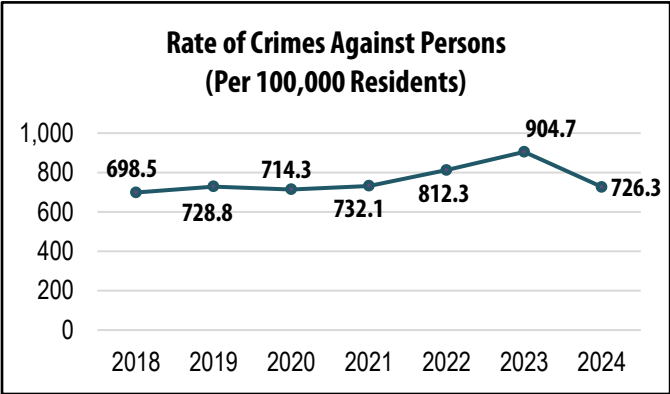
A **sense of safety** is important for all members of the community as the stress of feeling unsafe can affect both mental and physical health. However, some populations, such as older adults and youth, may be especially vulnerable to safety concerns.

For youth, feeling safe is vital for their development and their ability to learn in school. In 2024, 93.0 percent of 8th, 10th, and 12th grade students in Fairfax County reported feeling safe in their neighborhood or around the area where they live. In addition, 84.2 percent reported they felt safe at their school. For older adults, feelings of safety can affect their level of independence and overall quality of life. In a 2022 survey of adults over 50 years old, 85 percent of respondents rated their overall feelings of safety in the community as good or excellent, compared to 77 percent of respondents in 2019.



*Due to the COVID-19 pandemic, 2020 data is not available.

Source: Fairfax County Youth Survey

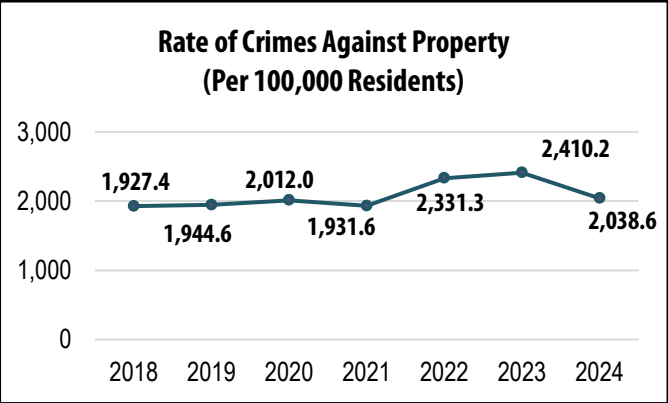


Source: Virginia State Police, National Incident-Based Reporting System

Safety is often measured by the levels of crime; however, this can be influenced by many things, including socioeconomic factors. Local authorities need to understand what types of offenses are on the rise and why, in order to monitor trends and develop targeted strategies and policy changes. **Crimes against persons** is measured by the number of victims rather than the number of offenses. Victim rate is synonymous with crime rate for

crimes against persons and contains the following offenses: assault, homicide, kidnapping/abduction and forcible and non-forcible sex offenses. The rate of crimes against persons (per 100,000 residents) in Fairfax County decreased from 2023 to 2024 (904.7 to 726.3), returning to levels similar prior to 2022. Assault was the most common type of offense for crimes against persons in 2024, making up over 90 percent of reported crimes against persons in Fairfax County. It should be noted, however, that Fairfax County remains the safest jurisdiction of its size, based on the crime report prepared by the Major Cities Chiefs Association.

Crimes against property is measured by the number of offenses in the following categories: arson, bribery, burglary/breaking and entering, counterfeiting/forgery, destruction/damage vandalism of property, embezzlement, extortion/blackmail, fraud, larceny/theft, motor vehicle theft, robbery and stolen property offenses. The rate of crimes against property (per 100,000 residents) in Fairfax County increased from 2018 to 2023 (1,927.4 to 2,410.2), then dropped sharply in 2024 (2,038.6). Larceny/theft were the most common offenses under crimes against property in 2024, accounting for 61.7 percent of all property crimes. The rates of crime against persons and property were both lower in Fairfax compared to Virginia from 2018 to 2024.



For more information regarding safety in Fairfax County, reference the [Safety and Security Dashboard](#).

Key County Metrics: Dashboards in Development

The following Key County Metrics have been aligned under the remaining Community Outcome Areas in the Countywide Strategic Plan, including Cultural and Recreational Opportunities and Empowerment and Support for Residents Facing Vulnerability. However, the headline metrics and corresponding interactive dashboards are still in development for these Community Outcome Areas. Therefore, the Key County Metrics below that have been tracked in recent years will continue to be monitored and reported on until the dashboards are complete. The following information provides actual data from FY 2023, FY 2024 and FY 2025, and includes a discussion of how the metrics relate to the respective Community Outcome Areas. All of the data is for Fairfax County only and listed by fiscal year, unless otherwise noted in the text. This section will continue to evolve as the additional dashboards are developed for the remaining two Community Outcome Areas.

Cultural and Recreational Opportunities

The availability of arts, sports, culture and recreation are foundational to the overall quality of life and well-being of Fairfax County residents and visitors and contribute significantly to the community's social connectivity and health. These programs also play a critical role in supporting the regional economy, through the sale of goods and services, employment and events revenue. The proposed strategies in this section seek to sustain forward momentum, with a focus on the need for well-maintained spaces and programs and services that constantly adapt to the needs of participants. The recommended approaches focus on quality programming, equitable access and broad inclusion and awareness of all options that are available throughout Fairfax County.

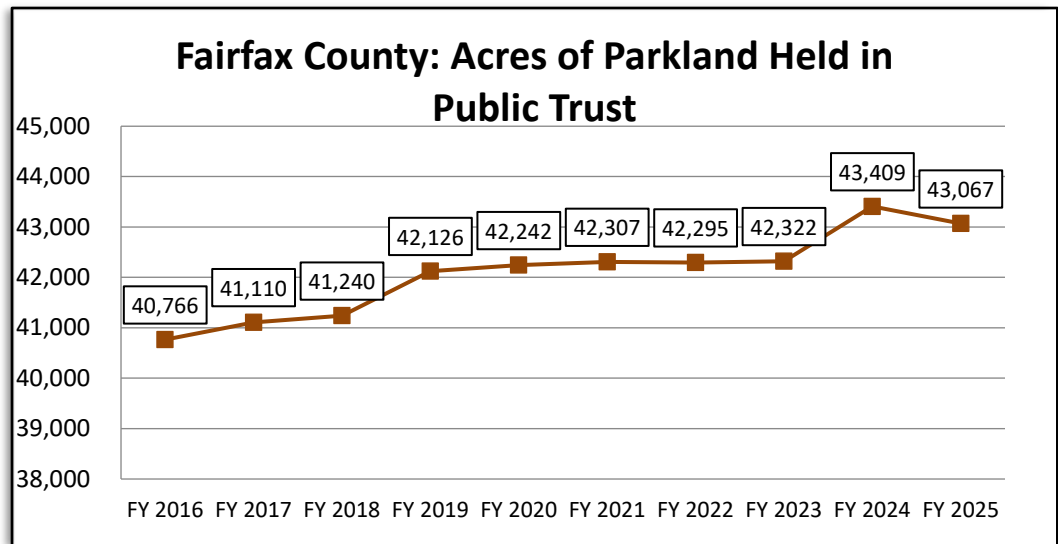


Key County Metrics	FY 2023 Actual	FY 2024 Actual	FY 2025 Actual
Acres of parkland held in public trust	43,409	43,067	43,074
Annual number of visitations to libraries, park facilities and recreation and community centers ¹	12,772,574	13,416,547	19,698,897
Library materials circulation per capita	9.3	9.8	9.6
Percent of library circulation represented by materials in languages other than English	0.09%	0.9%	0.8%
Percent of Park Authority, Fairfax County Public Schools, and Community and Recreation Services athletic fields adopted by community groups ²	14.3%	8.7%	NA

¹The data presented here has been re-calculated for all three years in order to account for a change in methodology in estimating attendance at Fairfax County Park Authority facilities. Data for FY 2025 is currently unavailable and will be updated for the [FY 2027 Adopted Budget Plan](#).

²Data for FY 2025 is currently unavailable and will be updated for the [FY 2027 Adopted Budget Plan](#).

The indicators above capture data related to cultural and recreational opportunities available in Fairfax County. The amount of **acres of parkland held in public trust** is a preservation of open space that enhances the County's appeal as an attractive place to live and provides space for recreation. This measure tracks the parkland in the County held by the Fairfax County Park Authority, the Northern Virginia Regional Park Authority (NOVA Parks), state and federal governments, and other localities. In FY 2025, the reported acreages was 43,074.



Availability and **use of libraries, parks and recreation facilities** is often used as a "quality-of-life" indicator and is cited as a major factor in a family's decision for home location and a company's decision for site location. In the fall of 2020, the voters approved a \$90 million bond referendum to support four priority library facilities. These included Kingstowne, Patrick Henry Community, Sherwood Regional, and George Mason Regional libraries. The Kingstowne Library site was previously purchased by the County to replace the existing leased space with a newly constructed library. The Kingstowne Complex which co-locates the Kingstowne Library with the Franconia Police Station, the Franconia District Supervisor's Office, the Franconia Museum, an Active Adult Center, and a childcare facility in one comprehensive facility on the library site is under construction with an estimated completion in winter 2026. The Patrick Henry Library renovation will support a proposed joint development project between Fairfax County and the Town of Vienna to renovate the library and provide additional parking structures for the library and the Town. Sherwood Regional Library and George Mason Regional Library renovations will support upgrades to all the building systems which have outlived their useful life, including major replacements such as roof and heating, ventilation, and air conditioning (HVAC) replacement. In addition, the renovations will accommodate current operations, provide energy efficiency and a more efficient use of the available space, meet customers' technological demands, and better serve students and young children. The quiet study areas and group study rooms will be improved, with space to accommodate a higher number of public computers and wireless access. In FY 2025, the number of visits to libraries, park facilities, and community centers all increased.

The Fairfax County Public Library continued to see increased usage across key metrics, returning to levels predating the COVID-19 pandemic. In FY 2025, the library enjoyed significant success, meeting 78 percent of its operations performance measures, with 89 percent substantially met, and 71 percent of the agency's outcome measures. Even with a three-month interruption to service while one of the busiest libraries, Reston Regional, was closed for renovations, the number of in-person visits to the library still grew by more than 5 percent to nearly 3.4 million people. The Reston closure did result in a 1.9 percent decrease in the number of items circulated from the FCPL collection, but nearly 12 million items still were circulated in FY 2025.

The use of electronic resources remains strong with database usage of more than 1.5 million views, circulation of more than 1.6 million eBooks, more than 1.6 million eAudiobooks, and more than

660,000 eMagazines. Total E-Circulation now accounts for nearly 33 percent of all circulated materials.

Staff members continue to create popular programming options, with attendance of more than 260,000 people in FY 2025. With both in-person and digital programming opportunities, FCPL continues to offer library user services through a variety of platforms for preschoolers, school age children, adults and older adults.

For residents of Fairfax County who do not have access to a computer at home or at work, who do not possess the technical skills, or are not able to utilize technology due to language barriers, the County utilizes other methods and media to connect them with information and services. Libraries, for example, are focal points within the community, and offer a variety of brochures, flyers and announcements containing information on community activities and County services. To help those who need internet access for work or educational purposes, all FCPL branches provide WiFi capability with availability outside the buildings in library parking lots. In FY 2025, patrons conducted nearly 370,000 WiFi sessions at library branches. FCPL cardholders are also able to check out Chromebooks for use at home from five regional branches participating in a pilot program. Library users can seek guidance conducting research, using library databases, and information services both online and via email. Library staff engaged in more than 1,000 remote customer contacts in FY 2025.

One indicator used by the library industry to demonstrate utilization of libraries is library materials circulation per capita, which decreased slightly in FY 2025 to from 9.8 to 9.6, largely as a result of the renovation closure of Reston Regional Library. This high circulation rate, even with the temporary Reston Regional Library closure, demonstrates the availability of an extensive selection of materials and a desire for library resources among Fairfax County residents. In addition, interest in library resources can be seen in the number of unique visitors to the FCPL website, which totaled more than 1.2 million active users. The library's homepage ranked third among all Fairfax County web pages, with more than 1.4 million views in FY 2025. "Library" was the second most common search term used on the county website. For additional information on benchmarks, please refer to the Parks and Libraries Program Area Summary in Volume 1.

As previously mentioned, Fairfax County is becoming an increasingly diverse community in terms of culture and language. As of 2024, 39 percent of Fairfax County residents spoke a language other than English at home. In an attempt to better serve the non-English speaking population, the Fairfax County Public Library has dedicated a portion of its holdings to language appropriate materials for this portion of the community. With circulation of nearly 12 million items by FCPL in FY 2025, the 0.8 percent reported for the circulation of non-English materials represents a significant number of materials being used by the multilingual population.

Athletic fields are an important recreational resource for the community and the County has sought partnerships with residents to improve and to maintain the facilities they use. Community groups have adopted 8.7 percent of athletic fields. The change from the adoption rate in FY 2023 to FY 2024 is primarily attributable to a change in policy for Fairfax County Park Authority (FCPA) fields; beginning in FY 2024, FCPA is no longer supporting partial adoption of fields. Athletic field adoptions reduce the County's financial burden to maintain these types of public facilities and improve their quality. Analysis indicates that organizations in Fairfax County annually provide over \$4 million in support for facility maintenance and development. In addition to natural turf field maintenance, community organizations continue to develop synthetic turf fields by partnering with the County and funding the development independently. New incentives have recently been put into place to encourage groups to maintain and increase adoptions despite the current economic climate. The

Department of Neighborhood and Community Services, FCPS, and FCPA continue to work with an involved athletic community to design and implement the FCPS diamond field maintenance plan. This plan established an enhanced level of consistent and regular field maintenance at school softball and baseball fields. This benefits both scholastic users as well as community groups that are reliant upon use of these fields to operate their sports programs throughout the year.

Empowerment and Support for Residents Facing Vulnerability



Fairfax County is fully committed to providing residents facing vulnerability with a safe place to receive necessary services, in a way that mitigates challenges through a holistic, streamlined, respectful and individualized approach. The role of local government is to identify people who need support to reach their personal level of “self-sufficiency,” which is related to various factors including health (mental and physical), age and varying levels of personal ability. While there are basic human needs that must be met, individual circumstances may require a number of supports, representing multiple, overlapping challenges that may emerge, evolve and resolve over time. Therefore, it is critical to ensure a close connection with people facing vulnerability, so situations can be monitored and responded to in an effective manner. The role of caregivers should also be elevated when needed, so that people who want to empower caregivers to advocate for their needs can do so, to the extent possible by law. The proposed strategies in this section seek to improve the way people facing vulnerability are identified, connected with, served and supported over time.

Key County Metrics	FY 2023 Actual	FY 2024 Actual	FY 2025 Actual
Percent of seniors, adults with disabilities and/or family caregivers who express satisfaction with community-based services that are provided by Fairfax County to help them remain in their home/community	94%	91%	90%

The County continues to be successful in **caring for older adults and persons with disabilities by helping them stay in their homes** as indicated by the 90 percent combined satisfaction rating for two support programs: Adult Day Health Care (ADHC) and Congregate Meals programs. The annual satisfaction survey ADHC reported that 88 percent of clients or caregivers were satisfied with services in FY 2025. The Congregate Meals program client satisfaction remained high at 91 percent in FY 2025.

Next Steps

The development of the County’s leadership philosophy and emphasis on strategic planning is an ongoing process that will continue to be refined in the coming years. The County budget is extremely well-received within the County and nationally. As a measure of the quality of its budget preparation, Fairfax County was awarded the Government Finance Officers Association’s Distinguished Budget Presentation Award by meeting rigorous criteria for the budget as a policy document, financial plan, operations guide, and communications device for the 41st consecutive year. The County will continue to build on this success for future budget documents in order to enhance the accountability, transparency, and usefulness of the budget documents.

General Fund Statement



FY 2027

Advertised Budget Plan

FY 2027 ADVERTISED FUND STATEMENT

FUND 10001, GENERAL FUND

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2025 Carryover	Other Actions July-January	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Inc/(Dec) Over Revised	% Inc/(Dec) Over Revised
Beginning Balance	\$459,104,739	\$227,866,326	\$131,824,917	\$424,207	\$360,115,450	\$233,525,674	(\$68,086,004)	(18.91%)
Revenue ¹								
Real Property Taxes	\$3,567,823,687	\$3,737,057,704	\$0	\$0	\$3,737,057,704	\$3,869,581,289	\$132,523,585	3.55%
Personal Property Taxes ²	608,175,044	595,347,578	0	30,246,193	625,593,771	651,483,955	25,890,184	4.14%
General Other Local Taxes	642,805,015	729,881,785	0	1,373,706	731,255,491	802,448,999	71,193,508	9.74%
Permit, Fees & Regulatory Licenses	11,031,357	12,985,962	0	0	12,985,962	13,496,929	510,967	3.93%
Fines & Forfeitures	9,175,729	9,214,101	0	17,541	9,231,642	9,412,284	180,642	1.96%
Revenue from Use of Money & Property	192,952,240	152,662,534	0	15,750,909	168,413,443	152,673,399	(15,740,044)	(9.35%)
Charges for Services	72,641,370	71,808,877	658,846	2,116,613	74,584,336	78,104,347	3,520,011	4.72%
Revenue from the Commonwealth ²	329,104,434	334,059,923	271,899	1,691,519	336,023,341	336,622,667	599,326	0.18%
Revenue from the Federal Government	56,890,319	44,927,651	858,570	0	45,786,221	42,976,289	(2,809,932)	(6.14%)
Recovered Costs/Other Revenue	21,643,708	21,234,575	0	367,579	21,602,154	21,767,157	165,003	0.76%
Total Revenue	\$5,512,242,903	\$5,709,180,690	\$1,789,315	\$51,564,060	\$5,762,534,065	\$5,978,567,315	\$216,033,250	3.75%
Transfers In								
Fund 30010 General Construction and Contributions	\$2,000,000	\$0	\$0	\$0	\$0	\$0	\$0	-
Fund 40030 Cable Communications	2,250,467	0	0	0	0	0	0	-
Fund 40040 Fairfax-Falls Church Community Services Board	15,000,000	0	7,000,000	0	7,000,000	0	(7,000,000)	(100.00%)
Fund 40080 Integrated Pest Management	159,824	159,824	0	0	159,824	204,498	44,674	27.95%
Fund 40100 Stormwater Services	1,609,462	1,609,462	0	0	1,609,462	1,729,426	119,964	7.45%
Fund 40130 Leaf Collection	44,193	44,193	0	0	44,193	95,870	51,677	116.93%
Fund 40140 Refuse Collection and Recycling Operations	539,815	539,815	0	0	539,815	620,980	81,165	15.04%
Fund 40150 Refuse Disposal	802,437	802,437	0	0	802,437	896,398	93,961	11.71%
Fund 40170 I-95 Refuse Disposal	249,596	249,596	0	0	249,596	404,256	154,660	61.96%
Fund 40200 Land Development Services	433,852	433,852	0	0	433,852	522,982	89,130	20.54%
Fund 69010 Sewer Operation and Maintenance	3,434,828	3,434,828	0	0	3,434,828	4,038,965	604,137	17.59%
Fund 80000 Park Revenue and Operating	820,000	820,000	0	0	820,000	843,000	23,000	2.80%
Total Transfers In	\$27,344,474	\$8,094,007	\$7,000,000	\$0	\$15,094,007	\$9,356,375	(\$5,737,632)	(38.01%)
Total Available	\$5,998,692,116	\$5,945,141,023	\$140,614,232	\$51,988,267	\$6,137,743,522	\$6,221,449,364	\$83,705,842	1.36%
Direct Expenditures ^{1,3}								
Personnel Services	\$1,080,992,804	\$1,176,339,633	(\$30,462,744)	(\$7,814,613)	\$1,138,062,276	\$1,187,237,671	\$49,175,395	4.32%
Operating Expenses	438,590,093	397,822,396	71,272,289	7,368,146	476,462,831	412,202,649	(64,260,182)	(13.49%)
Recovered Costs	(25,386,154)	(25,807,859)	4,026,161	0	(21,781,698)	(23,098,811)	(1,317,113)	6.05%
Capital Equipment	38,259,351	678,617	3,417,515	446,467	4,542,599	428,617	(4,113,982)	(90.56%)
Fringe Benefits	538,604,828	597,542,030	(17,075,876)	0	580,466,154	619,521,226	39,055,072	6.73%
Total Direct Expenditures	\$2,071,060,922	\$2,146,574,817	\$31,177,345	\$0	\$2,177,752,162	\$2,196,291,352	\$18,539,190	0.85%
Transfers Out								
Fund S10000 School Operating ⁴	\$2,584,409,875	\$2,703,050,892	\$0	\$0	\$2,703,050,892	\$2,802,243,987	\$99,193,095	3.67%
Fund S31000 School Construction	25,134,972	15,600,000	3,544,203	0	19,144,203	23,100,000	3,955,797	20.66%
Fund 10010 Revenue Stabilization ⁵	0	0	0	0	0	0	0	-
Fund 10015 Economic Opportunity Reserve ⁵	1,915,139	0	0	0	0	0	0	-
Fund 10020 Community Funding Pool	13,557,281	13,542,806	0	0	13,542,806	8,743,521	(4,799,285)	(35.44%)
Fund 10030 Contributions	21,222,330	20,584,837	130,000	0	20,714,837	20,861,357	146,520	0.71%
Fund 10040 Information Technology Projects	15,396,010	0	6,313,305	0	6,313,305	0	(6,313,305)	(100.00%)
Fund 10050 Equipment Replacement	0	0	0	0	0	2,000,000	2,000,000	-
Fund 20000 County Debt Service	149,380,516	157,980,516	0	0	157,980,516	165,399,005	7,418,489	4.70%
Fund 20001 School Debt Service	208,928,432	215,628,432	0	0	215,628,432	227,024,447	11,396,015	5.29%
Fund 30000 Metro Operations and Construction	63,046,270	63,046,270	0	0	63,046,270	63,046,270	0	0.00%

FY 2027 ADVERTISED FUND STATEMENT

FUND 10001, GENERAL FUND

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2025 Carryover	Other Actions July-January	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Inc/(Dec) Over Revised	% Inc/(Dec) Over Revised
Transfers Out (continued)								
Fund 30010 General Construction and Contributions	59,074,817	27,707,700	3,276,522	0	30,984,222	14,881,362	(16,102,860)	(51.97%)
Fund 30015 Environmental and Energy Program	9,348,767	1,300,000	6,735,000	0	8,035,000	1,300,000	(6,735,000)	(83.82%)
Fund 30020 Infrastructure Replacement and Upgrades	41,977,949	2,500,000	15,379,566	0	17,879,566	10,000,000	(7,879,566)	(44.07%)
Fund 30050 Transportation Improvements	25,926,590	500,000	0	0	500,000	650,000	150,000	30.00%
Fund 30070 Public Safety Construction	7,000,000	0	2,000,000	0	2,000,000	0	(2,000,000)	(100.00%)
Fund 40000 County Transit Systems	46,464,283	46,608,190	0	0	46,608,190	39,321,388	(7,286,802)	(15.63%)
Fund 40040 Fairfax-Falls Church Community Services Board	181,406,295	184,384,703	0	0	184,384,703	189,916,165	5,531,462	3.00%
Fund 40045 Early Childhood Birth to 5	34,784,561	35,728,624	0	0	35,728,624	36,333,644	605,020	1.69%
Fund 40090 E-911	17,882,242	17,644,053	2,500,000	0	20,144,053	23,437,470	3,293,417	16.35%
Fund 40400 Park General Operations and Capital	0	0	61,398,943	0	61,398,943	72,775,435	11,376,492	18.53%
Fund 50000 Federal-State Grant Fund	5,084,920	5,287,443	0	0	5,287,443	5,551,103	263,660	4.99%
Fund 60000 County Insurance	24,439,550	24,461,533	0	0	24,461,533	24,435,956	(25,577)	(0.10%)
Fund 60010 Department of Fleet Management	4,587,636	0	0	0	0	0	0	-
Fund 60020 Document Services	4,589,474	4,718,727	0	0	4,718,727	4,851,187	132,460	2.81%
Fund 60030 Technology Infrastructure Services	14,240,939	16,081,886	0	0	16,081,886	26,813,746	10,731,860	66.73%
Fund 73030 OPEB Trust	6,550,000	6,500,000	0	0	6,500,000	2,408,371	(4,091,629)	(62.95%)
Fund 81400 FCRHA Asset Management	0	0	2,500,000	0	2,500,000	0	(2,500,000)	(100.00%)
Fund 83000 Alcohol Safety Action Program	1,166,896	1,327,763	0	0	1,327,763	1,439,317	111,554	8.40%
Total Transfers Out	\$3,567,515,744	\$3,564,184,375	\$103,777,539	\$0	\$3,667,961,914	\$3,766,533,731	\$98,571,817	2.69%
Total Disbursements	\$5,638,576,666	\$5,710,759,192	\$134,954,884	\$0	\$5,845,714,076	\$5,962,825,083	\$117,111,007	2.00%
Total Ending Balance	\$360,115,450	\$234,381,831	\$5,659,348	\$51,988,267	\$292,029,446	\$258,624,281	(\$33,405,165)	(11.44%)
Less:								
Managed Reserve ⁵	\$227,866,326	\$227,866,326	\$5,659,348	0	\$233,525,674	\$233,525,674	\$0	0.00%
ARPA Coronavirus State and Local Fiscal Recovery Fund ³	7,639,180	0	0	0	0	0	0	-
FY 2025 Audit Adjustments ¹	424,207	0	0	0	0	0	0	-
Reserve for One-Time Requirements ⁶	0	0	0	51,988,267	51,988,267	0	(51,988,267)	(100.00%)
Reserve for Tourism ⁷	0	6,515,505	0	0	6,515,505	0	(6,515,505)	(100.00%)
Reserve for Loss of UASI Funding ⁸	0	0	0	0	0	1,931,528	1,931,528	-
Total Available	\$124,185,737	\$0	\$0	\$0	\$0	\$23,167,079	\$23,167,079	-

¹ In order to appropriately reflect actual revenues and expenditures in the proper fiscal year, FY 2025 revenues are increased \$1,804,665.39 and FY 2025 expenditures are increased \$1,380,458.33 to reflect audit adjustments as included in the FY 2025 Annual Comprehensive Financial Report (ACFR). As a result, the FY 2026 Revised Budget Plan Beginning Balance reflects a net increase of \$424,207. The Annual Comprehensive Financial Report (ACFR) reflects all audit adjustments in FY 2025. Details of the audit adjustments will be included in the FY 2026 Third Quarter Package.

² Personal Property Taxes of \$211,313,944 that are reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998 are included in the Revenue from the Commonwealth category in accordance with guidelines from the State Auditor of Public Accounts.

³ The ARPA Coronavirus State and Local Fiscal Recovery Funds Balance represents unspent federal stimulus funds as of year-end FY 2025. This balance is appropriated in Agency 87, Unclassified Administrative Expenses in FY 2025 to allow for spending through the ARPA spending deadline of December 31, 2026.

⁴ The County General Fund transfer for school operations in FY 2027 totals \$2,802,243,987, an increase of \$99,193,095, or 3.7 percent, over the FY 2026 Adopted Budget Plan. The Fairfax County Public Schools Superintendent's Proposed Budget reflected a General Fund transfer increase of \$138,446,063, or 5.1 percent, over the FY 2026 Adopted Budget Plan.

⁵ The Revenue Stabilization Reserve, Economic Opportunity Reserve, and Managed Reserve are projected to be maintained at their combined target of 10 percent of total General Fund disbursements in FY 2027

⁶ A total of \$51,988,267 in the Reserve for One-Time Requirements comprises \$51,564,060 in FY 2026 Midyear revenue adjustments and \$424,207 in FY 2025 Audit Adjustments, and is expected to be utilized during FY 2026 for one-time requirements, and as a result, is not carried forward into FY 2027.

⁷ FY 2026 revenue associated with the additional 1 percent increase in Transient Occupancy Tax for tourism is held in reserve, and will be transferred to Fund 10030, Contributions, as part of the FY 2026 Third Quarter Review. FY 2027 revenue associated with the additional 1 percent increase in Transient Occupancy Tax for tourism is reflected in Fund 10030, Contributions.

⁸ The Reserve for Loss of UASI Funding is necessary to mitigate the risk of potential reductions in UASI funding, which remains uncertain at this time.

FY 2027 ADVERTISED SUMMARY GENERAL FUND DIRECT EXPENDITURES

Agency	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2025 Carryover	Other Actions July - January	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Inc/(Dec) Over Revised	% Inc/(Dec) Over Revised
Legislative-Executive Functions / Central Services								
01 Board of Supervisors	\$7,397,186	\$8,051,992	\$0	\$0	\$8,051,992	\$8,346,840	\$294,848	3.66%
02 Office of the County Executive	8,664,634	9,314,034	1,089,962	0	10,403,996	9,528,401	(875,595)	(8.42%)
03 Department of Clerk Services	2,139,105	2,250,129	81,785	0	2,331,914	2,295,275	(36,639)	(1.57%)
06 Department of Finance	9,926,264	10,534,130	148,581	0	10,682,711	10,634,365	(48,346)	(0.45%)
11 Department of Human Resources	11,525,540	11,550,605	271,913	0	11,822,518	12,395,845	573,327	4.85%
12 Department of Procurement and Material Management	8,891,143	9,158,452	1,246,453	0	10,404,905	9,169,798	(1,235,107)	(11.87%)
13 Office of Public Affairs	2,551,823	3,048,843	1,979	0	3,050,822	3,123,845	73,023	2.39%
15 Office of Elections	9,832,766	9,487,901	1,870,377	0	11,358,278	9,572,304	(1,785,974)	(15.72%)
17 Office of the County Attorney	10,934,730	11,290,818	922,754	0	12,213,572	12,040,535	(173,037)	(1.42%)
20 Department of Management and Budget	8,081,162	8,834,757	407,768	0	9,242,525	9,121,953	(120,572)	(1.30%)
37 Office of the Financial and Program Auditor	488,795	515,660	8,000	0	523,660	536,986	13,326	2.54%
41 Civil Service Commission	415,783	484,782	12,000	0	496,782	476,994	(19,788)	(3.98%)
42 Office of the Independent Police Auditor	343,573	360,198	0	0	360,198	0	(360,198)	(100.00%)
43 Office of the Police Civilian Review Panel	284,714	307,144	6,660	0	313,804	0	(313,804)	(100.00%)
44 Office of Police Accountability	0	0	0	0	0	625,867	625,867	--
57 Department of Tax Administration	33,632,257	37,417,187	1,392,110	0	38,809,297	38,475,058	(334,239)	(0.86%)
70 Department of Information Technology	43,060,485	43,456,391	52,527	0	43,508,918	44,643,045	1,134,127	2.61%
Total Legislative-Executive Functions / Central Services	\$158,169,960	\$166,063,023	\$7,512,869	\$0	\$173,575,892	\$170,987,111	(\$2,588,781)	(1.49%)
Judicial Administration								
80 Circuit Court and Records	\$14,901,298	\$15,383,778	\$387,257	\$0	\$15,771,035	\$15,911,790	\$140,755	0.89%
82 Office of the Commonwealth's Attorney	8,589,043	9,774,860	179,878	0	9,954,738	10,142,576	187,838	1.89%
85 General District Court	5,745,214	7,220,033	333,639	0	7,553,672	6,620,980	(932,692)	(12.35%)
91 Office of the Sheriff	30,300,284	26,247,628	1,568,007	0	27,815,635	30,279,938	2,464,303	8.86%
Total Judicial Administration	\$59,535,839	\$58,626,299	\$2,468,781	\$0	\$61,095,080	\$62,955,284	\$1,860,204	3.04%
Public Safety								
04 Department of Cable and Consumer Services	\$703,085	\$861,014	\$164	\$0	\$861,178	\$890,400	\$29,222	3.39%
81 Juvenile and Domestic Relations District Court	28,564,595	32,700,357	555,897	0	33,256,254	32,914,200	(342,054)	(1.03%)
90 Police Department	285,037,448	290,513,311	4,619,102	0	295,132,413	301,992,511	6,860,098	2.32%
91 Office of the Sheriff	53,522,971	57,322,839	439,166	0	57,762,005	58,949,861	1,187,856	2.06%
92 Fire and Rescue Department	276,193,065	272,670,655	4,196,793	0	276,867,448	284,152,003	7,284,555	2.63%
93 Department of Emergency Management and Security	7,706,948	8,822,104	2,189,022	0	11,011,126	9,302,840	(1,708,286)	(15.51%)
96 Department of Animal Services	5,560,023	10,446,557	163,563	0	10,610,120	10,558,547	(51,573)	(0.49%)
97 Department of Code Compliance	5,080,323	5,377,970	2,219	0	5,380,189	5,590,416	210,227	3.91%
Total Public Safety	\$662,368,458	\$678,714,807	\$12,165,926	\$0	\$690,880,733	\$704,350,778	\$13,470,045	1.95%
Public Works								
08 Facilities Management Department	\$68,468,002	\$73,124,335	\$5,419,110	\$0	\$78,543,445	\$76,181,274	(\$2,362,171)	(3.01%)
25 Business Planning and Support	1,324,664	1,365,439	65,222	0	1,430,661	1,347,070	(83,591)	(5.84%)
26 Office of Capital Facilities	14,547,326	18,817,539	772,465	0	19,590,004	19,428,269	(161,735)	(0.83%)
Total Public Works	\$84,339,992	\$93,307,313	\$6,256,797	\$0	\$99,564,110	\$96,956,613	(\$2,607,497)	(2.62%)

FY 2027 ADVERTISED SUMMARY GENERAL FUND DIRECT EXPENDITURES

Agency	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2025 Carryover	Other Actions July - January	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Inc/(Dec) Over Revised	% Inc/(Dec) Over Revised
Health and Welfare								
67 Department of Family Services	\$168,338,679	\$180,309,034	\$3,452,924	\$0	\$183,761,958	\$184,715,353	\$953,395	0.52%
71 Health Department	86,011,652	92,362,150	1,981,812	0	94,343,962	95,309,673	965,711	1.02%
79 Department of Neighborhood and Community Services	110,916,621	116,382,214	7,892,052	0	124,274,266	127,998,084	3,723,818	3.00%
Total Health and Welfare	\$365,266,952	\$389,053,398	\$13,326,788	\$0	\$402,380,186	\$408,023,110	\$5,642,924	1.40%
Parks and Libraries								
51 Fairfax County Park Authority ¹	\$36,744,055	\$36,764,402	(\$36,764,402)	\$0	\$0	\$0	\$0	--
52 Fairfax County Public Library	34,362,862	36,539,454	1,421,923	0	37,961,377	37,481,693	(479,684)	(1.26%)
Total Parks and Libraries	\$71,106,917	\$73,303,856	(\$35,342,479)	\$0	\$37,961,377	\$37,481,693	(\$479,684)	(1.26%)
Community Development								
16 Economic Development Authority	\$9,462,781	\$9,366,621	\$0	\$0	\$9,366,621	\$9,097,563	(\$269,058)	(2.87%)
30 Department of Economic Initiatives	1,980,505	2,298,926	0	0	2,298,926	2,372,003	73,077	3.18%
35 Department of Planning and Development	16,314,456	17,216,193	1,635,968	0	18,852,161	17,638,095	(1,214,066)	(6.44%)
38 Department of Housing and Community Development	37,693,955	42,585,751	8,661,934	0	51,247,685	47,446,679	(3,801,006)	(7.42%)
39 Office of Human Rights and Equity Programs	1,689,598	2,037,807	318,021	0	2,355,828	2,115,461	(240,367)	(10.20%)
40 Department of Transportation	12,032,702	12,489,731	757,294	0	13,247,025	12,688,203	(558,822)	(4.22%)
Total Community Development	\$79,173,997	\$85,995,029	\$11,373,217	\$0	\$97,368,246	\$91,358,004	(\$6,010,242)	(6.17%)
Nondepartmental								
87 Unclassified Administrative Expenses ²	\$51,655,680	\$2,546,212	\$30,491,322	\$0	\$33,037,534	\$2,546,212	(\$30,491,322)	(92.29%)
89 Employee Benefits	539,443,127	598,964,880	(17,075,876)	0	581,889,004	621,632,547	39,743,543	6.83%
Total Nondepartmental	\$591,098,807	\$601,511,092	\$13,415,446	\$0	\$614,926,538	\$624,178,759	\$9,252,221	1.50%
Total General Fund Direct Expenditures	\$2,071,060,922	\$2,146,574,817	\$31,177,345	\$0	\$2,177,752,162	\$2,196,291,352	\$18,539,190	0.85%

¹ As part of the FY 2025 Carryover Review, Agency 51, Fairfax County Park Authority, was moved from the General Fund to Fund 40400, Park General Operations and Capital, to provide greater transparency and flexibility by combining both parks operational and capital project funding into the same fund. Beginning in FY 2026, all activities in Agency 51 are transferred to Fund 40400.

² Federal Stimulus funds provided to the County through the American Rescue Plan Act (ARPA) Coronavirus State and Local Fiscal Recovery Funds (CSLFRF) are accounted for in Agency 87, Unclassified Administrative Expenses, in a separate sub-fund within the General Fund.

General Fund Revenue Overview



FY 2027

Advertised Budget Plan

General Fund Revenue Overview

Summary of General Fund Revenue and Transfers In

Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan ¹	FY 2027 Advertised Budget Plan	Change from Revised	
					Increase/ (Decrease)	% Change
Real Estate Taxes - Current and Delinquent	\$3,567,823,687	\$3,737,057,704	\$3,737,057,704	\$3,869,581,289	\$132,523,585	3.5%
Personal Property Taxes - Current and Delinquent ²	819,488,988	806,661,522	836,907,715	862,797,899	25,890,184	3.1%
Other Local Taxes	642,805,015	729,881,785	731,255,491	802,448,999	71,193,508	9.7%
Permits, Fees and Regulatory Licenses	11,031,357	12,985,962	12,985,962	13,496,929	510,967	3.9%
Fines and Forfeitures	9,175,729	9,214,101	9,231,642	9,412,284	180,642	2.0%
Revenue from Use of Money/Property	192,952,240	152,662,534	168,413,443	152,673,399	(15,740,044)	(9.3%)
Charges for Services	72,641,370	71,808,877	74,584,336	78,104,347	3,520,011	4.7%
Revenue from the Commonwealth and Federal Government ²	174,680,809	167,673,630	170,495,618	168,285,012	(2,210,606)	(1.3%)
Recovered Costs / Other Revenue	21,643,708	21,234,575	21,602,154	21,767,157	165,003	0.8%
Total Revenue	\$5,512,242,903	\$5,709,180,690	\$5,762,534,065	\$5,978,567,315	216,033,250	3.7%
Transfers In	27,344,474	8,094,007	15,094,007	9,356,375	(5,737,632)	(38.0%)
Total Receipts	\$5,539,587,377	\$5,717,274,697	\$5,777,628,072	\$5,987,923,690	210,295,618	3.6%

¹ FY 2026 revenue estimates were increased a net \$53.4 million as part of the FY 2025 Carryover Review and the fall 2025 revenue review. Explanations of these changes can be found in the following narrative. The FY 2026 Third Quarter Review may contain further adjustments as necessary.

² The portion of the Personal Property Tax reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998 is included in the Personal Property Tax category for the purpose of discussion in this section.

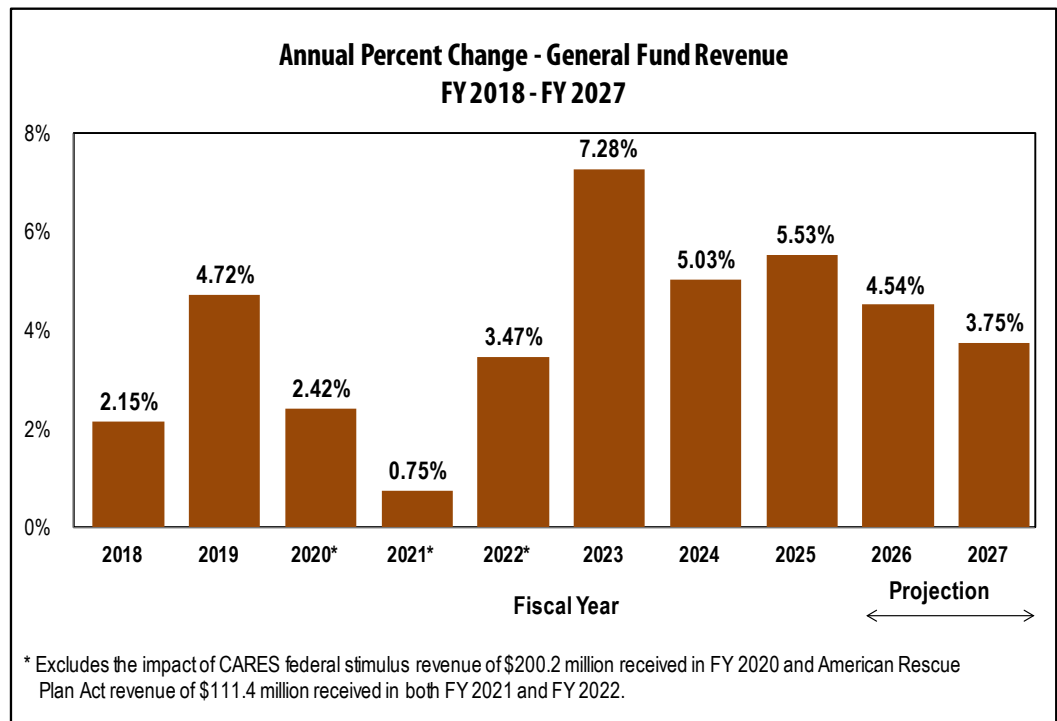
As reflected in the preceding table, FY 2027 General Fund revenues are projected to be \$5,978,567,315, an increase of \$269,386,625 or 4.7 percent over the FY 2026 Adopted Budget Plan. FY 2026 revenue estimates were increased a net \$53.4 million in a number of revenue categories as part of the FY 2025 Carryover Review and the fall 2025 revenue review. As a result, the FY 2027 General Fund revenue reflects an increase of \$216,033,250 or 3.7 percent over the FY 2026 Revised Budget Plan, which contains the latest FY 2026 revenue estimates. The revenue increase in FY 2027 is primarily due to an increase of \$132.5 million, or 3.5 percent, in Real Estate Tax revenue as a result of a 3.77 percent rise in the Real Estate assessment base at the Real Estate tax rate of \$1.1225 per \$100 of assessed value, which is unchanged from FY 2026. It should be noted that Real Estate tax revenue reflects the allocation of the projected value of one and one-quarter penny (1.25) of the Real Estate tax rate (\$43.94 million) to Fund 30300, Affordable Housing Development and Investment. In addition, Other Local Taxes are expected to increase \$71.2 million, or 9.7 percent, primarily as a result of the full-year revenue from the Food and Beverage Tax, which was adopted by the Board of Supervisors for FY 2026 with an effective date January 1, 2026. In addition, Personal Property Taxes are projected to increase \$25.9 million, or 3.1 percent, on expected growth in vehicle volume and levy. Partially offsetting the projected revenue increases is a projected decrease of \$15.7 million, or 9.3 percent, in Revenue from the Use of Money and Property as a result of a projected decline in Investment Interest earnings.

Incorporating Transfers In, FY 2027 General Fund receipts are anticipated to be \$5,987,923,690. The Transfers In to the General Fund total \$9.4 million and reflect \$4.0 million from Fund 69010,

General Fund Revenue Overview

Sewer Operation and Maintenance, \$1.7 million from Fund 40100, Stormwater Services, and \$3.7 million from various other funds for indirect support provided by the County's General Fund agencies.

The following chart shows General Fund revenue growth since FY 2018. Revenues rose 2.15 percent in FY 2018 and 4.72 percent in FY 2019. In FY 2020, revenues were impacted by the COVID-19 pandemic. The County received \$200.2 million from the Coronavirus Aid, Relief, and Economic Security (CARES) Act Coronavirus Relief Fund to deal with the effects of the pandemic and as a result General Fund revenue grew 7.03 percent. Absent this one-time federal stimulus revenue, actual FY 2020 revenue would have increased 2.42 percent over FY 2019. A revenue decline of 1.19 percent occurred in FY 2021, because the amount of pandemic-related General Fund revenue received from the federal government decreased to approximately \$111 million. Absent this pandemic-related American Rescue Plan Act (ARPA) federal revenue, actual FY 2021 revenue reflected an increase of 0.75 percent over FY 2020. In FY 2022, General Fund revenues increased 3.47 percent, excluding the impact of the additional ARPA revenue of \$111 million that the County received from the federal government. In FY 2023, actual General Fund revenue increased 7.28 percent. Excluding the impact of ARPA revenue of \$111 million received in FY 2022, the General Fund revenue in FY 2023 increased 7.28 percent, followed by an increase of 5.03 percent in FY 2024 and 5.53 percent in FY 2025. It is projected to increase 4.54 percent in FY 2026 and 3.75 percent in FY 2027.



Economic Indicators

The U.S. economy expanded at an annual rate of 3.8 percent in the second quarter and 4.4 percent in the third quarter of 2025. While economic growth was robust, the labor market decelerated significantly. Payroll employment rose by a total of just 181,000 jobs in 2025 (an average monthly gain of 15,000), substantially lower than the increase of 2.0 million in 2024 (an average monthly gain of 168,000). Since reaching a peak in October 2024, federal government employment was down by 327,000, or 10.9 percent, in January 2026. The unemployment rate stands at 4.3 percent as of January 2026, up from 4.0 percent in January 2025.

While inflation has eased significantly from its highs in mid-2022, it remains somewhat elevated relative to the Federal Reserve's longer-run goal of 2 percent. In December 2025, the year-over-year increase in the Consumer Price Index (CPI) was 2.7 percent, down from the December 2024 rate of 2.9 percent. For 2026, most economists anticipate subdued economic growth due to ongoing policy factors under the Trump administration, including elevated trade tariffs that have contributed to upward pressure on certain prices and stricter immigration measures that have reduced net inflows and weighed on labor supply.

Acknowledging the progress toward price stability despite persistent tariff-related effects, the Federal Reserve implemented three rate reductions in the latter half of 2025 (September, October, and December), lowering the target range to 3.5-3.75 percent. In January 2026, the Fed held its benchmark rate steady, adopting a cautious, data-dependent stance. Fed Chairman Jerome Powell described the economy as coming into 2026 "on a firm footing," highlighting solid expansion in economic activity, resilient consumer spending, and continued business investment, despite the federal government shutdown in the last quarter of 2025 which likely weighed on economic growth.

The housing market in 2025 showed signs of normalization compared to prior years, with inventory increasing notably and home price growth slowing significantly amid persistent affordability challenges. Mortgage rates averaged around 6.6 percent for 30-year fixed loans throughout much of the year, gradually easing toward the end (closing around 6.2 percent in late 2025), though they remained elevated and continued to limit buyer demand. The Case-Shiller 20-City Composite Home Price Index, a widely followed measure of U.S. home prices, posted a year-over-year increase of 1.4 percent in November 2025. The housing market going into 2026 appears set for even slower home value growth, with continued upticks in inventory and modest improvements in sales activity.

In 2025, federal policy changes created significant uncertainty for the local economy, which is heavily reliant on federal employment and federal procurement spending. Between December 2024 and December 2025, the number of total nonfarm jobs in Northern Virginia declined by almost 15,000, or 0.9 percent. The decline was primarily due to a reduction of 13,300 federal government jobs, reflecting a 13.9 percent drop. The last time that the region had fewer federal employees was in 2008. Jobs in the Professional and Business Services sector declined 2.1 percent in the same period.

In Fairfax County, the unemployment rate averaged 3.4 percent in 2025, up from 2.5 percent in 2024. As of December 2025, it stands at 3.3 percent. Based on preliminary estimates from IHS Markit, the County's Gross County Product (GCP), adjusted for inflation, increased at a rate of just 0.8 percent in 2025, which is lower than the 3.1 percent growth rate experienced in 2024. According to IHS Markit, the County's economy is expected to experience slow growth in 2026, increasing 0.7 percent.

Given the unpredictable nature of the current presidential administration, there is ongoing uncertainty surrounding federal actions and their impact on the local economy. The administration has actively reshaped the federal government, including substantial reductions to its workforce throughout 2025. The losses in federal employment locally have been more severe than those recorded nationally. As

the home to many federal workers and even more workers connected to businesses that contract with the federal government, these impacts will flow through the region's economy over the coming years. The FY 2027 revenue assumptions are cautious, and staff will closely monitor any future developments including total employment, federal procurement spending, and the housing market.

Local Housing Market

Based on information from Bright MLS, the average sales price of homes sold in Fairfax County rose 3.0 percent from \$858,057 in 2024 to \$883,520 in 2025. Since bottoming out in 2009, the average home sales price has risen 111.8 percent, or at an average annual growth rate of 4.8 percent. Bright MLS also reported that 11,780 homes sold in the County in 2025, a decrease of just 0.1 percent compared to 2024. Homes that sold during 2025 were on the market for an average of 21 days, four days longer than in 2024.

Local Nonresidential Market

According to the Fairfax County Economic Development Authority, for the first time since 2019, the direct office vacancy rate in Fairfax County experienced a year-over-year decline. The continued removal of high-vacancy, obsolete office inventory through demolition and adaptive reuse as well as the slowdown of office construction without committed tenants led to the reduction in the vacancy rate. The direct office vacancy rate for year-end 2025 was 17.4 percent, which is a 0.4 percentage point reduction from the year-end 2024 rate of 17.8 percent. The recent plateauing of office vacancy rate rises coupled with the first year-over-year office vacancy rate reduction in five years signals an office market in the midst of stabilization. The overall office vacancy rate, which includes empty sublet space, was 17.9 percent at the end of 2025, down from 18.4 percent recorded at year-end 2024. The amount of empty office space decreased to 21.3 million square feet.

Fairfax County recorded approximately 6.3 million square feet of office leasing for 2025, finishing lower than 2024 (7 million square feet) but matching the total in 2023 (6.3 million square feet). Two of the main contributing factors to the decrease in office leasing activity year-over-year include the lack of large lease renewals compared to 2024 levels, and the hesitancy among employers to make long-term, cost-intensive decisions amid policy and economic uncertainty. While office leasing levels were lower, return-to-office indicators continued to trend upward as evidenced by various foot traffic measures and Metro ridership figures. For example, Metro stations in Tysons recorded ridership levels at 82 percent of 2019 levels and have shown consistent year-over-year growth since 2020. The upward trend of in-office work is expected to continue into 2026.

As of year-end 2025, Fairfax County had an office inventory just above 119 million square feet. After initially crossing the 120 million square foot mark following the delivery of a 210,000 square foot office building in Reston, the office inventory recorded over 1 million square feet of office inventory either demolished or repurposed for an alternative use. There are two adaptive reuse projects underway that will transform over 300,000 square feet of office into affordable housing units and an independent living facility. There were over 900,000 square feet of office space that was demolished in 2025, across six buildings. As of year-end 2025, there are two office buildings under construction, totaling 320,000 square feet and slated to be fully occupied at delivery.

Fee and Charges Review

The FY 2027 Advertised Budget Plan includes a revenue increase of \$4.1 million as a result of proposed fee adjustments, including Zoning fees, Fire Marshal fees, Fire Prevention Code permits, EMS Transport fees, Adult Day Health Care (ADHC) fees, Employee Child Care Center fees, and the implementation of a new Middle School After School fee. On average, Zoning fees and Fire Marshal fees and Fire Prevention Code permits will be increased by 5.0 percent, which is estimated to generate an additional \$0.5 million. In addition, EMS Transport fees, which were last adjusted in

FY 2024, are proposed to be adjusted in FY 2027 as follows: the Basic Life Support (BLS) transport increases from \$750 to \$850; Advanced Life Support 1 (ALS-1) transport from \$950 to \$1,075; Advanced Life Support 2 (ALS-2) transport from \$1,175 to \$1,325; and the current charge of \$18 per mile transported increases to \$20 per mile transported. The EMS Transport fee increases are estimated to generate an additional \$1.8 million in FY 2027. The ADHC fee, which was last adjusted in FY 2025, will be increased by 4 percent and is anticipated to generate an additional \$47,000. Adjustments of the Employee Child Care Center (ECCC) fees are expected to increase on average 11 percent and generate a revenue increase of \$0.5 million. This increase brings the ECCC fees in line with surrounding day care centers and was recommended by ECCC families. It is consistent with the October 7, 2025, presentation to the Board of Supervisors at the Health and Human Services Committee meeting. In addition, a new Middle School After School fee is recommended to be implemented that is anticipated to generate an additional \$1.1 million in FY 2027. This fee will be administered by FCPS and revenue remitted to the County. In FY 2028, once baseline revenues are established, FCPS will begin collecting the revenue directly, resulting in a commensurate decrease in the County transfer to FCPS. A more detailed discussion of these fees can be found in the following narrative.

Revenue

The FY 2026 and FY 2027 General Fund revenue estimates discussed in this section are based on a review of Fairfax County economic indicators, actual FY 2025 receipts, and FY 2026 year-to-date collection trends. Forecasts of economic activity in the County are provided by IHS Markit and a variety of national economic forecasts are considered. Based on analysis of projected trends, revenue categories are expected to experience moderate growth through FY 2027.

In FY 2027, current and delinquent Real Estate Tax revenue comprises 64.7 percent of total County General Fund revenues. FY 2027 Real Estate property values were established as of January 1, 2026 and reflect market activity through calendar year 2025. The Real Estate Tax base is projected to increase 3.77 percent in FY 2027 and is made up of a 3.32 percent increase in total equalization (reassessment of existing residential and nonresidential properties), and an increase of 0.45 percent for new construction.

General Fund Revenue Overview

Major Revenue Sources

The following major revenue categories discussed in this section comprise 98.9 percent of total FY 2027 General Fund revenue. Unless otherwise indicated, comparative data are presented relative to the *FY 2026 Revised Budget Plan*. The revenue estimates for all General Fund Revenue categories are shown in the Summary Schedule of General Fund Revenues in the section of this volume titled "Financial, Statistical and Summary Tables."

Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan ¹	FY 2027 Advertised Budget Plan	Change from Revised	
					Increase / (Decrease)	% Change
Real Estate Tax - Current	\$3,555,591,481	\$3,723,938,792	\$3,723,938,792	\$3,856,199,999	\$132,261,207	3.6%
Personal Property Tax - Current ²	784,642,555	772,999,595	803,245,788	828,462,733	25,216,945	3.1%
Paid Locally	573,328,611	561,685,651	591,931,844	617,148,789	25,216,945	4.3%
Reimbursed by Commonwealth	211,313,944	211,313,944	211,313,944	211,313,944	0	0.0%
Business, Professional and Occupational License Tax-Current	211,001,295	215,258,071	215,258,071	218,486,941	3,228,870	1.5%
Local Sales Tax	249,561,855	251,357,344	254,550,859	258,367,447	3,816,588	1.5%
Food and Beverage Tax	-	67,900,000	67,900,000	135,800,000	67,900,000	100.0%
Recordation/Deed of Conveyance Taxes	31,436,576	29,107,014	30,818,756	31,435,131	616,375	2.0%
Bank Franchise Tax	28,520,593	31,629,866	28,520,593	29,091,005	570,412	2.0%
Gas & Electric Utility Taxes	45,314,733	44,880,523	44,880,523	45,329,328	448,805	1.0%
Vehicle License Fee	27,337,191	27,951,236	27,951,236	28,370,505	419,269	1.5%
Transient Occupancy Tax	26,366,888	39,093,030	39,093,030	33,229,075	(5,863,955)	(15.0%)
Cigarette Tax	5,043,615	4,903,596	4,903,596	4,658,416	(245,180)	(5.0%)
Permits, Fees and Regulatory Licenses	11,031,357	12,985,962	12,985,962	13,496,929	510,967	3.9%
Investment Interest	190,696,546	150,370,000	166,300,000	150,370,000	(15,930,000)	(9.6%)
Charges for Services	72,641,370	71,808,877	74,584,336	78,104,347	3,520,011	4.7%
Fines and Forfeitures	9,175,729	9,214,101	9,231,642	9,412,284	180,642	2.0%
Recovered Costs/ Other Revenue	21,643,708	21,234,575	21,602,154	21,767,157	165,003	0.8%
Revenue from the Commonwealth and Federal Government ²	174,680,809	167,673,630	170,495,618	168,285,012	(2,210,606)	(1.3%)
Total Major Revenue Sources	\$5,444,686,301	\$5,642,306,212	\$5,696,260,956	\$5,910,866,309	\$214,605,352	3.8%

¹ FY 2026 revenue estimates were increased a net \$53.4 million as part of the *FY 2025 Carryover Review* and the fall 2025 revenue review. Explanations of these changes can be found in the following narrative. The *FY 2026 Third Quarter Review* may contain further adjustments as necessary.

² The portion of the Personal Property Tax reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998 is included in the Personal Property Tax category for the purpose of discussion in this section.

Real Estate Taxes

REAL ESTATE TAX-CURRENT

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$3,555,591,481	\$3,723,938,792	\$3,723,938,792	\$3,856,199,999	\$132,261,207	3.6%

The FY 2027 Advertised Budget Plan estimate for Current Real Estate Taxes is \$3,856,199,999 and represents an increase of \$132,261,207 or 3.6 percent over the FY 2026 Revised Budget Plan estimate. The increase is the result of the rise of the Real Estate tax base of 3.77 percent as compared to the FY 2026 valuation of real property. The Real Estate tax rate remains unchanged at \$1.1225 per \$100 of assessed value.

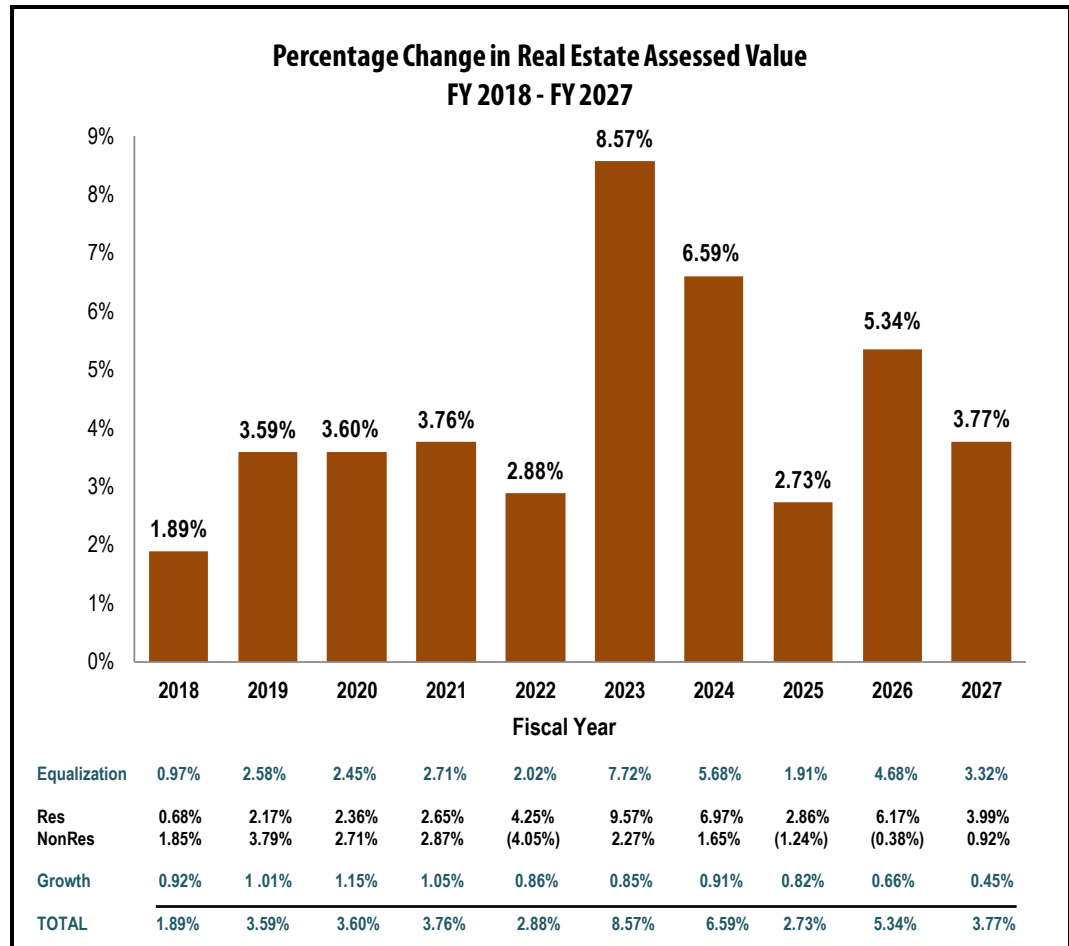
The FY 2027 value of assessed real property represents an increase of 3.77 percent, as compared to the FY 2026 Real Estate Land Book, and is comprised of an increase in equalization of 3.32 percent and an increase of 0.45 percent associated with new construction. The FY 2027 figures reflected in this document are based on final assessments for Tax Year 2026 (FY 2027), which were established as of January 1, 2026. In addition to the revenue shown in the table above, the projected value of one and a one-quarter penny (1.25) on the Real Estate Tax rate (\$43.94 million) is allocated to Fund 30300, Affordable Housing Development and Investment, and \$4.9 million is allocated to Fund 70040, Mosaic District Community Development Authority. Throughout FY 2027, Real Estate Tax revenues will be adjusted as necessary to reflect changes in exonerations, tax abatements, and supplemental assessments, as well as any differences in the projected collection rate of 99.65 percent.

The FY 2027 Main Assessment Book Value is \$354,061,297,220 and represents an increase of \$12,866,069,400, or 3.77 percent, over the FY 2026 main assessment book value of \$341,195,227,820.

As a result of the housing market crisis and a general decline in economic conditions during the Great Recession, the real estate assessment base in Fairfax County declined for two consecutive years in FY 2010 and FY 2011, after experiencing years of double-digit advances in the early 2000s. Since FY 2012, the assessment base has increased by an average annual rate of 3.46 percent through FY 2022. In FY 2023, it increased a strong 8.57 percent, followed by an increase of 6.59 percent in FY 2024. This was primarily due to the historically low mortgage rates (below 3 percent for a 30-year fixed rate mortgage) and a very tight supply of homes for sale on the market. In FY 2025, growth in the real estate assessment base decelerated relative to the previous two years, increasing only 2.73 percent, likely driven by higher mortgage rates and diminished affordability. However, during calendar year 2024, local housing price appreciation picked up as the supply of homes for sale remained low. In FY 2026, the real estate assessment base increased by 5.34 percent. During 2025, the local economy experienced volatility as result of federal policy changes, federal government employee layoffs, and an extended federal government shutdown in October and November. This uncertainty undoubtedly impacted the local real estate market. The FY 2027 real estate assessment base increased by 3.77 percent, lower than in FY 2026. According to the S&P Case-Shiller Home Prices Indices, home prices in the Washington Metropolitan area increased by just 0.3 percent during the period between November 2024 and November 2025.

General Fund Revenue Overview

The following chart shows changes in the County's assessed value base from FY 2018 to FY 2027.



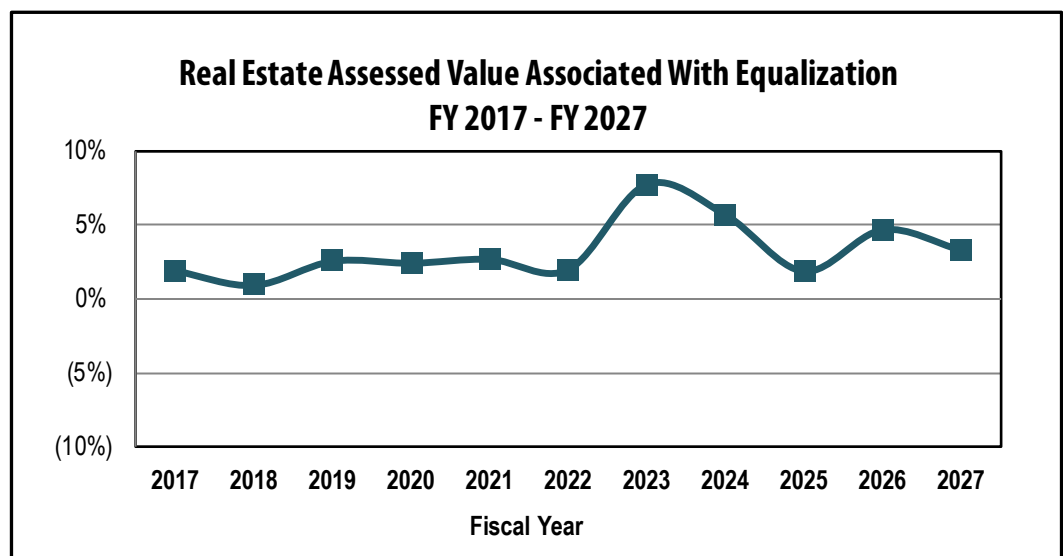
The overall change in the assessment base is comprised of equalization and normal growth. For reporting purposes, individual properties are identified as being in either the equalization category or the growth category, but not both. Equalization properties are those whose values change due to market fluctuations. Growth is a category of properties whose value changes are also influenced by new construction, remodeling or rezonings. Once growth factors are identified, the entire property value is shown in the growth category, even though the property is also influenced by equalization. The FY 2027 assessment base reflects a total equalization increase of 3.32 percent and an increase of 0.45 percent associated with the growth component. As a result of changes in equalization and growth, the residential portion of the total assessment base increased from 78.15 percent in FY 2026 to 78.55 percent in FY 2027. The following table reflects changes in the Real Estate Tax assessment base from FY 2021 through FY 2027.

Main Real Estate Assessment Book Value and Changes

(in millions)

Assessed Base Change Due To:	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026	FY 2027
Equalization	\$6,908.6	\$5,340.6	\$21,024.3	\$16,809.5	\$6,011.5	\$15,144.9	\$11,334.1
% Change	2.71%	2.02%	7.72%	5.68%	1.91%	4.68%	3.32%
Residential	2.65%	4.25%	9.57%	6.97%	2.86%	6.17%	3.99%
Nonresidential	2.87%	(4.05%)	2.27%	1.65%	(1.24%)	(0.38%)	0.92%
Normal Growth	\$2,693.0	\$2,284.2	\$2,327.6	\$2,690.1	\$2,607.0	\$2,161.7	\$1,532.0
% Change	1.05%	0.86%	0.85%	0.91%	0.82%	0.66%	0.45%
Residential	0.67%	0.76%	0.78%	0.85%	0.54%	0.48%	0.32%
Nonresidential	2.10%	1.13%	1.08%	1.10%	1.78%	1.29%	0.92%
Total Change	\$9,601.7	\$7,624.8	\$23,351.9	\$19,499.6	\$8,618.5	\$17,306.6	\$12,866.1
% Change	3.76%	2.88%	8.57%	6.59%	2.73%	5.34%	3.77%
Total Book	\$264,793.6	\$272,418.5	\$295,770.4	\$315,270.1	\$323,888.6	\$341,195.2	\$354,061.3

Equalization, or reassessment of existing residential and nonresidential property, represents an increase in value of \$11,334,081,540, or 3.32 percent, in FY 2027. Both residential and non-residential property values increased in FY 2027. Overall, residential equalization reflects a 3.99 percent increase in FY 2027, compared to a 4.68 percent increase in FY 2026. Nonresidential equalization increased 0.92 percent in FY 2027 after two consecutive years of declines. Changes in the assessment base as a result of equalization are shown in the following graph.



General Fund Revenue Overview

In 2025, 30-year fixed mortgage rates fluctuated throughout the year but saw a slight decrease from 2024, settling on average, in the lower 6 percent range. Inventory levels and sales volume remained relatively stable compared to the previous year, with home prices continuing their trend of appreciation. However, the rate of increase was lower than what was experienced in 2024. This was the primary basis for determining residential assessed values for tax year 2026 (FY 2027).

The total value of residential properties including new construction in FY 2027 is \$278.2 billion.

The County's median assessment to sales ratio is in the mid-90 percent range, well within professional standards that assessments should be between 90 percent to 110 percent of the sales prices experienced in a neighborhood.

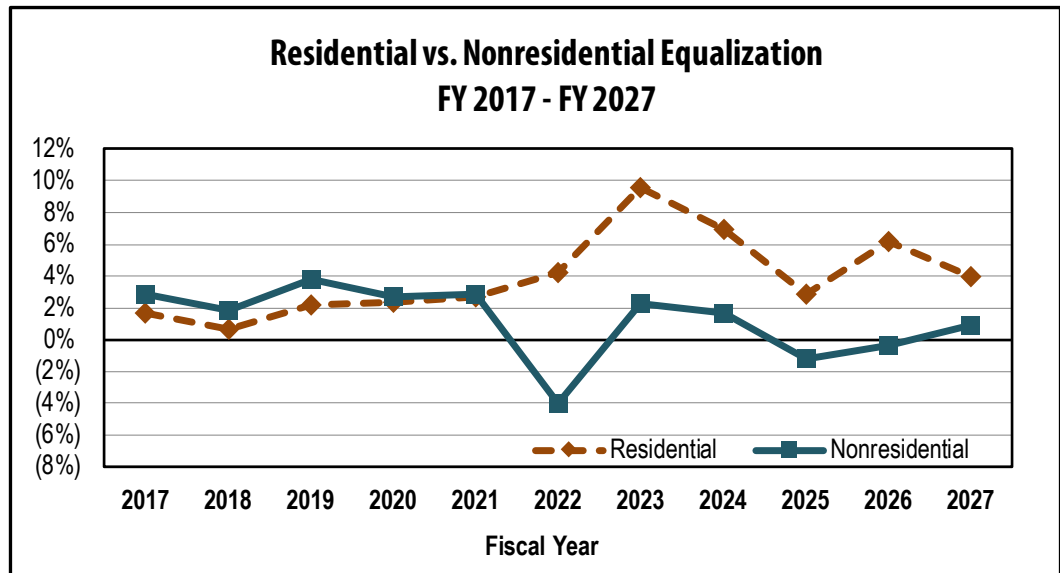
Overall, single family property values increased 4.28 percent in FY 2027. The value of single-family homes has the most impact on the total residential base because they represent almost 72.0 percent of the total. The value of townhouse properties increased 3.90 percent in FY 2027, while that of condominium properties increased 2.94 percent. Changes in residential equalization by housing type since FY 2022 are shown in the following table. Changes represented in this chart are for the category as a whole. Individual neighborhoods and properties may have increased or decreased by different percentages based on neighborhood selling prices.

Residential Equalization Changes

Housing Type/ (Percent of Base)	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026	FY 2027
Single Family (71.8%)	4.17%	10.86%	7.80%	2.79%	6.38%	4.28%
Townhouse/Duplex (19.9%)	5.13%	8.70%	6.31%	2.99%	6.53%	3.90%
Condominiums (7.9%)	4.62%	3.98%	3.98%	4.21%	5.84%	2.94%
Vacant Land (0.3%)	2.07%	11.67%	6.40%	3.48%	6.59%	4.79%
Other (0.1%) ¹	1.95%	3.88%	9.25%	0.70%	6.14%	0.96%
Total Residential Equalization (100%)	4.25%	9.57%	6.97%	2.86%	6.17%	3.99%

¹ Includes, for example, affordable dwelling units, recreational use properties, and agricultural and forestal land use properties.

As a result of the increase in residential equalization, the mean assessed value of all existing residential property in the County is \$829,895. This is an increase of \$31,842, or 3.99 percent over the FY 2026 value of \$798,053. At the Real Estate tax rate of \$1.1225 per \$100 of assessed value, the typical residential annual tax bill will rise, on average, \$357.43 in FY 2027 to \$9,315.57.



From FY 2017 to FY 2021, growth in nonresidential equalization was higher than that of residential equalization. The trend ended in FY 2022 when nonresidential equalization decreased by 4.05 percent. Most nonresidential categories experienced an assessment decrease in FY 2022 as a result of the COVID-19 pandemic. The pandemic continued through calendar year 2021 but its effects on daily life were lessened as the world returned to a “new normal.” Commercial real estate values in FY 2023 began to recover from the significant decreases seen in the previous tax year, increasing 2.27 percent overall. In calendar year 2022, nonresidential values increased modestly, with non-residential equalization reflecting an increase of 1.65 percent in FY 2024. The trend reversed in FY 2025, with nonresidential real estate values decreasing 1.24 percent, followed by another decline of 0.38 percent for FY 2026. During 2025, the office market continued to face strong headwinds due to the same factors that have been evident since the pandemic changed the concept of “in-office” work. As such, office values are down again for FY 2027. Retail, multi-family, and industrial properties continue to be stable and have seen flat or slightly higher values. Data centers continued to become more prevalent in Fairfax County with several new developments coming online in 2025. For the first time in three years, non-residential equalization was positive, with values increasing 0.92 percent in FY 2027.

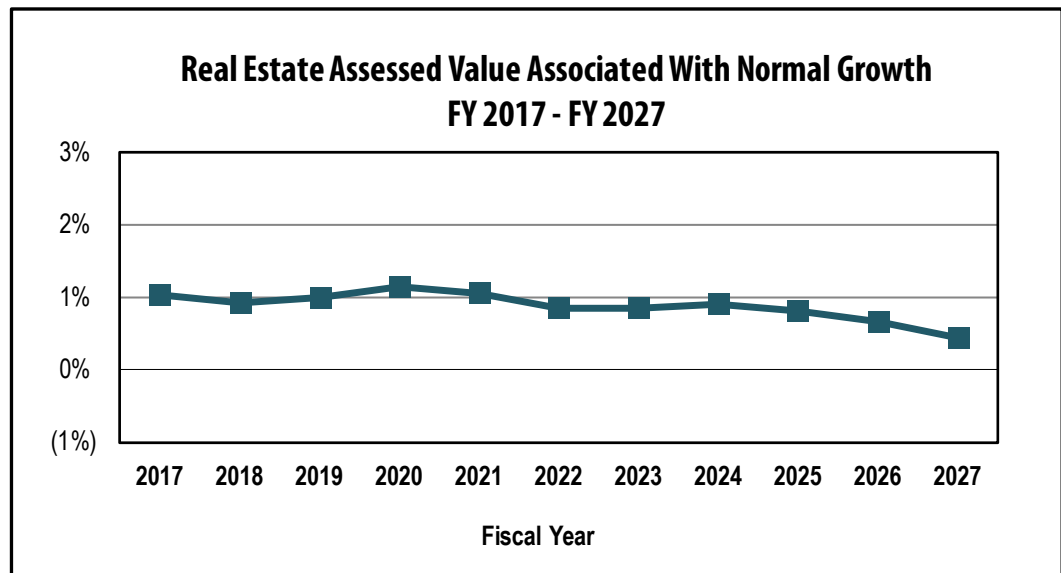
Retail properties, which increased 0.94 percent in FY 2026, posted another slight increase of 0.83 percent in FY 2027. Apartment values, which represent 32.7 percent of the total nonresidential equalization base, rose 2.62 percent in FY 2027. Office Elevator properties (mid- and high-rises), which comprise 22.7 percent of the nonresidential tax base, experienced a decrease for the sixth consecutive year, declining 3.24 percent in assessed value in FY 2027 after decreasing 7.20 percent in FY 2026. Hotel property values in Fairfax County for tax year 2026 (FY 2027) increased 5.17 percent. The total value of nonresidential properties including new construction in FY 2027 is \$75.8 billion. Nonresidential equalization changes by category since FY 2022 are presented in the following table.

General Fund Revenue Overview

Nonresidential Equalization Changes

Category (Percent of Base)	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026	FY 2027
Apartments (32.7%)	2.78%	6.60%	4.04%	1.97%	1.31%	2.62%
Office Condominiums (3.5%)	(0.59%)	0.65%	1.61%	(0.05%)	2.01%	5.22%
Industrial (8.7%)	0.14%	1.97%	9.59%	(1.37%)	2.14%	4.38%
Retail (16.4%)	(10.20%)	2.84%	3.92%	1.14%	0.94%	0.83%
Office Elevator (22.7%)	(4.42%)	(0.45%)	(3.69%)	(9.09%)	(7.20%)	(3.24%)
Office - Low Rise (1.4%)	(3.28%)	2.41%	(1.17%)	(3.67%)	1.73%	(2.63%)
Vacant Land (3.8%)	(5.36%)	(0.74%)	(3.27%)	(1.84%)	(1.43%)	(2.17%)
Hotels (3.1%)	(44.20%)	1.92%	14.46%	22.17%	17.38%	5.17%
Other (7.7%)	(3.75%)	0.84%	3.91%	2.83%	2.75%	2.39%
Nonresidential Equalization (100%)	(4.05%)	2.27%	1.65%	(1.24%)	(0.38%)	0.92%

The Growth component increased the FY 2027 assessment base by \$1,531,987,860, or 0.45 percent, over the FY 2026 assessment book value. New construction increased the residential property base by 0.32 percent and nonresidential properties by 0.92 percent.



In addition to the final equalization and normal growth adjustments in the Main Assessment Book, the following projected adjustments were made to the FY 2027 Real Estate Tax revenue estimate:

Exonerations, Certificates and Tax Abatements are anticipated to reduce the Real Estate assessment base by \$1,445.0 million in FY 2027, resulting in a reduction in levy of \$16.2 million.

Additional Assessments expected to be included in the new Real Estate base total \$875.0 million, or a levy increase of \$9.8 million, and include both prorated assessments and additional supplemental assessments. Prorated assessments are supplemental assessments that include assessments which are made during the year for new construction that is completed subsequent to finalizing the original assessment book.

General Fund Revenue Overview

The Real Estate Tax Relief Program is projected to reduce the Real Estate assessment base in FY 2027 by \$5,950.0 million. The reduction in tax levy due to the Tax Relief program is approximately \$66.8 million at the Real Estate tax rate of \$1.1225 per \$100 of assessed value. For FY 2027, the income limits of the Tax Relief for Seniors and People with Disabilities program remain unchanged and are as follows: 100 percent exemption for elderly and disabled taxpayers with incomes up to \$60,000; 75 percent exemption for eligible applicants with income between \$60,001 and \$70,000; 50 percent exemption for eligible applicants with income between \$70,001 and \$80,000; and 25 percent exemption if income is between \$80,001 and \$90,000. The allowable asset limit in FY 2027 is \$400,000 for all ranges of tax relief. Relief is granted to a maximum limit of 125 percent of the mean assessed value of all residential properties in Fairfax County as of January 1, 2026.

In FY 2024, the Board of Supervisors approved a Real Estate Tax Deferral program for eligible seniors and people with disabilities. To qualify for the program, total combined gross household income from the immediately preceding year may not exceed \$100,000. Additionally, the total net worth of applicants and owners may not exceed \$500,000, not including the value of the home, its furnishings and the home site. The deferred real estate taxes are subject to an annual compounding interest at the rate of the prime rate set by the Wall Street Journal plus 1.00 percent per year (not to exceed 8.00 percent in total). The deferred taxes and accumulated interest may not exceed 10 percent of the assessed value of the property and are due to the County upon the sale or transfer of the property and within one year of the date of passing of the eligible applicant.

Veterans who have a 100 percent permanent and total disability related to military service, or their surviving spouse, are eligible for full Real Estate Tax relief regardless of income or assets. Under state law, surviving spouses are not eligible for the exemption if they have remarried or if the veteran's date of death was prior to January 1, 2011. In addition, the surviving spouse of a military service member killed in the line of duty may be eligible for a full or partial exemption of real estate taxes for their principal residence and up to one acre of land. For tax years beginning on or after January 1, 2017, a surviving spouse of a first responder killed in the line of duty may be eligible for a full or partial exemption of real estate taxes for their principal residence and up to one acre of land. The following table shows FY 2027 income and asset thresholds for the Real Estate Tax Relief Program.

FY 2027 Real Estate Tax Relief Program

	Income Limit	Asset Limit	Percent Relief
Elderly and Disabled*	Up to \$60,000	\$400,000	100%
	Over \$60,000 to \$70,000		75%
	Over \$70,000 to \$80,000		50%
	Over \$80,000 to \$90,000		25%
100% Disabled Veterans or Surviving Spouse	No Limit	No Limit	100%
Surviving Spouse of Military Service Member or First Responder Killed in the Line of Duty	No Limit	No Limit	Full or partial based on mean assessed value

* Relief is granted to a maximum limit of 125% of the mean assessed value of all residential properties in Fairfax County as of January 1, 2026.

General Fund Revenue Overview

The FY 2027 local assessment base of \$347,541,337,220 is derived from the main assessment book and subsequent adjustments discussed above. From this local assessment base, a local tax levy of \$3,901,151,510 is calculated using the Real Estate Tax rate of \$1.1225 per \$100 of assessed value. Based on an expected local collection rate of 99.65 percent, revenue from local assessments is estimated to be \$3,887,500,062. In FY 2027, every 0.01 percentage point change in the collection rate on the locally assessed Real Estate Tax levy yields a revenue change of \$0.4 million, while every penny on the tax rate yields \$35.15 million in revenue.

Added to the local assessment base is an estimated \$1,560,801,741 in assessed value for Public Service Corporations (PSC) property. Using the Real Estate tax rate of \$1.1225 per \$100 of assessed value, the tax levy on PSC property is \$17,520,000. The collection rate on PSC property is expected to be 100.0 percent.

The total assessment base, including Public Service Corporations, is \$349,102,138,961, with a total tax levy of \$3,918,671,510 at the Real Estate Tax rate of \$1.1225 per \$100 of assessed value. Estimated FY 2027 revenue from the Real Estate Tax, including receipts from Public Service Corporations totals \$3,905,020,062. Of this amount, the value of one and a quarter cent on the Real Estate Tax rate, \$43,941,346, has been directed to Fund 30300, Affordable Housing Development and Investment, and \$4,878,717 has been directed to Fund 70040, Mosaic District Community Development Authority.

FY 2027 Estimated Real Estate Assessments and Tax Levy

	Assessed Value	FY 2027 Tax Levy at \$1.1225/\$100 of Assessed Value
FY 2026 Real Estate Book	\$341,195,227,820	\$3,829,916,432
FY 2027 Equalization	11,334,081,540	\$127,225,065
FY 2027 Growth	1,531,987,860	17,196,564
TOTAL FY 2027 REAL ESTATE BOOK	\$354,061,297,220	\$3,974,338,061
Exonerations	(\$1,100,000,000)	(\$12,347,500)
Certificates	(90,000,000)	(1,010,250)
Tax Abatements	(255,000,000)	(2,862,375)
Subtotal Exonerations	(\$1,445,000,000)	(\$16,220,125)
Supplemental Assessments	\$875,000,000	\$9,821,875
Tax Relief	(5,949,960,000)	(66,788,301)
Local Assessments	\$347,541,337,220	\$3,901,151,510
Public Service Corporation	\$1,560,801,741	\$17,520,000
TOTAL¹	\$349,102,138,961	\$3,918,671,510

¹ Includes the Mosaic District Tax Increment Financing (TIF) assessed value based on the difference between the 2007 Base Assessed Value and the Current Assessed Value, which in FY 2027 is \$781,593,140, with a tax levy of \$8,773,383.

General Fund Revenue Overview

Mosaic District Community Development Authority (CDA) was created to assist commercial investment in the Merrifield area of the County. The Mosaic CDA issued bonds, the proceeds from which were used to finance certain public infrastructure improvements within the Mosaic District to support mixed-use development within the District. The CDA bonds are payable primarily from certain incremental real estate tax revenues collected by the County in the District. The Mosaic District Tax Increment Financing (TIF) assessed value is based on the difference between the 2007 Base Assessed Value and the Current Assessed Value, which in FY 2027 is \$781,593,140, with a tax levy of \$8,773,383 at the Real Estate Tax rate of \$1.1225 per \$100 of assessed value. Based on an expected collection rate of 99.65 percent, revenue from the Mosaic TIF tax assessment is estimated to be \$8,742,676. Per the bond documents, the County is to transfer to the CDA only those tax increment revenues required for debt service payments, which equates to \$4,878,717 in FY 2027. Accordingly, the difference of \$3,863,959 will be retained in the General Fund. For more information, see Fund 70040, Mosaic District Community Development Authority, in Volume 2 of the budget.

Total General Fund revenue from the Real Estate Tax is \$3,856,199,999. The total local collection rates experienced in this category since FY 2011 are shown in the following table:

Real Estate Tax Local Collection Rates

Fiscal Year	Collection Rate	Fiscal Year	Collection Rate
2012	99.69%	2020	99.75%
2013	99.71%	2021	99.66%
2014	99.74%	2022	99.67%
2015	99.77%	2023	99.66%
2016	99.75%	2024	99.60%
2017	99.79%	2025	99.57%
2018	99.74%	2026 (estimated) ¹	99.65%
2019	99.75%	2027 (estimated) ¹	99.65%

¹ In FY 2027, every 0.1 percentage point change in the collection rate yields a revenue change of \$3.9 million.

The Commercial/Industrial percentage of the County's FY 2027 Real Estate Tax base is 14.42 percent, a decrease of 0.38 percentage point from the FY 2026 level of 14.80 percent. Commercial/Industrial property values as a percentage of the Real Estate Tax base decreased in FY 2027 as a result of higher growth experienced in residential real estate values and the very modest increase in assessed values of commercial properties. The Commercial/Industrial percentage is based on Virginia land use codes and includes all nonresidential property except multi-family rental apartments, which make up 7.03 percent of the County's Real Estate Tax base in FY 2027. Fairfax County's historical Commercial/Industrial percentages are detailed in the following table:

General Fund Revenue Overview

Commercial/Industrial Percentages

Fiscal Year	Percentage	Fiscal Year	Percentage
2012	19.64%	2020	19.66%
2013	20.77%	2021	19.72%
2014	19.96%	2022	18.17%
2015	19.01%	2023	17.00%
2016	18.67%	2024	16.16%
2017	18.89%	2025	15.58%
2018	19.12%	2026	14.80%
2019	19.43%	2027	14.42%

FY 2026 Current Real Estate Tax Revenue

There have been no adjustments to the FY 2026 Real Estate revenue estimate. Staff will continue to monitor receipts and any necessary adjustments to the current estimate will be included as part of the *FY 2026 Third Quarter Review*.

Personal Property Taxes

PERSONAL PROPERTY TAX-CURRENT

	FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
Paid Locally	\$573,328,611	\$561,685,651	\$591,931,844	\$617,148,789	\$25,216,945	4.3%
Reimbursed by State	211,313,944	211,313,944	211,313,944	211,313,944	0	0.0%
Total	\$784,642,555	\$772,999,595	\$803,245,788	\$828,462,733	\$25,216,945	3.1%

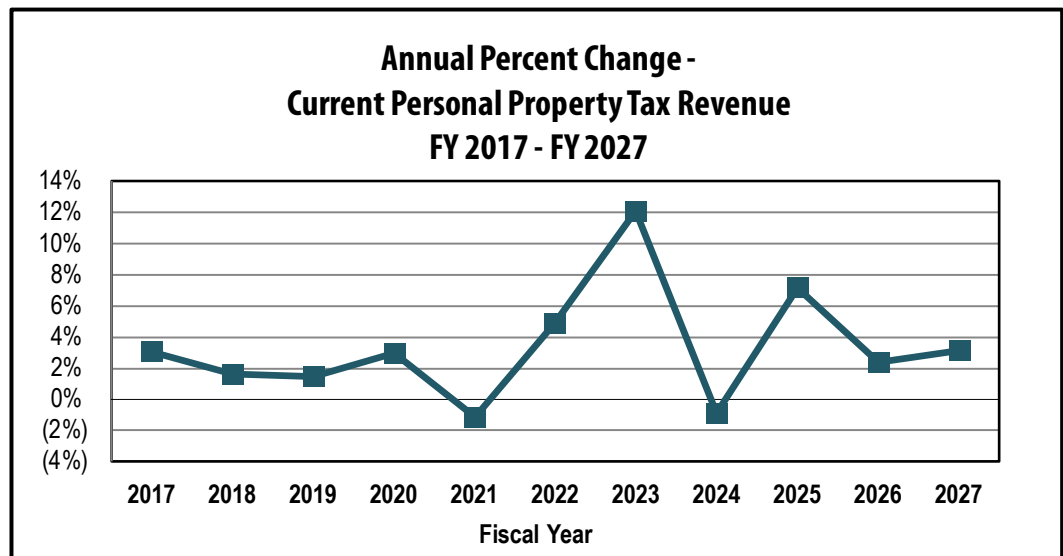
The FY 2027 Advertised Budget Plan estimate for Personal Property Tax revenue of \$828,462,733 reflects an increase of \$25,216,945 or 3.1 percent over the *FY 2026 Revised Budget Plan* estimate. Due to pandemic related supply chain disruptions and shortages of computer chips, car prices moved significantly higher during the COVID-19 pandemic. To partially offset the unprecedented increase to vehicle values, the Board of Supervisors adopted a vehicle assessment ratio of 85 percent of the trade-in value for Tax Year 2022 (FY 2023). Normally, vehicles are assessed at 100 percent of the trade-in value. As vehicle values started to decline from the historically high levels, the Board of Supervisors approved a 90-percent vehicle assessment ratio for Tax Year 2023 (FY 2024) rather than the 85 percent used in FY 2023. For Tax Year 2024 (FY 2025) and subsequent tax years, vehicles are assessed at 100 percent of the trade-in value and no assessment ratio is being utilized. Based on preliminary information from J.D. Power, the January 1, 2026 vehicle values are expected to be higher than last year.

The Personal Property Tax on vehicles represents 78.8 percent of the total assessment base in FY 2027. The vehicle component is comprised of two parts, that which is paid locally and that which is reimbursed by the Commonwealth of Virginia to the County as a result of the Personal Property Tax Relief Act (PPTRA) of 1998. The PPTRA reduces the Personal Property Tax paid on the first \$20,000 of the value for vehicles owned by individuals. In FY 1999, the first year of implementation, taxpayers were billed for the entire amount of tax levy and received a refund of 12.5 percent of the tax on the first \$20,000 of the value of their personal vehicle from the Commonwealth of Virginia. Vehicles valued less than \$1,000 were refunded 100 percent. From FY 2000 to FY 2002, the PPTRA

General Fund Revenue Overview

reduced the Personal Property Taxes paid by citizens by 27.5 percent, 47.5 percent, and 70 percent, respectively, with an offsetting reimbursement paid to the County by the Commonwealth. Under the original approved plan, taxes paid by individuals were to be reduced by 100 percent in FY 2003. However, due to the Commonwealth's lower than anticipated General Fund revenue growth, the reimbursement rate remained at 70 percent in FY 2003 through FY 2006. The 2004 General Assembly approved legislation that capped statewide Personal Property Tax reimbursements at \$950 million in FY 2007 and beyond. Fairfax County's allocation has been set at \$211.3 million based on the County's share of statewide tax year 2004 collections. Each year, County staff must determine the reimbursement percentage based on the County's fixed reimbursement from the state and an estimate of the number and value of vehicles that will be eligible for tax relief. Due to the substantial increase in the average vehicle levy in FY 2023 and the capped reimbursement amount from the state, the PPTRA percentage decreased to 49.5 percent, down from 57.5 percent in FY 2022. For FY 2024, FY 2025, and FY 2026, the PPTRA percentage was set at 51.0 percent, 50.0 percent, and 51.0 percent respectively. Based on preliminary estimates, it is expected to be set at 49.0 percent in FY 2027.

Annual percentage changes in total Personal Property Tax revenues are shown in the following graph.



From FY 2017 through FY 2020, annual growth in Personal Property Tax revenue averaged 2.0 percent. Receipts declined 1.1 percent in FY 2021 as a result of the COVID-19 pandemic. The number of vehicles in the County dropped 4.0 percent, while the average vehicle levy was 1.4 percent higher compared to the previous year. In FY 2022, Current Personal Property Tax revenue increased 4.9 percent over the FY 2021 level. The FY 2022 average vehicle levy increased 7.2 percent as a result of strong demand and limited supply of new and used vehicles, while the overall business personal property levy decreased 1.4 percent. As shown in the chart above, a significant increase of 12.1 percent occurred in FY 2023 primarily due to strong vehicle levy. Used car values appreciated on average by 33 percent, as indicated by the January 1, 2022, values from J.D. Power. To offset the unprecedented increase in car values, the County applied an 85 percent assessment ratio for FY 2023. Using the lower assessment ratio resulted in an effective average assessed value increase of 16.4 percent. In FY 2024, a 90-percent assessment ratio was used. FY 2024 Personal Property Tax receipts declined 0.9 percent primarily as a result of a 4.8 percent decrease in the average vehicle tax levy. The vehicle volume in FY 2024 increased 3.4 percent after declining 2.3 percent in FY 2023. For FY 2025, at 100 percent of the trade-in value, with no assessment ratio

General Fund Revenue Overview

applied, the average vehicle levy increased 7.7 percent compared to the discounted FY 2024 average vehicle levy; vehicle volume increased 1.0 percent. In FY 2026, vehicle volume is anticipated to be up 3.2 percent, while the average vehicle levy is expected to be slightly down by 1.1 percent compared to FY 2025. Preliminary analysis with data from J.D. Power indicates that January 1, 2026 (FY 2027) car values increased, with the average vehicle value up 2.1 percent compared to FY 2026. Vehicle volume is anticipated to increase by 2.4 percent in FY 2027.

Changes in vehicle volume and average vehicle levy since FY 2017 are shown in the following table.

Fairfax County Personal Property Vehicles

Fiscal Year	% Change in Vehicle Volume	Average Vehicle Levy	% Change in Average Levy
FY 2017	0.7%	\$468	2.4%
FY 2018	0.8%	\$469	0.1%
FY 2019	0.0%	\$478	2.0%
FY 2020	(0.1%)	\$495	3.5%
FY 2021	(4.0%)	\$502	1.4%
FY 2022	0.6%	\$538	7.2%
FY 2023 ¹	(2.3%)	\$626	16.5%
FY 2024 ¹	3.4%	\$596	(4.8%)
FY 2025	1.0%	\$642	7.7%
FY 2026 (est.)	3.2%	\$635	(1.1%)
FY 2027 (est.)	2.4%	\$648	2.1%

¹ In FY 2023, an assessment ratio of 85 percent of the trade-in value was used. In FY 2024, an assessment ratio of 90 percent of the trade-in value was used. All other years, vehicles were assessed at 100 percent of the trade-in value.

Business Personal Property is primarily composed of assessments on furniture, fixtures, and computer equipment. Business levy is impacted by the number of new businesses and whether existing businesses are expanding or contracting. Average annual growth in business personal property levy was 2.6 percent from FY 2018 through FY 2021. In FY 2022, it decreased 2.7 percent, followed by an increase of 3.5 percent in FY 2023. It declined 0.9 percent in FY 2024 but experienced a solid 6.0 percent increase in FY 2025. Several data centers were added in Fairfax County in FY 2026 (tax year 2025), resulting in increases of more than \$20 million in Furniture and Fixtures and Computer Equipment revenue. As a result, business personal property tax levy is projected to increase 14.6 percent in FY 2026. However, this revenue from data center business personal property is expected to decrease in FY 2027 (tax year 2026) due to depreciation related to the assets reported in the previous year filing. A decrease of 1.8 percent is projected in FY 2027.

In accordance with assessment principles and the [Code of Virginia](#), which require that property is taxed at fair market value, the Department of Tax Administration (DTA) reviews the depreciation rate schedule for computer hardware due to the speed with which computer values change. The current schedule depreciates computer equipment 50 percent, one year after acquisition. In subsequent years, the percent of the original purchase price taxed is 35 percent, 20 percent, and 10 percent, in year two, three and four, respectively. After five or more years, computer equipment is valued at 2 percent of its original acquisition price. Effective January 1, 2022, Machinery and Tools equipment is depreciated starting at 50 percent of the original cost for the first year of ownership and 10 percent less each succeeding year, until it reaches a floor of 10 percent in the fifth year.

General Fund Revenue Overview

Personal Property Tax revenue estimates are based on a tax rate of \$4.57 per \$100 of valuation for vehicles and business property, except for Machinery and Tools which are taxed at a rate of \$2.00 per \$100 of assessed value, and a real estate tax rate of \$1.1225 per \$100 of valuation for mobile homes and non-vehicle Public Service Corporations properties. The following table details the estimated assessed value and associated levy for components of the Personal Property Tax.

FY 2027 Estimated Personal Property Assessments and Tax Levy

Category	FY 2027 Assessed Value	Tax Rate (per \$100)	FY 2027 Tax Levy	Percent of Total Levy
Vehicles				
Privately Owned	\$14,705,825,423	\$4.57	\$584,695,956	68.6%
Business Owned	1,053,000,620	4.57	40,888,864	4.8%
Leased	1,290,346,200	4.57	46,008,010	5.4%
Subtotal	\$17,049,172,243		\$671,592,830	78.8%
Business Personal Property				
Furniture and Fixtures	\$2,369,338,138	\$4.57	\$122,909,128	14.4%
Computer Equipment	844,472,936	4.57	43,681,779	5.1%
Machinery and Tools	18,076,214	2.00	407,907	0.0%
Research and Development	23,053	4.57	1,186	0.0%
Subtotal	\$3,231,910,341		\$167,000,000	19.5%
Other Personal Property				
Boats, Trailers, Miscellaneous	\$42,038,155	\$4.57	\$1,725,507	0.2%
Mobile Homes	21,995,750	1.1225	274,493	0.1%
Subtotal	\$64,033,905		\$2,000,000	0.3%
Exonerations	(\$98,270,382)	\$4.57	(\$37,826,677)	(4.4%)
Omitted Assessments	439,673,307	4.57	8,405,928	1.0%
Total Local Assessed Value and Levy	\$20,686,519,414		\$811,172,081	95.2%
Public Service Corporations				
Equalized	\$3,621,290,436	\$1.1225	\$40,648,986	4.8%
Vehicles	6,041,079	4.57	276,077	0.0%
Subtotal	\$3,627,331,515		\$40,925,063	4.8%
TOTAL	\$24,313,850,929		\$852,097,144	100.0%

General Fund Revenue Overview

FY 2027 Personal Property Tax assessments including Public Service Corporations are projected to be \$24,313,850,929 with a total tax levy of \$852,097,144. Personal Property Tax revenue collections are projected to be \$828,462,733, of which \$211.3 million will be reimbursed from the state. The collection rate associated with the taxpayer's share is estimated to be 96.1 percent. Total collection rates experienced in this category since FY 2012 are shown in the following table:

Personal Property Tax Collection Rates

Fiscal Year	Collection Rate	Fiscal Year	Collection Rate
2012	98.2%	2020	97.6%
2013	98.4%	2021	96.4%
2014	97.4%	2022	96.9%
2015	98.4%	2023	96.9%
2016	98.5%	2024	96.6%
2017	98.4%	2025	96.5%
2018	98.3%	2026 (estimated)	96.1%
2019	98.0%	2027 (estimated) ¹	96.1%

¹ In FY 2027, each 0.1 percentage point change in the collection rate on the local tax levy will impact revenues by approximately \$0.6 million, and each penny on the tax rate yields a revenue change of \$1.7 million.

FY 2026 Current Personal Property Tax Revenue

The FY 2026 Personal Property Tax estimate was adjusted as part of the fall 2025 revenue review and reflects an increase of \$30.2 million over the FY 2026 Adopted Budget Plan estimate. The increase is the result of higher vehicle volume and higher than anticipated average vehicle levy. In addition, business personal property tax levy experienced a significant increase as a result of additional data center computer equipment that came online.

Business, Professional and Occupational License Tax

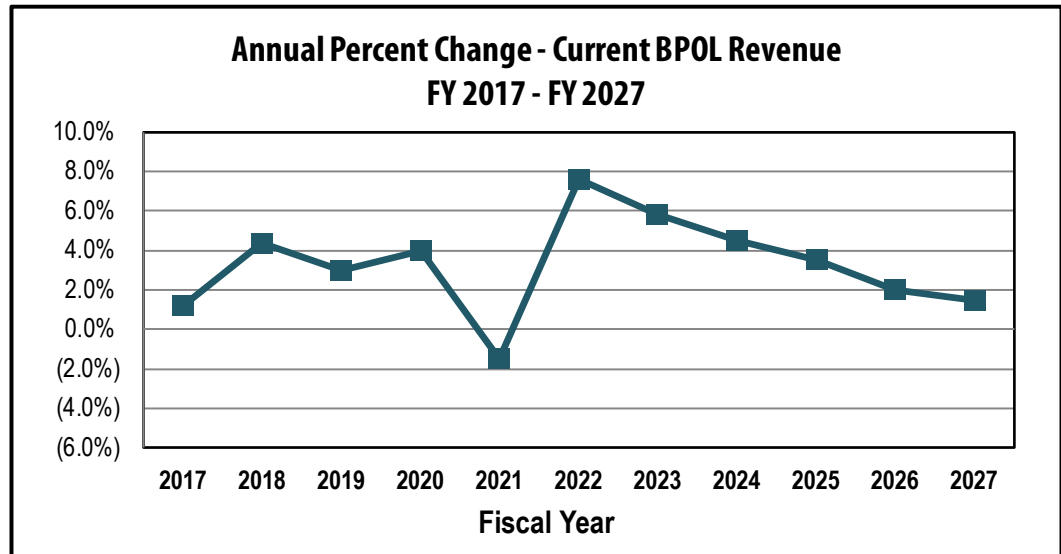
BUSINESS, PROFESSIONAL AND OCCUPATIONAL LICENSE TAX-CURRENT

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$211,001,295	\$215,258,071	\$215,258,071	\$218,486,941	\$3,228,870	1.5%

The FY 2027 Advertised Budget Plan estimate for Business, Professional, and Occupational License Taxes (BPOL) of \$218,486,941 reflects an increase of \$3,228,870 or 1.5 percent over the FY 2026 Revised Budget Plan. From FY 2017 through FY 2020, annual growth in BPOL revenue averaged 3.8 percent. FY 2021 BPOL revenue was expected to decrease 5.4 percent due to the negative impact of the COVID-19 pandemic on economic activity in the County. However, actual FY 2021 BPOL collections decreased less than expected and ended the year only 1.5 percent below the FY 2020 level. FY 2022 BPOL receipts rebounded strongly, increasing 7.6 percent, as they were positively impacted by the reopening of the economy during calendar year 2021, and by the significant support of the federal government stimulus. In FY 2023, BPOL receipts increased 5.8 percent over the FY 2022 level, followed by an increase of 4.5 percent in FY 2024, and 3.5 percent in FY 2025. In FY 2025, the combined Consultant and Business Service Occupations categories, which represent more than 44 percent of total BPOL receipts, increased 6.9 percent over the FY 2024 level, while the Professional Occupations category, which represents 12.2 percent of total

General Fund Revenue Overview

BPOL receipts, increased 5.0 percent. The Retail category, which represents almost 19 percent of total BPOL receipts, increased 3.9 percent over FY 2024. Heavily impacted by the pandemic disruptions, the Hotels/Motels category continued to recover, increasing 19.8 percent in FY 2025.



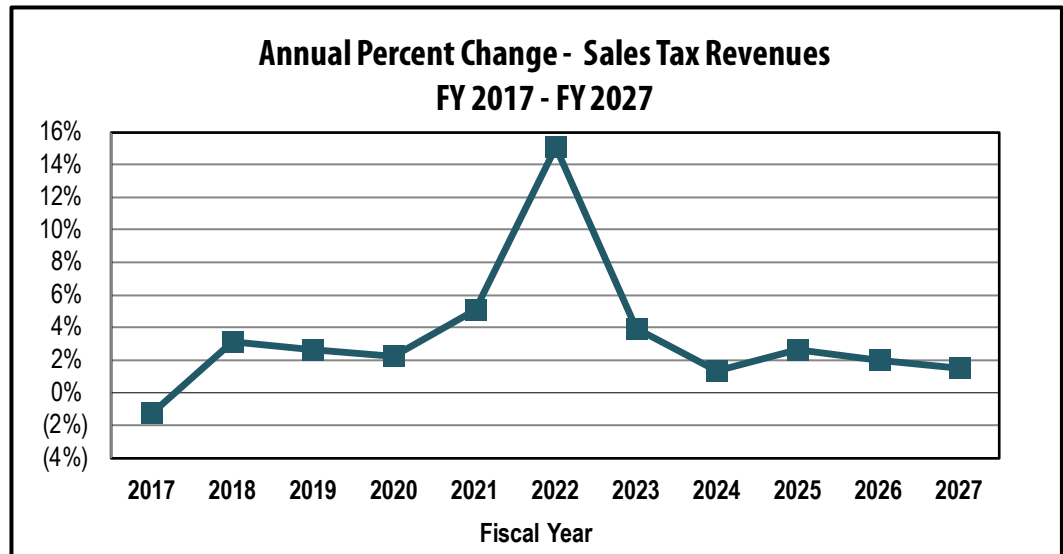
Since County businesses file and pay their BPOL taxes simultaneously on March 1 each year based on their gross receipts during the previous calendar year, there is limited actual data available throughout the fiscal year. Based on actual FY 2025 receipts and an econometric model using calendar year Sales Tax receipts and employment as predictors, the FY 2026 BPOL estimate was not adjusted during the fall 2025 revenue review and reflects an increase of 2.0 percent over the FY 2025 actual level. Consistent with model projections, BPOL revenue is expected to increase modestly by 1.5 percent in FY 2027.

Local Sales Tax

LOCAL SALES TAX

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$249,561,855	\$251,357,344	\$254,550,859	\$258,367,447	\$3,816,588	1.5%

The FY 2027 Advertised Budget Plan estimate for Sales Tax receipts of \$258,367,447 reflects an increase of \$3,816,588 or 1.5 percent over the *FY 2026 Revised Budget Plan*. The following chart illustrates that the level of Sales Tax receipts has varied with economic conditions.



From FY 2017 through FY 2020, annual growth in Sales Tax revenue averaged 2.7 percent. Notably, in FY 2020, Sales tax revenue trended significantly higher through March 2020 primarily as a result of a new law enacted by the Virginia General Assembly as of July 1, 2019 requiring the collection of state and local sales taxes from remote internet sellers in response to the provisions of the U.S. Supreme Court decisions in the South Dakota v. Wayfair, Inc. case. However, due to store closures and economic disruption as a result of the COVID-19 pandemic, FY 2020 receipts fell sharply at the end of the fiscal year. Overall, FY 2020 collections were only 2.2 percent higher than the FY 2019 level. Staff had originally anticipated that FY 2021 Sales Tax revenue would fall considerably due to business breakdowns and the economic recession, but receipts held up well, in large part due to a pandemic-related shift toward online spending, and actual FY 2021 collections increased 5.1 percent over the FY 2020 level. The FY 2022 Sales Tax revenue increased a strong 15.1 percent primarily as a result of the federal stimulus and as consumers continued spending more on goods rather than services. In FY 2023, Sales Tax revenue increased 3.9 percent over the FY 2022 level. As the economic boost from the federal stimulus began to wane, Sales Tax collections only grew 1.3 percent in FY 2024, followed by an increase of 2.6 percent in FY 2025. Sales Tax revenue is expected to increase 2.0 percent in FY 2026. Sales tax collections have been likely impacted by the numerous disruptions of the local economy throughout calendar year 2025, including federal government employment declines and the extended federal government shutdown in October and November 2025. While these disruptions impact consumer behavior negatively, the negative impact on sales tax collections is likely partially offset by higher consumer goods prices due to tariffs. Staff will continue to closely monitor consumer confidence and spending and any necessary adjustments to the current estimate will be included as part of the *FY 2026 Third Quarter Review*. Consistent with econometric model projections, Sales Tax receipts in FY 2027 are projected to rise 1.5 percent over the FY 2026 estimate.

Food and Beverage Tax

FOOD AND BEVERAGE TAX

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$0	\$67,900,000	\$67,900,000	\$135,800,000	\$67,900,000	100.0%

As part of the FY 2026 Adopted Budget Plan, the Board of Supervisors adopted a new Food and Beverage Tax, commonly known as a “meals tax”, at a rate of four percent effective January 1, 2026. It is anticipated that the Food and Beverage Tax will generate a projected \$67,900,000 in the second half of FY 2026 and the full year revenue of \$135,800,00 is projected for FY 2027. Currently, no actual collection data is available. Over the course of the remaining months in FY 2026, staff will be analyzing receipts to determine if adjustments to the FY 2027 projections are necessary.

Virginia Code § 58.1-3833 authorizes counties to impose a food and beverage tax at a tax rate not to exceed six percent on prepared meals sold for human consumption by restaurants and caterers. Meals taxes have been common in most Virginia cities and a number of Virginia counties for many years. A food and beverage tax provides an opportunity to diversify the County’s tax base. It is estimated that approximately a third of the meals tax receipts will be paid by those who live outside of Fairfax County, thus allowing the County to transfer some of the cost of maintaining County programs to tourists, visitors, and those who commute into the County. For the purpose of defraying some of the costs incurred by sellers collecting and remitting the tax in a timely manner, the Board approved a three percent dealer discount for the first two years after implementation of the food and beverage tax. Subsequently, beginning on January 1, 2028, and beyond, the discount allowed will be one percent of the tax levied if filed and paid to the County on time. The food and beverage tax is charged in addition to the sales tax.

Recordation/Deed of Conveyance Taxes

RECORDATION/DEED OF CONVEYANCE TAXES

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$31,436,576	\$29,107,014	\$30,818,756	\$31,435,131	\$616,375	2.0%

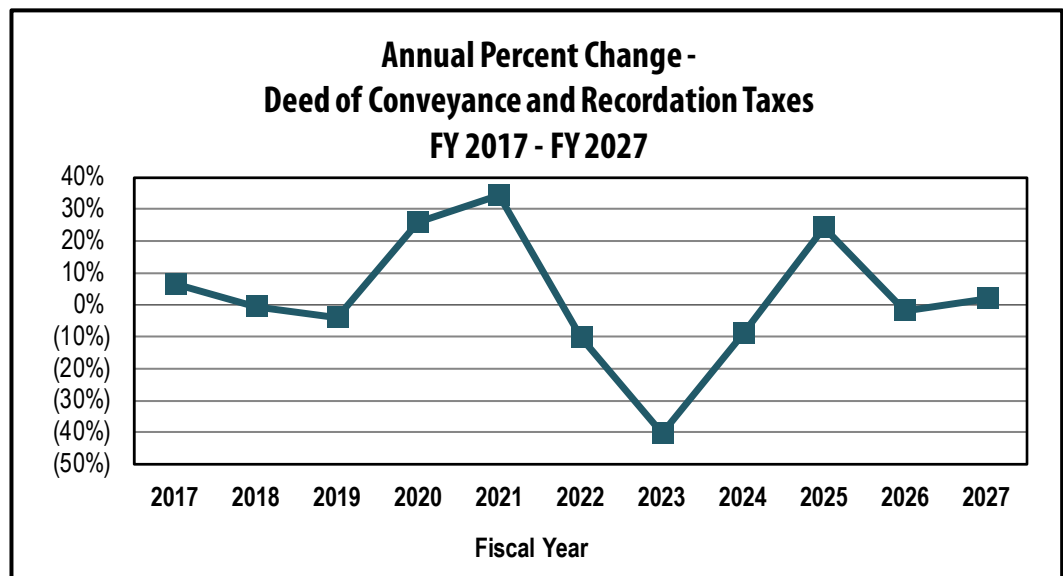
The FY 2027 Advertised Budget Plan estimate for Recordation and Deed of Conveyance Taxes of \$31,435,131 reflects an increase of \$616,375, or 2.0 percent, over the *FY 2026 Revised Budget Plan*. The FY 2027 estimate is comprised of \$24,161,663 in Recordation Tax revenues and \$7,273,468 in Deed of Conveyance Tax revenues. Recordation and Deed of Conveyance Taxes are levied in association with the sale or transfer of real property located in the County. Recordation Taxes are also levied when mortgages on property located in the County are refinanced, making Recordation Tax revenues more sensitive to interest rate fluctuations than Deed of Conveyance Taxes. Home values and interest rate projections are used in an econometric model that assists in developing estimates for these categories.

Fairfax County’s Deed of Conveyance Tax is assessed at a rate of \$0.05 per \$100. Local Recordation Taxes are set at one-third the State’s Tax rate. From September 2004 through FY 2012, the State Recordation Tax was \$0.25 per \$100 of value. The rate was lowered on mortgage

General Fund Revenue Overview

refinancing transactions to \$0.18 per \$100 of value effective July 1, 2012; however, all refinancing transactions are now taxable, whereas previously refinancing with the same lender was exempt from the tax. The State Recordation Tax rate on home purchases was not reduced and remained at \$0.25 per \$100. Therefore, as of FY 2013, the County's Recordation Tax rate on home purchases is \$0.0833 per \$100 of value, while the tax rate on mortgage refinancing is \$0.06 per \$100 of value.

As shown on the following chart, FY 2017 collections grew 6.4 percent over the FY 2016 level. As a result of increasing mortgage interest rates and declining volume of mortgage refinancing activity, FY 2018 receipts were down a combined 0.7 percent. FY 2019 collections decreased another 3.9 percent. Due to historically low mortgage interest rates, which spurred a significant increase in refinancing activity, the combined receipts increased 25.8 percent in FY 2020 and another 34.4 percent in FY 2021. However, FY 2022 combined receipts declined 10.5 percent as mortgage interest rates increased substantially during the second half of the fiscal year. FY 2023 receipts declined a combined 40.1 percent because of significantly lower refinancing activity and fewer home sales associated with elevated mortgage rates. As the 30-year mortgage rates reached 8 percent in the fall of 2023, the highest level since 2000, FY 2024 receipts continued to decline and were down 8.9 percent compared to FY 2023. As mortgage interest rates reversed the trend and declined, the FY 2025 combined collections increased \$6.1 million or 24.1 percent. Based on year-to-date collection trends in FY 2026, Deed of Conveyance tax is projected to decline 8.0 percent, while Recordation tax is anticipated to be flat with the actual FY 2025 level. FY 2027 combined receipts are projected to increase 2.0 percent.



Consumer Utility Taxes

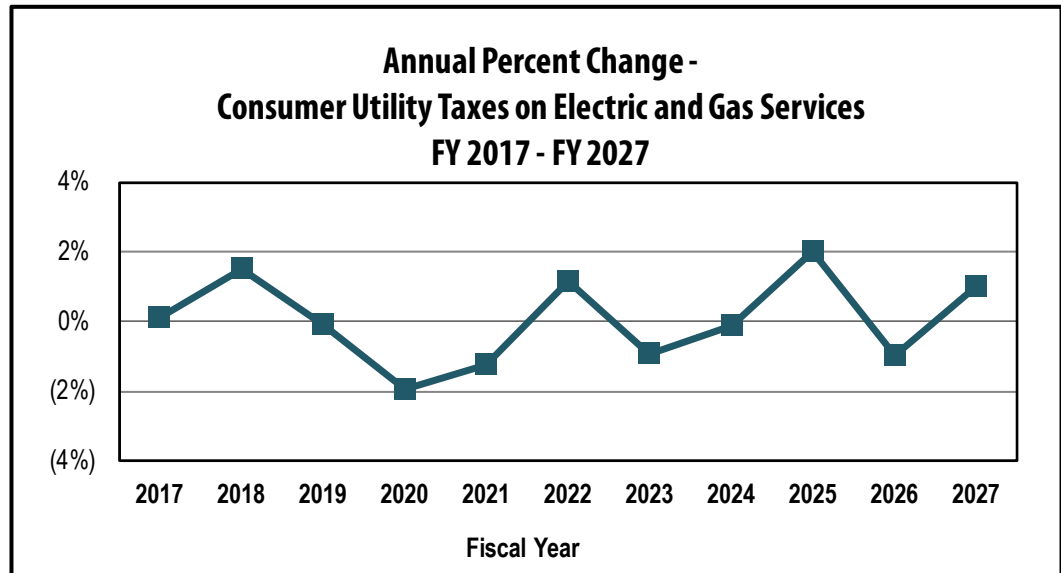
CONSUMER UTILITY TAXES - GAS AND ELECTRIC

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$45,314,733	\$44,880,523	\$44,880,523	\$45,329,328	\$448,805	1.0%

The FY 2027 Advertised Budget Plan estimate for Consumer Utility Taxes on gas and electric services of \$45,329,328 reflects an increase of \$448,805 or 1.0 percent over the *FY 2026 Revised*

General Fund Revenue Overview

Budget Plan. The FY 2027 estimate is comprised of \$35,810,718 in taxes on electric service and \$9,518,610 in taxes on gas service. County residents and businesses are subject to Consumer Utility Taxes based on their consumption of electricity and gas services.



Revenues from Consumer Utility Taxes on gas and electric services from FY 2017 to FY 2024 declined at an average annual rate of just 0.2 percent. FY 2025 receipts rebounded and increased 2.0 percent. For FY 2026, a decline of 1.0 percent is projected based on year-to-date collection trends. FY 2027 receipts are projected to increase 1.0 percent.

Tax rates by customer class are shown in the following table.

Consumer Utility Taxes on Electricity and Natural Gas

Electricity		Natural Gas	
Electric Power Customer Class	Monthly Tax FY 2001-FY 2027	Natural Gas Customer Class	Monthly Tax FY 2001-FY 2027
Residential	\$0.00605 per kWh	Residential	\$0.05259 per CCF
Minimum	+\$0.56 per bill	Minimum	+\$0.56 per bill
Maximum	\$4.00 per bill	Maximum	\$4.00 per bill
Master Metered Apartments	\$0.00323 per kWh	Master Metered Apartments	\$0.01192 per CCF
Minimum	+\$0.56 / dwelling unit	Minimum	+\$0.56 / dwelling unit
Maximum	\$4.00 / dwelling unit	Maximum	\$4.00 / dwelling unit
Commercial	\$0.00594 per kWh	Nonresidential	\$0.04794 per CCF
Minimum	+ \$1.15 per bill	Minimum	+ \$0.845 per bill
Maximum	\$1,000 per bill	Maximum	\$300 per bill
Industrial	\$0.00707 per kWh	Nonresidential Interruptible	\$0.00563 per CCF
Minimum	+\$1.15 per bill	Minimum	+\$4.50 per meter
Maximum	\$1,000 per bill	Maximum	\$300 per meter

Vehicle Registration License Fee

VEHICLE REGISTRATION LICENSE FEE

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$27,337,191	\$27,951,236	\$27,951,236	\$28,370,505	\$419,269	1.5%

The FY 2027 Advertised Budget Plan estimate for Vehicle Registration Fee revenue of \$28,370,505 reflects an increase of \$419,269 or 1.5 percent over the FY 2026 Revised Budget Plan. Fairfax County levies the fee at \$33 for passenger vehicles that weigh 4,000 pounds or less and \$38 on passenger vehicles that weigh more than 4,000 pounds. In addition, fees are \$18 for motorcycles and \$25 for buses used for transportation to and from church. The County does not require the display of a decal on the vehicle. Payment of Vehicle Registration License Fees is linked to the payment of Personal Property Taxes on October 5 each year. Vehicles owned by disabled veterans, members of volunteer fire departments and auxiliary police officers are exempt from the fee.

Transient Occupancy Tax

TRANSIENT OCCUPANCY TAX

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$26,366,888	\$39,093,030	\$39,093,030	\$33,229,075	(\$5,863,955)	(15.0%)

The FY 2027 Advertised Budget Plan estimate for Transient Occupancy Tax (TOT) of \$33,229,075 reflects a decrease of \$5,863,955 or 15.0 percent from the FY 2026 Revised Budget Plan. The decrease is the result of directing a portion of TOT revenue to Fund 10030, Contributions.

From FY 2017 through FY 2019, average annual growth in Transient Occupancy receipts was just 0.7 percent. Actual FY 2020 receipts declined 31.2 percent due to the impact of the COVID-19 pandemic, followed by another decline of 57.9 percent in FY 2021. FY 2022 collections partially recovered and increased 135.8 percent compared to FY 2021. However, the FY 2022 level was still well below the pre-pandemic collections, as business travel was slow to recover. FY 2023 collections continued to have a robust recovery, increasing a strong 42.2 percent compared to FY 2022 and bringing the collections back to near pre-pandemic level. Actual FY 2024 receipts increased 12.1 percent, surpassing the pre-pandemic collection levels, primarily as a result of higher hotel average daily rates (ADR) and higher hotel occupancy. Actual FY 2025 collections increased 5.7 percent over the previous year.

In FY 2026, TOT receipts are projected to increase 48.3 percent, which is primarily associated with a 2-percentage point increase in the FY 2026 TOT tax rate from 4 percent to 6 percent approved by the Board of Supervisors. Transient Occupancy Taxes are charged as part of a hotel bill and remitted by the hotel to the County. The Transient Occupancy Tax had been levied at 4 percent since the Virginia General Assembly permitted the Board of Supervisors to levy an additional 2.0 percent Transient Occupancy Tax in FY 2005. A portion, 25 percent, of the additional 2.0 percent must be appropriated to a nonprofit convention and visitors' bureau located in the County. The remaining 75 percent must be used by the County to promote tourism. Based on state legislation enacted during the 2020 General Assembly session, the County was granted additional taxing authority, as the

General Fund Revenue Overview

legislation removed the rate ceiling for the Transient Occupancy Tax rate for counties in Virginia. Rates between 2 and 5 percent are required to be earmarked for tourism promotion, but there is no restriction on the use of funds at a tax rate above 5 percent. As a result of the approved TOT tax rate adjustment, revenue associated with the first additional percentage point is designated for tourism initiatives that could attract travelers to Fairfax County, increase occupancy at lodging properties, and generate tourism revenues in the County. The Board of Supervisors requested that hospitality industry representatives collaborate with Visit Fairfax to develop a proposed outline for the optimal use of these reserved funds. This proposal was presented in the fall of 2025 and the Board of Supervisors is expected to take action on the allocation of the funding as part of the *FY 2026 Third Quarter Review*. In FY 2027, the projected TOT revenue from the additional percentage point designated for tourism in the amount of \$6,645,815 will be directly posted in and expended from Fund 10030, Contributions. Baseline FY 2027 TOT revenues remaining in the General Fund are projected to increase 2.0 percent over the FY 2026 level.

Cigarette Tax

CIGARETTE TAX

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$5,043,615	\$4,903,596	\$4,903,596	\$4,658,416	(\$245,180)	(5.0%)

The FY 2027 Advertised Budget Plan estimate for Cigarette Tax of \$4,658,416 reflects a decrease of \$245,180 or 5.0 percent from the *FY 2026 Revised Budget Plan*.

As part of the FY 2025 Adopted Budget Plan, the Board of Supervisors approved an increase in the cigarette tax rate from 30 cents per pack to 40 cents per pack. This is the maximum rate that counties are allowed to levy in Virginia. Actual FY 2025 Cigarette Tax revenue increased 25.1 percent over the FY 2024 level primarily as a result of the new higher tax rate. In FY 2026, collections are anticipated to resume their historical trend and are projected to decline 2.8 percent, followed by a decline of 5.0 percent in FY 2027.

Permits, Fees and Regulatory Licenses

PERMITS, FEES AND REGULATORY LICENSES

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$11,031,357	\$12,985,962	\$12,985,962	\$13,496,929	\$510,967	3.9%

The FY 2027 Advertised Budget Plan estimate for Permits, Fees, and Regulatory Licenses of \$13,496,929 reflects an increase of \$510,967 or 3.9 percent over the *FY 2026 Revised Budget Plan*. As part of the FY 2025 Adopted Budget Plan, the Board of Supervisors approved fee adjustments and made the decision to phase them in over a two-year period, with the first one effective July 1, 2024 (FY 2025), followed by another one effective July 1, 2025 (FY 2026). For FY 2027, staff is proposing another fee adjustment to partially offset increasing expenditures and to keep up with cost recovery targets. The proposed fee adjustments will account for continuing cost increases as reflected in the Consumer Price Index and as a result of funded employee compensation increases.

General Fund Revenue Overview

A revenue increase of \$0.5 million is included in the FY 2027 Advertised Budget Plan. On average, Zoning fees are proposed to be increased by 5.0 percent in FY 2027. The Fire Marshal fees and Fire Prevention Code permits are also proposed to be increased by 5.0 percent in FY 2027. It should be noted that prior to the FY 2025/FY 2026 adjustments, Zoning fees had not been comprehensively adjusted since 2011, and the last time the Fire Prevention Code Permits and Fire Marshal fees were adjusted was in 2015.

The *FY 2026 Revised Budget Plan* estimate for Permits, Fees, and Regulatory Licenses of \$12,985,962 reflects no changes from the FY 2026 Adopted Budget Plan estimate based on actual FY 2025 receipts and collection trends year-to-date in FY 2026.

Fines and Forfeitures

FINES AND FORFEITURES

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$9,175,729	\$9,214,101	\$9,231,642	\$9,412,284	\$180,642	2.0%

The FY 2027 Advertised Budget Plan estimate for Fines and Forfeitures of \$9,412,284 reflects an increase of \$180,642 or 2.0 percent over the *FY 2026 Revised Budget Plan* primarily as a result of projected growth in Parking Violations and Photo Enforcement fines.

During the fall 2025 revenue review, a number of revenue estimates were adjusted based on FY 2025 actual receipts and year-to-date collection trends in FY 2026. General District Court Fines revenue was reduced by \$262,067 to the same level collected in FY 2025, while the estimate for Parking Violations was increased by \$451,556, reflecting an increase of 18.7 percent over the FY 2025 level.

Investment Interest

INVESTMENT INTEREST

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$190,696,546	\$150,370,000	\$166,300,000	\$150,370,000	(\$15,930,000)	(9.6%)

The FY 2027 Advertised Budget Plan estimate for Investment Interest of \$150,370,000 reflects a decrease of \$15,930,000 or 9.6 percent from the *FY 2026 Revised Budget Plan*. Revenue from this category is a function of the amount invested, the prevailing interest rates earned on investments, and the percentage of the total pooled investment portfolio attributable to the General Fund.

Revenue from Interest on Investments is highly dependent on Federal Reserve actions. In the face of the coronavirus crisis, the Federal Reserve implemented two emergency rate cuts in the beginning of March 2020 and took the benchmark interest rate to near zero. The Fed's actions negatively impacted the earnings that the County generated on its portfolio investments. General Fund Investment Interest revenue in FY 2021 declined by \$41.1 million, or 64.2 percent, from the FY 2020

level and the average yield was 0.72 percent. FY 2022 revenue declined another 25.1 percent and was \$17.2 million with an average yield of just 0.48 percent.

In 2022, the Fed pivoted toward tighter monetary policy in the face of persistently high inflation and tight labor market and raised the Fed funds rate at an unprecedented pace reaching a target range of 5.25-5.50 percent by summer 2023, the highest level since early 2001. As a result of these actions, the County generated substantially higher Investment Interest earnings on its portfolio in FY 2023, earning \$116.3 million with a yield of 3.03 percent, which was an increase of \$99.1 million compared to FY 2022. The actual FY 2024 Investment Interest revenue increased almost \$58 million to \$174.1 million compared to the FY 2023 level as a result of continued tight monetary policy by the Federal Reserve, which maintained the Fed funds rate unchanged from August 2023 to September 2024. The FY 2024 average investment portfolio of \$5,124.9 million earned a yield of 4.33 percent.

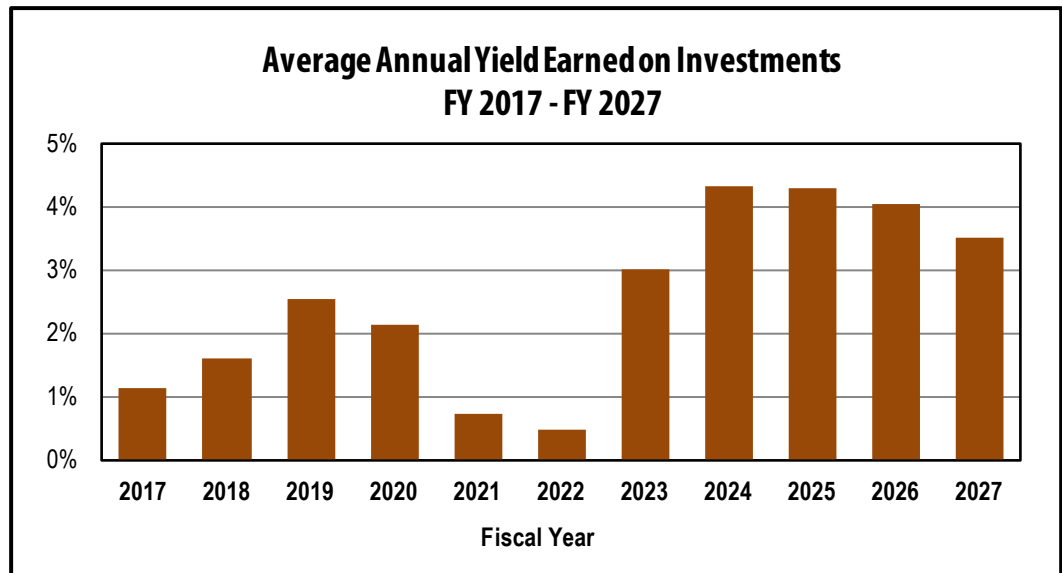
With moderating inflation, the Federal Reserve trimmed rates three times starting in September 2024, bringing the target range down to 4.25-4.5 percent. In January 2025, the Fed left its benchmark rate unchanged, choosing to take a wait-and-see approach to the new White House administration's potentially inflationary economic policies and as inflation was still above the Federal Reserve Board's target rate of 2 percent. The actual FY 2025 average portfolio of \$5,343.1 million earned a yield of 4.47 percent. The General Fund's average interest allocation of total interest earned on the investment portfolio net of administrative fees was 83.6 percent. FY 2025 Investment Interest revenue increased more than \$16.5 million to \$190.7 million compared to the FY 2024 level as a result of continued tight monetary policy by the Federal Reserve.

Throughout 2025, the Fed maintained the Fed funds rate unchanged for longer than initially anticipated and did not cut rates until September 2025. This rate cut was followed by two more rate cuts in October and December. As a result, the FY 2026 estimate was increased by \$15.9 million to \$166.3 million during the fall 2025 revenue review based on a projected average yield of 4.06 percent. Any further adjustments to the FY 2026 projected average yield and revenue will be included in the *FY 2026 Third Quarter Review*.

The Federal Reserve kept its benchmark interest rate unchanged at 3.50–3.75 percent target range at its January 2026 meeting. The market is predicting the current target rate to remain in place until at least June 2026. The projected FY 2027 Investment Interest revenue of \$150.4 million assumes an average annual yield of 3.50 percent and a General Fund percentage net of administrative fees of 82 percent. All available resources are pooled for investment purposes and the net interest earned is distributed among the various County funds, based on the average dollars invested from each fund as a percentage of the total pooled investment.

The following table shows the yield earned on investments since FY 2017.

General Fund Revenue Overview



Charges for Services

CHARGES FOR SERVICES

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$72,641,370	\$71,808,877	\$74,584,336	\$78,104,347	\$3,520,011	4.7%

The FY 2027 Advertised Budget Plan estimate for Charges for Services revenue of \$78,104,347 reflects an increase of \$3,520,011 or 4.7 percent over the *FY 2026 Revised Budget Plan*. This increase is primarily the result of proposed rate increases in Emergency Medical Services (EMS) Transport fees, Adult Day Health Care Centers fees, the Employee Child Care Center fees, as well as the implementation of a new Middle School After School Program fee.

As a result of a review of County fees and charges, EMS transport rates are recommended to be adjusted in FY 2027. The current rates were last adjusted in FY 2024. Basic Life Support (BLS) transport is recommended to increase from \$750 to \$850; Advanced Life Support 1 (ALS-1) transport from \$950 to \$1,075; Advanced Life Support 2 (ALS-2) transport from \$1,175 to \$1,325; and the current charge of \$18 per mile transported is recommended to increase to \$20 per mile transported. It should be noted that 96 percent of EMS Transport fees are paid by insurance companies, and Fairfax County continues to have a compassionate billing policy. The proposed EMS Transport fee increases are estimated to generate an additional \$1.8 million in FY 2027.

Other administrative fees are also proposed for adjustments in FY 2027, including the Adult Day Health Care Centers fees and the Employee Child Care Center fees, expected to generate a revenue increase of \$47,000 and \$0.5 million respectively. In addition, Fairfax County Public Schools (FCPS) will implement a new Middle School After School (MSAS) Program fee for the upcoming school year and will remit all revenue to the County. In FY 2028, once baseline revenues are established, FCPS will begin collecting the revenue directly and the County will reduce the transfer to FCPS accordingly. The new MSAS fee is estimated to generate \$1.1 million in FY 2027.

General Fund Revenue Overview

Partially offsetting these revenue increases is a net decrease of \$0.2 million in Health Department fees associated with the elimination of the Hearing and Speech program and the redesign of the Clinical Services Delivery model.

During the *FY 2025 Carryover Review* and the fall 2025 revenue review, the FY 2026 estimate for Charges for Services was increased a net \$2.8 million. The SACC fees estimate was increased by \$0.7 million as a result of the implementation of the Beyond the Bell pilot program which is expected to increase the capacity to serve more children. In addition, the EMS transport fee revenue estimate was increased by \$1.5 million based on actual FY 2025 receipts and year-to-date collection trends in FY 2026. The County Clerk fee revenue estimate was increased by \$0.2 million, and the Library Lost or Damage fee revenue estimate was also increased by \$0.2 million based on collection trends.

Recovered Costs/Other Revenue

RECOVERED COSTS / OTHER REVENUE

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$21,643,708	\$21,234,575	\$21,602,154	\$21,767,157	\$165,003	0.8%

The FY 2027 Advertised Budget Plan estimate for Recovered Costs/Other Revenue of \$21,767,157 reflects an increase of \$165,003 or 0.8 percent over the *FY 2026 Revised Budget Plan*. The increase is primarily associated with the projected billings for the City of Fairfax Shared Governmental Expenses and Public Assistance reimbursements in FY 2027. Partially offsetting the increase is a reduction of \$41,260 in advertising revenue from the Golden Gazette, which will now offer only a digital ad-free version.

During the fall 2025 revenue review, the estimate for Recovered Costs/Other Revenue was increased a net \$0.4 million over the FY 2026 Adopted Budget Plan estimate. The projected FY 2026 Public Assistance recovered cost revenue associated with reimbursements from City and Fairfax and City of Falls Church was increased by \$0.6 million. Partially offsetting the increase was a decrease of \$0.3 million due to adjusting the estimate for the City of Fairfax Shared Governmental Expenses reimbursement as a result of the reconciliation of the City's share of expenses based on actual utilization and expenses during FY 2025.

Revenue from the Commonwealth/Federal Government

REVENUE FROM THE COMMONWEALTH/FEDERAL GOVERNMENT¹

FY 2025 Actual	FY 2026 Adopted	FY 2026 Revised	FY 2027 Advertised	Increase/ (Decrease)	Percent Change
\$174,680,809	\$167,673,630	\$170,495,618	\$168,285,012	(\$2,210,606)	(1.3%)

¹ Excludes Personal Property Taxes that are reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998. See the "Personal Property Tax - Current" heading in this section.

The FY 2027 Advertised Budget Plan estimate for Revenue from the Commonwealth and Federal Government of \$168,285,012 reflects a net decrease of \$2,210,606 or 1.3 percent from the *FY 2026 Revised Budget Plan*. The decrease is primarily associated with an anticipated \$6.7 million reduction

in state and federal revenue in FY 2027 as a result of federal changes to the administrative cost share for the Supplemental Nutrition Assistance Program (SNAP, formerly known as Food Stamps). In addition, a \$1.1 million reduction in the Children's Services Act (CSA) state revenue is a result of aligning the Department of Family Services CSA budget with actual spending.

Partially offsetting the decrease is an increase of \$1.0 million as a result of projected Compensation Board state reimbursements for constitutional officers and their employees and state supported local employees, based on a 2 percent compensation increase, effective July 1, 2026, and a \$3.5 million baseline increase in the Department of Family Services Federal and Federal Pass-through revenue based on prior year actuals. In addition, an increase of \$0.7 million is associated with reimbursement revenue for contract rate increases for the providers of mandated and non-mandated services.

Additional revenue adjustments as a result of state budget actions will be considered as part of the Add-on package in April 2026 for inclusion in the County's FY 2027 Adopted Budget Plan.

The *FY 2026 Revised Budget Plan* estimate for Revenue from the Commonwealth and Federal Government was increased by \$2.8 million over the FY 2026 Adopted Budget Plan estimate as a result of adjustments made during the *FY 2025 Carryover Review* and as part of the fall 2025 revenue review. An increase of \$1.0 million is associated with additional state and federal reimbursement funding to address workload increases due to changes in state requirements, state program changes, and increased demand for mandated services. In addition, a net increase of \$1.7 million is primarily associated with Compensation Board reimbursement state revenue based on the actual level of revenue received in FY 2025.

General Fund Disbursement Overview



FY 2027

Advertised Budget Plan

General Fund Disbursement Overview

Summary of General Fund Direct Expenditures

Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Inc/(Dec) Over Revised	% Inc/(Dec) Over Revised
Expenditures						
Personnel Services	\$1,080,992,804	\$1,176,339,633	\$1,138,062,276	\$1,187,237,671	\$49,175,395	4.32%
Operating Expenses	438,590,093	397,822,396	476,462,831	412,202,649	(64,260,182)	(13.49%)
Recovered Costs	(25,386,154)	(25,807,859)	(21,781,698)	(23,098,811)	(1,317,113)	6.05%
Capital Equipment	38,259,351	678,617	4,542,599	428,617	(4,113,982)	(90.56%)
Fringe Benefits	538,604,828	597,542,030	580,466,154	619,521,226	39,055,072	6.73%
Total Direct Expenditures	\$2,071,060,922	\$2,146,574,817	\$2,177,752,162	\$2,196,291,352	\$18,539,190	0.85%
Positions*						
Positions	10,610	10,495	10,166	10,097	(69)	(0.68%)
Full-Time Equivalents	10,494.86	10,380.11	10,042.93	9,977.93	(65.00)	(0.65%)

* Excludes state positions

Details of program and staffing adjustments are provided in the individual agency narratives in Volume 1 with major changes summarized below by category. Additional information is provided in the *Financial, Statistical and Summary Tables* section of this Overview volume.

The FY 2027 Advertised Budget Plan direct expenditure level of \$2,196,291,352 represents an increase of \$18,539,190, or 0.85 percent, over the FY 2026 Revised Budget Plan direct expenditure level of \$2,177,752,162. The FY 2027 funding level reflects an increase of \$49,716,535, or 2.32 percent, over the FY 2026 Adopted Budget Plan direct expenditure level of \$2,146,574,817.

Personnel Services

In FY 2027, funding for Personnel Services totals \$1,187,237,671, a net increase of \$49,175,395, or 4.32 percent, over the FY 2026 Revised Budget Plan funding level of \$1,138,062,276 and a net increase of \$10,898,038, or 0.93 percent, over the FY 2026 Adopted Budget Plan funding level of \$1,176,339,633. For agency-level detail, the FY 2027 Advertised Personnel Services by Agency chart in the Overview Volume under the *Compensation and Positions* section breaks out Personnel Services funding by each agency. The changes for each expenditure category of Personnel Services are summarized below and include \$11,030,598 in reductions utilized to balance the FY 2027 budget.

Regular Salaries funding (net of Position Turnover) of \$1,044,262,341 reflects an increase of \$11,166,637, or 1.08 percent, over the FY 2026 Adopted Budget Plan. The increase is associated with the following: a 2.00 percent cost of living adjustment (COLA) for eligible employees and performance-based and longevity increases for non-uniformed merit employees, both effective the first full pay period in July 2026; merit and longevity increases for uniformed employees; the inclusion of new positions or full-year impact of positions added in FY 2026; and additional compensation adjustments based on provisions specified in the collective bargaining agreements. This increase is partially offset by a decrease associated with the transfer of Park Authority regular salary activities from Agency 51, Fairfax County Park Authority, to Fund 40400, Park General Operations and Capital, as approved by the Board as part of the *FY 2025 Carryover Review*, and agency reductions utilized to balance the FY 2027 budget.

General Fund Disbursement Overview

Limited-Term position funding (temporary and non-merit benefits-eligible employees) reflects a net decrease of \$4,185,470, or 14.17 percent, from the FY 2026 Adopted Budget Plan. This net decrease is primarily associated with the transfer of Park Authority limited-term activities from Agency 51, Fairfax County Park Authority, to Fund 40400, Park General Operations and Capital, as approved by the Board as part of the *FY 2025 Carryover Review*, and reductions utilized to balance the FY 2027 budget. These decreases are partially offset by increases due to a 2.00 percent COLA for eligible employees, budget realignments, and non-merit support for the anticipated opening of The Commons Mount Vernon.

Shift Differential funding reflects an increase of \$961, or 0.02 percent, over the FY 2026 Adopted Budget Plan, primarily due to increases in the County's shift differential premium, partially offset by budget realignments.

Overtime Pay funding reflects an increase of \$3,915,910, or 3.60 percent, over the FY 2026 Adopted Budget Plan, primarily due to compensation adjustments in Public Safety agencies, including impacts from two floating holidays, partially offset by reductions utilized to balance the FY 2027 budget.

Position Adjustments in the FY 2027 Advertised Budget Plan reflect a net decrease of 69/65.00 FTE General Fund positions from the *FY 2026 Revised Budget Plan*, as detailed below. It should be noted that position movements between General Fund agencies are included in agency narratives but are not detailed below.

- An increase of 12/12.0 FTE positions in the Facilities Management Department to support the creation of a dedicated Residential Facilities Maintenance section, as well as new or expanded facilities including The Commons Mount Vernon, Fair Ridge Family Shelter, and others.
- An increase of 11/11.0 FTE positions and non-merit staff in the Department of Neighborhood and Community Services to support the anticipated opening of The Commons Mount Vernon.
- An increase of 2/2.0 FTE positions in the Department of Human Resources and 2/2.0 FTE positions in the Office of the County Attorney to support Collective Bargaining.
- An increase of 3/3.0 FTE positions in the Department of Housing and Community Development to support affordable housing activities.
- An increase of 2/2.0 FTE positions in the Department of Tax Administration to support the state mandated Disabled Veteran Tax Exemption program.
- An increase of 3/3.0 FTE positions in the Office of the Sheriff to meet the requirements set forth in Virginia Senate Bill 2723 which pertains to the automatic sealing of offenses resulting in acquittal or dismissal and an onsite specialist dedicated to maintaining the court facility locking systems.
- An increase of 1/1.0 FTE position in the Health Department to support the opening of a new Fairfax County Public Schools high school for the 2026-2027 school year.
- A decrease of 6/6.0 FTE positions in the Department of Information Technology due to the transfer of positions to Fund 60030, Technology Infrastructure Services, to better align resources across the department.

- A decrease of 99/95.0 FTE positions in the General Fund, including 97/93.0 FTE positions that will be eliminated and 2/2.0 FTE positions that are being transferred to other funds, as a result of reductions utilized to balance the FY 2027 budget. Agencies with position reductions include: Department of Finance; Department of Human Resources, Department of Procurement and Material Management; Office of Capital Facilities; Department of Planning and Development; Department of Transportation; Fairfax County Public Library; Department of Family Services; Health Department; Department of Neighborhood and Community Services; Juvenile and Domestic Relations District Court; Office of the Commonwealth's Attorney; General District Court; Police Department; and Office of the Sheriff.

Fringe Benefits

In FY 2027, funding for Fringe Benefits totals \$619,521,226, a net increase of \$39,055,072, or 6.73 percent, over the *FY 2026 Revised Budget Plan* level of \$580,466,154, and a net increase of \$21,979,196, or 3.68 percent, over the FY 2026 Adopted Budget Plan level of \$597,542,030. The increase over the FY 2026 Adopted Budget Plan is summarized as follows.

- An increase of \$21,040,867 reflects the impact of employee compensation adjustments, including a 2.00 percent COLA for all eligible employees; performance-based and longevity increases for non-uniformed merit employees; merit and longevity increases for uniformed employees; and additional benefits to support other compensation adjustments based on provisions specified in the collective bargaining agreements. These increases include Retirement, as well as Social Security and Medicare (FICA).
- An increase of \$17,448,475 in Health Insurance premiums is due to projected premium increase of 8.0 percent for all health insurance plans, effective January 1, 2027, and the full-year impact of January 2026 premium increases.
- An increase of \$2,995,865 in Fringe Benefits is based on funding for new positions added in FY 2027 and funding required for the full-year impact of positions added in FY 2026. This increase impacts retirement, health, FICA, dental, and life insurance.
- A net increase of \$469,259 in Retirement is due to increases in employer contribution rates based on the actuarial valuation, partially offset by savings based on year-to-date FY 2026 experience.
- A decrease of \$18,651,020 in Fringe Benefits is primarily associated with the transfer of fringe benefits for Park Authority positions from Agency 89, Employee Benefits, to Fund 40400, Park General Operations and Capital, as approved by the Board as part of the *FY 2025 Carryover Review*, along with the transfer of fringe benefits to Fund 60030, Technology Infrastructure Services, Fund 10030, Contributions, and Agency 08, Facilities Management Department.
- A net decrease of \$1,324,250 reflects changes in several fringe benefit categories, primarily due to FY 2026 year-to-date savings in FICA.

Operating Expenses

In FY 2027, Operating Expenses total \$412,202,649, a net decrease of \$64,260,182, or 13.49 percent, from the *FY 2026 Revised Budget Plan* funding level of \$476,462,831; however, it was a net increase of \$14,380,253, or 3.61 percent, over the FY 2026 Adopted Budget Plan funding level of \$397,822,396. Major adjustments from the FY 2026 Adopted Budget Plan are summarized below. It should be noted that transfers between General Fund agencies are not included in the following narrative.

- An increase of \$6,434,756 in contract rate increases for the providers of mandated and non-mandated services.
- An increase of \$5,500,000 in the Department of Neighborhood and Community Services to support Emergency Rental Assistance and the Food Access Program.
- An increase of \$5,215,643 in the Department of Neighborhood and Community Services associated with the transfer of funding from Fund 10020, Consolidated Community Funding Pool, to consolidate funding for emergency housing assistance and emergency food assistance into one place.
- An increase of \$3,625,925 in the Department of Fleet Management associated with fuel costs and anticipated billings for maintenance and operating-related expenses.
- An increase of \$3,609,163 in Department of Housing and Community Development to support the homeless services contracts and the Hypothermia Prevention Program.
- An increase of \$2,379,398 to support recurring licensing, subscription, maintenance, hosting, and storage costs for multiple IT systems, including the Electronic Health Records System (HER), Electronic Disease Surveillance System (EDSS), Records Management System, PLUS system, and new case management and reporting platforms, as completed IT projects and newly implemented systems transition from one-time purchases to ongoing service and operational costs.
- An increase of \$2,131,182 in the Department of Facilities Management to support increased facility costs related to lease escalation as well as maintenance of new or expanded facilities, including The Commons Mount Vernon.
- An increase of \$1,453,371 for a contract rate increase in the Body-Worn Camera program within the Office of the Sheriff.
- An increase of \$725,000 in the Health Department to support contracts providing nursing services to medically fragile students in Fairfax County Public Schools (FCPS) to align budget with spending for this federally mandated program.
- An increase of \$325,000 in the Department of Housing and Community Development to replace grant funding that previously supported Continuum of Care (CoC) homeless system planning, project monitoring and evaluation, compliance activities, and related CoC functions.
- A decrease of \$6,857,739 is associated with the transfer of Park Authority operating activities from Agency 51, Fairfax County Park Authority to Fund 40400, Park General Operations and Capital, as approved by the Board as part of the *FY 2025 Carryover Review*.

General Fund Disbursement Overview

- A decrease of \$5,496,148 is associated with agency reductions utilized to balance the FY 2027 budget.
- A decrease of \$4,186,314 in the Department of Neighborhood and Community Services is associated with the transfer of funding for the Middle School After School (MSAS) and Value in Prevention (VIP) programs to FCPS to better align these functions with FCPS operations.
- A decrease of \$2,000,000 in the Police Department is associated with the transfer of funding for in-car video equipment replacement to the new Fund 10050, Equipment Replacement.

Capital Equipment

In FY 2027, Capital Equipment funding for General Fund agencies totals \$428,617, a decrease of \$4,113,982, or 90.56 percent, from the *FY 2026 Revised Budget Plan* funding level of \$4,542,599, and a decrease of \$250,000, or 36.84 percent, from the *FY 2026 Adopted Budget Plan*. The decrease is associated with the transfer of Park Authority capital equipment activities from Agency 51, Fairfax County Park Authority, to Fund 40400, Park General Operations and Capital, as approved by the Board as part of the *FY 2025 Carryover Review*.

Recovered Costs

In FY 2027, Recovered Costs total \$23,098,811, an increase of \$1,317,113, or 6.05 percent, over the *FY 2026 Revised Budget Plan* of \$21,781,698, and a decrease of \$2,709,048, or 10.50 percent, from the *FY 2026 Adopted Budget Plan* funding level of \$25,807,859. The decrease is primarily due to the transfer of Park Authority recovered cost activities from Agency 51, Fairfax County Park Authority, to Fund 40400, Park General Operations and Capital, as approved by the Board as part of the *FY 2025 Carryover Review*. This decrease is partially offset by increases resulting from reductions utilized to balance the FY 2027 budget, as well as increases in leased recovered costs.

General Fund Disbursement Overview

Summary of General Fund Transfers

The FY 2027 Transfers Out from the General Fund total \$3,766,533,731, an increase of \$202,349,356, or 5.68 percent, over the FY 2026 Adopted Budget Plan Transfers Out of \$3,564,184,375. These transfers support programs and activities that reflect the Board of Supervisors' priorities. Adjustments are summarized in the chart below.

	Increase / (Decrease) Over FY 2026 Adopted
Fund S10000, School Operating	\$99,193,095
Fund 10020, Consolidated Community Funding Pool	(4,799,285)
Fund 10030, Contributories	276,520
Fund 10050, Equipment Replacement	2,000,000
Funds 20000 and 20001, Consolidated County and Schools Debt Service	18,814,504
Fund 30010, General Construction and Contributions	(12,826,338)
Fund 30020, Infrastructure Replacement and Upgrades	7,500,000
Fund 30050, Transportation Improvements	150,000
Fund S31000, School Construction	7,500,000
Fund 40000, County Transit Systems	(7,286,802)
Fund 40040, Fairfax-Falls Church Community Services Board	5,531,462
Fund 40045, Early Childhood Birth to 5	605,020
Fund 40090, E-911	5,793,417
Fund 40400, Park General Operations and Capital	72,775,435
Fund 50000, Federal-State Grant Fund	263,600
Fund 60000, County Insurance	(25,577)
Fund 60020, Document Services	132,460
Fund 60030, Technology Infrastructure Services	10,731,860
Fund 73030, OPEB Trust	(4,091,629)
Fund 83000, Alcohol Safety Action Program	111,554
Total	\$202,349,296

Fund S10000, School Operating

The FY 2027 General Fund transfer to Fund S10000, Public School Operating, is \$2,802,243,987, an increase of \$99,193,095, or 3.67 percent, over the FY 2026 Adopted Budget Plan transfer of \$2,703,050,892. The greatest share of the County budget is dedicated to Fairfax County Public Schools (FCPS), which underscores that education continues to be the highest priority. The transfer to the School Operating Fund includes \$94,606,781 to support FCPS priorities and \$4,586,314 for programs and services currently administered by the County that are more closely aligned with FCPS operations and are therefore being transferred to FCPS. Collectively, transfers to the School Operating Fund, School Construction Fund, and School Debt Service Fund represent 51.19 percent of total General Fund disbursements.

Fund 10020, Consolidated Community Funding Pool

The FY 2027 General Fund transfer to Fund 10020, Consolidated Community Funding Pool, is \$8,743,521, a decrease of \$4,799,285, or 35.44 percent, from the FY 2026 Adopted Budget Plan transfer of \$13,542,806. The FY 2027 Advertised Budget Plan includes the transfer of funding for emergency rental assistance and food assistance to Agency 79, Department of Neighborhood and

Community Services, partially offset by increases associated with performance and leverage requirements.

Fund 10030, Contributories

The FY 2027 General Fund transfer to Fund 10030, Contributories, is \$20,861,357, an increase of \$276,520, or 1.34 percent, over the FY 2026 Adopted Budget Plan transfer of \$20,584,837. The FY 2027 Advertised Budget Plan includes funding adjustments associated with the transfer of salary supplements for the Office of the Public Defender from Agency 85, General District Court, as well as increased support for Volunteer Fairfax, the Metropolitan Washington Council of Governments, NOVA Parks, and Convention and Visitors Corporation. Other changes reflect contributions based on legal requirements, per capita calculations, contractual or regional commitments, membership dues, and enhanced support for arts and cultural activities in the County. These increases are partially offset by reductions utilized to balance the FY 2027 budget, including the consolidation of Celebrate Fairfax into Visit Fairfax. More details on the Contributory Fund are included later in this section.

Fund 10050, Equipment Replacement

The FY 2027 General Fund transfer to Fund 10050, Equipment Replacement, is \$2,000,000, an increase of \$2,000,000, over the FY 2026 Adopted Budget Plan. The FY 2027 Advertised Budget Plan includes a funding adjustment associated with the replacement of police in-car video equipment, which is being transferred from Agency 90, Police Department, resulting in no net impact to the County. Fund 10050 is being established as part of the FY 2027 Advertised Budget Plan to ensure the timely and systematic replacement of essential capital equipment as they reach the end of their useful lives.

Funds 20000 and 20001, Consolidated County and Schools Debt Service

The FY 2027 General Fund transfer to Funds 20000 and 20001, Consolidated County and Schools Debt Service, is \$392,423,452, an increase of \$18,814,504, or 5.04 percent, over the FY 2026 Adopted Budget Plan transfer of \$373,608,948. The FY 2027 Advertised Budget Plan includes funding adjustments primarily associated with scheduled requirements for existing debt service payments.

Fund 30010, General Construction and Contributions

The FY 2027 General Fund transfer to Fund 30010, General Construction and Contributions, is \$14,881,362, a decrease of \$12,826,338, or 46.29 percent, from the FY 2026 Adopted Budget Plan transfer of \$27,707,700. The FY 2027 Advertised Budget Plan includes funding adjustments attributed to the culmination of project payments and the transfer of park-related capital projects to Fund 40400, Park General Operations and Capital. Fund 40400 was created as part of the *FY 2025 Carryover Review* to provide additional transparency and flexibility by combining General Fund supported operational and capital project funding within one consolidated Park fund.

Fund 30020, Infrastructure Replacement and Upgrades

The FY 2027 General Fund transfer to Fund 30020, Infrastructure Replacement and Upgrades, is \$10,000,000, an increase of \$7,500,000 over the FY 2026 Adopted Budget Plan transfer of \$2,500,000. This increase adds critical baseline resources needed to meet significant facility maintenance needs. The FY 2027 Advertised Budget Plan includes funding adjustments to address top 10 priority category F projects to address critical building infrastructure needs by modernizing electrical, HVAC, plumbing, elevator, roofing, generator, automation, and parking systems at various facilities.

General Fund Disbursement Overview

Fund 30050, Transportation Improvements

The FY 2027 General Fund transfer to Fund 30050, Transportation Improvements, is \$650,000, an increase of \$150,000, or 30.00 percent, over the FY 2026 Adopted Budget Plan transfer of \$500,000. The FY 2027 Advertised Budget Plan includes funding adjustments to support ongoing and future traffic calming projects.

Fund S31000, School Construction

The FY 2027 General Fund transfer to Fund S31000, School Construction, is \$23,100,000, an increase of \$7,500,000, or 48.08 percent, over the FY 2026 Adopted Budget Plan transfer of \$15,600,000. The FY 2027 Advertised Budget Plan includes funding adjustments to support the significant facility maintenance needs facing FCPS.

Fund 40000, County Transit Systems

The FY 2027 General Fund transfer to Fund 40000, County Transit Systems, is \$39,321,388, a decrease of \$7,286,802, or 15.63 percent, from the FY 2026 Adopted Budget Plan transfer of \$46,608,190. The FY 2027 Advertised Budget Plan includes funding reductions associated with savings identified from proposed Fairfax Connector Bus service adjustments, efficiencies and optimizations across 13 routes.

Fund 40040, Fairfax-Falls Church Community Services Board

The FY 2027 General Fund transfer to Fund 40040, Fairfax-Falls Church Community Services Board (CSB), is \$189,916,165, an increase of \$5,531,462, or 3.00 percent, over the FY 2026 Adopted Budget Plan transfer of \$184,384,703. The FY 2027 Advertised Budget Plan includes funding adjustments primarily to support employee compensation and health insurance increases, as well as contract rate adjustments. These increases are partially offset by reductions utilized to balance the FY 2027 budget, and with the transfer of funding from CSB to FCPS associated with transition services provided to high school seniors with Individualized Education Plans who are leaving FCPS and moving into adulthood.

Fund 40045, Early Childhood Birth to 5

The FY 2027 General Fund transfer to Fund 40045, Early Childhood Birth to 5, is \$36,333,644, an increase of \$605,020, or 1.69 percent, over the FY 2026 Adopted Budget Plan transfer of \$35,728,624. The FY 2027 Advertised Budget Plan includes funding adjustments to support employee compensation and health insurance increases, the new child care center at The Commons Mount Vernon, and contract rate increases. These adjustments are partially offset by reductions utilized to balance the FY 2027 budget.

Fund 40090, E-911

The FY 2027 General Fund transfer to Fund 40090, E-911, is \$23,437,470, an increase of \$5,793,417, or 32.83 percent, over the FY 2026 Adopted Budget Plan transfer of \$17,644,053. The FY 2027 Advertised Budget Plan includes funding adjustments to support employee compensation and fringe benefit increases, public safety radios infrastructure platform and other IT projects, as well as contract rate increases. These increases are partially offset by reductions utilized to balance the FY 2027 budget.

Fund 40400, Park General Operations and Capital

The FY 2027 General Fund transfer to Fund 40400, Park General Operations and Capital, is \$72,775,435, an increase of \$72,775,435, over the FY 2026 Adopted Budget Plan. The FY 2027 Advertised Budget Plan includes the transfers of all Park Authority activities from the General Fund and Fund 30010, General Construction and Contributions, as approved as part of the *FY 2025 Carryover Review*. This restructuring provides additional transparency and flexibility by combining both park operational funding and capital project funding into a single fund. Additional funding

General Fund Disbursement Overview

adjustments primarily support employee compensation and health insurance increases, maintenance of new facilities, the full implementation of the Zero Waste Initiative, contract rate increases, and implementation of a sliding fee scale. These increases are partially offset by reductions utilized to balance the FY 2027 budget.

Fund 50000, Federal-State Grant Fund

The FY 2027 General Fund transfer to Fund 50000, Federal-State Grant Fund, is \$5,551,103, an increase of \$263,660, or 4.99 percent, over the FY 2026 Adopted Budget Plan transfer of \$5,287,443. The transfer reflects the anticipated Local Cash Match needed to maximize the County's ability to leverage federal and state grant funding. The reserve for Local Cash Match is a projection of the County contributions required for anticipated and unanticipated grant awards.

Fund 60000, County Insurance

The FY 2027 General Fund transfer to Fund 60000, County Insurance, is \$24,435,956, a decrease of \$25,577, or 0.10 percent, from the FY 2026 Adopted Budget Plan transfer of \$24,461,533. The FY 2027 Advertised Budget Plan includes funding adjustments to support employee compensation and health insurance increases. These increases are offset by reductions utilized to balance the FY 2027 budget.

Fund 60020, Document Services

The FY 2027 General Fund transfer to Fund 60020, Document Services, is \$4,851,187, an increase of \$132,460, or 2.81 percent, over the FY 2026 Adopted Budget Plan transfer of \$4,718,727. The FY 2027 Advertised Budget Plan includes funding adjustments primarily to support employee compensation and health insurance increases.

Fund 60030, Technology Infrastructure Services

The FY 2027 General Fund transfer to Fund 60030, Technology Infrastructure Services, is \$26,813,746, an increase of \$10,731,860, or 66.73 percent, over the FY 2026 Adopted Budget Plan transfer of \$16,081,886. The FY 2027 Advertised Budget Plan includes funding adjustments primarily to support employee compensation and health insurance increases. Additional adjustments support technology infrastructure stabilization and optimization, operating support for completed IT projects, programmatic adjustments, contract rate adjustments, and the transfer of innovation positions from the General Fund. These increases are partially offset by reductions utilized to balance the FY 2027 budget.

Fund 73030, OPEB Trust

The FY 2027 General Fund transfer to Fund 73030, OPEB Trust, is \$2,408,371, a decrease of \$4,091,629, or 62.95 percent, from the FY 2026 Adopted Budget Plan transfer of \$6,500,000. The FY 2027 Advertised Budget Plan includes funding adjustments based on annual normal cost contribution requirements.

Fund 83000, Alcohol Safety Action Program

The FY 2027 General Fund transfer to Fund 83000, Alcohol Safety Action Program, is \$1,439,317, an increase of \$111,554, or 8.40 percent, over the FY 2026 Adopted Budget Plan transfer of \$1,327,763. The FY 2027 Advertised Budget Plan includes funding adjustments to support employee compensation and health insurance increases.

General Fund Disbursement Overview

Summary of Contributory Agencies

Fund 10030, Contributories, was established in FY 2001 to reflect General Fund support for agencies or organizations that receive County contributions. FY 2027 contributory funding totals \$25,861,357 and reflects an increase of \$5,276,520 or 25.6 percent, over the FY 2026 Adopted Budget Plan funding level of \$20,584,837. The required Transfer In from the General Fund is \$20,861,357. In addition in FY 2027, revenue totaling \$6,645,815, representing one percent in Transient Occupancy Tax (TOT) revenue, is included to support funding for tourism-related activities in Fairfax County. This tax revenue will be directly posted in and expended from Fund 10030, Contributories. Individual contributions are described in detail in the narrative of Fund 10030, Contributories, in Volume 2 of the FY 2027 Advertised Budget Plan.

Contributory funding is in compliance with the Board of Supervisors' policy to make General Fund appropriations of specified amounts to various nonsectarian, nonprofit, or quasi-governmental entities for the purpose of promoting the general health and welfare of the community. Since public funds are being appropriated, contributions provided to designated agencies are currently made contingent upon submission and review of quarterly, semiannual, and/or annual reports. This oversight activity includes reporting requirements prescribed by the County Executive, which require designated agencies to accurately describe the level and quality of services provided to County residents. Various County agencies may be tasked with oversight of program reporting requirements. Contributory agencies that do not file reports as requested, may, at the discretion of the County Executive, have payments withheld until appropriate reports are filed and reviewed.

The following chart summarizes the funding for the various contributory organizations.

Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan
Legislative-Executive Functions/Central Service Agencies:				
Dulles Area Transportation Association	\$15,000	\$15,000	\$15,000	\$15,000
Metropolitan Washington Council of Govts.	1,423,687	1,488,971	1,488,971	1,573,666
National Association of Counties	23,006	23,066	23,066	23,006
Northern Virginia Regional Commission	773,833	775,680	775,680	783,303
Northern Virginia Transportation Comm.	155,168	141,166	141,166	155,458
Virginia Association of Counties	239,274	268,698	268,698	268,698
Washington Airports Task Force	50,000	50,000	50,000	50,000
Subtotal Legislative-Executive	\$2,679,968	\$2,762,581	\$2,762,581	\$2,869,131
Judicial Administration:				
Office of the Public Defender	\$0	\$0	\$0	\$667,951
Subtotal Judicial Administration	\$0	\$0	\$0	\$667,951
Public Safety:				
NOVARIS	\$9,577	\$9,577	\$9,577	\$9,577
NVERS	10,000	10,000	10,000	10,000
Subtotal Public Safety	\$19,577	\$19,577	\$19,577	\$19,577
Health and Welfare:				
Health Systems Agency of Northern Virginia	\$115,030	\$115,030	\$115,030	\$115,030
Medical Care for Children	287,000	287,000	287,000	287,000
Northern Virginia Healthcare Center/ Birmingham Green Adult Care Residence	3,363,421	3,498,774	3,498,774	3,535,279
Volunteer Fairfax	590,290	490,290	490,290	590,290
Subtotal Health and Welfare	\$4,355,741	\$4,391,094	\$4,391,094	\$4,527,599
Parks, Recreation and Cultural:				
ARTSFAIRFAX	\$1,554,445	\$1,554,445	\$1,554,445	\$1,554,445
Celebrate Fairfax	750,000	750,000	750,000	0
Dulles Air and Space Museum	100,000	100,000	100,000	100,000
Fairfax Symphony Orchestra	261,032	261,032	261,032	261,032
Fort Belvoir Army Museum	150,000	150,000	150,000	150,000
NOVA Parks	2,541,654	2,632,009	2,632,009	2,713,044

General Fund Disbursement Overview

Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan
Reston Historic Trust	16,150	16,150	16,150	16,150
Town of Herndon	40,000	40,000	40,000	40,000
Town of Vienna Teen Center	32,300	32,300	32,300	0
250th Commission	150,000	150,000	150,000	150,000
Wolf Trap Foundation for the Performing Arts	125,938	125,938	125,938	125,938
Workhouse Arts Foundation	500,000	500,000	500,000	500,000
Subtotal Parks, Recreation and Cultural	\$6,221,519	\$6,311,874	\$6,311,874	\$5,610,609
Community Development:				
Architectural Review Board	\$15,972	\$15,972	\$15,972	\$15,972
Commission for Women	6,916	6,916	6,916	6,916
Convention and Visitors Corporation	3,975,938	3,343,104	3,343,104	8,409,966
Earth Sangha	16,150	16,150	16,150	16,150
Fairfax County History Commission	21,013	21,013	21,013	21,013
Fairfax ReLeaf	41,990	41,990	41,990	41,990
Greater Reston Incubator	24,225	24,225	24,225	24,225
Northern Virginia 4-H Education Center	15,000	15,000	15,000	15,000
Northern Virginia Community College	111,349	110,988	110,988	110,905
Northern Virginia Conservation Trust	287,753	287,753	287,753	287,753
Southeast Fairfax Development Corporation	183,320	183,320	313,320	183,320
Tysons Community Alliance	3,000,000	2,750,000	2,750,000	2,750,000
Women's Center of Northern Virginia	27,023	27,023	27,023	27,023
Subtotal Community Development	\$7,726,649	\$6,843,454	\$6,973,454	\$11,910,233
Nondepartmental:				
Employee Advisory Council	\$33,000	\$33,000	\$33,000	\$33,000
Fairfax Public Law Library	188,657	223,257	223,257	223,257
Subtotal Nondepartmental	\$221,657	\$256,257	\$256,257	\$256,257
Total County Contributions	\$21,225,111	\$20,584,837	\$20,714,837	\$25,861,357



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Other Funds Overview



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Advertised Budget Plan

Other Funds Overview

Overview

Other Funds reflect programs, services, and projects funded from non-General Fund revenue sources or a mix of General Fund and non-General Fund sources. These sources include federal or state grants, specific tax districts, proceeds from the sale of bonds, and user fees and charges. Included are the following categories of Other Funds:

- General Fund Group
- Debt Service Funds
- Special Revenue Funds
- Internal Service Funds
- Enterprise Funds
- Custodial and Trust Funds

Other Funds expenditures are supported through a total available balance of \$16,537,217,099 (excluding the General Fund) and total revenues of \$6,197,500,305 (excluding the General Fund). The revenues are a decrease of \$1,495,655,805 or 19.44 percent, from the *FY 2026 Revised Budget Plan* and an increase of \$226,549,393, or 3.79 percent, over the *FY 2026 Adopted Budget Plan*. The decrease from the *FY 2026 Revised Budget Plan* is primarily the result of the carryover of authorized but unissued bonds for capital construction projects, County and regional transportation project revenue, anticipated grant revenue, and various other changes rather than the result of changes in the revenue stream for Other Funds. The net increase in revenues from the *FY 2026 Adopted Budget Plan* is due primarily to increases in Health Benefits and Retirement Trusts. Details concerning significant changes in revenue growth are discussed for each specific fund in Volume 2, Capital Construction and Other Operating Funds, in the *FY 2027 Advertised Budget Plan*. Also, the FY 2027 revenues for Other Funds are summarized by revenue type and by fund type in the *Financial, Statistical and Summary Tables* section of this Overview Volume.

FY 2027 expenditures for Other Funds total \$8,804,290,008 (excluding General Fund direct expenditures and capital project funds) and reflect a decrease of \$2,258,306,452 or 20.41 percent, from the *FY 2026 Revised Budget Plan* funding level of \$11,062,596,460. This decrease is primarily due to significant carryover for capital construction projects, stormwater projects, sewer construction projects, County and regional transportation projects, and grant-funded projects, and should not be perceived as a major change to programs or operations. Excluding adjustments in FY 2026, expenditures increased by \$301,756,084 or 3.55 percent, over the *FY 2026 Adopted Budget Plan* total of \$8,502,533,924. Of this increase, \$185,127,369 reflects an increase to the Public School Operating Fund, \$18,673,601 reflects an increase to Debt Service, \$64,574,177 reflects an increase to Public School Health Benefits, \$15,745,079 reflects an increase in Health Benefits, and net remaining adjustments of \$17,635,858 due primarily to the Special Revenue, Internal Service, and Enterprise Funds.

The following is a summary of the various fund types. Not included in these discussions are Capital Projects Funds, which are presented in the Capital Projects Overview of this Overview Volume. A complete discussion of funding and program adjustments for all Other Funds is found in Volume 2, Capital Construction and Other Operating Funds in the *FY 2027 Advertised Budget Plan*. Summary information is provided in the *Financial, Statistical and Summary Tables* section of this Overview Volume. It should be noted that Special Revenue funding for FCPS is discussed in further detail in the *Fairfax County School Board's FY 2027 Proposed Budget*.

General Fund Group

The General Fund Group consists of six funds in addition to the General Fund and accounts for revenue and expenditures for the Revenue Stabilization, Economic Opportunity Reserve, Consolidated Community Funding Pool, Contributories, Information Technology Projects, and Equipment Replacement funds. Prior to the FY 2014 Adopted Budget Plan, all these funds, with the exception of the Economic Opportunity Reserve and Equipment Replacement Fund, were part of Special Revenue Funds. In FY 2027, General Fund Group expenditures total \$36,604,878 (excluding the General Fund), a decrease of \$121,735,100 or 76.88 percent, from the *FY 2026 Revised Budget Plan* funding level of \$158,339,978 due primarily to the carryover of ongoing IT project funds as well as no appropriated funding in the FY 2027 Advertised Budget Plan for the Economic Opportunity Reserve because its full balance will be appropriated as part of the *FY 2026 Carryover Review*. Excluding adjustments in FY 2026, expenditures increased \$2,477,235 or 7.26 percent, over the FY 2026 Adopted Budget Plan level of \$34,127,643.

Debt Service Funds

The Consolidated Debt Service Fund accounts for the general obligation bond debt service of the County as well as general obligation bond debt for the FCPS. In addition, debt service expenditures are included for the Economic Development Authority Lease Revenue bonds associated with County government and School facilities and payments for Fairfax County Redevelopment and Housing Authority (FCRHA) Lease Revenue bonds. Revenues for the debt service funds are derived principally from a transfer from the General Fund. Debt service on sewer revenue bonds is reflected in the Enterprise Funds. FY 2027 Debt Service expenditures total \$398,954,618.

Special Revenue Funds

Special Revenue Funds account for the proceeds from specific sources that are legally restricted to expenditures for a specific purpose. These proceeds include state and federal aid, income derived through activities performed by the Division of Solid Waste, special levies, program activity revenue, and operation of the public school system. In FY 2027, Special Revenue Fund expenditures total \$5,485,336,279 a decrease of \$1,870,890,058, or 25.43 percent, from the *FY 2026 Revised Budget Plan* funding level of \$7,356,226,337 due primarily due to the significant carryover of unexpended project balances in the County and Regional Transportation Projects Fund, the Dulles Rail Phase II Transportation Improvement District Fund, the Stormwater Services Fund, the transfer of funding supporting Agency 51, Fairfax County Park Authority, from Fund 10001, General Fund, to a new Special Revenue Fund 40400, Park General Operations and Capital, and the carryover of unexpended grant balances previously approved by the Board of Supervisors in the Federal-State Grant Fund. Excluding adjustments in FY 2026, expenditures increased \$299,368,351 or 5.77 percent, over the FY 2026 Adopted Budget Plan level of \$5,185,967,928.

Internal Service Funds

Internal Service Funds account for services commonly used by most agencies, and for which centralized organizations have been established in order to achieve economies of scale necessary to minimize costs. These internal agencies provide services to other agencies on a cost reimbursement basis. Such services consist of vehicle operations, maintenance, and replacement; insurance coverage (health, workers compensation, automobile liability, and other insurance); data communications and processing; and document services. Where possible, without degradation of quality, joint County and School service delivery (printing and vehicle maintenance) or joint procurement (health insurance) activities are conducted in order to achieve economies of scale and to minimize costs. FY 2027 Internal Service expenditures total \$1,270,451,331, an increase of \$41,070,030, or 3.34 percent, from the *FY 2026 Revised Budget Plan* level of \$1,229,381,301 primarily due to increases in the Public School Insurance and Public School Health and Flexible

Benefits Funds. Excluding adjustments in FY 2026, expenditures increased \$106,794,703, or 9.18 percent, over the FY 2026 Adopted Budget Plan level of \$1,163,656,628.

Enterprise Funds

Fairfax County's Enterprise Funds consist of five funds within the Wastewater Management Program (WWM) which account for the construction, maintenance, and operational aspects of the countywide sewer system. The cost of providing sewer service to County citizens and businesses is financed or recovered primarily from user charges. FY 2027 Enterprise Funds expenditures for sewer operation and maintenance, construction, and sewer debt service total \$327,035,676 a decrease of \$427,122,695, or 56.64 percent, from the *FY 2026 Revised Budget Plan* total of \$754,158,371 primarily due to a significant carryover in the Sewer Construction Improvements and Sewer Bond Construction funds. Excluding adjustments in FY 2026, expenditures decreased \$227,374,218, or 41.01 percent, from the FY 2026 Adopted Budget Plan level of \$554,409,894.



Custodial and Trust Funds

Custodial and Trust Funds account for assets held by the County in a trustee or custodial capacity and include the four pension trust funds administered by the County and Schools, as well as County and Schools trust funds to pre-fund other post-employment benefits. In FY 2027, Custodial and Trust Funds combined expenditures total \$1,285,907,226, an increase of \$102,252,028, or 8.64 percent, over the *FY 2026 Revised Budget Plan* funding level of \$1,183,655,198. This increase is primarily due to increases in the four existing retirement funds. Excluding adjustments in FY 2026, combined Custodial and Trust Funds expenditures increased by \$101,816,412 or 8.60 percent, from the FY 2026 Adopted Budget Plan level of \$1,184,090,814.



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Capital Projects Overview



FY 2027

Advertised Budget Plan

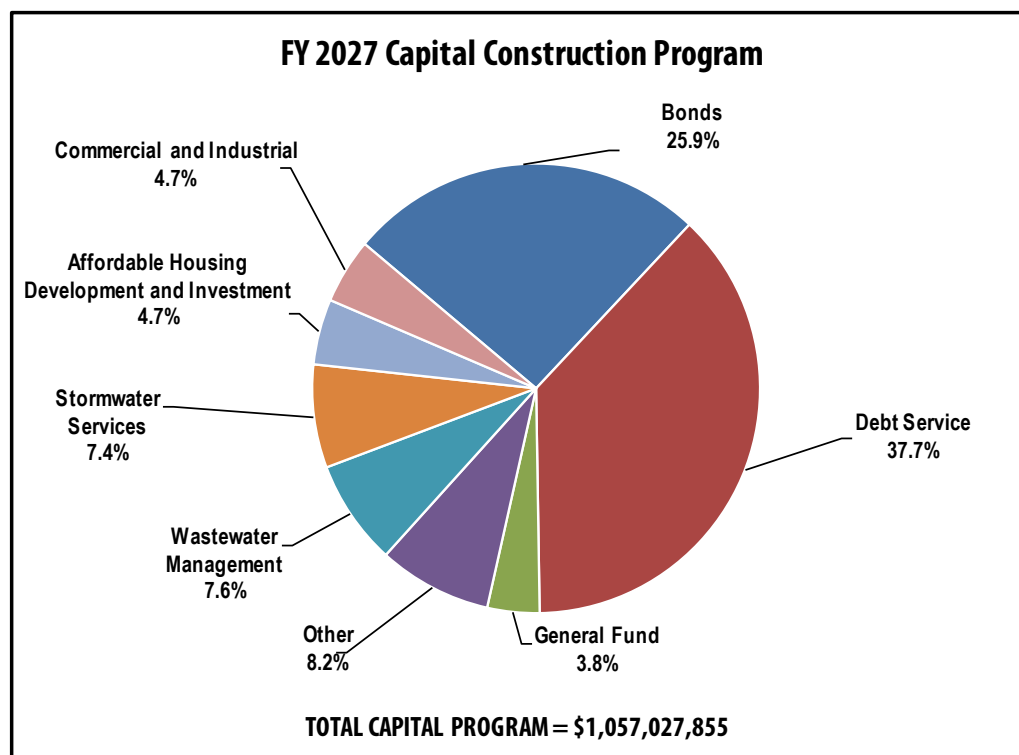
Capital Projects Overview

Summary of Capital Construction Program

The Fairfax County Capital Construction Program is organized to meet the existing and anticipated future needs of the residents of the County and to enable the County government to provide necessary services. The Capital Construction Program (other than projects supported by Special Revenue funds) is primarily financed through transfers from the General Fund and the sale of General Obligation bonds. Supplementing the General Fund and General Obligation bonds are additional funding sources including Economic Development Authority (EDA) bonds, Federal and State grants, contributions, and other miscellaneous revenues.

The Fairfax County Capital Construction Program includes but is not limited to construction of both new and renovated school facilities, park facilities, transportation facilities, libraries, trails/sidewalks, fire stations, government centers with police substations, stormwater management facilities, athletic fields, affordable housing units, commercial revitalization initiatives, and infrastructure replacement and upgrades at County facilities. In addition, the Program includes contributions and obligations in support of capital construction.

Funding in the amount of \$1,057,027,855 is included in FY 2027 for the County's Capital Construction Program. Of this amount, \$398,954,618 is included for debt service and \$658,073,237 is included for capital expenditures. The source of funding for capital expenditures includes: \$39,833,500 from the General Fund; \$273,700,000 in General Obligation Bonds; \$80,000,000 in Wastewater Management revenues; \$49,829,288 in revenues supporting the Affordable Housing Program; \$78,519,185 in Stormwater Services revenues; \$49,517,553 in Commercial and Industrial tax revenues; and \$86,673,711 in financing from various sources. Other sources of financing include, but are not limited to, transfers from other funds, user fees, developer contributions, and/or other special revenues.



General Fund Support

In FY 2027, an amount of \$39,833,500 is supported by the General Fund for capital projects. This includes an amount of \$22,262,005 for commitments, contributions, and facility maintenance and \$17,571,495 for Paydown projects. The Paydown Program excludes those projects that are on-going maintenance projects or annual contributions. Paydown includes infrastructure replacement and upgrades, Americans with Disabilities Act (ADA) compliance, athletic field improvements, and other capital asset improvements. The FY 2027 General Fund Capital Program represents an increase of \$7,825,800 from the FY 2026 Adopted Budget Plan. This increase is primarily associated with County Infrastructure Replacement and Upgrades.

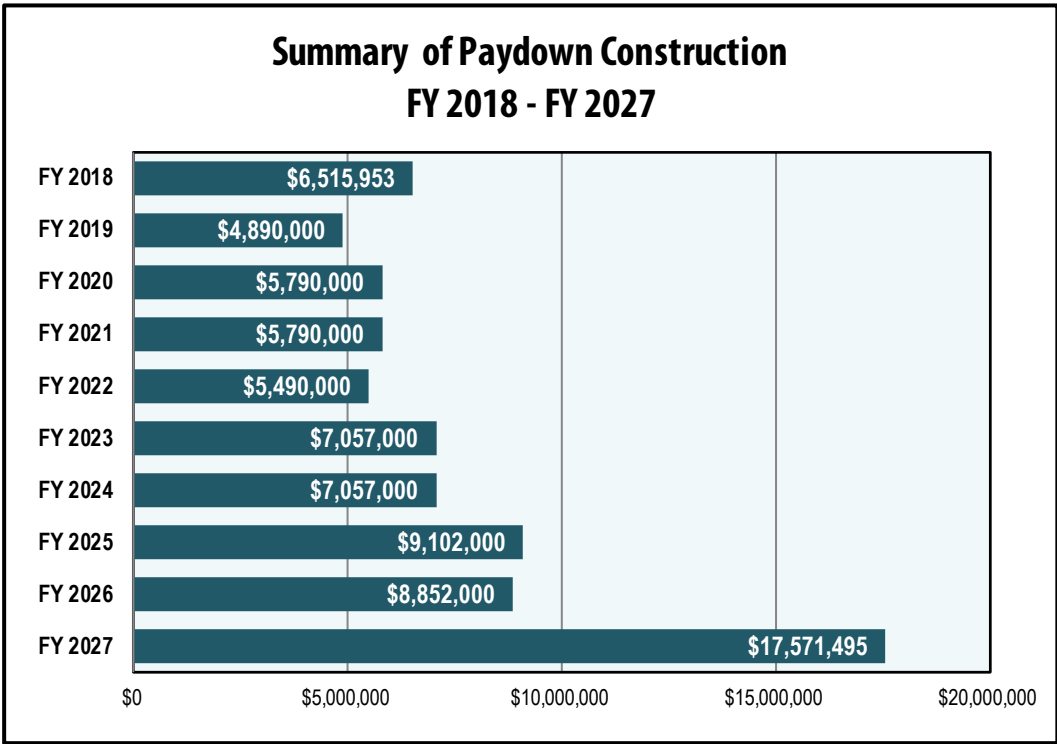
The FY 2027 General Fund Supported Program is illustrated below:

	Commitments, Contributions, and Facility Maintenance	Paydown	Total General Fund Support
County Capital Program			
County ADA Improvements	\$0	\$1,550,000	\$1,550,000
CIP Feasibility Studies	\$1,400,000	\$0	\$1,400,000
Contributions – NVCC	\$2,586,589	\$0	\$2,586,589
Contributions - NOVA Parks	\$3,678,704	\$0	\$3,678,704
Contributions – SACC	\$1,000,000	\$0	\$1,000,000
Environmental Initiatives	\$1,300,000	\$0	\$1,300,000
County Maintenance Programs	\$2,106,145	\$0	\$2,106,145
Payments and Obligations	\$859,924	\$200,000	\$1,059,924
Reinvestment in County Roads and Walkways	\$0	\$1,000,000	\$1,000,000
Revitalization Maintenance	\$500,000	\$0	\$500,000
Traffic Calming	\$0	\$650,000	\$650,000
Subtotal	\$13,431,362	\$3,400,000	\$16,831,362
Parks Capital Program			
Parks ADA Improvements	\$0	\$300,000	\$300,000
Athletic Field Maintenance and Sports Projects	\$6,045,714	\$1,365,140	\$7,410,854
Parks Maintenance Program	\$2,784,929	\$2,506,355	\$5,291,284
Subtotal	\$8,830,643	\$4,171,495	\$13,002,138
Joint CIP Committee Recommendations			
County Infrastructure Replacement and Upgrades	\$0	\$10,000,000	\$10,000,000
Subtotal	\$0	\$10,000,000	\$10,000,000
Total General Fund Support	\$22,262,005	\$17,571,495	\$39,833,500

* Reflects General Fund support only. Other funding sources, such as dedicated revenue and bond funding, are not included in these totals.

It should be noted that in recent years, the Board of Supervisors has approved additional one-time funds for the Paydown Program as part of both the Third Quarter and Carryover Reviews. In addition, to funding approved at quarterly reviews, the Board has allocated available year-end funds to the Capital Sinking Fund. Funding provides for infrastructure replacement and upgrades, such as facility roofs, HVAC and electrical systems, and reinvestment in trails, pedestrian bridges, and other infrastructure requirements. Based on the recommendations of the Joint County Board/School Board CIP Committee, beginning at the *FY 2022 Carryover Review*, the allocation to the Capital Sinking Fund was increased from 20 percent to 30 percent of available year-end balances and included FCPS in the allocation formula. The funding is allocated annually with 45 percent for FMD, 25 percent for FCPS, 15 percent for Parks, 7 percent for Walkways, 5 percent for County-owned Roads, and 3 percent for Revitalization improvements.

The graph below depicts the level of Paydown funding between FY 2018 and FY 2027. The increase in FY 2027 is primarily associated with the County Infrastructure Replacement and Upgrades.



Specifics of the FY 2027 General Fund Supported Program include:

County Capital Program

County Americans with Disabilities Act (ADA) Improvements

- Funding in the amount of \$1,500,000 is included for Facilities Management Department (FMD) ADA improvements at County owned facilities. As buildings and site conditions age, additional annual ADA compliance work is required. FMD is continually reviewing building conditions and prioritizing projects to ensure the greatest needs are addressed. FY 2027 funding represents an increase of \$1,000,000 necessary to begin to correct ADA issues and upgrade restrooms at the Fairfax County Courthouse. FMD has identified 51 public restrooms, and 59 single-person restrooms in the Courthouse that require ADA improvements. The estimate total to bring the restrooms into compliance with appropriate upgrades is \$23 million; therefore, funding for this project will need to be phased over multiple years. FY 2027 funding will provide for ADA retrofits at approximately six large public restrooms.
- Funding in the amount of \$50,000 is included for the continuation of ADA improvements at Housing facilities required as facilities age and change. Funding will accommodate annual needs throughout the County. This level of funding is consistent with the FY 2026 Adopted Budget Plan.

Capital Improvement Program (CIP) Feasibility Studies

- Funding of \$1,400,000 is included for Capital Improvement Program (CIP) Feasibility Studies. This funding will help to better define co-location opportunities, identify CIP project needs and costs, and accelerate the pace of construction projects by eliminating the need for conducting studies after Bond Referendum voter approval. In the past, studies were conducted after voter approval and took an average of six to eight months to complete. More complex projects and co-location facility studies often take longer to complete. This level of funding represents a decrease of \$600,000 from the FY 2026 Adopted Budget Plan based on project balances and identified upcoming requirements.

Capital Contributions

- Funding of \$2,586,589 is included for the County's contribution to the Northern Virginia Community College (NVCC) capital program. This level of funding represents an unchanged per capita rate of \$2.25 and a Fairfax County population figure of 1,149,595 provided by the Weldon Cooper Center. The FY 2027 funding level represents an increase of \$22,943 from the FY 2026 Adopted Budget Plan due to a slight increase in the County's population estimate. The NVCC has indicated that this contribution will support the College's capital program, Early College Programs for local school systems and Workforce Development Programs.
- Funding of \$3,678,704 is included for the County's capital contribution to the Northern Virginia Regional Park Authority (NOVA Parks). This level of funding is based on an increase in the per capita rate from \$3.14 to \$3.20 to address inflation and a Fairfax County population figure of 1,149,595 provided by the Weldon Cooper Center. The FY 2027 funding level represents an increase of \$100,994 from the FY 2026 Adopted Budget Plan. The NOVA Parks system includes 34 parks and over 12,300 acres of land, trails, historic sites, waterparks, family campgrounds, golf courses, a nature center, botanical gardens,

rental cabins and cottages, and several marinas. NOVA Park's capital improvement and land acquisition costs are shared by its six member jurisdictions: the counties of Fairfax, Arlington, and Loudoun, and the cities of Fairfax, Alexandria, and Falls Church. The primary focus of the capital program is to continue the restoration, renovation, and modernization of existing park facilities, many of which were developed or constructed more than 20 years ago. Other elements of the capital program include land acquisition, the development of interpretive and educational displays, and the addition of park features to meet the needs of the public.

- Funding of \$1,000,000 is included for the County's annual contribution to Fairfax County Public Schools (FCPS) to offset school operating and overhead costs associated with School-Age Child Care (SACC) Centers. This funding level is consistent with the FY 2026 Adopted Budget Plan.

Environmental Initiatives

Funding for specific environmental projects vary from year to year. The FY 2027 funding level of \$1,300,000 is consistent with the FY 2026 Adopted Budget Plan.

- Funding in the amount of \$100,000 is included to support the Green Business Partners program which aims to support a thriving, resilient business community working to reduce greenhouse gas emissions and promote sustainability to meet the goals of the Climate Action plans.
- Funding in the amount of \$400,000 is included to support the Energy Compass Residential Energy program. Energy Compass is the successor to the HomeWise program and was launched in FY 2026 to better connect residents with practical advice and resources to enable home energy efficiency and electrification projects. This service includes referrals to federal, state, and utility incentive programs, and guidance for selecting private contractors.
- Funding in the amount of \$75,000 is included to support Sustain Fairfax which is an overarching public education and outreach initiative of CECAP and Resilient Fairfax, and includes developing web content, social media posts, and other resources for residents to assist them in taking climate action.
- Funding in the amount of \$75,000 is included to support the Resilient Fairfax program which is designed to help the County adapt and become more resilient to changing climate-related conditions, such as extreme heat, severe storms, and flooding. Interagency teams and community partners are working together to improve and enhance access to extreme heat, storm, and flood resilience services with a focus on those who are most vulnerable.
- An amount of \$478,500 is included to support the Invasive Management Area (IMA) Program representing an increase of \$12,145 over the FY 2026 Adopted Budget Plan to support operational cost increases. The Park Authority manages this volunteer-supported program to remove invasive plants from park properties. This program restores hundreds of acres of important natural areas, protects tree canopy, and utilizes thousands of volunteers. More than 39,000 trained volunteers have contributed over 165,000 hours of service since the program's inception in 2005, improving over 1,900 acres of parkland. These activities ensure the ecological integrity of natural areas and prevent further degradation of their native communities.

- An amount of \$48,500 is included for the “Watch the Green Grow” Program representing an increase of \$5,000 over the FY 2026 Adopted Budget Plan to support operational cost increases. This is an education and outreach program, managed by the Park Authority, aimed at protecting and expanding park buffer zones, and supporting wildlife by promoting green yard care practices. Residents are encouraged to document their green actions on a web map, serving as a visual representation of stewardship activities across the County and inspiring others to adopt similar practices. This initiative also supports Meaningful Watershed Educational Experiences (MWEE) in schools as well as educational presentations to community groups and Homeowners Associations.
- An amount of \$123,000 is included for the next phase of a multi-year project administered by the Northern Virginia Soil and Water Conservation District (NVSWCD) to fund an early detection and rapid response program to control water chestnut plants. This level of funding represents a decrease of \$8,865 from the FY 2026 Adopted Budget Plan based on anticipated costs for this phase of the program. This project is intended to suppress the spread and reduce the fruiting of an invasive species, commonly known as water chestnut. This plant grows in dense, unsightly mats and impacts the functionality and aesthetics of ponds, including stormwater facilities. Funding will support engagement efforts with private pond owners and operators and the suppression of water chestnut plants at up to 25 infested ponds on property owned by the Park Authority, Homeowners Associations, and places of worship.

County Maintenance Programs

- Funding of \$806,145 is included to support emergency response and snow removal from all County owned and maintained facilities. This funding level represents an increase of \$20,065 over the FY 2026 Adopted Budget Plan to address program cost increases. Snow removal is provided at fire stations, police stations, 24-hour shelters, mass transit facilities, government centers, libraries, health centers, and community centers. The program also provides equipment, labor, and technical support to the Fire and Rescue Department, Police Department, Health Department, and other agencies in response to emergencies, such as hazardous material spills and demolition of unsafe structures.
- An amount of \$1,200,000 is included to support transportation operations maintenance. DPWES maintains transportation facilities, such as commuter rail stations, park-and-ride lots, bus transit stations, bus shelters, and roadway segments, that have not been accepted into the Virginia Department of Transportation (VDOT) for state maintenance. The project supports trash removal, graffiti removal, and landscaping. Other transportation operations maintenance services include maintaining public street signs as well as repairing trails, sidewalks, and pedestrian bridges, which are maintained to ADA standards. This funding level is consistent with the FY 2026 Adopted Budget Plan.
- Funding of \$100,000 is included to support the FMD’s treatment of bamboo on County properties. This funding level is consistent with the FY 2026 Adopted Budget Plan. Bamboo eradication requires removal of the bamboo and follow-up herbicidal applications to mitigate the spread. Successful eradication efforts can often take up to three years to complete. As homeowners become aware of the potential penalties that may be imposed for harboring bamboo, the County is receiving an increasing number of calls from residents asking that the bamboo be removed from County property to keep the invasive species from spreading.

Payments and Obligations

- Funding of \$100,000 is included to support interest payments required on conservation bond deposits and represents an increase of \$50,000 from the FY 2026 Adopted Budget Plan. This increase is based on trends to date and an annual increase in actual interest payments in previous years. The County requires developers to make deposits to ensure the conservation of existing natural resources. Upon satisfactory completion of a development project, the developer is refunded the deposit along with accumulated interest at the current statement savings rate.
- Funding of \$759,924 is included to support annual wastewater treatment services for the Harborview community. The FY 2027 funding level represents an increase of \$180,416 from the FY 2026 Adopted Budget Plan and is necessary to support capital improvements to the plant and the collection system. The Colchester Wastewater Treatment Plant serving the Harborview residents is a private operator. The plant bills Fairfax County and in turn, Fairfax County bills each resident using County sewer rates. Annual funding in this project represents the difference between the bills received from the plant and what is collected from the homeowners based on the County rates.
- Funding of \$200,000 is included to support the Developer Default program. This project is necessitated by economic conditions surrounding the construction industry that result in some developers not completing required public facilities, including walkways, storm drainage improvements, and road improvements required for acceptance of roads into the state system. The costs of providing these improvements may be offset by the receipt of developer default revenues from developer escrow and court judgements and/or compromise settlements. General Fund support of the program is necessary due to the time required between the construction of the improvements and the recovery of the bonds through legal action or when the developer default revenue is not sufficient to fund the entire cost of the project. This funding level is consistent with the FY 2026 Adopted Budget Plan.

Reinvestment in County Roads and Walkways

- An amount of \$500,000 is included for the reinvestment, repair, and emergency maintenance of County roads. The County is responsible for 38 miles of roadways not maintained by VDOT. Annual funding supports pothole repair, drive surface overlays, subgrade repairs, curb and gutter repairs, traffic and pedestrian signage repairs, hazardous tree removal, grading, snow and ice control, minor ditching, and stabilization of shoulders and drainage facilities. The Sinking Fund allocation has provided over \$14.7 million to date for reinvestment in the most critical needs and continues to provide for roads that have been identified as deteriorating. This funding level is consistent with the FY 2026 Adopted Budget Plan.
- An amount of \$500,000 is included to meet emergency and critical infrastructure requirements for County trails, sidewalks, and pedestrian bridges. Annual repairs include the correction of safety and hazardous conditions, such as damaged trail surfaces, ADA improvements, retaining wall failures, handrail repairs, and the rehabilitation of bridges. DPWES and the Department of Transportation are responsible for the infrastructure replacement and upgrade of 683 miles of walkways and 78 pedestrian bridges. The Capital Sinking Fund allocation has provided over \$19.4 million to date for reinvestment in the most critical trail needs and continues to provide for trails that have since been identified as deteriorating. This funding level is consistent with the FY 2026 Adopted Budget Plan.

Revitalization Maintenance

- An amount of \$500,000 is included to continue routine and non-routine maintenance in five major commercial revitalization areas. This level of funding represents a decrease of \$500,000 from the FY 2026 Adopted Budget Plan and is based on available project balances and expenditure patterns in recent years. This program provides an enhanced level of infrastructure and right-of-way features in commercial revitalization areas (Annandale, Bailey's Crossroads/Seven Corners, McLean, Route 1, and Springfield) and provides landscaping maintenance associated with the Tyson's Silver Line area. Routine maintenance in the commercial revitalization areas currently includes grass mowing, trash removal, fertilization, mulching of plant beds, weed control, and plant pruning. Non-routine maintenance includes asset maintenance or replacement (e.g., trees, plants, bicycle racks, area signs, street furniture, bus shelters, and drinking fountains) to sustain the overall visual characteristics of the districts.

Traffic Calming Program

- An amount of \$650,000 is included for FY 2027 to support ongoing and future traffic calming projects. The FY 2027 funding level represents an increase of \$150,000 from the FY 2026 Adopted Budget Plan due to project cost escalation experienced on priority projects. Traffic calming employs the use of physical devices, such as multi-way stop signs, speed humps, raised pedestrian crosswalks, median islands, or traffic circles, to reduce the speed of traffic on a residential street. This program supports a collaborative effort to engage local neighborhoods with the Fairfax County Department of Transportation (FCDOT) and is coordinated through the Board of Supervisors. The goal of the program is to reduce the operating speeds of vehicles on roads where speeding is identified by the community and verified by FCDOT as a concern.

Parks Capital Program

Athletic Field Maintenance and Sports Projects

FY 2027 funding in the amount of \$11,428,690 is included for the athletic field maintenance and sports program, a net increase of \$512,516 from the FY 2026 Adopted Budget Plan level. Total FY 2027 funding is supported by a General Fund transfer of \$7,410,854 and estimated revenue generated from the Athletic Services Fee in the amount of \$4,017,836. The FY 2027 General Fund transfer represents a net decrease of \$302,484 from the FY 2026 Adopted Budget Plan level of due to a reduction of \$446,480 to balance the FY 2027 budget, partially offset by an increase of \$143,996 for required contract rate increases. The FY 2027 Athletic Fee revenue is projected to increase \$815,000 from the FY 2026 Adopted Budget Plan level of \$3,202,836.

In FY 2027, the Athletic Service Fees are proposed to increase from \$10 per participant per season and \$20 for tournament fees to \$12 per participant per season and \$60 for tournament fees for diamond field users and indoor gym users. The rate for rectangular field users is proposed to increase from \$10 to \$12 per participant per season and remain at \$60 for tournament fees. Finally, the fee for non-County participants is proposed to increase from \$50 to \$75 for all field types per player. These fee increases will result in estimated additional revenue of \$815,000 to support the athletic field capital program and offset required support from the General Fund. Total funding levels supported by both the General Fund and the Athletic Fee revenue in FY 2027 include:

- An amount of \$50,000 is included for routine maintenance of girls' softball field amenities on FCPS sites. These amenities, such as dugouts, fencing, and irrigation systems, were added or constructed by the County based on recommendations from the citizen-led Action Plan Review Team (APRT) to reduce disparities in the quality of fields assigned to boys' baseball and girls' softball organizations. Routine maintenance is necessary both to maintain equity and to ensure safety. This project is supported entirely by the General Fund and coordinated by the Department of Neighborhood and Community Services (NCS). This level of funding is consistent with the FY 2026 Adopted Budget Plan.
- An amount of \$1,465,338 is included to maintain athletic fields scheduled for community use at FCPS elementary, middle, and high schools. Maintenance responsibilities include mowing, aeration, and over-seeding of the fields. This effort is supported entirely by the General Fund and is managed by the Park Authority. This level of funding is consistent with the FY 2026 Adopted Budget Plan.
- An amount of \$250,000 is included to continue the replacement and upgrading of FCPS athletic field lighting systems at middle and high schools used by County organizations. Funding supports a replacement and repair schedule, as well as improvements to bring existing lighting systems up to new standards. This project is supported entirely by the General Fund and coordinated by NCS. This level of funding is consistent with the FY 2026 Adopted Budget Plan.
- An amount of \$300,000 is included to provide annual maintenance funding to support girls' softball fields as recommended by the Girls' Fastpitch Softball Equity Action Plan Review Team (APRT). This effort is supported entirely by the General Fund and is managed by the Park Authority. This level of funding is consistent with the FY 2026 Adopted Budget Plan.
- An amount of \$3,359,871 is included for athletic field maintenance and repairs, including irrigation repairs, lighting repairs, turf maintenance, and capital equipment replacement associated with Park fields. This funding level represents an increase of \$136,871 over the FY 2026 Adopted Budget Plan including \$82,783 to address contract rate increases and \$54,088 to support maintenance and stabilization at new facilities within the Park Authority. The Park Authority is responsible for full-service maintenance of 264 Park Authority-owned athletic fields, used by more than 200 youth and adult sports organizations. This effort is supported entirely by the General Fund and is managed by the Park Authority.
- An amount of \$806,750 is included in custodial support for indoor gyms used by sports organizations. This funding level represents an increase of \$203,750 from the FY 2026 Adopted Budget Plan due to the proposed increase in Athletic Service Fees. The use of FCPS indoor facilities on the weekend requires FCPS to schedule a school system employee to open and close the facility and provide custodial support. Revenue generated from the Athletic Services Fee is used to provide payment for FCPS staff, eliminating the need for indoor sports organizations to pay the hourly rate previously charged. This project is entirely supported by revenue generated from the Athletic Services Fee and is managed by NCS.

- An amount of \$1,393,255 is dedicated to the maintenance of diamond fields at FCPS. This funding level represents a net increase of \$99,255 over the FY 2026 Adopted Budget Plan. This net increase includes a General Fund reduction of \$111,620 to help balance the FY 2027 budget, an increase in Athletic Service Fees of \$203,750 and an increase of \$7,125 for required contract rate increases. This funding supports increased requirements associated with contracted maintenance, such as infield grooming and renovations as well as mowing and turf management services at all fields that are used for community use. It also supports irrigation system maintenance of all non-high school fields. All field maintenance is coordinated between the Park Authority and NCS. Of the total funding, an amount of \$747,750 is included for this program based on the FY 2027 projection of revenue generated from the Athletic Services Fee, and \$645,505 is supported by the General Fund.
- An amount of \$473,000 is included for the Youth Sports Scholarship Program. The Youth Sports Scholarship Program provides support to youth from low-income families who want to participate in community-based sports programs and is managed by NCS. Of the total funding, an amount of \$248,000 is included for this program based on the FY 2027 projection of revenue generated from the Athletic Services Fee, and \$225,000 is supported by the General Fund. This level of funding is consistent with the FY 2026 Adopted Budget Plan.
- An amount of \$3,330,476 is included for the turf field replacement program in FY 2027. This funding level represents a net increase of \$147,640 over the FY 2026 Adopted Budget Plan. This net increase includes a General Fund reduction of \$334,860 to help balance the FY 2027 budget, an increase in Athletic Service Fees of \$407,500 and the redirection of \$75,000 from the Turf Development project. Funding for Turf Field Development is no longer required on an annual basis, and the Turf Field Replacement Program requirements continue to increase. Funding of \$2,215,336 is supported by Athletic Service Fee revenue and \$1,115,140 is supported by the General Fund. Funding is required to address the growing need for field replacement as established by the replacement schedule over the next 10 years. There is a total of 105 synthetic turf fields throughout the County, of which 52 are FCPS fields, 51 are County Parks fields, and two are owned by the Board of Supervisors and Town of Vienna, respectively. There are over 130,000 youth and adult participants annually that benefit from rectangular turf fields. If turf fields are not replaced when needed, they may need to be closed for safety reasons. Most manufacturers provide an 8-year warranty for a properly maintained synthetic turf field; however, it is a generally accepted practice to assume a life expectancy of a synthetic turf field of up to 10 years. This effort is managed by the Park Authority.

Parks Maintenance Program

- An amount of \$400,000 is included to continue the Bamboo Mitigation Program at Park Authority properties. This funding is required to address the removal of running bamboo on a full-time, consistent basis. The Park Authority estimates that 200+ acres of park property are currently affected by bamboo and anticipates that treatment of their properties will require a minimum of 12.5 years. This level of funding is consistent with the FY 2026 Adopted Budget Plan.

- An amount of \$925,000 is included for general Park Authority facilities reinvestment at non-revenue supported Park facilities, including roof, plumbing, electrical, lighting, security/fire systems, sprinklers, and HVAC replacement. The facilities maintained include, but are not limited to, rental properties, historic properties, nature centers, maintenance facilities, sheds, shelters, and office buildings. Park priorities are based on the assessment of current repair needs including safety and health issues, facility protection, facility renewal and improved services. This program also provides for emergency repairs associated with the stabilization of newly acquired structures and the preservation of park historic sites. The FY 2027 funding level represents a decrease of \$395,000 from the FY 2026 Adopted Budget Plan due to a reallocation of funding to the Infrastructure and Amenity Upgrades program to better align expenses within the projects.
- An amount of \$1,073,000 is included for Forestry Operations. This level of funding is consistent with the FY 2026 Adopted Budget Plan. This funding is required to support contracted services for forestry and tree remediation operations enabling the Park Authority's ability to address high risk/high priority trees threatening life and property.
- An amount of \$712,677 is provided for annual grounds maintenance requirements at non-revenue supported parks. This level of funding represents an increase of \$375,677 from the FY 2026 Adopted Budget Plan including \$177,580 to address contract rate increases and \$198,097 to support maintenance and stabilization at new facilities within the Park Authority. The Park Authority is responsible for the care of 23,869 acres of land, with 424 park locations. This funding is used for mowing and other ground maintenance.
- An amount of \$1,581,355 is included for improvements and repairs to park facilities and amenities including playgrounds, trails and bridges, athletic courts, fences, picnic shelters, parking lots, and roadways. In addition, funding will provide for annual reinvestment to 342 miles of trails and replacement of un-repairable wooden bridges with fiber glass bridges to meet County code. The FY 2027 funding level represents an increase of \$799,355 from the FY 2026 Adopted Budget Plan level to address contract rate increase of \$177,580, a reallocation of funding of \$395,000 from the Facilities Reinvestment program and \$200,000 from the Preventative Maintenance and Inspections project to better align expenses within these projects.
- An amount of \$599,252 is included to provide corrective and preventive maintenance and inspections at over 584,000 square feet at non-revenue supported Park Authority structures and buildings. This maintenance includes the scheduled inspection and operational maintenance of HVAC, plumbing, electrical, security and fire alarm systems. Annual funding is critical to prevent the costly deterioration of facilities due to lack of preventative maintenance. This funding level represents a net decrease of \$151,748 from the FY 2026 Adopted Budget Plan including an increase of \$48,252 to address contract rate increases and a decrease of \$200,000 due to a reallocation of funding to the Preventative Maintenance and Inspections program to better align expenses within the projects.

Parks Americans with Disabilities Act (ADA) Improvements

- FY 2027 funding in the amount of \$300,000 is included for the continuation of ADA improvements and is consistent with the FY 2026 Adopted Budget Plan level of funding. The Park Authority continues to improve ADA compliance including adjustments required to parking lots, curb cuts, restrooms, athletic field seating, and picnic shelter access.

Joint CIP Committee Recommendations

County Infrastructure Replacement and Upgrades

In February 2020, the Board of Supervisors and the School Board established a joint CIP working group to review the County's existing Financial Policies, consider the financing options available for capital projects, understand the capital project requirements identified for both the County and Schools, and evaluate the CIP and capital processes. The Committee arrived at a series of recommendations, which included gradually increasing General Obligation Bond Sale limits from \$300 million to \$400 million annually; dedicating the equivalent value of one penny on the Real Estate tax rate to the County and School capital program to support both infrastructure replacement and upgrade projects and debt service on the increased annual sales; and increasing the percentage allocated to the Capital Sinking Fund at year-end, as well as including Schools in the allocation.

All of the Committee's recommendations have now been implemented. The General Obligation Bond Sale limits have been raised to \$400 million annually; the allocation to the Sinking Fund has been raised to 30 percent of year end balances and FCPS has been included in the allocation formula; and in the FY 2027 Advertised Budget Plan, the recommendation to dedicate the value of one penny has also been reached. An investment totaling \$20 million, split equally between the County and Schools is included and when coupled with the incremental debt service increase of \$24.5 million from the higher bond sale limits, there is a total of \$44.5 million allocated, exceeding one penny on the real estate tax rate.

- An amount of \$10,000,000 is included in FY 2027 to address priority category F projects. Funding will support an electrical distribution system replacement, HVAC and plumbing replacements, two elevator modernizations, a roof replacement, and building automation and generator replacements. In addition, an amount of up to \$12,585,000 is proposed to be funded as part of a future quarterly review for a total of \$22,585,000 to support the most critical FY 2027 identified projects. In recent years, it has been the Board of Supervisors' practice to fund some or all the infrastructure replacement and upgrade projects using one-time funding as available as part of quarterly reviews. Analysis of these requirements is conducted annually, and projects may shift categories, become an emergency and be funded by the emergency systems failures project, or be eliminated based on other changes, such as a proposed renovation project.

Capital General Obligation Bond Program

The Board of Supervisors annually reviews the cash requirements for capital project financing to determine the capacity to incur additional debt for construction of currently funded projects as well as those capital projects in the early planning stages. The bond capital program is reviewed annually by the Board of Supervisors in association with the Capital Improvement Program (CIP) and revisions are made to cashflow estimates and appropriation levels as needed. The CIP is designed to balance the need for public facilities as expressed by the countywide land use plan with the fiscal capability of the County to meet those needs. The CIP serves as a general planning guide for the construction of general purpose, school, and public facilities in the County. The County's ability to support the CIP is entirely dependent upon and linked to the operating budget.

The Virginia Constitution requires that long-term debt pledged by the full faith and credit of the County can only be approved by voter referendum. There is no statutory limit on the amount of debt the voters can approve. It is the County's own policy to manage debt within the guidelines identified in the *Ten Principles of Sound Financial Management*. The *Ten Principles* specifically indicate that

debt service expenditures as a percentage of General Fund disbursements should remain under 10 percent and that the percentage of debt to estimated market value of assessed property should remain under 3 percent. The County continues to maintain these debt ratios with debt service requirements as a percentage of General Fund disbursements at 6.43 percent, and net debt as a percentage of market value at 0.95 percent as of June 30, 2025.

In FY 2027, an amount of \$273,700,000 is included in General Obligation Bond funding. Specific funding levels include:

- Funding in the amount of \$230,000,000 is included for various school construction projects financed by General Obligation Bonds. For details of the specific proposed school projects, see the [Fairfax County Public School's Capital Improvement Program](#).
- Funding in the amount of \$43,700,000 is included to support the 128-mile Metrorail system as well as to maintain and/or acquire facilities, equipment, railcars, and buses.

Affordable Housing Development

The Affordable Housing Program is designed to serve as a local funding source with the flexibility to preserve and promote the development of affordable housing. From FY 2006 through 2009, the Board of Supervisors (BOS) dedicated the value of one cent of the Real Estate Tax to affordable housing. In FY 2010, the BOS reduced it to a half cent to balance the budget but restored this cut to one cent in FY 2023. In FY 2022, the BOS doubled its housing production goal from 5,000 to 10,000 units serving households at or below 60 percent area median income (AMI). As part of the [FY 2026 Adopted Budget Plan](#), an additional one quarter of a cent was added to support affordable housing, thus bringing the contribution commensurate with the total value of \$0.0125 on the Real Estate tax.

In FY 2027, revenue totals \$49,829,288 and is comprised of \$43,940,788 in Real Estate Tax Revenue and \$5,888,500 in operating revenue from property cashflow and loan repayments. FY 2027 funding is allocated as follows: \$1,436,274 for Affordable/Workforce Housing, \$38,189,740 for the Housing Blueprint project, \$1,400,000 for Planning and Needs Assessments, \$3,914,774 for the Rental Subsidy and Services Program, and \$4,888,500 for Wedgewood Debt Service.

County and Regional Transportation Projects

County and Regional Transportation Projects supports the County's implementation of new transportation projects and is funded by the commercial and industrial real estate tax for transportation and Northern Virginia Transportation Authority (NVTA) local tax revenues. The taxing authority for commercial and industrial real property was authorized under the Transportation Funding and Reform Act of 2007 (HB 3202). This revenue helps accelerate the County's implementation of roadway, transit, and pedestrian projects. HB 3202 allows localities to assess a tax on the value of commercial and industrial real estate and to use the proceeds on new transportation improvements. The County's FY 2027 rate is \$0.125 per \$100 of assessed value (the maximum allowed per state code), which will generate approximately \$60.6 million in revenue. This estimate is based on current projections in the commercial real estate market.

In 2013, the Virginia General Assembly approved HB 2313, a transportation funding package. The bill included regional components for planning districts that meet certain thresholds (population, registered vehicles, and transit ridership). Northern Virginia meets these criteria for the imposition of increases on Sales, Grants, and Transient Occupancy taxes. The bill mandated that 70 percent of this regional funding be allocated by NVTA, with the remaining 30 percent provided to the individual localities embraced within NVTA for their determination. In FY 2027, HB2313 is expected

to generate \$63.5 million for Fairfax County, including just under \$2.3 million combined for the Towns of Herndon and Vienna.

FY 2027 funding of \$49,517,553 is included for capital projects and the metro capital program contribution. Of this amount, funding of \$36,517,553 is included for priority projects supported by commercial and industrial tax revenue and funding received from the Northern Virginia Transportation Authority (NVTA), consistent with the transportation priorities periodically updated and approved by the Board of Supervisors. This amount also includes portions of NVTA local funding allocated to the Towns of Herndon and Vienna. Funding in the amount of \$13,000,000 is included to address Metro capital funding requirements through the redirection of Grantors Tax and Transient Occupancy Tax revenues under HB 1539/SB 856.

Stormwater Management Program

Stormwater Services are essential to protect public safety, preserve property values, and support environmental mandates, such as those aimed at protecting the Chesapeake Bay and the water quality of local jurisdictional waterways. Projects include repairs to stormwater infrastructure; measures to improve water quality, such as stream stabilization, rehabilitation, safety upgrades of state regulated dams, repair and rehabilitation of underground pipe systems and surface channels, flood mitigation, site retrofits and best management practices (BMP); and other stormwater improvements.

The Board of Supervisors approved a special service district to support the Stormwater Management Program and provide a dedicated funding source for both operating and capital project requirements by levying a service rate per \$100 of assessed real estate value, as authorized by Code of Virginia Ann. Sections 15.2-2400. Since this fund was established, staff have made significant progress in the implementation of watershed master plans, public outreach efforts, stormwater monitoring activities, water quality and flood mitigation project implementation, and operational maintenance programs related to existing storm drainage infrastructure including stormwater conveyance and regulatory requirements.

Staff continue to assess the appropriate service rate required to fully support the stormwater program now and, in the future, to address the growth in inventory and other community needs. Some of the additional community needs under evaluation include additional flood mitigation projects to reduce flood risk and projects to prevent stream erosion. As the program evolves, data indicates incremental changes may be needed to the rate over time, potentially resulting in a higher rate to fully support the program. Staff continue to evaluate these requirements and analyze the impact of increased real estate values on revenue projections.

While staff continue to further evaluate the impact of recent initiatives and the long-term requirements for the Stormwater Program, the FY 2027 rate will remain the same as the FY 2026 Adopted Budget Plan level of \$0.0325 per \$100 of assessed value. However, it is anticipated that in the next several years, incremental rate increases may be required based on continued growth of the stormwater system, the increased implementation of flood mitigation projects, and additional requirements in the Municipal Separate Storm Sewer System (MS4) Permit reissued in January 2024.

FY 2027 funding will support \$78,519,185 for capital project implementation including infrastructure reinvestment, regulatory requirements, dam safety, and contributory funding requirements. Specific funding levels in FY 2027 include:

- Funding in the amount of \$15,500,000 is included for Conveyance System Inspections, Development, and Rehabilitation in FY 2027, including \$4,000,000 for inspections and development, and \$11,500,000 for conveyance system maintenance, rehabilitation, and outfall restoration. The County owns and operates 1,620 miles of underground stormwater pipes and improved channels with an estimated replacement value of over one billion dollars. County staff continue to perform internal inspections of all the stormwater pipes. The initial results show that approximately four percent of the pipes exhibit conditions of failure, and an additional two percent require maintenance or repair. MS4 Permit regulations require inspection and maintenance of these existing conveyance systems, as well as 66,800 stormwater structures, and a portion of the immediate downstream channels at the 7,000 regulated pipe outlets. Investing in this infrastructure is crucial, as an estimated seven dollars invested in the asset's life saves 70 dollars if asset failure were to occur. The goal of this program is to inspect pipes on a 10-year cycle and rehabilitate pipes and improve outfall channels before total failure occurs. This proactive approach ensures long-term resilience and protection of the County's assets.
- Funding in the amount of \$18,500,000 is included for Dam Safety and Facility Rehabilitation, including \$10,500,000 for dam rehabilitation and \$8,000,000 for dam maintenance. There are approximately 9,500 stormwater management facilities in service, ranging from small rain gardens to large state-regulated flood control dams. The County oversees the inspection of approximately 7,000 privately-owned facilities and maintains over 2,500 County owned facilities. As new development and redevelopment continue within the County, this inventory grows by 500 new facilities each year. The inventory now includes 27 water quality swales under the raised tracks located in VDOT right-of-way at the Silver Line Metro system stations. The program also includes the rehabilitation of aging infrastructure based on condition assessments and risk management priorities, ensuring continued performance and regulatory compliance. Each year, approximately 50 projects are undertaken requiring design, construction management, contract management, and long-term maintenance. Additionally, this program ensures the safety and functionality of dams and other structures that manage water flow through County-owned facilities. It supports the annual inspection of 20 state-regulated dams, as well as the Huntington Levee, and oversees the development and annual updating of Emergency Action Plans (EAPs) as mandated by the state. These EAPs include annual emergency drills, exercises, flood monitoring, and capital repair and rehabilitation efforts across the County's stormwater system. The County owns and operates a variety of facilities, including dams, green infrastructure, underground detention systems, and proprietary treatment devices with an estimated replacement value exceeding \$500 million.
- Funding in the amount of \$13,000,000 is included for Emergency and Flood Response Projects. This program supports flood control projects designed to mitigate flooding events that impact storm systems and have the potential to cause structural flooding. The program provides annual funding for scoping, design, and construction activities related to flood mitigation projects. These efforts are essential for protecting communities from the increasing risks associated with extreme weather events.

- Funding in the amount of \$1,000,000 is included for the preservation of Lake Accotink. On January 23, 2024, the Board of Supervisors approved a path forward to preserve Lake Accotink with the goal of ensuring its sustainability for future generations. Lake Accotink is a 55-acre lake located in a managed conservation area that includes wetlands, deciduous and evergreen forests, as well as historic and pre-historic cultural sites. Over the years, significant sediment deposition from upstream sources has severely reduced the lake's depth and surface area. The Board recognized the need for additional studies and analyses to evaluate options for the long-term preservation of Lake Accotink as a smaller lake. Key components include dredging the lake to maintain its reduced size, repurposing dredged material on-site, and the potential creation of wetland and grassland areas. The Smaller Lake Accotink Preservation Feasibility Study aims to better understand the conditions within Accotink Creek and Lake Accotink, while exploring the best methods for preserving a 20 to 40-acre lake at a depth of four to eight feet. To support these efforts, the Board reaffirmed its commitment to allocating \$60.5 million for the preservation of Lake Accotink, with funding provided through the Virginia Clean Water Revolving Loan Fund (VCWRLF).
- Funding in the amount \$4,000,000 is included for the Stormwater Regulatory Program. The County is required by federal law to operate under the conditions of a state-issued MS4 Permit. Stormwater staff annually evaluate funding required to meet the increasing federal and state regulatory requirements pertaining to the MS4 Permit and state and federal mandates associated with controlling water pollution delivered to local streams and the Chesapeake Bay. The MS4 Permit allows the County to discharge stormwater from its stormwater systems into state and federal waters. Of the 15,000 stormwater outfalls in the County, approximately 6,840 are regulated outfalls covered by the permit. The permit was recently reissued in January 2024. The permit requires the County to inspect, maintain, and document the stormwater management facility inventory, enhance public outreach and education efforts, continue water quality monitoring efforts, and provide stormwater management and stormwater control training to all appropriate County employees. The permit requires the County to implement sufficient stormwater projects that will reduce nutrients and sediment to comply with the Chesapeake Bay and local stream Total Maximum Daily Load (TMDL) requirements.
- Funding in the amount of \$1,250,000 is included for the Stormwater Allocations to Towns project. On April 18, 2012, the State Legislature passed SB 227, which entitles the Towns of Herndon and Vienna to all revenues collected within their boundaries by Fairfax County's stormwater service district. An agreement was developed whereby the Towns remain part of the County's service district and the County returns 25 percent of the revenue collected from properties within each Town. This allows for the Towns to provide services independently, such as maintenance and operation of stormwater pipes, manholes, and catch basins. The remaining 75 percent remains with the County and the County takes on the responsibility for the Towns' Chesapeake Bay TMDL requirements as well as other TMDL and MS4 requirements. This provides for an approach that is based on watersheds rather than on jurisdictional lines.
- Funding in the amount of \$722,064 is included for the County's contribution to the Northern Virginia Soil and Water Conservation District (NVSWCD). The NVSWCD is an independent subdivision of the Commonwealth of Virginia that provides leadership in the conservation and protection of Fairfax County's soil and water resources. The goal of the NVSWCD is to continue to improve the quality of the environment and general welfare of the citizens of Fairfax County by providing them with a means of dealing with drainage and flooding issues, water conservation, and related natural resource problems.

- Funding in the amount of \$232,903 is included for the County's contribution to the Occoquan Watershed Monitoring Program (OWMP). The OWMP and the Occoquan Watershed Monitoring Laboratory (OWML) were established to ensure that water quality is monitored and protected in the Occoquan Watershed, which is an important drinking water source. The OWMP plays a critical role as the unbiased interpreter of basin water quality information.
- Funding in the amount of \$750,000 is included for grant contributions to support additional projects selected through NVSWCD-administered grant programs including the Conservation Assistance Program (CAP), Virginia Conservation Assistance Program (VCAP), and Flood Mitigation Assistance Program (FMAP). CAP and VCAP provide cost-share and technical assistance for the voluntary installation of environmental Best Management Practices (BMP) to improve private drainage and erosion issues, improve water quality, and support long-term stewardship of the County watersheds by building awareness of the importance of watershed protection. Since July 1, 2024, FMAP has offered applicants 50 percent reimbursement, up to \$5,000, for the cost of practices and/or projects that protect their properties from flood damage. The programs align with the County's watershed management plans that suggest establishing a cost share program with property owners.
- Funding in the amount of \$1,589,287 is included in FY 2027 to support the debt service for the Stormwater/Wastewater Facility. Interest funding received, to date, in the amount of \$2,591,338 and new funding in the amount of \$1,589,287 will provide for the total FY 2027 requirement of \$4,180,625 for debt service payments associated with the Stormwater/Wastewater facility. Debt service will support funding for the Stormwater/Wastewater Facility, which will consolidate operations and maximize efficiencies between the Stormwater and Wastewater Divisions. Currently, Stormwater operations are conducted from various locations throughout the County, with the majority of staff located at the West Drive facility. Facilities for field maintenance operations and for field/office-based staff are inadequate and outdated for the increased scope of the stormwater program, and inadequate to accommodate future operations. This project is currently under construction and is scheduled to be completed in fall 2026. The facility is financed by EDA bonds with the Stormwater Services Fund and Wastewater Fund supporting the debt service.
- Funding in the amount of \$21,974,931 is included for Stream and Water Quality Improvements. This program funds water quality improvement projects necessary to mitigate the impacts to local streams and the Chesapeake Bay resulting from urban stormwater runoff. This includes water quality projects, such as retrofit of stormwater management ponds, implementation of green stormwater infrastructure facilities, stream restoration, and water quality projects. These projects will aid in the reduction of pollutants and improve water quality in County streams, many of which are considered to be in fair to very poor condition and likely do not meet Federal Clean Water Act water quality standards. Additionally, TMDL requirements for local streams and the Chesapeake Bay serve as regulatory drivers mandating the reduction of pollutants entering impaired water bodies. The Chesapeake Bay TMDL, established by the Environmental Protection Agency (EPA), requires MS4 permittees to implement measures to reduce the amount of nitrogen, phosphorous, and sediment discharges into waters draining to the Bay. MS4 permittees must achieve 40 percent of the total required reductions by June 30, 2026, and 100 percent of the total required reductions by June 30, 2028. MS4 permittees are required to construct new stormwater facilities and retrofit existing facilities and properties. EPA continually

updates the Chesapeake Bay compliance reductions, which means additional projects may need to occur to achieve compliance. In addition to being required to meet the Chesapeake Bay TMDL reductions, the current MS4 Permit requires the County to develop, implement, and update action plans to address local impairments.

Wastewater Management System

The Fairfax County Wastewater Management Program includes approximately 3,300 miles of sanitary sewer lines, 70 pumping stations, and 57 flow-metering stations. Total FY 2027 funding is \$80,000,000, including support for the following projects:

- Funding in the amount of \$2,000,000 is included to continue the systematic rehabilitation of the County's approximately 3,300 miles of sanitary sewer lines, 70 pumping stations, and 57 flow-metering stations.
- Funding in the amount of \$14,000,000 is included for the inspection, repair, and replacement of gravity sewers within the wastewater collection system. FY 2027 funding is provided for the closed-circuit television (CCTV) inspection of more than 200 miles of sewer and rehabilitation of gravity sewers using trenchless methods. The County plans to rehabilitate approximately 16 miles of gravity sewer pipes in FY 2027. In addition, funding is provided for the repair and replacement of defective and aging gravity sewers, including emergency repair work. New initiatives for FY 2027 include inspection and repair of gravity sewers in stream beds.
- Funding in the amount of \$36,000,000 is included for the continuation of systematic rehabilitation of structures and equipment at the Noman M. Cole, Jr. Water Recycling Facility (NCWRF). FY 2027 funding will provide for the rehabilitation and replacement of pumps, gates, and valves, continuation of the rehabilitation of the solids processing buildings, odor control improvements, and raw wastewater pump station facility.
- Funding in the amount of \$24,000,000 is included for the planned replacement of pumping stations throughout the County. FY 2027 funding of \$22,000,000 will provide for the regularly scheduled repair, renovation, and replacement of pumping station equipment and facilities. There are six pumping stations in the design phase and five pumping stations in the construction phase in FY 2027. Funding of \$1,000,000 will support two force main projects in the design phase, and three force main projects that are in the construction phase in FY 2027. Finally, \$1,000,000 will support the Integrated Sewer Metering project including the rehabilitation of 22 interjurisdictional and billing wastewater flow meter sites maintained by WCD's Pump Station Branch. This project is currently in the design phase, which will end in FY 2026. Construction is planned for FY 2027.
- Funding in the amount of \$4,000,000 is included for sanitary sewer relocations and improvements that are included as part of existing outside agency (Virginia Department of Transportation, Virginia Passenger Rail Authority, Fairfax County Department of Transportation, Fairfax Water, etc.) construction projects and are required by the Department of Public Works and Environmental Services.

Other Financing

Funding in the amount of \$86,673,711 includes \$4,017,836 that is associated with the athletic services fees discussed previously. The remaining \$82,655,875 supports various other projects financed by other sources of revenue. Specific funding levels in FY 2027 include:

Special Revenue:

- Funding of \$22,323,988 is included for the County Transit Systems Fund for capital projects and for the purchase of new low emission diesel-electric hybrid buses replacing existing diesel buses that are due for retirement from service.
- Funding of \$380,000 is included for capital improvements to locker rooms and an exterior-building switchboard.
- Funding of \$22,000 is included to replace the follow spotlights at the Alden Theatre.
- Funding of \$13,748,587 is included for the Metrorail Parking System Pledged Revenue Fund for capital projects, primarily to pay the debt service on the Herndon Station Parking Garage, the Innovation Center Station Parking Garage, and the Wiehle-Reston East Metrorail Station Parking Garage not covered by ground rent and parking fees.
- Funding of \$350,000 is included for infrastructure improvements to the Newington Refuse Collection facility.
- Funding of \$5,770,793 is included to support civil work, site renovation, and environmental compliance requirements at the I-66 Transfer Station and capital and environmental compliance requirements at the I-95 Landfill Complex.
- Funding of \$1,105,000 is included to support capital improvement and environmental compliance projects at the I-95 Landfill Complex.

Housing:

- Funding of \$653,828 is included for Feasibility and Site Work Studies to support ongoing and new affordable housing projects.
- Funding of \$1,000,000 is included for the Homeownership Program to cover expenses associated with the purchase and resale of affordable dwelling units.

Other:

- Funding in the amount of \$37,301,679 is included for various school construction projects financed from a state construction grant, Parent Teachers Association/Parent Teacher Organization receipts, and transfers from Fund S31000, Public School Construction. For more details, see the Fairfax County Public School's FY 2027 Superintendent's Proposed Budget.

Capital Construction and Operating Expenditure Interaction

To maintain a balanced budget, annual revenues are projected and operating and capital construction expenditures are identified to determine the County's overall requirements and funding availability. Funding levels for capital construction projects are based on the merits of a particular project together with the available funding from all financing sources, with primary reliance on General Obligation bonds. The Board of Supervisors annually reviews cash requirements for capital project financing. The County's capital program has a direct impact on the operating budget, particularly in association with the establishment and opening of new facilities. The Board of Supervisors continues to be cognizant of the effect of the completion of capital projects on the County's operating budget. The cost of operating new or expanded facilities or infrastructure is included in the fiscal year the facility becomes operational. However, in some cases, like the construction of the expanded and renovated Courthouse, the operating impact may be absorbed gradually over several years. For example, costs associated with loose and systems furniture, moving expenses, providing for additional security and staffing, renovating existing courtrooms, implementing new courtroom technology, and setting up an Operations and Maintenance satellite shop with staff dedicated to the Courthouse facility are all costs that can be phased in over time, thus spreading the operating impact over a number of years, rather than concentrating costs in the fiscal year the facility opens.

Capital projects can impact future operating budgets either positively or negatively due to an increase or decrease in maintenance costs, or by providing capacity for new programs or services. Such impacts vary widely from project to project and, as such, are evaluated individually. Operating costs resulting from the completion of a capital project differ greatly depending on the type of capital project and construction delays. A new facility, for example, will often require additional staff, an increase in utility costs, and increases in custodial, security, and maintenance contracts. Conversely, a capital project that renovates an existing facility may reduce operating expenditures due to a decrease in necessary maintenance and utility costs. For example, funding HVAC and electrical system repair or replacement projects has the potential to reduce operating expenditures by reducing costly maintenance and staff time spent addressing critical system repairs. The same is true for projects such as fire alarms, emergency generators, and carpet replacement, as well as roof repairs. Investing in aging and deteriorating building systems and components can alleviate the need for future expenditures, often resulting in significant cost avoidance. Additionally, if a system failure should occur, there is the potential that a County facility must shut down, suspending services to citizens, and disrupting County business. The County's emphasis on capital renewal and preventative maintenance works to ensure these kinds of interruptions are avoided.

New, Renovated, or Expanded County Facilities

The opening of new County facilities results in a wide range of operating costs. For example, equipment and furniture, books, additional staff, and an increase in utility costs may all be necessary to prepare for the opening of a new library or extensive library expansion/renovation. These costs are estimated as the project is developed and included in the appropriate agency budget in the year the facility becomes operational. The following FY 2027 costs have been budgeted to support multi-year phased opening of facilities or facilities that are scheduled to open during FY 2027.

Facility	Additional Positions	Estimated Net Operating Costs
Facilities Management Department – New/Expend Facilities	2/2.0 FTE	\$882,812
Facilities Management Department – Residential Facilities Maintenance	6/6.0 FTE	1,000,000
FCPS School Health Nurse for New School	1/1.0 FTE	133,889
Park Authority – Maintenance, Stabilization, and Staffing for New Facilities	7/7.0 FTE	1,293,683
Park Authority – Zero Waste Initiatives Program	12/12.0 FTE	1,218,433
The Commons Mount Vernon (aka Original Mount Vernon High School Redevelopment)	15/15.0 FTE	1,809,243
Total FY 2027 Costs	43/43.0 FTE	\$6,338,060

The following facilities are scheduled to open in the near future and may require additional staffing and operational costs. Requests for funding will be reviewed as part of the development of the annual budget in the year the facility becomes operational. Many facilities are in the pre-design phase or have recently been approved for funding and the completion dates are not yet developed.

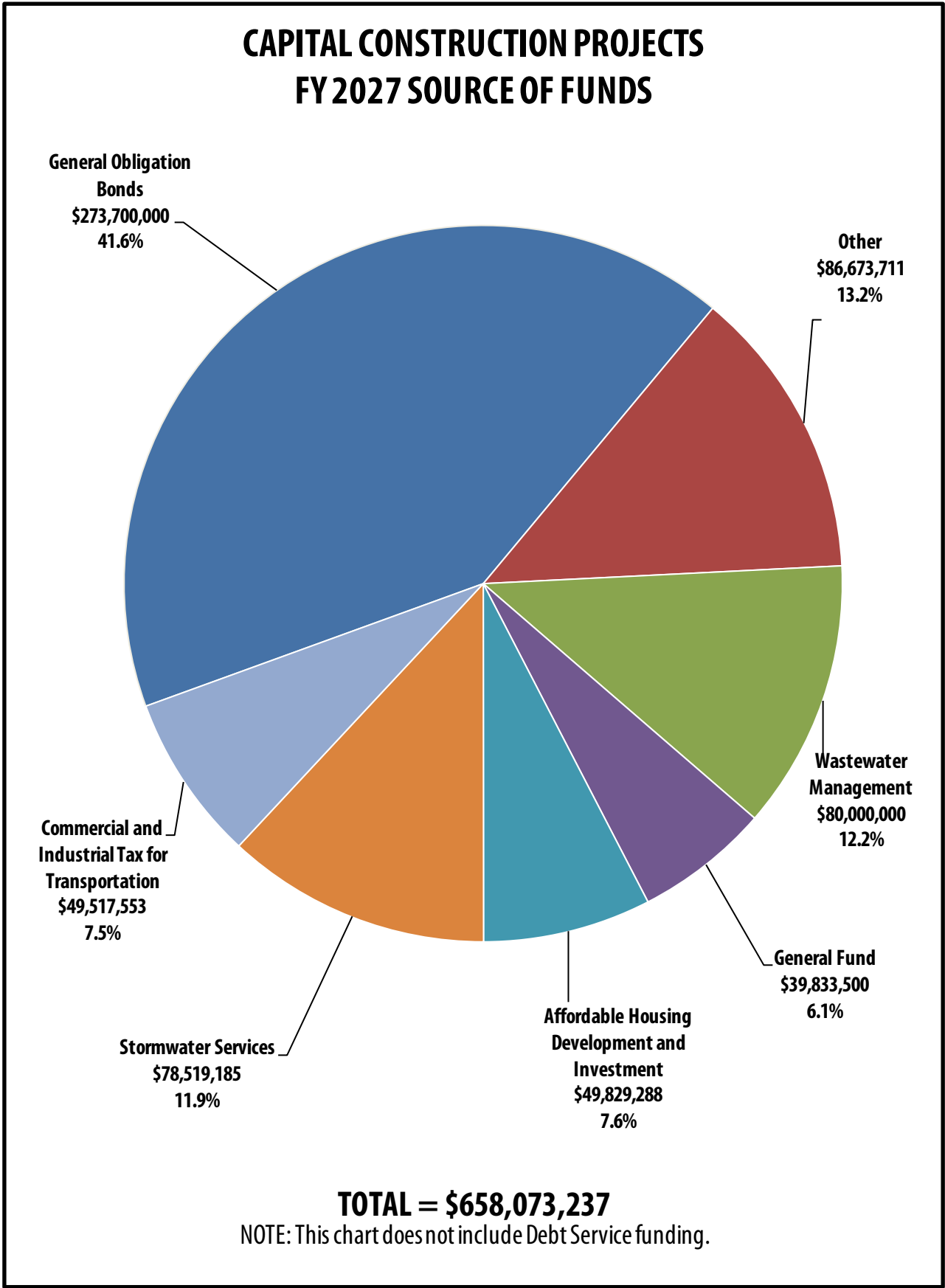
Facility	Projected Completion Date
Adult Detention Center Renovation	TBD
Audrey Moore Rec Center	February 2030
Crossroads	December 2028
Courtroom Renovations	July 2026
Criminal Justice Academy	TBD
Eleanor Kennedy Shelter	February 2030
Embry Rucker Shelter	TBD
Fairview Fire Station	May 2027
Fox Mill Fire Station	TBD
George Mason Library	April 2028
Gunston Fire Station	June 2027
Hybla Valley Childcare Center	March 2028
Judicial Annex (Building One)	TBD
Mason Police Station	August 2027
Oakton Fire Station Upgrades	April 2027

Capital Projects Overview

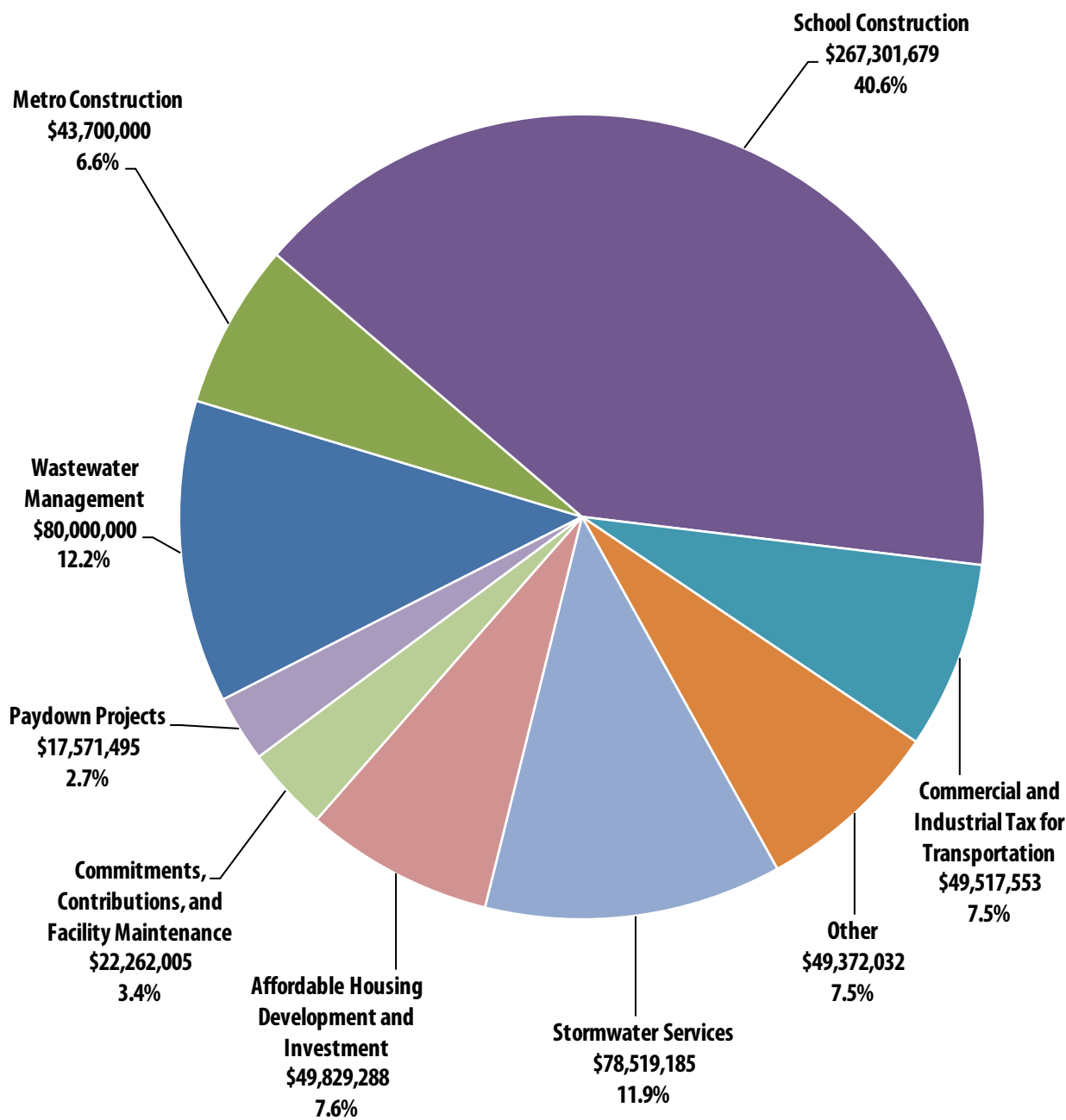
Facility	Projected Completion Date
Patrick Henry Library	February 2028
Patrick Henry Shelter	June 2027
Penn Daw Fire Station	February 2030
Reston Regional Library	TBD
Stormwater/Wastewater Facility	December 2026
The Commons (aka Original Mount Vernon High School Redevelopment)	December 2026
Tysons Community Center	December 2027
Tysons Fire Station	May 2030
West Annandale Volunteer Fire Station	August 2028
Willard-Sherwood Health and Community Center	May 2029
Youth Treatment Facility	TBD

Summary of FY 2027 Capital Construction Program

Major segments of the County's FY 2027 Capital Construction Program are presented in several pie charts that follow to visually demonstrate the funding sources for capital expenditures. Capital construction expenditures by fund are shown in the Summary Schedule of FY 2027 Funded Capital Projects. For additional information, see the Capital Project Funds section of the Capital Construction and Other Operating Funds in Volume 2. Detailed information concerning capital projects in Fund S31000, Public School Construction, can be found in the Fairfax County Public School's FY 2027 Proposed Budget.



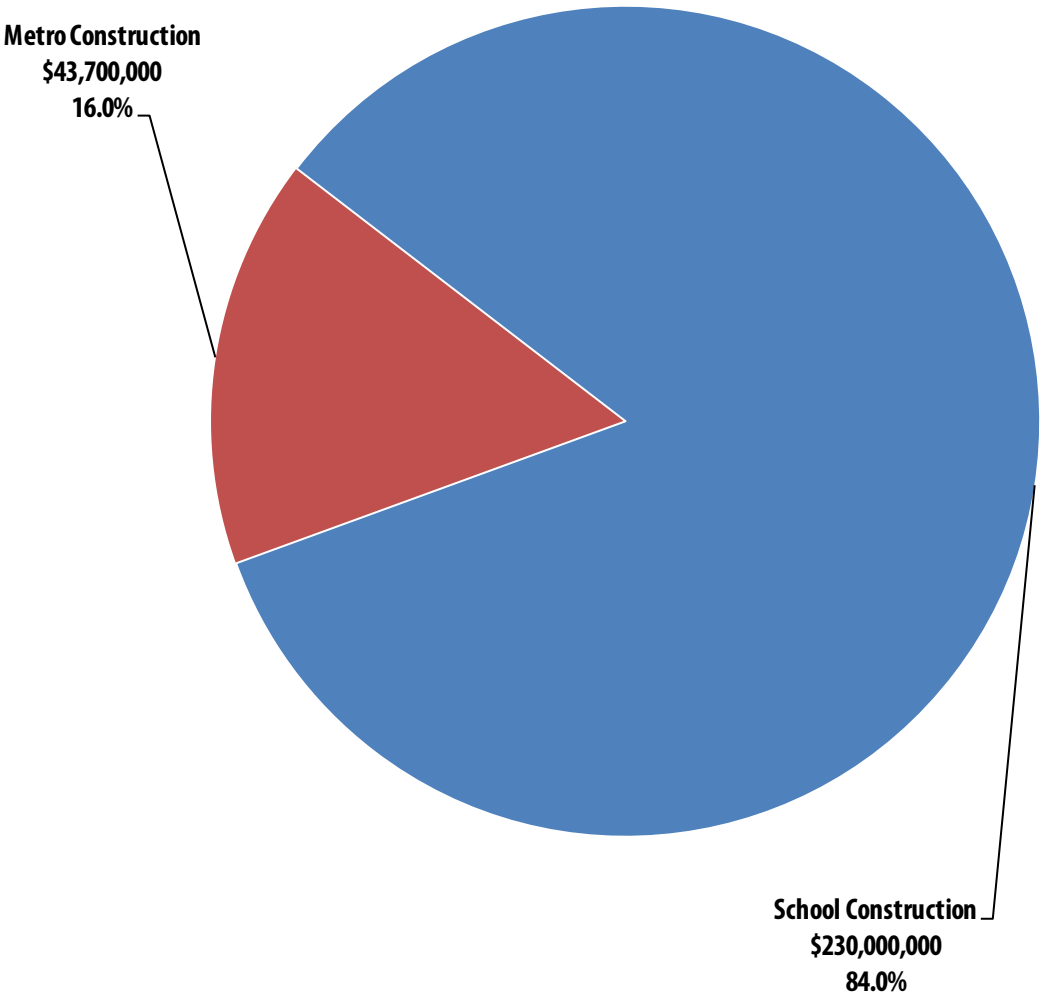
CAPITAL CONSTRUCTION PROJECTS FY 2027 EXPENDITURES



TOTAL = \$658,073,237

NOTE: This chart does not include Debt Service funding.

**GENERAL OBLIGATION BOND FINANCED
CAPITAL PROJECTS
FY 2027 EXPENDITURES**



TOTAL = \$273,700,000

SUMMARY SCHEDULE OF FY 2027 FUNDED CAPITAL PROJECTS

Fund/Title	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	FY 2027 FINANCING			
					General Obligation Bonds ¹	General Fund	Federal/ State Aid	Other ²
SPECIAL REVENUE FUNDS³								
40000 County Transit Systems	\$4,873,080	\$7,200,000	\$59,219,284	\$22,323,988	\$0	\$0	\$22,323,988	\$0
40010 County and Regional Transportation Projects	137,461,361	52,133,274	864,399,089	49,517,553	0	0	0	49,517,553
40050 Reston Community Center	1,120,184	460,000	2,262,794	380,000	0	0	0	380,000
40060 McLean Community Center	1,054,513	68,000	1,379,238	22,000	0	0	0	22,000
40100 Stormwater Services	81,476,313	77,287,769	289,194,617	78,519,185	0	0	0	78,519,185
40125 Metrorail Parking System Pledged Revenues	13,463,627	13,328,863	13,426,777	13,748,587	0	0	0	13,748,587
40140 Refuse Collection and Recycling Operations	268,085	445,000	445,000	350,000	0	0	0	350,000
40150 Refuse Disposal	1,825,238	3,195,000	3,375,000	5,770,793	0	0	0	5,770,793
40170 I-95 Refuse Disposal	309,696	3,580,000	3,580,000	1,105,000	0	0	0	1,105,000
40180 Tysons Service District	67,791	0	38,605,099	0	0	0	0	0
40190 Reston Service District	0	0	4,332,914	0	0	0	0	0
40400 Park General Operations and Capital ⁴	0	0	54,600,104	17,019,974	0	13,002,138	0	4,017,836
Subtotal	\$241,919,888	\$157,697,906	\$1,334,819,916	\$188,757,080	\$0	\$13,002,138	\$22,323,988	\$153,430,954
DEBT SERVICE FUNDS								
20000 Consolidated County and Schools Debt Service Fund	\$364,313,776	\$380,281,017	\$380,835,275	\$398,954,618	\$0	\$392,423,452	\$0	\$6,531,166
Subtotal	\$364,313,776	\$380,281,017	\$380,835,275	\$398,954,618	\$0	\$392,423,452	\$0	\$6,531,166
CAPITAL PROJECTS FUNDS								
30000 Metro Operations and Construction ⁵	\$44,148,698	\$45,500,000	\$42,500,000	\$43,700,000	\$43,700,000	\$0	\$0	\$0
30010 General Construction and Contributions	96,576,819	30,910,536	284,095,708	14,881,362	0	14,881,362	0	0
30015 Environmental and Energy Program	9,433,902	1,300,000	41,532,021	1,300,000	0	1,300,000	0	0
30020 Infrastructure Replacement and Upgrades	15,507,126	2,500,000	139,994,683	10,000,000	0	10,000,000	0	0
30030 Library Construction	11,125,724	0	73,601,079	0	0	0	0	0
30040 Contributed Roadway Improvements	11,939,951	0	52,471,208	0	0	0	0	0
30050 Transportation Improvements	13,619,320	500,000	92,662,188	650,000	0	650,000	0	0
30070 Public Safety Construction	43,381,154	0	324,678,042	0	0	0	0	0
30400 Park Authority Bond Construction	29,235,844	0	76,314,852	0	0	0	0	0
S31000 Public School Construction	240,750,945	262,846,013	602,212,166	267,301,679	230,000,000	0	0	37,301,679
Subtotal	\$515,719,483	\$343,556,549	\$1,730,061,947	\$337,833,041	\$273,700,000	\$26,831,362	\$0	\$37,301,679

SUMMARY SCHEDULE OF FY 2027 FUNDED CAPITAL PROJECTS

Fund/Title	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	FY 2027 FINANCING			
					General Obligation Bonds ¹	General Fund	Federal/ State Aid	Other ²
HOUSING FUNDS								
30300 Affordable Housing Development and Investment	37,667,930	48,641,801	168,279,142	49,829,288	0	0	0	49,829,288
40300 Housing Trust Fund	9,415,665	1,597,669	23,859,385	1,653,828	0	0	0	1,653,828
Subtotal	\$47,083,595	\$50,239,470	\$192,138,527	\$51,483,116	\$0	\$0	\$0	\$51,483,116
ENTERPRISE FUNDS								
69300 Sewer Construction Improvements	\$94,399,195	\$100,000,000	\$182,607,699	\$80,000,000	\$0	\$0	\$0	\$80,000,000
69310 Sewer Bond Construction	99,159,721	228,500,000	333,885,431	0	0	0	0	0
Subtotal	\$193,558,916	\$328,500,000	\$516,493,130	\$80,000,000	\$0	\$0	\$0	\$80,000,000
TOTAL	\$1,362,595,658	\$1,260,274,942	\$4,154,348,795	\$1,057,027,855	\$273,700,000	\$432,256,952	\$22,323,988	\$328,746,915

¹ The sale of bonds is presented here for planning purposes. Actual bond sales are based on cash needs in accordance with Board policy.

² Other financing includes developer contributions and payments, sewer system revenues, transfers from other funds, pro rata deposits, special revenue funds, and fund balances.

³ Reflects the capital construction portion of total expenditures.

⁴ This is a new fund created as part of the *FY 2025 Carryover Review* to provide additional transparency and flexibility by combining General Fund supported operational and capital project funding within one consolidated fund.



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Trends and Demographics



FY 2027

Advertised Budget Plan

Trends and Demographics

Household Tax Analyses

The following analyses illustrate the impact of selected County taxes on the "typical" household from FY 2021 to FY 2027. This period provides five years of actual data, estimates for FY 2026 based on year-to-date experience, and projections for FY 2027. Historical dollar amounts are converted to FY 2027-dollar equivalents for comparison purposes using the Consumer Price Index for All Urban Consumers (CPI-U) for the Washington-Arlington-Alexandria area. The Washington metropolitan area experienced annual inflation of 4.4 percent in FY 2021, before it rose to 7.5 percent in FY 2022. In FY 2023, inflation moderated to 1.8 percent but rose again to 3.7 percent in FY 2024. FY 2025 inflation dropped to 2.0 percent. Using the January 2026 Congressional Budget Office report on the Current View of the Economy from 2026 to 2028, inflation is projected to be 2.8 percent in FY 2026 and 2.4 percent in FY 2027.

Household Taxation Trends

Summary of Major Taxes Paid by Typical Households

The charts on the following pages show the trends in selected taxes (Real Estate Taxes, Personal Property Taxes, Sales Taxes and Consumer Utility Taxes) paid by the "typical" household in Fairfax County. The Real Estate Tax analysis is based on the FY 2027 Real Estate tax rate of \$1.1225 per \$100 of assessed value, which is unchanged from FY 2026. It is important to note that the following data are not intended to depict a comprehensive picture of a household's total tax burden in Fairfax County.

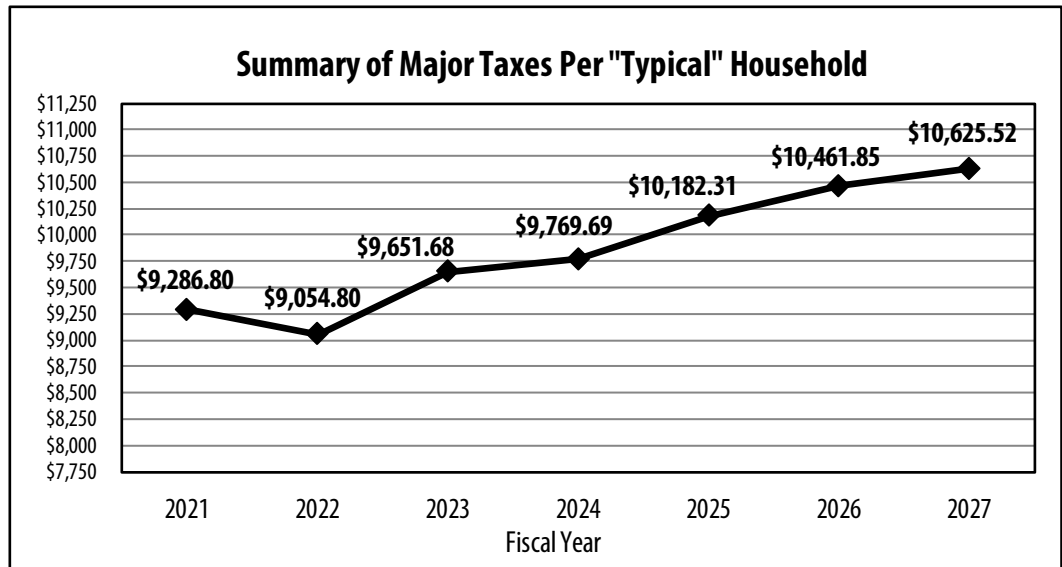
The "typical" household in Fairfax County is projected to pay \$10,625.52 in selected County General Fund taxes in FY 2027, \$163.67 more than in FY 2026 after adjusting for inflation. From FY 2021 to FY 2027, the inflation adjusted County taxes paid by the "typical" household have increased \$1,338.72, or 14.4 percent. Note that taxes paid in FY 2021 through FY 2027 reflect the Commonwealth's Personal Property Tax Relief Act, which reduces an individual's Personal Property Tax liability on vehicles valued up to \$20,000 (see the section entitled "Personal Property Tax per Typical Household" for more information.)

Summary of Major Taxes per "Typical" Household

	Number of Households	Real Estate Tax in FY 2027 Dollars	Personal Property Tax in FY 2027 Dollars ¹	Sales Tax in FY 2027 Dollars	Consumer Utility Tax in FY 2027 Dollars	Total Taxes in FY 2027 Dollars ¹
FY 2021	418,187	\$8,160.61	\$477.86	\$584.56	\$63.77	\$9,286.80
FY 2022	418,769	\$7,883.60	\$486.30	\$625.04	\$59.86	\$9,054.80
FY 2023	422,864	\$8,309.00	\$653.13	\$631.80	\$57.75	\$9,651.68
FY 2024	426,017	\$8,509.06	\$592.39	\$612.97	\$55.27	\$9,769.69
FY 2025	429,088	\$8,859.17	\$656.12	\$612.24	\$54.78	\$10,182.31
FY 2026 ²	432,196	\$9,173.14	\$633.18	\$603.11	\$52.42	\$10,461.85
FY 2027 ²	435,310	\$9,315.57	\$665.08	\$593.53	\$51.34	\$10,625.52

¹ Personal Property Taxes paid incorporate reductions in Personal Property Tax bills sent to residents under the state's Personal Property Tax Relief program. The reductions were 58.5 percent in FY 2021, 57.5 percent in FY 2022, 49.5 percent in FY 2023, 51.0 percent in FY 2024, 50.0 percent in FY 2025 and 51.0 percent in FY 2026. The reduction in FY 2027 has not been determined but is preliminarily estimated at 49.0 percent. The difference in revenue will be paid to the County by the Commonwealth.

² Estimated.



Real Estate Taxes

Real Estate Taxes per "typical" residence are projected to increase by \$357.43 between FY 2026 and FY 2027 to \$9,315.57, not adjusting for inflation. This increase is the result of the 3.99 percent increase in the mean assessed value of existing residential properties within the County, with the FY 2027 General Fund Real Estate Tax rate unchanged at \$1.1225 per \$100 of assessed value.

Since FY 2021, Real Estate Taxes have increased \$2,611.35 or an average annual increase of 5.6 percent per year, not adjusting for inflation. Adjusted for inflation, Real Estate Taxes per "typical" residence are \$1,154.96 more than in FY 2021, an average annual increase of 2.2 percent.

Real Estate Tax per "Typical" Residence

	Mean Assessed Value of Residential Property	Tax Rate per \$100	Typical Residential Real Estate Tax	Typical Residential Real Estate Tax in FY 2027 Dollars
FY 2021	\$582,976	\$1.150	\$6,704.22	\$8,160.61
FY 2022	\$610,545	\$1.140	\$6,960.21	\$7,883.60
FY 2023	\$672,639	\$1.110	\$7,466.29	\$8,309.00
FY 2024	\$723,825	\$1.095	\$7,925.88	\$8,509.06
FY 2025	\$748,079	\$1.125	\$8,415.89	\$8,859.17
FY 2026 ¹	\$798,053	\$1.1225	\$8,958.14	\$9,173.14
FY 2027 ¹	\$829,895	\$1.1225	\$9,315.57	\$9,315.57

¹ Estimated.

Personal Property Taxes

Personal Property Taxes paid by the "typical" household are shown in the chart below. Personal Property Taxes paid reflect the Commonwealth of Virginia's Personal Property Tax Relief Act (PPTRA), which reduces an individual's Personal Property Tax payment. In FY 2007, statewide reimbursements were capped at \$950 million, with each locality receiving a percentage allocation from this fixed amount determined by the locality's share of statewide tax year 2004 collections. Each year, County staff must determine the reimbursement percentage based on the County's fixed reimbursement of \$211.3 million and an estimate of the number and value of vehicles that will be eligible for tax relief. As the number and value of vehicles in the County vary, the percentage attributed to the state will fluctuate. Based on a County staff analysis, the effective state reimbursement percentage was 58.5 percent in FY 2021, 57.5 percent in FY 2022, 49.5 percent in FY 2023, 51.0 percent in FY 2024, 50.0 percent in FY 2025, and 51.0 percent in FY 2026. The reimbursement percentage in FY 2027 has not yet been determined but is preliminarily estimated at 49.0 percent.

Due to pandemic related supply chain disruptions and shortages of computer chips, car prices moved significantly higher during the COVID-19 pandemic. To partially offset the unprecedented increase to vehicle values, the Board of Supervisors adopted a vehicle assessment ratio of 85 percent of the trade-in value for FY 2023. Normally, vehicles are assessed at 100 percent of the trade-in value. As vehicle values started to decline from the historically high levels, the Board of Supervisors approved a 90 percent vehicle assessment ratio for FY 2024 rather than the 85 percent used in FY 2023. For FY 2025 and beyond, vehicles are assessed at 100 percent of the trade-in value and no assessment ratio is utilized.

The following tax per household analysis assumes that the "typical" household's vehicle(s) are valued at \$20,000 or less in order to qualify for a reduction under the PPTRA. Adjusted for inflation, Personal Property Taxes per "typical" household are projected to increase \$31.90 between FY 2026 and FY 2027 to \$665.08. The FY 2027 Personal Property Tax per "typical" household is \$272.50 higher than what was paid in FY 2021, not adjusting for inflation. When adjustments are made for inflation, the "typical" household is projected to pay \$187.22 more in FY 2027 than FY 2021. There have been no changes to the Personal Property Tax rate of \$4.57 per \$100 of assessed value for individuals during the FY 2021 to FY 2027 period, except for mobile homes and boats which are taxed at the prevailing Real Estate Tax rate each fiscal year.

The FY 2027 Advertised Budget Plan also includes an annual Vehicle Registration Fee on motor vehicles. The fee is levied at \$33 for passenger vehicles that weigh 4,000 pounds or less and \$38 on passenger vehicles that weigh more than 4,000 pounds. The fee for motorcycles is \$18.

Personal Property Tax Per “Typical” Household

					After PPTRA	
	Personal Property Taxes Attributed to Individuals	Number of Households	Tax per Household	Tax per Household in FY 2027 Dollars	Adjusted Tax per Household ¹	Adjusted Tax per Household in FY 2027 Dollars ¹
FY 2021	\$395,595,732	418,187	\$945.98	\$1,151.48	\$392.58	\$477.86
FY 2022	\$423,044,948	418,769	\$1,010.21	\$1,144.23	\$429.34	\$486.30
FY 2023	\$491,437,264	422,864	\$1,162.16	\$1,293.33	\$586.89	\$653.13
FY 2024	\$479,734,393	426,017	\$1,126.09	\$1,208.95	\$551.79	\$592.39
FY 2025	\$534,893,106	429,088	\$1,246.58	\$1,312.24	\$623.29	\$656.12
FY 2026 ²	\$545,396,480	432,196	\$1,261.92	\$1,292.21	\$618.34	\$633.18
FY 2027 ²	\$567,681,304	435,310	\$1,304.09	\$1,304.09	\$665.08	\$665.08

¹ Personal Property Taxes paid incorporate reductions in Personal Property Tax bills sent to residents under the state's Personal Property Tax Relief program. The reductions were 58.5 percent in FY 2021, 57.5 percent in FY 2022, 49.5 percent in FY 2023, 51.0 percent in FY 2024, 50.0 percent in FY 2025, and 51.0 percent in FY 2026. The reimbursement percentage in FY 2027 has not yet been determined but is preliminarily estimated at 49.0 percent. The difference in revenue will be paid to the County by the Commonwealth.

² Estimated.

Sales Tax

FY 2027 Sales Tax paid per household is estimated to be \$593.53 or \$113.29 more than FY 2021, not adjusting for inflation. This represents an average annual increase of 3.6 percent since FY 2021. Adjusting for inflation, FY 2027 Sales Tax paid per household is estimated to be \$8.97 more than FY 2021, which represents an average annual increase of just 0.3 percent.

Because this analysis assumes all Sales Taxes are paid by individuals living in Fairfax County, the impact on the typical household is somewhat overstated. A segment of the County's Sales Tax revenues is paid by businesses and non-residents who either work in the County or are visiting. As the County becomes more of a major employment hub in the region, the contribution of non-residents to the County's Sales Tax revenues will continue to expand.

Sales Tax Per “Typical” Household

	Total Sales Tax	Number of Households	Tax per Household	Tax per Household in FY 2027 Dollars
FY 2021	\$200,832,101	418,187	\$480.24	\$584.56
FY 2022	\$231,087,296	418,769	\$551.83	\$625.04
FY 2023	\$240,066,648	422,864	\$567.72	\$631.80
FY 2024	\$243,239,087	426,017	\$570.96	\$612.97
FY 2025	\$249,561,855	429,088	\$581.61	\$612.24
FY 2026 ¹	\$254,550,859	432,196	\$588.97	\$603.11
FY 2027 ¹	\$258,367,447	435,310	\$593.53	\$593.53

¹ Estimated.

Consumer Utility Taxes

Based on data from the utility companies, it is estimated that residential consumers pay approximately 43.0 percent of the Electric Taxes and 73.0 percent of the Gas Taxes received by the County. Utility Taxes per household decreased slightly from FY 2021 through FY 2027. In FY 2027, the "typical" household will pay an estimated \$51.34 in Consumer Utility Taxes, \$1.05 less than in FY 2021, without adjusting for inflation. From FY 2021 to FY 2027, the "typical" household has experienced an average annual decrease of 3.5 percent, or a decrease of \$12.43 over the period, adjusted for inflation.

Consumer Utility Taxes – Gas & Electric Per “Typical” Household

	Total Consumer Utility Taxes Paid by Residential Consumers	Number of Households	Tax per Household	Tax per Household in FY 2027 Dollars
FY 2021	\$21,908,517	418,187	\$52.39	\$63.77
FY 2022	\$22,130,960	418,769	\$52.85	\$59.86
FY 2023	\$21,941,302	422,864	\$51.89	\$57.75
FY 2024	\$21,929,906	426,017	\$51.48	\$55.27
FY 2025	\$22,329,326	429,088	\$52.04	\$54.78
FY 2026 ¹	\$22,125,935	432,196	\$51.19	\$52.42
FY 2027 ¹	\$22,347,194	435,310	\$51.34	\$51.34

¹ Estimated.

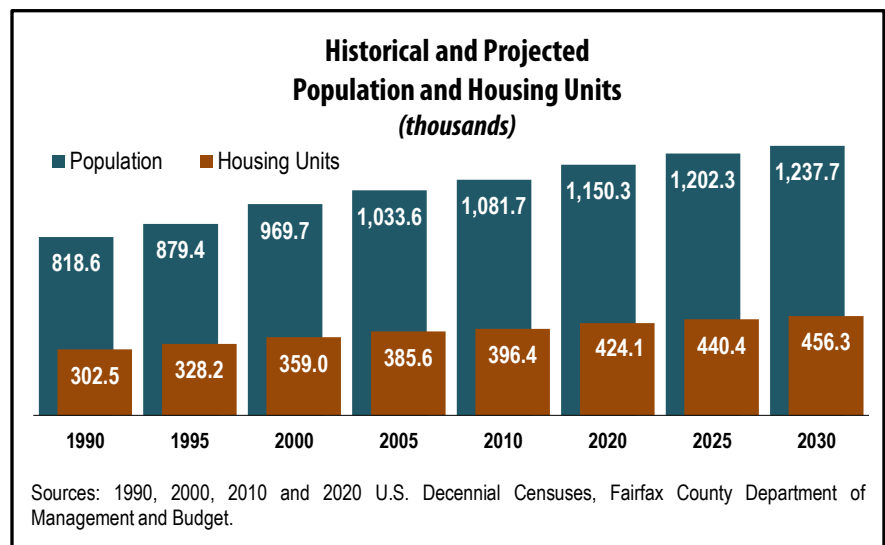
Demographic Trends

Demographic trends strongly influence Fairfax County's budget. Changing demographics or population characteristics affect both the cost of government services provided, as well as tax revenues. The descriptions and charts contained in this section provide some examples of how various demographic trends affect the Fairfax County budget. Although these trends are discussed separately, the interactions between these demographic trends ultimately influence the direction of expenditures and revenues. While certain demographic trends may suggest reduced expenditures in a program area, other demographic trends may increase program expenditures at the same time. The following information is based on the most recent data available at the time of publication. For more information on demographic trends beyond this publication, please refer to the Fairfax County Overview (<https://www.fairfaxcounty.gov/demographics/fairfax-county-general-overview>).

Population and Housing

Some of the strongest demographic influences on Fairfax County expenditures and revenues are those associated with the growth in total population and housing units. From 1990 to 2000, the County added over 151,100 residents. This increase in Fairfax County's population between 1990 and 2000 is comparable to adding more than the entire population of the City of Alexandria to the County. The County's population growth decelerated, adding 114,000 residents between 2000 and 2010. Based on the 2020 Decennial Census, the growth in Fairfax County's population decelerated even further after 2010, increasing by 68,600 for a total population of 1,150,309 residents in 2020. Between 2020 and 2030, the population of Fairfax County is expected to increase by approximately 87,400 residents to 1,237,700.

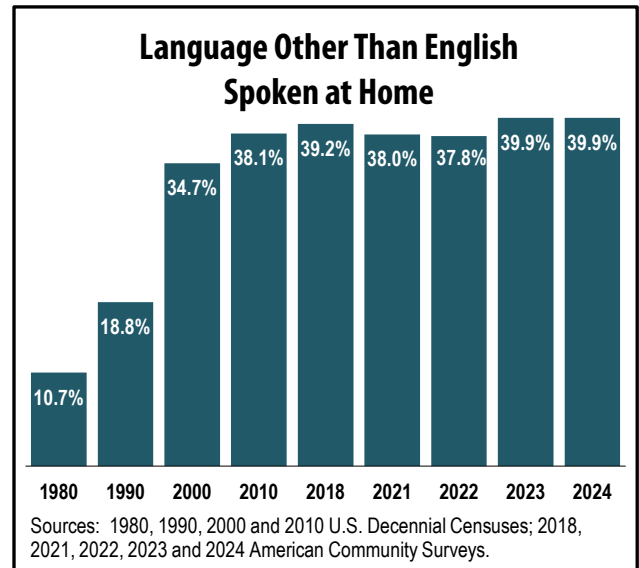
Between 1990 and 2000, housing units grew 18.7 percent, just slightly above population growth of 18.5 percent. From 2000 to 2010, this trend reversed, with population growth at 11.5 percent, surpassing housing unit



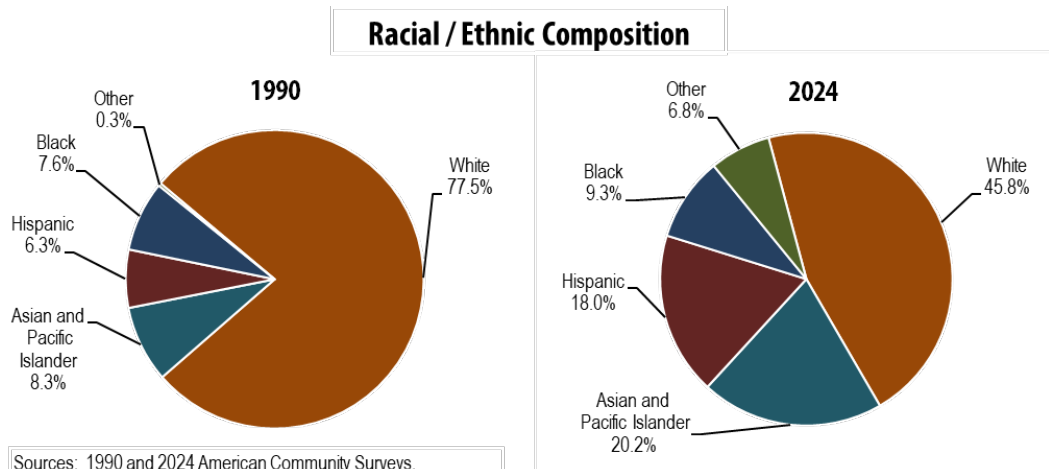
growth of 10.4 percent. From 2010 to 2020, the population and housing units grew by 6.3 percent and 7.0 percent respectively. From 2020 through 2030, the population and housing units are both anticipated to grow by 7.6 percent. Many County programs, such as fire prevention, transit, water, and sewer, are impacted by the number of housing units. Other program areas such as libraries, recreation, and schools, are impacted more by the growth in population.

Cultural Diversity

Fairfax County's population is rich in diversity. Based on the latest data from the 2024 American Community Survey, the number of persons speaking a language other than English at home is estimated to be 438,072 residents, or 39.9 percent of the County's population age five years or older. In 1980, less than 11 percent of residents age five years or older spoke a language other than English at home. This percentage rose to nearly 19 percent in 1990. By 2010, it was 38.1 percent. The most frequently spoken languages other than English include Spanish, Korean, Vietnamese, and Chinese.



These language trends affect many County programs. For example, the Fairfax County Public Schools have experienced rapid growth in English for Speakers of Other Languages (ESOL) programs. Between FY 2000 and FY 2025, total public school membership increased 16.6 percent, while ESOL enrollment grew 174.0 percent. Also, general government services such as the courts, police, fire, and emergency medical services, as well as human service programs and tax related programs are impacted by the County's cultural and language diversity. The County continues to develop various means to effectively communicate with residents for whom English is not their native language.



In 1990, racial and ethnic minorities comprised less than a quarter of Fairfax County's population. By 2024, over half of the County's population consisted of ethnic minorities. The two fastest growing groups are Hispanics and Asians and Pacific Islanders, which both more than doubled their share of the County's population between 1990 and 2024. These two minority groups are anticipated to remain the County's most rapidly expanding racial or ethnic groups during the next five years. As the County's population continues to become more diverse, the number of persons speaking a language other than English at home is anticipated to continue to grow and impact a wide range of services provided by the County.

Population Age Distribution

Fairfax County's population has grown steadily older since 1980. Between 1980 and 2020, the percentage of children age 19 years and younger became a smaller proportion of the total population, dropping from 32.4 percent to 25.7 percent in 2020. It is anticipated that the percentage of children will decrease somewhat through 2030, with the percentage of those 19 years old and younger decreasing to 23.1 percent.

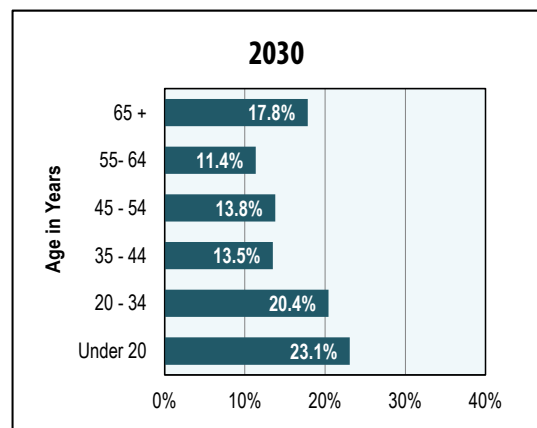
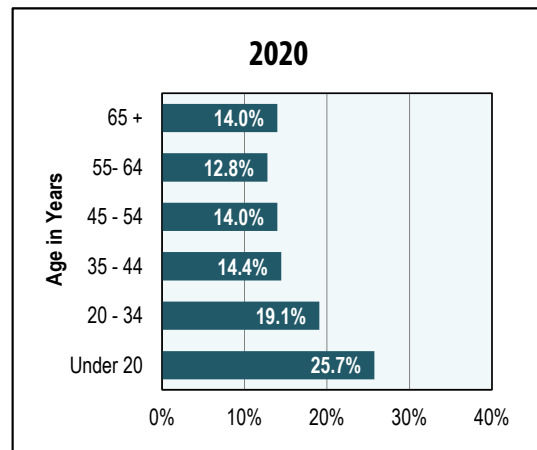
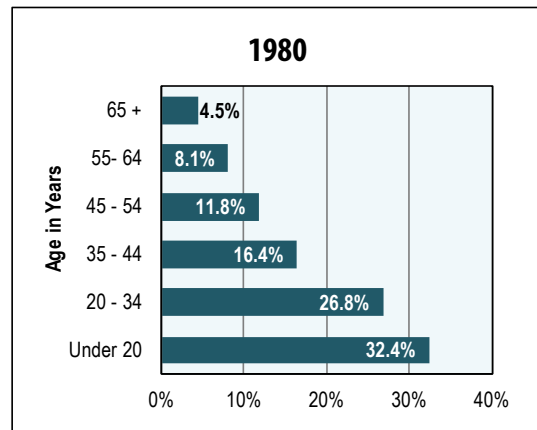
The number of adults age 45 to 54 years peaked in 2008, as the first "baby boomers" entered into their fifties. This age group's sharp growth trend has since reversed, as the "baby boomers" move to the next age groups.

Between 1980 and 2020, the seniors' population, those age 65 years and older, tripled in size and was the fastest growing segment of County residents. This age group is expected to continue increasing in size, with its share of the population projected to reach 17.8 percent by 2030, up from 4.5 percent in 1980.

The age distribution of Fairfax County's population greatly impacts the demand and, therefore, the costs of providing many local government services. For example, the number, location, and size of school and day care facilities are directly affected by the number and proportion of children. Transportation expenditures for both street maintenance and public transportation are influenced by the number and proportion of driving age adults and their work locations. The growing number of persons age 65 years and older will influence expenditures for programs such as adult day care, senior centers, and health care.

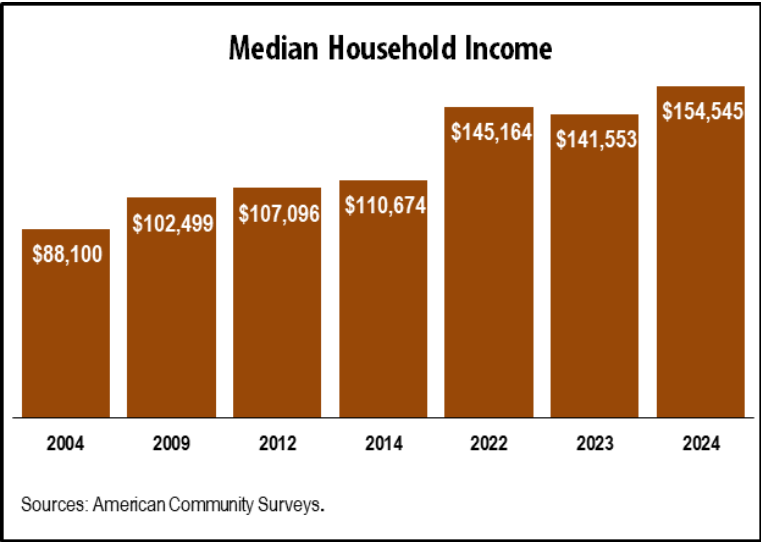
Public safety programs also are impacted by age demographics. Crime rates, for example, are highest among persons age 15 to 34. In addition, the youngest and the oldest drivers have the greatest probability of being involved in traffic accidents.

Population Age Distribution



Sources: 1980, 2020 U.S. Decennial Census; 2030 estimates by the Fairfax County Department of Management and Budget.

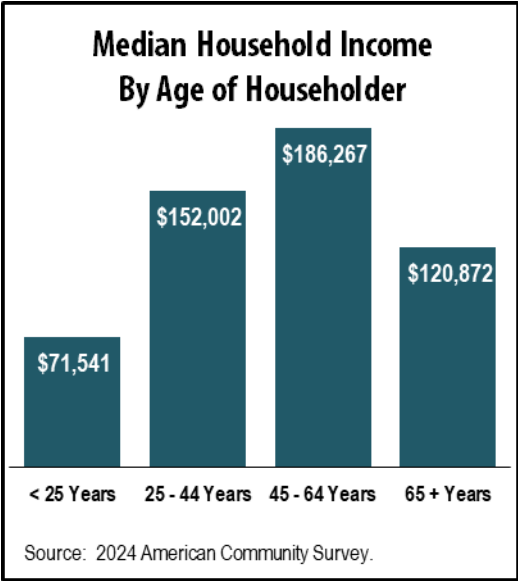
Household Income



The median household income in Fairfax County was \$154,545 in 2024, one of the highest in the nation for counties with a population of 250,000 or more. Fairfax County's 2024 median household income increased 9.2 percent compared to 2023. Since 2004, median household income in the County has risen at a rate of 2.8 percent per year.

Income growth does not directly impact Fairfax County tax revenues because localities in Virginia do not tax income; however, revenues are indirectly affected because changes in income impact the County's economic health. Tax categories affected by income include Sales Tax receipts, Residential Real Estate Taxes and Personal Property Taxes.

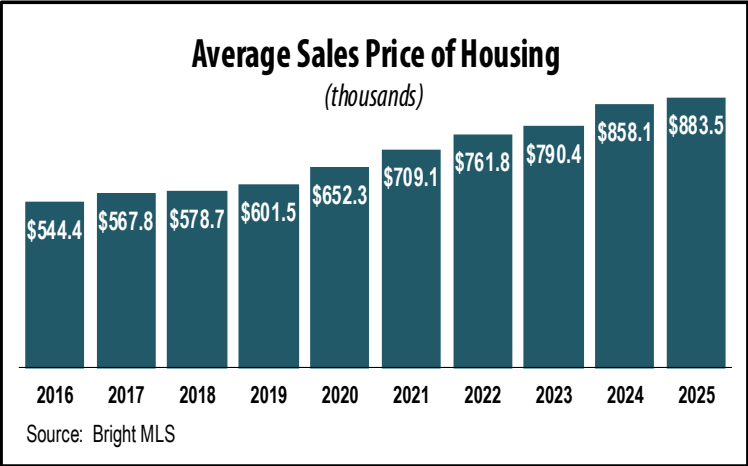
Incomes peak among persons aged 45 to 64 years, who are in their prime earning years. As the number of households headed by this age group is projected to shrink during the next 10 years, various tax revenues may be impacted. Sales Tax revenues, for instance, may experience more modest growth. The median income for heads of households between the ages of 45 and 64 was \$186,267 in 2024. The median household income of people ages 65 or older drops to \$120,872. A population containing a larger number of seniors, age 65 and older, will put downward pressure on tax revenues. These senior households are typically on a fixed income and have less discretionary money to spend. In addition, persons in this age group own fewer motor vehicles and may qualify for Real Estate Tax Relief.



Economic Trends

Housing Market

In FY 2027, Real Estate Tax revenue is projected to comprise approximately 65 percent of all General Fund revenues and residential properties make up the majority of the value of the Real Estate Tax base. As a result, the changes in the residential housing market have a very significant impact on Fairfax County's revenues.

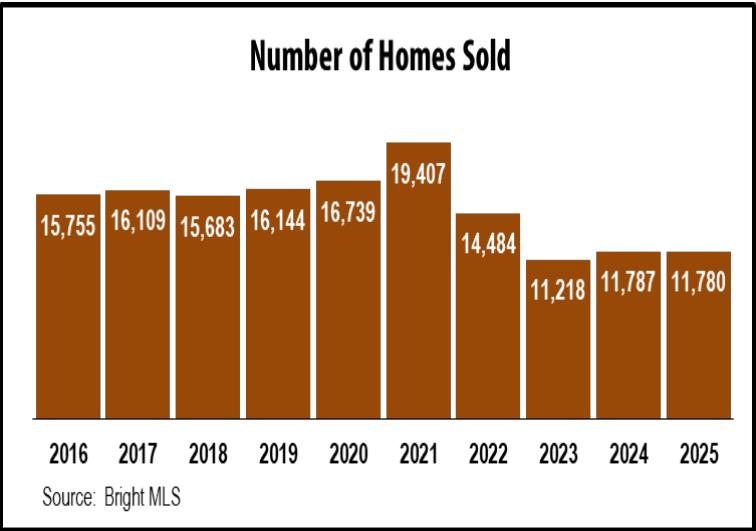


Average Sales Price of Housing

Based on data from Bright MLS, the average sales price for all types of homes sold in Fairfax County increased 3.0 percent from \$858,057 in 2024 to \$883,520 in 2025. Since bottoming out in 2009, the average home sales price has risen 111.8 percent, or at an average annual growth rate of 4.8 percent.

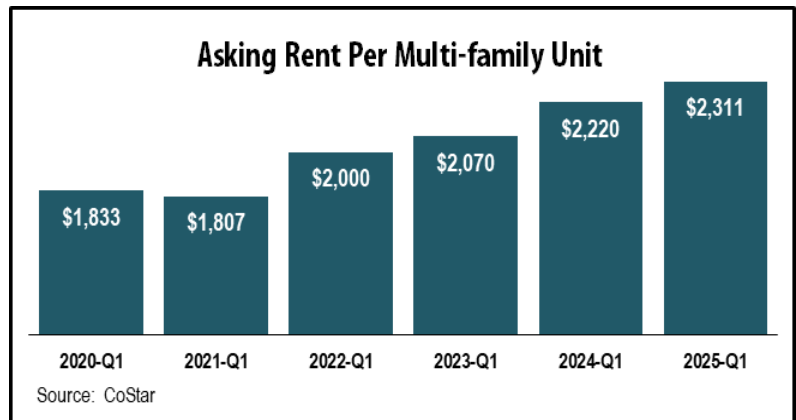
Homes Sold in Fairfax County

Based on data from Bright MLS, 11,780 homes were sold in Fairfax County during 2025, a 0.1 percent decrease from the 11,787 sold in 2024 and the second lowest number of homes sold since 2016. The number of homes sold peaked in 2004, when 25,717 homes were sold. The average days on the market for active residential real estate listings in Fairfax County was 21 days for all of 2025, four days more than in 2024.



Average Rent in Fairfax County

According to the U.S. Census Bureau data, over 30 percent of the County's households occupy rental housing. Reflected on the chart is the monthly asking rent per multi-family unit in Fairfax County from the first quarter of 2020 to the first quarter of 2025. Over this period, the monthly



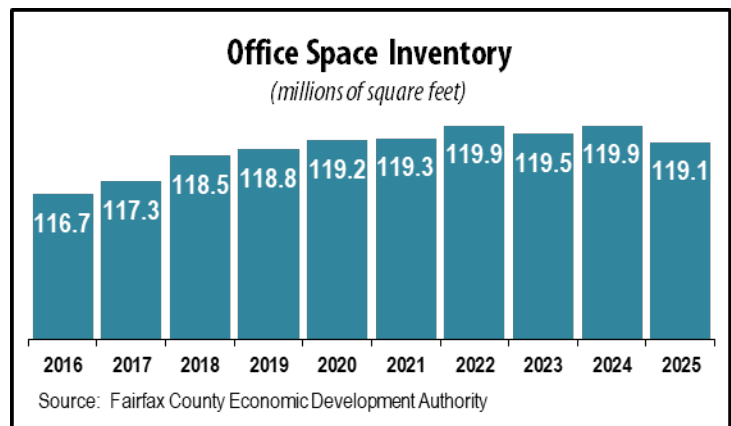
asking rent has experienced an increase of 26.1 percent, or an average annual increase of 4.7 percent. Compared to the first quarter of 2024, the monthly asking rent increased by 4.1 percent for the year ending the first quarter of 2025.

Office Market

Business activity affects Real Estate Taxes, Business Personal Property Tax revenues and Business, Professional and Occupational License (BPOL) revenues. Business expansion also influences expenditures for water and sewer services, transportation improvements, police, and fire services, and refuse disposal. According to information from the Fairfax County Economic Development Authority, the commercial real estate market has not yet fully recovered from the effects of the pandemic.

Office Space Inventory

The office space inventory was just above 119 million square feet as of year-end 2025. After initially crossing the 120 million square foot mark following the delivery of a 210,000 square foot office building in Reston, the office inventory recorded over 1 million square feet of office inventory either demolished or repurposed for an alternative use. There are

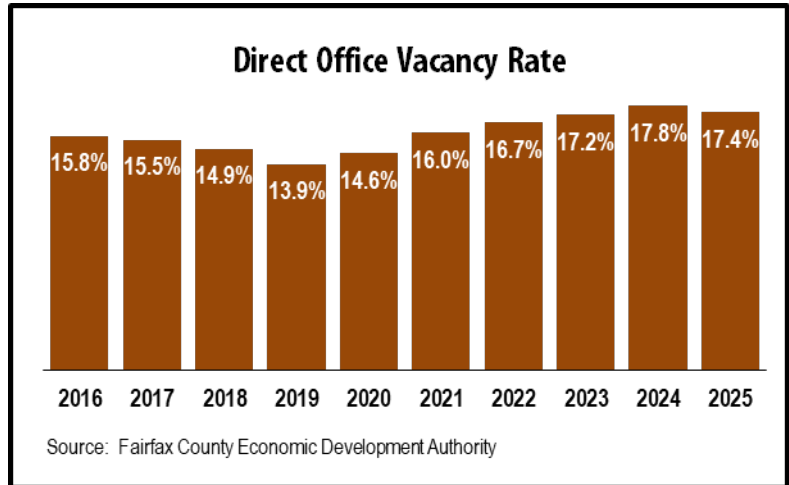


two adaptive reuse projects underway that will transform over 300,000 square feet of office into affordable housing units and an independent living facility. There were over 900,000 square feet of office space that was demolished in 2025, across six buildings. As of year-end 2025, there are two office buildings under construction, totaling 320,000 square feet and slated to be fully occupied at delivery.

Typically, the County would see construction levels above two million square feet year after year. As the office market continues to recover, data center demand remained high in 2025. There are currently five projects under construction that at completion would add close to 1.5 million square feet to the current existing inventory of 3.8 million square feet.

Office Vacancy Rates

The direct office vacancy rate declined from 17.8 percent in 2024 to 17.4 percent as of year-end 2025, marking the first year of a reduction in direct office vacancy since 2019. The recent plateauing of office vacancy rate rises coupled with the first year-over-year office vacancy rate reduction in five years signals an office market in the midst of stabilization.



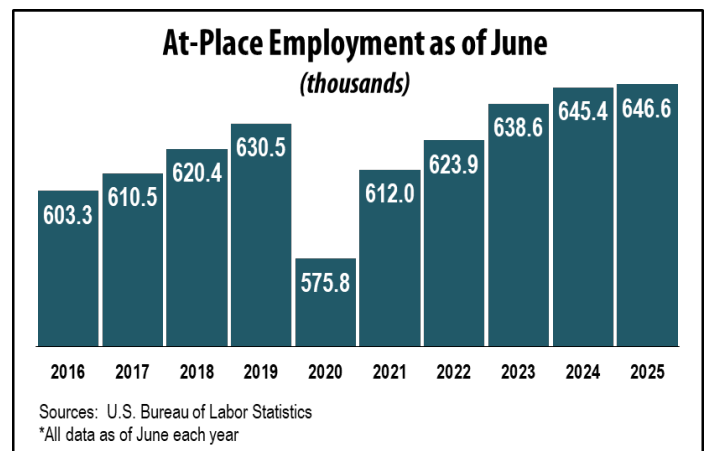
Throughout 2025, demand for space near Metro stations remained strong while many older properties experienced increased vacancies. Including sublet space, the overall office vacancy rate as of year-end 2025 was 17.9 percent, down from the 18.4 percent recorded as of year-end 2024. The amount of empty office space decreased to 21.3 million square feet. Total office leasing activity was about 6.3 million square feet in 2025, finishing lower than 2024 (7 million square feet) but matching the total in 2023 (6.3 million square feet). Two of the main contributing factors to the decrease in office leasing activity year-over-year include the lack of large lease renewals compared to 2024 levels, and the hesitancy among employers to make long-term, cost-intensive decisions amid policy and economic uncertainty.

Employment

Employment serves as a gauge of the number of jobs created by businesses located in Fairfax County. Growth in both employment and the number of businesses generate increased tax revenues and additional expenditures for Fairfax County. Unemployment rates show the strength of the Fairfax County economy by indicating how many Fairfax County residents are actively seeking but are unable to obtain employment.

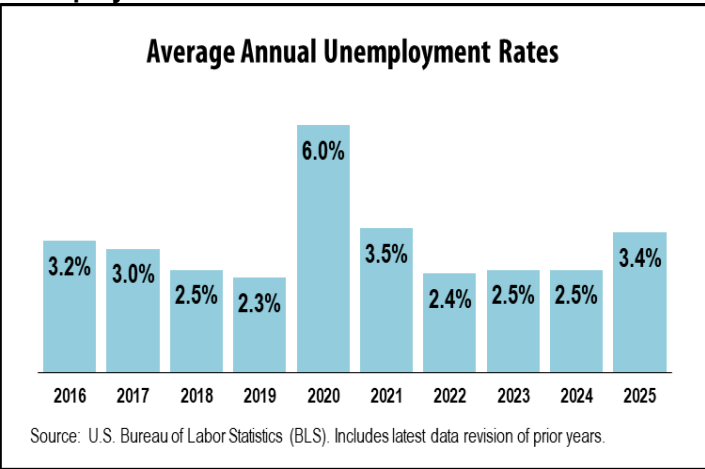
At-Place Employment

According to data from the Bureau of Labor Statistics (BLS), employment increased steadily from 2016 to 2019 at an average annual rate of 1.5 percent. In 2020, due to COVID-19 related shutdowns, employment decreased by 8.7 percent. In 2021, employment bounced back, increasing by 6.3 percent. Employment continued to grow from 2022 to 2025, increasing at an average annual



rate of 1.2 percent, though it slowed significantly in 2025. Total employment stands at 646,618 as of June 2025, just 0.2 percent higher than the June 2024 level.

Unemployment Rates



During the last decade, residents of Fairfax County have experienced relatively low unemployment rates. In the aftermath of the Great Recession, the unemployment rate fell steadily each year until 2019, before spiking in 2020 due to COVID-19 pandemic related shutdowns. It began to fall back again in 2021, and by 2022, the unemployment rate of 2.4 percent was nearly at its pre-pandemic levels. Based on

the latest data from BLS, the unemployment rate in Fairfax County was 2.5 percent in 2024 before increasing to 3.4 percent in 2025 (through November). It should be noted that BLS did not release unemployment data for the month of October 2025 due to the federal government shutdown.



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Long-Term Financial Policies and Tools



FY 2027

Advertised Budget Plan

Long-Term Financial Policies and Tools

Overview

This section identifies some of the major policies, long-term financial management tools and planning documents that serve as guidelines for decisions, support the strategic direction of the County and contribute directly to the outstanding fiscal reputation of the County. Adherence to these policies has enabled the County to historically borrow funds at the lowest possible interest rates available in the municipal bond market.

The keystone to the County's ability to maintain its fiscal integrity is the continuing commitment of the County's Board of Supervisors. This commitment is evidenced by the Board of Supervisors' adoption of the *Ten Principles of Sound Financial Management (Ten Principles)* in 1975, which remain the policy context within which financial decisions are considered and made. These principles relate primarily to the integration of capital planning, debt issuance, cash management, and productivity as a means of ensuring prudent and responsible allocation of the County's resources.

In addition to the *Ten Principles*, this section includes an overview of the County's long-term financial policies with a brief description of policies relating to the budget guidelines, reserves, internal financial controls, debt management, risk management, information technology, and investments. Long-term financial management tools and planning documents used by the County are also briefly described.

Ten Principles of Sound Financial Management

The *Ten Principles*, adopted by the Board of Supervisors on October 22, 1975, endorsed a set of policies designed to contribute to the County's fiscal management and maintain the County's "triple A" bond rating. The County has maintained its superior rating in large part due to its firm adherence to these policies. The County's exceptional "triple A" bond rating gives its bonds a high level of marketability and results in the County being able to borrow for needed capital improvements at low interest rates, thus realizing significant debt service savings for the residents of Fairfax County now and in the future.

From time to time the Board of Supervisors amends the *Ten Principles* in order to address changing economic conditions and management practices. In FY 2008, the Board authorized the use of variable rate debt. Variable rate obligations are debt obligations that are frequently used for short-term or interim debt financing and have an interest rate that is reset periodically, usually for periods of less than one year. Variable rate debt is typically used to take advantage of low short-term rates in anticipation of converting to longer-term fixed rate financing for complex projects or to mitigate the impact of volatile markets.

In FY 2016, as a response to concerns from the bond rating agencies, the Board committed to increasing the County's reserve policies to strengthen the County's financial position. As a result, the Managed Reserve target increased from 2 to 4 percent of General Fund Disbursements and the Revenue Stabilization Reserve target increased from 3 to 5 percent of General Fund Disbursements. In addition, a new Economic Opportunity Reserve was established at 1 percent of General Fund Disbursements (revising the total for these primary reserves from 5 to 10 percent), as well as funding other replacement reserves. The County reserve policy is now more in line with other triple-A jurisdictions. The [FY 2027 Advertised Budget Plan](#) reflects full funding for the Managed Reserve, the Revenue Stabilization and the Economic Opportunity Reserve at 4.0 percent, 5.0 percent and 1.0 percent, respectively.

In February 2020, the Board of Supervisors and the School Board established a joint Capital Improvement Program (CIP) Committee (Committee) to allow for information sharing, prioritizations, and planning by both the County and Fairfax County Public Schools. The Committee spent its time reviewing the County's existing financial policies, considering the financing options available for capital projects, understanding the capital project requirements identified for both the County and Schools, and evaluating the current CIP Plan and processes. Following these discussions over several months, the Committee issued its final report in October 2021. The report was then presented to the Budget Committee in November 2021 before the full Board of Supervisors and the School Board and approved by the Board of Supervisors in December 2021. The Committee made three notable funding recommendations as part of its report.

First, the County's General Obligation Bond sale limit would increase from \$300 million to \$400 million annually. Bond sale limits had not increased since 2007 for the County and 2019 for the Schools. The County's annual bond sale limits were revised as part of the *Ten Principles* coupled with updates to the description for the Economic Opportunity Reserve (EOR) given its fully funded status. These changes to the *Ten Principles* were approved as part of the FY 2023 Adopted Budget Plan. Debt ratio impact with respect to capacity and affordability will continue to be reviewed on an annual basis.

Second, the Committee recommended dedicating the equivalent value of one penny on the Real Estate Tax Rate (approximately \$35 million in FY 2027) to the capital program. This will be supported through Pay-As-You-Go (PAYGO) and debt service allocations. As part of the FY 2027 Advertised Budget Plan, a total of \$20 million is included, or \$10 million each for the County and School capital programs, which represents an increase of \$15 million over the FY 2026 Adopted Budget Plan. Investment in this recommendation will need to grow gradually over time to accommodate future debt service cost increases with the revised annual bond sale limits. Funding will continue to be subject to revenue availability as determined through annual and quarterly budget reviews.

Third, the County increased the percentage allocated to the Capital Sinking Fund at year-end from 20 percent to 30 percent of balances not needed for critical year-end items. Schools would also now receive 25 percent of this allocation, and the County would evaluate the percentages to each of the remaining areas (County facilities, Parks, Walkways, and County-owned roads and Revitalization). This began as part of the *FY 2022 Carryover Review*.

In addition to the more traditional methods of long-term financing through General Obligation Bonds, the County has been able to accomplish major capital improvements using alternative financings while maintaining the County's fiscal integrity as required by the *Ten Principles*. Accomplishments such as Metrorail station parking garages, construction of Route 28, the opening of a commuter rail and construction of government facilities have all been attained in addition to a robust bond construction program. From 2000 through 2025, the County has approved \$6.79 billion of new debt via referendum, with \$4.55 billion for Schools and \$2.24 billion for the County.

Since 1975, the savings associated with the County's "triple-A" bond rating is estimated at \$717.32 million. Including savings of \$395.44 million from the various refunding sales, the total benefit to the County is an estimated \$1.11 billion. Also, implementation of a Master Lease program and judicious use of short-term lease purchases for computer equipment, copier equipment, school buses and energy efficient equipment have permitted the County and Schools to maximize available technology while maintaining budgetary efficiency.

The *Ten Principles* full text is as follows:

Ten Principles of Sound Financial Management April 26, 2022

1. **Planning Policy.** The planning system in the County will continue as a dynamic process, which is synchronized with the capital improvement program, capital budget and operating budget. The County's land use plans shall not be allowed to become static. There will continue to be periodic reviews of the plans at least every five years. Small area plans shall not be modified without consideration of contiguous plans. The Capital Improvement Program will be structured to implement plans for new and expanded capital facilities as contained in the County's Comprehensive Plan and other facility plans. The Capital Improvement Program will also include support for periodic reinvestment in aging capital and technology infrastructure sufficient to ensure no loss of service and continued safety of operation.
2. **Annual Budget Plans.** Annual budgets shall continue to show fiscal restraint. Annual budgets will be balanced between projected total funds available and total disbursements including established reserves.
 - a. Managed Reserve shall be maintained in the General Fund at a level sufficient to provide for temporary financing of critical unforeseen disbursements of a catastrophic emergency nature. The reserve will be maintained at a level of not less than four percent of total General Fund disbursements in any given fiscal year.
 - b. A Revenue Stabilization Fund (RSF) shall be maintained in addition to the managed reserve at a level sufficient to permit orderly adjustment to changes resulting from curtailment of revenue. This Fund shall be maintained at five percent of total General Fund disbursements in any given fiscal year. Use of the RSF should only occur in times of severe economic stress. Accordingly, a withdrawal from the RSF will not be made unless the projected revenues reflect a decrease of more than 1.5 percent from the current year estimate and any such withdrawal may not exceed one half of the RSF fund balance in that year. A drawdown of this Fund should be accompanied with expenditure reductions.
 - c. An Economic Opportunity Reserve shall be established in addition to the Managed Reserve and the Revenue Stabilization Fund. This reserve is meant to stimulate economic growth and will provide for strategic investment opportunities that are identified as priorities by the Board of Supervisors. This reserve is equal to one percent of total General Fund disbursements. Funding for this reserve occurred after the Managed Reserve and the Revenue Stabilization Fund were fully funded at their new levels of four percent and five percent, respectively. Criteria for funding, utilization, and replenishment of the reserve were approved by the Board of Supervisors as part of the Eight Principles of Investment in Economic Opportunities. The criteria for use include financial modeling analysis (e.g., cost-benefit, etc.) to determine the fiscal impact to the County of the proposed investment opportunity and requires approval from the Board of Supervisors for any use.

- d. Budgetary adjustments which propose to use available general funds identified at quarterly reviews should be minimized to address only critical issues. The use of non-recurring funds should only be directed to capital expenditures to the extent possible.
 - e. The budget shall include funds for cyclic and scheduled replacement or rehabilitation of equipment and other property in order to minimize disruption of budgetary planning from irregularly scheduled monetary demands.
- 3. **Cash Balances.** It is imperative that positive cash balances exist in the General Fund at the end of each fiscal year. If an operating deficit appears to be forthcoming in the current fiscal year wherein total disbursements will exceed the total funds available, the Board will take appropriate action to balance revenues and expenditures as necessary so as to end each fiscal year with a positive cash balance.
- 4. **Debt Ratios.** The County's debt ratios shall be maintained at the following levels:
 - a. Net debt as a percentage of estimated market value shall be less than 3 percent.
 - b. Debt service expenditures as a percentage of General Fund disbursements shall not exceed 10 percent. The County will continue to emphasize pay-as-you-go capital financing. Financing capital projects from current revenues is indicative of the County's intent to use purposeful restraint in incurring long-term debt.
 - c. For planning purposes, annual bond sales shall be structured such that the County's debt burden shall not exceed the 3 and 10 percent limits. To that end, sales of General Obligation Bonds and general obligation supported debt will be managed so as not to exceed a target of \$400 million per year, or \$2.0 billion over five years, with a technical limit of \$425 million in any given year. Excluded from this cap are refunding bonds, revenue bonds or other non-General Fund supported debt.
 - d. For purposes of this principle, debt of the General Fund incurred subject to annual appropriation shall be treated on a par with general obligation debt and included in the calculation of debt ratio limits. Excluded from the cap are leases secured by equipment, operating leases, and capital leases with no net impact to the General Fund.
 - e. Use of variable rate debt is authorized in order to increase the County's financial flexibility, provide opportunities for interest rate savings, and help the County manage its balance sheet through better matching of assets and liabilities. Debt policies shall stipulate that variable rate debt is appropriate to use when it achieves a specific objective consistent with the County's overall financial strategies; however, the County must determine if the use of any such debt is appropriate and warranted given the potential benefit, risks, and objectives of the County. The County will not use variable rate debt solely for the purpose of earning arbitrage pending the disbursement of bond proceeds.
 - f. For purposes of this principle, payments for equipment or other business property, except real estate, purchased through long-term lease-purchase payment plans secured by the equipment will be considered to be operating expenses of the County. Annual General Fund payments for such leases shall not exceed 3 percent of the annual General Fund disbursements, net of the School transfer. Annual equipment lease-

purchase payments by the Schools and other governmental entities of the County should not exceed 3 percent of their respective disbursements.

5. **Cash Management.** The County's cash management policies shall reflect a primary focus of ensuring the safety of public assets while maintaining needed liquidity and achieving a favorable return on investment. These policies have been certified by external professional review as fully conforming to the recognized best practices in the industry. As an essential element of a sound and professional financial management process, the policies and practices of this system shall receive the continued support of all County agencies and component units.
6. **Internal Controls.** A comprehensive system of financial internal controls shall be maintained in order to protect the County's assets and sustain the integrity of the County's financial systems. Managers at all levels shall be responsible for implementing sound controls and for regularly monitoring and measuring their effectiveness.
7. **Performance Measurement.** To ensure Fairfax County remains a high performing organization all efforts shall be made to improve the productivity of the County's programs and its employees through performance measurement. The County is committed to continuous improvement of productivity and service through analysis and measurement of actual performance objectives and customer feedback.
8. **Reducing Duplication.** A continuing effort shall be made to reduce duplicative functions within the County government and its autonomous and semi-autonomous agencies, particularly those that receive appropriations from the General Fund. To that end, business process redesign and reorganization will be encouraged whenever increased efficiency or effectiveness can be demonstrated.
9. **Underlying Debt and Moral Obligations.** The proliferation of debt related to but not directly supported by the County's General Fund shall be closely monitored and controlled to the extent possible, including revenue bonds of agencies supported by the General Fund, the use of the County's moral obligation and underlying debt.
 - a. A moral obligation exists when the Board of Supervisors has made a commitment to support the debt of another jurisdiction to prevent a potential default, and the County is not otherwise responsible or obligated to pay the annual debt service. The County's moral obligation will be authorized only under the most controlled circumstances and secured by extremely tight covenants to protect the credit of the County. The County's moral obligation shall only be used to enhance the credit worthiness of an agency of the County or regional partnership for an essential project, and only after the most stringent safeguards have been employed to reduce the risk and protect the financial integrity of the County.
 - b. Underlying debt includes tax supported debt issued by towns or districts in the County, which debt is not an obligation of the County, but nevertheless adds to the debt burden of the taxpayers within those jurisdictions in the County. The issuance of underlying debt, insofar as it is under the control of the Board of Supervisors, will be carefully analyzed for fiscal soundness, the additional burden placed on taxpayers and the potential risk to the General Fund for any explicit or implicit moral obligation.

10. **Diversified Economy.** Fairfax County must continue to diversify its economic base by encouraging commercial and, in particular, industrial employment and associated revenues. Such business and industry must be in accord with the plans and ordinances of the County.

Through the application of the *Ten Principles*, careful fiscal planning and sound financial management, Fairfax County has achieved a "triple A" bond rating from the three leading rating agencies. The County has held a Aaa rating from Moody's Investors Service since 1975, a AAA rating from Standard and Poor's Corporation since 1978, and a AAA rating from Fitch Investors Services since 1997.

As of January 2026, Fairfax County is one of only 55 counties in the country with "triple A" bond ratings from all three rating agencies.

As of January 2026, only a limited number of jurisdictions, including Fairfax County, have received a "triple A" bond rating from Moody's Investors Service, Standard and Poor's Corporation, and Fitch Investors Services:

- only 55 of the nation's 3,069 counties
- only 12 of the nation's 50 states
- only 35 of the nation's 35,000+ cities and towns

Budget Guidance

Each year during budget adoption, the Board of Supervisors reaffirms and approves budget guidelines for the next budget year. These guidelines then serve as a future budget development tool.

Budget Guidance for FY 2026 and FY 2027

May 6, 2025

Our next step is to adopt guidance for the development of the FY 2027 budget. The purpose of Budget Guidance is to indicate Board of Supervisors' support for initiatives included in the FY 2026 budget, to provide direction to the County Executive and County agencies related to the implementation of the FY 2026 Budget, and to make recommendations to the County Executive and County staff for the development of the FY 2027 Advertised Budget. Budget Guidance is not inclusive of all priorities of the Board, nor is it inclusive of all issues raised by the community during the development of this year's budget.

At a regular meeting of the Board of Supervisors of Fairfax County, Virginia, held in the Board Auditorium of the Fairfax County Government Center on Tuesday, May 6, 2025, the Board approved the following Budget Guidance for FY 2026 and FY 2027.

Economic Uncertainty

Not since the initial days of the pandemic have we faced the levels of economic uncertainty that we face today. Global financial markets are in turmoil, as the Trump administration's actions on tariffs have created chaos and have weakened both equities and bonds, as well as the US dollar. Economists are increasingly predicting a recession in the coming months, with some placing those odds at greater than 60 percent. Still others are worried about stagflation, an extended period of high inflation and unemployment, accompanied by slow economic growth. As the administration continues its attack on the federal workforce and contractors, our regional economy is in an even more precarious position. Thousands of federal workers have lost their jobs, although

many are challenging the administration's actions in court. Federal contracts and grants are being cancelled on an almost daily basis. These actions have already led to a downgrade of the District of Columbia's bond rating, falling from Aaa to Aa1, with the expectation that they will "erode the stability that the institutional presence of the federal government has historically had on the District's economy." Although the County's exposure is not as great as our nation's capital, federal workers are a sizeable portion of the overall workforce in Virginia and Fairfax County. As we continue our efforts to assist these workers in finding other employment – and urge the state to do more – it is imperative that we stay informed of the specific economic impacts these irresponsible actions are having on our County's budget.

Although a large proportion of the County's General Fund revenues are set based on values as of January 1, other revenue categories – such as the Sales Tax and BPOL (Business, Professional and Occupational License) Tax – are especially sensitive to economic conditions. In addition, federal revenue that the County receives from the federal government could be jeopardized. Looking ahead to FY 2027, the Trump administration's actions could also significantly harm the health of our residential housing market and could mitigate improvements in the commercial market that we have been working towards following the pandemic.

The Board will receive revenue updates as a part of our normal budget processes, but more frequent updates may be necessary. In addition, the Board directs staff to continue to work collaboratively with our partners at the Economic Development Authority to gather data and analyze economic trends in order to better understand the potential impacts on our residents, local businesses, and the County's overall finances. It will be important for us to be transparent with our community regarding these impacts, be prepared to assist residents as necessary, and be flexible as we navigate the upcoming year.

With this backdrop, much of the guidance that follows must be considered in light of these challenging and uncertain economic times.

Fairfax County Public Schools (FCPS)

By far, the largest share of our General Fund budget is dedicated to supporting our excellent schools. Given our current economic climate, the need for the Board of Supervisors and the School Board to work together has never been greater. Both boards continue to jointly advocate for increased state funding – with the need confirmed by the state's own Joint Legislative Audit and Review Commission (JLARC) study. These efforts must continue. As a result of joint efforts related to our respective capital programs, the County has taken measures to provide consistent additional funding to FCPS, including increasing bond sales by \$50 million annually and providing capital sinking fund allocations at year-end. In the past 3 years, these allocations have totaled almost \$29 million. Similar to these efforts, both boards have agreed to two new joint committees which will work across the organizations to identify cost savings and efficiencies in the areas of information technology and capital facilities. However, it is imperative that this collaboration extend to the broader budget. For the past 13 budget cycles, we have been including a Multi-Year Budget as part of our budget materials, providing an early look at our revenue and expenditure projections for the following budget year. Similarly, we work with our FCPS counterparts to develop our joint fiscal forecast, which we present in November of each year. For the past two years, however, despite tepid revenue projections, FCPS has requested the two largest transfer increases in history, with each more than double the average increase requested over the prior decade. Such funding requests, which ignore revenue projections and the potential impact on our taxpayers, provide no benefit. Instead, they send mixed messages to our residents and set unrealistic expectations for our students, teachers, and parents. Additionally, FCPS is then forced

to resolve a budgetary gap in a truncated timeframe, limiting the ability for the school community to fully understand and shape the final budget.

While the goal of releasing early budgetary projections is to provide transparency to our residents, another key purpose is to share information with FCPS to help inform their budget development process. FCPS is strongly encouraged to formulate an FY 2027 school operating transfer request which considers preliminary revenue estimates and the overall economic climate. This in no way impedes FCPS' ability to fully advocate for schools funding. But preparing a transfer request based upon current economic conditions, while also explaining the potential impacts resulting from that transfer amount, can help to educate our residents and allow for more robust, and informed, budget discussions.

The driving factor behind the increased transfer request this year was the 7 percent compensation increase that FCPS negotiated for employees in its Licensed Instructional and Operational bargaining units, with the increase proposed to be extended to all employees. The Board believes the sizeable increase in the School Operating transfer provided in FY 2026 will allow the School Board to provide significant targeted salary adjustments for its school-based employees. The Board supports the empowerment of employees through collective bargaining; however, agreements must be rooted in reason. Affordability must be a key consideration in these discussions, as well as targeting increases for specific job classes based on market comparisons. The Board regrets that FCPS collective bargaining negotiations took place with limited input from County budget staff, creating a situation where a fiscal commitment was made absent confidence that it could be met. The Board's expectation is that the County Executive work with the Superintendent to establish a formal process to avoid such a situation moving forward. FCPS is encouraged to engage its funding partners in its collective bargaining negotiations, and the County stands ready to assist in this endeavor. This process should also involve FCPS engagement with the Fairfax Delegation to the General Assembly to ensure that the General Assembly budget reflects pay raises included in the collective bargaining agreement.

FY 2027 Budget Development

As noted at the outset, given the considerable economic uncertainty facing the county, and our region, especially, predicting how our FY 2027 budget will be balanced is virtually impossible. County revenues for the next budget year are difficult to project, as future federal actions could have sweeping and significant implications. As we track revenue and economic data over the following months, we will have a better understanding of what might lie ahead. But we need to be prepared to adjust to changing economic conditions and adjust our projections – and expectations – accordingly.

In order to balance the FY 2026 budget, the County took a multi-pronged approach: diversifying the County's revenue by implementing a food and beverage tax, focusing expenditure increases on employee compensation and required spending, and cutting \$51 million in expenditures and 189 positions through an extensive reduction exercise. Further options to diversify our revenue are few, as the state continues to limit the County's ability to reduce our over-reliance on real estate taxes. Thus, for our FY 2027 budget, we will need to focus on limiting expenditure growth and pursuing additional cost-cutting measures.

Over the past three years, as lingering impacts of the pandemic have continued to impact County revenues – particularly as it relates to commercial real estate values – the County has included budgetary reductions as a key element of our budget-balancing practices. In total, the County has

cut expenditures by over \$90 million during this timeframe by identifying efficiencies, eliminating funded vacant positions, and implementing targeted programmatic cuts and service changes.

In order to provide options to balance the budget, particularly in light of an uncertain revenue outlook, the Board anticipates that the County will once again be pursuing cost-cutting measures. While all opportunities for savings should be explored, reviews should specifically focus on programs that:

- Could be redesigned or enhanced through the use of new technologies to be improved, streamlined, or consolidated;
- Need to be adjusted based on changing residents' needs, service demands or County priorities; or
- May no longer align with the County's current and future priorities.

In addition to the evaluation of programs, agencies should continue to thoughtfully evaluate their resource requirements on a smaller scale. This may include adjusting job classifications or realigning positions when vacancies arise based on changing business needs or considering opportunities to boost productivity such as increased training or enhanced use of technology for specific positions.

Many of the reductions proposed as part of the FY 2026 budget process generated significant community feedback, resulting in the Board's restoration of cuts such as ambulance staffing, Parks trail maintenance, and supportive services provided at Senior Centers. Aside from those reductions that are specifically addressed through other budget guidance, agencies are encouraged to consider community and Board feedback received during this budget cycle when recommending restored reductions again for FY 2027. Furthermore, all levels of the organization – including management levels – should be reviewed to determine if efficiencies can be gained and savings captured.

While the Board appreciates that direct employee involvement in these exercises can create considerable challenges and unnecessary workplace disruption, it is important that employees have an opportunity to provide their input. Thus, the Board directs that, as part of any FY 2027 reduction exercise, a portal be established to allow employees to provide cost saving ideas directly to the Department of Management and Budget. This should include an option for employees to submit ideas anonymously, if they choose. Additionally, a program should be explored which would allow employees submitting viable cost-saving options to receive a reward, such as a monetary stipend or additional leave.

County Employee Pay and Collective Bargaining

The Board is pleased that the FY 2026 budget provides full funding of the County's compensation plans, including the second year of the collective bargaining contracts with our Fire and Emergency Services and Police bargaining units, as well as increases based on the established pay programs for our non-represented employees. This would not have been possible without both County staff and our public safety unions considering affordability at the negotiating table and the Board incorporating agency reductions identified by the County Executive in recent years. An election for the General County bargaining unit is currently underway. Assuming that employees opt for union representation, the Board's expectation is that the resulting negotiations would likewise consider affordability and the market position of specific job classifications.

It must be noted that – given the unpredictable path of the economy as discussed earlier – fully funding compensation in the upcoming budget may be difficult. Consistent with past Board guidance, the County Executive is directed to recommend equitable pay adjustments across the various employee groups.

Transportation

The Commonwealth's 2025-2026 Biennium Budget provided temporary fiscal relief for Metro in FY 2025 and FY 2026. This supplemental funding for Metro addressed approximately half of Virginia's jurisdictional share of the system's needs during this period. Consequently, Fairfax County's General Fund contribution to Metro has remained unchanged for these two fiscal years.

This enhanced level of state support is not anticipated to continue in FY 2027. Projections indicate that the baseline state transportation aid allocated to Fairfax County will be inadequate to cover the County's required operating subsidy for Metro in FY 2027 and beyond. Compounding this pressure, this state aid allocation is also used to partially support the operating subsidy for the Fairfax Connector bus system.

The Board remains vigilant in monitoring the progress of regional efforts aimed at addressing Metro's long-term fiscal stability. Key initiatives include the work of the DMVMoves coalition and the General Assembly's SJ 28 Joint Subcommittee, both focused on identifying viable Metro cost containment strategies and establishing a dedicated, reliable funding source for regional transportation that does not rely upon local Real Estate taxes. Fairfax County continues to be an active participant in these critical regional discussions, investing considerable staff and Board time and resources. The Board looks forward to working with the new Virginia Governor and General Assembly following this fall's election in finding a solution to this perennial funding issue.

Failure to achieve a regional consensus on sustainable funding or significant operational efficiencies for Metro presents a considerable financial risk to the entire region. Without such changes, addressing Metro's anticipated operating and capital requirements in FY 2027 will likely require a substantial increase in the County's General Fund investment.

Metro is not the only transportation funding priority that must be considered, as we continue to see demand for enhancements to pedestrian and bicycle infrastructure as well as needs within our own Connector bus system. As we see increased pressures on our General Fund, the Board directs staff to examine whether capacity exists to accommodate transportation needs other than Metro within our General Obligation bond program.

Affordable Housing

Affordable housing continues to be a top priority and once again the Board is reaffirming the goal of meeting a minimum of 10,000 new affordable housing units by the year 2034. This will require baseline funding equivalent to two pennies on the Real Estate Tax rate. The FY 2026 budget dedicates an additional ¼ penny on the Real Estate Tax rate bringing baseline resources to 1¼ pennies, or \$42.44 million. These baseline resources, coupled with more than \$97 million in one-time funding added between FY 2022 and FY 2024, demonstrates the Board's commitment to expanding the County's affordable housing portfolio. It is hoped that the equivalent of two pennies on the Real Estate Tax rate will be reached by FY 2027; however, until this goal is achieved, the County Executive is encouraged to identify onetime balances at quarterly reviews and pursue other funding opportunities.

Further, the County Executive is directed to identify opportunities to increase the speed with which new affordable housing is delivered and reduce the cost to do so. These opportunities should include encouraging fast-tracking predominantly affordable residential developments and developing a timeline and process for implementing existing state authority to moderate or reduce development and regulatory fees for affordable housing developments.

Parks

The FY 2026 budget incorporates a partial restoration of funding for essential Fairfax County Park Authority (FCPA) services, including trail maintenance, mowing, and support to the Fairfax County Park Foundation (Foundation).

The Foundation, through its 25-year history, has successfully fundraised, obtained grants, and created partnerships to supplement County funds for parks services, programs, and facilities. The Board directs the Foundation, without restrictions, to investigate and pursue the potential to support other governments or other entities engaged in the public benefit consistent with the mission of promoting parks, the environment, open space, sports and recreation. This opportunity provides for a more diverse development portfolio and ensures the long-term sustainability of the Foundation. The County looks forward to working with the Foundation to explore options for further reducing reliance upon County funding in FY 2027 and beyond. Options to be considered should be developed in time for inclusion in the FY 2027 Advertised budget.

Consistent with the County's commitment to achieving zero waste by 2030 under the Operational Energy Strategy, efforts to expand enhanced FCPA trash and recycling collection were initiated in a pilot program for two of the six maintenance areas in FY 2025. While this pilot program has been successful, we continue to hear from the community about the lack of recycling receptacles at parks in other parts of the County. As a result, funding for the one-time capital requirements for the four remaining maintenance areas not covered by the pilot should be prioritized in the *FY 2025 Carryover Review*. Any associated recurring operational costs will be incorporated into the FY 2027 budget development process.

Finally, the Board supports the ongoing discussions between DMB and FCPA staff regarding FCPA's operational and capital needs. Much progress has been made in this area, as we have seen consistent investments for Parks outside of our normal annual budget process. In total, the County has provided over \$90 million to Parks through our quarterly reviews in the past five years and an additional \$40 million through federal ARPA stimulus funding. The Board encourages this type of commitment and encourages continued collaboration to examine opportunities to provide more flexibility in meeting the challenges currently facing FCPA.

Employees' Child Care Center

The Board heard from many parents and staff regarding the Employees' Child Care Center (ECCC) and appreciates the thoughtful feedback and suggestions. In particular, given the child care shortage, the Board agrees that access to child care should be maximized. It was clear from the testimony that both families and staff are passionate about the services and have ideas on how to make the program successful. Therefore, before the Department of Neighborhood and Community Services (NCS) moves forward with contracting out this service, they are directed to engage with families of children currently enrolled to explore options to reduce costs while maintaining service quality. NCS should report back to the Board on progress and next steps at an upcoming Human Services Committee meeting in time for recommendations to be incorporated into the FY 2027 Advertised budget.

Middle School After School

The Middle School After School (MSAS) partnership with the Fairfax County Public Schools has provided a safe, supervised learning environment after the regular school day since its inception in 2007. The Board recognizes the value families place in these options and the immediacy of the proposed reductions. As such, the Board is restoring the proposed reduction for the 2025-26 school year for one year, with the expectation that the program will continue for the 2026-27 school year at a reduced cost. Staff are directed to work with FCPS to develop potential program savings, including fee options, for consideration as part of the FY 2027 Advertised Budget. The proposed fee structure should incorporate a reduced fee option to ensure alignment with our joint One Fairfax efforts. Further, staff are directed to pursue a Memorandum of Understanding to both update and memorialize the partnership. These efforts should include a clear agreement on funding responsibility and management of the program, program consistency among middle schools, and mechanisms for regular reporting of metrics regarding utilization and demographics to both Boards. Staff from both the County and Schools should report back to the Board of Supervisors at a Human Services Committee meeting as soon as possible. It is imperative that decisions about this program be made well in advance of the development of the FY 2027 budget, taking into consideration the integration of the MSAS program with other programs and allowing adequate time to plan for future school year programming.

Post-Secondary Education Program

The Fairfax-Falls Church Community Services Board (CSB) operates the Self-Directed Services (SDS) program to support adults with developmental disabilities as they learn or improve important skills so they can be active in their communities. While two of the three components of the SDS program (employment and community-based day activities) will be maintained, the Board recognizes families were facing an abrupt end of funding for the third component, Post-Secondary Education (PSE) support, and is concerned with the commitment made to the families already receiving that support. Accordingly, the Board has restored the funding to continue these programs for currently enrolled families for one year. Moving forward, CSB should consider options to reduce funding needs, including the institution of a cap on support, sunseting services not reimbursed by a Medicaid Developmental Disabilities (DD) waiver, and working with alternative service providers to develop lower cost options for families in need of PSE services. Staff should report back to the Board on progress and next steps at a Human Services Committee meeting in time for recommendations to be incorporated into the FY 2027 Advertised budget.

New Generations/Cornerstones

The Fairfax-Falls Church Community Services Board operates New Generations and Cornerstones as part of a continuum of care to address substance use disorders with or without co-occurring mental health disorders. Given the number of individuals these two programs serve, both will be discontinued in FY 2026; however, the Board is committed to ensuring clients at New Generations and Cornerstones continue to receive uninterrupted services as they transition out of these two programs and into other CSB programs.

Sheriff

The Office of the Sheriff continues to experience heightened vacancy rates among deputy sheriffs, requiring mandatory overtime and increased costs to staff the Adult Detention Center, Courts, and Civil Enforcement. The Board directs staff to investigate the root causes of these vacancies and return to its Safety and Security Committee with recommendations to improve staffing levels, which could include increased funding for recruitment initiatives, the identification and accelerated implementation of operational efficiencies, and revisions to staffing formulas.

Child Safety Seat Program

The community has come to rely on the child safety seat inspections provided by the Police Department. However, utilizing sworn police officers in this capacity increases overtime costs and reduces the number of officers available for patrol and other duties. Therefore, the Police Department is directed to review other options to provide this valuable service to the community, which could include training volunteers in the CERT or Auxiliary Police to fulfill this role.

School Crossing Guards

Many residents contacted the Board to express their concerns regarding the proposed elimination of crossing guards at all FCPS high schools. The Board has restored funding to continue that service in FY 2026 and remains committed to improving safety for our school children and other pedestrians, as demonstrated by the significant investments we have made for pedestrian and bicycle infrastructure over the past several years totaling over \$82 million.

However, the Police Department has faced difficulties in recruiting crossing guards, requiring sworn police officers to fill in at many school crossings each day, increasing overtime expenses and reducing the number of officers available to respond to calls for service. The Police Department is directed to continue to explore cost-saving measures for this program, such as those discussed at the Safety and Security Committee meeting on July 23, 2024, that would identify alternative staffing or a contract provider to alleviate the impact of crossing guard vacancies. The placement of crossing guards and any decisions to add or remove protected crossings must continue to be based upon clearly defined metrics that prioritize the safety of students while also considering the impact on school bus and kiss and ride operations. The Police Department should solicit feedback from existing crossing guards on how to recruit and retain more guards as well as challenges they experience at their unique crossings.

Police Overtime

One reduction recommended by the Police Department and included in the FY 2026 budget is a decrease of \$1.7 million to the department's overtime budget, which represents 3.7 percent of the department's total overtime spending last year. These savings recognize recent improvements in overtime policy and procedure compliance and police officer retention and recruitment with the number of sworn vacancies decreasing over 25 percent in the last year, reducing the need to rely on overtime to meet daily staffing requirements. We continue to support initiatives, such as the successful hiring incentive program, that will reduce officer vacancies and drive down overtime expenses. However, the safety of our community and our officers must continue to be the priority. Therefore, staff is directed to monitor police staffing and overtime trends and report to the Board on any negative operational impacts resulting from this decrease in overtime funding.

Office of the Public Defender

The County provides supplements to the salaries of many state employees, including those in the Office of the Public Defender (OPD). While these supplements are an important tool that help OPD recruit and retain highly qualified employees, OPD has highlighted several situations where the current process of administering them creates challenges during promotional processes. Therefore, staff are directed to work with OPD to explore changes to the administration of these supplements, including providing funds directly to the Indigent Defense Commission, and report back to the Board with any recommendations.

Transient Occupancy Tax and Investments in Tourism Promotion

As part of the FY 2026 Advertised Budget Plan, a two percent increase to the Transient Occupancy Tax (TOT) rate was proposed, bringing the rate from four to six percent, aligning Fairfax County with comparable regional jurisdictions.

Pursuant to state code requirements, revenue generated by the first additional percentage point must be designated and spent solely on tourism promotion, marketing, or initiatives developed in consultation with local tourism industry organizations. Funding derived from this specific percentage point increase is currently held in reserve for these dedicated tourism-related purposes.

Recognizing the importance of tourism and industry feedback received during the FY 2026 budget process, the Board requests hospitality industry representatives to collaborate with Visit Fairfax to develop a proposed outline for the optimal use of these reserved funds. Subsequently, Visit Fairfax is directed to then present these recommendations to the Board via the Economic Initiatives Committee (EIC) in fall 2025. This presentation will inform strategic decisions regarding the deployment of these funds for the benefit of the County and the tourism industry.

Separately, County staff will continue collaborating with the hospitality industry to explore potential remedies, including relief mechanisms or caps, concerning credit card processing fees charged to lodging establishments. Should viable solutions be identified, staff will include appropriate recommendations within the County's upcoming legislative program.

I now move the Budget Guidance that I just reviewed, which will help direct the FY 2027 budget process.

Reserve Policies

The reserve policies adopted by the County are complementary to the requirement for balanced budgets. Among the long-standing policies are that:

- Annual budgets be balanced between projected total funds available and total disbursements including funding for established reserves;
- It is imperative that positive cash balances exist in the General Fund at the end of each fiscal year; and
- If an operating deficit appears to be forthcoming in the current fiscal year wherein total disbursements will exceed the total funds available, the Board will take appropriate action to balance revenues and expenditures as necessary to end each fiscal year with a positive cash balance.

In FY 2016, the Board of Supervisors updated the *Ten Principles of Sound Financial Management* to increase the County's overall reserve target from 5 percent to 10 percent of General Fund Disbursements. Since the reserve targets were adjusted, the County made significant progress in increasing reserve funding. As of the FY 2027 Advertised Budget Plan, total reserve funding is funded at 10 percent of General Fund Disbursements. Additional allocations to maintain the 10 percent target will be made through a combination of annual appropriations, by applying one-time resources such as bond refunding, and setting aside 40 percent of year-end balances after funding critical requirements.

There are three primary General Fund reserves:

Managed Reserve

- Policy of four percent of General Fund Disbursements.
- Per the FY 2027 Advertised Budget Plan, funding equates to 4.0 percent or \$233.53 million.
- From the *Ten Principles*: A Managed Reserve shall be maintained in the General Fund at a level sufficient to provide for temporary financing of critical unforeseen disbursements of a catastrophic emergency nature. The reserve will be maintained at a level of not less than four percent of total General Fund disbursements in any given fiscal year.

Revenue Stabilization Fund

- Policy of five percent of General Fund Disbursements.
- Per the FY 2027 Advertised Budget Plan, funding equates to 5.0 percent or \$305.29 million.
- From the *Ten Principles*: A Revenue Stabilization Fund (RSF) shall be maintained in addition to the managed reserve at a level sufficient to permit orderly adjustment to changes resulting from curtailment of revenue. This Fund shall be maintained at five percent of total General Fund disbursements in any given fiscal year. Use of the RSF should only occur in times of severe economic stress. Accordingly, a withdrawal from the RSF will not be made unless the projected revenues reflect a decrease of more than 1.5 percent from the current year estimate and any such withdrawal may not exceed one half of the RSF fund balance in that year. A drawdown of this Fund should be accompanied with expenditure reductions.
- The RSF was used for the first and only time in FY 2009. A withdrawal of \$18.7 million was a small part of the total plan approved by the Board which included significant reductions, a furlough for employees and application of other balances to address a \$64.7 million shortfall at the *FY 2009 Third Quarter Review*. As a result of available balances at FY 2009 year-end, the reserve was fully replenished.

Economic Opportunity Reserve

- Policy of one percent of General Fund Disbursements.
- Per the FY 2027 Advertised Budget Plan, funding equates to 1.0 percent or \$60.47 million.
- From the *Ten Principles*: An Economic Opportunity Reserve shall be established in addition to the Managed Reserve and the Revenue Stabilization Fund. This reserve is meant to stimulate economic growth and will provide strategic investment opportunities that are identified as priorities by the Board of Supervisors. This reserve is equal to one percent of total General Fund disbursements. Funding for this reserve occurred after the Managed Reserve and the Revenue Stabilization Fund were fully funded at their new levels of four percent and five percent, respectively. Criteria for funding, utilization, and replenishment of the reserve were approved by the Board of Supervisors as part of the Eight Principles of Investment in Economic Opportunities. The criteria for use will include financial modeling analysis (e.g. cost-benefit, etc.) to determine the fiscal impact to the County of the proposed investment opportunity and requires approval from the Board of Supervisors for any use.

In addition to the Managed Reserve, the RSF, and the Economic Opportunity Reserve, the County has many reserves maintained within various funds. Most recently and as part of the *FY 2025 Third*

Long-Term Financial Policies and Tools

Quarter Review, the County established a Reserve for Economic Uncertainty resulting in \$10.1 million being set aside for potential federal actions negatively impacting the County's budget. Among the more traditional reserves are those designated for replacement of equipment and facilities, identified for long-term liabilities, to meet debt service requirements, and as operating/rate stabilization reserves. Staff identifies potential changes to funding levels and brings to the Board policy decisions which need to be made in relation to Reserve Policies as part of the annual budget process. In addition, during the Carryover process at year end, reserve balances are often reset as a result of actual fund balances and/or actuarial analyses. More details about the size of the reserves and the specific use for them are available in each agency narrative, but the Board policies concerning reserves are summarized below.

Replacement Reserve Policies: The Board of Supervisors has repeatedly reaffirmed the policy that the County budget shall include funds for cyclic and scheduled replacement or rehabilitation of equipment and other property to minimize disruption of budgetary planning from irregularly scheduled monetary demands. These reserves are necessary to provide a source of funding for planned replacement of major equipment or infrastructure over several years. For example, the County maintains a vehicle replacement reserve within the Department of Fleet Management to plan for vehicle replacement once age, mileage and condition criteria have been met. General Fund monies are set aside each year over the life of the existing vehicle to pay for its replacement. Helicopter, ambulance, and large apparatus replacement funds are also maintained for the Police and Fire and Rescue Departments. Fixed payments to these reserves are made annually to ensure funding is available at such time that the equipment must be replaced.

Outstanding Liability Policies: The Board of Supervisors has also consistently funded reserve requirements for outstanding liabilities as they are identified and in conformance with accounting standards and practices. It is important to note that contributions to these liability reserves have been sustained even as reductions in services have been made, demonstrating the commitment of the Board to meet its fiduciary responsibilities. An example of a liability reserve is the County's Self Insurance program, which is evaluated each year by an actuary and the liability for all self-insured programs is identified. The accrued liability reserve identified as of year-end is funded during a subsequent quarterly review. An additional reserve is also currently identified by County policy for catastrophic loss above and beyond the identified accrued liability. Beginning in FY 2008, the County's financial statements were required to implement Governmental Accounting Standards Board (GASB) statements for other post-employment benefits. This standard addressed how local governments should account for and report their costs related to post-employment health care and other non-pension benefits. Therefore, an actuarially determined contribution (ADC) to meet the long-term liability is funded by both the County and Schools.

Debt Service Reserve Policies: The majority of debt service reserves are maintained by a trustee as stipulated by the terms of the bond documents for the bonds, which are being supported. However, the Wastewater Management Program, as an Enterprise System ("System") of the County, established a Sewer Bond Debt Reserve in Fund 69030, Sewer Bond Debt Reserve, to provide one year of principal and interest for the outstanding bond series as required by the Sewer System's General Bond Resolution. However, due to the strong financial standing of the System and its triple-A bond rating, this reserve was discontinued as part of the *FY 2024 Carryover Review*. This was based on actions taken in spring 2024 from the Board of Supervisors and consent agreements from bondholders and the proceeds from this reserve were returned to the County for capital investment in the System.

Operating and Rate Stabilization Reserve Policies: The County has also identified reserves for potential operating adjustments that may be required and/or to help mitigate the need for significant

shifts in tax rates or charges for services. The Boards of both the County and Schools have often approved set aside reserves to assist in budget development for the next year. These reserves have been established as the result of balances accumulated through expenditure savings and conservative revenue projections consistent with the policy that positive cash balances are available at year end.

In addition to its standard reserve policies, the Board regularly reviews the status of fund reserves and makes policy decisions to improve the County's reserve position based on availability and budget flexibility.

Third Quarter and Carryover Reviews

The Department of Management and Budget conducts a Third Quarter Review on the current year Revised Budget Plan, which includes a detailed analysis of expenditure requirements. All agencies and funds are reviewed during the Third Quarter Review and adjustments are made to the budget as approved by the Board of Supervisors. Section 15.2-2507 of the Code of Virginia requires that a public hearing be held prior to Board action when the potential increases in the appropriation are greater than 1.0 percent of expenditures. The Board's Adopted Budget guidelines indicate that any balances identified throughout the fiscal year, which are not required to support expenditures of a legal or emergency nature, must be held in reserve.

Carryover Review represents the analysis of balances remaining from the prior year and provision for the appropriation of funds to cover the prior year's legal obligations (encumbered items) in the new fiscal year without loss of continuity in processing payments. Carryover extends the prior year funding for the purchase of specific items previously approved in the budget process, but for which procurement could not be obtained for various reasons. All agencies and funds are reviewed during the Carryover Review and adjustments are made to the budget as approved by the Board of Supervisors. Again, the Code of Virginia requires that a public hearing be held prior to Board action when the potential increases in the appropriation are greater than 1.0 percent of expenditures.

Cash Management/ Investments

Maintaining the safety of the principal of the County's public investment is the highest priority in the County's cash management policy. The secondary and tertiary priorities are the maintenance of liquidity of the investment and optimization of the rate of return within the parameters of the Code of Virginia, respectively. Funds held for future capital projects are invested in accordance with these objectives, and in such a manner to ensure compliance with U.S. Treasury arbitrage regulations. A senior interagency Investment Committee develops investment policies and oversees the effectiveness of portfolio management in meeting policy goals.

The County maintains cash and temporary investments in several investment portfolios. A general investment portfolio holds investments purchased by the County for the pooled cash and General Obligation Bond funds. Investments for this portfolio are held by a third-party custodian. Other portfolios are managed to meet the specific needs of County entities, such as the Fairfax County Economic Development Authority Metrorail Parking System Project Revenue Bonds (the Herndon and Innovation Center Station Parking Garages), Sewer Revenue Bonds, and Fairfax County Redevelopment and Housing Authority Bonds. Investments for all portfolios are held by a third-party custodian.

Except where prohibited by statutory or contractual constraints, the General Fund is credited with interest earned in the general investment pool. Non-General Fund activities that earn interest through

centralized investment management contribute to the cost of portfolio management by way of a market-based administrative charge that accrues to the General Fund.

Debt Management/ Capital Improvement Planning

The Commonwealth of Virginia Constitution requires that long-term debt pledged by the full faith and credit of the County can only be approved by voter referendum. There is no statutory limit on the amount of debt the voters can approve. It is the County's own policy to manage debt within the guidelines identified in the *Ten Principles of Sound Financial Management*. Specifically, debt service expenditures as a percentage of General Fund disbursements should remain under ten percent and the percentage of debt to estimated market value of assessed property should remain under three percent. The County continues to maintain these debt ratios, as shown in the following tables:

Debt Service Requirements as Percentage of Combined General Fund Disbursements

Fiscal Year	Debt Service Requirements ¹	General Fund Disbursements ²	Percentage
2023	338,052,652	5,092,737,845	6.64%
2024	345,213,427	5,302,283,459	6.51%
2025	365,838,672	5,686,614,515	6.43%
2026 (Est.)	393,458,621	5,637,196,208	6.98%
2027 (Est.)	412,209,368	5,962,825,083	6.91%

¹ The amount includes total principal and interest payments on the County's outstanding tax supported debt obligations, including General Obligation Bonds, Economic Development Authority bonds, and other tax supported debt obligations budgeted in other funds. Sources: FY 2023 to FY 2025 Annual Comprehensive Financial Report; FY 2026 and FY 2027 Fairfax County Department of Management and Budget.

² Sources: FY 2023 to FY 2025 Annual Comprehensive Financial Report; FY 2026 and FY 2027 estimates per Fairfax County Department of Management and Budget.

Net Debt as a Percentage of Market Value of Taxable Property

Fiscal Year	Net Bonded Indebtedness ¹	Estimated Market Value ²	Percentage
2023	3,028,957,000	313,803,563,525	0.97%
2024	3,141,577,000	333,098,853,897	0.94%
2025	3,250,349,000	343,178,958,676	0.95%
2026 (Est.)	3,375,360,000	361,158,581,704	0.93%
2027 (Est.)	3,694,489,000	373,415,989,890	0.99%

¹ The amount includes outstanding General Obligation Bonds and other tax supported debt obligations. Sources: FY 2023 to FY 2025 Annual Comprehensive Financial Report and Fairfax County Department of Tax Administration; FY 2026 and FY 2027 Fairfax County Department of Management and Budget and Department of Tax Administration.

² Source: Fairfax County Department of Tax Administration and Department of Management and Budget.

Per capita debt is also an important measure used in analyses of municipal credit. Fairfax County has historically had moderate to low per capita debt and per capita debt as a percentage of per capita income due to its steady population growth, growth in the assessed valuation of property and personal income of residents, combined with a record of rapid repayment of capital debt.

The *Ten Principles* establish, as a financial guideline, a self-imposed limit on the level of the average annual bond sale. Actual bond issues are carefully sized with a realistic assessment of the need for

funds, while remaining within the limits established by the Board of Supervisors. In addition, the actual bond sales are timed for the most opportune entry into the financial markets. The policy guidelines enumerated in the *Ten Principles* also express the intent of the Board of Supervisors to encourage a diversified economy in the County and to minimize the issuance of underlying indebtedness by towns and districts located within the County.

It is County policy to balance the need for public facilities, as expressed by the countywide land use plan, with the fiscal capacity of the County to provide for those needs. The five-year Capital Improvement Program (CIP), submitted annually to the Board of Supervisors, is the vehicle through which the stated need for public facilities is analyzed against the County's ability to stay within its self-imposed debt guidelines as articulated in the *Ten Principles*. The CIP is supported largely through long-term borrowing that is budgeted annually in debt service or from General Fund revenues on a pay-as-you-go basis.

Pay-as-you-go Financing

Although a number of options are available for financing the proposed CIP, including bond proceeds and grants, it is the policy of the County to balance the use of the funding sources against the ability to utilize current revenue or pay-as-you-go financing. While major capital facility projects are funded through the sale of General Obligation Bonds, the Board of Supervisors, through the *Ten Principles*, continues to emphasize the importance of maintaining a balance between pay-as-you-go financing and bond financing for capital projects. Financing capital projects from current revenues indicates the County's intent to show purposeful restraint in incurring long-term debt. No explicit level or percentage has been adopted for capital projects from current revenues as a portion of either overall capital costs or of the total operating budget. The decision to use current revenues to fund a capital project is based on the merits of the project in relation to an agreed upon set of criteria. It is the Board of Supervisors' policy that non-recurring revenues should not be used for recurring expenditures.

Risk Management

Continuing growth in County assets and operations perpetuates the potential for catastrophic losses resulting from inherent risks that remain unidentified and unabated. In recognition of this, the County has adopted a policy of professional and prudent management of risk exposures.

To limit the County's risk exposures, a Risk Management Steering Committee was established in 1986 to develop appropriate policies and procedures. The County Risk Manager is responsible for managing a countywide program. The program objectives are as follows:

- To protect and preserve the County's assets and workforce against losses that could deplete County resources or impair the County's ability to provide services to its citizens;
- To institute all practical measures to eliminate or control injury to persons, loss to property or other loss-producing conditions; and
- To achieve such objectives in the most effective and economical manner.

While the County's preference is to fully self-insure, various types of insurance such as workers' compensation, automobile, and general liability insurance remain viable alternatives when they are available at an affordable price.

Pension Plans

The County funds the retirement costs for three separate retirement systems, including the Police Officers Retirement System, the Fairfax County Employees' Retirement System and the Uniformed Retirement System, while the Fairfax County Public Schools funds the cost of the Educational Employees Supplementary Retirement System. These retirement systems are administered by the County and are made available to Fairfax County government and school employees to provide financial security when they become retirement eligible or cannot work due to disability. In addition, professional employees of the Fairfax County Public Schools participate in a plan sponsored and administered by the Virginia Retirement System. The Board of Supervisors reviews the three County retirement plans annually and takes action to fund the County's obligation.

The County is committed to strengthening the financial position of its retirement systems. In order to improve the funded status of the plans, the Board of Supervisors approved, as part of the adoption of the FY 2016 Adopted Budget Plan, the following multi-year strategy:

- The employer contribution rates will be increased so that the County will include amortization of 100 percent of the unfunded liability in the actuarially determined contributions for all systems by FY 2020. The County will continue to use a 15-year amortization period.
- Until each system reaches 100 percent funded status, employer contributions to that system will not be reduced. Various factors, such as the historical trend of the County's investment returns exceeding the assumed rate of return, could allow employer contribution rates to be reduced from current levels. However, the County is committed to maintaining the rates and redirecting any potential savings into further improvement in the systems' funded positions.
- Any additional unfunded liability created as a result of approved benefit enhancements, such as ad-hoc Cost-of-Living Adjustments (COLAs), will be fully funded. It is the intent that no adjustments to benefit levels will reduce the funded status of any of the systems.

In keeping with this strategy, the FY 2020 Adopted Budget Plan included the amortization of 100 percent of the unfunded liability in the actuarially determined contributions for all systems. In addition, the employer contribution rates to all three systems have been maintained or increased each year, and benefit enhancements, when approved by the Board, have been accompanied by one-time contributions to fully fund any associated increase in liability in the year that the benefit enhancement is approved.

The County has also taken multiple steps to limit increases in liabilities:

- In FY 2010, the requirements regarding the award of ad-hoc COLAs were tightened. Retirees are eligible to receive an annual base COLA which is the lesser of the Consumer Price Index (CPI) for the 12 months ending on the previous year's March 31, or 4.0 percent. If certain conditions are met, an additional 1.0 percent ad-hoc COLA can be awarded at the discretion of each retirement system's Board of Trustees. After a staff review at the Board of Supervisors' direction, the Fairfax County Code was changed to require that the retirement system must have an actuarial surplus, demonstrated by having a funding ratio exceeding 100 percent, before an ad-hoc COLA can be considered.
- In FY 2012, the Board of Supervisors adopted modifications to the retirement systems, which apply to new employees who are hired on or after January 1, 2013. These changes include increasing the minimum retirement age for normal service retirement from 50 to 55 in the Employees' system; increasing the rule of 80 (age plus years of service) to the rule

of 85 in the Employees' system; placing a cap on the use of sick leave for purposes of determining retirement eligibility and benefits at 2,080 hours for all three retirement systems; and, for the Deferred Retirement Option Plan (DROP), removing the pre-Social Security supplement from balances accumulated during the DROP period in the Employees' and Uniformed systems. No changes were made to benefits for existing employees.

- In FY 2019, the Board of Supervisors adopted modifications to the retirement benefits provided to employees hired on or after July 1, 2019. These changes include eliminating the pre-Social Security supplement for employees in the Employees' and Uniformed systems and repealing the additional retirement allowance that increases the calculated retirement annuity by 3 percent for all three retirement systems. No changes were made to benefits for existing employees.

Revenue projections associated with future returns on fund investments for the three separate County retirement systems are based on an assumed actuarial rate of return. As part of the July 1, 2021, actuarial valuation, this rate was reduced from 7.25 percent to 6.75 percent.

The School Board reviews the Educational Employees' Supplementary Retirement plan annually and takes action to fund the County's obligation based on actuarial valuations that are usually performed annually. As part of the December 31, 2021, actuarial valuation, the discount rate was reduced from 7.25 percent to 7.00 percent.

Benefits are defined in each system according to the requirements of an ordinance of the Fairfax County Code. Each retirement system is governed by a Board of Trustees whose function is the general administration and operation of the system. Each Board has full power to invest and reinvest the accumulated monies created by the systems in accordance with the laws of the Commonwealth as they apply to fiduciaries investing such funds. Investment managers are hired by each Board and operate under the direction of the Boards' investment objectives and guidelines. Each Board meets once a month to review the financial management of the funds and to rule on retirement applications.

Other Post-Employment Benefits (OPEB)

Beginning in FY 2008, the County's financial statements were required to implement Governmental Accounting Standards Board (GASB) statements that address how local governments should account for and report their costs related to post-employment health care and other non-pension benefits. Currently, the County offers retirees the option to participate in County group health insurance, life insurance, and dental plans. These benefits are offered to retirees at premium rates established using the blended experience of the active and retiree populations. As such, retirees receive an "implicit" benefit, as these premium rates are typically lower than if they were set solely using the experience of the retiree group. In addition, County retirees receive an explicit benefit through the retiree health benefit subsidy. The County provides monthly subsidy payments to eligible County retirees to help pay for health insurance. The current monthly subsidy, approved in FY 2018, commences at age 55 and varies by length of service. The monthly subsidy is provided to retirees on a discretionary basis, and the Board of Supervisors reserves the right to reduce or eliminate the benefit in the future if the cost of the subsidy becomes prohibitive or an alternative is chosen to aid retirees in meeting their health insurance needs.

GASB 75 requires that the County accrue the cost of post-employment benefits during the period of employees' active employment, while the benefits are being earned, and disclose the unfunded actuarial accrued liability to accurately account for the total future cost of post-employment benefits and the financial impact on the County. The County established the OPEB Trust Fund in FY 2008

to pre-fund the cost of post-employment healthcare and other non-pension benefits. Establishing such a trust fund allows the County to capture long-term investment returns and make progress towards eliminating the unfunded liability. This methodology mirrors the funding approach used for pension benefits. As a result, the County is required to make an annual contribution towards the long-term liability. This includes an amount for benefits accrued by active employees during the fiscal year, as well as an additional amount to address the unfunded actuarial accrued liability.

Effective calendar year 2026, the County transitioned the Employer Group Waiver Plan (EGWP) for Medicare retiree prescription drug coverage from a self-insured to a fully insured model, reducing long-term exposure to prescription drug cost volatility. Under the fully insured arrangement, federal EGWP subsidies are reflected indirectly through insurance carrier pricing rather than received directly by the County. As a result, EGWP-related costs and associated federal subsidies are excluded from the actuarial valuation, as the County's obligation under the fully insured arrangement is limited to the payment of premiums rather than underlying prescription drug claims. This structural change contributes to a lower Actuarial Accrued Liability (AAL) and an improved funded ratio relative to prior plan designs.

The AAL is calculated annually as part of the actuarial valuation and includes adjustments due to benefit enhancements, medical trend experience, and normal growth assumptions. Before approving additional benefit enhancements, the County must carefully consider not only the impact on the current fiscal year budget, but also the long-term impact on the County's OPEB liability and actuarially determined contribution. As part of the July 1, 2021, actuarial valuation, the County made changes to two key assumptions to be more conservative. First, the assumed actuarial rate of return – or discount rate – was reduced from 6.50 percent to 6.25 percent. Second, the amortization period was reduced from 30 to 20 years.

Fairfax County Public Schools (FCPS) offer similar benefits to their retirees, which result in a separate OPEB liability. FCPS also created an OPEB Trust Fund in FY 2008 to begin to address their unfunded liability and pre-fund the cost of other post-employment benefits.

Grants

County policy requires that the initial application and acceptance of all grants over \$100,000 be approved by the Board of Supervisors. Each grant application is reviewed for the appropriateness and desirability of the program or service. Upon completion of the grant, programs are reviewed on a case-by-case basis to determine whether the program should be continued utilizing County funds. The County has no obligation to continue either grant-funded positions or grant-funded programs if continued grant funding is not available.

Effective September 1, 2004, the Board of Supervisors established a new County policy for grant applications and awards that meet certain requirements. If a grant is \$100,000 or less, with a required Local Cash Match of \$25,000 or less, with no significant policy implications, and if the grantor does not require Board of Supervisors' approval, the agency can work directly with the Department of Management and Budget to receive the award and reallocate funding from the anticipated/unanticipated reserve directly to the agency. If an award exceeds these limitations but was listed in the Anticipated Grant Awards table in the Adopted Budget for the current fiscal year, Board of Supervisors' approval is not required unless the actual funding received differs significantly from the projected funding listed in the budget. For any grant that does not meet all the specified criteria, the agency must obtain Board of Supervisors' approval to apply for or accept the grant award.

Contributory Policies

To improve the general health and welfare of the community, as well as leverage scarce resources, it is the policy of the Board of Supervisors to make General Fund appropriations of specified amounts to various nonsectarian, nonprofit, or quasi-government entities. Because public funds are being appropriated, funds provided to designated contributory agencies are currently made available contingent upon submission and review of financial reports. This oversight activity includes program reporting requirements that request designated contributories to describe accurately, in a manner prescribed by the County Executive, the level and quality of services provided to County residents. As part of a Board matter presented on February 3, 2026, the Board of Supervisors has directed the County Executive to review a select number of organizations receiving these funds. The goal is to eliminate duplicative services and administrative functions, enhance coordination and accountability, and align economic development and placemaking. The resulting recommended changes are targeted for implementation on July 1, 2026, subject to review by the Board of Supervisors and alignment with the County's Strategic Plan and One Fairfax Policy.

Information Technology

The following ten strategic directions are fundamental principles upon which Fairfax County will base its Information Technology (IT) decisions in the upcoming years. These are intended to serve as guidelines to assist County managers in applying information technology to achieve business goals.

Ten Fundamental Principles of Information Technology

In addition to the Department of Information Technology's Mission and Goals, Fairfax County Information Technology (IT) projects and processes are guided by ten fundamental principles approved by the Board of Supervisors in 1996, and updated annually, as needed.

1. Our ultimate goal is to provide citizens, the business community, and County employees with timely, convenient access to appropriate information and services through the use of technology.
2. Business needs drive information technology solutions. Strategic partnerships will be established between the customer and County so that the benefits of IT are leveraged to maximize the productivity of County employees and improve customer services.
3. Evaluate business processes for redesign opportunities before automating them. Use new technologies to make new business methods a reality. Exploit functional commonality across organizational boundaries.
4. Manage Information Technology as an investment.
 - Annually allocate funds sufficient to cover depreciation to replace systems and equipment before life-cycle end. Address project and infrastructure requirements through a multi-year planning and funding strategy.
 - Limit resources dedicated to "legacy systems" - hardware and software approaching the end of its useful life - to absolutely essential or mandated changes. Designate systems as "legacy" and schedule their replacement. This approach will help focus investments toward the future rather than the present or past.

Ten Fundamental Principles of Information Technology

- Invest in education and training to ensure the technical staffs in central IT and user agencies understand and can apply current and future technologies.
- 5. Implement contemporary, but proven, technologies. Fairfax County will stay abreast of emerging trends through an ongoing program of technology evaluation. New technologies often will be introduced through pilot projects where both the automation and its business benefits and costs can be evaluated prior to any full-scale adoption.
- 6. Hardware and software will adhere to open (vendor-independent) standards and minimize proprietary solutions. This approach will promote flexibility, inter-operability, cost effectiveness, and mitigate the risk of dependence on individual vendors.
- 7. Manage the enterprise network as a fundamental building block of the County's IT architecture. The network will connect modern workstations and servers; will provide both internal and external connectivity; will be flexible, expandable, and maintainable; be fully integrated using open standards and capable of providing for the free movement of data, graphics, image, video, and voice.
- 8. Approach IT undertakings as a partnership of central management and agencies providing for a combination of centralized and distributed implementation. Combine the responsibility and knowledge of central management, agency staff, as well as outside contract support, within a consistent framework of County IT standards. Establish strategic cooperative arrangements with public and private enterprises to extend limited resources.
- 9. Emphasize the purchase and integration of top quality, commercial-off-the-shelf software (COTS) - with minimal customization - to speed the delivery of new business applications. This will require redesigning some existing work processes to be compatible with off-the-shelf software packages. Utilize modern efficient methods and laborsaving tools in a cooperative application development environment. A repository for common information objects (e.g., databases, files, records, methods, application inventories) will be created, shared and reused.
- 10. Capture data once in order to avoid cost, duplication of effort and potential for error and share the data whenever possible. Establish and use common data and common databases to the fullest extent. A data administration function will be responsible for establishing and enforcing data policy, data sharing and access, data standardization, data quality, identification, and consistent use of key corporate identifiers.

Budget

The primary financial management tool used by the County is the annual budget process. This involves a comprehensive examination of all expenditure and revenue programs of the County, complete with public hearings and approval by the Board of Supervisors.

Capital Improvement Program (CIP)

The Board of Supervisors annually considers and adopts a five-year Capital Improvement Program (CIP), which supports and implements the Comprehensive Plan. The CIP includes five years of project planning and forecasts project requirements for an additional five-year period. The CIP helps balance the need for public facilities identified by the Comprehensive Plan with the County's fiscal resources and serves as a planning guide for the construction of general County facilities, schools, and public utilities. The CIP process provides a framework for development of reliable capital expenditure and revenue estimates, as well as the timely scheduling of bond referenda.

The CIP is an integral element of the County's budgeting process. The Capital Budget is the foundation for the first year of the adopted five-year CIP. The remaining four years in the CIP serve as a general planning guide. Future planning requirements five years beyond the CIP period are also included. The CIP is supported largely through long-term borrowing, which is budgeted annually in the debt service fund or from General Fund revenues on a pay-as-you-go basis. The Board of Supervisors has approved the Principles of Sound Capital Improvement Planning and Criteria for Recommending Capital Projects, which are applied every year in the development of the CIP. The principles establish the County's Comprehensive Plan as the basis for capital planning requirements and emphasize the principle of life-cycle planning for capital facilities. The CIP is an integral part of the annual budget plan and is included on the County's website.

In October 2005, Fairfax County adopted revised guidelines for review of unsolicited Public Private Educational Facilities and Infrastructure Act (PPEA) proposals. In FY 2008, project screening criteria as presented in the CIP were approved for determining when an unsolicited PPEA project should be pursued or rejected. It is anticipated that other refinements, including any required legislative updates to the PPEA evaluation and review process will be developed and presented to the Board of Supervisors as needed. As of January 28, 2008, the County will only pursue an unsolicited PPEA project if, based on minimal analysis, the project offers a significant contribution to near term CIP goals, it offers significant savings to the General Fund, or a significant positive effect on the County's debt capacity.

In February 2020, the Board of Supervisors and the School Board established a joint CIP working group to allow for information sharing, prioritizations, and planning by both the County and Fairfax County Public Schools. The Committee spent its time reviewing the County's existing Financial Policies, considering the financing options available for capital projects, understanding the capital project requirements identified for both the County and Schools, and evaluating the current CIP Plan and processes. Following these discussions, the Committee arrived at a series of recommendations, which included gradually increasing General Obligation Bond Sale limits from \$300 million to \$400 million annually; dedicating the equivalent value of one penny on the Real Estate tax to the County and School capital program to support both infrastructure replacement and upgrade projects and debt on the increased annual sales; and increasing the percentage allocated to the Capital Sinking Fund at year-end, as well as including Schools in the allocation. These recommendations were adopted by the Board of Supervisors in December 2021.

Revenue Forecast

Revenue estimates are monitored monthly to identify any potential trends that would significantly impact the revenue sources. A Revenue Task Force meets regularly to review current construction trends, the number of authorized building permits, housing sales, mortgage rates, and other economic data, which impact Real Estate Tax revenue collections. In addition, the Revenue Task Force uses statistical models to estimate such revenue categories as: Personal Property Tax; Local Sales Tax; Business, Professional, and Occupational License Tax (BPOL); Consumer Utility Tax; and Recordation Tax.

Financial Forecast

A forecast of General Fund receipts and disbursements is developed as part of each year's budget process and is updated periodically. Individual and aggregate revenue categories, as well as expenditures, are projected by revenue and/or expenditure type. Historical growth rates, economic assumptions and County expenditure priorities are all used in developing the forecast. This tool is used as a planning document for developing the budget guidelines and for evaluating the future impact of current year decisions.

Fiscal Impact Review

It is County policy that all items having potential fiscal impact be presented to the Board of Supervisors for review. Effective management dictates that the Board of Supervisors and County citizens are presented with the direct and indirect costs of all items as part of the decision-making process. In addition to its preliminary review of items presented to the Board of Supervisors, County staff also review state and federal legislative items, which might result in a fiscal or policy impact on the County.

Financial, Statistical and Summary Tables



FY 2027

Advertised Budget Plan

Financial, Statistical and Summary Tables

Explanation of Schedules **General Fund Statement**

General Fund Statement

Presents information for Fund 10001, General Fund. The General Fund Statement includes the beginning and ending balances, total available resources and total disbursements, including revenues, transfers in from other funds, expenditures and transfers out to other funds and reserves.

General Fund Direct Expenditures

Provides expenditure information, organized by Program Area and agency, with totals included for each Program Area and for the entire General Fund.

Summary of Appropriated Funds

Summary of Appropriated Funds by Fund Type

Includes Budget Year Summary of Beginning Balance, Revenues by Category, Summary of Transfers In, Expenditures by Program Area, and Summary of Transfers Out for all Appropriated Funds.

Revenue and Receipts by Fund - Summary of Appropriated Funds

Includes revenues for all appropriated funds, organized by the three major fund groups - Governmental, Proprietary and Fiduciary funds.

Expenditures by Fund - Summary of Appropriated Funds

Includes expenditures for all appropriated funds, organized by the three major fund groups - Governmental, Proprietary and Fiduciary funds.

Changes in Fund Balance - Summary of Appropriated Funds

Includes changes in fund balance for all appropriated funds by the three major fund groups - Governmental, Proprietary and Fiduciary funds.

Tax Rates and Assessed Valuation

Summary of County Tax Rates

Presents historical and current fiscal year tax rates for Real Estate, Personal Property, Sewage, Refuse Collection and Disposal, Consumer Utilities, E-911 Fees, and special taxing districts.

Assessed Valuation, Tax Rates, Levies and Collections

Details the assessed valuation and levy of taxable Real Estate and Personal Property, reports actual and estimated collections and reflects the percentage of the total levy collected.

Summary of Revenues

General Fund Revenues

Details General Fund revenues by each source, subtotaled by category, for the prior, current and upcoming fiscal year.

Revenue from the Commonwealth

Summarizes revenues from the Commonwealth of Virginia by fund for the prior, current and upcoming fiscal year.

Revenue from the Federal Government

Summarizes revenues from the Federal government by fund for the prior, current and upcoming fiscal year.

Other Expenditure Schedules

County Funded Programs for School-Related Services

Summarizes all Fairfax County contributions to school-related programs. Congregating the General Fund transfer to the Schools, school debt service, and the numerous school-related programs funded in County agency budgets, reflects a more complete picture of how much the County spends on its schools on an annual basis. Provides additional expenditure data on County-funded programs for youth services (non-school related youth programs) and County-administered programs for school-related services, including programs for which the County has administrative oversight, but not sole funding responsibility.

Services for Older Adults

Summarizes contributions to services for seniors in General Fund and General Fund Supported agencies.

FY 2027 ADVERTISED FUND STATEMENT

FUND 10001, GENERAL FUND

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2025 Carryover	Other Actions July-January	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Inc/(Dec) Over Revised	% Inc/(Dec) Over Revised
Beginning Balance	\$459,104,739	\$227,866,326	\$131,824,917	\$424,207	\$360,115,450	\$233,525,674	(\$68,086,004)	(18.91%)
Revenue ¹								
Real Property Taxes	\$3,567,823,687	\$3,737,057,704	\$0	\$0	\$3,737,057,704	\$3,869,581,289	\$132,523,585	3.55%
Personal Property Taxes ²	608,175,044	595,347,578	0	30,246,193	625,593,771	651,483,955	25,890,184	4.14%
General Other Local Taxes	642,805,015	729,881,785	0	1,373,706	731,255,491	802,448,999	71,193,508	9.74%
Permit, Fees & Regulatory Licenses	11,031,357	12,985,962	0	0	12,985,962	13,496,929	510,967	3.93%
Fines & Forfeitures	9,175,729	9,214,101	0	17,541	9,231,642	9,412,284	180,642	1.96%
Revenue from Use of Money & Property	192,952,240	152,662,534	0	15,750,909	168,413,443	152,673,399	(15,740,044)	(9.35%)
Charges for Services	72,641,370	71,808,877	658,846	2,116,613	74,584,336	78,104,347	3,520,011	4.72%
Revenue from the Commonwealth ²	329,104,434	334,059,923	271,899	1,691,519	336,023,341	336,622,667	599,326	0.18%
Revenue from the Federal Government	56,890,319	44,927,651	858,570	0	45,786,221	42,976,289	(2,809,932)	(6.14%)
Recovered Costs/Other Revenue	21,643,708	21,234,575	0	367,579	21,602,154	21,767,157	165,003	0.76%
Total Revenue	\$5,512,242,903	\$5,709,180,690	\$1,789,315	\$51,564,060	\$5,762,534,065	\$5,978,567,315	\$216,033,250	3.75%
Transfers In								
Fund 30010 General Construction and Contributions	\$2,000,000	\$0	\$0	\$0	\$0	\$0	\$0	-
Fund 40030 Cable Communications	2,250,467	0	0	0	0	0	0	-
Fund 40040 Fairfax-Falls Church Community Services Board	15,000,000	0	7,000,000	0	7,000,000	0	(7,000,000)	(100.00%)
Fund 40080 Integrated Pest Management	159,824	159,824	0	0	159,824	204,498	44,674	27.95%
Fund 40100 Stormwater Services	1,609,462	1,609,462	0	0	1,609,462	1,729,426	119,964	7.45%
Fund 40130 Leaf Collection	44,193	44,193	0	0	44,193	95,870	51,677	116.93%
Fund 40140 Refuse Collection and Recycling Operations	539,815	539,815	0	0	539,815	620,980	81,165	15.04%
Fund 40150 Refuse Disposal	802,437	802,437	0	0	802,437	896,398	93,961	11.71%
Fund 40170 I-95 Refuse Disposal	249,596	249,596	0	0	249,596	404,256	154,660	61.96%
Fund 40200 Land Development Services	433,852	433,852	0	0	433,852	522,982	89,130	20.54%
Fund 69010 Sewer Operation and Maintenance	3,434,828	3,434,828	0	0	3,434,828	4,038,965	604,137	17.59%
Fund 80000 Park Revenue and Operating	820,000	820,000	0	0	820,000	843,000	23,000	2.80%
Total Transfers In	\$27,344,474	\$8,094,007	\$7,000,000	\$0	\$15,094,007	\$9,356,375	(\$5,737,632)	(38.01%)
Total Available	\$5,998,692,116	\$5,945,141,023	\$140,614,232	\$51,988,267	\$6,137,743,522	\$6,221,449,364	\$83,705,842	1.36%
Direct Expenditures ^{1,3}								
Personnel Services	\$1,080,992,804	\$1,176,339,633	(\$30,462,744)	(\$7,814,613)	\$1,138,062,276	\$1,187,237,671	\$49,175,395	4.32%
Operating Expenses	438,590,093	397,822,396	71,272,289	7,368,146	476,462,831	412,202,649	(64,260,182)	(13.49%)
Recovered Costs	(25,386,154)	(25,807,859)	4,026,161	0	(21,781,698)	(23,098,811)	(1,317,113)	6.05%
Capital Equipment	38,259,351	678,617	3,417,515	446,467	4,542,599	428,617	(4,113,982)	(90.56%)
Fringe Benefits	538,604,828	597,542,030	(17,075,876)	0	580,466,154	619,521,226	39,055,072	6.73%
Total Direct Expenditures	\$2,071,060,922	\$2,146,574,817	\$31,177,345	\$0	\$2,177,752,162	\$2,196,291,352	\$18,539,190	0.85%
Transfers Out								
Fund S10000 School Operating ⁴	\$2,584,409,875	\$2,703,050,892	\$0	\$0	\$2,703,050,892	\$2,802,243,987	\$99,193,095	3.67%
Fund S31000 School Construction	25,134,972	15,600,000	3,544,203	0	19,144,203	23,100,000	3,955,797	20.66%
Fund 10010 Revenue Stabilization ⁵	0	0	0	0	0	0	0	-
Fund 10015 Economic Opportunity Reserve ⁵	1,915,139	0	0	0	0	0	0	-
Fund 10020 Community Funding Pool	13,557,281	13,542,806	0	0	13,542,806	8,743,521	(4,799,285)	(35.44%)
Fund 10030 Contributions	21,222,330	20,584,837	130,000	0	20,714,837	20,861,357	146,520	0.71%
Fund 10040 Information Technology Projects	15,396,010	0	6,313,305	0	6,313,305	0	(6,313,305)	(100.00%)
Fund 10050 Equipment Replacement	0	0	0	0	0	2,000,000	2,000,000	-
Fund 20000 County Debt Service	149,380,516	157,980,516	0	0	157,980,516	165,399,005	7,418,489	4.70%
Fund 20001 School Debt Service	208,928,432	215,628,432	0	0	215,628,432	227,024,447	11,396,015	5.29%
Fund 30000 Metro Operations and Construction	63,046,270	63,046,270	0	0	63,046,270	63,046,270	0	0.00%

FY 2027 ADVERTISED FUND STATEMENT

FUND 10001, GENERAL FUND

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2025 Carryover	Other Actions July-January	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Inc/(Dec) Over Revised	% Inc/(Dec) Over Revised
Transfers Out (continued)								
Fund 30010 General Construction and Contributions	59,074,817	27,707,700	3,276,522	0	30,984,222	14,881,362	(16,102,860)	(51.97%)
Fund 30015 Environmental and Energy Program	9,348,767	1,300,000	6,735,000	0	8,035,000	1,300,000	(6,735,000)	(83.82%)
Fund 30020 Infrastructure Replacement and Upgrades	41,977,949	2,500,000	15,379,566	0	17,879,566	10,000,000	(7,879,566)	(44.07%)
Fund 30050 Transportation Improvements	25,926,590	500,000	0	0	500,000	650,000	150,000	30.00%
Fund 30070 Public Safety Construction	7,000,000	0	2,000,000	0	2,000,000	0	(2,000,000)	(100.00%)
Fund 40000 County Transit Systems	46,464,283	46,608,190	0	0	46,608,190	39,321,388	(7,286,802)	(15.63%)
Fund 40040 Fairfax-Falls Church Community Services Board	181,406,295	184,384,703	0	0	184,384,703	189,916,165	5,531,462	3.00%
Fund 40045 Early Childhood Birth to 5	34,784,561	35,728,624	0	0	35,728,624	36,333,644	605,020	1.69%
Fund 40090 E-911	17,882,242	17,644,053	2,500,000	0	20,144,053	23,437,470	3,293,417	16.35%
Fund 40400 Park General Operations and Capital	0	0	61,398,943	0	61,398,943	72,775,435	11,376,492	18.53%
Fund 50000 Federal-State Grant Fund	5,084,920	5,287,443	0	0	5,287,443	5,551,103	263,660	4.99%
Fund 60000 County Insurance	24,439,550	24,461,533	0	0	24,461,533	24,435,956	(25,577)	(0.10%)
Fund 60010 Department of Fleet Management	4,587,636	0	0	0	0	0	0	-
Fund 60020 Document Services	4,589,474	4,718,727	0	0	4,718,727	4,851,187	132,460	2.81%
Fund 60030 Technology Infrastructure Services	14,240,939	16,081,886	0	0	16,081,886	26,813,746	10,731,860	66.73%
Fund 73030 OPEB Trust	6,550,000	6,500,000	0	0	6,500,000	2,408,371	(4,091,629)	(62.95%)
Fund 81400 FCRHA Asset Management	0	0	2,500,000	0	2,500,000	0	(2,500,000)	(100.00%)
Fund 83000 Alcohol Safety Action Program	1,166,896	1,327,763	0	0	1,327,763	1,439,317	111,554	8.40%
Total Transfers Out	\$3,567,515,744	\$3,564,184,375	\$103,777,539	\$0	\$3,667,961,914	\$3,766,533,731	\$98,571,817	2.69%
Total Disbursements	\$5,638,576,666	\$5,710,759,192	\$134,954,884	\$0	\$5,845,714,076	\$5,962,825,083	\$117,111,007	2.00%
Total Ending Balance	\$360,115,450	\$234,381,831	\$5,659,348	\$51,988,267	\$292,029,446	\$258,624,281	(\$33,405,165)	(11.44%)
Less:								
Managed Reserve ⁵	\$227,866,326	\$227,866,326	\$5,659,348	0	\$233,525,674	\$233,525,674	\$0	0.00%
ARPA Coronavirus State and Local Fiscal Recovery Fund ³	7,639,180	0	0	0	0	0	0	-
FY 2025 Audit Adjustments ¹	424,207	0	0	0	0	0	0	-
Reserve for One-Time Requirements ⁶	0	0	0	51,988,267	51,988,267	0	(51,988,267)	(100.00%)
Reserve for Tourism ⁷	0	6,515,505	0	0	6,515,505	0	(6,515,505)	(100.00%)
Reserve for Loss of UASI Funding ⁸	0	0	0	0	0	1,931,528	1,931,528	-
Total Available	\$124,185,737	\$0	\$0	\$0	\$0	\$23,167,079	\$23,167,079	-

¹ In order to appropriately reflect actual revenues and expenditures in the proper fiscal year, FY 2025 revenues are increased \$1,804,665.39 and FY 2025 expenditures are increased \$1,380,458.33 to reflect audit adjustments as included in the FY 2025 Annual Comprehensive Financial Report (ACFR). As a result, the FY 2026 Revised Budget Plan Beginning Balance reflects a net increase of \$424,207. The Annual Comprehensive Financial Report (ACFR) reflects all audit adjustments in FY 2025. Details of the audit adjustments will be included in the FY 2026 Third Quarter Package.

² Personal Property Taxes of \$211,313,944 that are reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998 are included in the Revenue from the Commonwealth category in accordance with guidelines from the State Auditor of Public Accounts.

³ The ARPA Coronavirus State and Local Fiscal Recovery Funds Balance represents unspent federal stimulus funds as of year-end FY 2025. This balance is appropriated in Agency 87, Unclassified Administrative Expenses in FY 2025 to allow for spending through the ARPA spending deadline of December 31, 2026.

⁴ The County General Fund transfer for school operations in FY 2027 totals \$2,802,243,987, an increase of \$99,193,095, or 3.7 percent, over the FY 2026 Adopted Budget Plan. The Fairfax County Public Schools Superintendent's Proposed Budget reflected a General Fund transfer increase of \$138,446,063, or 5.1 percent, over the FY 2026 Adopted Budget Plan.

⁵ The Revenue Stabilization Reserve, Economic Opportunity Reserve, and Managed Reserve are projected to be maintained at their combined target of 10 percent of total General Fund disbursements in FY 2027

⁶ A total of \$51,988,267 in the Reserve for One-Time Requirements comprises \$51,564,060 in FY 2026 Midyear revenue adjustments and \$424,207 in FY 2025 Audit Adjustments, and is expected to be utilized during FY 2026 for one-time requirements, and as a result, is not carried forward into FY 2027.

⁷ FY 2026 revenue associated with the additional 1 percent increase in Transient Occupancy Tax for tourism is held in reserve, and will be transferred to Fund 10030, Contributions, as part of the FY 2026 Third Quarter Review. FY 2027 revenue associated with the additional 1 percent increase in Transient Occupancy Tax for tourism is reflected in Fund 10030, Contributions.

⁸ The Reserve for Loss of UASI Funding is necessary to mitigate the risk of potential reductions in UASI funding, which remains uncertain at this time.

FY 2027 ADVERTISED SUMMARY GENERAL FUND DIRECT EXPENDITURES

Agency	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2025 Carryover	Other Actions July - January	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Inc/(Dec) Over Revised	% Inc/(Dec) Over Revised
Legislative-Executive Functions / Central Services								
01 Board of Supervisors	\$7,397,186	\$8,051,992	\$0	\$0	\$8,051,992	\$8,346,840	\$294,848	3.66%
02 Office of the County Executive	8,664,634	9,314,034	1,089,962	0	10,403,996	9,528,401	(875,595)	(8.42%)
03 Department of Clerk Services	2,139,105	2,250,129	81,785	0	2,331,914	2,295,275	(36,639)	(1.57%)
06 Department of Finance	9,926,264	10,534,130	148,581	0	10,682,711	10,634,365	(48,346)	(0.45%)
11 Department of Human Resources	11,525,540	11,550,605	271,913	0	11,822,518	12,395,845	573,327	4.85%
12 Department of Procurement and Material Management	8,891,143	9,158,452	1,246,453	0	10,404,905	9,169,798	(1,235,107)	(11.87%)
13 Office of Public Affairs	2,551,823	3,048,843	1,979	0	3,050,822	3,123,845	73,023	2.39%
15 Office of Elections	9,832,766	9,487,901	1,870,377	0	11,358,278	9,572,304	(1,785,974)	(15.72%)
17 Office of the County Attorney	10,934,730	11,290,818	922,754	0	12,213,572	12,040,535	(173,037)	(1.42%)
20 Department of Management and Budget	8,081,162	8,834,757	407,768	0	9,242,525	9,121,953	(120,572)	(1.30%)
37 Office of the Financial and Program Auditor	488,795	515,660	8,000	0	523,660	536,986	13,326	2.54%
41 Civil Service Commission	415,783	484,782	12,000	0	496,782	476,994	(19,788)	(3.98%)
42 Office of the Independent Police Auditor	343,573	360,198	0	0	360,198	0	(360,198)	(100.00%)
43 Office of the Police Civilian Review Panel	284,714	307,144	6,660	0	313,804	0	(313,804)	(100.00%)
44 Office of Police Accountability	0	0	0	0	0	625,867	625,867	--
57 Department of Tax Administration	33,632,257	37,417,187	1,392,110	0	38,809,297	38,475,058	(334,239)	(0.86%)
70 Department of Information Technology	43,060,485	43,456,391	52,527	0	43,508,918	44,643,045	1,134,127	2.61%
Total Legislative-Executive Functions / Central Services	\$158,169,960	\$166,063,023	\$7,512,869	\$0	\$173,575,892	\$170,987,111	(\$2,588,781)	(1.49%)
Judicial Administration								
80 Circuit Court and Records	\$14,901,298	\$15,383,778	\$387,257	\$0	\$15,771,035	\$15,911,790	\$140,755	0.89%
82 Office of the Commonwealth's Attorney	8,589,043	9,774,860	179,878	0	9,954,738	10,142,576	187,838	1.89%
85 General District Court	5,745,214	7,220,033	333,639	0	7,553,672	6,620,980	(932,692)	(12.35%)
91 Office of the Sheriff	30,300,284	26,247,628	1,568,007	0	27,815,635	30,279,938	2,464,303	8.86%
Total Judicial Administration	\$59,535,839	\$58,626,299	\$2,468,781	\$0	\$61,095,080	\$62,955,284	\$1,860,204	3.04%
Public Safety								
04 Department of Cable and Consumer Services	\$703,085	\$861,014	\$164	\$0	\$861,178	\$890,400	\$29,222	3.39%
81 Juvenile and Domestic Relations District Court	28,564,595	32,700,357	555,897	0	33,256,254	32,914,200	(342,054)	(1.03%)
90 Police Department	285,037,448	290,513,311	4,619,102	0	295,132,413	301,992,511	6,860,098	2.32%
91 Office of the Sheriff	53,522,971	57,322,839	439,166	0	57,762,005	58,949,861	1,187,856	2.06%
92 Fire and Rescue Department	276,193,065	272,670,655	4,196,793	0	276,867,448	284,152,003	7,284,555	2.63%
93 Department of Emergency Management and Security	7,706,948	8,822,104	2,189,022	0	11,011,126	9,302,840	(1,708,286)	(15.51%)
96 Department of Animal Services	5,560,023	10,446,557	163,563	0	10,610,120	10,558,547	(51,573)	(0.49%)
97 Department of Code Compliance	5,080,323	5,377,970	2,219	0	5,380,189	5,590,416	210,227	3.91%
Total Public Safety	\$662,368,458	\$678,714,807	\$12,165,926	\$0	\$690,880,733	\$704,350,778	\$13,470,045	1.95%
Public Works								
08 Facilities Management Department	\$68,468,002	\$73,124,335	\$5,419,110	\$0	\$78,543,445	\$76,181,274	(\$2,362,171)	(3.01%)
25 Business Planning and Support	1,324,664	1,365,439	65,222	0	1,430,661	1,347,070	(83,591)	(5.84%)
26 Office of Capital Facilities	14,547,326	18,817,539	772,465	0	19,590,004	19,428,269	(161,735)	(0.83%)
Total Public Works	\$84,339,992	\$93,307,313	\$6,256,797	\$0	\$99,564,110	\$96,956,613	(\$2,607,497)	(2.62%)

FY 2027 ADVERTISED SUMMARY GENERAL FUND DIRECT EXPENDITURES

Agency	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2025 Carryover	Other Actions July - January	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Inc/(Dec) Over Revised	% Inc/(Dec) Over Revised
Health and Welfare								
67 Department of Family Services	\$168,338,679	\$180,309,034	\$3,452,924	\$0	\$183,761,958	\$184,715,353	\$953,395	0.52%
71 Health Department	86,011,652	92,362,150	1,981,812	0	94,343,962	95,309,673	965,711	1.02%
79 Department of Neighborhood and Community Services	110,916,621	116,382,214	7,892,052	0	124,274,266	127,998,084	3,723,818	3.00%
Total Health and Welfare	\$365,266,952	\$389,053,398	\$13,326,788	\$0	\$402,380,186	\$408,023,110	\$5,642,924	1.40%
Parks and Libraries								
51 Fairfax County Park Authority ¹	\$36,744,055	\$36,764,402	(\$36,764,402)	\$0	\$0	\$0	\$0	--
52 Fairfax County Public Library	34,362,862	36,539,454	1,421,923	0	37,961,377	37,481,693	(479,684)	(1.26%)
Total Parks and Libraries	\$71,106,917	\$73,303,856	(\$35,342,479)	\$0	\$37,961,377	\$37,481,693	(\$479,684)	(1.26%)
Community Development								
16 Economic Development Authority	\$9,462,781	\$9,366,621	\$0	\$0	\$9,366,621	\$9,097,563	(\$269,058)	(2.87%)
30 Department of Economic Initiatives	1,980,505	2,298,926	0	0	2,298,926	2,372,003	73,077	3.18%
35 Department of Planning and Development	16,314,456	17,216,193	1,635,968	0	18,852,161	17,638,095	(1,214,066)	(6.44%)
38 Department of Housing and Community Development	37,693,955	42,585,751	8,661,934	0	51,247,685	47,446,679	(3,801,006)	(7.42%)
39 Office of Human Rights and Equity Programs	1,689,598	2,037,807	318,021	0	2,355,828	2,115,461	(240,367)	(10.20%)
40 Department of Transportation	12,032,702	12,489,731	757,294	0	13,247,025	12,688,203	(558,822)	(4.22%)
Total Community Development	\$79,173,997	\$85,995,029	\$11,373,217	\$0	\$97,368,246	\$91,358,004	(\$6,010,242)	(6.17%)
Nondepartmental								
87 Unclassified Administrative Expenses ²	\$51,655,680	\$2,546,212	\$30,491,322	\$0	\$33,037,534	\$2,546,212	(\$30,491,322)	(92.29%)
89 Employee Benefits	539,443,127	598,964,880	(17,075,876)	0	581,889,004	621,632,547	39,743,543	6.83%
Total Nondepartmental	\$591,098,807	\$601,511,092	\$13,415,446	\$0	\$614,926,538	\$624,178,759	\$9,252,221	1.50%
Total General Fund Direct Expenditures	\$2,071,060,922	\$2,146,574,817	\$31,177,345	\$0	\$2,177,752,162	\$2,196,291,352	\$18,539,190	0.85%

¹ As part of the FY 2025 Carryover Review, Agency 51, Fairfax County Park Authority, was moved from the General Fund to Fund 40400, Park General Operations and Capital, to provide greater transparency and flexibility by combining both parks operational and capital project funding into the same fund. Beginning in FY 2026, all activities in Agency 51 are transferred to Fund 40400.

² Federal Stimulus funds provided to the County through the American Rescue Plan Act (ARPA) Coronavirus State and Local Fiscal Recovery Funds (CSLFRF) are accounted for in Agency 87, Unclassified Administrative Expenses, in a separate sub-fund within the General Fund.

FY 2027 ADVERTISED SUMMARY OF APPROPRIATED FUNDS BY FUND TYPE

	General Fund Group ¹	Debt Service Funds	Capital Project Funds ²	Special Revenue Funds ³	Internal Service Funds ^{4, 5}	Enterprise Funds	Custodial Funds	Trust Funds	Total by Category
Beginning Fund Balance	\$589,367,513	\$0	\$1,533,220	\$394,052,117	\$309,035,110	\$136,643,408	\$0	\$14,577,701,657	\$16,008,333,025
Revenues									
Real Property Taxes	\$3,869,581,289	\$0	\$43,940,788	\$235,597,361	\$0	\$0	\$4,878,717	\$0	\$4,153,998,155
Personal Property Taxes ⁶	862,797,899	0	0	0	0	0	0	0	862,797,899
General Other Local Taxes	809,094,814	0	0	40,568,880	0	0	9,961,036	0	859,624,730
Permits, Fees & Regulatory	13,496,929	0	0	71,534,978	0	0	0	0	85,031,907
Fines & Forfeitures	9,412,284	0	0	313,000	0	0	0	0	9,725,284
Revenue from the Use of Money and Property	161,673,399	0	0	8,694,129	1,604,396	4,000,000	1,000,000	800,305,555	977,277,479
Charges for Services	78,104,347	0	0	218,105,805	45,000	330,760,000	0	0	627,015,152
Revenue from the Commonwealth ⁵	125,308,723	0	0	1,372,999,192	0	0	0	0	1,498,307,915
Revenue from the Federal Government	42,976,289	1,800,000	0	235,829,078	0	0	0	0	280,605,367
Sale of Bonds	0	0	273,700,000	0	0	0	0	0	273,700,000
Other Revenue	21,767,157	593,600	7,605,850	131,566,295	1,140,746,131	250,000	0	1,245,454,700	2,547,983,733
Total Revenue	\$5,994,213,130	\$2,393,600	\$325,246,638	\$2,315,208,718	\$1,142,395,527	\$335,010,000	\$15,839,753	\$2,045,760,255	\$12,176,067,621
Transfers In	\$40,961,253	\$396,561,018	\$132,575,729	\$3,253,941,163	\$58,414,991	\$341,500,000	\$0	\$2,408,371	\$4,226,362,525
Total Available	\$6,624,541,896	\$398,954,618	\$459,355,587	\$5,963,201,998	\$1,509,845,628	\$813,153,408	\$15,839,753	\$16,625,870,283	\$32,410,763,171
Expenditures by Category									
Legislative-Executive/Central Services	\$176,094,242	\$0	\$0	\$8,210,455	\$0	\$0	\$0	\$0	\$184,304,697
Education	0	0	267,301,679	4,262,110,604	808,335,743	0	0	294,977,397	5,632,725,423
Judicial Administration	63,623,235	0	0	893,577	0	0	0	0	64,516,812
Public Safety	704,370,355	0	0	137,503,700	0	0	0	0	841,874,055
Public Works	96,956,613	0	0	245,365,537	0	327,035,676	0	0	669,357,826
Health and Welfare	421,294,230	0	0	394,770,819	0	0	0	0	816,065,049
Parks and Libraries	42,902,302	0	0	98,921,810	0	0	0	0	141,824,112
Community Development	103,253,237	0	152,585,455	332,484,777	0	0	15,839,753	0	604,163,222
Capital Improvements	0	0	26,831,362	0	0	0	0	0	26,831,362
Debt Service	0	398,954,618	0	0	0	0	0	0	398,954,618
Non-Departmental	624,402,016	0	0	5,075,000	462,115,588	0	0	975,090,076	2,066,682,680
Total Expenditures	\$2,232,896,230	\$398,954,618	\$446,718,496	\$5,485,336,279	\$1,270,451,331	\$327,035,676	\$15,839,753	\$1,270,067,473	\$11,447,299,856
Transfers Out	\$3,766,533,731	\$0	\$4,176,453	\$109,777,432	\$0	\$345,538,965	\$0	\$0	\$4,226,026,581
Total Disbursements	\$5,999,429,961	\$398,954,618	\$450,894,949	\$5,595,113,711	\$1,270,451,331	\$672,574,641	\$15,839,753	\$1,270,067,473	\$15,673,326,437
Ending Fund Balance	\$625,111,935	\$0	\$8,460,638	\$368,088,287	\$239,394,297	\$140,578,767	\$0	\$15,355,802,810	\$16,737,436,734

¹ Not reflected are the following adjustments to balance in FY 2027:

Fund 10001, General Fund, does not assume the carryover of the Reserve for One-Time Requirements of \$51,988,267 and the Reserve for Tourism of \$6,515,505 from FY 2026.
Fund 10015, Economic Opportunity Reserve, assumes carryover of the Total Available funding of \$59,467,949 from FY 2026.

² Not reflected are the following adjustments to balance in FY 2027:

Fund S31000, Public School Construction, reflects the proposed Transfer In from Fund 10001, General Fund, as shown in the School Board's Advertised Budget, which is currently \$7,500,000 less than the Transfer Out from Fund 10001. Final adjustments will be reflected at the FY 2026 Carryover Review.

³ Not reflected are the following adjustments to balance in FY 2027:

Fund S10000, Public School Operating, does not assume the carryover of \$24,000,000 from FY 2026.
Fund S40000, Public School Food and Nutrition Services, assumes carryover of General Reserve of \$24,928,652.

⁴ Not reflected are the following adjustments to balance in FY 2027:

Fund S60000, Public School Insurance, assumes carryover of Allocated Reserve of \$8,647,179.
Fund S62000, Public School Health and Flexible Benefits, assumes carryover of Premium Stabilization Reserve of \$55,364,638.

⁵ For presentation purposes, all County Internal Service Funds expenditures are included in the Nondepartmental Category.

⁶ For presentation purposes, Personal Property Taxes that are reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998 are included in the Personal Property Taxes Category.

FY 2027 ADVERTISED REVENUE AND RECEIPTS BY FUND
SUMMARY OF APPROPRIATED FUNDS

Fund	FY 2025 Actual ¹	FY 2026 Adopted Budget Plan ²	FY 2026 Revised Budget Plan ³	FY 2027 Advertised Budget Plan ⁴	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
GOVERNMENTAL FUNDS						
General Fund Group						
10001 General Fund	\$5,512,242,903	\$5,709,180,690	\$5,762,534,065	\$5,978,567,315	\$216,033,250	3.75%
10010 Revenue Stabilization	11,042,963	9,000,000	9,000,000	8,000,000	(1,000,000)	(11.11%)
10015 Economic Opportunity Reserve	3,558,359	1,000,000	1,000,000	1,000,000	0	0.00%
10030 Contributors	0	0	0	6,645,815	6,645,815	-
10040 Information Technology Projects	2,496,504	0	0	0	0	-
10050 Equipment Replacement	0	0	0	0	0	-
Total General Fund Group	\$5,529,340,729	\$5,719,180,690	\$5,772,534,065	\$5,994,213,130	\$221,679,065	3.84%
Debt Service Funds						
20000 Consolidated Debt Service	\$1,932,177	\$2,393,600	\$2,393,600	\$2,393,600	\$0	0.00%
Capital Project Funds						
30000 Metro Operations and Construction	\$44,000,000	\$45,500,000	\$41,900,000	\$43,700,000	\$1,800,000	4.30%
30010 General Construction and Contributions	31,212,556	3,202,836	110,025,000	0	(110,025,000)	(100.00%)
30015 Environmental and Energy Program	2,498,034	0	0	0	0	-
30020 Infrastructure Replacement and Upgrades	392,698	0	0	0	0	-
30030 Library Construction	22,409,055	0	67,250,000	0	(67,250,000)	(100.00%)
30040 Contributed Roadway Improvements	11,023,827	186,350	523,642	186,350	(337,292)	(64.41%)
30050 Transportation Improvements	762,766	0	0	0	0	-
30070 Public Safety Construction	55,271,603	0	293,350,000	0	(293,350,000)	(100.00%)
30300 Affordable Housing Development and Investment	40,535,068	48,641,801	48,641,801	49,829,288	1,187,487	2.44%
30400 Park Authority Bond Construction	25,019,773	0	76,070,000	0	(76,070,000)	(100.00%)
S31000 Public School Construction	232,819,066	231,131,000	347,294,288	231,531,000	(115,763,288)	(33.33%)
Total Capital Project Funds	\$465,944,446	\$328,661,987	\$985,054,731	\$325,246,638	(\$659,808,093)	(66.98%)
Special Revenue Funds						
40000 County Transit Systems	\$67,075,482	\$71,389,177	\$106,348,968	\$93,454,743	(\$12,894,225)	(12.12%)
40010 County and Regional Transportation Projects	201,975,334	123,598,527	727,846,010	124,053,246	(603,792,764)	(82.96%)
40030 Cable Communications	16,678,754	15,876,954	15,876,954	14,392,739	(1,484,215)	(9.35%)
40040 Fairfax-Falls Church Community Services Board	55,558,418	40,001,710	53,177,354	50,413,040	(2,764,314)	(5.20%)
40045 Early Childhood Birth to 5	98,688	215,960	215,960	215,960	0	0.00%
40050 Reston Community Center	11,951,432	11,718,871	12,185,475	12,216,769	31,294	0.26%
40060 McLean Community Center	7,989,202	7,898,507	7,898,507	8,181,407	282,900	3.58%
40070 Burgundy Village Community Center	139,192	109,599	109,599	110,657	1,058	0.97%
40080 Integrated Pest Management Program	3,351,826	3,235,241	3,235,241	3,469,092	233,851	7.23%
40090 E-911	45,601,825	44,125,131	44,125,131	44,125,131	0	0.00%
40100 Stormwater Services	118,512,409	109,190,227	116,439,917	113,062,320	(3,377,597)	(2.90%)
40110 Dulles Rail Phase I Transportation Improvement District	15,914,829	14,989,829	14,989,829	14,919,632	(70,197)	(0.47%)
40120 Dulles Rail Phase II Transportation Improvement District	17,136,869	14,828,870	14,828,870	14,691,049	(137,821)	(0.93%)
40125 Metrorail Parking System Pledged Revenues	7,668,703	5,988,157	7,021,151	7,221,151	200,000	2.85%
40130 Leaf Collection	4,405,320	4,406,114	4,406,114	4,759,746	353,632	8.03%
40140 Refuse Collection and Recycling Operations	25,553,721	28,384,069	28,384,069	29,189,210	805,141	2.84%
40150 Refuse Disposal	63,169,586	72,981,223	69,830,268	72,874,066	3,043,798	4.36%
40170 I-95 Refuse Disposal	12,988,718	13,125,995	13,125,995	13,541,019	415,024	3.16%
40180 Tysons Service District	10,902,878	8,709,809	8,709,809	8,694,312	(15,497)	(0.18%)
40190 Reston Service District	2,914,970	2,539,394	2,539,394	2,594,638	55,244	2.18%
40200 Land Development Services	58,025,167	61,116,698	61,116,698	64,538,081	3,421,383	5.60%
40300 Housing Trust	5,673,526	1,597,669	1,597,669	1,653,828	56,159	3.52%
40400 Park General Operations and Capital	0	0	3,202,836	4,017,836	815,000	25.45%
50000 Federal-State Grant Fund	189,502,678	145,741,986	434,925,736	149,603,666	(285,322,070)	(65.60%)
50800 Community Development Block Grant	6,748,239	7,656,674	14,026,716	5,733,638	(8,293,078)	(59.12%)
50810 HOME Investment Partnerships Program	1,870,662	2,417,009	14,778,998	2,008,441	(12,770,557)	(86.41%)
S10000 Public School Operating	1,170,377,891	1,160,493,386	1,199,833,941	1,275,393,091	75,559,150	6.30%
S40000 Public School Food and Nutrition Services	94,920,582	102,781,946	102,799,053	104,429,529	1,630,476	1.59%
S43000 Public School Adult and Community Education	6,745,302	8,325,278	8,292,575	8,318,905	26,330	0.32%
S50000 Public School Grants and Self Supporting Programs	89,298,825	70,262,892	130,553,282	67,331,775	(63,221,507)	(48.43%)
Total Special Revenue Funds	\$2,312,751,028	\$2,153,706,902	\$3,222,422,119	\$2,315,208,717	(\$907,213,402)	(28.15%)
TOTAL GOVERNMENTAL FUNDS	\$8,309,968,380	\$8,203,943,179	\$9,982,404,515	\$8,637,062,085	(\$1,345,342,430)	(13.48%)

FY 2027 ADVERTISED REVENUE AND RECEIPTS BY FUND

SUMMARY OF APPROPRIATED FUNDS

Fund	FY 2025 Actual ¹	FY 2026 Adopted Budget Plan ²	FY 2026 Revised Budget Plan ³	FY 2027 Advertised Budget Plan ⁴	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
PROPRIETARY FUNDS						
Internal Service Funds						
60000 County Insurance	\$3,724,176	\$685,000	\$685,000	\$685,000	\$0	0.00%
60010 Department of Fleet Management	111,460,616	93,152,732	93,152,732	95,122,945	1,970,213	2.12%
60020 Document Services	5,662,429	5,244,426	5,944,426	5,944,426	0	0.00%
60030 Technology Infrastructure Services	45,595,053	45,963,998	45,963,998	46,226,448	262,450	0.57%
60040 Health Benefits	205,024,327	220,905,088	220,905,088	250,092,782	29,187,694	13.21%
S60000 Public School Insurance	24,275,472	27,438,637	27,438,637	31,708,414	4,269,777	15.56%
S62000 Public School Health and Flexible Benefits	591,602,717	659,440,572	659,440,572	712,615,512	53,174,940	8.06%
Total Internal Service Funds	\$987,344,790	\$1,052,830,453	\$1,053,530,453	\$1,142,395,527	\$88,865,074	8.43%
Enterprise Funds						
69000 Sewer Revenue	\$307,163,206	\$317,260,000	\$317,260,000	\$335,010,000	\$17,750,000	5.59%
69310 Sewer Bond Construction	3,181,172	230,000,000	234,997,236	0	(234,997,236)	(100.00%)
Total Enterprise Funds	\$310,344,378	\$547,260,000	\$552,257,236	\$335,010,000	(\$217,247,236)	(39.34%)
TOTAL PROPRIETARY FUNDS	\$1,297,689,168	\$1,600,090,453	\$1,605,787,689	\$1,477,405,527	(\$128,382,162)	(7.99%)
FIDUCIARY FUNDS						
Custodial Funds						
70000 Route 28 Tax District	\$10,599,112	\$10,407,279	\$10,407,279	\$10,961,036	\$553,757	5.32%
70040 Mosaic District Community Development Authority	4,878,700	4,881,795	4,881,795	4,878,717	(3,078)	(0.06%)
Total Custodial Funds	\$15,477,812	\$15,289,074	\$15,289,074	\$15,839,753	\$550,679	3.60%
Trust Funds						
73000 Employees' Retirement Trust	\$889,515,545	\$788,636,044	\$788,636,044	\$858,633,676	\$69,997,632	8.88%
73010 Uniformed Employees Retirement Trust	358,541,225	289,501,332	289,501,332	343,488,405	53,987,073	18.65%
73020 Police Retirement Trust	288,849,785	242,643,131	242,643,131	287,692,284	45,049,153	18.57%
73030 OPEB Trust	50,872,457	11,349,854	11,349,854	2,218,362	(9,131,492)	(80.45%)
S71000 Educational Employees' Retirement	470,704,941	500,004,535	491,404,536	524,825,528	33,420,992	6.80%
S71100 Public School OPEB Trust	36,952,842	28,674,000	28,674,000	28,902,000	228,000	0.80%
Total Trust Funds	\$2,095,436,795	\$1,860,808,896	\$1,852,208,897	\$2,045,760,255	\$193,551,358	10.45%
TOTAL FIDUCIARY FUNDS	\$2,110,914,607	\$1,876,097,970	\$1,867,497,971	\$2,061,600,008	\$194,102,037	10.39%
TOTAL APPROPRIATED FUNDS	\$11,718,572,155	\$11,680,131,602	\$13,455,690,175	\$12,176,067,620	(\$1,279,622,555)	(9.51%)
Appropriated From (Added to) Surplus	(\$882,646,784)	(\$727,504,412)	\$1,744,416,776	(\$787,508,355)	(\$2,531,925,131)	(145.14%)
TOTAL AVAILABLE	\$10,835,925,371	\$10,952,627,190	\$15,200,106,951	\$11,388,559,265	(\$3,811,547,686)	(25.08%)
Less: Internal Service Funds	(\$987,344,790)	(\$1,052,830,453)	(\$1,053,530,453)	(\$1,142,395,527)	(\$88,865,074)	8.43%
NET AVAILABLE	\$9,848,580,581	\$9,899,796,737	\$14,146,576,498	\$10,246,163,738	(\$3,900,412,760)	(27.57%)

EXPLANATORY NOTE:

The "Total Available" indicates the revenue in each fiscal year that is to be used to support expenditures. This amount is the total revenue adjusted by the amount of funding that is either appropriated from fund balance or added to fund balance. In some instances, adjustments to fund balance that are not currently reflected in the "Changes in Fund Balance" table also affect the "Total Available." Explanations for these adjustments are provided below. The "Total Available," plus (minus) the effect of these changes matches the expenditure totals by fiscal year of the "Expenditure by Fund/Summary of Appropriated Funds," net of any transfers between funds.

¹ Not reflected are the following adjustments to balance in FY 2025:

Fund 60000, County Insurance, net change in accrued liability of \$2,369,000.
Fund S40000, Public School Food and Nutrition Services, change in inventory of (\$628,471).
Fund S60000, Public School Insurance, net change in accrued liability of \$1,396,254.

² Not reflected are the following adjustments to balance in FY 2026:

Fund 10001, General Fund, does not assume the carryover of the Reserve for One-Time Requirements of \$25,480,841 from FY 2025.
Fund 10015, Economic Opportunity Reserve, assumes carryover of the Total Available funding of \$56,462,890 from FY 2025.
Fund S40000, Public School Food and Nutrition Services, assumes carryover of General Reserve of \$36,362,814.
Fund S50000, Public School Grants and Self-Supporting Programs, assumes carryover of Summer School Reserve of \$2,853,319 and reflects the proposed Transfer In from Fund 40030, Cable Communications, as shown in the School Board's Advertised Budget, which is currently \$154,253 more than the Transfer Out from Fund 40030. Final adjustments will be reflected at the FY 2025 Carryover Review.
Fund S60000, Public School Insurance, assumes carryover of Allocated Reserve of \$7,310,304.
Fund S62000, Public School Health and Flexible Benefits, assumes carryover of Premium Stabilization Reserve of \$43,965,401.

³ Not reflected are the following adjustments to balance in FY 2026:

Fund S10000, Public School Operating, reflects the proposed Transfer Out to Fund 20000, Consolidated County and Schools Debt Service, which is currently \$132,223 more than the Transfer In to Fund 20000. Final adjustments will be reflected at the FY 2026 Carryover Review.

⁴ Not reflected are the following adjustments to balance in FY 2027:

Fund 10015, Economic Opportunity Reserve, assumes carryover of the Total Available funding of \$59,467,949 from FY 2026.
Fund S31000, Public School Construction, reflects the proposed Transfer In from Fund 10001, General Fund, as shown in the School Board's Advertised Budget, which is currently \$7,500,000 less than the Transfer Out from Fund 10001. Final adjustments will be reflected at the FY 2026 Carryover Review.
Fund S10000, Public School Operating, does not assume the carryover of \$24,000,000 from FY 2026.
Fund S40000, Public School Food and Nutrition Services, assumes carryover of General Reserve of \$24,928,652.
Fund S60000, Public School Insurance, assumes carryover of Allocated Reserve of \$8,647,179.
Fund S62000, Public School Health and Flexible Benefits, assumes carryover of Premium Stabilization Reserve of \$55,364,638.

FY 2027 ADVERTISED EXPENDITURES BY FUND

SUMMARY OF APPROPRIATED FUNDS

Fund	FY 2025 Estimate	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
GOVERNMENTAL FUNDS							
General Fund Group							
10001 General Fund ¹	\$2,175,090,677	\$2,071,060,922	\$2,146,574,817	\$2,177,752,162	\$2,196,291,352	\$18,539,190	0.85%
10015 Economic Opportunity Reserve	56,818,827	909,237	0	59,467,949	0	(59,467,949)	(100.00%)
10020 Consolidated Community Funding Pool	14,220,001	13,344,055	13,542,806	14,418,752	8,743,521	(5,675,231)	(39.36%)
10030 Contributories	21,248,041	21,225,111	20,584,837	20,714,837	25,861,357	5,146,520	24.84%
10040 Information Technology Projects	83,903,778	28,357,811	0	63,738,440	0	(63,738,440)	(100.00%)
10050 Equipment Replacement	0	0	0	0	2,000,000	2,000,000	-
Total General Fund Group	\$2,351,281,324	\$2,134,897,136	\$2,180,702,460	\$2,336,092,140	\$2,232,896,230	(\$103,195,910)	(4.42%)
Debt Service Funds							
20000 Consolidated Debt Service	\$366,457,664	\$364,313,776	\$380,281,017	\$380,835,275	\$398,954,618	\$18,119,343	4.76%
Capital Project Funds							
30000 Metro Operations and Construction	\$103,357,196	\$103,357,196	\$104,709,633	\$101,709,633	\$102,756,167	\$1,046,534	1.03%
30010 General Construction and Contributions	375,601,310	96,576,819	30,910,536	284,095,708	14,881,362	(269,214,346)	(94.76%)
30015 Environmental and Energy Program	41,900,977	9,433,902	1,300,000	41,532,021	1,300,000	(40,232,021)	(96.87%)
30020 Infrastructure Replacement and Upgrades	137,229,545	15,507,126	2,500,000	139,994,683	10,000,000	(129,994,683)	(92.86%)
30030 Library Construction	81,067,748	11,125,724	0	73,601,079	0	(73,601,079)	(100.00%)
30040 Contributed Roadway Improvements	53,573,682	11,939,951	0	52,471,208	0	(52,471,208)	(100.00%)
30050 Transportation Improvements	105,018,742	13,619,320	500,000	92,662,188	650,000	(92,012,188)	(99.30%)
30070 Public Safety Construction	362,837,434	43,381,154	0	324,678,042	0	(324,678,042)	(100.00%)
30090 Pro Rata Share Drainage Construction	0	0	0	0	0	0	-
30300 Affordable Housing Development and Investment	155,849,591	37,667,930	48,641,801	168,279,142	49,829,288	(118,449,854)	(70.39%)
30400 Park Authority Bond Construction	103,530,923	29,235,844	0	76,314,852	0	(76,314,852)	(100.00%)
S31000 Public School Construction	566,934,596	240,750,945	262,846,013	602,212,166	267,301,679	(334,910,487)	(55.61%)
Total Capital Project Funds	\$2,086,901,744	\$612,595,911	\$451,407,983	\$1,957,550,722	\$446,718,496	(\$1,510,832,226)	(77.18%)
Special Revenue Funds							
40000 County Transit Systems	\$209,904,311	\$143,678,433	\$162,888,344	\$213,033,535	\$177,820,574	(\$35,212,961)	(16.53%)
40010 County and Regional Transportation Projects	978,958,514	161,127,354	78,730,537	891,096,352	77,185,256	(813,911,096)	(91.34%)
40030 Cable Communications	16,527,969	10,123,009	11,510,315	17,197,060	11,198,136	(5,998,924)	(34.88%)
40040 Fairfax-Falls Church Community Services Board	241,200,644	222,217,638	224,386,413	242,991,332	241,680,297	(1,311,035)	(0.54%)
40045 Early Childhood Birth to 5	35,511,357	31,963,778	35,944,584	36,320,500	36,549,604	229,104	0.63%
40050 Reston Community Center	15,215,401	11,546,345	12,468,620	14,789,603	13,551,634	(1,237,969)	(8.37%)
40060 McLean Community Center	10,090,063	8,578,783	8,101,473	9,929,077	8,525,756	(1,403,321)	(14.13%)
40070 Burgundy Village Community Center	49,532	16,569	50,739	51,821	51,149	(672)	(1.30%)
40080 Integrated Pest Management Program	3,786,361	3,059,645	3,748,467	3,881,375	3,790,173	(91,202)	(2.35%)
40090 E-911	86,123,821	59,515,625	64,834,994	89,746,219	70,628,411	(19,117,808)	(21.30%)
40100 Stormwater Services	318,948,333	112,602,326	107,580,765	319,739,079	111,332,894	(208,406,185)	(65.18%)
40110 Dulles Rail Phase I Transportation Improvement District	13,826,300	13,688,050	13,828,550	13,560,150	13,554,400	(5,750)	(0.04%)
40120 Dulles Rail Phase II Transportation Improvement District	30,061,564	24,278,128	9,728,441	17,728,441	9,216,282	(8,512,159)	(48.01%)
40125 Metrorail Parking System Pledged Revenues	13,900,885	13,463,627	13,328,863	13,426,777	13,748,587	321,810	2.40%
40130 Leaf Collection	4,810,464	2,870,589	4,337,032	4,627,437	4,686,185	58,748	1.27%
40140 Refuse Collection and Recycling Operations	27,414,839	23,764,714	27,870,198	28,354,821	28,826,868	472,047	1.66%
40150 Refuse Disposal	75,006,015	68,956,877	73,244,160	74,178,551	89,078,900	14,900,349	20.09%
40170 I-95 Refuse Disposal	23,867,594	10,378,703	16,590,595	16,590,595	9,466,936	(7,123,659)	(42.94%)
40180 Tysons Service District	42,922,890	67,791	0	39,605,099	0	(39,605,099)	(100.00%)
40190 Reston Service District	4,332,914	0	0	4,332,914	0	(4,332,914)	(100.00%)
40200 Land Development Services	55,380,019	51,282,754	58,701,033	59,617,629	60,989,686	1,372,057	2.30%
40300 Housing Trust	29,515,061	9,415,665	1,597,669	23,859,385	1,653,828	(22,205,557)	(93.07%)
40400 Park General Operations and Capital	0	0	0	110,205,763	76,793,271	(33,412,492)	(30.32%)
50000 Federal-State Grant Fund	491,503,922	167,509,140	151,029,429	561,763,030	155,154,769	(406,608,261)	(72.38%)
50800 Community Development Block Grant	14,935,155	6,085,628	7,656,674	16,312,032	5,733,638	(10,578,394)	(64.85%)
50810 HOME Investment Partnerships Program	13,447,896	1,389,787	2,417,009	15,088,578	2,008,441	(13,080,137)	(86.69%)
S10000 Public School Operating ²	4,038,677,142	3,711,290,999	3,839,531,845	4,167,734,715	4,024,659,214	(143,075,501)	(3.43%)
S40000 Public School Food and Nutrition Services	138,025,669	108,477,837	139,144,760	128,665,885	129,358,181	692,296	0.54%
S43000 Public School Adult and Community Education	9,691,885	8,137,958	9,721,528	9,715,999	9,715,155	(844)	(0.01%)
S50000 Public School Grants & Self Supporting Programs ³	238,956,174	147,026,015	106,994,891	212,082,583	98,378,054	(113,704,529)	(53.61%)
Total Special Revenue Funds	\$7,182,592,694	\$5,132,513,767	\$5,185,967,928	\$7,356,226,337	\$5,485,336,279	(\$1,870,890,058)	(25.43%)
TOTAL GOVERNMENTAL FUNDS	\$11,987,233,426	\$8,244,320,590	\$8,198,359,388	\$12,030,704,474	\$8,563,905,623	(\$3,466,798,851)	(28.82%)

FY 2027 ADVERTISED EXPENDITURES BY FUND SUMMARY OF APPROPRIATED FUNDS

Fund	FY 2025 Estimate	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
PROPRIETARY FUNDS							
Internal Service Funds							
60000 County Insurance	\$42,495,679	\$29,887,153	\$35,186,995	\$42,233,995	\$35,161,418	(\$7,072,577)	(16.75%)
60010 Department of Fleet Management	120,617,429	103,946,877	94,461,144	102,580,101	101,410,309	(1,169,792)	(1.14%)
60020 Document Services	10,188,371	10,019,300	9,949,246	10,797,614	10,781,706	(15,908)	(0.15%)
60030 Technology Infrastructure Services	78,010,243	63,689,845	65,396,336	78,037,453	78,509,083	471,630	0.60%
60040 Health Benefits	252,655,948	224,320,817	220,507,993	247,599,021	236,253,072	(11,345,949)	(4.58%)
S60000 Public School Insurance	29,674,061	22,992,524	34,748,941	38,005,436	40,355,593	2,350,157	6.18%
S62000 Public School Health and Flexible Benefits	612,976,646	609,980,805	703,405,973	710,127,681	767,980,150	57,852,469	8.15%
Total Internal Service Funds	\$1,146,618,377	\$1,064,837,321	\$1,163,656,628	\$1,229,381,301	\$1,270,451,331	\$41,070,030	3.34%
Enterprise Funds							
69010 Sewer Operation and Maintenance	\$153,841,399	\$145,681,151	\$154,479,297	\$166,234,644	\$170,769,969	\$4,535,325	2.73%
69020 Sewer Bond Parity Debt Service	45,708,354	42,459,468	47,207,406	47,207,406	52,144,066	4,936,660	10.46%
69040 Sewer Bond Subordinate Debt Service	23,458,744	22,734,096	24,223,191	24,223,191	24,121,641	(101,550)	(0.42%)
69300 Sewer Construction Improvements	177,006,894	94,399,195	100,000,000	182,607,699	80,000,000	(102,607,699)	(56.19%)
69310 Sewer Bond Construction	201,363,980	99,159,721	228,500,000	333,885,431	0	(333,885,431)	(100.00%)
Total Enterprise Funds	\$601,379,371	\$404,433,631	\$554,409,894	\$754,158,371	\$327,035,676	(\$427,122,695)	(56.64%)
TOTAL PROPRIETARY FUNDS	\$1,747,997,748	\$1,469,270,952	\$1,718,066,522	\$1,983,539,672	\$1,597,487,007	(\$386,052,665)	(19.46%)
FIDUCIARY FUNDS							
Custodial Funds							
70000 Route 28 Tax District	\$11,244,607	\$10,599,232	\$10,407,279	\$10,412,453	\$10,961,036	\$548,583	5.27%
70040 Mosaic District Community Development Authority	4,878,700	4,878,700	4,881,795	4,881,795	4,878,717	(3,078)	(0.06%)
Total Custodial Funds	\$16,123,307	\$15,477,932	\$15,289,074	\$15,294,248	\$15,839,753	\$545,505	3.57%
Trust Funds							
73000 Employees' Retirement Trust	\$510,270,850	\$497,773,674	\$547,311,423	\$547,311,423	\$584,207,689	\$36,896,266	6.74%
73010 Uniformed Employees Retirement Trust	189,711,921	183,588,614	175,592,134	175,592,134	203,539,007	27,946,873	15.92%
73020 Police Retirement Trust	157,153,225	151,038,631	149,879,827	149,879,827	171,503,666	21,623,839	14.43%
73030 OPEB Trust	25,752,812	22,513,177	16,553,849	16,553,849	15,839,714	(714,135)	(4.31%)
S71000 Educational Employees' Retirement	247,153,824	244,965,876	260,665,007	260,224,217	275,949,897	15,725,680	6.04%
S71100 Public School OPEB Trust	18,563,500	10,701,055	18,799,500	18,799,500	19,027,500	228,000	1.21%
Total Trust Funds	\$1,148,606,132	\$1,110,581,027	\$1,168,801,740	\$1,168,360,950	\$1,270,067,473	\$101,706,523	8.71%
TOTAL FIDUCIARY FUNDS	\$1,164,729,439	\$1,126,058,959	\$1,184,090,814	\$1,183,655,198	\$1,285,907,226	\$102,252,028	8.64%
TOTAL APPROPRIATED FUNDS	\$14,899,960,613	\$10,839,650,501	\$11,100,516,724	\$15,197,899,344	\$11,447,299,856	(\$3,750,599,488)	(24.68%)
Less: Internal Service Funds⁴	(\$1,146,618,377)	(\$1,064,837,321)	(\$1,163,656,628)	(\$1,229,381,301)	(\$1,270,451,331)	(\$41,070,030)	3.34%
NET EXPENDITURES	\$13,753,342,236	\$9,774,813,180	\$9,936,860,096	\$13,968,518,043	\$10,176,848,525	(\$3,791,669,518)	(27.14%)

¹ Fairfax County has received \$222.89 million in emergency funding through the American Rescue Plan Act (ARPA) Coronavirus State and Local Fiscal Recovery Funds to respond to the COVID-19 emergency. A balance of \$7.6 million remains and was re-appropriated by the Board of Supervisors as part of the *FY 2025 Carryover Review*.

² Pending School Board approval, FY 2027 expenditures for Fund S10000, Public School Operating, are reduced from the amount shown in the School Board's Advertised Budget to offset the discrepancy between the proposed Transfer Out from the General Fund to Fund S10000 and the Transfer In from the General Fund reflected in the School Board's Advertised Budget. Final adjustments will be reflected at the *FY 2026 Carryover Review*.

³ Pending School Board approval, FY 2027 expenditures for Fund S50000, Public School Grants and Self-Supporting Programs, are reduced from the amount shown in the School Board's Advertised Budget to offset the discrepancy between the proposed Transfer Out from Fund 40030, Cable Communications, to Fund S50000 as included in the *FY 2027 Advertised Budget Plan* and the Transfer In from Fund 40030 reflected in the School Board's Advertised Budget. Final adjustments will be reflected at the *FY 2026 Carryover Review*.

⁴ Total Appropriated Funds Expenditures are reduced by Internal Service Fund Expenditures, as the amounts are already included.

FY 2027 ADVERTISED CHANGES IN FUND BALANCE

SUMMARY OF APPROPRIATED FUNDS

Fund	Balance 6/30/2024	Balance 6/30/2025	Balance 6/30/2026	Balance 6/30/2027	From/ (Added to) Surplus
GOVERNMENTAL FUNDS					
General Fund Group					
10001 General Fund	\$459,104,739	\$360,115,450	\$292,029,446	\$258,624,281	\$33,405,165
10010 Revenue Stabilization	277,247,726	288,290,689	297,290,689	305,290,689	(8,000,000)
10015 Economic Opportunity Reserve	53,903,688	58,467,949	0	60,467,949	(60,467,949)
10020 Consolidated Community Funding Pool	662,720	875,946	0	0	0
10030 Contributories	50,159	47,378	47,378	1,693,193	(1,645,815)
10040 Information Technology Projects	66,000,289	57,425,135	0	0	0
10050 Equipment Replacement	0	0	0	0	0
Total General Fund Group	\$856,969,321	\$765,222,547	\$589,367,513	\$626,076,112	(\$36,708,599)
Debt Service Funds					
20000 Consolidated Debt Service	\$2,700,124	\$1,613,093	\$0	\$0	\$0
Capital Project Funds					
30000 Metro Operations and Construction	\$3,029,775	\$600,000	\$0	\$0	\$0
30010 General Construction and Contributions	169,958,863	172,263,858	0	0	0
30015 Environmental and Energy Program	31,084,122	33,497,021	0	0	0
30020 Infrastructure Replacement and Upgrades	95,251,596	122,115,117	0	0	0
30030 Library Construction	(4,932,252)	6,351,079	0	0	0
30040 Contributed Roadway Improvements	53,573,682	52,471,208	0	0	0
30050 Transportation Improvements	79,092,152	92,162,188	0	0	0
30070 Public Safety Construction	10,437,593	29,328,042	0	0	0
30090 Pro Rata Share Drainage Construction	12,954,792	0	0	0	0
30300 Affordable Housing Development and Investment	117,730,841	120,597,979	960,638	960,638	0
30400 Park Authority Bond Construction	4,460,923	244,852	0	0	0
S31000 Public School Construction	172,046,970	211,298,160	572,582	0	572,582
Total Capital Project Funds	\$744,689,057	\$840,929,504	\$1,533,220	\$960,638	\$572,582
Special Revenue Funds					
40000 County Transit Systems	\$243,362	\$14,848,108	\$0	\$0	\$0
40010 County and Regional Transportation Projects	227,438,342	223,418,332	13,300,000	13,300,000	0
40030 Cable Communications	8,891,467	7,282,176	1,701,754	314,189	1,387,565
40040 Fairfax-Falls Church Community Services Board	72,131,338	68,103,270	39,173,995	37,822,903	1,351,092
40045 Early Childhood Birth to 5	24,062,900	16,482,371	16,106,455	16,106,455	0
40050 Reston Community Center	12,208,481	12,613,568	10,009,440	8,674,575	1,334,865
40060 McLean Community Center	7,749,482	7,159,901	5,129,331	4,784,982	344,349
40070 Burgundy Village Community Center	529,082	651,705	709,483	768,991	(59,508)
40080 Integrated Pest Management Program	6,131,628	6,263,985	5,458,027	4,932,448	525,579
40090 E-911	45,509,856	49,478,298	24,001,263	20,935,453	3,065,810
40100 Stormwater Services	187,653,211	204,908,624	0	0	0
40110 Dulles Rail Phase I Transportation Improvement District	36,188,162	38,414,941	39,844,620	41,209,852	(1,365,232)
40120 Dulles Rail Phase II Transportation Improvement District	34,917,015	27,775,756	24,876,185	30,350,952	(5,474,767)
40125 Metrorail Parking System Pledged Revenues	7,074,259	10,709,110	11,303,484	10,776,048	527,436
40130 Leaf Collection	4,139,146	5,629,684	5,364,168	5,341,859	22,309
40140 Refuse Collection and Recycling Operations	3,301,667	4,550,859	4,040,292	3,781,654	258,638
40150 Refuse Disposal	41,878,643	35,288,915	30,138,195	13,036,963	17,101,232
40170 I-95 Refuse Disposal	49,310,705	51,671,124	47,956,928	51,626,755	(3,669,827)
40180 Tysons Service District	68,456,200	79,291,287	48,395,997	57,090,309	(8,694,312)
40190 Reston Service District	15,193,057	18,108,027	16,314,507	18,909,145	(2,594,638)
40200 Land Development Services	14,463,713	20,772,274	21,837,491	24,862,904	(3,025,413)
40300 Housing Trust	29,406,370	25,601,231	3,339,515	3,339,515	0
40400 Park General Operations and Capital	0	0	0	0	0
50000 Federal-State Grant Fund	95,213,658	122,292,116	742,265	742,265	0
50800 Community Development Block Grant	1,622,705	2,285,316	0	0	0
50810 HOME Investment Partnerships Program	137,427	618,302	308,722	308,722	0
S10000 Public School Operating	385,041,143	379,918,532	24,000,000	0	24,000,000
S40000 Public School Food and Nutrition Services	40,052,558	25,866,832	0	0	0
S43000 Public School Adult and Community Education	23,580	27,174	0	0	0
S50000 Public School Grants and Self Supporting Programs	80,953,384	47,804,874	0	0	0
Total Special Revenue Funds	\$1,499,922,541	\$1,507,836,692	\$394,052,117	\$369,016,939	\$25,035,178
TOTAL GOVERNMENTAL FUNDS	\$3,104,281,043	\$3,115,601,836	\$984,952,850	\$996,053,689	(\$11,100,839)

FY 2027 ADVERTISED CHANGES IN FUND BALANCE

SUMMARY OF APPROPRIATED FUNDS

Fund	Balance 6/30/2024	Balance 6/30/2025	Balance 6/30/2026	Balance 6/30/2027	From/ (Added to) Surplus
PROPRIETARY FUNDS					
Internal Service Funds					
60000 County Insurance	\$121,353,802	\$121,999,375	\$104,911,913	\$94,871,451	\$10,040,462
60010 Department of Fleet Management	104,525,711	116,627,086	107,199,717	100,912,353	6,287,364
60020 Document Services	715,851	948,454	813,993	827,900	(13,907)
60030 Technology Infrastructure Services	20,114,445	19,574,694	5,397,227	2,242,440	3,154,787
60040 Health Benefits	78,890,683	59,594,193	32,900,260	46,739,970	(13,839,710)
S60000 Public School Insurance	65,699,597	68,378,799	57,812,000	57,812,000	0
S62000 Public School Health and Flexible Benefits	39,065,197	20,687,109	0	0	0
Total Internal Service Funds	\$430,365,286	\$407,809,710	\$309,035,110	\$303,406,114	\$5,628,996
Enterprise Funds					
69000 Sewer Revenue	\$143,468,667	\$142,431,873	\$128,691,873	\$122,201,873	\$6,490,000
69010 Sewer Operation and Maintenance	11,736,361	8,320,382	150,910	41,976	108,934
69020 Sewer Bond Parity Debt Service	2,649,284	5,689,816	5,482,410	15,938,344	(10,455,934)
69030 Sewer Bond Debt Reserve	36,660,067	0	0	0	0
69040 Sewer Bond Subordinate Debt Service	3,275,502	2,541,406	2,318,215	2,396,574	(78,359)
69300 Sewer Construction Improvements	82,006,894	82,607,699	0	0	0
69310 Sewer Bond Construction	159,706,677	100,388,195	0	0	0
Total Enterprise Funds	\$439,503,452	\$341,979,371	\$136,643,408	\$140,578,767	(\$3,935,359)
TOTAL PROPRIETARY FUNDS	\$869,868,738	\$749,789,081	\$445,678,518	\$443,984,881	\$1,693,637
FIDUCIARY FUNDS					
Custodial Funds					
70000 Route 28 Tax District	\$5,294	\$5,174	\$0	\$0	\$0
70040 Mosaic District Community Development Authority	0	0	0	0	0
Total Custodial Funds	\$5,294	\$5,174	\$0	\$0	\$0
Trust Funds					
73000 Employees' Retirement Trust	\$4,995,931,144	\$5,387,673,015	\$5,628,997,636	\$5,903,423,623	(\$274,425,987)
73010 Uniformed Employees Retirement Trust	2,185,289,310	2,360,241,921	2,474,151,119	2,614,100,517	(139,949,398)
73020 Police Retirement Trust	1,828,683,825	1,966,494,979	2,059,258,283	2,175,446,901	(116,188,618)
73030 OPEB Trust	433,249,269	468,158,549	469,454,554	458,241,573	11,212,981
S71000 Educational Employees' Retirement	3,213,963,803	3,439,702,868	3,670,883,187	3,919,758,818	(248,875,631)
S71100 Public School OPEB Trust	238,830,591	265,082,378	274,956,878	284,831,378	(9,874,500)
Total Trust Funds	\$12,895,947,942	\$13,887,353,710	\$14,577,701,657	\$15,355,802,810	(\$778,101,153)
TOTAL FIDUCIARY FUNDS	\$12,895,953,236	\$13,887,358,884	\$14,577,701,657	\$15,355,802,810	(\$778,101,153)
TOTAL APPROPRIATED FUNDS	\$16,870,103,017	\$17,752,749,801	\$16,008,333,025	\$16,795,841,380	(\$787,508,355)



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GENERAL FUND PROPERTY TAX RATES
FY 2018 - FY 2027
(per \$100 assessed valuation)

Tax Category	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026	FY 2027 Proposed
Real Estate	\$1.130	\$1.150	\$1.150	\$1.150	\$1.140	\$1.110	\$1.095	\$1.125	\$1.1225	\$1.1225
Public Service	1.130	1.150	1.150	1.150	1.140	1.110	1.095	1.125	1.1225	1.1225
Personal Property¹	\$4.57	\$4.57	\$4.57	\$4.57	\$4.57	\$4.57	\$4.57	\$4.57	\$4.57	\$4.57
Special Subclass ²	0.01	0.01	0.01	0.01	0.01	0.01	0.01	0.01	0.01	0.01
Machinery and Tools ³	4.57	4.57	4.57	4.57	4.57	2.00	2.00	2.00	2.00	2.00
Research and Development	4.57	4.57	4.57	4.57	4.57	4.57	4.57	4.57	4.57	4.57
Mobile Homes ⁴	1.130	1.150	1.150	1.150	1.140	1.110	1.095	1.125	1.1225	1.1225
Public Service	1.130	1.150	1.150	1.150	1.140	1.110	1.095	1.125	1.1225	1.1225

¹ Includes vehicles owned by individuals, businesses and Public Service Corporations, business furniture and fixtures, and computers.

² On April 30, 1990, the Board of Supervisors established a subclass for personal property taxation purposes. This subclass includes vehicles specifically equipped for the handicapped, privately-owned vans used for van pools, and vehicles belonging to volunteer fire and rescue squad members. The same rate also applies to antique automobiles. In FY 1996, vehicles owned by auxiliary police officers, aircraft and flight simulators, and property owned by homeowners' associations were added to the special subclass. Boats were added in FY 2000 and vehicles owned by reserve deputy sheriffs were included in FY 2007. Beginning in FY 2012, one vehicle owned by a fully disabled veteran is included in this special subclass.

³ On May 10, 2022, as part of the [FY 2023 Adopted Budget Plan](#), the Board of Supervisors reduced the Machinery and Tools tax from \$4.57 to \$2.00 per \$100 of assessed value. The tax rate reduction, along with changes to the depreciation schedule will allow Fairfax County to better compete with surrounding jurisdictions and help to attract and keep local businesses in the County.

⁴ In accordance with the [Code of Virginia](#), mobile homes are considered a separate class of Personal Property and are assessed and taxed in the same manner as local real property.

SUMMARY OF SELECTED NON-GENERAL FUND TAX RATES

FY 2018 - FY 2027

Tax Category	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026	FY 2027 Proposed
Sewage Rates (Fund 69000)										
Sewer Charge (per 1,000 gal.)	\$6.75	\$7.00	\$7.28	\$7.28	\$7.72	\$8.09	\$8.46	\$8.81	\$9.33	\$9.88
Availability Fee - Single Family Home	\$8,100	\$8,100	\$8,340	\$8,340	\$8,507	\$8,592	\$8,860	\$9,038	\$9,218	\$9,398
Refuse Rates										
Leaf Collection (Fund 40130) ¹	\$0.013	\$0.013	\$0.012	\$0.012	\$0.012	\$0.012	\$0.012	\$0.019	\$0.019	\$0.019
Refuse Collection per unit (Fund 40140)	\$345	\$350	\$385	\$370	\$400	\$475	\$490	\$555	\$610	\$630
Refuse Disposal per ton (Fund 40150)	\$64	\$66	\$68	\$68	\$66	\$70	\$72	\$79	\$90	\$98
Community Centers										
Reston (Fund 40050) ¹	\$0.047	\$0.047	\$0.047	\$0.047	\$0.047	\$0.047	\$0.047	\$0.047	\$0.047	\$0.047
McLean (Fund 40060) ¹	\$0.023	\$0.023	\$0.023	\$0.023	\$0.023	\$0.023	\$0.023	\$0.023	\$0.023	\$0.023
Burgundy Village (Fund 40070) ¹	\$0.02	\$0.02	\$0.02	\$0.02	\$0.02	\$0.02	\$0.02	\$0.02	\$0.02	\$0.02
Other Special Taxing Districts										
Commercial & Industrial Tax for Transportation Projects (Fund 40010) ^{1,2}	\$0.125	\$0.125	\$0.125	\$0.125	\$0.125	\$0.125	\$0.125	\$0.125	\$0.125	\$0.125
Integrated Pest Management Program (Fund 40080) ¹	\$0.001	\$0.001	\$0.001	\$0.001	\$0.001	\$0.001	\$0.001	\$0.001	\$0.001	\$0.001
Stormwater Services (Fund 40100) ^{1,3}	\$0.0300	\$0.0325	\$0.0325	\$0.0325	\$0.0325	\$0.0325	\$0.0325	\$0.0325	\$0.0325	\$0.0325
Dulles Rail Phase I (Fund 40110) ¹	\$0.15	\$0.13	\$0.11	\$0.09	\$0.09	\$0.09	\$0.09	\$0.09	\$0.09	\$0.09
Dulles Rail Phase II (Fund 40120) ¹	\$0.20	\$0.20	\$0.20	\$0.20	\$0.20	\$0.20	\$0.18	\$0.16	\$0.14	\$0.14
Tysons Service District (Fund 40180) ^{1,4}	\$0.05	\$0.05	\$0.05	\$0.05	\$0.05	\$0.05	\$0.05	\$0.05	\$0.05	\$0.05
Reston Service District (Fund 40190) ^{1,5}	\$0.021	\$0.021	\$0.021	\$0.021	\$0.021	\$0.021	\$0.021	\$0.021	\$0.021	\$0.021
Route 28 Corridor (Fund 70000) ¹	\$0.18	\$0.18	\$0.18	\$0.17	\$0.17	\$0.17	\$0.16	\$0.14	\$0.12	\$0.12

¹ Per \$100 of assessed value.

² This district was created in FY 2009 after the Virginia General Assembly enacted legislation allowing Northern Virginia jurisdictions to levy an additional real estate tax on commercial and industrial properties for new transportation initiatives.

³ This service district was created in FY 2010 to support stormwater management operating and capital requirements, as authorized by the Code of Virginia §15.2-2

⁴ This service district was established on January 8, 2013 to fund transportation

⁵ This service district was created as part of the FY 2018 Budget process.

ASSESSED VALUATION, TAX RATES, LEVIES AND COLLECTIONS

GENERAL FUND, FY 2025 - FY 2027

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan
ASSESSED VALUATION OF TAXABLE PROPERTY				
Real Estate				
Local Assessment	\$323,888,593,610	\$341,195,227,820	\$341,195,227,820	\$354,061,297,220
Public Service Corporations	1,420,873,250	1,451,206,628	1,451,206,628	1,560,801,741
Supplemental Assessments	790,292,687	875,000,000	875,000,000	875,000,000
Less: Tax Relief for Elderly/Disabled	(4,466,242,768)	(5,000,000,000)	(5,000,000,000)	(5,949,960,000)
Less: Exonerations/Certificates/Tax Abatements	(893,709,174)	(1,376,583,460)	(1,376,583,460)	(1,445,000,000)
Total Real Estate Taxable Valuation¹	\$320,739,807,605	\$337,144,850,988	\$337,144,850,988	\$349,102,138,961
Personal Property				
Vehicles	\$15,306,549,016	\$15,918,117,643	\$16,338,467,635	\$17,049,172,243
Business Property (excluding vehicles)	3,222,261,353	3,166,117,531	3,699,243,870	3,231,910,341
Mobile Homes	15,396,356	15,396,316	15,396,316	21,995,750
Other Personal Property ²	37,341,488	24,092,626	37,350,284	42,038,155
Public Service Corporations	3,517,434,742	3,558,210,700	3,591,417,341	3,627,331,515
Omitted Assessments	413,927,249	405,992,558	428,577,764	439,673,307
Less: Exonerations	(73,759,133)	(90,745,070)	(96,722,494)	(98,270,382)
Total Personal Property Valuation	\$22,439,151,071	\$22,997,182,304	\$24,013,730,716	\$24,313,850,929
Total Taxable Property Valuation	\$343,178,958,676	\$360,142,033,292	\$361,158,581,704	\$373,415,989,890
TAX RATE (per \$100 assessed value)				
Real Estate				
Regular-Local Assessment	\$1.125	\$1.1225	\$1.1225	\$1.1225
Public Service Corporations-Equalized	\$1.125	1.1225	1.1225	1.1225
Personal Property				
Vehicle/Business/Other	\$4.57	\$4.57	\$4.57	\$4.57
Public Service Corporations-Equalized	1.125	1.1225	1.1225	1.1225
Mobile Homes	1.125	1.1225	1.1225	1.1225
LEVIES AND COLLECTIONS				
Property Tax Levy				
Real Estate Tax Levy	\$3,608,322,835	\$3,784,450,952	\$3,784,450,952	\$3,918,671,510
Personal Property Tax Levy	798,542,250	785,821,883	825,862,519	852,097,144
Total Property Tax Levy	\$4,406,865,085	\$4,570,272,835	\$4,610,313,471	\$4,770,768,654
Property Tax Collections				
Collection of Current Taxes ³	\$4,377,431,558	\$4,544,261,983	\$4,574,508,176	\$4,733,482,795
Percentage of Total Levy Collected	99.3%	99.4%	99.2%	99.2%
Net Collections of Delinquent Taxes	47,078,639	46,780,839	46,780,839	47,716,456
Total Property Tax Collections	\$4,424,510,197	\$4,591,042,822	\$4,621,289,015	\$4,781,199,251
Yield of \$0.01 per \$100 of Real Estate Tax Collections	\$32,289,207	\$33,953,442	\$33,957,032	\$35,153,077
Yield of \$0.01 per \$100 of Personal Property Tax Collections	\$1,630,192	\$1,603,909	\$1,669,213	\$1,723,362

¹ Includes the Mosaic District Tax Increment Financing (TIF) assessed value based on the difference between the 2007 Base Assessed Value and the Current Assessed Value, which in FY 2027 is \$781,593,140, with a tax levy of \$8,773,383.

² Other Personal Property includes boats, trailers, and miscellaneous.

³ Includes Real Estate tax revenue which is directed to the Affordable Housing Development and Investment Fund. The value is \$32.32 million, \$42.44 million, and \$43.94 million in FY 2025, FY 2026, and FY 2027, respectively. It also includes Real Estate tax revenue directed to the Mosaic District Community Development Authority for debt service payments in the amount of \$4,878,717 in FY 2027.



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FY 2027 ADVERTISED GENERAL FUND REVENUE

Revenue Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
REAL PROPERTY TAXES						
Real Estate Tax - Current	\$3,539,607,343	\$3,707,648,998	\$3,707,648,998	\$3,838,679,999	\$131,031,001	3.5%
R. E. Tax - Public Service Corps	15,984,138	16,289,794	16,289,794	17,520,000	1,230,206	7.6%
Subtotal R. E. Tax - Current	\$3,555,591,481	\$3,723,938,792	\$3,723,938,792	\$3,856,199,999	\$132,261,207	3.6%
R. E. Tax Penalties - Current	\$7,155,905	\$7,241,759	\$7,241,759	\$7,386,594	\$144,835	2.0%
R. E. Tax Interest - Current	159,477	119,157	119,157	121,540	2,383	2.0%
R. E. PSC - Penalty Current	8,174	2,038	2,038	2,079	41	2.0%
R. E. PSC - Interest Current	195	42	42	43	1	2.4%
R.E. Tax Delinquent - Prior Years	3,943,697	4,822,729	4,822,729	4,919,184	96,455	2.0%
R.E. Tax Penalties - Prior years	825,021	744,570	744,570	759,461	14,891	2.0%
R.E. Tax Interest - Prior Years	139,737	188,617	188,617	192,389	3,772	2.0%
Subtotal R. E. Tax - Delinq. Collections	\$12,232,206	\$13,118,912	\$13,118,912	\$13,381,290	\$262,378	2.0%
TOTAL REAL PROPERTY TAXES	\$3,567,823,687	\$3,737,057,704	\$3,737,057,704	\$3,869,581,289	\$132,523,585	3.5%
PERSONAL PROPERTY TAXES						
Personal Property Tax - Current	\$533,509,587	\$521,439,608	\$551,411,980	\$576,223,726	\$24,811,746	4.5%
P. P. Tax - Public Service Corps	39,819,024	40,246,043	40,519,864	40,925,063	405,199	1.0%
Subtotal P. P. Tax - Current	\$573,328,611	\$561,685,651	\$591,931,844	\$617,148,789	\$25,216,945	4.3%
P. P. Tax Penalties - Current	\$11,497,004	\$10,519,134	\$10,519,134	\$10,729,518	210,384	2.0%
P.P. Tax Interest - Current	981,849	861,588	861,588	878,820	17,232	2.0%
P.P. Tax Delinquent - Prior Years	17,661,745	17,550,520	17,550,520	17,901,530	351,010	2.0%
P.P. Tax Penalties - Prior Years	3,405,917	3,437,123	3,437,123	3,505,865	68,742	2.0%
P.P. Tax Interest - Prior Years	1,299,918	1,293,562	1,293,562	1,319,433	25,871	2.0%
Subtotal P. P. Tax - Delinquent	\$34,846,433	\$33,661,927	\$33,661,927	\$34,335,166	\$673,239	2.0%
TOTAL PERSONAL PROPERTY TAXES	\$608,175,044	\$595,347,578	\$625,593,771	\$651,483,955	\$25,890,184	4.1%
GENERAL OTHER LOCAL TAXES						
Short-Term Daily Rental	\$535,122	\$448,128	\$448,128	\$448,128	\$0	0.0%
Vehicle Registration Fee	26,351,460	26,936,236	26,936,236	27,340,280	404,044	1.5%
Vehicle Registration Fee - Delinquent	985,731	1,015,000	1,015,000	1,030,225	15,225	1.5%
Auto Delinquent - DMV Hold	(11,567)	0	0	0	0	--
Bank Franchise Tax	28,520,593	31,629,866	28,520,593	29,091,005	570,412	2.0%
Cigarette Tax	5,043,615	4,903,596	4,903,596	4,658,416	(245,180)	(5.0%)
Gross Receipts Tax on Rental Cars	3,625,342	4,047,620	3,625,342	3,697,849	72,507	2.0%
Land Transfer Fees	23,253	26,194	26,194	26,194	0	0.0%
Subtotal	\$65,073,549	\$69,006,640	\$65,475,089	\$66,292,097	\$817,008	1.2%
Sales Tax - Local	\$249,450,195	\$251,254,563	\$254,439,199	\$258,255,787	\$3,816,588	1.5%
Sales Tax - Mobile Home	106,228	101,281	106,228	106,228	0	0.0%
Sales Tax - ATV/Mopeds	5,432	1,500	5,432	5,432	0	0.0%
Subtotal Sales Tax	\$249,561,855	\$251,357,344	\$254,550,859	\$258,367,447	\$3,816,588	1.5%
Deed of Conveyance Tax	\$7,748,671	\$7,292,975	\$7,130,851	\$7,273,468	\$142,617	2.0%
Recordation Tax	23,687,905	21,814,039	23,687,905	24,161,663	473,758	2.0%
Subtotal Deed of Conveyance/Recordation Taxes	\$31,436,576	\$29,107,014	\$30,818,756	\$31,435,131	\$616,375	2.0%

FY 2027 ADVERTISED GENERAL FUND REVENUE

Revenue Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
Transient Occupancy Tax	\$12,861,635	\$19,205,108	\$19,205,108	\$19,589,210	\$384,102	2.0%
Transient Occupancy Tax -- Additional	13,505,253	13,372,417	13,372,417	13,639,865	267,448	2.0%
Transient Occupancy Tax -- Additional Tourism	0	6,515,505	6,515,505	0	(6,515,505)	(100.0%)
Subtotal Transient Occupancy Tax	\$26,366,888	\$39,093,030	\$39,093,030	\$33,229,075	(\$5,863,955)	(15.0%)
Food and Beverage Tax - Current	\$0	\$67,900,000	\$67,900,000	\$135,800,000	\$67,900,000	100.0%
TOTAL Other Local Taxes	\$372,438,868	\$456,464,028	\$457,837,734	\$525,123,750	\$67,286,016	14.7%
Electric Utility Tax - Dominion Virginia Power	\$34,110,546	\$33,745,044	\$33,745,044	\$34,082,494	\$337,450	1.0%
Electric Utility Tax - No. Va. Elec. Coop.	1,724,218	1,711,113	1,711,113	1,728,224	17,111	1.0%
Subtotal Electric Utility Tax	\$35,834,764	\$35,456,157	\$35,456,157	\$35,810,718	\$354,561	1.0%
Gas Utility Tax - Washington Gas	\$8,951,916	\$8,966,182	\$8,966,182	\$9,055,844	\$89,662	1.0%
Gas Utility Tax - Columbia Gas of VA	528,053	458,184	458,184	462,766	4,582	1.0%
Subtotal Gas Utility Tax	\$9,479,969	\$9,424,366	\$9,424,366	\$9,518,610	\$94,244	1.0%
TOTAL Consumer Utility Tax	\$45,314,733	\$44,880,523	\$44,880,523	\$45,329,328	\$448,805	1.0%
Electric Consumption Tax	\$2,877,631	\$2,856,464	\$2,856,464	\$2,885,029	\$28,565	1.0%
Natural Gas Consumption Tax	716,308	720,129	720,129	727,330	7,201	1.0%
Subtotal Consumption Tax	\$3,593,939	\$3,576,593	\$3,576,593	\$3,612,359	\$35,766	1.0%
BPOL Tax - Amusements	\$380,603	\$407,665	\$388,215	\$394,038	\$5,823	1.5%
BPOL Tax - Builders and Developers	502,027	485,445	512,068	519,749	7,681	1.5%
BPOL Tax - Business Service Occupation	49,829,109	48,615,041	50,862,441	51,625,378	762,937	1.5%
BPOL Tax - Consultant/Specialist	43,722,040	43,814,160	44,596,481	45,265,428	668,947	1.5%
BPOL Tax - Contractors	12,794,765	13,667,442	13,050,660	13,246,420	195,760	1.5%
BPOL Tax - Hotels and Motels	2,041,721	1,798,566	2,082,555	2,113,793	31,238	1.5%
BPOL Tax - Money Lenders	781,135	685,912	796,758	808,709	11,951	1.5%
BPOL Tax - Personal Service Occupations	10,652,884	10,474,558	10,865,942	11,028,931	162,989	1.5%
BPOL Tax - Prof. & Spec. Occupations	25,686,793	25,833,510	26,200,529	26,593,537	393,008	1.5%
BPOL Tax - Real Estate Brokers	1,690,845	1,761,318	1,724,662	1,750,532	25,870	1.5%
BPOL Tax - Rent of House, Apt & Condo	16,448,074	16,731,141	16,777,035	17,028,691	251,656	1.5%
BPOL Tax - Repair Services	2,485,234	2,288,531	2,534,939	2,572,963	38,024	1.5%
BPOL Tax - Research and Development	935,565	1,032,509	954,276	968,590	14,314	1.5%
BPOL Tax - Retail Merchants	39,934,318	40,573,266	40,733,004	41,343,999	610,995	1.5%
BPOL Tax - Telephone Companies	680,407	1,134,538	694,015	704,425	10,410	1.5%
BPOL Tax - Wholesale Merchants	2,435,775	5,954,469	2,484,491	2,521,758	37,267	1.5%
Subtotal BPOL - Current	\$211,001,295	\$215,258,071	\$215,258,071	\$218,486,941	\$3,228,870	1.5%
BPOL Tax - Penalties & Interest - Current Year	\$795,387	\$459,000	\$459,000	\$468,180	\$9,180	2.0%
BPOL Tax - Delinquent Taxes - Prior Years	8,275,946	8,121,570	8,121,570	8,284,001	162,431	2.0%
BPOL Tax - Delinquent Penalty & Interest - Prior Years	1,384,847	1,122,000	1,122,000	1,144,440	22,440	2.0%
Subtotal BPOL - Delinquents	\$10,456,180	\$9,702,570	\$9,702,570	\$9,896,621	\$194,051	2.0%
TOTAL Business, Professional & Occupational Licenses	\$221,457,475	\$224,960,641	\$224,960,641	\$228,383,562	\$3,422,921	1.5%
TOTAL GENERAL OTHER LOCAL TAXES	\$642,805,015	\$729,881,785	\$731,255,491	\$802,448,999	\$71,193,508	9.7%
PERMITS, FEES & REGULATORY LICENSES						
Zoning Fees	\$1,862,708	\$2,755,571	\$2,755,571	\$2,921,538	\$165,967	6.0%
Sign Permit Fees	235,878	119,042	119,042	119,042	0	0.0%
Board of Zoning Appeals Fees	216,861	183,561	183,561	183,561	0	0.0%
Wetlands Permits	300	1,300	1,300	1,300	0	0.0%
Short Term Lodging Permit Fee	19,740	15,400	15,400	15,400	0	0.0%

FY 2027 ADVERTISED GENERAL FUND REVENUE

Revenue Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
Administrative Comprehensive Sign Plan Fees	0	1,796	1,796	1,796	0	0.0%
Zoning Compliance Letters/Temp Special Permits	247,705	242,670	242,670	242,670	0	0.0%
Subtotal Zoning Revenue	\$2,583,192	\$3,319,340	\$3,319,340	\$3,485,307	\$165,967	5.0%
Dangerous Dog Fees	\$2,695	\$3,722	\$3,722	\$3,722	\$0	0.0%
Dog Licenses	403,362	423,177	423,177	423,177	0	0.0%
Auto Graveyard Licenses	50	150	150	150	0	0.0%
Carnival Permits	110	25	25	25	0	0.0%
Fortune Teller Licenses	530	1,000	1,000	1,000	0	0.0%
Mixed Drink Establishment Licenses	124,948	134,517	134,517	134,517	0	0.0%
Land Use Assessment Application Fees	6,126	1,219	1,219	1,219	0	0.0%
Massage Therapist Permits	46,235	46,675	46,675	46,675	0	0.0%
Election Filing Fees	5,934	2,234	2,234	2,234	0	0.0%
Concealed Weapon Permits	206,217	205,652	205,652	205,652	0	0.0%
Precious Metal & Gem Dealers / Pawnbrokers Licenses	7,775	6,800	6,800	6,800	0	0.0%
Solicitors Licenses	5,640	6,700	6,700	6,700	0	0.0%
Towing Permit	2,100	1,050	1,050	1,050	0	0.0%
Fire Prevention Code Permits	2,164,708	2,723,929	2,723,929	2,843,929	120,000	4.4%
Fire Marshal Fees	4,338,874	5,020,560	5,020,560	5,240,560	220,000	4.4%
Acceptance Test Overtime Fees	145,626	108,932	108,932	113,932	5,000	4.6%
Alarm Systems Registrations	58,525	71,975	71,975	71,975	0	0.0%
Taxicab Licenses	31,255	30,245	30,245	30,245	0	0.0%
Subtotal Misc. Permits, Fees & Licenses	\$7,550,710	\$8,788,562	\$8,788,562	\$9,133,562	\$345,000	3.9%
Swimming Pool Licenses	\$296,475	\$285,175	\$285,175	\$285,175	\$0	0.0%
Alternate Discharge Permits	3,425	1,050	1,050	1,050	0	0.0%
Alternative Sewage Systems Plan Review	19,400	19,400	19,400	19,400	0	0.0%
Camps/Campgrounds--State Health Fee	240	360	360	360	0	0.0%
Food Establishment Operating Permits	128,870	122,810	122,810	122,810	0	0.0%
Building Permits Review	62,700	56,025	56,025	56,025	0	0.0%
Site Development Review	23,970	25,670	25,670	25,670	0	0.0%
Hotel Permits--State Health Fee	4,840	5,600	5,600	5,600	0	0.0%
Portable Toilet Fees	725	1,050	1,050	1,050	0	0.0%
Public Establishment Review	31,160	33,180	33,180	33,180	0	0.0%
Restaurants--State Health Fee	69,610	67,280	67,280	67,280	0	0.0%
State Share Septic Tank Permits	63,765	67,105	67,105	67,105	0	0.0%
State Share Well Permit Fees	54,900	53,700	53,700	53,700	0	0.0%
Routine Water Sample Fees	5,325	4,575	4,575	4,575	0	0.0%
Sanitation Inspection Licenses	5,650	5,400	5,400	5,400	0	0.0%
Septic Tank Permits	46,600	49,630	49,630	49,630	0	0.0%
Septic Tank Truck Licenses	40,600	41,000	41,000	41,000	0	0.0%
Well Water Supply Permits	36,000	35,800	35,800	35,800	0	0.0%
Well Water Supply Licenses	3,200	3,250	3,250	3,250	0	0.0%
Subtotal Health Dept. Permits, Fees & Licenses	\$897,455	\$878,060	\$878,060	\$878,060	\$0	0.0%
TOTAL Misc. Permits Fees & Licenses	\$8,448,165	\$9,666,622	\$9,666,622	\$10,011,622	\$345,000	3.6%
TOTAL PERMITS, FEES & REGULATORY LICENSES	\$11,031,357	\$12,985,962	\$12,985,962	\$13,496,929	\$510,967	3.9%
FINES AND FORFEITURES						
Attorney Fee - Collection of Delinquent Taxes	\$867	\$2,753	\$2,753	\$2,753	\$0	0.0%
Circuit Court Fines and Penalties	19,744	25,345	25,345	25,345	0	0.0%
County Fee - Administrative - Collections of Delinquent Taxes	1,676,554	1,868,964	1,676,554	1,710,085	33,531	2.0%
Juvenile & Domestic Relations Court (J&DR) Fines/Interest	382	1,231	1,231	1,231	0	0.0%
General District Court Fines/Interest	55,085	57,027	57,027	57,027	0	0.0%
General District Court Fines	3,041,263	3,303,330	3,041,263	3,102,088	60,825	2.0%

FY 2027 ADVERTISED GENERAL FUND REVENUE

Revenue Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
County Fines - J&DR Court	14,723	14,133	15,794	16,110	316	2.0%
Alarm Ordinance Violations	647,030	855,520	661,909	675,147	13,238	2.0%
Collection Agency Fees	17,151	0	0	0	0	--
State Set-Off Debt Service (SOF)	187,950	180,873	187,950	191,709	3,759	2.0%
County Fines/Penalties	26,650	45,995	1,927	1,927	0	0.0%
Photo Enforcement Fine	1,322,711	700,597	950,000	969,000	19,000	2.0%
Parking Violations	2,105,171	2,047,100	2,498,656	2,548,629	49,973	2.0%
Non-Tax Penalty for Late Payment	39,899	58,748	58,748	58,748	0	0.0%
Non-Tax Interest	17,351	50,884	50,884	50,884	0	0.0%
Non-Sufficient Funds Check Return	3,198	1,601	1,601	1,601	0	0.0%
TOTAL FINES AND FORFEITURES	\$9,175,729	\$9,214,101	\$9,231,642	\$9,412,284	\$180,642	2.0%
REVENUE FROM USE OF MONEY & PROPERTY						
Interest on Investments	\$190,696,546	\$150,370,000	\$166,300,000	\$150,370,000	(\$15,930,000)	(9.6%)
Rent of Real Estate	1,195,893	1,243,290	1,049,557	1,212,422	162,865	15.5%
Rent on Communication Sites	919,570	938,218	938,218	961,673	23,455	2.5%
Cafeteria Commissions/Vending Machines	135,793	107,745	121,188	124,824	3,636	3.0%
Bicycle Locker Rentals	4,480	3,281	4,480	4,480	0	0.0%
Cash Over and Short	(42)	0	0	0	0	--
TOTAL REV. FROM USE OF MONEY & PROPERTY	\$192,952,240	\$152,662,534	\$168,413,443	\$152,673,399	(\$15,740,044)	(9.3%)
CHARGES FOR SERVICES						
Courthouse Maintenance Fees	\$241,532	\$226,671	\$241,532	\$246,363	\$4,831	2.0%
Court Security Fees	854,145	892,414	892,414	910,262	17,848	2.0%
Criminal Justice Academy Fee on Criminal Offenses	85,654	90,021	90,021	91,821	1,800	2.0%
EMS Transport Fee	26,412,102	25,423,570	26,940,344	28,783,344	1,843,000	6.8%
Copying Machine Revenue	70,756	70,756	70,756	70,756	0	0.0%
Reimbursement for Recorded Tapes/FOIA Fees	138,146	139,217	139,217	139,217	0	0.0%
Proposed Vacation Fees	1,200	400	400	400	0	0.0%
Jail Fees / DNA Fees	20,267	28,000	20,267	20,267	0	0.0%
Parental Support - Boys Probation House	0	500	500	500	0	0.0%
Parental Support - Girls Probation House	0	500	500	500	0	0.0%
Parental Support - Supervised Visitation	7,846	8,767	8,767	8,767	0	0.0%
Commonwealth's Attorney Fees	13,401	15,188	15,188	15,188	0	0.0%
Police Reports and Photo Fees	140,830	149,690	140,830	140,830	0	0.0%
Sheriff Fees	66,271	66,271	66,271	66,271	0	0.0%
Police Reimbursement	480,403	546,496	546,496	573,821	27,325	5.0%
Animal Shelter Fees	309,884	296,788	330,262	336,867	6,605	2.0%
Miscellaneous Charges for Services	128,662	0	0	0	0	--
Transportation Options, Programs, and Services	153,050	204,040	153,050	153,050	0	0.0%
Parking Garage Fees	711,100	743,807	743,807	743,807	0	0.0%
Adoption Service Fees	3,039	4,398	4,398	4,398	0	0.0%
Street Sign Fees	2,820	1,737	1,737	1,737	0	0.0%
Restricted Parking Fees	1,600	2,080	2,080	2,080	0	0.0%
Adult Day Health Care Fees	1,192,174	1,214,393	1,214,393	1,261,393	47,000	3.9%

FY 2027 ADVERTISED GENERAL FUND REVENUE

Revenue Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
Adult Day Health Care Medicaid Reimbursement	109,155	47,294	47,294	47,294	0	0.0%
Copay - Inmate Medical	9,301	12,885	12,885	12,885	0	0.0%
Coin-Operated Copiers	155,395	146,524	155,395	158,503	3,108	2.0%
Library Lost or Damaged Item Fees	583,729	334,676	583,729	595,404	11,675	2.0%
Employee Child Care Center Fees	1,401,321	1,392,829	1,392,829	1,892,829	500,000	35.9%
School Age Child Care (SACC) Fees	30,303,425	30,927,049	32,350,895	32,350,895	0	0.0%
Middle School After School Fees	0	0	0	1,100,000	1,100,000	--
County Clerk Fees	4,819,732	4,594,473	4,819,732	4,916,126	96,394	2.0%
Domestic Violence Services Client Fees - ADAPT	44,245	49,165	49,165	49,165	0	0.0%
FASTRAN Rider Fees	17,099	19,771	19,771	19,771	0	0.0%
Medicaid Client Fees	(4,019)	0	0	0	0	--
Subtotal Misc. Charges for Services	\$68,474,264	\$67,650,370	\$71,054,925	\$74,714,511	\$3,659,586	5.2%
Senior Center Annual Participant Fees	\$231,951	\$235,731	\$271,689	\$277,123	\$5,434	2.0%
James Lee Theatre	17,320	18,700	18,700	18,700	0	0.0%
Rec - Community Use/Building Director Fee	46,686	37,505	37,505	37,505	0	0.0%
Recreation Class Fees	672,916	815,000	50,000	50,000	0	0.0%
Rec - Neighborhood Ctr/Therapeutic Rec Fees	116,390	82,413	82,413	82,413	0	0.0%
Custodial Fees	367,334	316,929	367,334	367,334	0	0.0%
Subtotal Recreation Revenue	\$1,452,597	\$1,506,278	\$827,641	\$833,075	5,434	0.7%
Nursing Home Pre-Screening Admission Fee	\$574,164	\$576,488	\$576,488	\$576,488	\$0	0.0%
Speech Fees	66,904	122,604	122,604	0	(122,604)	(100.0%)
Hearing Fees	8,227	29,751	29,751	0	(29,751)	(100.0%)
Vital Statistic Fees	785,340	757,865	785,340	801,047	15,707	2.0%
Pharmacy Fees	9	0	0	0	0	--
X-Ray Fees	3,285	2,485	2,485	2,485	0	0.0%
General Medical Clinic Fees	667,917	575,877	575,877	555,877	(20,000)	(3.5%)
Family Planning Services	23,916	23,977	23,977	23,977	0	0.0%
Lab Services Fees	581,949	549,402	581,949	593,588	11,639	2.0%
Administrative Fees - Health Dept	2,799	13,280	2,799	2,799	0	0.0%
Sewage Disposal/Well Water Evaluation	0	500	500	500	0	0.0%
Subtotal Health Related Revenue	\$2,714,510	\$2,652,229	\$2,701,770	\$2,556,761	(\$145,009)	(5.4%)
TOTAL CHARGES FOR SERVICES	\$72,641,370	\$71,808,877	\$74,584,336	\$78,104,347	\$3,520,011	4.7%
RECOVERED COSTS						
City of Fairfax Shared Govt. Expenses	\$5,921,292	\$6,158,144	\$5,870,380	\$5,987,788	\$117,408	2.0%
City of Fairfax Public Assistance	2,245,389	1,926,485	2,245,389	2,288,254	42,865	1.9%
Falls Church Public Assistance	1,746,356	1,438,704	1,746,356	1,779,932	33,576	1.9%
Falls Church Health Dept. Services	620,706	591,919	620,706	633,120	12,414	2.0%
Inmate Room and Board	194,373	240,850	240,850	240,850	0	0.0%
Boarding of Prisoners	69,360	75,000	75,000	75,000	0	0.0%
Professional Dues Deduction	43,367	45,205	45,205	45,205	0	0.0%
Recovered Costs - Circuit Court	674	100	100	100	0	0.0%
Recovered Costs - General District Court	42,342	40,364	40,364	40,364	0	0.0%
Misc. Recovered Costs - Other	213,354	44,245	44,245	44,245	0	0.0%
Child Care Services for Other Jurisdictions	227,024	270,629	270,629	270,629	0	0.0%
CPAN, Circuit Court Computer Service	396,960	394,540	394,540	394,540	0	0.0%
Golden Gazette	37,289	41,260	41,260	0	(41,260)	(100.0%)
Police Academy Cost Recovery	15,000	14,400	14,400	14,400	0	0.0%
FASTRAN/Congregate Meals	69,711	50,000	50,000	50,000	0	0.0%

FY 2027 ADVERTISED GENERAL FUND REVENUE

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Reimbursement - School Health	6,407,588	6,407,588	6,407,588	6,407,588	0	0.0%
State Reimbursement Adult Detention Center	1,282,912	1,410,004	1,410,004	1,410,004	0	0.0%
Real Estate Administrative Collection Fee	34,578	33,934	33,934	33,934	0	0.0%
TOTAL RECOVERED COSTS	\$19,568,275	\$19,183,371	\$19,550,950	\$19,715,953	\$165,003	0.8%
REVENUE FROM THE COMMONWEALTH						
State Shared Rolling Stock Tax	\$124,879	\$125,000	\$125,000	\$125,000	\$0	0.0%
State Law Enforcement Funding (HB 599)	31,612,562	31,593,898	31,593,898	31,593,898	0	0.0%
State Indirect Aid	9,374	54,217	54,217	54,217	0	0.0%
Subtotal Non-Categorical State Aid	\$31,746,815	\$31,773,115	\$31,773,115	\$31,773,115	\$0	0.0%
State Shared Retirement - Circuit Court	\$230,910	\$244,110	\$244,110	\$248,992	\$4,882	2.0%
State Shared Commonwealth Atty. Expenses	3,419,449	3,661,650	3,779,654	3,964,844	185,190	4.9%
State Shared Retirement - Commonwealth Atty.	67,900	70,545	70,545	70,545	0	0.0%
State Shared Dept. of Tax Admin/Finance Expenses	2,795,514	2,808,065	2,847,772	2,902,055	54,283	1.9%
State Shared Retirement - Dept. of Tax Admin./Finance	55,280	54,818	54,818	54,818	0	0.0%
State Shared Sheriff Expenses	21,610,577	21,964,750	22,615,716	23,042,414	426,698	1.9%
State Shared Retirement - Sheriff	434,561	459,380	459,380	459,380	0	0.0%
State Shared General Registrar/ Electoral Board Expenses	158,446	158,024	158,024	158,024	0	0.0%
Subtotal Shared Expenses	\$28,772,637	\$29,421,342	\$30,230,019	\$30,901,072	\$671,053	2.2%
Libraries State Aid	\$714,814	\$715,000	\$715,000	\$715,000	\$0	0.0%
Virginia Share Public Assistance Programs	37,860,657	42,328,487	42,482,382	42,115,023	(367,359)	(0.9%)
Va Child Care Supplement - SACC Program	547,477	1,036,072	1,036,072	1,036,072	0	0.0%
Va. Juvenile Crime Control Act Funding	613,376	613,376	613,376	613,376	0	0.0%
State Share J&DR Court Residential Services	2,968,715	2,825,184	2,980,827	2,980,827	0	0.0%
Subtotal Categorical State Aid	\$42,705,039	\$47,518,119	\$47,827,657	\$47,460,298	(\$367,359)	(0.8%)
State Reimb. - General District Court	\$48,050	\$43,366	\$43,366	\$43,366	\$0	0.0%
State Reimb. - Health Department	10,922,078	10,943,625	11,311,707	11,537,941	226,234	2.0%
State Reimb. - Residential Beds - JDC	116,415	40,485	40,485	40,485	0	0.0%
State Reimb. - Commonwealth Atty. Witness Expense	0	7,042	7,042	7,042	0	0.0%
State Reimb.- Police Intoxication	9,575	6,125	6,125	6,125	0	0.0%
State Share J&DR Court Services	3,469,881	2,992,760	3,469,881	3,539,279	69,398	2.0%
Subtotal State Recovered Costs	\$14,565,999	\$14,033,403	\$14,878,606	\$15,174,238	\$295,632	2.0%
State Reimb - Personal Property Tax (PPTRA)	\$211,313,944	\$211,313,944	\$211,313,944	\$211,313,944	\$0	0.0%
TOTAL REVENUE FROM THE COMMONWEALTH	\$329,104,434	\$334,059,923	\$336,023,341	\$336,622,667	\$599,326	0.2%
REVENUE FROM THE FEDERAL GOVERNMENT						
J&DR Court - USDA Grant	\$80,559	\$99,500	\$99,500	\$99,500	\$0	0.0%
Subtotal Categorical Federal Aid	\$80,559	\$99,500	\$99,500	\$99,500	0	0.0%
DFS Federal and Federal Pass-Through	\$55,474,761	\$43,957,375	\$44,815,945	\$42,006,013	(2,809,932)	(6.3%)
NCS Federal Revenue	1,122,025	825,776	825,776	825,776	0	0.0%
Payments in Lieu of Taxes - Federal	8,226	45,000	45,000	45,000	0	0.0%
Federal Aid for Indirect Costs	204,748	0	0	0	0	--
TOTAL REVENUE FROM THE FEDERAL GOVERNMENT	\$56,890,319	\$44,927,651	\$45,786,221	\$42,976,289	(2,809,932)	(6.1%)
Combined State & Federal Public Assistance	\$93,335,418	\$86,285,862	\$87,298,327	\$84,121,036	(\$3,177,291)	(3.6%)
MISCELLANEOUS REVENUE - GIFTS, DONATIONS, OTHER						

FY 2027 ADVERTISED GENERAL FUND REVENUE

Revenue Category	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
Litigation Proceeds	\$71,939	\$143,254	\$143,254	\$143,254	\$0	0.0%
Contract Rebates	1,433,235	1,660,815	1,660,815	1,660,815	0	0.0%
Gifts, Donations & Miscellaneous Revenue	44,606	132,130	132,130	132,130	0	0.0%
Linebarger Collection Fees	72,829	0	0	0	0	--
Sales of Land, Vehicles and Salvage	452,823	115,005	115,005	115,005	0	0.0%
TOTAL MISCELLANEOUS/OTHER	\$2,075,432	\$2,051,204	\$2,051,204	\$2,051,204	\$0	0.0%
Total Recovered Costs/Misc./Other Revenue	\$21,643,708	\$21,234,575	\$21,602,154	\$21,767,157	\$165,003	0.8%
GRAND TOTAL GENERAL FUND REVENUE	\$5,512,242,903	\$5,709,180,690	\$5,762,534,065	\$5,978,567,315	\$216,033,250	3.7%

FY 2027 ADVERTISED

REVENUE FROM THE COMMONWEALTH ¹

Fund	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
General Fund Group						
10001 General Fund ²	\$329,104,434	\$334,059,923	\$336,023,341	\$336,622,667	\$599,326	0.18%
Capital Project Funds						
30020 Infrastructure Replacement and Upgrades	\$392,698	\$0	\$0	\$0	\$0	-
Special Revenue Funds						
40000 County Transit Systems	\$60,108,172	\$61,318,895	\$96,278,686	\$82,860,172	(\$13,418,514)	(13.94%)
40010 County and Regional Transportation Projects	139,210,270	61,786,422	566,033,905	63,477,383	(502,556,522)	(88.79%)
40040 Fairfax-Falls Church Community Services Board	16,635,365	8,451,543	18,826,780	15,876,780	(2,950,000)	(15.67%)
40090 E-911	4,316,668	3,396,251	3,396,251	3,396,251	0	0.00%
40100 Stormwater Services	9,548,366	0	7,249,690	0	(7,249,690)	(100.00%)
40140 Refuse Collection and Recycling Operations	240,745	240,000	240,000	240,000	0	0.00%
50000 Federal-State Grant Fund	81,558,059	68,218,873	125,673,440	75,615,684	(50,057,756)	(39.83%)
S10000 Public School Operating	1,020,605,637	1,019,615,796	1,046,457,199	1,118,998,837	\$72,541,638	6.93%
S40000 Public School Food and Nutrition Services	1,953,293	3,009,687	3,009,687	2,032,993	(976,694)	(32.45%)
S43000 Public School Adult and Community Education	1,230,255	1,144,769	1,144,769	1,144,769	0	0.00%
S50000 Public School Grants and Self Supporting Programs	15,508,387	10,326,198	24,958,145	9,356,323	(15,601,822)	(62.51%)
Enterprise Funds						
69310 Sewer Bond Construction	\$0	\$0	\$4,997,236	\$0	(\$4,997,236)	(100.00%)
TOTAL REVENUE FROM THE COMMONWEALTH	\$1,680,412,349	\$1,571,568,357	\$2,234,289,129	\$1,709,621,859	(\$524,667,270)	(23.48%)

¹ In addition to funds received by the County directly from the Commonwealth in the funds listed herein, it is projected the state will provide \$171,828,776 to the Northern Virginia Transportation Commission (NVTC) in FY 2027 as a credit to help offset Fairfax County's Operating Subsidy in Fund 30000, Metro Operations and Construction. State aid in the amount of \$45,897,387 is also projected to be disbursed to NVTC in FY 2027 which will be utilized to offset operations in Fund 40000, County Transit Systems.

² Personal Property Taxes of \$211,313,944 that are reimbursed by the Commonwealth as a result of the Personal Property Tax Relief Act of 1998 are included in the Revenue from the Commonwealth category in accordance with guidelines from the State Auditor of Public Accounts.

FY 2027 ADVERTISED REVENUE FROM THE FEDERAL GOVERNMENT

Fund	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
General Fund Group						
10001 General Fund	\$56,890,319	\$44,927,651	\$45,786,221	\$42,976,289	(\$2,809,932)	(6.14%)
Debt Service Funds						
20000 Consolidated Debt Service	\$1,239,620	\$1,800,000	\$1,800,000	\$1,800,000	\$0	0.00%
Capital Project Funds						
30400 Park Authority Bond Construction	\$19,773	\$0	\$0	\$0	\$0	-
Special Revenue Funds						
40040 Fairfax-Falls Church Community Services Board	\$4,567,705	\$4,208,641	\$4,687,492	\$4,687,492	\$0	0.00%
40045 Early Childhood Birth to 5	84,659	44,689	44,689	44,689	0	0.00%
50000 Federal-State Grant Fund	93,263,516	66,264,107	226,740,558	62,628,216	(164,112,342)	(72.38%)
50800 Community Development Block Grant	5,089,656	7,656,674	14,026,716	5,733,638	(8,293,078)	(59.12%)
50810 HOME Investment Partnerships Program	1,254,497	2,417,009	14,778,998	2,008,441	(12,770,557)	(86.41%)
S10000 Public School Operating	52,447,079	50,073,177	62,572,329	49,854,470	(12,717,859)	(20.33%)
S40000 Public School Food and Nutrition Services	56,439,674	61,016,870	61,033,977	59,726,580	(1,307,397)	(2.14%)
S43000 Public School Adult and Community Education	2,355,460	2,308,769	2,276,066	2,298,151	22,085	0.97%
S50000 Public School Grants and Self Supporting Programs	70,438,847	50,997,444	96,132,398	48,847,401	(47,284,997)	(49.19%)
FIDUCIARY FUNDS						
Trust Funds						
73030 OPEB Trust	\$4,142,430	\$3,596,972	\$3,596,972	\$0	(\$3,596,972)	(100.00%)
TOTAL REVENUE FROM THE FEDERAL GOVERNMENT	\$348,233,235	\$295,312,003	\$533,476,416	\$280,605,367	(\$252,871,049)	(47.40%)



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FAIRFAX COUNTY
FY 2025 - FY 2027 COUNTY FUNDED PROGRAMS
FOR SCHOOL-RELATED SERVICES

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan
General Fund Transfers				
General Fund Transfer to School Operating Fund	\$2,584,409,875	\$2,703,050,892	\$2,703,050,892	\$2,802,243,987
General Fund Transfer to School Construction Fund	25,134,972	15,600,000	19,144,203	23,100,000
General Fund Transfer to School Debt Service	208,928,432	215,628,432	215,628,432	227,024,447
Subtotal	\$2,818,473,279	\$2,934,279,324	\$2,937,823,527	\$3,052,368,434
Police Department				
School Resource Officers (55/55.0 FTE) ¹	\$10,751,248	\$8,251,318	\$11,373,067	\$8,416,344
Non-Billable Overtime Hours ¹	182,351	138,334	157,692	124,628
School Crossing Guards (49/49.0 FTE) ^{1,2}	3,784,059	3,797,755	3,987,211	2,099,001
Subtotal	\$14,717,658	\$12,187,407	\$15,517,970	\$10,639,973
Fire Department				
Fire safety programs for pre-school through middle school aged students	\$196,266	\$204,750	\$200,317	\$217,795
Subtotal	\$196,266	\$204,750	\$200,317	\$217,795
Health Department				
Net Cost of School Health (380/309.58 FTE) ^{1,3}	\$35,427,355	\$40,718,314	\$41,527,966	\$42,349,288
Subtotal	\$35,427,355	\$40,718,314	\$41,527,966	\$42,349,288
Community Services Board (CSB)				
Youth and Family Services ¹	\$11,079,061	\$11,266,134	\$11,011,829	\$11,685,739
Subtotal	\$11,079,061	\$11,266,134	\$11,011,829	\$11,685,739
Department of Family Services (DFS)				
Healthy Minds Fairfax (4/4.0 FTE) ¹	\$2,159,509	\$2,553,037	\$3,184,213	\$2,683,166
Net Cost of Children's Services Act (11/11.0 FTE) ¹	19,341,890	23,902,750	23,906,023	23,472,074
Subtotal	\$21,501,399	\$26,455,787	\$27,090,236	\$26,155,240

FAIRFAX COUNTY
FY 2025 - FY 2027 COUNTY FUNDED PROGRAMS
FOR SCHOOL-RELATED SERVICES

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan
Department of Neighborhood and Community Services (NCS)				
Net Cost of the School-Age Child Care (SACC) Program (574/559.1 FTE) - includes general services and services for special needs clients, partially offset by program revenues ⁴	\$26,519,175	\$38,505,745	\$38,105,196	\$40,691,750
County contribution to Schools for SACC space	1,000,000	1,000,000	1,000,000	1,000,000
Net Cost of Locally Funded Head Start and School Readiness Activities (24/23.0 FTE) ¹	13,919,906	15,617,850	15,916,900	15,929,752
Infant and Toddler Connection (46/45.3 FTE) ¹	217,261	225,347	225,347	231,103
Local Cash Match Associated with the Head Start/Early Head Grant Funding ⁵	1,883,101	1,801,773	1,818,048	1,995,261
Local Cash Match Associated with the Virginia Preschool Initiative Grant	0	250,000	750,000	250,000
After School Programs at Fairfax County Middle Schools ⁶	3,989,941	3,930,000	3,930,000	0
Field improvements ⁷	711,951	250,000	581,146	250,000
Therapeutic recreation ⁸	39,942	55,075	55,113	56,937
Subtotal	\$48,281,277	\$61,635,790	\$62,381,750	\$60,404,803
Fairfax County Park Authority				
Maintenance of Fairfax County Public Schools' athletic fields	\$2,897,129	\$2,809,338	\$3,324,221	\$2,908,593
Subtotal	\$2,897,129	\$2,809,338	\$3,324,221	\$2,908,593
TOTAL: County Funding for School Related Services	\$2,952,573,424	\$3,089,556,844	\$3,098,877,816	\$3,206,729,865

¹ Includes Fringe Benefits in an effort to more accurately reflect program costs.

² In order to balance the FY 2027 budget, a reduction of 13/13.0 FTE school crossing guards and associated funding is included in the FY 2027 Advertised Budget Plan.

³ Recruitment and retention challenges in Public Health Nurse positions have led to significantly lower than budgeted expenditures in the Fairfax County Health Department School Health program. The Health Department is implementing measures to address these hiring challenges such as initiating a pilot program to reduce some 12-month Public Health Nurse positions to 10.5-months to align with the Fairfax County Public Schools calendar. If successful, the department may roll this out to additional Public Health Nurse positions while still complying with §§ 22.1-253.13:2 and 22.1-274 of the Code of Virginia, which mandates at least three specialized student support positions per 1,000 students.

⁴ Includes Fringe Benefits in an effort to more accurately reflect program costs associated with the SACC program and to be consistent with SACC rate setting methodology.

⁵ This includes Local Cash Match funding for Federal Head Start and Early Head Start for the Higher Horizons, Gum Springs and Schools' contracts.

⁶ County funding associated with the Middle School After-School program will be transferred from Agency 79, Department of Neighborhood and Community Services, to Fairfax County Public Schools as part of the FY 2027 Advertised Budget Plan.

⁷ Only the cost of athletic field lighting is reflected here. All other Fairfax County Public Schools-related field improvement funding is managed by, and shown under, the Fairfax County Park Authority.

⁸ The amount for FY 2026 Adopted is re-stated here due to incorrect calculation used in the FY 2026 Adopted Budget Plan.

FAIRFAX COUNTY
FY 2025 - FY 2027 ADDITIONAL COUNTY FUNDED PROGRAMS
FOR GENERAL YOUTH SERVICES

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan
Additional County Funded Youth Programs				
CSB - Medical Services	\$1,105,169	\$1,367,519	\$1,265,257	\$1,404,982
CSB - Wellness Health Promotion and Prevention	1,703,338	2,053,920	2,089,071	1,469,379
CSB - Emergency	1,680,076	1,876,212	1,695,352	1,723,165
CSB - Support Coordination	5,194,770	6,709,724	7,150,432	7,701,380
NCS - Net Cost of Infant and Toddler Connection (ITC)	5,573,450	5,134,901	6,494,707	5,461,682
DFS/NCS/Fund 40045 - Net cost of services for children (excluding SACC, Head Start, School Readiness, ITC) ¹	21,062,296	23,507,639	23,294,206	22,130,879
Juvenile and Domestic Relations District Court - Residential Services	4,043,142	4,289,737	3,489,848	3,565,722
Department of Neighborhood and Community Services - Therapeutic Recreation ²	798,838	1,101,493	1,102,256	1,138,744
Department of Neighborhood and Community Services - Teen Centers	1,677,596	1,643,778	1,643,778	1,599,092
Department of Neighborhood and Community Services - Community Centers	4,709,943	4,656,920	4,972,727	4,730,174
Department of Neighborhood and Community Services - Virginia Cooperative Extension	64,621	64,892	64,892	71,518
Department of Neighborhood and Community Services - Youth Sports Scholarship	448,999	473,000	498,643	473,000
Fairfax County Park Authority - Athletic Field Maintenance of both grass and turf fields (non-school fields) ³	8,259,319	6,780,836	12,865,016	6,990,347
Subtotal: Additional County Funded Programs for General Youth Services (Non-School)	\$56,321,557	\$59,660,571	\$66,626,185	\$58,460,064
TOTAL: County Funded Programs for Youth (Includes Both School and Non-School Programs)	\$3,008,894,981	\$3,149,217,415	\$3,165,504,001	\$3,265,189,929

¹ DFS determines eligibility and provides case management for the Child Care Assistance and Referral (CCAR) program. All other services for children are included in the Department of Neighborhood and Community Services (NCS) and Fund 40045, Early Childhood Birth to 5, which is administered by NCS.

² The amount for FY 2026 Adopted is re-stated here due to incorrect calculation used in the [FY 2026 Adopted Budget Plan](#).

³ This previously included maintenance of grass fields only. All years have been modified to include maintenance of turf fields as well.

FAIRFAX COUNTY
FY 2025 - FY 2027 ADDITIONAL COUNTY-ADMINISTERED PROGRAMS
FOR SCHOOL-RELATED SERVICES
FUNDING CAN BE FEDERAL, STATE, LOCAL OR A COMBINATION THEREOF
(ACTUAL DIRECT COUNTY FUNDING IS MINIMAL)

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan
Additional County-Administered Programs for School-Related Services¹				
Wellness Grant Funding Administered by CSB	\$62,010	\$53,000	\$53,000	\$53,000
Youth & Family Grant Funding Administered by CSB	956,519	702,253	1,027,796	702,253
Health Planning Region Grant Funding Administered by CSB	\$2,742,001	3,114,589	4,070,312	3,122,589
Infant and Toddler Connection Grant Administered by NCS ²	11,489,539	11,255,255	11,610,705	11,263,800
Head Start Grant Funding Administered by NCS	6,565,643	6,540,055	6,615,803	6,637,044
Early Head Start Grant Funding Administered by NCS	6,360,085	6,400,805	6,513,375	6,497,304
Virginia Preschool Initiative (VPI) Grant Administered by NCS	15,162,531	11,732,771	889,476	15,224,051
Virginia Mixed Delivery Program	1,768,136	1,131,030	59,847	2,020,494
Ready Regions Lead Grant	4,165,109	4,018,611	6,058,239	4,412,428
Subtotal: County-Administered Programs	\$49,271,573	\$44,948,369	\$36,898,553	\$49,932,963
GRAND TOTAL	\$3,058,166,554	\$3,194,165,784	\$3,202,402,554	\$3,315,122,892

¹ It should be noted that these expenditures/budgets are by fiscal year. The amounts contain multiple program years in each fiscal year and therefore do not correlate to annual awards for these grants.

² The amount for FY 2026 Adopted is re-stated here due to incorrect amount used in the FY 2026 Adopted Budget Plan.

Services for Older Adults

Overview

Fairfax County projects a significant increase in the older adult population. The older adult population is one of the fastest growing segments of the County population. More than 25 percent of County residents are aged 55 and older. Between 2020 and 2040, the County expects the 65 and over age group to increase by more than 40 percent. This dramatic increase in the older population led to Board of Supervisors adoption of The Fairfax County 50+ Community Action Plan (50+ Plan) in September 2014. The 50+ Plan was a five-year plan that successfully addressed services for older adults and family caregivers, safe and healthy communities, community engagement, transportation, and housing. The final summary report was approved by the Board of Supervisors in September 2019 ([Final Summary Report September 2019](#)). The County continues to address the challenges of the older adult population and has developed the [SHAPE the Future of Aging Plan](#), adopted by the Board of Supervisors in May 2023. SHAPE the Future of Aging is a strategic plan to make Fairfax County a better place to age, for older adults to live safely, independently, and with dignity. SHAPE is an acronym that includes five areas of focus:

- Services for Older Adults and Family Caregivers
- Housing and Neighborhood Supports
- Access to Mobility Options
- Personal Well-Being
- Economic Stability and Planning

Given this aging of the population, the County highlights services currently provided to older adults. It should be noted that the figures in the following table do not reflect the cost of all services provided to older adults, as only those services specifically designed for older adults, or those where participation by this population has been tracked or can be reasonably estimated, have been included. There are many general County services that are used extensively by the older adult population, such as Emergency Medical Services and cultural tours, but limited data on actual utilization rates makes it difficult to quantify those costs.

Given the rapid growth in the older adult population in the County, the increasing trend of older adults aging in place and the commensurate increase in demand for services, a large number of service delivery models have been undertaken in various County agencies. Staff from agencies providing services to older adults, including the Department of Family Services, the Fairfax-Falls Church Community Services Board, the Health Department, and the Department of Neighborhood and Community Services continually evaluate the continuum of older adult services – including, but not limited to, Senior Centers and Adult Day Health Care Centers – to ensure coordination of programs and opportunities for provision of more cost-efficient service delivery with the ultimate goal to promote long-term sustainability.

The table on the following pages details the cost of services provided specifically to older adults included in the [FY 2027 Advertised Budget Plan](#). Following the table is a description of the programs, as well as utilization data by age if available. In FY 2027, services to older adults total \$109.2 million, or 1.8 percent of General Fund Disbursements of \$6.0 billion. Excluding the General Fund Transfers to Fairfax County Public Schools for School Operating, School Construction, and School Debt Service of \$3.1 billion, spending on services for older adults is approximately 3.8 percent of the remaining General Fund Disbursements.

County Funded Programs for Older Adults¹

Name and Description of Service	FY 2025 Actual	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan
Department of Neighborhood and Community Svcs. (NCS)			
Senior Centers for Active Adults and Support Services for Older Adults	\$4,728,441	\$5,287,938	\$4,948,376
Transportation Options, Programs, and Services (TOPS) Program	518,238	453,949	528,500
Adult Day Health Care and Long-Term Care Services	3,708,885	3,997,459	4,020,907
Subtotal Dept. of Neighborhood and Community Services	\$8,955,564	\$9,739,346	\$9,497,783
Fairfax County Public Library			
Programs Primarily Used by Older Adults	\$1,369,025	\$1,386,813	\$1,422,280
Department of Tax Administration			
Tax Relief for the Elderly and Disabled	\$39,328,214	\$43,777,500	\$43,777,500
Department of Family Services			
Adult Protective Services	\$4,036,517	\$3,417,777	\$3,594,664
Adult and Aging Services	17,569,260	19,354,734	19,542,705
Subtotal Department of Family Services	\$21,605,777	\$22,772,511	\$23,137,369
Fire and Rescue Department			
Senior Safety Programs	\$84,308	\$82,480	\$92,684
Subtotal - General Fund	\$71,342,888	\$77,758,650	\$77,927,616

County Funded Programs for Older Adults¹

Name and Description of Service	FY 2025 Actual	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan
Fund 50000, Federal-State Grant Fund²			
Community-Based Social Services ³	\$1,568,454	\$909,516	\$1,448,387
Ombudsman ³	428,950	139,240	471,099
Homemaker/Fee for Service	267,487	67,396	293,588
Congregate Meals ³	1,864,837	1,205,228	1,613,345
Home-Delivered Meals ³	2,423,192	1,058,484	2,137,969
Care Coordination	455,746	298,430	612,120
Family Caregiver ³	778,931	392,755	512,405
Respite Care	49,462	149,354	83,989
Adult Protective Services ³	252,671	0	0
Elder Abuse Prevention ⁴	4,398	195,602	0
Subtotal Fund 50000	\$8,094,129	\$4,416,005	\$7,172,902
Fund 40040, Community Services Board			
Countywide Older Adults and Families Program	\$2,237,911	\$2,284,596	\$2,284,596
Fund 10030, Contributory Fund			
Birmingham Green Adult Care Residence	\$3,363,421	\$3,498,774	\$3,535,279
Fund 30000, Metro Operations and Construction			
MetroAccess	\$16,651,521	\$17,278,209	\$17,907,136
Fund 60030, Technology Infrastructure Services			
Computer Labs	\$360,656	\$378,689	\$390,050
Subtotal - General Fund Supported	\$30,707,638	\$27,856,273	\$31,289,963
TOTAL SERVICES FOR OLDER ADULTS	\$102,050,526	\$105,614,923	\$109,217,579

¹ This analysis reflects only those services included in General Fund and General Fund Supported agencies and does not include services supported by non-General Fund or non-appropriated funds, such as Channel 16 content aimed at older adults through Fund 40030, Cable Communications, or recreational activities provided by Fund 40050, Reston Community Center. Likewise, this analysis does not include capital projects funded in prior years, such as senior centers or adult day health care facilities. Capital expenses vary significantly from year to year and one year's data cannot serve as a proxy for "average" capital expenditures in a particular service area.

² The FY 2027 funding level represents anticipated funding; actual funding received may be different.

³ Includes one-time funding received to help address the COVID-19 pandemic.

⁴ One-time funding that has been received in support of the older adult community.

The following provides a brief description of the programs, as well as utilization data if available, included in the Services for Older Adults table on the previous two pages. For additional information please refer to the specific agency narrative in Volume 1 and Volume 2.

Department of Neighborhood and Community Services

Senior Centers for Active Adults and Support Services for Older Adults

Senior Centers for Active Adults offer opportunities to make friends, stay on the move, and learn new things. Fairfax County residents aged 50 and over may join any of the 13 senior centers sponsored by the Department of Neighborhood and Community Services. Additionally, each center provides a level of inclusive support services assisting older adults with minor cognitive and physical disabilities to actively participate in the day-to-day activities at Senior Centers. These support services provide case management for participants and their families when a member can no longer successfully participate at the centers with reasonable accommodations and requires transition to a higher level of services along the continuum of care.

Transportation Options, Programs, and Services

Transportation Options, Programs, and Services (TOPS) is a transportation fare subsidy program for older adults, individuals with disabilities, and low-income residents of Fairfax County utilizing debit card technology. Eligible participants have expanded options available to them to travel affordably, safely, and independently using a travel method of their choice. These methods include fixed-route buses, Metrorail, and transportation navigation companies such as Uber and Lyft as well as taxis. Through December 2025, approximately 64 percent (2,704 individuals) of all TOPS program participants are 50 years of age and older.

Adult Day Health Care and Long-Term Care Services

The Adult Day Health Care (ADHC) program provides therapeutic recreational activities, supervision, and health care to meet the needs of adults, 18 years and older who have physical and/or cognitive disabilities, in four centers. Services are provided on a sliding fee scale. In FY 2025, services were provided to 308 older adults with 95 percent of participants meeting the criteria for institutional level of care, but their participation in the program enables them to continue to live at home in the community. The ADHC staff also provide transition support to individuals needing a higher level of care. The County partners with Insight Memory Care Center (IMCC), which is a community provider of specialized day services for people with Alzheimer's type illnesses as well as respite, support, and education for their care giving families. Through this partnership, funds are provided to reduce the cost for County residents receiving care at IMCC.

Fairfax County Public Library

Programs Primarily Used by Older Adults

The Fairfax County Public Library offers several programs and services which, although not limited to the older adult population, are primarily used by older adults. These include the Talking Books Program; Home Delivery Service; book collections maintained at older adult residences, nursing homes, and adult day care center; large print books; outreach and trainings; book clubs; assistive technologies; BiFolkal multi-media memory activity kits; Aging, Disability and Accessibility focused reference collection; Braille Awareness kits; and self-help groups for adults who are coping with vision loss. The number of programs for older adults increased from 287 in FY 2024, to 588 in FY 2025. An estimated 900 programs are being provided to older adults in FY 2026.

Department of Tax Administration

Tax Relief for the Elderly and Disabled

Tax relief is provided to adults 65 and older and disabled persons on a graduated scale depending upon the level of income and net assets, which must not exceed \$90,000 and \$400,000, respectively. In FY 2025, 7,438 people participated in the program.

Department of Family Services

Adult Protective Services

Adult Protective Services provides mandated investigations of situations of suspected abuse, neglect or exploitation involving older adults aged 60 and older and incapacitated adults aged 18 and older, as well as case management services to provide protection for at-risk adults in the community and in public and private facilities. In FY 2025, 1,400 investigations were conducted.

Adult Services and Aging Services

Adult Services and Aging Services provides case management, including needs assessment, care plans, coordination/authorization of services, and follow-up for adults aged 60 and older and adults aged 18 and older with disabilities. The principal program which positively impacts clients' ability to age in place is the Home-Based Care program. This program provides for contracted in-home bathing, laundry, and light housekeeping services. Some services may have functional and financial eligibility requirements. In FY 2025, a total of 3,655 clients were served across all programs.

Fire and Rescue Department

Senior Safety Programs

The Fire and Rescue Department offers various older adult safety programs for individuals aged 55 and older, including Basic Fire Safety, Emergency Preparedness for the Older Adult, Life Safety Education Seniors Program, Caregiver and Staff Training for those who care for older adults, "Smoke Alarm Program" which provides free smoke alarm batteries, and the "File of Life" Program which is an educational program that stresses the importance of keeping current medication dosages and physician information updated. The department plans to reach 3,000 older adults in FY 2027.

Fund 50000, Federal-State Grant Fund

Community-Based Services

Community-Based Services provides services to adults aged 60 and older to enable them to live as independently as possible in the community. This includes assisted transportation, information and referral, volunteer and contracted home services, insurance counseling, and other related services. In FY 2025, 21,350 callers, walk-ins, or persons making email inquiries to the Adult and Aging division within the Department of Family Services received information and referral services and/or access to the services.

Ombudsman

The Ombudsman Program, serving the City of Alexandria and the Counties of Arlington, Fairfax, and Loudoun, improves quality of life for more than 12,883 residents in 151 nursing and assisted living facilities by educating residents and care providers about patient rights and by resolving complaints against nursing and assisted living facilities, as well as home care agencies, through counseling, negotiation, and investigation. In FY 2025, 34 trained volunteers provided 5,614 volunteer hours to support this program. The program also provides information about long-term care providers and educates the community about long-term care issues.

Homemaker

The Homemaker Program provides supportive services to adults aged 60 and older to enable them to remain in their homes rather than in more restrictive settings. Services are primarily targeted to those older adults who are frail, isolated, or in economic need. Programs include money management, adult day care respite, and in-home services. In FY 2025, eight caregivers received 108 hours of respite care support through the Adult Day Health Center. In addition, 80 clients were served through bathing and traditional respite services accounting for a total of 5,943 hours. The Money Management Program served 31 clients who received 799 hours of support.

Congregate Meals

Congregate Meals are available at 24 sites countywide, including senior and Adult Day Health Care centers, private senior centers, and other locations for older adults. In FY 2025, the Congregate Meals Program served 2,166 participants and provided 227,875 meals.

Home-Delivered Meals

Home-Delivered Meals provides meals to frail, homebound, low-income residents aged 60 and older who cannot prepare their own meals. In FY 2025, 337,172 meals were provided to 964 older adults and adults with disabilities.

Care Coordination

Care Coordination services are provided to elderly persons at-risk of institutionalization who have deficiencies in two or more activities of daily living. Services include intake, assessment, plan of care development, implementation of the plan of care, service monitoring, follow-up, and reassessment. In FY 2025, 157 older adults received 1,415 hours of care coordination services.

Family Caregiver

Family Caregiver provides education and support services to caregivers of persons aged 60 and older, or older adults caring for grandchildren. Services include scholarships for respite care, gap-filling respite and bathing services, assisted transportation (which is also reflected in Community-Based Services), assistance paying for supplies and services, and other activities that contribute to the well-being of older adults and help to relieve caregiver stress. In FY 2025, 20 clients were supported through the Discretionary Fund to purchase equipment such as grab bars, and 20 clients received assisted transportation services, taking 475 one-way trips. In FY 2025, the Golden Gazette, a newsletter geared towards aging adults, had an average of 9,091 monthly email subscribers and an average of 13,677 monthly mailed copies.

Respite Care

Respite Care includes services to family caregivers with the highest risk for caregiver burden and whose family members are consequently at highest risk for institutionalization. Through an additional respite grant initiative, a supplemental “bank” of service hours is available for each traditional respite client to expand access to needed support. In FY 2025, the Respite Care initiative supported 31 high-risk caregivers, delivering a total of 2,652 hours of care.

Adult Protective Services

Adult Protective Services (APS) receives reports and investigates allegations of abuse, neglect, or exploitation of older and vulnerable adults. This supplemental one-time funding, received to help address the COVID-19 pandemic, enhanced and improved the APS programs' ability to provide emergency protective services for those adults determined to be most at risk. In FY 2025, APS completed 1,400 investigations.

Elder Abuse Prevention

APS receives reports and investigates allegations of abuse, neglect, or exploitation of older and vulnerable adults. In FY 2025, this one-time funding provided two clients with a total of 143 units of emergency home-based care services.

Fund 40040, Fairfax-Falls Church Community Services Board

Countywide Older Adults and Families Program

The Older Adults and Families Program of the Fairfax-Falls Church Community Services Board (CSB) provides strengths-based, person-centered, and solution-focused mental health outpatient treatment and case management services for older adults. Services support recovery and independence appropriate to the individual's physical and cognitive abilities and are provided in either an office or community-based setting, as appropriate. To address the unique needs of older adults, services include psychiatric evaluation, medication management, case management and supportive counseling, with linkage to and coordination of services with other community agencies, health care providers and family caregivers. In FY 2025, the program served 641 older adults aged 60 and over for a total of 14,635 service hours.

Fund 10030, Contributories

Birmingham Green Adult Care Residence

This facility is owned by the Counties of Fairfax, Fauquier, Loudoun and Prince William, and the City of Alexandria as tenants in common. During FY 2025, 127 Fairfax County residents were served in the facility (86 in the nursing facility and 41 in assisted living). To be eligible for admission to the nursing and assisted living facilities, older adults and adults with disabilities must meet income, resource, and functional requirements. The Department of Family Services' Public Assistance and Employment Services division accepts and processes applications for Medicaid and auxiliary grants, and the Department of Family Services' Adult and Aging division assesses for functional eligibility.

Fund 30000, Metro Operations and Construction

MetroAccess

MetroAccess is a door-to-door paratransit service for people with disabilities who are not able to use fixed-route forms (bus and rail) of public transportation due to functional limitations that relate to their disability. MetroAccess provided approximately 98,625 completed stops for Fairfax County residents in FY 2025. This is a decrease from FY 2024 but offset by an increase in trips provided by alternative sources through Abilities-Ride, an optional, on-demand alternative to MetroAccess for eligible customers via taxis, transportation network companies and other accessible van services. Abilities-Rides completed a total of 133,23 trips for Fairfax County residents in FY 2025. An estimated 59 percent of MetroAccess customers residing in Fairfax County are over age 55.

Fund 60030, Technology Infrastructure Services

Computer Labs

The Department of Information Technology supports computer labs at libraries and recreation/senior centers that are used by residents, many of whom are older adults.



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Compensation and Positions



FY 2027

Advertised Budget Plan

Compensation and Positions

Explanation of Schedules Personnel Services and Fringe Benefits

Personnel Services Summary

Summarizes Personnel Services funding by major expense categories (regular salaries, extra compensation, fringe benefits, etc.) for the General Fund, General Fund Supported Funds, and Other Funds.

Personnel Services by Agency

Displays Personnel Services funding, organized by fund, program area, and agency or fund.

Summary of General Fund Employee Benefit Costs by Category

Provides a breakdown of General Fund expenditures for all employee benefits by individual category, including health insurance, dental insurance, life insurance, FICA (Social Security), unemployment, language proficiency pay, employee assistance program, and training.

Distribution of Fringe Benefits by General Fund Agency

Combines Personnel Services, Operating Expenses, and Capital Equipment with Fringe Benefits expenditures for each General Fund agency to reflect a total cost per agency.

Summary of Positions

Regular Positions All Funds

Displays the number of General Fund positions by Program Area, the number of positions in the General Fund Supported Funds, and in Other Funds.

Summary of Position Changes

Provides the total position count for all agencies and funds with funding appropriated by the Board of Supervisors. The change in the position count for each year is broken out into categories, including positions which have been “Abolished”, were necessary to support “New Facilities”, or required for “Other Changes”, including workload increases. Also included is the number of positions that were added by the Board of Supervisors at other times during the fiscal year, i.e. “Other Reviews.”

Position Summaries

Details the position count and full-time equivalents (FTE) for the prior, current and upcoming fiscal year, including regular County positions, State positions, and County grant positions.

FY 2027 ADVERTISED PERSONNEL SERVICES SUMMARY

(All Appropriated Funds excluding Schools Funds)

	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised
Regular Positions					
General Fund	10,610	10,495	10,166	10,097	(69)
General Fund Supported	1,803	1,756	2,139	2,157	18
Other Funds	1,404	1,407	1,412	1,431	19
Total	13,817	13,658	13,717	13,685	(32)
Regular Salaries and Compensation Increases					
General Fund	\$934,619,449	\$1,087,072,643	\$1,047,310,204	\$1,095,203,682	\$47,893,478
General Fund Supported	157,675,518	178,938,872	218,587,564	228,343,704	9,756,140
Other Funds	121,628,935	142,473,874	146,468,258	157,452,730	10,984,472
Total	\$1,213,923,902	\$1,408,485,389	\$1,412,366,026	\$1,481,000,116	\$68,634,090
Limited Term					
General Fund	\$28,164,128	\$29,535,396	\$25,705,101	\$25,349,926	(\$355,175)
General Fund Supported	8,527,150	7,719,846	10,528,274	10,962,437	434,163
Other Funds	6,395,217	5,601,257	5,536,605	5,991,553	454,948
Total	\$43,086,495	\$42,856,499	\$41,769,980	\$42,303,916	\$533,936
Shift Differential					
General Fund	\$3,807,769	\$4,883,704	\$4,872,942	\$4,884,665	\$11,723
General Fund Supported	461,583	834,354	845,116	870,397	25,281
Other Funds	86,474	68,488	96,103	73,538	(22,565)
Total	\$4,355,826	\$5,786,546	\$5,814,161	\$5,828,600	\$14,439
Extra Compensation					
General Fund	\$114,401,458	\$108,824,829	\$110,711,725	\$112,740,739	\$2,029,014
General Fund Supported	9,116,938	6,285,236	6,261,715	6,119,692	(142,023)
Other Funds	4,512,812	3,138,149	3,117,659	3,362,379	244,720
Total	\$128,031,208	\$118,248,214	\$120,091,099	\$122,222,810	\$2,131,711
Position Turnover					
General Fund	\$0	(\$53,976,939)	(\$50,537,696)	(\$50,941,341)	(\$403,645)
General Fund Supported	0	(7,928,924)	(11,397,591)	(13,155,412)	(1,757,821)
Other Funds	0	(9,896,092)	(9,896,091)	(9,466,837)	429,254
Total	\$0	(\$71,801,955)	(\$71,831,378)	(\$73,563,590)	(\$1,732,212)
Total Salaries					
General Fund	\$1,080,992,804	\$1,176,339,633	\$1,138,062,276	\$1,187,237,671	\$49,175,395
General Fund Supported	175,781,189	185,849,384	224,825,078	233,140,818	8,315,740
Other Funds	132,623,438	141,385,676	145,322,534	157,413,363	12,090,829
Total	\$1,389,397,431	\$1,503,574,693	\$1,508,209,888	\$1,577,791,852	\$69,581,964
Fringe Benefits					
General Fund	\$538,604,828	\$597,542,030	\$580,466,154	\$619,521,226	\$39,055,072
General Fund Supported	84,707,509	84,440,540	106,863,168	116,005,996	9,142,828
Other Funds ¹	287,175,114	288,230,890	316,313,617	311,704,445	(4,609,172)
Total	\$910,487,451	\$970,213,460	\$1,003,642,939	\$1,047,231,667	\$43,588,728
Total Costs of Personnel Services					
General Fund	\$1,619,597,632	\$1,773,881,663	\$1,718,528,430	\$1,806,758,897	\$88,230,467
General Fund Supported	260,488,698	270,289,924	331,688,246	349,146,814	17,458,568
Other Funds	419,798,552	429,616,566	461,636,151	469,117,808	7,481,657
Total	\$2,299,884,882	\$2,473,788,153	\$2,511,852,827	\$2,625,023,519	\$113,170,692

¹ It should be noted that the Other Funds amount for Fringe Benefits includes payments made for claims and administrative expenses for the County's self-insured health insurance plans in Fund 60040, Health Benefits. These expenses total \$235,321,072 for the FY 2027 Advertised Budget Plan. Fringe Benefit expenses for the General Fund, General Fund Supported Funds, and all Other Funds include employer contributions made to the Health Benefits Fund to support the \$235.3 million for claims and administrative expenses. Thus, this amount should be excluded when determining countywide Fringe Benefit expenditures.

FY 2027 ADVERTISED PERSONNEL SERVICES BY AGENCY

# / Agency Title	Regular Compensation	Fringe Benefits	New Positions	Compensation Increases	Limited Term	Shift Differential	Extra Compensation	Turnover	Personnel Services
GENERAL FUND AGENCIES									
Legislative-Executive Functions / Central Services									
01 Board of Supervisors	\$7,635,908	\$0	\$0	\$297,473	\$0	\$0	\$0	(\$69,591)	\$7,863,790
02 Office of the County Executive	8,310,090	0	0	319,076	46,447	0	0	(258,865)	8,416,748
03 Department of Clerk Services	1,510,245	0	0	59,759	358,699	0	24,360	0	1,953,063
06 Department of Finance	6,346,260	0	0	267,349	117,748	0	0	(198,408)	6,532,949
11 Department of Human Resources	10,661,063	0	229,442	584,291	543	0	248,036	(512,537)	11,210,838
12 Department of Procurement and Material Management	7,748,075	0	0	319,429	0	0	0	(438,810)	7,628,694
13 Office of Public Affairs	2,665,303	0	0	109,688	122,089	0	0	(97,596)	2,799,484
15 Office of Elections	4,062,392	0	0	158,091	2,831,339	0	383,655	(502,560)	6,932,917
17 Office of the County Attorney	11,500,205	0	318,975	443,333	0	0	0	(367,597)	11,894,916
20 Department of Management and Budget	8,308,699	0	0	520,090	0	0	0	(266,821)	8,561,968
37 Office of the Financial and Program Auditor	485,994	0	0	21,326	0	0	0	0	507,320
41 Civil Service Commission	382,414	0	0	16,412	26,982	0	0	0	425,808
44 Office of Police Accountability	535,663	0	0	24,529	0	0	0	0	560,192
57 Department of Tax Administration	29,285,448	0	146,384	1,165,563	1,959,781	0	264,947	(908,894)	31,913,229
70 Department of Information Technology	33,539,706	0	0	1,355,307	386,568	120	29,975	(1,770,611)	33,541,065
Total Legislative-Executive Functions / Central Services	\$132,977,465	\$0	\$694,801	\$5,661,716	\$5,850,196	\$120	\$950,973	(\$5,392,290)	\$140,742,981
Judicial Administration									
80 Circuit Court and Records	\$13,331,573	\$0	\$0	\$640,236	\$176,270	\$0	\$106,237	(\$415,072)	\$13,839,244
82 Office of the Commonwealth's Attorney	9,295,739	0	261,899	378,495	37,434	0	0	(303,556)	9,670,011
85 General District Court	5,156,023	0	0	181,058	138,827	15,522	12,883	(81,449)	5,422,864
91 Office of the Sheriff	21,465,851	0	0	848,375	239,227	7,353	2,237,773	(1,102,174)	23,696,405
Total Judicial Administration	\$49,249,186	\$0	\$261,899	\$2,048,164	\$591,758	\$22,875	\$2,356,893	(\$1,902,251)	\$52,628,524
Public Safety									
04 Department of Cable and Consumer Services	\$708,068	\$0	\$0	\$29,386	\$0	\$0	\$0	\$0	\$737,454
81 Juvenile and Domestic Relations District Court	26,676,108	0	0	1,134,849	798,831	171,436	1,232,778	(844,884)	29,169,118
90 Police Department	210,696,546	0	0	11,266,584	509,881	1,590,101	48,460,827	(10,896,550)	261,627,389
91 Office of the Sheriff	46,214,776	0	247,182	1,856,012	182,690	547,472	5,618,849	(2,386,349)	52,280,632
92 Fire and Rescue Department	192,477,709	0	0	7,913,564	773,457	2,925,882	51,055,647	(9,900,409)	245,245,850
93 Department of Emergency Management and Security	2,994,843	0	0	130,439	0	0	10,471	0	3,135,753
96 Department of Animal Services	7,609,142	0	0	286,484	111,515	24,179	507,636	(234,731)	8,304,225
97 Department of Code Compliance	4,648,553	0	0	188,181	148,019	0	110,445	(145,094)	4,950,104
Total Public Safety	\$492,025,745	\$0	\$247,182	\$22,805,499	\$2,524,393	\$5,259,070	\$106,996,653	(\$24,408,017)	\$605,450,525
Public Works									
08 Facilities Management Department	\$20,043,298	\$0	\$1,025,137	\$784,105	\$114,629	\$4,200	\$595,120	(\$2,457,312)	\$20,109,177
25 Business Planning and Support	1,219,440	0	0	51,037	0	0	0	(18,325)	1,252,152
26 Office of Capital Facilities	19,865,628	0	0	743,427	17,050	165	0	(350,836)	20,275,434
Total Public Works	\$41,128,366	\$0	\$1,025,137	\$1,578,569	\$131,679	\$4,365	\$595,120	(\$2,826,473)	\$41,636,763

FY 2027 ADVERTISED PERSONNEL SERVICES BY AGENCY

# / Agency Title	Regular Compensation	Fringe Benefits	New Positions	Compensation Increases	Limited Term	Shift Differential	Extra Compensation	Turnover	Personnel Services
Health and Welfare									
67 Department of Family Services	\$100,080,221	\$0	\$0	\$4,352,341	\$1,344,764	\$976	\$982,402	(\$5,220,247)	\$101,540,457
71 Health Department	70,754,424	0	87,695	2,990,903	1,384,858	(523,752)	0	(3,800,580)	70,893,548
79 Department of Neighborhood and Community Services	79,094,075	0	432,353	3,631,083	11,798,768	17,467	361,250	(4,277,651)	91,057,345
Total Health and Welfare	\$249,928,720	\$0	\$520,048	\$10,974,327	\$14,528,390	(\$505,309)	\$1,343,652	(\$13,298,478)	\$263,491,350
Parks and Libraries									
52 Fairfax County Public Library	28,674,652	0	0	1,260,095	1,148,427	103,544	421,292	(912,966)	30,695,044
Total Parks and Libraries	\$28,674,652	\$0	\$0	\$1,260,095	\$1,148,427	\$103,544	\$421,292	(\$912,966)	\$30,695,044
Community Development									
16 Economic Development Authority	\$5,105,048	\$0	\$0	\$236,100	\$0	\$0	\$10,647	(\$162,835)	\$5,188,960
30 Department of Economic Initiatives	2,069,838	0	0	74,097	0	0	0	(29,503)	2,114,432
35 Department of Planning and Development	16,205,502	0	0	702,697	49,040	0	0	(517,696)	16,439,543
38 Department of Housing and Community Development	11,862,717	0	0	505,128	366,532	0	65,509	(431,975)	12,367,911
39 Office of Human Rights and Equity Programs	1,932,900	0	0	77,566	0	0	0	0	2,010,466
40 Department of Transportation	14,144,301	0	0	587,746	159,511	0	0	(1,058,857)	13,832,701
Total Community Development	\$51,320,306	\$0	\$0	\$2,183,334	\$575,083	\$0	\$76,156	(\$2,200,866)	\$51,954,013
Nondepartmental									
89 Employee Benefits	\$0	\$619,521,226	\$638,471	\$0	\$0	\$0	\$0	\$0	\$620,159,697
Total Nondepartmental	\$0	\$619,521,226	\$638,471	\$0	\$0	\$0	\$0	\$0	\$620,159,697
Total General Fund	\$1,045,304,440	\$619,521,226	\$3,387,538	\$46,511,704	\$25,349,926	\$4,884,665	\$112,740,739	(\$50,941,341)	\$1,806,758,897
GENERAL FUND SUPPORTED FUNDS									
40040 Fairfax-Falls Church Community Services Board	\$122,816,792	\$63,511,801	\$0	\$5,059,742	\$7,100,268	\$531,239	\$1,286,526	(\$6,654,512)	\$193,651,856
40045 Early Childhood Birth to 5	5,140,400	2,605,227	0	213,151	597,050	0	5,354	(884,690)	7,676,492
40090 E-911	23,586,644	13,548,516	0	920,586	147,049	171,011	3,944,729	(728,119)	41,590,416
40400 Park General Operations and Capital	33,372,216	19,960,444	1,681,811	1,426,466	2,968,294	10,762	489,479	(3,736,112)	56,173,360
60000 County Insurance	1,286,586	631,794	0	45,555	0	0	0	0	1,963,935
60010 Department of Fleet Management	20,840,430	9,431,192	0	917,484	149,776	146,732	381,767	(647,562)	31,219,819
60020 Document Services	1,762,517	1,023,648	0	61,998	0	0	1,837	(87,688)	2,762,312
60030 Technology Infrastructure Services	8,860,594	5,293,374	0	350,732	0	10,653	10,000	(416,729)	14,108,624
Total General Fund Supported Funds	\$217,666,179	\$116,005,996	\$1,681,811	\$8,995,714	\$10,962,437	\$870,397	\$6,119,692	(\$13,155,412)	\$349,146,814

FY 2027 ADVERTISED PERSONNEL SERVICES BY AGENCY

# / Agency Title	Regular Compensation	Fringe Benefits	New Positions	Compensation Increases	Limited Term	Shift Differential	Extra Compensation	Turnover	Personnel Services
OTHER FUNDS									
40010 County and Regional Transportation Projects	\$7,304,028	\$4,159,175	\$0	\$303,886	\$0	\$0	\$0	\$0	\$11,767,089
40030 Cable Communications	4,820,173	2,457,911	0	195,635	48,120	0	59,160	(471,617)	7,109,382
40050 Reston Community Center	4,004,138	2,349,408	0	164,029	1,926,396	14,678	46,377	(41,681)	8,463,345
40060 McLean Community Center	2,723,396	1,456,749	0	104,128	751,654	1,312	358	0	5,037,597
40070 Burgundy Village Community Center	0	1,765	0	0	23,738	0	0	0	25,503
40080 Integrated Pest Management Program	1,400,044	742,805	99,036	68,958	478,437	0	13,398	(119,244)	2,683,434
40100 Stormwater Services	20,529,762	9,292,342	774,425	929,501	538,696	135	219,666	(2,492,454)	29,792,073
40130 Leaf Collection	804,476	440,129	0	0	115,509	0	67,750	0	1,427,864
40140 Refuse Collection and Recycling Operations	8,789,160	4,350,174	0	328,719	222,076	0	695,000	(910,173)	13,474,956
40150 Refuse Disposal	17,825,485	12,616,498	0	550,330	249,354	0	941,959	(1,918,523)	30,265,103
40170 I-95 Refuse Disposal	2,830,573	962,702	0	149,119	325,342	0	129,740	0	4,397,476
40200 Land Development Services	34,306,150	17,222,253	0	1,350,794	917,091	0	399,346	(2,334,356)	51,861,278
50800 Community Development Block Grant	1,413,607	778,722	0	0	0	0	0	0	2,192,329
50810 HOME Investment Partnerships Grant	129,820	71,024	0	0	0	0	0	0	200,844
60040 Health Benefits ¹	294,114	235,589,914	0	0	71,044	0	0	0	235,955,072
69010 Sewer Operation and Maintenance	38,499,522	16,524,434	331,274	1,449,307	321,873	57,413	789,625	(1,178,789)	56,794,659
73000 Employees' Retirement Trust	2,873,047	1,742,905	206,017	108,250	1,557	0	0	0	4,931,776
73010 Uniformed Employees Retirement Trust	849,686	499,578	44,147	23,197	333	0	0	0	1,416,941
73020 Police Retirement Trust	680,478	405,719	44,147	23,197	333	0	0	0	1,153,874
73030 OPEB Trust	122,628	40,238	0	4,347	0	0	0	0	167,213
Total Other Funds	\$150,200,287	\$311,704,445	\$1,499,046	\$5,753,397	\$5,991,553	\$73,538	\$3,362,379	(\$9,466,837)	\$469,117,808
Total All Funds	\$1,413,170,906	\$1,047,231,667	\$6,568,395	\$61,260,815	\$42,303,916	\$5,828,600	\$122,222,810	(\$73,563,590)	\$2,625,023,519

¹ It should be noted that the Fringe Benefit amount listed for Fund 60040, Health Benefits, includes payments made for claims and administrative expenses for the County's self-insured health insurance plans. These expenses total \$235,321,072 for the FY 2027 Advertised Budget Plan. Fringe Benefit expenditures for all funds include employer contributions made to the Health Benefits Fund, and these contributions support the \$235.3 million paid in claims and administrative expenses. Thus, this amount should be excluded when determining countywide Fringe Benefit expenditures.

FY 2027 ADVERTISED SUMMARY OF GENERAL FUND EMPLOYEE BENEFIT COSTS BY CATEGORY

This schedule summarizes total General Fund Employee Benefit costs, including certain benefit costs and associated reimbursements for employees of General Fund agencies that are expended in the General Fund and reimbursed by capital projects.

BENEFIT CATEGORY	FY 2025 Actual	FY 2026 Adopted Budget Plan	FY 2026 Revised Budget Plan	FY 2027 Advertised Budget Plan	Increase/ (Decrease) Over Revised	% Increase/ (Decrease) Over Revised
FRINGE BENEFITS						
Group Health Insurance	\$111,183,776	\$121,597,237	\$117,499,741	\$135,243,370	\$17,743,629	15.1%
Dental Insurance	4,010,808	4,221,635	4,073,572	4,081,558	7,986	0.2%
Group Life Insurance	2,400,641	3,151,116	3,082,591	2,803,037	(279,554)	(9.1%)
FICA	65,599,135	72,313,891	69,699,985	71,696,273	1,996,288	2.9%
Employees' Retirement	170,265,952	188,490,349	178,342,463	188,119,723	9,777,260	5.5%
Uniformed Retirement	98,656,638	109,837,278	109,837,278	111,326,947	1,489,669	1.4%
Police Retirement	85,631,842	96,912,082	96,912,082	105,052,312	8,140,230	8.4%
Virginia Retirement System	116,038	167,513	167,513	169,534	2,021	1.2%
Line of Duty	1,948,921	2,063,461	2,063,461	2,282,623	219,162	10.6%
Flexible Spending Accounts and Commuter Benefits ¹	85,683	61,260	61,260	94,524	33,264	54.3%
Unemployment Compensation	116,350	138,962	138,962	197,574	58,612	42.2%
Capital Project Reimbursements	(2,160,575)	(2,240,378)	(2,240,378)	(2,389,083)	(148,705)	6.6%
Employee Assistance Program	304,193	367,624	367,624	382,834	15,210	4.1%
Tuition Reimbursement	445,426	460,000	460,000	460,000	0	0.0%
Total General Fund Fringe Benefits	\$538,604,828	\$597,542,030	\$580,466,154	\$619,521,226	\$39,055,072	6.7%
SALARIES AND OPERATING EXPENSES						
Union Support ²	\$0	\$0	\$0	\$638,471	\$638,471	--
Employee Awards Program	342,414	300,000	300,000	350,000	50,000	16.7%
Employee Development Initiatives	495,885	1,122,850	1,122,850	1,122,850	0	0.0%
Total Salaries and Operating Expenses	\$838,299	\$1,422,850	\$1,422,850	\$2,111,321	\$688,471	48.4%
TOTAL GENERAL FUND EMPLOYEE BENEFITS	\$539,443,127	\$598,964,880	\$581,889,004	\$621,632,547	\$39,743,543	6.8%

¹ Commuter Benefits administrative fees were added beginning in calendar year 2026.

² Union Support includes salary costs for SEIU positions. Related fringe benefits are reported within the applicable Fringe Benefits categories.

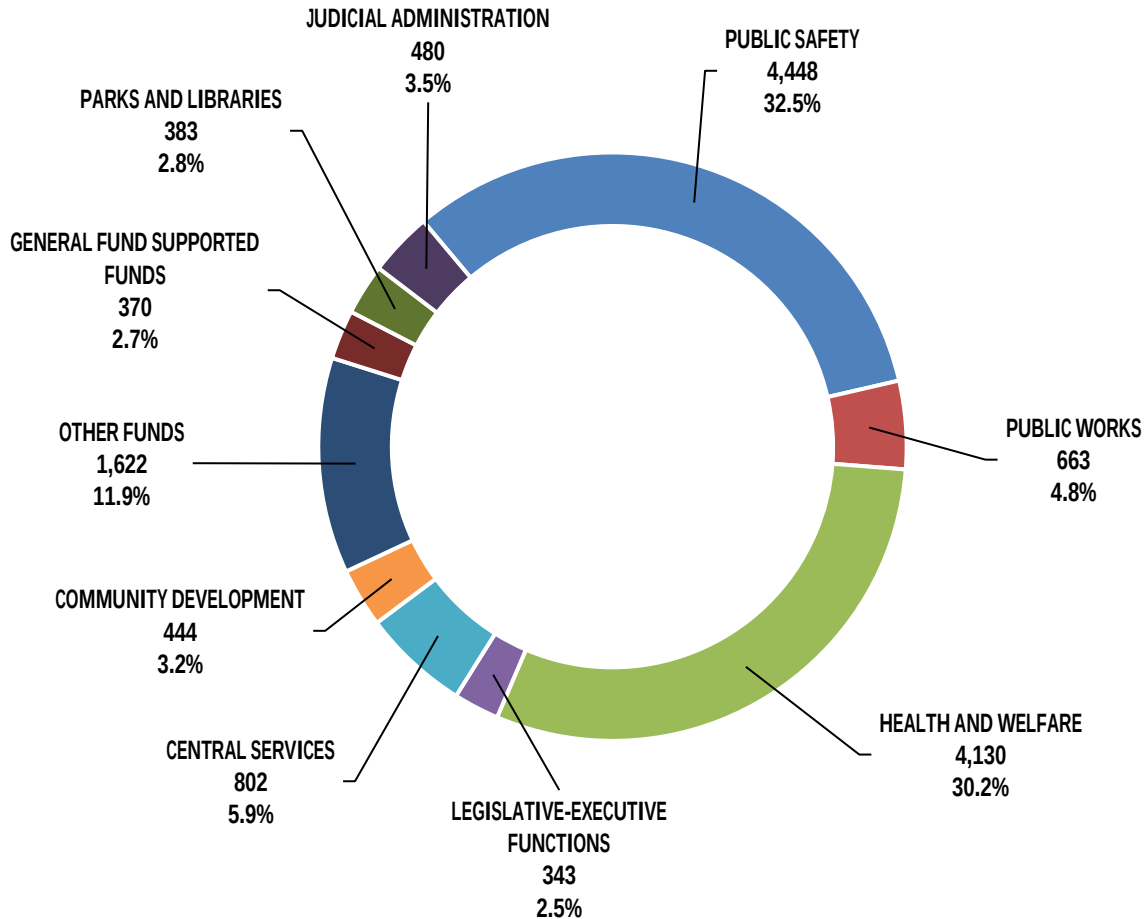
FY 2027 ADVERTISED DISTRIBUTION OF FRINGE BENEFITS BY GENERAL FUND AGENCY

#	Agency	Personnel Services	Fringe Benefits	Operating Expenses	Recovered Costs	Capital Equipment	Total Cost
Legislative-Executive Functions / Central Services							
01	Board of Supervisors	\$7,863,790	\$4,103,462	\$483,050	\$0	\$0	\$12,450,302
02	Office of the County Executive	8,416,748	4,392,005	1,111,653	0	0	13,920,406
03	Department of Clerk Services	1,953,063	1,019,142	342,212	0	0	3,314,417
06	Department of Finance	6,532,949	3,409,006	4,853,113	(751,697)	0	14,043,371
11	Department of Human Resources	11,210,838	5,850,010	1,185,007	0	0	18,245,855
12	Department of Procurement and Material Management	7,628,694	3,980,785	1,829,907	(288,803)	0	13,150,583
13	Office of Public Affairs	2,799,484	1,460,819	324,361	0	0	4,584,664
15	Office of Elections	6,932,917	3,617,716	2,639,387	0	0	13,190,020
17	Office of the County Attorney	11,894,916	6,206,974	612,141	(466,522)	0	18,247,509
20	Department of Management and Budget	8,561,968	4,467,784	559,985	0	0	13,589,737
37	Office of the Financial and Program Auditor	507,320	264,728	29,666	0	0	801,714
41	Civil Service Commission	425,808	222,194	51,186	0	0	699,188
42	Office of Independent Police Auditor	0	0	0	0	0	0
43	Office of the Police Civilian Review Panel	0	0	0	0	0	0
44	Office of Police Accountability	560,192	292,318	65,675	0	0	918,185
57	Department of Tax Administration	31,913,229	16,652,877	6,561,829	0	0	55,127,935
70	Department of Information Technology	33,541,065	17,502,310	11,101,980	0	0	62,145,355
	Total Legislative-Executive Functions / Central Services	\$140,742,981	\$73,442,130	\$31,751,152	(\$1,507,022)	\$0	\$244,429,241
Judicial Administration							
80	Circuit Court and Records	\$13,839,244	\$7,221,558	\$2,072,546	\$0	\$0	\$23,133,348
82	Office of the Commonwealth's Attorney	9,670,011	5,045,980	472,565	0	0	15,188,556
85	General District Court	5,422,864	2,829,745	1,198,116	0	0	9,450,725
91	Office of the Sheriff	23,696,405	12,365,195	6,583,533	0	0	42,645,133
	Total Judicial Administration	\$52,628,524	\$27,462,478	\$10,326,760	\$0	\$0	\$90,417,762
Public Safety							
04	Department of Cable and Consumer Services	\$737,454	\$384,816	\$152,946	\$0	\$0	\$1,275,216
81	Juvenile and Domestic Relations District Court	29,169,118	15,220,952	3,745,082	0	0	48,135,152
90	Police Department	261,627,389	136,521,714	40,633,911	(697,406)	428,617	438,514,225
91	Office of the Sheriff	52,280,632	27,280,941	6,669,229	0	0	86,230,802
92	Fire and Rescue Department	245,245,850	127,973,542	38,906,153	0	0	412,125,545
93	Department of Emergency Management and Security	3,135,753	1,636,290	6,167,087	0	0	10,939,130
96	Department of Animal Services	8,304,225	4,333,289	2,254,322	0	0	14,891,836
97	Department of Code Compliance	4,950,104	2,583,050	640,312	0	0	8,173,466
	Total Public Safety	\$605,450,525	\$315,934,594	\$99,169,042	(\$697,406)	\$428,617	\$1,020,285,372
Public Works							
08	Facilities Management Department	\$20,109,177	\$10,493,318	\$61,963,265	(\$5,891,168)	\$0	\$86,674,592
25	Business Planning and Support	1,252,152	653,395	363,588	(268,670)	0	2,000,465
26	Office of Capital Facilities	20,275,434	10,580,073	9,751,946	(10,599,111)	0	30,008,342
	Total Public Works	\$41,636,763	\$21,726,786	\$72,078,799	(\$16,758,949)	\$0	\$118,683,399

FY 2027 ADVERTISED DISTRIBUTION OF FRINGE BENEFITS BY GENERAL FUND AGENCY

#	Agency	Personnel Services	Fringe Benefits	Operating Expenses	Recovered Costs	Capital Equipment	Total Cost
Health and Welfare							
67	Department of Family Services	\$101,540,457	\$52,985,573	\$83,709,645	(\$534,749)	\$0	\$237,700,926
71	Health Department	70,893,548	36,993,484	24,416,125	0	0	132,303,157
79	Department of Neighborhood and Community Services	91,057,345	47,515,303	36,940,739	0	0	175,513,387
	Total Health and Welfare	\$263,491,350	\$137,494,360	\$145,066,509	(\$534,749)	\$0	\$545,517,470
Parks and Libraries							
51	Fairfax County Park Authority	\$0	\$0	\$0	\$0	\$0	\$0
52	Fairfax County Public Library	30,695,044	16,017,207	6,786,649	0	0	53,498,900
	Total Parks and Libraries	\$30,695,044	\$16,017,207	\$6,786,649	\$0	\$0	\$53,498,900
Community Development							
16	Economic Development Authority	\$5,188,960	\$2,707,689	\$3,908,603	\$0	\$0	\$11,805,252
30	Department of Economic Initiatives	2,114,432	1,103,347	257,571	0	0	3,475,350
35	Department of Planning and Development	16,439,543	8,578,439	1,198,552	0	0	26,216,534
38	Department of Housing and Community Development	12,367,911	6,453,791	36,274,099	(1,195,331)	0	53,900,470
39	Office of Human Rights and Equity Programs	2,010,466	1,049,096	104,995	0	0	3,164,557
40	Department of Transportation	13,832,701	7,218,144	1,260,856	(2,405,354)	0	19,906,347
	Total Community Development	\$51,954,013	\$27,110,506	\$43,004,676	(\$3,600,685)	\$0	\$118,468,510
Non-Departmental							
87	Unclassified Administrative Expenses	\$0	\$0	\$2,546,212	\$0	\$0	\$2,546,212
89	Employee Benefits	638,471	333,165	1,472,850	0	0	2,444,486
	Total Non-Departmental	\$638,471	\$333,165	\$4,019,062	\$0	\$0	\$4,990,698
GENERAL FUND DIRECT EXPENDITURES		\$1,187,237,671	\$619,521,226	\$412,202,649	(\$23,098,811)	\$428,617	\$2,196,291,352

FY 2027 REGULAR POSITIONS ALL FUNDS



TOTAL REGULAR POSITIONS = 13,685

General Fund Program Areas include: General Fund agencies and Fund 40040, Fairfax-Falls Church Community Services Board, in Health and Welfare, Fund 40045, Early Childhood Birth to 5, in Health and Welfare, Fund 40090, E-911, in Public Safety, and Fund 40100, Stormwater Services, in Public Works.

General Fund Supported Funds include: Fund 60000, County Insurance; Fund 60010, Department of Fleet Management; Fund 60020, Document Services; and Fund 60030, Technology Infrastructure Services.

Other Funds include: Fund 40010, County and Regional Transportation Projects; Fund 40030, Cable Communications; Fund 40050, Reston Community Center; Fund 40060, McLean Community Center; Fund 40080, Integrated Pest Management Program; Fund 40140, Refuse Collection and Recycling Operations; Fund 40150, Refuse Disposal; Fund 40170, I-95 Refuse Disposal; Fund 69010 Sewer Operation and Maintenance; Fund 73000, Employees' Retirement Trust; and Fund 73030, OPEB Trust.

Summary of Position Changes

FY 1991 - FY 2027

Authorized Positions - All Funds

Fiscal Years ¹	From	To	Abolished	New Facilities	Other Changes	Other Reviews	Total Change	Population ²	Positions Per 1,000 Residents
FY 1991 to FY 1992	11,164	11,124	(153)	41	20	52	(40)	832,130	13.57
FY 1992 to FY 1993	11,124	10,628	(588)	0	13	79	(496)	844,500	12.58
FY 1993 to FY 1994	10,628	10,685	(88)	62	56	27	57	857,496	12.46
FY 1994 to FY 1995	10,685	10,870	(157)	94	131	117	185	871,268	12.48
FY 1995 to FY 1996	10,870	11,016	(49)	60	76	59	146	889,526	12.38
FY 1996 to FY 1997	11,016	10,782	(477)	150	(14)	107	(234)	905,888	11.90
FY 1997 to FY 1998	10,782	10,802	(56)	4	43	29	20	921,789	11.72
FY 1998 to FY 1999	10,802	10,911	(35)	26	41	77	109	938,912	11.62
FY 1999 to FY 2000	10,911	11,108	(17)	106	26	82	197	958,060	11.59
FY 2000 to FY 2001	11,108	11,317	0	25	107	77	209	977,058	11.58
FY 2001 to FY 2002	11,317	11,385	(2)	14	39	17	68	994,401	11.45
FY 2002 to FY 2003	11,385	11,498	(48)	70	1	90	113	1,008,263	11.40
FY 2003 to FY 2004	11,498	11,443	(124)	49	0	20	(55)	1,017,194	11.25
FY 2004 to FY 2005	11,443	11,547	(4)	56	0	52	104	1,027,972	11.23
FY 2005 to FY 2006	11,547	11,742	(21)	163	50	3	195	1,035,479	11.34
FY 2006 to FY 2007	11,742	11,936	0	159	16	19	194	1,039,409	11.48
FY 2007 to FY 2008	11,936	12,024	0	55	15	18	88	1,043,601	11.52
FY 2008 to FY 2009	12,024	12,101	0	0	33	44	77	1,048,842	11.54
FY 2009 to FY 2010	12,101	11,796	(308)	2	0	1	(305)	1,066,858	11.06
FY 2010 to FY 2011	11,796	12,031	(191)	4	11	411	235	1,089,262	11.05
FY 2011 to FY 2012	12,031	12,278	0	3	36	208	247	1,103,262	11.13
FY 2012 to FY 2013	12,278	12,281	(26)	5	45	(21)	3	1,110,673	11.06
FY 2013 to FY 2014	12,281	12,314	(83)	2	40	74	33	1,113,933	11.05
FY 2014 to FY 2015	12,314	12,354	(45)	11	46	28	40	1,120,816	11.02
FY 2015 to FY 2016	12,354	12,385	(70)	0	51	50	31	1,128,636	10.97
FY 2016 to FY 2017	12,385	12,480	(17)	18	52	42	95	1,137,387	10.97
FY 2017 to FY 2018	12,480	12,595	(9)	8	73	43	115	1,147,881	10.97
FY 2018 to FY 2019	12,595	12,739	0	19	58	67	144	1,159,919	10.98
FY 2019 to FY 2020	12,739	13,179	(6)	23	95	328	440	1,169,407	11.27
FY 2020 to FY 2021	13,179	13,325	0	0	20	126	146	1,170,941	11.38
FY 2021 to FY 2022	13,325	13,597	0	35	74	163	272	1,171,340	11.61
FY 2022 to FY 2023	13,597	13,734	0	29	78	30	137	1,179,313	11.65
FY 2023 to FY 2024	13,734	13,790	(17)	3	21	49	56	1,196,475	11.53
FY 2024 to FY 2025 Revised	13,790	13,817	(84)	6	36	69	27	1,202,287	11.49
FY 2025 to FY 2026 Revised	13,817	13,717	(189)	5	25	59	(100)	1,209,931	11.34
FY 2026 to FY 2027 Advertised	13,717	13,685	(109)	25	52	0	(32)	1,217,379	11.24
Total	11,164	13,685	(2,973)	1,332	1,466	2,696	2,521		

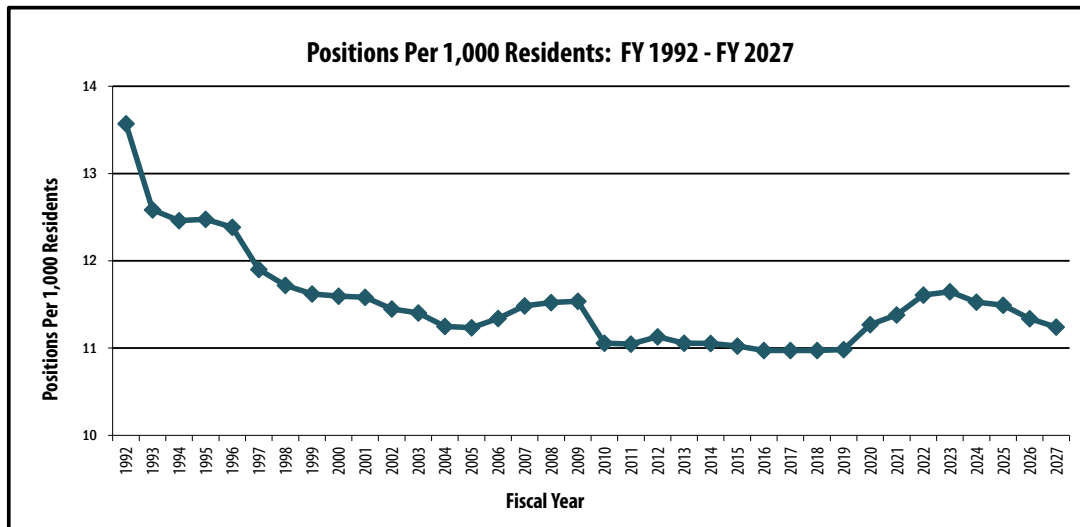
In addition, a total of 168 project positions have been abolished since FY 1991, resulting in a total of 3,141 abolished positions. This results in a net increase of 2,353 positions through the FY 2027 Advertised Budget Plan. Despite the net addition of positions, Positions Per 1,000 Residents have decreased dramatically during the period between FY 1992 and FY 2027, from 13.57 (including the 168 project positions) to 11.24, a 14.5 percent decrease.

() Denotes Abolished Positions

¹ Fiscal Year totals reflect actuals except for the current and budget year which reflect latest budgeted position counts.

² Population numbers used to compute Positions Per 1,000 Residents are provided by the Department of Management and Budget.

During the period FY 1992 - FY 2027, the following chart depicts the trend in merit regular positions per 1,000 residents:



Summary of Position Changes

FY 2027 Position Actions

Total Change: (32) Regular Merit Positions

Agency	Explanation	# of Positions
NEW POSITIONS		77
Facilities Management	New Facilities Operational Support	2
Facilities Management	Residential Maintenance Program	6
Facilities Management	The Commons	4
Human Resources	Collective Bargaining	2
County Attorney	Collective Bargaining	2
Tax Administration	Disabled Veteran Tax Exemption Program	2
Health Department	School Nurse	1
Neighborhood and Community Services	The Commons	11
Sheriff	Locksmith	1
Sheriff	Legal Records	2
Housing and Community Development	Workload Requirements	3
County and Regional Transportation Projects	Workload Requirements	1
Integrated Pest Management	Workload Requirements	1
Stormwater Services	New Facilities Operational Support	8
Land Development Services	Workload Requirements	1
Park General Operations and Capital	Zero Waste Program	12
Park General Operations and Capital	New Facilities Operational Support	7
Park General Operations and Capital	Sliding Fee Scale Implementation	3
Sewer Operations and Maintenance	Workload Requirements	4
Retirement	Workload Requirements	4

Summary of Position Changes

FY 2027 Position Actions

Total Change: (32) Regular Merit Positions

Agency	Explanation	# of Positions
REDUCTIONS/REALIGNMENTS		(109)
Finance	Position Reductions	(1)
Human Resources	Position Reductions	(2)
Procurement and Material Management	Position Reductions	(2)
Procurement and Material Management	Realignment of Positions	(1)
Capital Facilities	Position Reductions	(1)
Planning and Development	Position Reductions	(2)
Transportation	Position Reductions	(2)
Independent Police Auditor	Office of Police Accountability Realignment	(2)
Police Civilian Review Panel	Office of Police Accountability Realignment	(2)
Police Accountability	Office of Police Accountability Realignment	4
Fairfax County Public Library	Position Reductions	(8)
Family Services	Position Reductions	(4)
Family Services	Realignment of Positions	1
Information Technology	Innovation Division Realignment	(6)
Health Department	Position Reductions	(29)
Health Department	Realignment of Positions	(1)
Neighborhood and Community Services	Position Reductions	(18)
Neighborhood and Community Services	Realignment of Positions	2
Juvenile and Domestic Relations District Court	Position Reductions	(11)
Juvenile and Domestic Relations District Court	Realignment of Positions	(1)
Commonwealth's Attorney	Position Reductions	(3)
General District Court	Position Reductions	(2)
Police Department	Position Reductions	(13)
Sheriff	Position Reductions	(1)
Community Services Board	Position Reductions	(4)
Early Childhood	Position Reductions	(1)
Refuse Collection and Recycling	Realignment of Positions	(15)
Refuse Disposal	Realignment of Positions	53
I-95 Refuse Disposal	Realignment of Positions	(38)
Park General Operations and Capital	Position Reductions	(4)
County Insurance	Position Reductions	(1)
Technology Infrastructure Services	Innovation Division Realignment	6
	TOTAL CHANGE:	(32)

Summary of Position Changes

FY 2026 Position Actions

Total Change: (100) Regular Merit Positions

Agency	Explanation	# of Positions
NEW POSITIONS		30
Fairfax County Public Library	Kingstowne Library	2
Tax Administration	Food and Beverage Tax Administration	19
Information Technology	Food and Beverage Tax Administration	2
Neighborhood and Community Services	Kingstowne Active Adult Center	3
Circuit Court	Legal Record Clerks	2
Retirement	Workload Requirements	2

Summary of Position Changes

FY 2026 Position Actions

Total Change: (100) Regular Merit Positions

Agency	Explanation	# of Positions
REDUCTIONS/REALIGNMENTS		(189)
County Executive	Position Reductions	(4)
Procurement and Material Management	Position Reductions	(2)
Public Affairs	Position Reductions	(1)
Management and Budget	Position Reductions	(1)
Economic Initiatives	Position Reductions	(1)
Planning and Development	Position Reductions	(3)
Transportation	Position Reductions	(3)
Park Authority	Position Reductions	(1)
Family Services	Position Reductions	(12)
Family Services	Realignment of Positions	1
Information Technology	Position Reductions	(2)
Health Department	Position Reductions	(30)
Health Department	Realignment of Positions	1
Neighborhood and Community Services	Position Reductions	(4)
Neighborhood and Community Services	Realignment of Positions	(1)
Circuit Court	Position Reductions	(1)
Juvenile and Domestic Relations District Court	Position Reductions	(3)
Juvenile and Domestic Relations District Court	Realignment of Positions	(1)
Commonwealth's Attorney	Position Reductions	(3)
General District Court	Position Reductions	(1)
Police Department	Position Reductions	(47)
Police Department	Realignment of Animal Protection Police Officers	(34)
Sheriff	Position Reductions	(20)
Fire and Rescue	Position Reductions	(1)
Animal Services	Realignment of Animal Protection Police Officers	34
Code Compliance	Position Reductions	(3)
County and Regional Transportation Projects	Realignment of Positions	1
Community Services Board	Position Reductions	(38)
E-911	Position Reductions	(9)
Stormwater Services	Realignment of Positions	(1)
Refuse Disposal	Realignment of Positions	1
I-95 Refuse Disposal	Realignment of Positions	(1)
Sewer Operations and Maintenance	Realignment of Positions	1
OTHER CHANGES DURING FISCAL YEAR		59
Management and Budget	Realignment of Positions	(1)
Family Services	Workload Requirements (FY 2025 Carryover)	14
Information Technology	Realignment of Positions	1
Neighborhood and Community Services	SACC Program Requirements (FY 2025 Carryover)	26
Neighborhood and Community Services	Realignment of Positions	(1)
Commonwealth's Attorney	State Mandates	3

Summary of Position Changes

FY 2026 Position Actions

Total Change: (100) Regular Merit Positions

Agency	Explanation	# of Positions
Housing and Community Development	Workload Requirements (FY 2025 Carryover)	4
Housing and Community Development	Realignment of Positions	1
Park Authority	Transfer to New Parks Special Revenue Fund (FY 2025 Carryover)	(376)
Community Services Board	Support Coordination (FY 2025 Carryover)	9
McLean Community Center	Workload Requirements (FY 2025 Carryover)	3
Stormwater Services	Workload Requirements (FY 2025 Carryover)	1
Park General Operations and Capital	Transfer to New Parks Special Revenue Fund (FY 2025 Carryover)	376
Park General Operations and Capital	Realignment of Positions	(1)
Technology Infrastructure Services	Position Reductions (FY 2025 Carryover)	(1)
Sewer Operations and Maintenance	Realignment of Positions	1
	TOTAL CHANGE:	(100)

Summary of Position Changes

FY 2025 Position Actions

Total Change: 27 Regular Merit Positions

Agency	Explanation	# of Positions
NEW POSITIONS		42
Elections	Workload Requirements	2
County Attorney	Workload Requirements	1
Housing and Community Development	Affordable Housing	5
Park Authority	Zero-Waste	4
Tax Administration	Business Tax Support	7
Neighborhood and Community Services	School-Age Child Care	6
General District Court	Probation Counselors	4
Police Department	Police Aides	4
Sheriff	Workload Requirements	1
Community Services Board	Support Coordination	7
Retirement	Workload Requirements	1

Summary of Position Changes

FY 2025 Position Actions

Total Change: 27 Regular Merit Positions

Agency	Explanation	# of Positions
REDUCTIONS/REALIGNMENTS		(84)
County Executive	Position Reductions	(1)
Cable and Consumer Services	Position Reductions	(1)
Finance	Position Reductions	(1)
Human Resources	Position Reductions	(2)
Public Affairs	Position Reductions	(1)
Management and Budget	Position Reductions	(2)
Housing and Community Development	Position Reductions	(3)
Human Rights and Equity Programs	Position Reductions	(1)
Transportation	FASTRAN	8
Transportation	Position Reductions	(5)
Civil Service Commission	Position Reductions	(1)
Park Authority	RecPAC	(1)
Fairfax County Public Library	Position Reductions	(1)
Information Technology	Position Reductions	(9)
Health Department	Position Reductions	(3)
Neighborhood and Community Services	RecPAC	1
Neighborhood and Community Services	FASTRAN	(8)
Neighborhood and Community Services	Position Reductions	(5)
Circuit Court	Position Reductions	(3)
Juvenile and Domestic Relations District Court	Position Reductions	(1)
Commonwealth's Attorney	Position Reductions	(2)
Police Departemnt	Position Reductions	(5)
Police Departemnt	Animal Protection	(1)
Sheriff	Position Reductions	(24)
Fire and Rescue	Position Reductions	(10)
Animal Sheltering	Animal Protection	1
County and Regional Transportation Projects	Realignment of Positions	3
Community Services Board	Position Reductions	(5)
Document Services	Position Reductions	(1)
OTHER CHANGES DURING FISCAL YEAR		69
Park Authority	Position Reductions (FY 2024 Carryover)	(2)
Park Authority	FCPA Equity Plan (FY 2025 Third Quarter)	3
Family Services	Victims of Crime Act (FY 2024 Carryover)	3
Neighborhood and Community Services	Recruitment and Retention (FY 2024 Carryover)	22
Commonwealth's Attorney	Mandated Workload Requirements (FY 2024 Carryover)	5
Police Department	Victims of Crime Act (FY 2024 Carryover)	3
Police Department	Realignment of Positions	(1)
Fire and Rescue Department	Realignment of Positions	1
Community Services Board	Support Coordination (FY 2024 Carryover)	8
Community Services Board	Reclassification of Non-Merit Positions to Merit (FY 2025 Third Quarter)	27
TOTAL CHANGE:		27

FY 2027 ADVERTISED POSITION SUMMARY

(GENERAL FUND, GENERAL FUND SUPPORTED AND OTHER FUNDS)

AGENCY/FUND	FY 2025		FY 2026								FY 2027			
	Actual Pos/FTE		Adopted Pos/FTE		Carryover Pos/FTE		Out of Cycle Pos/FTE		Revised Pos/FTE		Advertised Pos/FTE		Inc/(Dec) Pos/FTE	
GENERAL FUND AGENCIES														
Legislative-Executive Functions / Central Services														
01 Board of Supervisors	70	70.00	70	70.00	0	0.00	0	0	70	70.00	70	70.00	0	0.00
02 Office of the County Executive	58	58.00	54	54.00	0	0.00	0	0	54	54.00	54	54.00	0	0.00
03 Department of Clerk Services	15	15.00	15	15.00	0	0.00	0	0	15	15.00	15	15.00	0	0.00
06 Department of Finance	60	60.00	60	60.00	0	0.00	0	0	60	60.00	59	59.00	(1)	(1.00)
11 Department of Human Resources	93	93.00	93	93.00	0	0.00	0	0	93	93.00	93	93.00	0	0.00
12 Department of Procurement and Material Management	81	81.00	79	79.00	0	0.00	(1)	(1)	78	78.00	76	76.00	(2)	(2.00)
13 Office of Public Affairs	25	25.00	24	24.00	0	0.00	0	0	24	24.00	24	24.00	0	0.00
15 Office of Elections	42	42.00	42	42.00	0	0.00	0	0	42	42.00	42	42.00	0	0.00
17 Office of the County Attorney	69	69.00	69	69.00	0	0.00	0	0	69	69.00	71	71.00	2	2.00
20 Department of Management and Budget	62	62.00	61	61.00	0	0.00	(1)	(1)	60	60.00	60	60.00	0	0.00
37 Office of the Financial and Program Auditor	3	3.00	3	3.00	0	0.00	0	0	3	3.00	3	3.00	0	0.00
41 Civil Service Commission	3	3.00	3	3.00	0	0.00	0	0	3	3.00	3	3.00	0	0.00
42 Office of the Independent Police Auditor	2	2.00	2	2.00	0	0.00	0	0	2	2.00	0	0.00	(2)	(2.00)
43 Office of the Police Civilian Review Panel	2	2.00	2	2.00	0	0.00	0	0	2	2.00	0	0.00	(2)	(2.00)
44 Office of Police Accountability	0	0.00	0	0.00	0	0.00	0	0	0	0.00	4	4.00	4	4.00
57 Department of Tax Administration	309	309.00	328	328.00	0	0.00	0	0	328	328.00	330	330.00	2	2.00
70 Department of Information Technology	246	246.00	246	246.00	0	0.00	1	1	247	247.00	241	241.00	(6)	(6.00)
Total Legislative-Executive Functions/Central Services	1,140	1,140.00	1,151	1,151.00	0	0.00	(1)	(1.00)	1,150	1,150.00	1,145	1,145.00	(5)	(5.00)
Judicial Administration														
80 Circuit Court and Records	177	176.00	178	177.00	0	0.00	0	(2)	178	174.62	178	174.62	0	0.00
82 Office of the Commonwealth's Attorney	84	84.00	81	81.00	3	3.00	0	0	84	84.00	81	81.00	(3)	(3.00)
85 General District Court	45	45.00	44	43.50	0	0.00	0	0	44	43.50	42	42.00	(2)	(1.50)
91 Office of the Sheriff	187	186.50	184	184.00	0	0.00	(4)	(4)	180	180.00	179	179.00	(1)	(1.00)
Total Judicial Administration	493	491.50	487	485.50	3	3.00	(4)	(6.38)	486	482.12	480	476.62	(6)	(5.50)
Public Safety														
04 Department of Cable and Consumer Services	6	6.00	6	6.00	0	0.00	0	0	6	6.00	6	6.00	0	0.00
81 Juvenile and Domestic Relations District Court	304	303.25	301	300.25	0	0.00	(1)	(1)	300	299.25	289	288.25	(11)	(11.00)
90 Police Department	1,857	1,857.00	1,776	1,776.00	0	0.00	0	0	1,776	1,776.00	1,763	1,763.00	(13)	(13.00)
91 Office of the Sheriff	397	397.00	380	380.00	0	0.00	4	4	384	384.00	387	387.00	3	3.00
92 Fire and Rescue Department	1,624	1,624.00	1,623	1,623.00	0	0.00	0	0	1,623	1,623.00	1,623	1,623.00	0	0.00
93 Department of Emergency Management and Security	24	24.00	24	24.00	0	0.00	0	0	24	24.00	24	24.00	0	0.00
96 Department of Animal Services	64	64.00	98	98.00	0	0.00	0	0	98	98.00	98	98.00	0	0.00
97 Department of Code Compliance	48	48.00	45	45.00	0	0.00	0	0	45	45.00	45	45.00	0	0.00
Total Public Safety	4,324	4,323.25	4,253	4,252.25	0	0.00	3	3.00	4,256	4,255.25	4,235	4,234.25	(21)	(21.00)
Public Works														
08 Facilities Management Department	210	210.00	210	210.00	0	0.00	0	0	210	210.00	222	222.00	12	12.00
25 Business Planning and Support	43	43.00	43	43.00	0	0.00	0	0	43	43.00	43	43.00	0	0.00
26 Office of Capital Facilities	197	197.00	197	197.00	0	0.00	0	0	197	197.00	196	196.00	(1)	(1.00)
Total Public Works	450	450.00	450	450.00	0	0.00	0	0.00	450	450.00	461	461.00	11	11.00
Health and Welfare														
67 Department of Family Services	1,096	1,095.50	1,084	1,083.50	14	14.00	1	1	1,099	1,098.50	1,095	1,094.50	(4)	(4.00)
71 Health Department	860	786.96	830	756.96	0	0.00	(1)	(1)	829	755.96	801	728.46	(28)	(27.50)
79 Department of Neighborhood and Community Services	1,034	1,010.40	1,033	1,009.65	26	19.50	1	1	1,060	1,030.60	1,053	1,025.10	(7)	(5.50)
Total Health and Welfare	2,990	2,892.86	2,947	2,850.11	40	33.50	1	1.45	2,988	2,885.06	2,949	2,848.06	(39)	(37.00)
Parks and Libraries														
51 Fairfax County Park Authority	377	376.75	376	375.75	(375)	(374.75)	(1)	(1)	0	0.00	0	0.00	0	0.00
52 Fairfax County Public Library	389	373.50	391	375.50	0	0.00	0	0	391	375.50	383	369.00	(8)	(6.50)
Total Parks and Libraries	766	750.25	767	751.25	(375)	(374.75)	(1)	(1.00)	391	375.50	383	369.00	(8)	(6.50)
Community Development														
16 Economic Development Authority	36	36.00	36	36.00	0	0.00	0	0	36	36.00	36	36.00	0	0.00
30 Department of Economic Initiatives	17	17.00	16	16.00	0	0.00	0	0	16	16.00	16	16.00	0	0.00
35 Department of Planning and Development	155	155.00	152	152.00	0	0.00	0	0	152	152.00	150	150.00	(2)	(2.00)
38 Department of Housing and Community Development	89	89.00	89	89.00	4	4.00	1	1	94	94.00	97	97.00	3	3.00
39 Office of Human Rights and Equity Programs	17	17.00	17	17.00	0	0.00	0	0	17	17.00	17	17.00	0	0.00
40 Department of Transportation	133	133.00	130	130.00	0	0.00	0	0	130	130.00	128	128.00	(2)	(2.00)
Total Community Development	447	447.00	440	440.00	4	4.00	1	1.00	445	445.00	444	444.00	(1)	(1.00)
TOTAL GENERAL FUND	10,610	10,494.86	10,495	10,380.11	(328)	(334.25)	(1)	(2.93)	10,166	10,042.93	10,097	9,977.93	(69)	(65.00)

FY 2027 ADVERTISED POSITION SUMMARY

(GENERAL FUND, GENERAL FUND SUPPORTED AND OTHER FUNDS)

AGENCY/FUND	FY 2025		FY 2026						FY 2027					
	Actual Pos/FTE		Adopted Pos/FTE		Carryover Pos/FTE		Out of Cycle Pos/FTE		Revised Pos/FTE		Advertised Pos/FTE		Inc/(Dec) Pos/FTE	
GENERAL FUND SUPPORTED FUNDS														
40040 Fairfax-Falls Church Community Services Board	1,164	1,158.00	1,126	1,120.25	9	9.00	0	0	1,135	1,129.25	1,131	1,125.25	(4)	(4.00)
40045 Early Childhood Birth to 5	51	50.25	51	50.25	0	0.00	0	0	51	50.25	50	49.25	(1)	(1.00)
40090 E-911	222	222.00	213	213.00	0	0.00	0	0	213	213.00	213	213.00	0	0.00
40400 Park General Operations and Capital	0	0.00	0	0.00	375	374.75	0	0	375	374.75	393	392.75	18	18.00
60000 County Insurance	13	13.00	13	13.00	0	0.00	0	0	13	13.00	12	12.00	(1)	(1.00)
60010 Department of Fleet Management	262	262.00	262	262.00	0	0.00	0	0	262	262.00	262	262.00	0	0.00
60020 Document Services	22	22.00	22	22.00	0	0.00	0	0	22	22.00	22	22.00	0	0.00
60030 Technology Infrastructure Services	69	69.00	69	69.00	0	0.00	(1)	(1)	68	68.00	74	74.00	6	6.00
Total General Fund Supported Funds	1,803	1,796.25	1,756	1,749.50	384	383.75	(1)	(1.00)	2,139	2,132.25	2,157	2,150.25	18	18.00
OTHER FUNDS														
40010 County and Regional Transportation Projects	60	60.00	61	61.00	0	0.00	0	0	61	61.00	62	62.00	1	1.00
40030 Cable Communications	47	47.00	47	47.00	0	0.00	0	0	47	47.00	47	47.00	0	0.00
40050 Reston Community Center	50	50.00	50	50.00	0	0.00	0	0	50	50.00	50	50.00	0	0.00
40060 McLean Community Center	34	31.20	34	31.20	3	3.00	0	0	37	34.20	37	34.20	0	0.00
40080 Integrated Pest Management	15	15.00	15	15.00	0	0.00	0	0	15	15.00	16	16.00	1	1.00
40100 Stormwater Services	193	193.00	193	193.00	1	1.00	0	0	194	194.00	202	202.00	8	8.00
40140 Refuse Collection and Recycling Operations	101	101.00	101	101.00	0	0.00	(15)	(15)	86	86.00	86	86.00	0	0.00
40150 Refuse Disposal	152	152.00	152	152.00	0	0.00	53	53	205	205.00	205	205.00	0	0.00
40170 I-95 Refuse Disposal	49	49.00	49	49.00	0	0.00	(38)	(38)	11	11.00	11	11.00	0	0.00
40200 Land Development Services	334	334.00	334	334.00	0	0.00	0	0	334	334.00	335	335.00	1	1.00
69010 Sewer Operation and Maintenance	335	335.00	335	335.00	0	0.00	1	1	336	336.00	340	340.00	4	4.00
73000 Employees' Retirement Trust	33	33.00	35	35.00	0	0.00	0	0	35	35.00	39	39.00	4	4.00
73030 OPEB Trust	1	1.00	1	1.00	0	0.00	0	0	1	1.00	1	1.00	0	0.00
Total Other Funds	1,404	1,401.20	1,407	1,404.20	4	4.00	1	1.00	1,412	1,409.20	1,431	1,428.20	19	19.00
TOTAL ALL FUNDS	13,817	13,692.31	13,658	13,533.81	60	53.50	(1)	(2.93)	13,717	13,584.38	13,685	13,556.38	(32)	(28.00)

FY 2027 ADVERTISED POSITION SUMMARY (STATE AND GRANT POSITIONS)

FUND/AGENCY	FY 2025		FY 2026								FY 2027			
	Actual Pos/FTE		Adopted Pos/FTE		Carryover Pos/FTE		Out of Cycle Pos/FTE		Revised Pos/FTE		Advertised Pos/FTE		Inc/(Dec) Pos/FTE	
STATE POSITIONS														
Fund 10001, General Fund														
Circuit Court and Records	15	15.00	15	15.00	0	0.00	0	0.00	15	15.00	15	15.00	0	0.00
Juvenile and Domestic Relations District Court	53	52.60	53	52.60	0	0.00	0	0.00	53	52.60	53	52.60	0	0.00
General District Court	211	206.50	211	206.50	0	0.00	3	3.00	214	209.50	214	209.50	0	0.00
Office of the Sheriff	2	2.00	2	2.00	0	0.00	0	0.00	2	2.00	2	2.00	0	0.00
Total General Fund	281	276.10	281	276.10	0	0.00	3	3.00	284	279.10	284	279.10	0	0.00
GRANT POSITIONS														
Fund 50000, Federal-State Grant Fund														
Dept. of Housing and Community Development	2	2.00	2	2.00	0	0.00	0	0.00	2	2.00	0	0.00	(2)	(2.00)
Office of Human Rights and Equity Programs	2	2.00	2	2.00	0	0.00	0	0.00	2	2.00	2	2.00	0	0.00
Department of Transporation	6	5.50	6	4.80	0	0.00	0	0.70	6	5.50	6	5.50	0	0.00
Department of Family Services	60	58.40	60	58.40	0	0.00	(5)	(5.50)	55	52.90	55	52.90	0	0.00
Health Department	54	53.00	55	54.00	0	0.00	(5)	(5.00)	50	49.00	48	47.00	(2)	(2.00)
Fairfax-Falls Church Community Services Board	90	85.30	85	81.60	0	0.00	3	1.70	88	83.30	85	80.00	(3)	(3.30)
Department of Neighborhood and Community Services	144	134.90	144	136.50	0	0.00	0	(1.60)	144	134.90	144	134.90	0	0.00
General District Court	8	7.50	8	8.00	0	0.00	0	(0.50)	8	7.50	8	7.50	0	0.00
Police Department	7	7.00	7	7.00	0	0.00	0	0.00	7	7.00	7	7.00	0	0.00
Office of the Sheriff	2	1.00	2	1.00	0	0.00	0	0.00	2	1.00	2	1.00	0	0.00
Fire and Rescue Department	21	20.50	20	19.50	0	0.00	1	1.00	21	20.50	21	20.50	0	0.00
Emergency Preparedness	2	2.00	2	2.00	0	0.00	0	0.00	2	2.00	2	2.00	0	0.00
Opioid Settlement Funds	9	9.00	0	0.00	0	0.00	9	9.00	9	9.00	0	0.00	(9)	(9.00)
Total Federal-State Grant Fund	407	388.10	393	376.80	0	0.00	3	(0.20)	396	376.60	380	360.30	(16)	(16.30)
Fund 50800, Community Development Block Grant														
Department of Housing and Community Development	16	16.00	14	14.00	0	0.00	0	0.00	14	14.00	14	14.00	0	0.00
Total Community Development Block Grant	16	16.00	14	14.00	0	0.00	0	0.00	14	14.00	14	14.00	0	0.00
Fund 50810, HOME Investment Partnerships Program														
Department of Housing and Community Development	2	2.00	2	2.00	0	0.00	(1)	(1.00)	1	1.00	1	1.00	0	0.00
Total HOME Investment Partnerships Program	2	2.00	2	2.00	0	0.00	(1)	(1.00)	1	1.00	1	1.00	0	0.00

Glossary and Acronyms



FY 2027

Advertised Budget Plan

Glossary and Acronyms

Glossary

Account: A separate financial reporting unit. All budgetary transactions are recorded in accounts.

Accounting Period: A period of time (e.g., one month, one year) where the County determines its financial position and results of operations.

Accrual: Accrual accounting/budgeting refers to a method of accounting/budgeting in which revenues are recorded when earned and outlays are recorded when goods are received or services are performed, even though the actual receipts and disbursements of cash may occur, in whole or in part, in a different fiscal period.

Accrual Basis of Accounting: A method of accounting where revenues are recorded when service is given, and expenses are recognized when the benefit is received. In Fairfax County, governmental and agency funds are accounted for on a modified accrual basis of accounting in which revenue is recognized when it is measurable and available. Revenue from the use of money and property and from intergovernmental reimbursement grants is recorded as earned. Other revenues are considered available to be used to pay liabilities of the current period if they are collectible within the current period or within 45 days thereafter. Expenditures are generally recorded when the related fund liability is incurred, except for principal and interest on general long-term debt and certain other general long-term obligations.

Actual: Monies that have already been used or received; different from budgeted monies, which are estimates of funds to be spent or received.

Actuarial: A methodology that makes determinations of required contributions to achieve future funding levels by addressing risk and time.

Adopted Budget Plan: A plan of financial operations approved by the Board of Supervisors highlighting major changes made to the County Executive's Advertised Budget Plan by the Board of Supervisors. The Adopted Budget Plan reflects approved tax rates and estimates of revenues, expenditures, transfers, agency goals, objectives, and performance data. Sections are included to show major budgetary/financial policies and guidelines used in the fiscal management of the County.

Ad Valorem Tax: A tax levied on the assessed value of real estate and personal property. This tax is also known as property tax.

Advertised Budget Plan: A plan of financial operations submitted by the County Executive to the Board of Supervisors. This plan reflects estimated revenues, expenditures, and transfers, as well as agency goals, objectives, and performance data. In addition, sections are included to show major budgetary/financial policies and guidelines used in the fiscal management of the County.

Affordable Housing: Housing is generally considered affordable when the cost of rent/mortgage does not exceed 30 to 35 percent of the annual gross household income.

American Rescue Plan Act (ARPA): This \$1.9 trillion package included funding for the Coronavirus State and Local Fiscal Recovery Funds (CSLFRF) to help state, local, and municipal governments to continue providing pandemic relief. The act was signed into law on March 11, 2021. The County received a total of \$222 million in direct federal funding assistance from the ARPA CSLFRF. The first tranche of \$111 million was received in May 2021 and the second tranche of \$111 million was received in June 2022. The ARPA Fiscal Recovery Fund gives broad flexibility in how funding can be used. This includes supporting the public health response, including services to

address behavioral healthcare needs; providing housing, food, and job training assistance to workers and families; supporting small businesses and impacted sectors that have suffered negative economic impacts of the pandemic; supporting communities disproportionately impacted by the pandemic, through housing, education, and childcare assistance; and providing for replacement of lost revenue by state, local or tribal governments. All ARPA funding must be expended by December 31, 2026.

Amortization: The reduction of debt through regular payments of principal and interest sufficient to retire the debt instrument at a predetermined date known as maturity.

Annual Comprehensive Financial Report (ACFR): This official annual report, prepared by the Department of Finance, presents the status of the County's finances in a standardized format. The annual report is organized by fund and contains two basic types of information: (1) a balance sheet that compares assets with liabilities and fund balance, and (2) an operating statement that compares revenues and expenditures. The annual report contains the annual audited results of the County's financial position and activity.

Annual Required Contribution (ARC): The actuarially determined amount of employer funding required to support pension or OPEB (other post-employment benefit) costs. The ARC is composed of the normal cost, which is the cost of benefits earned in the current year, and the amortization of the unfunded liability for benefits earned in prior years.

Appropriated Fund: Funds budgeted and authorized by the Board of Supervisors for County agencies and funds to incur liabilities for the acquisition of goods and services. These funds, which include revenues derived from governmental sources, require annual appropriation by the Board of Supervisors for legal spending authority by agencies.

Appropriation: A specific amount of money authorized by the Board of Supervisors to a specified unit of the County government to make expenditures and to incur obligations for specific purposes. Appropriation authorizations expire at the end of the fiscal year.

Appropriation Controls: A specific amount of money authorized by the Board of Supervisors to a specified unit of the County government to make expenditures and to incur obligations for specific purposes. Spending is generally controlled either at the bottom line of appropriation categories such as Personnel Services, Operating Expenses, Recovered Costs (Work Performed for Others), or Capital Equipment (for operating agencies) or the bottom-line of a project budget (e.g., for capital construction funds or grant budget). In addition, agencies cannot transfer funds from one fund to another fund without authorization from the Board of Supervisors. Agencies cannot adjust their bottom-line budget expenditures without authorization from the Board of Supervisors. Typically, the Board of Supervisors approves agency bottom-line expenditure adjustments during the next budget review cycle (i.e., Third Quarter or Carryover). With adequate justification and DMB approval, agencies can perform a budget transfer of funds from one category to another (e.g., from Personnel Services to Operating Expenses) as long as there is no change to the agency's bottom-line budget and the budget transfer must occur within the same agency and/or fund.

Arbitrage: With respect to the issuance of municipal securities, arbitrage usually refers to the difference between the interest paid on the tax-exempt securities and the interest earned by investing the security proceeds in higher yielding taxable securities. Internal Revenue Service regulations govern arbitrage on the proceeds from issuance of governmental securities.

Assessed Property Value: The estimated actual value set upon real estate or other taxable property by the County Property Appraiser (Department of Tax Administration) as a basis for levying real estate tax. Real property is assessed as of January 1 each year at the estimated fair market value of all land and improvements, with the resulting taxes being payable in the subsequent fiscal year. Real estate taxes are due in equal installments, on July 28 and December 5. Unpaid taxes automatically constitute liens on real property which must be satisfied prior to sale or transfer, and after three years, foreclosure proceedings can be initiated.

Assessment: The official valuation of property for purposes of taxation.

Assessment Ratio: The ratio of the assessed value of a taxed item to the market value of that item. In Fairfax County, real estate is assessed at 100 percent of market value as of January 1 each year.

Assets: Resources owned or held by a government which have monetary value. Assets may be tangible or intangible and are expressed in terms of cost or some other value.

Audit: An audit is an official examination and verification of accounts and records, especially of financial accounts, annually performed by an independent body. The County's financial statements are audited as required by the Code of Virginia. In addition to meeting the requirements of the state statutes, the County's independent audit meets the requirements to be in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States; and 2 CFR Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards. The report of the independent auditors on the basic financial statements can be found in the financial section of the ACFR. The Single Audit Report, issued separately, contains the independent auditor's reports related specifically to the audit of expenditures of federal awards. As a recipient of federal and state financial assistance, the County also is responsible for maintaining an adequate internal control structure to ensure and document compliance with applicable laws and regulations related to these programs. This internal control structure is subject to periodic evaluation by management and the County's Internal Audit Office staff.

Audit Adjustment: This is an adjustment for an expenditure or revenue collection which has not been included in the Carryover Actuals but has been deemed by the auditors to have occurred in the previous fiscal year. When an audit adjustment occurs, the Actual expenditures or revenues are either increased or decreased, resulting in a change to the actual Ending Balance and the Revised Beginning Balance. In addition, an audit adjustment can sometimes affect the revised budget plan for the following fiscal year.

Auditor of Public Accounts (APA): A state agency that oversees accounting, financial reporting, and audit requirements for the units of local government in the Commonwealth of Virginia.

Authorized but Unissued Bonds: Bonds authorized by the Board of Supervisors following a referendum but not issued to the bond markets. Bonds approved after July 1, 1991, have a maximum of 10 years available by law in which to be issued.

Balanced Budget: A budget is balanced when projected total funds available equal total disbursements, including established reserves. All local governments in the Commonwealth of Virginia must adopt a balanced budget as a requirement of state law no later than July 1.

Base Budget: Cost of continuing the existing levels of service.

Basis Point: Equal to 1/100 of one percent. For example, if interest rates rise from 6.50 percent to 6.75 percent, the difference is referred to as an increase of 25 basis points.

Beginning Balance: Unexpended funds from the previous fiscal year that may be used to make payments during the current fiscal year if appropriated.

Benchmarking: The systematic comparison of performance with other jurisdictions in order to discover best practices that will enhance performance. Benchmarking involves determining the quality of products, services, and practices by measuring critical factors (e.g., how effective, how much a product or service costs) and comparing the results to those of highly regarded competitors.

Benefits: Expenditures related to employee benefits that are funded through employee and employer payroll deductions, like health insurance, retirement, and social security costs.

Board of Supervisors: The Code of Virginia (§ 15.2-802) provides that the powers of the County as a body politic and corporate shall be vested in an urban county board of supervisors, to consist of one member from each district of such county and to be known as the board of supervisors (the board). Each member shall be a qualified voter of his or her district and shall be elected by the qualified voters thereof. In addition to the above-board members, the voters shall elect a county chairman who shall be a qualified voter of the county. The Board of Supervisors of Fairfax County is composed of ten members, one from each of the nine County magisterial districts, plus a chairman. Supervisors are elected for four-year terms.

Bond: A written promise to pay a specified sum of money (called the principal), at a specified date in the future, together with periodic interest at a specified rate. In the budget document, these payments are identified as debt service. Bonds may be used as an alternative to tax receipts to secure revenue for long-term capital improvements. The two major categories are General Obligation Bonds (GO Bonds) and Revenue Bonds. The majority of bonds issued for County and School construction projects are GO Bonds.

Bond Covenants: A legally enforceable promise made to the bondholders from the issuer, generally in relation to the source of repayment funding.

Bond Proceeds: The money paid to the issuer by the purchaser or underwriter of a new issue of municipal securities. These moneys are used to finance the project or purpose for which the securities were issued and to pay certain costs of issuance as may be provided in the bond contract.

Bond Rating: A rating (made by an established bond rating company) from a schedule of grades indicating the probability of timely repayment of principal and interest on bonds issued. Fairfax County uses the services of the nation's three primary bond rating services, Moody's Investors Service, Standard & Poor's Corporation, and Fitch Ratings, to perform credit analyses to determine the probability of an issuer of debt defaulting partially or fully. Fairfax County has maintained a Triple A bond rating status from Moody's Investors Service since 1975, Standard and Poor's Corporation since 1978, and Fitch Ratings since 1997.

Bond Referendum: A process whereby the voters of a governmental unit are given the opportunity to approve or disapprove a proposed issue of municipal securities, most commonly required for the approval of General Obligation Bonds. Requirements for voter approval may be imposed by constitution, statute, or local ordinance.

Budget: A plan for the acquisition and allocation of resources to accomplish specified purposes. The term may be used to describe special purpose fiscal plans or parts of a fiscal plan, such as "the budget of the Police Department," "the Capital Budget," or "the School Board's budget," or it may relate to a fiscal plan for an entire jurisdiction, such as "the budget of Fairfax County."

Budget Transfers: Budget transfers shift previously budgeted funds from one item of expenditure to another. Transfers may occur throughout the course of the fiscal year as needed for County government operations.

Build-Out: This refers to the time in the life cycle of the County when no incorporated property remains undeveloped. All construction from this point forward is renovation, retrofitting or land cleared through the demolition of existing structures.

Business Process Redesign: A methodology that seeks to improve customer service by focusing on redesigning current processes and possibly incorporating automation-based productivity improvements. Redesign efforts require an Information Strategy Plan (ISP) which identifies and prioritizes the business areas to be redesigned. New or enhanced Business System Applications (BSAs) are usually required to improve the flow of information across organizational boundaries.

Business, Professional and Occupational License (BPOL) Tax: Businesses, professions, trades, and occupations are assessed a license tax based on gross receipts for the prior year, without deductions. Exclusions are deductions from the definition of gross receipts. Section 4-7.2-1(B) of the Fairfax County Code and Chapter 37 of Title 58.1 of the Code of Virginia lists the only deductions that can be claimed. Individuals engaged in home occupations and who are self-employed must also file if their gross receipts are greater than \$10,000. Receipts of venture capital or other investment funds are excluded from taxation except commissions and fees.

Capital Asset: Property that has an initial useful life longer than one year and that is of significant value. The useful life of most capital assets extends well beyond one year and includes land, infrastructure, buildings, renovations to buildings that increase their value, equipment, vehicles, and other tangible and intangible assets.

Capital Equipment: Equipment such as vehicles, furniture, technical instruments, which have a life expectancy of more than one year and an individual cost of \$5,000 or more if purchased with federal direct or federal pass-through grant funds or \$10,000 or more for other funding sources (e.g., County General Funds, state grant funds, revenue from special tax districts). Equipment below these thresholds is classified as operating equipment.

Capital Expenditure: A direct expenditure that results in or contributes to the acquisition or construction of major capital assets (e.g., lands, roads, buildings). The expenditure may be for new construction, addition, replacement, or renovations to buildings that increase their value, or major alteration of a capital asset. Capital assets include land, infrastructure, buildings, equipment, vehicles, and other tangible and intangible assets that have useful lives longer than one year.

Capital Facilities: Fixed assets, such as buildings or land.

Capital Improvement Program (CIP): A five-year plan for public facilities which addresses the construction or acquisition of fixed assets, primarily buildings but also including parks, sewers, sidewalks, etc., and major items of capital equipment and operating expenses related to new facilities.

Capital Outlay: Expenditures for capital-related expenditures.

Capital Paydown: Capital construction funded with current year General Fund revenues as opposed to construction financed through the issuance of bonds. This is also referred to as “pay-as-you-go” construction.

Capital Project: Major construction, acquisition, or renovation activities which add value to a government’s physical assets or significantly increase their useful life.

Capital Projects Funds: Funds, defined by the State Auditor of Public Accounts, that account for the acquisition and/or construction of major capital facilities or capital improvements other than sewers.

Capital Renewal: Capital renewal is the planned replacement of building subsystems such as roofs, electrical systems, HVAC systems and plumbing systems that have reached the end of their useful life. Major capital renewal investments are required in facilities to replace old, obsolete building subsystems that have reached the end of their life cycle.

Carryover Review: The process by which certain unspent or unencumbered funds for appropriations previously approved by the Board of Supervisors and for commitments to pay for goods and services at the end of one fiscal year are reappropriated in the next fiscal year. Typically, funds carried over are nonrecurring expenditures, such as capital projects or capital equipment items.

Cash Management: An effort to manage cash flows in such a way that interest and penalties paid are minimized and interest earned is maximized.

Cash Management System: A system of financial practices which ensures that sufficient cash is available on a daily basis for payment of County obligations when due.

Chart of Accounts: A list of expenditure, revenue, and other accounts describing and categorizing financial transactions.

Class: A group of positions which are sufficiently alike in general duties and responsibilities to warrant the use of the same title, specification and pay range.

Class Series: A number of classes of positions which are substantially similar as to the types of work involved and differ only in rank as determined by the level of the duties and degree of responsibility involved and the amount of training and experience required.

Class Specification: A written description of a class consisting of a class title, a general statement of the level of work, a statement of the distinguishing features of work, some examples of work, and the minimum qualifications for the class.

Classification: The grouping of positions in regard to:

- kinds of duties performed and responsibilities;
- level of duties performed;
- requirements as to education, knowledge and experience and ability;
- tests of fitness and;
- ranges of pay.

Collective Bargaining: During the 2020 session, the Virginia General Assembly passed legislation that allows Virginia counties, cities, and towns to adopt local ordinances or resolutions authorizing collective bargaining with labor unions on behalf of public officers and employees. The legislation became effective on May 1, 2021. In October 2021, Fairfax County adopted a Collective Bargaining Ordinance establishing the framework under which collective bargaining may occur, and agreements may be negotiated and renegotiated upon expiration.

Collective Bargaining Agreement (CBA): A written, legally binding agreement resulting from the collective bargaining process between Fairfax County and a recognized employee organization. A CBA establishes wages, benefits, and other terms and conditions of employment for a defined period and must be approved by the Board of Supervisors. Fairfax County currently has collective bargaining agreements with the following unions: the Fairfax Chapter of the Southern States Police Benevolent Association (SSPBA), International Association of Firefighters (IAFF) Local 2068, and Service Employees International Union (SEIU) Virginia 512. CBAs are time-limited and subject to renegotiation upon expiration.

Collective Impact: An approach to achieve better results when individuals and organizations pool resources and work together. The Collective Impact approach focuses on community development through engagement with residents, schools, local government, community organizations, and faith and business partners to work collaboratively to ensure the well-being of children and youth in Fairfax County.

Comprehensive Plan: The plan that guides and implements coordinated, adjusted, and harmonious land development that best promotes the health, safety, and general welfare of County residents. It contains long-range recommendations for land use, transportation systems, community services, historic resources, environmental resources, and other facilities, services, and resources.

Constant or Real Dollars: The presentation of dollar amounts adjusted for inflation to reflect the real purchasing power of money as compared to a certain point in time in the past.

Constitutional Officers: Officers or agencies directed by elected officials (Clerk of Court, Commonwealth's Attorney, and Sheriff) whose positions are established by the Constitution of the Commonwealth of Virginia or its statutes.

Contingency: An appropriation of funds available to cover unforeseen events that occur during the fiscal year.

Contractual Services: Services rendered to a government by private firms, individuals, or other governmental agencies. Examples include utilities, rent, maintenance agreements, and professional consulting services.

Coronavirus Aid, Relief, and Economic Security (CARES) Act: The Coronavirus Aid, Relief, and Economic Security Act (CARES Act) was a \$2.2 trillion economic stimulus bill signed into

law on March 27, 2020 to address the COVID-19 pandemic. This broad financial rescue package addressed major areas including individuals, unemployment assistance, business relief, tax breaks and credits, hospital and healthcare assistance, and state and local government. Some of the funding was program specific with mandatory spending provisions while other funding was considered emergency, discretionary spending. The County received assistance through multiple awards including the County's allocation from the Coronavirus Relief Fund as well as funding received through the Community Development Block Grant and Emergency Solutions Grant. All ARPA funding must be expended by December 31, 2026.

Cost Center: Expenditure categories within a program area that relates to specific organizational goals or objectives. Each cost center may consist of an entire agency or a part of an agency. The Department of Clerk Services, for example, being small and having a single purpose, is treated as a single cost center. The Office of the County Executive consists of five cost centers: Administration of County Policy, One Fairfax, Office of Internal Audit, Office of Environmental and Energy Coordination, and Government Relations.

Cost of Living: Increase in pay or benefits to cover the rising cost of goods and services due to inflation.

Costs of Issuance: The expenses associated with the sale of a new issue of municipal securities, including such items as printing, marketing, bond counsel, bond rating agency fees, etc.

Countywide Strategic Plan: The Fairfax County Board of Supervisors adopted the first-ever countywide strategic plan on October 5, 2021. The strategic plan focuses on four key drivers which were used to immediately catalyze organization change: Equity, Community Outcomes, Data Integration, and Inclusive Engagement. These elements set a new foundation for the way different functions within County government work together under a shared vision, in pursuit of achieving real and sustained progress for the benefit of all people who live, work, and play in Fairfax County. The plan serves as a road map to help guide future work, focusing on the 10 Community Outcome Areas that represent the issues of greatest importance to the community. The plan charts a path forward across 10 Community Outcome Areas, including Cultural and Recreational Opportunities, Economic Opportunity, Effective and Efficient Government, Empowerment and Support for Residents Facing Vulnerability, Environment and Energy, Healthy Communities, Housing and Neighborhood Livability, Lifelong Education and Learning, Mobility and Transportation, and Safety and Security. All related documents and videos are available at <https://www.fairfaxcounty.gov/strategicplan>.

Credit Rating: The credit worthiness of a governmental unit as determined by an independent rating agency. Fairfax County is rated by three rating agencies: 1) Moody's Investors Service; 2) Standard and Poor's; and 3) Fitch Ratings.

Debt Limit: The maximum amount of debt which an issuer of municipal securities is permitted to incur under constitutional, statutory, or charter provisions.

Debt Service: The amount of money necessary to pay interest on an outstanding debt; the principal of maturing serial bonds and the required contributions to a sinking fund for term bonds. Debt service on bonds may be calculated on a calendar year, fiscal year, or bond fiscal year basis.

Debt Service Funds: Funds defined by the State Auditor of Public Accounts to finance and account for the payment of principal and interest on borrowed funds such as bonds. Fairfax County has various debt service funds such as: schools debt service, county debt service, Sewer Senior and

Subordinate Debt Service, Metrorail parking garage debt service, and Dulles Rail Phase I and II Transportation District debt service. Schools and county debt service is paid primarily by transfers from the General Fund; Sewer Debt Service is supported by sewer service fees; Metrorail parking garage debt service is paid by parking user fees; and Dulles Rail Silver Line Phase 1 and II debt service is paid by a real estate surcharge on commercial and industrial property in districts in the vicinity of the Silver Line.

Defeasance: A provision that voids a bond when the borrower sets aside cash or bonds sufficient to service the borrower's debt. When a bond issue is defeased, the borrower sets aside cash to pay off the bonds; therefore, the outstanding debt and cash offset each other on the balance sheet and do not need to be recorded.

Deferred Retirement Option Plan (DROP): A provision within a defined benefit retirement system that allows an employee who reaches retirement eligibility to agree to defer leaving employment until a specified date in the future, on the condition of being deemed to have retired for purposes of the retirement system. The employee continues to receive a salary and fringe benefits; however, contributions on the employees' behalf to the retirement system cease, while the payments the employee would receive if he/she was retired are invested and provided when the employee reaches the agreed upon date (no more than three years).

Deficit: The excess of an entity's liabilities over its assets or the excess of expenditures or expenses over revenues during a single accounting period.

Defined Benefit Pension Plan: A pension plan having terms that specify the amount of pension benefits to be provided at a future date or after a certain period. The amount specified usually is a function of one or more factors such as age, years of service, and compensation.

Department: All office, divisions, and other work units, which are under the control of a single department head. Example: Fairfax-Falls Church Community Services Board (CSB).

Depreciation: The decrease in value of physical assets due to use and the passage of time. In financial terms, it refers to the process of allocating the cost of a capital asset to the periods during which the asset is used.

Devolution: The transfer or delegation of power to a lower level, especially by federal or state government to a local or regional government.

Dillon Rule: Fairfax County operates under the urban county executive form of government, an optional form of Virginia county government, and like other Virginia local governments, Fairfax County has limited powers. This doctrine of limited authority for local governments is commonly called the Dillon Rule, a name that is derived from the writings of a judge and law professor named John Forrest Dillon (1831-1914). The Dillon Rule is used in interpreting law when there is a question of whether or not a local government has a certain power. The Dillon Rule narrowly defines the power of local governments. Virginia courts have concluded that local governments in Virginia have only those powers that are specifically conferred on them by the Virginia General Assembly. Fairfax County has limited powers and cannot take certain actions without appropriate action from the state, which limits revenue diversification options among other things.

Direct Costs: These are capital costs that can be traced easily to a specific project, activity, or product. Examples of such costs include the contract price, preliminary engineering studies, surveys, legal fees to establish title, installation costs, freight, and materials used in the construction or installation of the asset.

Disbursement: An expenditure or a transfer of funds to another accounting entity within the County's financial system. Total disbursements equal the sum of expenditures and transfers out to other funds.

Distinguished Budget Presentation Program: A voluntary program administered by the Government Finance Officers Association to encourage governments to publish efficiently organized and easily readable budget documents.

Economic Opportunity Reserve (EOR): In the April 2015 update to the *Ten Principles of Sound Financial Management*, the Board of Supervisors approved the establishment of the Economic Opportunity Reserve to stimulate economic growth and to provide for strategic investment opportunities as prioritized by the Board. This reserve has a target funding level of 1.0 percent of total General Fund disbursements and was created and funded after the requirements associated with the Managed Reserve and Revenue Stabilization Reserve were fully funded at their new policy levels of four and five percent, respectively. The EOR has been fully funded since FY 2021.

Efficiency: The degree to which an entity, program, or procedure is successful at achieving its goals and objectives with the least use of resources. Efficiency measures are one of the four performance indicators in Fairfax County's Family of Performance Measures. This indicator reflects inputs used per unit of output and is typically expressed in terms of cost per unit or productivity.

Eligibility: The conditions and requirements established by a service provider for clients to access specific services.

Emergency Operations Center (EOC): The Emergency Operations Center provides a central location to determine situation status, coordinate actions, and make critical decisions during emergency and disaster situations. Personnel from various departments and agencies in the County along with key organizations outside the County comprise the EOC staff during an activation.

Encumbrance: An obligation incurred in the form of purchase orders, contracts and similar items that will become payable when the goods are delivered, or the services rendered. An encumbrance is an obligation of funding for an anticipated expenditure prior to actual payment for an item. Funds are usually reserved or set aside and encumbered once a contracted obligation has been entered.

Enterprise Funds: Funds, as defined by the State Auditor of Public Accounts, to account for operations that are financed and operated in a manner similar to private business enterprises. An enterprise fund is a self-supporting fund design to account for activities supported by user charges. For example, funds which support the Wastewater Management Program are classified as enterprise funds.

Equalization: An annual assessment of real estate to ensure that assessments accurately reflect current market values. Equalization revenue is the annual increase or decrease in collected revenue resulting from adjustments to the assessment of existing property in the County. This annual increase or decrease is due to value changes rather than to new construction.

Equity: One Fairfax defines equity as the commitment to promote fairness and justice in the formation of public policy that results in all residents – regardless of age, race, color, sex, sexual orientation, gender identity, religion, national origin, marital status, disability, socio-economic status or neighborhood of resident or other characters – having opportunity to fully participate in the region's economic vitality, contribute to its readiness for the future, and connect to its assets and resources. Equity is considered in decision-making and in the development and delivery of future policies, programs, and services.

Escrow: Money or property held in the custody of a third party that is returned only after the fulfillment of specific conditions.

Estimate, No Scope, No Inflation (ENSNI): Term used in the Fairfax County CIP to describe funding estimates for future capital projects which have not yet been scoped and are developed using today's dollars without considering inflation.

Expenditure: The disbursement of appropriated funds to purchase goods and/or services. An expenditure is the actual outlay of monies for goods and services. There are three basic types of expenditures: operating, capital and debt. Operating expenditures are, in a broad sense, current day-to-day expenses such as salaries, supplies, and purchase of equipment or property below a certain dollar threshold or useful life. Usually, these are items which are consumed during the fiscal year in which they are purchased or acquired. Capital expenditures result in or contribute to the acquisition or construction of major capital assets (e.g., lands, roads, buildings). The expenditure may be for new construction, addition, replacement, or renovations to buildings that increase their value, or major alteration of a capital asset. Capital assets include land, infrastructure, buildings, equipment, vehicles, and other tangible and intangible assets that have useful lives longer than one fiscal year. Debt service expenditure is the amount of money necessary to pay interest on an outstanding debt; the principal of maturing serial bonds and the required contributions to a sinking fund for term bonds. Debt service on bonds may be calculated on a calendar year, fiscal year, or bond fiscal year basis.

Fair Labor Standards Act (FLSA): is a federal law which establishes minimum wage, overtime pay eligibility, recordkeeping, and child labor standards affecting full-time and part-time workers in the private sector and in federal, state, and local governments.

Fairfax County Employees' Retirement System (ERS): One of the retirement systems established by Fairfax County under Sections 401(a) and 414(d) of the Internal Revenue Code as qualified governmental pension plans, the fund accounts for resources held in a trustee capacity for its members and beneficiaries. Members include County employees not covered under the Uniformed or Police Officers systems and certain FCPS employees including food service, custodial, bus drivers, part-time and substitute teachers, and maintenance staff.

Fairfax County Police Officer Retirement System (PORS): One of the retirement systems established by Fairfax County under Sections 401(a) and 414(d) of the Internal Revenue Code as qualified governmental pension plans, the fund accounts for resources held in a trustee capacity for its members and beneficiaries. Members include Fairfax County Police Officers.

Fairfax County Unified System (FOCUS): This refers to the joint Enterprise Resource Planning (ERP) system which Fairfax County Government and Fairfax County Public Schools implemented in November 2011 to replace the legacy finance, procurement, and human resources systems with a single, unified system.

Fairfax County Uniformed Retirement System (URS): One of the retirement systems established by Fairfax County under Sections 401(a) and 414(d) of the Internal Revenue Code as qualified governmental pension plans, the fund accounts for resources held in a trustee capacity for its members and beneficiaries. Members include Fire and Rescue personnel, uniformed Sheriff's Office employees, animal protection police officers, helicopter pilots, and non-administrative staff in the Department of Public Safety Communications.

Family and Medical Leave Act (FMLA): This refers to the Family and Medical Leave Act, which is a federal law that guarantees certain employees up to 12 work weeks of unpaid leave each year with no threat of job loss for qualified medical and family reasons. FMLA also requires that employers covered by the law maintain the health benefits for eligible workers just as if they were working.

Fiduciary Funds: Fiduciary funds are used to account for assets held in a trustee or agency capacity for others and which, therefore, cannot be used to support the County's own programs. The County maintains two types of fiduciary funds: trust funds to account for the assets of its pension and retiree health plans, held by the County under the terms of formal trust agreements, and custodial funds to account for assets received, held, and disbursed by the County on behalf of various outside organizations.

Financial Forecast: A financial model that estimates all future revenues and disbursements based on assumptions of future financial and economic conditions.

Fines and Forfeitures: Consists of a variety of fees, fines and forfeitures collected by the County.

Fiscal Plan: The annual budget.

Fiscal Planning Resolution: A legally binding document prepared by the Department of Management and Budget identifying changes made by the Board of Supervisors to the Advertised Budget Plan during the adoption of the annual budget. Fiscal Planning Resolutions approved by the Board subsequent to the Adopted Budget Plan change only transfers between funds. These documents are used at the annual or quarterly reviews whenever changes in fund transfers occur.

Fiscal Restraint: The practice of restraining growth in expenditures and disbursements to stay within revenue forecasts.

Fiscal Year: In Fairfax County, the 12-month cycle begins July 1 and ends the following June 30. The Commonwealth of Virginia's fiscal year also begins on July 1 and ends the following June 30. The federal government's fiscal year begins on October 1 and ends the following September 30.

Fixed Asset: Items the County owns that have a considerable cost and a useful life greater than one year, such as infrastructure, sewer lines, computers, furniture, equipment, and vehicles.

Food and Beverage Tax: Effective January 1, 2026, a 4% tax will be levied on the purchase of all prepared food and beverages sold as a meal. This is commonly known as a "meals tax."

Forecasts: Projections tempered by policy estimates which strive to reconcile past and current trends with current and anticipated policy.

Forfeiture: The automatic loss of property, including cash, as a penalty for breaking the law, or as compensation for losses resulting from illegal activities. Once property has been forfeited, the County may claim it, resulting in confiscation of the property.

Fringe Benefits: The fringe benefit expenditures included in the budget are the County's share of employees' fringe benefits. Fringe Benefits are job-related benefits, such as pension, paid vacation and holidays, and insurance, which are included in an employee's compensation package. Fringe benefits provided by Fairfax County include FICA (Social Security), health insurance, dental insurance, life insurance, and retirement. The County's share of most fringe benefits is based on a set percentage of employee salaries. This percentage varies per category (e.g., Uniformed Fire and Rescue, Sheriff, and Public Safety Communications Employees; Uniformed Police Officers; and General County Employees).

Full-Time Equivalent (FTE): An FTE reflects whether authorized positions are full-time or part-time. A position authorized for 40 hours per week is reflected in the budget as one authorized position with a full-time equivalent of one (1/1.0 FTE). In comparison, a position authorized for 20 hours per week would be indicated as one authorized position with an FTE of 0.5 (1/0.5 FTE).

Fund: A set of interrelated accounts to record revenues and expenditures associated with a specific purpose. A fund is also a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with all related liabilities and residual equities, or balances and changes therein. Funds are segregated for the purpose of carrying out specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

Fund Balance: The difference between assets and liabilities in a governmental fund. At the end of a fiscal year, if there are more resources than expenditures, the remainder is called "fund balance." This is sometimes referred to as "carried forward fund balance" because the resources can be "carried" into the next fiscal year. This is an important resource because some may be used in combination with revenues to fund new expenses. Fund balance may be restricted or unrestricted, reserved for a specific purpose or unreserved and used for future requirements. Restricted fund balance may be set aside for funding certain programs and activities. A fund balance represents the residual funding on an annual basis from revenues and transfers-in less expenditures and transfers-out. A fund balance also reflects the fund equity of all funds.

Fund Type: A group of funds that have similar activities, objectives, or funding sources as defined by the State Auditor of Public Accounts. Examples include Special Revenue Funds and Debt Service Funds.

General Debt: Principal and interest payments on outstanding debt repaid from the General Fund.

General Fund: The primary tax and operating fund for County Governmental Activities used to account for all County revenues and expenditures which are not accounted for in other funds, and which are used to support the general operating functions of County agencies. Revenues are derived primarily from general property taxes, local sales tax, utility taxes, license and permit fees, and state shared taxes. General Fund expenditures include the costs of the general County government and transfers to other funds, principally to fund the operations of the Fairfax County Public School system, the Fairfax-Falls Church Community Services Board, Metro, the Fairfax CONNECTOR, and County and School system debt service requirements.

General Fund Direct Expenditures: These are General Fund expenditures for County agencies, and they are organized by Program Area categories.

General Fund Disbursements: General Fund Disbursements consist of two parts: (1) General Fund transferred support to other funds (e.g., School or Metro Operations) and (2) General Fund direct expenditures or agency expenditures such as Police or Libraries. Some agencies (e.g., Housing), may have funds that reside both in the General Fund and other funds.

General Ledger: A general ledger account contains financial activity that is needed to prepare financial statements and perform fiduciary oversight, and includes accounts for assets, liabilities, equity, revenues, and expenditures.

General Obligation (GO) Bond: Bonds for which the full faith and credit of the issuing government are pledged. County general obligation debt can only be approved by voter referendum. The State Constitution mandates that taxes on real property be sufficient to pay the principal and interest of such bonds.

Governmental Accounting Standards Board (GASB): The source of generally accepted accounting principles (GAAP) used by state and local governments in the United States. It is a private, non-governmental organization. The GASB has issued *Statements*, *Interpretations*, *Technical Bulletins*, and *Concept Statements* defining GAAP for state and local governments since 1984.

Governmental Funds: Governmental funds are typically used to account for most of a government's activities, including those that are tax-supported. The County maintains the following types of governmental funds: a general fund to account for all activities not required to be accounted for in another fund, special revenue funds, debt service funds, and capital projects funds.

Grant: A grant is an award of financial assistance disbursed by one party (Grant Sponsor), often a State or Federal Government Department, Corporation, Foundation, Trust, or Non-profit organization, to a recipient (Fairfax County). Most grants fund a specific program or project. In order to receive a grant, recipients typically, but not always, apply for the award directly to the Grant Sponsor administering the program by submitting some form of written proposal or application. The Grant Sponsor must then determine the amount of assistance to be awarded and notifies the recipient of the award.

Incumbent: The person who currently occupies and works in a particular position within the County government.

Indicators of Community Success: Each of the Countywide Strategic Plan's 10 Community Outcome Areas have associated Indicators of Community Success, which are ways to measure progress, both for the community at large and for County government.

Indirect Costs: These are non-capital costs that are not easily traceable to a specific project, activity, or product. Examples of such costs include general administrative costs, advertising costs, or routine office expenses.

Inflation: A rise in price levels caused by an increase in available money and credit beyond the proportion of available goods. This is also known as too many dollars chasing too few goods.

Infrastructure: Public domain, fixed physical assets including roads, curbs, gutters, sidewalks, drainage systems, lighting systems and other similar items that have value only to the users.

Infrastructure Replacement and Upgrades: Infrastructure replacement and upgrades, also known as Capital Renewal, refers to the planned replacement of building subsystems such as roofs, electrical systems, HVAC systems and plumbing systems that have reached the end of their useful life. Major investments are required in facilities to replace old, obsolete building subsystems that have reached the end of their life cycle.

Input: The value of resources used to produce an output. Input can be staff, budget dollars, work hours, etc.

Interest: The amount paid by a borrower as compensation for the use of borrowed money. This amount is generally an annual percentage of the principal amount.

Interest Income: Revenue associated with the County cash management activities of investing fund balances.

Interfund Billing: Departmental or fund charge made by one agency/fund to another for services or goods performed or received, such as Department of Fleet Management fuel and vehicle replacement charges, computer replacement charges, radio charges, etc.

Internal Service Funds: Funds established to finance and account for services furnished by a designated County agency to other County agencies, which charges those agencies for the goods and services provided. An example of an Internal Service Fund is Fund 60010, Department of Fleet Management.

Issuing Bonds: To “issue” bonds means to sell, deliver, and receive payment for bonds. The County may issue bonds throughout the year upon determining the amount of cash necessary to implement projects during that year.

Key County Measures: Key County Measures are high-level, countywide measures, organized by Strategic Plan Community Outcome Area, that help assess if Fairfax County government is meeting the needs of citizens and positively impacting the community.

Lease Purchase: This method of financing allows the County to construct or acquire property and pay for it over a period of time by installment payments rather than an outright purchase. The installment payments include an interest charge which is typically reduced because the lessor does not have to pay income tax on the interest revenue.

Liability: An obligation incurred in past or current transactions requiring present or future settlement.

Line of Duty Act (LODA): The Virginia Retirement System Line of Duty Act (LODA) was established by §9.1-400 of the Code of Virginia. LODA provides benefits to public safety-first responders and their survivors who lose their life or become disabled in the line of duty.

Lines of Business (LOBs): Reference to the County’s review of its discrete agency lines of business. LOBs are essentially an inventory of County programs and services offered by each individual agency. In 2016, Fairfax County undertook a comprehensive, multi-year approach to its

review of 390 discrete Lines of Business. The County has previously undertaken Lines of Business reviews in 2008, 2001, 1996 and 1993.

Local Composite Index (LCI): The Commonwealth of Virginia's Local Composite Index (LCI) determines a school division's ability to pay education costs fundamental to the Commonwealth's Standards of Quality (SOQ). The Composite Index is calculated using three indicators of a locality's ability-to-pay:

- True value of real property (weighted 50 percent)
- Adjusted gross income (weighted 40 percent)
- Taxable retail sales (weighted 10 percent)

Each locality's index is adjusted to maintain an overall statewide local share of 45 percent and an overall state share of 55 percent.

Local Match: County cash or in-kind resources that are required to be expended simultaneously with federal, state, other locality, or private sector funding, and usually according to a minimum percentage or ratio.

Long-Term Debt: Debt with a maturity of more than one year after the date of issuance.

Managed Reserve: A reserve, held in the General Fund, which has a target balance equal to 4.0 percent of General Fund disbursements, and has been fully funded since FY 2019. Established by the Board of Supervisors on January 25, 1982, the purpose of the reserve is to provide temporary financing for emergency needs and to permit orderly adjustment to changes resulting from the sudden, catastrophic termination of anticipated revenue sources.

Management by Objectives: A method of management of County programs which measures attainment or progress toward pre-defined objectives. This method evolved into the County's performance measurement system.

Measurement: A variety of methods used to assess the results achieved and improvements still required in a process or system. Measurement gives the basis for continuous improvement by helping evaluate what is working and what is not working.

Mid-Year Review: A supplement to the other quarterly budgetary reviews to provide a third opportunity to right-size the budget during a fiscal year based on the changing impacts of economics. For example, a Mid-Year Review was conducted in FY 2021 and FY 2022 due to the global COVID-19 pandemic.

Modified Accrual Basis: The basis of accounting under which revenue is recognized when it is measurable and available. Revenue from the use of money and property and from intergovernmental reimbursement grants is recorded as earned. Other revenues are considered available to be used to pay liabilities of the current period if they are collectible within the current period or within 45 days thereafter. Expenditures are generally recorded when the related fund liability is incurred, except for principal and interest on general long-term debt and certain other general long-term obligations.

Municipal Bond: Bond issued by a state, local or another government authority, especially in the U.S. The interest is exempt from U.S. Federal taxation and usually from state taxation within the state of issue, as is the case in Virginia.

Net Debt as a Percent of Estimated Market Value: Total debt less debt that is self-supported by revenue-producing projects equates to net debt, divided by the total market value of all taxable property within the County expressed as a percentage. Since property taxes are a primary source of revenue for the repayment of debt, this measure identifies the debt burden compared with the worth of the revenue-generating property base. The County's debt ratio policy is that its net debt is to remain less than three percent of total market (e.g., assessed) value in the County.

Net Total Expenditures: See Total Budget.

Non-Appropriated Funds: These funds do not require annual appropriation by the Board of Supervisors and represent activities that are supported by non-governmental revenue sources such as direct fees for service or revolving loan programs. The legal spending authority is based on revenue availability and may be derived from an action by the Board in response to state, or federal mandates. The appropriation control for these funds resides with the respective boards associated specifically with the funded programs (i.e., Fairfax County Redevelopment and Housing Authority, Funds 81000 through 81510, Alcohol Safety Action Program Policy Board, Fund 83000, and the Fairfax County Park Authority Board, Funds 80000 and 80300). These boards are separate legal entities.

Non-Pay Employee Benefits: Expenditures for employee benefits that are funded through direct employee support, such as the Employee Assistance Program and unemployment compensation.

Nonresidential: Property designed for use by educational, government or other institutional use or for use by retail, wholesale, office, hotel, service, or other commercial use.

Objective: A statement of anticipated level of achievement; usually time limited and quantifiable. Within the objective, specific statements regarding targets and/or standards often are included (e.g., to respond to 90 percent of ambulance calls within a 5-minute response time).

Obligations: Amounts which a government may be legally required to pay out of its resources. They include actual liabilities and encumbrances not yet paid.

One Fairfax: A joint social and racial equity policy of the Fairfax County Board of Supervisors and School Board which commits both entities to consider equity when making policies or delivering programs and services. More specifically, it will help County and school leaders and staff to look intentionally, comprehensively, and systematically at barriers that may be creating gaps in opportunity. It is a declaration that all residents deserve an equitable opportunity to succeed if they work hard – regardless of their race, color, sex, nationality, sexual orientation, income or where they live.

Operating Budget: A budget for general revenues and expenditures such as salaries, utilities, and supplies.

Operating Equipment: Equipment that has a life expectancy of more than one year and a value of less than \$10,000 dollars. Equipment with a value greater than \$10,000 dollars is capital equipment.

Operating Expenses: Expenditures for regular, non-capital and non-personnel expenses. The commitment items in this group cover a large range of expenditure types, including office supplies and utility payments.

Ordinance: A formal legislative enactment by the County that carries the full force and effect of the law within the boundaries of Fairfax County unless in conflict with any higher form of law, such as the Commonwealth of Virginia or the federal government.

Other Post-Employment Benefits (OPEB): Post-employment benefits other than pension benefits. OPEB includes post-employment healthcare benefits, regardless of the type of plan that provides them, and all post-employment benefits provided separately from a pension plan, excluding benefits defined as termination offers and benefits. Post-employment refers to the period following termination of employment, including the time between termination and retirement.

Outcome: Qualitative consequences associated with a program service (e.g., reduction in fire deaths or percent of juveniles not reconvicted within 12 months). Also refers to quality performance measures of effectiveness and of achieving goals.

Out-of-Cycle: A term that characterizes budget adjustments outside of the annual and quarterly budget processes.

Output: Quantity or number of units produced. Outputs are activity-oriented, measurable, and usually under managerial control. Also refers to process performance measures of efficiency and productivity, that is, per capita expenditures, transactions per day, etc.

Patient Protection and Affordable Care Act (PPACA): Also known as the Affordable Care Act (ACA), this U.S. federal law, enacted in 2010, aims to expand healthcare coverage, improve healthcare quality, and control costs. Key provisions include the individual mandate, Medicaid expansion, health insurance marketplaces, and protections for individuals with pre-existing conditions. While the individual mandate provision remains in statute, the federal financial penalty for noncompliance was eliminated in 2019. The PPACA also established various funding mechanisms, including the Patient-Centered Outcomes Research Trust Fund Fee (PCORI Fee), which supports comparative clinical research to improve healthcare decision-making.

Pay-As-You-Go Financing: The portion of capital outlay which is financed from current revenue, rather than by borrowing.

Paydown Construction: Capital construction funded with current year General Fund revenues as opposed to construction financed through the issuance of bonds. This is a method of paying for capital projects that relies on current tax and grant revenues rather than by debt. This is also referred to as "pay-as-you-go" construction.

Pension Fund: This is a fund that accounts for the accumulation of resources to be used for retirement benefit payments to retired County employees eligible for such benefits.

Per Capita: A measurement of the proportion of some statistic to an individual resident determined by dividing the statistic by the current population.

Per Capita Debt: The amount of an issuing municipality's outstanding debt divided by the population residing in the municipality. This is used as an indication of the issuer's credit position since it can be used to compare the proportion of debt borne per resident with that borne by the residents of other municipalities.

Performance Indicators: As used in Fairfax County's Performance Measurement System, these indicators represent the four types of measures that comprise the Family of Measures and consist of output, efficiency, service quality and outcome.

Performance Measurement: The regular collection of specific information regarding the results of service in Fairfax County, and which determines how effective and/or efficient a program is in achieving its objectives. The County's performance measurement methodology links agency mission and cost center goals (broad) to quantified objectives (specific) of what will be accomplished during the fiscal year. These objectives are then linked to a series of indicators, known as a "Family of Measures," that present a balanced picture of performance, efficiency, and effectiveness with these four indicator types: output, efficiency, service quality and outcome.

Permit Revenue: Fees imposed on construction-related activities and for non-construction permits such as sign permits, wetland permits, etc.

Personal Property: Property other than real estate identified for purposes of taxation, including personally owned items as well as corporate and business equipment and property. Examples include automobiles, motorcycles, boats, trailers, airplanes, business furnishings, and manufacturing equipment. Goods held for sale by manufacturers, wholesalers or retailers are not included.

Personal Property Tax Relief Act (PPTRA) of 1998: Legislation approved by the Virginia General Assembly that reduces the Personal Property Tax on the first \$20,000 of the value for vehicles owned by individuals. The PPTRA was originally implemented as a phased-in program intended to progressively increase the level of tax relief, with the Commonwealth reimbursing localities for loss of revenue. However, due to limitation in state funding, the reimbursement did not reach full elimination of the tax. In 2004, the General Assembly approved legislation that capped statewide Personal Property Tax reimbursements at \$950 million in tax year 2006 and beyond. Fairfax County's allocation has been set at \$211.3 million. Each year, County staff must determine the reimbursement percentage based on the County's fixed reimbursement from the state and an estimate of the number and value of vehicles that will be eligible for tax relief. As the number and value of vehicles in the County vary, the percentage of tax relief will vary.

Personnel Services: A category of expenditures which primarily covers salaries, overtime and shift differential paid to County employees and also includes certain fringe benefit costs.

Planning Districts: The 14 areas into which Fairfax County is divided for planning purposes. The planning districts' boundaries tend to remain stable over time.

Position: A group of duties and responsibilities, as prescribed by an office or agency, to be performed by a person on a full-time or part-time basis.

The status of a position is not to be confused with the status of the employee. For the County's budget, the following definitions are used solely in describing the status and funding of positions:

- An established position is a position that has been classified and assigned a pay grade.
- An authorized position has been approved for establishment by the Board of Supervisors. The authorized position is always shown as a single, not a partial position. Full-Time Equivalent (FTE) reflects whether positions are authorized for full-time (40 hours per week) or part-time. A full-time position would appear in the budget as one authorized position and one full-time equivalent (1/1.0 FTE). A half-time position would be indicated as one authorized position and 0.5 full-time equivalents (1/0.5 FTE).

The following defines the types of positions in Fairfax County. They can be either full or part-time status.

- A regular position is a career position, which falls within all provisions of the Merit System Ordinance.
- A grant position is a position with full benefits and full civil service grievances, although the employment term is limited by the grant specifications. The position is funded by a specific grant. At the end of the grant position, the person is the first eligible for hire for another similar position in the County. Incumbents in grant positions fall within the provisions of the Merit System Ordinance.
- A benefits eligible, non-merit position is an employee working between 1,040 and 1,560 hours annually, and eligible for health, dental and flexible spending benefits.
- A temporary, non-merit position is an employee working fewer than 900 hours annually and not eligible for benefits.
- An exempt position does not fall within the provisions of the Merit System Ordinance. It includes elected and appointed positions.

Cooperative funding of some positions occurs between the federal and state governments and Fairfax County. Numerous funding and reimbursement mechanisms exist. The County's share of a position's authorized funding level is that portion of a position's salary and/or fringe benefits paid by the County which is over and above the amount paid by the state or federal government either based on the County's pay classification schedule or based on a formal funding agreement. The share of state or federal funding varies depending upon the eligibility of each individual agency and type of position.

- A state position is a position established and authorized by the state. These positions may be partially or fully funded by the state.
- County supplement is the portion of a state position's authorized salary (based on the County's compensation plan) that exceeds the state's maximum funding level. This difference is fully paid by the County.

Position Turnover: A budget offset that reduces gross salary projections to recognize anticipated and normal position vacancies, delays in filling vacancies, and historical position turnover information.

Present Value: The discounted value of a future amount of cash, assuming a given rate of interest, to take into account the time value of money. Stated differently, a dollar is worth a dollar today, but is worth less tomorrow.

Prime Interest Rate: The rate of interest charged by banks to their preferred customers.

Principal: The face amount of a security payable on the maturity date.

Proffer System: A proffer is a contribution of land, capital improvement, and funding collected from a developer to address the demand for community services created by new development. In July 1975, "proffers" were introduced to the process for rezoning property within Fairfax County. The act of proffering involves making an offer of something prior to any formal negotiations. The concept of supplementing regulations of the Zoning Ordinance by conditions proffered by an applicant seeking an amendment to the zoning map is cited in the Code of Virginia (now Sect. 15.2-2303, see Appendix A). Implicit in the term proffer, as defined by the State Code, is the understanding that proffers are voluntarily submitted by the property owner. The proffer system continues today with support from the various participants in the rezoning process, including, the development community, citizens, staff, and County officials. The conditions in a proffer statement typically address issues such as noise mitigation measures to be employed, buffering, landscaping, urban design features, architectural elements, and other similar design elements, tree preservation, commitments to address transportation impacts, etc.

Program Area: A grouping of County agencies with related countywide goals. Under each program area, individual agencies participate in activities to support that program area's goals. The Public Safety Program Area, for example, includes the Police Department and the Fire and Rescue Department, among others. The Auditor of Public Accounts for the Commonwealth of Virginia provides direction on which agencies are included in each program area.

Program Budget: A statement and plan which identifies and classifies total expenditures and revenues by activity or program. Budgets are aggregated into program areas. This is in contrast to a line-item budget, which identifies expenditures only by objects for which money is spent (i.e., personnel services, operating expenses, recovered costs or capital equipment).

Property Tax: A tax levied on the assessed value of real and personal property. This tax is also known as an ad valorem tax.

Property Tax Rate: The rate of taxes levied against real or personal property, expressed as dollars per \$100 of equalized assessed valuation of the property taxed.

Proposed Budget: The Code of Virginia (Sections 15.2-516 and 2503) requires that the County Executive submit a proposed budget to the Board of County Supervisors no later than April 1 for the upcoming fiscal year. Sections 15.2-2506, 58.1-3007, and 58.1-3321 of the Code of Virginia govern the public notice requirements that guide the County's budget review and public comment period. After receipt of the proposed budget, the first action by the Board of Supervisors (BOS) is to authorize the advertisement of the proposed tax and levy rates. Once the proposed rate is advertised, the BOS can adopt lower tax and levy rates, but cannot, without additional advertisement, adopt higher rates. The Code also requires the BOS to hold public hearings on the proposed budget and the proposed tax and levy rates to collect public comment.

Proprietary Funds: Proprietary funds are enterprise and internal service funds used to account for business-type activities that are similar to the private sector and in which fees are charged for goods or services. They are related to assets, liabilities, equities, revenues, expenses, and transfers. The County maintains both types of proprietary funds: enterprise funds to account for the Integrated Sewer System and internal service funds to account for certain centralized services that are provided internally to other departments such as Vehicle Services and Document Services.

Public Hearing: A public hearing is a specifically designated time, place, and opportunity for citizens, community groups, businesses, and other stakeholders to address the Board of Supervisors on a particular issue. It allows interested parties to express their opinions and the Board of Supervisors and/or staff to hear their concerns and advice. Section 15.2-2507 of the Code of Virginia requires that a public hearing be held prior to the adoption of amendments to the current year budget when the adjustments exceed one percent of total expenditures. In addition, any amendment of one percent of expenditures or more requires that the Board advertise a synopsis of the proposed changes, such as done as part of *Third Quarter* or *Carryover*.

Public-Private Education Facilities and Infrastructure Act (PPEA): During its 2002 session, the Virginia General Assembly enacted the Public-Private Education Facilities and Infrastructure Act of 2002 (PPEA). This law provides that once a “responsible public entity” such as Fairfax County adopts appropriate procedures to implement the PPEA, it may solicit proposals to acquire a “qualifying project” from private entities (i.e., issue an Invitation for Bid or Request for Proposal) or may consider proposals that are submitted by a private entity without a prior solicitation (“unsolicited proposal”).

Rating Agencies: The organizations which provide publicly available ratings of the credit quality of securities issuers. The term is most often used to refer to the nationally recognized agencies, Moody’s Investors Service, Inc., Standard & Poor’s Corporation, and Fitch Ratings.

Real Property: Real estate, including land and improvements (buildings, fences, pavements, etc.) classified for purposes of assessment.

Reallocation: With adequate justification and DMB approval, agencies can perform a budget transfer of funds from one category to another (e.g., from Personnel Services to Operating Expenses) as long as there is no change to the agency’s bottom-line budget and the budget transfer must occur within the same agency and fund.

Reclassification: An administrative review process by which a County position is re-evaluated to determine if the position has been appropriately classified under the County’s personnel classification system.

Recovered Costs: Reimbursements to an agency for specific services provided to another agency. Recovered Costs, or Work Performed for Others, are reflected as a negative figure in the providing agency’s budget, thus offsetting expenditures. An example is the reimbursement received by the Department of Information Technology from other agencies for telecommunication services.

Reduction in Force (RIF): A permanent elimination of an excess number of filled merit positions.

Referendum: A referendum is a means by which a legislative body requests the electorate to approve or reject proposals such as Constitutional amendments, long-term borrowing; and other special laws.

Refunding: Retiring an outstanding bond issue at maturity (sometimes done before maturity date if rate is favorable) by using money from the sale of a new bond offering. In other words, issuing bonds to pay off the old bonds. In an Advance Refunding, a new bond issuance is used to pay off another outstanding bond. The new bond will often be issued at a lower rate than the older outstanding bond. Typically, the proceeds from the new bond are invested and when the older bonds become callable, they are paid off with the invested proceeds.

Replacement Fund: A budgetary mechanism to accumulate an on-going source of funds over several years for the maintenance and replacement of vehicles, capital equipment and other capital improvement assets.

Reserves: A portion of the fund balance or retained earnings legally segregated for specific purposes. Reserves are lump sum dollars set aside in a budget for unanticipated needs or for specific future needs. Reserves are not distributed or allocated to operating expenditures or capital expenditures because the specific requirements for the reserves are not known at the time of budget adoption or because bond documents require their establishment. The County is required to amend its budget in order to allocate reserve funds to an operating or capital project account. In many cases, a reserve can only be used for a specific purpose.

Revenue: Monies received from all sources (with the exception of fund balances) that will be used to fund expenditures in a fiscal year. In the broadest sense, revenue is an increase in financial resources. Revenues are funds received by the County from its activities or external sources such as real estate taxes, personal property taxes, local sales tax, fees for services, fines, grants, payments from other governments, etc.

Revenue Bond: A municipal bond secured by the revenues of the project for which it is issued. Revenue Bonds are those bonds whose principal and interest are payable exclusively from earnings of an enterprise or special revenue fund. Sewer and utility bonds are typically issued as revenue bonds. The County also issues Lease Revenue bonds, a form of revenue bond in which the payments are secured by a lease on the property built or improved with the proceeds of the bond sale.

Revenue Stabilization Reserve: In FY 2000, the Board of Supervisors approved the creation of this fund to provide a mechanism for maintaining a balanced budget without resorting to tax increases and/or expenditure reductions that aggravate the stresses imposed by the cyclical nature of the economy. The target balance of this fund is 5 percent of General Fund Disbursements and has been fully funded since FY 2018.

Revised Budget: The revised budget is the most recently adjusted budget and includes changes made, if applicable, for the prior year's Carryover Review and current year's Mid-Year Review and Third Quarter Review.

School Board Budget: Includes the Public Schools Operating Fund, the School Construction Fund, the School Food and Nutrition Services Fund, the School Adult and Community Education Fund, the School Grants and Self-Supporting Programs Fund, the Public Schools Insurance Fund, the Public School Health and Flexible Benefits Trust Fund, the School Educational Employees'

Supplementary Retirement Fund, the Public School OPEB Trust Fund, and identifying both expenditure levels and sources of revenue. The Board of Supervisors may increase or decrease the School Board budget but normally does so only at the fund level (i.e., by increasing or decreasing the General Fund Transfer to the School Operating Fund without specifying how the change is to be applied). By state law, the Supervisors may not make specific program or line-item changes but may make changes in certain major classifications (e.g., instruction, overhead, maintenance).

School Board Transfer: A transfer out of funds from the General Fund to the School Operating Fund. State law requires that this transfer be approved by the Board of Supervisors by May 15, for the next fiscal year.

School Operating Fund: This fund provides for the day-to-day operations and maintenance of the schools and is funded primarily by County and state funds. The School Operating Fund is FCPS' primary (or general) fund. Those activities that are partially supported by grants and activities managed by departments on behalf of schools are shown separately from general operating activities.

Set-Aside Reserve: A reserve made up from available balances materializing throughout one or more fiscal years which are not required to support disbursements of a legal or emergency nature and are held (set aside) for future funding requirements.

Sewer Funds: A group of self-sufficient funds that support the Wastewater Management Program. Revenues consist of bond sales, availability fees (a one-time fee paid before connection to the system and used to defray the cost of major plant and trunk construction), connection charges (a one-time fee to defray the cost of the lateral connection between a building and the trunk), service charges (quarterly fees based on water usage which defray operating costs and debt service), and interest on invested funds. Expenditures consist of construction costs, debt service, and the cost of operating and maintaining the collection and treatment systems.

Short-Term Debt: Debt with a maturity of less than one year after the date of issuance.

Special Revenue Funds: Funds defined by the State Auditor of Public Accounts to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specific purposes. These funds account for the revenues and expenditures related to Fairfax County's state and federal grants, the operation of the Fairfax County Public Schools, and specific taxing districts that are principally financed by special assessment tax levies in those districts.

Supplemental Appropriation Resolution: Any appropriation resolution approved by the Board of Supervisors after the adoption of the budget for a given fiscal year. The legal document reflecting approved changes to the appropriation authority for an agency or fund.

Tax Base: The aggregate value of taxed items. The base of the County's real property tax is the market value of all real estate in the County. The base of the personal property is the market value of all automobiles, trailers, boats, airplanes, business equipment, etc., which are taxed as personal property by the County. The tax base of a sales tax is the total volume of taxable sales.

Tax Levy: Charges imposed by a government to finance activities for the common benefit. Fairfax County's tax levies are based on an approved tax rate per \$100 of assessed value.

Tax Rate: The level of taxation stated in terms of either a dollar amount or a percentage of the value of the tax base. The Board of Supervisors fixes property tax rates for the period beginning January 1 of the current calendar year when the budget for the coming fiscal year is approved. The property tax rate is applied to the value of property assessed as of January 1 each year.

Taxable Value: The assessed value less homestead and other exemptions, if applicable.

Telework (or Teleworking): The work flexibility arrangement under which an employee performs the duties and responsibilities of such employee's position, and other authorized activities, from an approved worksite (e.g., home office) other than the location from which the employee would otherwise work. In practice, teleworking is a work arrangement that allows an employee to perform work remotely, during any part of regular, paid hours, at an approved alternative worksite while making use of the Internet, email, telephone, and other virtual communication tools.

Third Quarter Review: The current year's budget is reevaluated approximately seven months after the adoption of the budget based on current projections and spending to date. The primary areas reviewed and analyzed are (1) current year budget versus year-to-date expenditures plus expenditure projections for the remainder of the year, (2) emergency requirements for additional, previously unapproved items, and (3) possible savings. Recommended funding adjustments are provided for Board of Supervisors' approval.

Total Budget: The receipts and disbursements of all funds (e.g., the General Fund and all other funds). Net total expenditures (total expenditures minus expenditures for internal service funds) is a more useful measure of the total amount of money the County will spend in a budget year, as it eliminates double accounting for millions of dollars appropriated to operating agencies and transferred by them to internal service agencies. General Fund total disbursements (direct General Fund expenditures plus transfers to other funds, such as the School Operating Fund) are a more accurate measure of the cost of government to the local taxpayers.

Total Project Estimate (TPE): A capital project Total Project Estimate (TPE) is composed of funds already expended, currently appropriated, proposed or adopted in the budget year, and proposed for future years. In short, it is the total amount proposed to be expended over the life of the project.

Transfer: A movement of funding from one fund to another. The largest such transaction is the annual transfer of funds from the General Fund to the School Operating Fund. Further complicating the structure of the budget and the process of adopting a budget are numerous movements of dollars among the funds and they are, therefore, internal to the County structure. The amount transferred out of one fund is recorded ("Transfers Out") and the amount transferred into another fund is also recorded ("Transfers In"). The County records this movement of funds as a "transfer" in the budget and in the accounting system to represent financial activity more accurately. Transfers provide money to programs that may not have adequate revenue from grants or fees generated by the program.

Trust Funds: A categorization of accounts defined by the State Auditor of Public Accounts consisting of funds established to account for money and property held by the County government in the capacity of a trustee or custodian for individuals or other specified purposes. Examples are the various retirement funds, which contain contributions from the County government and individual employees.

Unappropriated: Not obligated for a specific purpose.

Unencumbered: This term refers to unspent funds. An unencumbered balance of funds in an account is not restricted or reserved with respect to their availability for future use.

Unfunded Positions: Positions that departments have elected to hold vacant to achieve personnel expenditure savings beyond the normal expected turnover savings. These positions are in the departments' FTE counts and remain eligible for departments to request restored funding at some future date.

Useful Life: The period of time that a fixed asset is able to be used. This can refer to a budgeted period of time for an equipment class or the actual amount of time for a particular item.

User Fees: Charges for expenses incurred when services are provided to an individual or groups and not the community at large. The key to effective utilization of user fees is being able to identify specific beneficiaries of services and then determine the full cost of the service they are consuming or using.

Vacancy Rate: Residential Vacancy Rate is the percentage of total housing units that are unoccupied. Nonresidential Vacancy Rate is the percentage of the total available square footage not leased.

Work Performed for Others (WPFO): Expenditure credits for services provided on behalf of a different County agency (e.g., recovered costs).

Acronyms

ACFR: Annual Comprehensive Financial Report

ADA: Americans with Disabilities Act

ARPA: American Rescue Plan Act of 2021

BPOL: Business, Professional, and Occupational License Tax

CARES: Coronavirus Aid, Relief, & Economic Security

CERT: Community Emergency Response Team

CIP: Capital Improvement Plan

COG: Metropolitan Washington Council of Governments

COLA: Cost of Living Adjustment

COVID-19: Coronavirus Disease 2019

CPI: Consumer Price Index

CRF: Coronavirus Relief Fund

CSLFRF: Coronavirus State and Local Fiscal Recovery Funds

DROP: Deferred Retirement Option

EAC: Employees Advisory Council

EAP: Employee Assistance Program

ENSNI: Estimate, No Scope, No Inflation

EOR: Economic Opportunity Reserve

ERP: Enterprise Resource Planning system

ERS: Fairfax County Employees' Retirement System

ESOL: English as a Second Language

ESSP: Economic Success Strategy Plan

FFCRA: Families First Coronavirus Response Act

FLSA: Fair Labor Standards Act

FMLA: Family Medical and Leave Act

FOCUS: Fairfax County Unified System

FTE: Full-Time Equivalent

GAAP: Generally Accepted Accounting Principles

GASB: Governmental Accounting Standards Board

GFOA: Government Finance Officers Association

GO: General Obligation Bond

IAFF: International Association of Firefighters

ICMA: International City/County Management Association

LCI: Local Composite Index

LOBs: Lines of Business

LODA: Virginia Retirement System Line of Duty Act

MRA: Market Rate Adjustment

MWCOG: Metropolitan Washington Council of Governments

NACo: National Association of Counties

OPEB: Other Post-Employment Benefits

PORS: Fairfax County Police Officers Retirement System

RIF: Reduction in Force

SCC: State Corporation Commission

SOQ: Commonwealth's Standards of Quality

SSPBA: Southern States Benevolent Association

TPE: Total Project Estimate

URS: Fairfax County Uniformed Retirement System

VACo: Virginia Association of Counties

VFOIA: Virginia Freedom of Information Act

WPFO: Work Performed for Others

YTD: Year-to-Date